

One 97 (PAYTM)

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BSE Limited

Department of Corporate Services,

Phiroze Jeejeebhoy Towers,

Dalal Street, Fort,

Mumbai - 400 001

Scrip Code: 543396 National Stock Exchange of India Limited

The Listing Department ,

Exchange Plaza ,

Bandra Kurla Complex,

Mumbai - 400 051

Symbol : PAYTM

Sub. : Transcript of the earnings conference call for the quarter ended June 30, 2022

Dear Sir / Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings conference call, conducted on August 6, 2022, for the quarter ended June 30, 2022.

The above information is also available on the website of the Company at www.paytm.com/investor-relations/financial-results.

Kindly take the same on record.

Thanking you

Yours Sincerely,

For One 97 Communications Limited

Amit Khera

Company Secretary & Compliance Officer

Encl. As Above

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Paytm | Quarter Ended June 30, 2022 Results | Earnings Call

Date: August 06, 2022 | Time: 3 PM Indian Standard Time

Disclaimer:

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Moderator: Thank you for joining and a warm welcome to Paytm's earnings call to discuss its financial results for the quarter ending June 30th 2022. From Paytm's management team, we are joined by Mr. Vijay Shekhar Sharma, Founder and CEO, Mr. Madhur Deora, President and Group CFO, Mr. Bhavesh Gupta CEO, Lending and Head of Offline Payme

nts, and Mr. Anuj Mittal, Vice President Investor Relations .

Before we begin, a few customary announcements for all attendees. This earnings call is meant for the existing shareholders of Paytm, for potential investors, and research analysts to discuss the company's financial results. This call is not for media personnel. If any media representatives are attending this call, we request you to kindly drop off the call at this point. The information to be presented and discussed on this earnings call shall not be recorded, reproduced or distributed in any manner whatsoever by any of the attendees. Statements or comments made on this earnings call may include forward looking statements. Actual events or results may differ materially from those anticipated in such forward looking statements. Finally, this earnings call is scheduled for 75 minutes. It will have a presentation by the management followed by Q&A. Kindly utilize the raise hand feature on your zoom dashboard if you seek to ask a question. We will unmute your line and take questions in the respective sequence of raised hands within the scheduled time. Please ensure your name is visible as first name, last name followed by your company name in brackets at all times for us to be able to identify you. The presentation, a replay of this earnings call and a transcript will be made available on the company website subsequently. With this, I would like to request Mr. Vijay Shekhar Sharma to kindly initiate this earnings call.

Mr. Vijay Shekhar Sharma: Thank you. Hello and welcome, everyone. This is an important quarter for us. We have done a great amount of effort on focusing on simplifying communication and business KPIs. If you see here, we have stated that our core business is to acquire payment customers and distribute loans. Everything else has to amplify either the ability to acquire payment customers, or amplify the ability and capabilities of disbursing loans. In our payments business, as you see, we acquire consumers who in turn, work with merchants and in other words, make payments to the merchants. And merchants in turn, give commerce services to the consumers. This business model, where we have more than 75 million monthly transacting users as of June 2022 and 28 million merchants, allows us to create a brand, distribution, insight and technology that allows us to create an incredible loan distribution and collections business. Yes, our business model in credit remains and focus remains in distributing and enabling collections. As you can see for consumers, we have postpaid and personal loans, and co-branded credit cards and for merchants, we have merchant cash advance loans. So when you look at our business and you look at the majority of revenue and the focus of the company is on acquiring customers for payments and distributing loans. Here is our revenue model on payments. It's an important thing. I took the time to build this slide specially describing how we earn in the payments business? And it's an interesting business because our margins are expected to grow further. So we wanted to clarify how you should look at our payments business and how we internally look at the payments business. These are the key components of our payment business where merchants use Paytm app to collect payments. So you know, various utility merchants, credit card bills, rent, BBPS etc. all those services where merchants are using Paytm app to collect payments. Here the merchant obviously will pay us a certain fee, which is the instrument MDR. We have started to charge a platform fee to select customers based on their instrument or the kinds of use case they are using. And this experiment has been very successful. If you notice our payments service to consumers segment has had as high as 73% year on year revenue growth. And we incidentally call this line item as payments service to the consumer. When the merchant is

using Paytm app to collect payments,

merchants are also using Paytm app to sell/upsell their services. We call it enabling commerce business where merchants can sell deals, tickets, or take advertising. And this is the business we showcase under

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commerce and cloud services. The same business has shown incredible growth year on year as you can see Rs. 331 crores, 64% year on year revenue. We believe that this is a business which was hit by Covid but over the period of time will continue to grow and find new use cases where we enable different commerce services for merchants on our Paytm app.

Now, merchants are using Paytm app capabilities on our platform. Merchants have their own shops, apps, websites and there, they collect payments, using Paytm's platform services and abilities. We call these services as payment services to the merchant. Here, merchants pay a subscription fee, typically for a device. In addition, they are also going to pay us for different services that we enable for them. For example, like let's say they're going to pay a subscription for enabling forex payments. They're going to enable a subscription fee for a certain amount of reconciliation service that we will provide. So merchants pay subscription fees for using our services. It's an important thing that the Soundbox and the critically important revenue of UPI led monetization comes under this, because we believe that merchants who are accepting payments on UPI need services. So merchant subscription fee is a key focus area for the company. Second is, a merchant pays MDR for MDR bearing instruments like card, wallet, postpaid, etc. and third is that the Government of India, in their Digital India Mission have subvented the UPI merchant fees. So, technically UPI has the MDR, which the Government is actually paying, and the payment typically comes towards Q3 or Q4, so we will show it at that point of time in our earnings. Incidentally, all payment instruments, UPI, wallet, card, or postpaid or net banking etc. all bear small or large fees to the merchant. And in addition to that, because those margins are very small, we have started to find out services that merchants are ready to pay a subscription for. It's exactly what our long term vision will be. Here on the right side, I've tried showing the model case for different merchants. Let's say an entry level merchant, typically a roadside hawker uses our Paytm QR. Now Paytm QR enables all bank UPI apps, in addition wallet, postpaid, in other words, all payment instruments, including Paytm Payment Instruments. So this is where our differentiation also comes to the merchant. And in this case, typically, we will get an incentive from the Government on UPI payments this merchant receives. These incentives are published and we would, if needed, be able to showcase the notification on demand basis. You could google search for MeitY (Ministry of Electronics and Information Technology) incentives for UPI payments, zero MDR announcement where the merchants are not to be charged, and the Government is going to pay us the money. So, this is where we make money using the UPI based payments and many times merchants are paying fees on wallet and postpaid also. These merchants we upgrade to subscription merchants where these merchants take a Soundbox. Soundbox is one of those businesses which we could figure out as a requirement on the ground, and we built it and it is taking off very, very well in our IoT or device business, which is incredibly growing. If the merchant has to take, let's say card payments - so then comes the card payments device, so he pays a subscription and pays MDR also for different instruments. This EDC device is also our gateway to enable Buy now pay later from other providers like EMI from banks and NBFCs. So this merchant here is also a customer for us in driving EMI payments from merchants and we get higher margin on this. So these are

higher value customers than Soundbox customers. Then come these Omni-channel online merchants. These are the classic online e-commerce companies where they take our API and SDKs and give us MDR. And finally, like I told you, some merchants who don't use their website, or in addition to that they use our app, and this is what we title as consumer payment because customers are using Paytm app. Incidentally, this is also a merchant payment, the merchant is eventually taking payments on Paytm app. So, this stack that you will see are different kinds of merchants that we have on our system, and revenue models are clear where we leverage distribution of Paytm app to grow, number one, and number two, which is payment service to the consumer and commerce and cloud service. And

we use the sales team to distribute and expand our merchant payments service, which incidentally, year-on-year grew, again, incredibly well Rs. 557 crores, 67% year-on-year, and standalone basis. All these three line items have our attention in terms of technology and product development. And we continue to expand different services on this site.

I'll talk about the second part of the revenue, which is the loan disbursement and collection. We call it a loan distribution & collection business. Classically, we have been declaring that in our credit business, our scope is loan sourcing and cross selling, meaning if a customer has come to take a loan on Paytm app, we also cross sell him another type of loan from the same lender, so we don't do cross sell of another lender. Let's say, you've got a personal loan from lender A, you will be cross sold another loan only from lender A. So we call it loan sourcing and cross sell fee. This way, both us and our lender partner continue to deeply engage and we get overall LTV of loan business in partnership with the lender. Again, I'm reiterating that our cross sell revenues also work in a way that if the customer goes on their platform and takes it we still get our part of sourcing and cross sell fee. So, this is loan cross selling and sourcing fees that we account for. Second part is that we help our partners collect meaning we will build interfaces on Paytm app, we would have disbursement and collection services and we will have full effort on bringing collections. We get certain revenue on the portfolio performance that we are collecting. I also want to share the fact that we do collections not just for the loans that are sourced on Paytm platform, we also do it for the loans that are not necessarily sourced from Paytm platform. For example, like a lender could be distributing or disbursing loans by themselves, they can still use Paytm's service for servicing and collections. So that is why we call this a two parts business model. And part two of the revenue also has a bonus on a pool basis. Incidentally, our business had issued and disbursed loans, as you know, more than a year back, and portfolios are maturing. So we are starting to get a certain bonus part of this servicing and collection fees. My colleague, Bhavesh in due course will talk about the business. Here I have summarized that our three products, personal loans, merchant loans and postpaid for consumers are our

primary three products. We do not treat credit cards as a loan because eventually our role is only as a branding and acquiring a customer. We do get over a period, revenues and those are shown in commerce and cloud business because cloud and advertising come together, just so that you know this. So, here are the loans that we work in partnership with our lenders. Personal loan ticket size, which is around Rs 1,00,000 is about a one-year product and merchant loan where the ticket size is Rs 1,40,000 is about again a one-year product. Incidentally these are in tune with our approach 2 x2 - we say less than two lakhs (or not more than two lakh) and not more than two years. So t

hese are, I would say, high frequency and high speed disbursement and collection products, which gives an incredible amount of comfort to our credit partners. And you will hear more how the quarter has been for these services as we have announced the numbers already. Postpaid is a monthly billing and continues to grow in ticket size. If you notice that at one point of time, we used to have it in a few Rs. 1,000s and it has now reached Rs 4,000, which means that customers' acceptance of postpaid, which is at different, different places is increasing, and customers are finding it useful and spending more and more using postpaid products. Our total disbursements on personal loans as you can see here, which we have announced also, is about a quarter, Rs. 1,344 crores. Obviously, it was on a very minuscule base on a year -on-year basis, so it's a large percentage. At the same time, we believe that key KPIs remain our disbursement dollar value size. And incidentally, the performance of the portfolio of our partner, though we don't have access to the portfolio performance, but based on the data that is shared with us, based on the servicing and collection detail revenue invoicing that we do, here, we are showing that how our business is performing in the last few quarters. Last quarter actually, this is the kind of bounce rate that you see 11.5% to 12.5%. Merchant loan is a daily

5 product. So daily installment collections, so there is no bounce rate concept here. And postpaid remains, again 11 to 13%. More details and exact further detailed numbers are part of our presentations. This is my summary of telling you how our revenue model of loan disbursement and collection works out. Now, I will hand over the call to my colleague, Madhur, who will give you much detailed insights about the business. We remain bullish on the customer demand here, as you can see our usage of platform and monetization is on track and we believe that we will very comfortably be able to achieve the timeline that we have informed to the stock exchanges that we will be able to achieve EBITDA breakeven before ESOP cost by the next September quarter.

Mr. Madhur Deora: Thank you, Vijay. Great pleasure to be able to report the results of all the hard work the team has done this quarter. This quarter, we saw very strong improvement in revenue and profitability. Just a few financial highlights to begin with. Our revenue from operations was about Rs. 1,680 crores up 89% year -on-year and 9% quarter -on-quarter. So, we will double click on that in a moment. Our contribution profit, record high of course, Rs. 726 crores or 43% of revenue. Last quarter, this number was 35% of revenue. Our contribution profit growth has been 200%. So, roughly 3X year -on-year and has grown 35% even compared to the previous quarter. Our EBITDA loss before ESOP cost is now at Rs. 275 crores. This is a Rs. 93 crore improvement from the previous quarter. A quarter ago we said we were at Rs. 368 crores and we said we are going to hit EBITDA breakeven in six quarters. So, compared to that we are ahead of plan in that sense. Operational highlights as Vijay mentioned value of loans disbursed Rs. 5,554 crores. We are run -rating now close to Rs. 24,000 crores and it is about, call it, 9X year -on-year increase. But interestingly, even on a larger base on a quarter -on-quarter basis, we grew 56% this quarter which is a substantial ramp up in the business. On payments devices, which is a key part of our strategy as you know, we have 3.8 million devices now deployed, 2.8 million of these have been added in the last 12 months, and nearly a million has been added in the last three months alone. So there's a significant scale up of the size of deployment in the market as well. A little bit more about operating metrics. On the left hand side our average monthly transacting users grew about 49%. Last quarter this number was in the low 40s. So

we are seeing some amount of acceleration there. UPI customer acquisition is working really well for us. Our GMV basically doubled year -on-year. So 101% to Rs. 3 lakh crores. Our GMV from MDR bearing instruments grew 52%. We'll talk a little bit more about this right at the end. And our payments devices, like I mentioned earlier, grew by about 2.8 million on a year -on-year basis. These are Payment Services Revenue. This grew 69 % year -on-year and our net payments margin which we define as payments revenue minus payment processing cost, grew to 35% from 17% a year ago. Our payment services to consumer, which is this part, has been, as you can see, increasing steadily. It has been basically supported by MTU growth and the huge amount of activity that we see on the Paytm app for bill payments and top -ups. Our payment services to merchants on a year -on-year basis grew 67% to Rs. 557 crores. This, as Vijay mentioned, is for collecting payments in merchant's own apps, websites or shops or stores. There are a few drivers here that I want to call out. Clearly the thing that continues to grow for us is our subscription revenue, as we deploy more and more devices. The March 2022 Quarter was flattish because of the seasonality impact, as we had mentioned in the previous call. We did do and I wanted to call this out for everyone's attention, we did do some account level rationalization among online merchants as a part of our focus on profitable GMV. This had a revenue impact of about Rs. 29 crores in this quarter. So we did take a one -time step starting the middle of April, to rationalize certain accounts which have not been making money effectively. And I should also call out that in this quarter, we did not

have any UPI incentive recorded. The update there is that while the Government has announced the

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incentive for the next year, we don't have the final notification from MeitY yet. And our policy is that we record this only after we get the final notification from MeitY. So this quarter, we recorded no revenues for UPI incentive.

On the next page, I wanted to double click on the Net Payment Margin, which as I mentioned on the previous page has grown from 17% to 35%. This is one of the most impressive things that the team has done, which is to really focus on unit economics and really focus on profitability. There are two sides of this coin. The first is to drive higher revenue, of course, from higher MTU, as well as from subscription revenue. The other side of the coin is to work with our bank partners to have substantial reduction in payment processing costs. So we negotiate better processing rates, and we make sure that our routing is as optimized as it can be to get as much benefit out of this net payments margin. Like I mentioned earlier, we did some account level rationalization in the online merchant business that also contributed a little bit to the improvement in net payments margin.

In summary, our net payments margin has gone from Rs. 108 crores a year ago to Rs. 382 crores as a substantial improvement, which obviously flows straight down to the contribution margin and down to the EBITDA. I will hand over to Bhavesh to talk about lending and I'll come back and talk about the rest. Mr. Bhavesh Gupta: Thank you Madhur. Good afternoon everyone. Financial Services Revenue as you can see here has grown from Rs. 55 crores to Rs. 271 crores. It is important to mention that the Rs. 271 crores also include revenue generated from non-credit activities albeit that number continues to be small. So Rs. 271 crore has a predominant share of credit activities and that number continues to grow. The good news for us is on a quarter-on-quarter basis, we are seeing the value of loans disbursed grow. Now if you can notice from March to June 22, we've grown by more than 50%. And now we are run-rating at a level that we could end the year at about Rs. 24,000 crores of loan disbu

rsed through Paytm platform.

Important here again is the number of loans also continuing to grow. And the ticket size also is now starting to grow. It just gives us an indication that what we are seeing is an increased upsell happening both for personal loan customers, and merchant loan customers. And we're also seeing limit enhancement happening to our postpaid customers, because our lending partners are getting more comfortable by giving them higher limits, which is the spend limit to postpaid customers and that is jumping up the ticket size per user on postpaid. And we do see that this trend may continue quarter-on-quarter and we could see ticket sizes continue to move on.

Just to give a bit of a deep down, the growth has not just been a single product growth, the growth has come from all the three products. And both the engines on the consumer side, which is postpaid and personal loans are intertwined with each other because Personal Loans are predominantly coming on the back of customers who are maturing their Postpaid with us. So if you're a postpaid customer, and you mature more than six months on the platform, you're more likely to get an approval from the lender for a personal loan. More Postpaid loans given through the platform, directly add to more personal loans being given on the platform. So as you can see, the personal loan growth from March to this June quarter has been very substantial and we've grown relatively on the back of a very strong growth which came in a quarter before. We're not seeing any letdown in these numbers. Postpaid continues to keep growing in spite of the fact that we had seen some slowdown in new acquisition, but we are again seeing the new acquisition come back, after the lull month that we had for one month in the quarter. Merchant loan is a product that we are seeing come back very, very strongly. As you can understand last year, at the same time, it was materially impacted by Covid. And also through the year, we had Covid impact on merchant

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loans. This is the first quarter, I would say maybe about five months, when we are seeing there is no impact of Covid. Markets are open, shops are open, GMV is growing very, very nicely. And hence, we are seeing merchant loans grow from Rs. 565 crores to Rs. 827 crores. So the trend suggests to us even in the month of July, that this trend is continuing to be very positive. And we'll continue to see this growth maybe at the same momentum or a bit better momentum, especially on the merchant loan and personal loan side.

This is a bit of a drill down on the portfolio. This is the indication that we get being a collection partner to our lending partners. These numbers have remained broadly at a similar range. We haven't seen any deterioration of the portfolio. When I use the word deterioration, there is no material change in the way the lender expected the portfolio to behave, versus the way the portfolio is behaving. So if you look at the bounce rates for our personal loan business, though the personal loan growth has been so massive and significant, the bounce rates have continued to be the same or a similar range between 11 to 12% same as for Postpaid. We are seeing much better bucket one resolution now in Postpaid, which is now inching to 90+ bucket one resolution while we've given you the range of 89 to 92. Merchant loans again we are getting much better resolution because markets have opened up completely. We've seen only 1% deterioration in postpaid, if we were to look at the last quarter, we were ranging between 82% to 85%. Now we are ranging between 81 to 83%. We do believe that this is going to be back to the same level of 82% to 85%. ECLs have remained exactly similar, the 4.5 to 5% and 5 to 5.5% for Personal Loan and Merchant Loan respectively. I want to call out very clearly here that these ECL numbers are what the lender sees on a quarter-to-quarter basis as a model that

t they have built for their accounting standards.

The actual credit losses are lower at the lowest range. So when we say the personal loan, ECL will be 4.5 to 5 %, actually we are seeing a net credit loss which is sub 4%. Merchant net credit loss sub 5% and postpaid net credit loss sub 1%. So the book is very healthy and that's the reason we see new lenders getting added and we are also seeing the existing lenders expanding their appetite to do more loans. Back to you Madhur.

Mr. Madhur Deora: Thanks Bhavesh. I want to touch upon commerce and cloud revenues. Our commerce revenues, which are in light blue at the bottom, performed very strongly last quarter. It is up 168% on a year -on-year basis, but importantly on a quarter -on-quarter basis, it was up 35%. Our travel merchants sold more tickets on our platform, largely because of a resurgent demand as we had mentioned briefly in the last quarter. We did see a Mini -Omicron wave in January and early February, so the demand came back very strongly after that for our travel merchants and also our entertainment merchants had a seasonally strong quarter with big movie releases, so that contributed to the strong growth in commerce business. Our cloud business, while we have grown 29% on a year -on-year basis, we are down quarter -on-quarter, and I did want to call out that advertising, not just for us, I think there's an industry wide phenomenon, is seeing some headwinds due to reduced marketing spends, particularly from consumer internet companies. So while we're confident that we'll recover advertising revenue more and more, this quarter did see some meaningful headwinds. We are also seeing strong traction in credit card distribution, and expect it to continue going forward and contribute to growth of the cloud revenue business. I wanted to touch upon the contribution margin. We talked about net payments margin earlier, that plus other things, have resulted in a contribution margin remaining on a very strong upward trajectory. So we have gone from 27% of revenues a year ago to 43% of revenues now. This is ahead of our expectations in terms of our execution. We have tripled our contribution margin from about Rs. 245 crores a year ago to Rs. 726 crores now. Like I mentioned, the key drivers for this is number one, the significant improvement

that we saw on that payment margin, but also the fact that financial services have grown from 6% of total revenue to 16% of total revenue and financial services is a higher margin business for us. And also commerce revenues have grown 34% on a quarter -on-quarter basis, which has resulted in contribution margin growing from 35% to 43%. Our other costs such as cash backs and incentives and other direct costs have remained broadly flat over this period.

Finally, on EBITDA, strong message or strong performance this quarter, we have improved by Rs. 93 crores on a quarter -on-quarter basis. We are on the one hand focusing on cost rationalization, but we are going to continue to invest on growth just like we have done in the past quarter and in this quarter. Increase in marketing spend will really stand out to you, that is almost entirely due to seasonal sponsorship spend as a result of IPL. On employee cost, we did have a 10% quarter -on-quarter increase and that was because of appraisals as well as select investments in our sales team as well as our technology team. Our software cloud and data center expenses as well as other indirect expenses have declined as a percentage of our revenue. What we saw is that while contribution profit grew 35% quarter -on-quarter, our indirect expenses only grew 10% quarter -on-quarter. As a result of that we have a 25% improvement in EBITDA losses or Rs. 93 crore improvement. Our EBITDA losses now are 16% of revenue, compared to 37% of revenue a year ago. So that is a significant improvement of 21% from where we were a year ago. And finally,

key trends in our business. Just to summarize, continued strong growth in users and merchants. The government incentives have now made UPI P2M GMV profitable. And we actually believe that non -UPI GMV, which is something that we started to disclose in December, is not really a relevant metric to focus on going forward. Our loan disbursements, while they have hit Rs. 24,000 crores of run rate like Bhavesh mentioned, has ample opportunity to increase penetration going forward. Our growing payments business is giving us significant engagement and monetization of merchants. Our contribution margin has gone up dramatically. We continue to invest in sales and technology, but we do believe that our indirect expenses will continue to reduce as a percentage of revenues and we are prioritizing payment services and lending in our resource allocation. That's all I had, and with that I'll hand it back to the moderator for Q&A.

Mr. Vijay Shekhar Sharma: Madhur, you said a very key point about UPI GMV and non -UPI GMV. We want to reiterate that UPI P2M GMV has effectively started to become profitable on a line item basis. So we believe that overall GMV that we announce is actually where we have the revenue to be accounted for, obviously it is not coming every quarter, it will come at a lump sum basis somewhere, so we would showcase it at that time. Back to you.

Moderator: Thank you. We will now proceed to Q&A. If you wish to ask a question kindly utilize the raise hand feature on your zoom dashboard. We will unmute your line and take your question in the sequence of raised hands. A request to please limit to two questions per person given the Q&A queue currently and the scheduled time. A reminder to please have your first name last name followed by a company name in brackets visible at all times for us to be able to identify you and take your questions. With that the first question of the session is from Mr. Vijit Jain from Citi.

Mr. Vijit Jain: Yeah, thank you very much. Congratulations for that great set of numbers, some strong improvement in the contribution and adjusted EBITDA margin there. My question is on the payment processing charges and clearly this quarter, a lot of the improvement is driven by your gross profits improving. So, is it just the negotiations that are driving those payment processing charges down, because

even if I use the non-MDR GMV base, it does look like that number went down seven or eight basis points.

QoQ? And the second question related to payment is, when you say the Government is encouraging UPI monetization, are you referring to those lump sum payments that the Government makes only or is there anything around the convenience fee, platform fees, etc. that you are starting to charge on the consumer side?

Mr. Madhur Deora: Maybe I'll take the first one and hand it over to Bhavesh and Vijay for the second one. So Vijit obviously, when you're looking at payment processing costs there are a couple of different ways to look at it, whether its revenue minus payment cost or as a percentage. But if I could just point out that our absolute payment processing charges went down this quarter by about Rs. 80 crores from Rs. 774 crores to Rs. 694 crores. So maybe I'll use that to be able to answer your question. And I think there are probably three major factors there. One is, like you mentioned, negotiations with banks to reduce the rate that we pay to them, whether it's for credit cards or other instruments. The second is, like I mentioned, we did do account rationalization for certain online merchants, who were a negative impact on us effectively. So while we lost Rs. 29 crores of revenue, we were able to shed off slightly more than that in terms of payment processing cost. And the third, which is an ongoing trend, is that when customers add money using UPI to Paytm wallet, and so on, it costs us less money. So UPI in that sense also helps us

reduce the loading costs for one of the revenue generating instruments, which is wallet. So those three factors would be sort of the primary factors that why despite an increase in GMV of about 18 odd percent, and despite the increase in MDR-bearing GMV there as well, we were able to actually reduce in absolute terms, the payment processing costs.

Mr. Bhavesh Gupta: On the UPI question - last year, the Government came out with the mandate that they will reimburse the MDR applicable on P2M transactions on UPI and RuPay cards. And this year, they have further reinitiated that conversation by passing the budget that MeitY is going to further announce the amount. We believe the minimum amount will be the same amount that they did last year for the industry, if not more and that's the reason for our beliefs on the fact that UPI P2M is now becoming technically an MDR bearing GMV, while the MDR is being subsidized by the Government. It becomes highly profitable for Paytm, with us being one of the primary players in the market for offline P2M payments and also on online payments on P2M. The second part of UPI is very interesting, which is that UPI is further monetized through our devices strategy. Soundbox basically helps the merchant technically become primary for Paytm. So not only do we make money through UPI P2M GMV, which is, as we said, getting subsidized / subsidized on MDI by the Government, we also start getting far more take on the Soundbox because the GMV starts getting incrementally attributed to Paytm. And we obviously make subscription revenues and eventually the merchant lending book, which gets generated through this transaction history for our lending partners. Your other question about have we started to charge customers on a convenience fee, etc. we were always charging customers for certain use cases on a platform convenience fee, which is like adding money to a wallet using credit card, which we've been doing for many quarters in the past. We've also started to now charge on certain use cases, a platform fee; there we believe Paytm provides significant advantage and value add to consumers in the form of bill reminders, assurance of payment happening to the billers in time etc., And we have not seen any inertia in consumers making that convenience fee or a platform fee to us. So that has become a fairly decent revenue item for Paytm.

Mr. Vijit Jain: Got it. Thanks Bhavesh. Thanks a lot. My next question is in general, recently the RBI obviously set the stage for introduction of credit cards on UPI and in the same time we've seen some developments around restriction of credit line on prepaid cards. So, your broader sense on what the

regulator is thinking here and a related question to that would be just the progress on the RBI IT audit for you guys? Thank you. And I'll jump back into the queue after that.

Mr. Bhavesh Gupta: See, the credit card being used which is the RuPay credit card instrument on UPI rail is a welcome move. We think any development in this space which expands the acceptance of credit instruments is always going to benefit the industry as a whole. At this point in time, it is too premature because the semantics are still being worked down. And as they become more publicly available, one would be in a position to give you an opinion, but we welcome this move because it expands the market. With regards to the PPI conversation, I think they are not interconnected. That was an arbitrage which was being used by certain non-bank PPI issuers in loading credit limits on PPI instruments, which was very clearly called out that it is not allowed. What the regulator has done has removed any level of misinterpretation or gray area in the minds of operators by clearly calling out that you cannot create a prepaid instrument product as a credit instrument product, for which you need a license. And they've opened the

license also to NBFCs in the same spirit. What was your other question, sorry Vijit, I missed that? You had another follow up point that you had asked..

Mr. Vijay Shekhar Sharma: He wanted to know about the RBI audit.

Mr. Bhavesh Gupta: Yeah, so the RBI audit is continuing. The auditors are currently in the process of conducting the audit. It is a time bound process that we mentioned in our last quarterly release also. We do believe that the process is, as we understand from our Paytm Payments Bank colleagues, progressing

in a good manner and over a period of time, we will have more information to share. But currently the audit is progressing very well.

Mr. Vijit Jain: Thanks Bhavesh. I'll jump back into the queue.

Moderator: The next question is from Mr. Sachin Salgaonkar from Bank of America.

Mr. Sachin Salgaonkar: Hi, thank you for the opportunity. Congratulations for a good set of numbers. A couple of questions from me. First question is on Soundbox, Madhur, quite a few media articles or rather advertisements by you guys, is actually indicating that the Soundbox monthly rental has gone down to zero. So just wanted to understand the monetization out here and also we are seeing some competition pick up in this space with the likes of BharatPe and PhonePe entering this space. Again, your thoughts out here.

Mr. Madhur Deora: I think I heard Bhavesh clear his throat, so I will let him answer this one..

Mr. Bhavesh Gupta: Thanks, Madhur. So, Sachin, I just want to mention here that Soundbox is an innovation that we're very proud of, and which Paytm brought to India in the year 2020. As you can see from the numbers, we've been market dominant in this space and we do believe this is one of the innovations and products, which has allowed us to monetize UPI GMV, and further augmented by the credit GMV that this entire ecosystem produces, and which we're able to work with the lenders to give loan distribution. Having said that, we have seen multiple attempts by various competitors in the market in the past to try and launch products in this space albeit not very successfully. We also in the same way believe that this market is so large that we will see certain competition come our way and will obviously expand the market. And we absolutely welcome that piece. So because we believe our product is very, very superior. It's a Made in India product, we've been at this product for a very long period of time. It's a three in one Soundbox that we position in the market, which allows the merchant not only to get very

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competitive rentals, but also get access to our service network, which is very important in this space and also get credit. Now to your specific question with regards to competition who's launched and our belief with regards to pricing, I think that pricing is more of a marketing thing that we keep doing. At this point in time because of whatever competition sentiment is, it seems to have picked up in a manner where everybody's thinking that every Soundbox will become zero. That's not the case. A very, very small percentage of merchants are being given the offer from our perspective, because we want to value those merchants and this is something that we keep doing. We've been doing it for the last many years and will continue to do so in the future. So we don't see any impact or any material impact if I may say on the subscription revenue of Soundbox. In fact, we would see a positive impact because the GMV that we generate through Soundbox will further go up. Our installation of Soundbox will further go up and the outcome, which is merchant lending, will significantly go up. So we do believe this is only going to add to our bottom line versus having any dent to the bottom line.

Mr. Sachin Salgaonkar: Very clear Bhavesh. Second question is actually on payment, you know, the core payment business, the implied take rate appears to have gone down in

the quarter and I heard an earlier

comment from Madhur about some account rationalization. So I just wanted to understand, you know, maybe it's a QoQ fluctuation but wanted to understand what's happening out here?

Mr. Madhur Deora: Yeah, so Sachin, some of the merchants that we rationalized were higher take rate. So that has some impact on it. There's some Q-on-Q fluctuation, like you mentioned, as well. And over time, we do think that the overall take rates may actually go down, right? What we focus on is basically net payment margin and making sure that nearly all of the GMV that we are doing should either be positive on net payment margin or it should have immediate upsell opportunities, or both. So that's sort of how we run our business, we don't really run our business on the basis of, doing or not doing business just because it has certain take rates. Because you can end up making some suboptimal decisions that way. So in other words, if our take rate last quarter was 40 basis points and we had some business that we could do profitably at 10 basis points, we would do it and if there's some business that we could do only unprofitably at 1% take rate, we would not do it. So that's how we run our business. And there's a focus on unit economics, rather than take rates. And if you notice, we don't really calculate take rate and present that, although investors can calculate it. And the reason for that is we calculate and put out to investors, the metrics that we think matter and take rate is one that we actually don't calculate and put out there.

Mr. Sachin Salgaonkar: It makes sense Madhur, just a small follow up out here. There is a phenomenal improvement in the net payments margin, you guys are now at 35%. Any thoughts on what could be the steady state net payment margins?

Mr. Madhur Deora: We would continue to try to improve this number. Having said that, if there was business to do at a slightly lower net payment margin, we will do that as well. So our threshold is that it should be positive on net payment margin and as long as it's positive on net payment margin, we should be attracted to that business, especially if it has upsell opportunities attached to it.

Mr. Sachin Salgaonkar: Okay, so directionally, it may not go up going ahead, but it needs to be at a net payment margin from your perspective?

Mr. Madhur Deora: Yeah. So all business that we do should be net payment margin positive and / or have upsell opportunities attached to it.

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Mr. Sachin Salgaonkar: Thank you.

Mr. Madhur Deora: Thank you.

Moderator: The next question is from Mr. Karan Danthi from Jetha. Karan, your line is unmuted.

Mr. Karan Danthi: Hi, Vijay, Madhur and Bhavesh. Thanks again for the opportunity. And congrats on the results. I had two questions. The first was, there's so if you look at revenue, divided by loan disbursal it looks like the take rate is going up. So I'd be curious as to whether that continues. And then secondly, on market share, all external indicators suggest that there has been a change, in the sense that you've stabilized market share, vis-a-vis a year ago, at least within payments or GMV, whichever way you look at it. Could you maybe bring up that sort of concept of market share in the merchant device business and then also in the lending businesses, there's some way to think about how those market shares come out because, given your closed loop system and your early investments, you should have a higher market share in those areas than you do just in the regular sort of GMV or MTU. If you just look at it that way. So I'm just curious what those numbers would be?

Mr. Madhur Deora : Bhavesh do you want to start and maybe I'll add to it?

Mr. Bhavesh Gupta: Sure, so Karan, just a small note. Mathematically, the Rs. 271 crore number divided, obviously by the disbursals, gives you a take rate, as we said in the commentary while making th

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presentation that all of the Rs. 271 crores is not lending, a disproportionate share of that is credit. But having said that, we do believe the take rate is kind of stabilized at the level that we currently see, which is operating maybe close to 4 to 4.5%. We are now starting to get some bit of collection incentives, because we started to scale up the business, materially around the same time last year, and that book has started to mature and we have started to get some collection incentive. Going forward, I don't think that the incentives or the take rates for credit are going to significantly improve, while we could see a swing of 25 to 50 basis points on quarter-to-quarter basis depending upon how the entire collection performance behaves.

Mr. Madhur Deora : Yeah, so Karan I am not sure if I fully followed the market share question. But it is the case that in UPI, we are stable or gaining market share. And with respect to other instruments as well. In many of those instruments, we have very, very large market share. I think the focus is how do we help merchants to accept payments in every way that it matters, and, when a merchant is accepting payments from customers, our technologies, our instruments, and our solution should try to add as much value in that process as possible. So whether the merchant is accepting payments, using a QR code or device, we should be there, whether the customer in that instance is paying using Paytm app or a third party app to that merchant, we should be there as well. And obviously, on our consumer app, we continue to see massive traction. So that's sort of our focus. If you look at the third party data on UPI P2M we are growing in share, which is our focus, like we did describe the entire pyramid was about P2M payments and on wallets and Paytm postpaid and so on, we continue to do very, very well.

Mr. Bhavesh Gupta: And Karan, if your specific question was hinting towards devices, I think the Soundbox while there is no public data available, but whatever is available, you can clearly see that we have disclosed that we are at 3 million plus Soundboxes and growing and hence, we do believe that market is disproportionately towards Paytm. On the card machine side, there is some public data available which suggests that on an incremental basis, we are taking a quarter of the market if not more, but there is no

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data available completely to suggest issuer by issuer devices on the card machine side, but I can just share with you an incremental basis, this is what is available.

Mr. Karan Danthi: Got it thank you, and I will squeeze in one more, is merchant retention improving?

Mr. Bhavesh Gupta: Merchant retention is definitely improving. So we look at the static cohorts of merchants. When we look at our base of the number of merchants that we have, 28 million, that number doesn't move by a few percent's every quarter. But we are seeing on a card machine side, merchant retention cohorts improving every quarter by about a percent. On Soundbox it's stable between 85% to 86%.

Mr. Karan Danthi: Thank you.

Moderator: Thank you. The next question is from Mr. Manish Adukia from Goldman Sachs.

Mr. Manish Adukia: Hi, good afternoon. Thank you so much for taking my questions. My first question is on the user growth - clearly, in the quarter, you've called out the MTU growth has been very strong. And it doesn't look like the RBI ban on Paytm Payments Bank in the month of March has had any impact on user growth. But when we look at the marketing spending, particularly cashback and incentives, that seems to have gone up sharply as a percentage of sales on a quarter-on-quarter basis. So are you having to drive MTU growth or having to spend more on cashbacks and incentives to drive user growth? Or is there some other dynamic at play here?

Mr. Madhur Deora: Yeah, so Manish those points are not quite related. Our marketing spends were

like I

mentioned earlier, purely seasonal, because we are, as you may know, one of the sponsors for IPL. And this year, we also had a longer IPL, as you know, so we have some spends related to that. Our cashback spends had partly to do with the comeback of our travel and entertainment ticketing businesses. So while those businesses are massively contribution profitable, there is a small amount of cash back associated with that revenue, because they're high margin businesses and you know, we can fund a little bit of

cashback and still make a lot of money on it. So those were the two primary drivers, we have not changed our CA Cs (customer acquisition costs), in the last three or four quarters. In fact, the team is focused on directionally moving it downwards. So, no we have not pushed harder just to try to hit an MTU number. We feel comfortable at certain CAC levels, and we look to continue to optimize that rather than sort of throw in additional CAC. We did not face any headwinds in consumer acquisition. But even if we had, we will not take that strategy.

Mr. Manish Adukia: Thank you so much Madhur. My second question is on the commerce and cloud business, of course, the commerce business has seen a pretty sharp growth quarter-on-quarter. But when I compare the growth to some of the other listed peers in the movie exhibition or travel space, looks like the growth was somewhat weaker than those peers and even in the cloud business, you did call out that consumer internet companies did spend less on advertisement, but the revenue is actually dipped quarter-on-quarter, despite potentially your credit card business, having scaled up or been scaling up quite well in the last few months. So, just trying to understand if you have any more color to add for this line of business?

Mr. Madhur Deora: Yeah, so commerce business is not entirely travel and entertainment. We do think we have very strong performance in travel and entertainment - in flights, buses, trains and movie ticketing. I know for a fact that we gained share pretty much across the board in the reopen, if you will. So I think

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we have done as well, if not better than in industry at an overall level. The Commerce services business also has deals and gift vouchers and a few other businesses, which may be sort of distorting your number a little bit. Those weren't as impacted in Q4 of last year, so maybe that's the like-for-like comparison, which might be different. Credit cards did grow. But it is a relatively small part of that overall Rs. 200 crores of revenue that we make per quarter, roughly Rs. 200 crores in the cloud business. I think advertising, like I said, was lower compared to the previous quarter, which was the primary reason for the decline.

Mr. Manish Adukia: Thank you so much. I just have a very quick follow up on one of the earlier questions on the payment processing costs. So now, when you think about the payment processing cost, of course, a component of that is also paid to Paytm Payments Bank. But as you also called out earlier that the savings is resulting from two or three different factors of which you know, just your negotiations with banks is one of them. So just trying to understand is the savings broadly spread out across different banks or could Paytm Payments Bank let's say be a disproportionate share of that or not really?

Mr. Madhur Deora: It is not a disproportionate share. So the savings is spread out across our bank partners. Because we take from Paytm Payments Bank, the Paytm wallet, primarily. There's also net banking, and from third parties, we take things like credit card, debit card, net banking, and so on. So, it is spread out quite well across the key payment acquirers and payment issuers in the country.

Mr. Manish Adukia: Thank you so much. And congrats again for a great set of numbers.

Moderator: Thank you. The next question will be from Mr. Rahul Jain from

from Dolat Capital.

Mr. Rahul Jain: Hi, am I audible?

Moderator: Yes.

Mr. Rahul Jain: First of all, congratulations on a very strong performance. Firstly, my question is, what could be the contribution from this introduction of platform fee on payments to consumers? I'm assuming this will be rolled out to all MTU over time? So can you give when we would see the ideal potential for this to play out?

Mr. Bhavesh Gupta : Rahul this is currently a very, very small percentage of revenue. Will we roll it out to the entire MTU? I can't comment on that at this stage in time. Wherever Paytm believes we're adding platform value to a use case, and we believe the customer would be willing to pay for the value that we bring on, we shall price it appropriately. So it's a process which we will see as we build more value on the platform and how much price the customer is ready to pay for the platform. But yes, over a period of next couple of quarters, we do believe platform revenue or platform fee could become a reasonable portion of the consumer fee that we generate for ourselves but not a very large fee. If you think if this could become a few Rs. 100 crores per quarter kind of a number, no that it won't be, it will still be relatively small.

Mr. Rahul Jain: Got it. Secondly, there was this comment that in the EMI servicing and collection fee business, we do it even for the people who we are not distributing loans for so are these loans for the same NBFC partner but not distributed by us all these are also done by NBFCs for whom we don't distribute at all.

Mr. Bhavesh Gupta: Rahul, it's both. The NBFCs that we work with currently, surely understand that our ability to collect on the portfolio that we originate is very good and hence they offer their portfolio also

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on a case to case basis. But we also have independent players who leverage our platform for various elements of EMI servicing and collection for which we charge them a fee and that is a part of the collection that we will be generating today and that number is currently small. But we obviously believe that number can become material over a period of time.

Mr. Rahul Jain: And what could be the ideal channel for this - is it mostly outside the app or how are we efficient here.

Mr. Bhavesh Gupta: Rahul, this is actually completely on the app - our ability to have customer insight,

and overlay the customer insight for a lending partner for them to reach more intelligently and more contextually to their borrowers through the Paytm app is a value that we provide and overlaid on top of it through every other technology set, including multilingual bot calling, progressive dialers, etc. that we've built for our own collection stack, which we offer to these customers. We don't go out looking for doing collections for customers, either in the harder buckets and/or for customers outside of Paytm app. Our entire pivoting point is to leverage the customer insights that we have on Paytm app and a technology stack that we build for our lending business.

Mr. Rahul Jain: Got it, got it just last one, if I can squeeze in, in this particular quarter, we see significant improvement in profitability, despite the miss on the UPI incentive plus there was a wage hike and, there was this marketing spend which also bumped up in this quarter. So is it safe to assume if we maintain the kinds of growth traction we have, we would see similar or even superior improvement in EBITDA in the subsequent quarter.

Mr. Madhur Deora: Rahul, I don't want to specifically talk about next quarter yet, time will come to talk about that. But I can say that I think that the business has significant tailwinds with respect to not just growth and revenue, but also in terms of profitability. So we are seeing for some of the reasons that you mentioned, despite being fully invested in areas that matter, we have been able to achieve this EBITDA performance and that is what we will continue to try.

Mr. Rahul Jain: Yeah, and just one clarification on this Rs. 29 crore impact that we talked about in payment services to merchants. If this fully baked in in the quarter or there was an exit impact, which we feel in the coming quarters?

Mr. Madhur Deora: That's a good question. It is more or less a run rate impact. Not every single rationalization happened on April 1, as you can imagine, but it is more or less a full proper impact.

Mr. Madhur Deora: Rahul did that answer your question?

Mr. Rahul Jain: Sorry I missed the last 20 seconds. You said everything didn't happen on 1st April?

Mr. Madhur Deora: I said it's more or less a full quarter impact.

Mr. Rahul Jain: Sure, sure. Thank you so much. That's it from my side.

Moderator: The next question is from Mr. Saurabh Kumar from JPMorgan.

Mr. Saurabh Kumar: So the first question, you know, is on financial services, so Bhavesh can you quantify what incentive income - percentage of the loans we would have indicated last year, what percentage of that loan have you started receiving as an incentive income in this quarter? And the second piece is you

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know, can you also talk about what are the volumes you're indicating in the credit card business and have you launched the EMI?

Mr. Bhavesh Gupta: Have we launched the EMI business, Saurabh you asked right?

Mr. Saurabh Kumar: Yeah.

Mr. Bhavesh Gupta: Let me start with a third question, we have an EMI business, which is on Paytm Postpaid. But if your question is that are we doing EMI, like some of our contemporaries do in the market as young personal credit card use etc. that product is currently in the bill, we hope to launch sometime in this fiscal. So we haven't launched it in full scale at this point in time. To your question before this on credit cards, we have not disclosed credit card numbers, but I can confidently tell you that this business is performing better than we expected, especially on the back of the recent partnership that we did with India's largest card issuer and we are seeing massive momentum, both on the new card issuance that we're doing, the spend per active card, and the activation by itself on the overall issued portfolio. So we're very bullish on that business, that that business will start adding material revenue, and overall EBITDA profitability to our cloud business on a quarter on quarter basis. To your first question on the incentives on the collection portfolio, so we don't necessarily calculate the incentive on the last year's book - what have we gotten and what have we not. But broadly, I can suggest to you is that what we see it as is, let's say the last year book that we generated for personal loans or merchant loans, what was the loss expectation the lenders had, and what is the actual loss on static pool basis that we brought for them this time, so that the difference is our incentive. That number is better than we expected and if you're looking for a range, that number is between 100 basis points to 200 basis points of the disbursed value of last year on these two products.

Mr. Saurabh Kumar: Okay, that's very clear. The second, you know, on the contribution margin so if you do some incremental contribution analysis, the incremental contributions seems to be around 50%, so will it be fair to say Madhur that as the year progresses, your revenue grows, there is upside to this margin or are you guys happy at this 40 to 44% level because this was around the long term levels, you had indicated at the time of IPO

Mr. Madhur Deora: There are opportunities for us to improve this particularly because of the mix even if net payment margins do not continue to improve from there - there are opportunities there as well but even if you said net payment margins stay roughly at this level, can we improve contribution margin further? Yes, there are levers for us to do

that, particularly the growth of financial services being the most obvious one, which is higher margin; commerce business continuing to grow, as well as recovery in advertising business. So if we're able to do any or all of those three, we should see those opportunities

of potentially improving contribution margin. Perhaps not as sharply as we have over the last two, two and a half years. But could there be sort of gradual incremental improvements? Yes. We will very much drive towards that.

Mr. Saurabh Kumar: Okay, and just one last question on your staff costs - from here on we should expect more moderation, like you know, indirect expenses, especially the staff cost, because I'm guessing most of the hiring would have rolled out and wage hikes would have been rolled out.

Mr. Madhur Deora: We did say last quarter that we don't expect significant headcount increases, I will say that, given how well the Soundbox business is performing or the devices business overall I should say

17 is performing, if you know, if Bhavesh and the payments team wanted to do more in that area and that meant that we had to, you know, do a 5 or 10 or 15% increase in the sales team, as long as we are performing really well as a company and as long as you know, Soundbox is as powerful product as it is right now in terms of engagement and retention rates and so on, we would continue to invest. So, our objective is to be profitable, and be profitable at scale. So we are going to drive scale and investments and these things sort of interplay with each other. So if our revenue and contribution margins are doing really well, then we are going to continue to invest in areas where we are seeing that strong performance.

Mr. Saurabh Kumar: Thank you.

Moderator: The next question will be from Mr. Manish Shukla from Axis Capital.

Mr. Manish Shukla: Good evening, and thank you for the opportunity. First question Bhavesh what percentage of revenue from financial services will be credit?

Mr. Bhavesh Gupta: We don't necessarily disclose that number but you can say that it is disproportionately large.

Mr. Madhur Deora: Manish, it hovers between 70 and 80%.

Mr. Vijay Shekhar Sharma: Actually Manish if you notice, in my presentation I called out that our business is to use payment as a method to acquire customers and drive credit disbursement. So if you notice, we are actively pursuing credit as a primary financial service.

Mr. Manish Shukla: Sure, thanks and the point where I was coming from is, as you said, you're analyzing Rs. 24,000 crore kind of disbursement number over the next three years, it could scale up to may be more than 40 or 45,000 crores. How do the financial services take rate shift as you disperse more and more, right? How does that move?

Mr. Bhavesh Gupta: Manish our business is fairly simple, we get an upfront revenue, which is I would say it's 70 to 80% of the take rate that we so desire for our product. So that doesn't shift at all, because the scale is not coming on the back of us expanding to profitable cohorts, it is coming on the back of the fact that we have such a large MTU. And it is needless to say that in spite of us delivering what we've delivered, Postpaid is 4% percent penetration of MTU. So there are still 96% of the customers who haven't yet been touched on Postpaid and this number on personal loans and merchant loans is less than 4%. So there's a massive road ahead for us. So we don't have to deviate from earning upfront incentives. The other piece is collection, which is contingent on portfolio performance, that could swing 50 basis points here and there. So we don't see any material impact on the take rate that we're seeing today. My personal view is that it will only improve and not go down from where it stands today, just because our collection incentives will kick in on the back of very large business that we're doing this year into the

next year.

Mr. Manish Shukla: Sure and as you scale this business up, do you see the necessity to increase the lending partnerships, or do you think your existing partners have enough appetite, to disburse the kind of run rate which you can potentially do?

Mr. Bhavesh Gupta: So we have five lenders and three credit card issuers currently in our portfolio of companies, all of them are triple A rated. They have a lot of balance sheet size and appetite to do so. But having said that, our belief is that we will continue to expand by adding more partners and you can look forward to seeing some announcements in this regard in this quarter and the next quarter.

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Mr. Manish Shukla: Sure are you in a position to quantify the UPI P2M reimbursement that you got for FY22?

Mr. Bhavesh Gupta: The percentage number is anyways available publicly on how much the Government announced. And as Vijay said, it is available as a MeitY release. The number for this year hasn't been announced, but the last year number is available publicly

Moderator : A quick time check that we'll have time only for two more questions. The next question is from Mr. Kunal Shah from ICICI.

Mr. Kunal Shah: Firstly, in terms of this entire negotiations with banks, as well as account rationalization with certain online merchants, so are we largely done through this or it is maybe an ongoing exercise, and we should see the benefit flowing through - so where would we be in terms of the journey with respect to the benefits that can kick in from here.

Mr. Madhur Deora: Kunal, it is an ongoing exercise. We didn't have a one off this quarter, we had particular success in changing the rates with certain banks, if you will. So you shouldn't expect that we'll be able to continuously drop the amount of payment processing costs that we have, like this quarter we had a drop in absolute terms by Rs. 80 crores. So that shouldn't be the expectation. But the way I'd say it is that the net payment margins uplift that we have seen, we should be able to continue to maintain that.

It is an ongoing thing, because there's a banking alliance team within Paytm, who constantly talks to banks about how we can work together and what win-win partnerships we can create and as a result we continuously get better and better rates.

Mr. Kunal Shah: Sure, and besides that also when we look at payment services to merchants, in fact, past three quarters even if we are to add Rs. 29 odd crores, in fact it's been a pretty steady, it's not going up as much as consumer services payment, which revenues are still up, but this line segment is actually not improving a lot on a quarter on quarter basis. So maybe when we look at it in terms of the rollout of the devices, that's good, but the lower revenues that would be kicking in from there. So when should we see the momentum coming back with respect to this particular line item?

Mr. Bhavesh Gupta: Yeah, I would just slightly disagree with that, Kunal. Because, if you look at where we were, for example, in Q2, the September 2021 quarter, this business had Rs. 400 crores of revenue. Currently, we have Rs. 557 crores of revenue. So there's clearly been a significant change from September 21 to June 22. Perhaps what you're referring to is that in the December quarter, we were already at Rs. 580 odd crores, but that was a seasonally strong quarter, as we all know in festive season you get huge amounts of online and offline demand coming through. March quarter weaned that off, because March quarter is obviously not festive and then this quarter, we had the account rationalization and no UPI incentive. But if you just look at it over a slightly longer period of time and I'm taking September 2021 quarter, perhaps as a base which is the pre-festive quarter, there has been a call it, 40% increase in a three quarter period, which we think is very substantial

Mr. Kunal Shah: Sure. As th

e base sets, in maybe December, just looking at the volumes which we are still doing, maybe because of the lower take rates, lower MDRs or maybe the lower subscription fee, would we see maybe the growth not significantly higher in Q3? So I agree what you're talking about from September to June, that's an improvement, but as the base sets and even though volumes are there, are we sacrificing a bit in terms of the revenue?

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Mr. Madhur Deora: There are a couple of things there - one is we are seeing growth in GMV and underlying revenue base in this business. If we were to compare normalized, let's say Q3 versus Q3, I think we will see significant improvement just given the GMV and underlying revenue trends that we have in the business. So we will see significant growth. Like I mentioned, the one thing which is different starting this quarter is that we have done that account level rationalization. So that amount of revenue you probably need to take out of this. But other than that we are seeing strong tailwinds in both online and offline business.

Mr. Kunal Shah: Sure, sure, okay. Thanks and all the best to you.

Mr. Madhur Deora: Thank you Kunal.

Moderator: Thank you Kunal and now the last question of the session is from Mr. Piran Engineer from CLSA.

Mr. Piran Engineer: Hi, guys - congrats on the quarter. Just wanted to harp a bit more on processing charges so that I get this pretty clear, would you be able to disclose how much of that is paid to Paytm Payments Bank?

Mr. Madhur Deora: I think that is publicly disclosed and we will perhaps point you to that. But effectively, we pay to Paytm Payments Bank for wallet and that banking alone and we pay to all other banks for credit card including for adding money to Paytm wallet.

Mr. Piran Engineer: No, no, I meant the quantum - what percentage of your Rs. 700 Crore quarterly charge would be to them?

Mr. Madhur Deora: I don't have that handy, Piran - if we have publicly disclosed it then we will point you to that separately. If we haven't publicly disclosed it, then I wouldn't be able to do that.

Mr. Vijay Shekhar Sharma: If you calculate it here, Paytm Payments Bank offers their customers wallet and net banking for which we have given and if you notice these prices and revenues could be somewhere in the related party disclosures, if not specifically specified but overall. If you notice the total customer base that we would take payments processing for our merchants for, Paytm Payments Bank does not constitute a substantial number across the total number of customers. So it's a customer ratio, if you will, that should be replicated.

Mr. Piran Engineer: Okay, that makes sense. I get your point that we've negotiated with banks and you've done so on account rationalization, but it's the first time we're seeing like a 6-7 basis points reduction in payment processing charges. So at 23 bps, do you think it is sustainable? I know you don't look at it as bps of GMV but still if I were to nudge you towards that, would 23 bps or so be sustainable.

Mr. Vijay Shekhar Sharma: More and more payment is going to come from UPI and UPI MDR rates are publicly announced and I could show you that on the MeitY website, where UPI MDR rate that Government is going to give is there, you can expect that to be 50, 60, 70% over the period. So looking at our business model with bps is not accurate and that is why one of the important factors that I took time to explain was how merchants make revenue for us. But merchants don't make revenue only on MDR which is a western way of looking at the business of payments. If you look at Stripe, Adyen or some of those companies, you actually will look at total GMV and percentage of take rate, because that's the business driven primarily with that. In India, because we all are in a market where we need to expand

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and we as Paytm, and Government and Regulator, all of us champion t

he disbursement of payment or

distribution of payment to far and wide. We all have clearly found out our India model where instead of GMV, and bps, it is about the kind of extra services - including subscription services, instead of just MDR platform charges etc. that we levy. So I would say that model is extremely western, not practically long term applicable in India, as based on the business that we're seeing. What we can say is that our overall payments revenue and contribution instead of payment GMV and take rate, is what you should look at. To be honest about it, we wanted to specify that the UPI GMV and non-UPI GMV, these are good metrics of how consumers are behaving. As far as business is concerned, it is more about what payment revenue you made and if you notice, like I remind you again, in the slide I said this is how we make payments revenue and what is the contribution margin on that. That's the better way because GMV base growth will be dramatically higher than the bps that are chargeable because the Government of India when it is paying, it's not going to pay 23 bps.

Mr. Piran Engineer: I get that .

Mr. Madhur Deora: I obviously agree with everything that Vijay said. But I think on your question of 23 bps and so on, what I would say is that there are no one offs in there. So you should not feel like hey, that 30 bps dropped down now at 23 basis points because of something that happened only in this quarter, and will not happen in the future. There is no such thing. These are structural opportunities that we saw to go and reduce some of our processing costs and obviously we took those opportunities and going forward, this number, which is purely an output number, and not something that we focus on controlling or optimizing, will depend on payment instruments. So if I could do tons of more credit card business, and even if it costs me more in terms of payment processing costs, but makes me that margin, I'll do it. If I could do tons of UPI business where I would get some money from the Government and it won't cost me anything other than payment gateway cost, I would do that as well. So as a result, we don't go out and try to drive a specific instrument mix. What we try to do is try to offer all types of payment solutions to our consumers and merchants and then they decide and then we choose to do business which is profitable.

Mr. Piran Engineer: What I'm trying to really think is that if you all have negotiated say 3, 4 bps lower with banks, what are the margins that banks make that they can afford to give you 3 -4 bps?

Mr. Bhavesh Gupta: Let me answer that question to you differently. See, what is happening at a systemic level is that the networks which drive credit card usage - so the charge is credit card predominantly, everything else, as you can imagine, is either free or fixed. Systemically, two things have started to happen over the last quarter, and this quarter it was more amplified, that even the networks, be it Visa or MasterCard, are generating more schemes for issuers to charge lower interchange. So if there was a merchant category code, which was operating at 1.25, 1.50 - they've introduced schemes in which they're saying we would like smaller merchants to accept credit cards, we would like them to be given an interchange which is much much lower and automatically the rate drops. So they're also trying to fight this particular battle, which is moving to more low charge instruments and protecting their instrument and hence the overall systemic charge is coming down. It's just not about our negotiation, it is also the instrument charges per se by networks which are also coming down.

Mr. Piran Engineer: Okay, got it.

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Mr. Bhavesh Gupta: Hence there is enough profit pool on volume, which is available and Paytm arguably being the largest credit card processor in the country between online -offline and on -app payments is able

to command that negotiated price, better MCC price and overall incentives leading to this reduction that you're seeing, which will be sequentially reduced over a period of time - is what Madhur is trying to say.

Mr. Piran Engineer: Okay, okay, if I swipe my credit card and pay on Google and you allow the payment gateway, the interchange that you pay to the credit card issuer is also part of this payment processing costs.

Mr. Bhavesh Gupta: Yeah, we are paying MDR because it depends upon if I'm the acquirer or and the issuer. But the overall cost of the card processing itself is going down for many, many use cases, like utilities, like small merchants, etc. The overall processing costs are going down by the network. So as a percentage, if I was paying earlier 1.75% MDR, that itself has come down to let's say 1%. So on a percentage basis, it is looking much, much lower.

Mr. Madhur Deora: So Piran what you said, is exactly right. For example, we have a price with Uber, and then we negotiate price with banks, but that rate, that price that we negotiate with banks is called MDR, and not interchange.

Mr. Piran Engineer: Okay, that makes sense. Bhavesh just a clarification from what you said earlier, these discounted rates on Soundboxes, given that your competitors have launched it at cheap prices, and you will also have to sort of be somewhat in line with the market - this will only be for incremental merchants or these 3 million merchants who have been already given Soundboxes and they were charged Rs. 125 earlier, maybe you reduced it to 50 or 75 to be competitive. How should we think about, incremental merchants being given discounted rates versus existing merchants also being given discounted rates?

Mr. Bhavesh Gupta: See Piran, I just want to clarify that that's a part of our sales strategy and I do not want to talk more about it. But I can tell you that if 100 merchants are there in a portfolio, this cohort of

merchants who may not end up paying me a rental, will be a very, very small percentage of customers and linked to certain other behavior plus linked to their potential to take much in credit. So it's a very thought-through strategy not linked to what the market is doing today, but we continue to do. This time we have obviously gone and advertised so it is obviously the public domain, but it does not change materially our rent per device that we are generating on a Soundbox today or in the future.

Mr. Piran Engineer: Got it, got it. Okay, that answers my question. Thank you. All the best. Thank you.

Moderator: Thank you. With that, we come to the end of the Q&A session. The presentation discussed by the management today, a recording of this call and the transcript will be made available on the company website. For some of the questions we couldn't take and for any follow up queries, please email those to the company at ir@paytm.com.

Mr. Madhur Deora: On behalf of the management team, I want to thank everyone for all your time and attention and engagement. We really appreciate it.

Call: Dec 2022

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November 11, 2022

BSE Limited

Department of Corporate Services,

Phiroze Jeejeebhoy Towers,

Dalal Street, Fort,

Mumbai - 400 001

Scrip Code : 543396 National Stock Exchange of India Limited

The Listing Department,

Exchange Plaza,

Bandra Kurla Complex,

Mumbai - 400 051

Symbol : PAYTM

Sub. : Transcript of the Earnings Conference Call dated November 8, 2022

Dear Sir / Ma'am,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the copy of transcript of the earnings conference call, conducted on November 8, 2022 on the financial results of the Company for the quarter and half -year ended September 30, 2022 .

The said transcript is also available on the website of the Company at [https://ir.paytm.com/financial - results](https://ir.paytm.com/financial-results) .

Kindly take the same on record.

Thanking you,

Yours Sincerely,

For One 97 Communications Limited

Amit Khara

Company Secretary & Compliance Officer

Encl. as Above

Paytm | Quarter Ended September 30, 2022 Results | Earnings Call

Date: November 08, 2022 | Time: 6 PM Indian

Standard Time

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Moderator: Thank you for joining and a warm welcome to Paytm's earnings call to discuss its financial results for the quarter and half year ended September 30th, 2022. From Paytm's management team, we are today joined by Mr. Vijay Shekhar Sharma, Founder and CEO, Mr. Madhur Deora, President and Group CFO, Mr. Bhavesh Gupta, CEO Lending and Head of Payments, and Mr. Anuj Mittal, Vice President, Investor Relations. Before we start, a few standard announcements. This earnings call is meant for existing shareholders of Paytm, for potential investors and research analysts to discuss the company's financial results. This call is not for media personnel. If any media representatives are attending this call, request you to kindly drop off the call at this point. The information to be presented and discussed on this call should not be recorded, reproduced, or distributed in any manner. Some statements made on this earnings call may include forward-looking statements. Actual events may differ materially from those anticipated in such forward-looking statements. Finally, this earnings call is scheduled for 75 minutes. I'll have a presentation by the management followed by Q&A. Kindly utilize the Raise Hand feature of your Zoom dashboard if you're seeking to ask a question. We will unmute your line in the respective sequence and within the scheduled and permitted time. Please ensure your name is visible as first name, last name, followed by your company name at all times for us to identify you. The presentation, a replay of this earnings call and a transcript will be made available online subsequently. With this, I would like to request Mr. Vijay Shekhar Sharma to kindly initiate this earnings call.

Vijay Shekhar Sharma: Thank you and hello everyone. Good evening, good morning. I'm very happy to welcome you all for our earnings presentation for our quarter ending September, 2022. As you may have seen, we've had a good quarter as teams have performed very, very well on focusing our commitment to target EBITDA break even by the second quarter of next year, before ESOP cost, as you know. I will give you a little bit of a summary of the business model once again - we acquire customers, and we had 80 million transacting customers, and these customers in turn bring us merchants and we have 30 million merchants who in turn work and give commerce services to consumers. This makes our core business model to acquire customers on payments. And in turn, because this gives us insight, ability to distribute and a great brand name, we work with our lenders to distribute credit. So as you may be aware, over the period of time in the last four quarters, we have trimmed, since the IPO, a tremendous amount of businesses and focused on key business areas and pruned many business line items and made it very clean and clear that we acquire customers for payments and distribute loans from our credit partners. In fact, our payments business is based on our merchants' side business model, where we deploy QR codes and USSD boxes or give them various devices for enterprise payments. We have expanded our offering to online and offline channel merchants, which is an approach that the market is taking shape towards. I believe the payments business will become more and more omnichannel where online companies are going to be significantly offline, and offline companies are going to be online. Case in point, Flipkart, with whom we work, has lots of online business. We also help them take offline payments because there is a lot of cash on delivery out there. So this is something we keep an attention to and then merchants use our platform, which we call consumer payments to collect payments so technically online merchants use our app to collect payments. If you notice our payment business, which is our core business, is a model where we have added subscription and UPIMDR, which we don't account for yet in our business model till the time the government gives it, so subscription and merchant MDR revenues mostly, and a little bit of platform fee. So these revenues right now that we're seeing on the right side are inclusive of MDR, subscription and select Customers' platform fee only. We will book UPISubvention revenue only in the quarter that we get the money from the government. So these are the revenue line items that we ended up making for payment and enabling commerce and cloud service which also grew very healthily year-on-year. And as you can see, this is a business that is 55% up year-on-year, Rs. 1,550 crores. We believe the payment stack is a stack where we help merchants take payments in different avatars, locations, occasions and opportunities and enable them for commerce. This stack makes for

scalable, large, growing and profitable business model for payment and enabling cloud and commerce business.

Credit business, as you are aware, is founded on our abilities of digital lending, sourcing and cross-selling partnership with our lending partners and, over the period, helping them collect the loans. This makes this business model, as I call it, typically a funds management model where we get a fixed fee as well as a portfolio performance or carry, if you will. So you can imagine that this business model has an inherent compounding because when we disburse the loan, we get a certain percentage, but our ability of collecting, enables us to get sort of a portfolio performance bonus on that. An important thing to notice is that in the last quarter, RBI came out with clarification around digital lending, so sourcing and EMI servicing collection opportunity, and Paytm's business model is clearly following the suggested guidelines. So we are very happy to tell you that we have been able to include every delta incremental, whether small or large, in the business model and the business model is very much aligned with how the regulator sees it. We continue to believe that this loan disbursement and collection business for India will play an important role in democratizing credit. If you remember, at one point in time, RBI leveraged public sector banks, then created private sector banks, then created NBFCs. Through this, different buckets of credit requirements were satisfied. Today, digital lenders, lending service providers or LSPs as RBI call them, is what Paytm is here for - and it will generate and create new opportunities for disbursing digital credit. As you are aware, our digital disbursements are typically small ticket loans and we internally call these two businesses as 2L akhrupee and two year tenure kind of loans where averages are 1 lakh plus one year and 150,000 plus one year and this is what the typical

cketsizeremainstobeinpersonalloansandmerchantloans.AndforPaytmPostpaid,whichiswherestorecustomersgetanoverdraftlimitfromthelendertospend, it is typically now around Rs 4,500.

Thegoodpartinmyopinionisthatwhiletheseproductshavebeenseenincredibleyear-on-yeargrowth,theyremainaverysmallfractionofourcustomerbase,whoareavailingatallthreeservicesforusandthereisanincredibleamountofheadroomforourdisbursementtopportunityquarter-on-quarterandwecontinuetoseeconfirmationfromRBIthatthisbusinessmodelandthisworkflow,whichshowstheregulatorexpectsit,hasnowopeneddoorsformanymorelendersandmanymorepartnerstocontinuetojoinusandexpandthisbusiness.IwouldnowcalluponmycolleagueMadhurtoexpandand give you a summary of overall business and the numbers. Madhur?

MadhurDeora: ThanksVijay.Welcomeeveryonetooourarningscall.I'mveryproudtoreportthatwehadaverystrongquarter.Ourrevenuegrowthasyou'vejustseenfromourearningsrelease,was76%year-on-year.AndourEBITDAbeforeESOPcostimprovedby61%year-on-year.JusttogetintothatrevenuefromoperationswasRs.1,914crores,sojustunderabilliondollarrunrate.Ourcontributionprofitcontinuestoimprove.It's44%ofrevenue.Ayearagothisnumberwasat24%ofrevenue,soasignificantstepchangeoverthelast12months,andevenonaquarter-on-quarterbasis,wehavehadalightimprovementandwe'recurrentlydoingRs.843croresofcontributionprofit.OurEBITDAbeforeESOPcostisreallystartingtoseeoperatingleveragecomethrough,soRs.166crores,lessthan10%ofrevenueasallostandthereisnearlyRs.260croresimprovementfromayearagoatoverahundredcroreimprovementfromlastquarter.Sobyallmeasures,significantimprovementinEBITDAperformanceforthelasttwoquartersinarow.Operatinghighlights,Vijayalreadytalkedabout,valueofloansdisbursedaboutRs7,300croresupnearlysixtimesandevenonaquarter-on-quarterbasiscontinuestogrowataveryfastpace.Andmerchantsubscription,whichisourpaymentdevices,primarilyat4.8milliondevices,3.5millionaddedinthelast12months,andobviously faster right now.

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BhaveshGupta: ThankyouMadhur.Higoodeveningeveryone,goodmorning.Ourlendingbusinesscontinuestoshowgoodresults.Asyoucanseethatweendedourrevenuefromfinancialservices,thepredominantpartofthefinancialservicesrevenueiscomingfromlendingwhi

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egreat penetration to merchants, and I'm very happy to inform you that we have now added 15 million merchantsto accept Paytm Postpaid between offline and online. This is arguably the largest acceptance of any credit instrument across any funding sources in industry. And we do see a very large amount of merchants, both online and offline, coming towards getting to this 15 million addition and we hope to see this number continue towards the trajectory of 20 million and beyond in the next couple of quarters. On the fact that Postpaid is just still 4% of our MTU, that's the headroom that we see and we do see new acquisition happening continuously in a manner that we were seeing, let's say two quarters back. So there is no letdown of new customers getting on boarded on Paytm Postpaid and hence it gives us tremendous confidence that this growth of Paytm Postpaid will be as robust as we've seen in the previous quarters.

Coming to personal loans, I think personal loans have been growing very, very nicely on a small base but if I look at June 2022 and September 2022 from there also, it has almost doubled. There are two reasons behind this massive growth of personal loans. One, as the Paytm Postpaid business matures we are finding that our lenders are getting very comfortable seeing the mature book of the Paytm Postpaid business and offering them personal loans. So almost half of our personal loans have been disbursed to customers who have an existing Paytm Postpaid loan with one of our lending partners so the journey and the entire customer appreciation of the product is extremely simple, and that's giving us a good growth trajectory and that is continuing because Paytm Postpaid is continuing. We will continue to see PL also continue off the back of Paytm Postpaid. The remaining 50% is the customers who are directly coming and applying for PL on a platform and we also see that trend actually being a nice trend because these are consumers who are looking for a bit of a high ticket size amount, and they're seeking for something which is instant. And as you understand that 24x7, 365 days is the positioning of Paytm PL and that is giving us a good headroom and head start. We again don't see any issue with the TAM. Personal loans are less than 1% of our MTU and there is a fairly decent amount of headroom ahead for us while we are now almost averaging Rs. 900 crores plus per month on PL and we are clearly seeing good traction moving ahead for ourselves.

On merchant loans, there was a bit of a concern two quarters back when we were in COVID, how would merchants grow, etcetera. I think that's behind us now. The quarter behind June saw the first focus from our perspective, and lender's perspective in getting the risk capital back on merchant loans and this quarter was absolutely bang on. We saw great momentum, great acceptance from merchants in seeking our merchant credit on the back of great device growth that you've seen almost a million devices a quarter. This number is actually getting good traction and I can very clearly see that in the coming quarters merchant loans will continue to see great momentum on the back of our device story. So all in all, overall disbursement business and even the collection performance that we will talk about in the further slides has been showing great momentum and we don't see this momentum getting slowed down. We do see calibration happen by our lending partners which is initiated by ourselves because we do understand that quality of portfolio for lending partners is a more important obligation than just getting the

ebusiness. As a result of that, every month by design we work with our partner to take out the last cohort, 5% cohort in our businesses and make sure that that cohort is not getting renewals for the next months so that the portfolio quality is maintained the way it should be maintained so all loan is good story for us on the lending side.

This is the portfolio slide. This is a purely indicative slide as we always mentioned from a lending perspective for accumulation of all lending partners. As we are the collection outsourcing partners for our lender this is an indication. There has been no change that we've seen over the last two quarters in this business. The bounce rates, the recovery rates in bucket one, the resolution rates on gross credit losses and the expected credit loss continue to be the way the lenders are expecting. I can also confirm while the ECL numbers called out, are the number that we've written, the actual credit loss performance is better than these numbers, but we continue to maintain a conservative stand and so do our lending partners in making sure that they are providing enough for the credit losses, looking at the macro headwinds or otherwise and hence the risk appetite and the risk portfolio is being built on this piece. So even on the portfolio we are seeing very good signals and we haven't seen any kind of macro headwind that could impact the portfolio and that is giving strength to our lending partners and new lenders who come on board and expand this entire business portfolio with Paytm.

Madhur Deora: Thank you Bhavesh. Just the last couple of slides, we want to cover commerce and cloud revenue. Our commerce business is up about 50% year-on-year. The travel merchants continue to do well. Our entertainment merchants typically have a seasonally weak quarter in Q2 both on movies and event sides so that had some impact on our quarter-on-quarter performance. Cloud business, on the other hand, continues to do very well, 58% improvement year-on-year to Rs. 252 crores. We have started to see some early signs of recovery in advertising revenue. We did mention in the last quarter that there was a meaningful amount of pullback. So just towards the end of Q2 we started to see some recovery, but obviously it's too early to tell whether that'll continue for the next several quarters. On the other hand, we do see growth in our credit card distribution as well as on our PAI cloud revenue, so those businesses are doing well. And finally, we just want to summarize and leave this with you, our improvement in EBITDA before ESOP costs is continuing while continuing investments and scale and growth. So what we focus on is three main levers, one is platform expansion so that we have high monetization capacity down the road, our monetization engines working, which is revenue growth across all businesses, and finally on profitability, improving our unit economics while generating operating leverage as we continue to invest in our business and that is giving us improvement in EBITDA before ESOP cost. So that's all I had and I'll hand it back to the moderator who can help us with Q&A.

Moderator: Thank you Madhur. We will now proceed to Q&A. A reminder to utilize the Raise Hand feature on your Zoom dashboard if you seek to ask a question. We will unmute your line in the respective sequence. I request everyone to please have their company name next to their names. We do have a few common names so it will help us identify the right person. We'll just give a minute for the queue to settle in. We'll take the first question from Mr. Vijit Jain from Citi.

Vijit Jain: Hi thanks. I have a couple of questions. One on the personal loans side Q-o-Q has the growth come from outside of the Postpaid base of customers? I ask that because I recall last quarter the share of Postpaid customers was 50%. This quarter it's 40%. I'm just wondering if there's greater growth from outside that base, that's one and I'll just come back with the next question.

Bhavesh Gupta: Sure thank you Vijit for the question. So your observation is right. Actually it is because we have grown much, much larger than the previous quarter. The percentage will look like that 40% has come from Postpaid, but there's no material change. One definite material change

which has happened is that as the personal loan book has started to mature more and I mentioned about this last quarter also, earlier broadly we were doing about 10% to existing personal loan customers when they close their loan a new loan by the lenders, that percentage has now started to inch more towards 15-17%. And the ticket size is a bit larger so hence the value of loans coming from existing personal loan customers has increased, but

he Postpaid number of loan penetration to overall PL has remained the same. So it's more of a mathematical outcome, but no material change in terms of the customer adoption of the product.

Vidit Jain: Got it. Thanks Bhavesh. My next question is in terms of overall lending partners. Is that number at 8 right now, same as last quarter and could you share what percentage of loans disbursed is disbursed by the partner with the highest share among those 8?

Bhavesh Gupta: Yeah, so the number is actually nine. We've got three card partners and we have got I think about five or six lending partners. We don't actually disclose the share that we do, but I can definitely mention to you that we have partners across this category who do personal loans, Postpaid and merchant credit so there is no one partner who's taking the lion's share of this business. There is a material distribution basis the lender's appetite on how much business they want to take, but currently it is reasonably well distributed among the partners that we have. And to your other question, we had announced publicly that we've added one more lender which is Piramal Enterprises. Hopefully we will take them live some time in quarter 4 and we have a decent pipeline of new lending partners that intend to get on board to leverage the Paytm ecosystem and the platform for credit and we obviously welcome all the new partners coming on board and we will be adding them in the course of time.

Vijit Jain: Great. Thank you Bhavesh. Those were all the questions. I'll jump back into the queue.

Moderator: Thank you Vijit. The next question we'll take from is Mr. Saurabh Kumar from JPMorgan. Saurabh, your line is unmuted.

Saurabh Kumar: Yeah. Hi, I'm Audible?

Moderator: Yeah, you are.

Saurabh Kumar: Okay, just three questions from my side. One is the indirect cost reduction which we've had, or at least, I mean, the cost control we have. How should we think about the indirect cost growth from here on? The second is, if we look at the EBITDA trend, it's very clear that you could turn positive or EBITDA neutral by at least maybe the March quarters so will that be a fair assumption to be making? And lastly, on the credit card business could you just comment on what's the card sourcing velocity at this point of time and how should we think about it? Thank you.

Madhur Deora: Thanks Saurabh. Maybe I'll take the first two and Bhavesh will take the third question. Soon our indirect expenses and EBITDA, maybe I'll take it together, so we have given EBITDA guidance for breakeven which is September 2023 quarter. Compared to the time when we gave that guidance, we are ahead of our plans, but we would like to maintain our September 2023 guidance for EBITDA breakeven. On indirect expenses in particular, obviously your focus is to make sure we reduce our EBITDA losses as per the guidance that we have given, but when we do see opportunities, and we do see many opportunities to invest in our business for short and medium term growth we do take those opportunities. While our last quarter number was relatively flat on indirect expenses, you would've seen that on a year-on-year basis, we've actually increased our indirect expenses by 47%. So we do continue to make investments in our business and we have the sort of luxury of being able to do that because our revenue and contribution margin are performing really, really well. So we can achieve both objectives of reducing our EBITDA while continuing to invest in indirect expenses where we see high ROI. Bhavesh you want to take the question?

Bhavesh Gupta: Yeah, sure. Yeah Hi Saurabh. So Saurabh on the Cards business we are very excited in building the cards business. It's a very nascent business that we started about 18 months back. We are very privileged to have two of India's largest issuers as our partners, HDFC Bank and SBICards, and hence our portfolio of cards business has shown robust growth. While we've not declared actual numbers, but I can only suggest to you that at this point in time that business is operating much beyond our expectations in terms of customer adoption coming on the back of the fact that the customer value proposition, which is powered by our issuing partners and obviously powered by Paytm platform usage is really getting us good customer quality which our issuers are very happy with, and we are seeing very high scale of the card business. What we believe is our aspiration to build at least a million cards a year on the issuing side, maybe over the next 12 to 18 months continue to remain as strong as ever. And we would be guided by that as we build this cards business and hopefully in the future as we feel that is now a material side of our business, we would like

to disclose more details about it.

Saurabh Kumar: Oh, so thank you. So just 1 million cards in 12 months is that right?

Bhavesh Gupta: No, I'm saying we continue to aspire to build a million cards originating over the next 12 to 18 months and that's an aspiration that we would like to see happening.

Saurabh Kumar: Okay got it, thank you.

Moderator: Thanks Saurabh. The next question we'll take from is Mr. Kunal Shah from ICICI. Kunal you can unmute your line.

Kunal Shah: Hello? Yeah, am I audible?

Madhur Deora: Yeah Kunal, you're good.

Kunal Shah: Yeah so firstly, again, to touch upon this question with respect to the Postpaid, in fact when we look at the overall traction in terms of the number of loans disbursed in fact normally it used to be the run rate of say two odd million, but this quarter it seems to be slightly on the lower side. So just want to get a sense in terms of Postpaid, why it's just like 0.6 odd million and how should we look at it because it's hardly like 7-8% kind of a sequential growth?

Bhavesh Gupta: Yeah so Kunal we had to make some adjustments with regard to new digital guidelines which we had called out very clearly, which meant that our lending partners and ourselves had to make adjustments in terms of fund flow. That clarification took time from the regulator. I think it came in about 40, 50 days later on, that the entire fund flow has to be reorganized in a manner, which was the way we were doing it and hence that is a disruption that we saw in the last quarter but from a new customer origination and acquisition perspective, we continue to see very robust growth. Every month we're onboarding more than 400,000 new Postpaid customers so that has not stopped. It was just a recalibration that we had called out in a specific call that we had made to align to the fund flow, which took some time for us to align and clarify, which is now behind us.

Kunal Shah: Okay so when we look at it now incrementally the run rates should get back to that number and this was just a quarter's disruption and that's more or less I think

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Bhavesh Gupta: Yeah, so very honestly we don't track this on this basis that how much is Postpaid doing in terms of number of new incremental loans. We track on the basis of new customer acquisition. I can definitely confirm to you that new customer acquisition on Postpaid will be the highest ever that we've seen thus far, and will continue to have the same trajectory. What that will mean in terms of new customers converting their Postpaid line to actual loans is a matter of conjecture, which will happen as per the customer's expectation in the next quarter. It should

broadly be in the same range, but I can't comment that it will be 2 million or one and a half million or two and a half million, but it'll be in that range for sure.

Kunal Shah: Sure and secondly with respect to the direct cost on the promotional cashback and incentives, whatever incremental is there for the quarter, may be almost like more than 30% kind of sequential rise, any colour that you can share in terms of how much would be related to the payments and how much would be towards the rolling out of the financial services or may be enrolling more of the customers for that service and how much would be towards the commerce?

Bhavesh Gupta: Yeah so actually the cashback is put predominantly, into two parts, which is that we do cashback on our payment services. There are some customer incentives that we also used to pass till September for promoting Postpaid at different online merchant on behalf of vendors. So that cashback increased because Postpaid GMV was very high in the last quarter. That cashback saw a rise, but what we figured out very clearly now with our partners, that is actually a payment charge, so from next quarter onward that will start showing in our payment charges. So that Postpaid incentive will all move to payment charges. So predominantly the increase that you've seen in the last quarter is driven by Postpaid.

Kunal Shah: It's driven by postpaid, yeah.

Bhavesh Gupta: Postpaid.

Vijay Shekhar Sharma: Kunal, one more thing I'd like to add here. Your question was look at cashbacks in let's say payments, commerce and financial services so Postpaid because we are accounting for as a payment, so it'll go towards payment charges from next quarter but the e-commerce part, incidentally, we internally have a key KPI that it should not be more cashback than the margin. We've talked about in our review earnings also where our commerce business continues to operate with profitability as a target and it has achieved profitability, complete operating full cost loaded profitability. And I like you

usaid, I mean we don't have it immediately available that this much was for payment this much for commerce, in payment the cashbacks are given only as an incentive to the new customer. If you are a first time customer, we give you incentive to try out different services, but if you are an old customer, that is reduced dramatically and that is how the cash back and marketing expenses were reduced over the period.

Kunal Shah: Sure and lastly in terms of the commerce now that may be with the opening up of all the activity levels and the situation stabilizing and now we would get more sense in terms of how the overall positioning is say for Paytm in the commerce so sequentially I think that was a dip, but otherwise how should we actually see the traction with respect to the commerce business going forward?

Vijay Shekhar Sharma: We do three kinds of commerce. One is led by shopkeepers' commerce - deals, gift voucher that shopkeepers enable. Second is ticketing commerce which is led by movie, train, cinema and all these. The movie part has not come back by the way. Movie's footfall has not recovered yet which is one of the important drivers of the commerce business. Third is advertising, which is definitely not just because we treat credit cards as advertising so for us it definitely has grown. And like I said, the first part where the help to shopkeeper has grown and travel has grown, but not movies.

Kunal Shah: Yeah, yeah. Thanks. Thanks and all the best.

Moderator: Thanks Kunal. The next question will be from Manish Shukla from Axis Capital.

Manish Shukla: Good evening and thank you for the opportunity. Firstly, what does it take for a merchant to start accepting BNPL because that number is growing very fast, currently at 15 million merchants. So what does a merchant need to do to start accepting BNPL?

Bhavesh Gupta: So Manish the merchant has something called Paytm for Business app. On the Paytm for Business app, the merchant can subscribe to the service. Depending upon the category of the merchant there is a charge the merchant has to accept and it could also begin free if you are a very small merchant, and we would like to enable that merchant for Paytm Postpaid. The moment the merchant accepts terms and conditions of Paytm for Business app, the merchant is on boarded. If the merchant meets the risk criteria as defined by our risk team because it's a credit instrument, the merchant is allowed to go through risk criteria. So that is how the entire onboarding process works. It's complete digital and it's obviously DIY for the merchant.

Manish Shukla: So the number of devices we have is at 5 million and acceptance of BNPL is at 15 million. Should we think of that 15 million as a potential universe where you can cross sell devices?

Bhavesh Gupta: Yeah I think that could be one of the ways because these are materially decent sized merchants then only they meet the risk filter and also they meet the classification for themselves to accept credit instrument. So you could say that could be an opportunity, but not an exact opportunity, but that could be an opportunity for us.

Manish Shukla: Okay moving on to platform fees, could you tell us how does a platform fee work and what percentage of your users might be paying platform fee at the moment?

Bhavesh Gupta: See platform fee as a part of our revenue is a small number. We for our previous categories when customer come on the Paytm app, for doing certain set of transactions and activities, let's say movie ticket booking or doing some recharges etc, there is a small fee which is levied on the cohort of customers because we offer them various other value added services, including and not limited to things like bill reminders, autopay etc. And hence these customers subscribe to these services and they end up paying a platform fee. But purely from a rupee quantum of this charge, that charge is still very immaterial to the overall revenue that we make from payments.

Manish Shukla: And has there been any communication or otherwise from either the regulator or government about this platform fees being levied because in some sense technically that makes UPi as not a free service, right?

Bhavesh Gupta: No so I just want to clarify Manish there are two different parts. There is no platform fee that we are charging to merchants when we are giving them any kind of funding source. Some of the competitors do that in the online space. We are not charging those kinds of fees, etc. This is the fee that a consumer is paying when they're trying to consume certain services on the Paytm platform. The regulator has very clearly called out on what services you can charge and on what services you cannot charge.

Soon they've allowed us to charge, we are charging on them. So it is completely compliant to the regulatory guidelines.

Manish Shukla: Okay thanks and then next question, in response to an earlier question you said that starting next quarter the accounting will move from cashback to processing charges. Is it material enough for it to read to a sequential decline in net payment margins?

Bhavesh Gupta: Madhur, would you take that?

Madhur Deora: Yeah, it is a material number, but our net payment margins sort of continue to grow so it'll have some impact, but we don't think it'll lead to a drop in that payment margin per se.

Manish Shukla: Okay the last question is there any update on your payment aggregator application with the Reserve Bank?

Bhavesh Gupta: Yeah so the payment aggregation which is our Paytm payments services license is in progress. Whatever engagement that we had to do with RBI has happened. As you can see publicly, various other PAs have started to get the license. We do believe that we should also be getting our own license in the due course of time and fairly soon.

Manish Shukla: Okay sure. Those were my questions, thank you.

Moderator: Thanks Manish. The next question we will take from Rahul Bhangadia from Lucky Investments.

Rahul Bhangadia: Yeah thank you for taking my questions sir. Congratulations on a great set of numbers. Just one question: what should we expect the CapEx rate to be on a run rate basis? I saw H2 last year and H1 this year were reasonably higher than what we used to see before.

Madhur Deora: Yeah so Rahul most of our CapEx is related to Soundbox and devices and as you know we have ramped that up and we have continued to talk about there being a large opportunity there. So currently I think we're doing somewhere between Rs. 120 to Rs. 150 crore a quarter. Our overall CapEx as I said, vast majority of that is related to devices and you should expect that to be broadly the level over the next few quarters.

Rahul Bhangadia: So roughly what four to five hundred crores per annum is the CapEx we should expect?

Madhur Deora: Yeah, I said 120 to 150 a quarter, five to six hundred crores a year.

Rahul Bhangadia: Yeah and the related question would be what would be the depreciation policy here because now we are running a run rate of about Rs. 400 crores of depreciation per annum and we're doing a CapEx of Rs. 500 crores or maybe Rs. 600 crores. What's the policy that we are looking at here?

Madhur Deora: Yeah the philosophy that we took on depreciation is that we wanted the depreciation rate to be faster than the average life of a device. So for Soundbox we depreciate it in two years, for card machines we depreciate it in three years, which we think is at least 20% to 30%, if not more, less than the average life of the device. And the way we price this is a payback period, which is better than the depreciation period for the device. So we try to be conservative on each one of these things, but to answer your direct question, Soundboxes are for two years and card machines are for three years.

Rahul Bhangadia: Thanks Madhur, thank you so much.

Madhur Deora: Thanks Rahul.

Moderator: The next question we'll take from Mr. Sameer Bhise from JM Financial.

Sameer Bhise: Yeah hi thanks for the opportunity. Can you talk a bit about the GMV per MTU metric? I think the last couple of quarters probably we haven't alluded to, but how do you think about it over the medium to long term?

Madhur Deora: Just to be clear, the reason why we don't refer to that number is because effectively we have a total GMV number which is all transactions which are processed by Paytm and in some of those cases that is being done by the MTU number that you see, but in some cases, that is actually not being done by that MTU number. So for example if I have a card machine at a retail shop or a petrol pump, they might be accepting credit cards, which does not belong to our MTU. And the same thing would happen in the online world, something would also happen when somebody uses a third party app to scan a Paytm QR. So there's a fair amount of GMV in our business which is unrelated to the MTU base that you see. So taking the GMV divided by MTU is probably not taking apples to oranges and as a result we don't calculate that and get that number because it may be misleading to think that it is this MTU which is generating that GMV.

Does that make sense, Sameer?

Sameer Bhise: Yeah, probably! I'll take it offline as well. Secondly, there's a news article on RBI giving some clarifications or responses on the T audit. It would be helpful if you could give us some sense on that.

Madhur Deora: So we actually have in our earnings release

as given a statement on this. So I'll just refer you to that. In summary the Paytm Payment Bank management has told us that they have received the T audit report and RBI's observation on the report. As per the preliminary assessment done by them most of the observations are around continuous strengthening of IT processes, IT outsourcing processes and operational risk management. And the bank is in the process of responding to the RBI and they're just obviously very highly focused and prioritizing the conversation with the RBI to make sure that they're fully compliant in letter and spirit. So that's sort of the update that we have and obviously if we have more updates we'll share them with the stock exchanges, but I'll just refer you to the note that we have in the earnings release which sort of gives you the complete picture.

Sameer Bhise: Sure those were my two questions. Thank you and all the best. Congrats

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Madhur Deora: It's the opportunity to also mention that we have shared in March 2022 when this issue first came up that we believe that the measures that were imposed by RBI on PPL will not impact Paytm's overall business and the fact that you see the MTU performance and the revenue growth performance of Paytm since then, it confirms that our initial assessment was correct and we don't see any material impact on Paytm's overall business during the course of the RBI measure of Paytm Payments Bank.

Sameer Bhise: Sure, that's helpful. All the best. Thank you.

Moderator: Next in queue would be Rahul Jain from Dolat Capital.

Rahul Jain: Yeah hi thanks for the opportunity and congratulations on very strong execution. I would just like you to help me on arriving at potential areas for us to get EBITDA neutral and beyond, so firstly from a payment processing charges perspective this is the first quarter where we see very little optimization in this line item as a percentage of payments services. So can we conclude that easy optimizations or relative easy picking in this of cost items are behind us and it would be better run rate that we see right now, would be optimized further on a very smaller level. That is question number one. Second in this quarter we saw other marketing expenses seeing a big drop. So is that drop already baked in from a run rate point of view or some of the savings have come in the second half of the quarter so we would see this cost going down further in the upcoming quarter. And maybe being general, if you could share what would be the areas where we could see this savings coming incrementally?

Madhur Deora: Yeah on your first question maybe I'll answer it at the contribution margin level Rahul. We do continue to obviously look for small and big opportunities to improve the profitability of each of our businesses. So we continue to do that, but I think it's fair to say that we went from a single digit contribution margin two years ago to 24% a year ago to 44% now. So clearly that trajectory was what we call the step change

ngain contribution profit. We don't expect that or anywhere close to that pace to continue, but we do and will continue to look for opportunities to do certain small improvements and not big improvements in each of our businesses. We do also expect to continue to benefit from some mix effects particularly from the lending business because lending is growing and is expected to continue to grow faster than our overall business. And lending has a higher margin than our payments business, for example, so we do expect some mix effect, positive mix effect to come from that as well.

On your second question on marketing like we had mentioned in the last quarter, we did have a jump in marketing costs last quarter because of cricket sponsorships, because we had IPL as well as cricket matches last quarter. This quarter we did not have that and as a result our marketing costs went down. A chunk of marketing costs, not all, but a chunk of it is lumpy, right, especially when you start getting into sponsors hips and soon. So we did not have that this quarter and we expect that at a lower level going forward. Having said that, I will say that if there are opportunities for us to invest in user growth, whether it is promotion, incentive, or marketing, which is having good ROI, we'll continue to do that. That will not take us away from our path to break even and our path to creating a long-term very profitable business. So we'll absolutely achieve that, but if there are opportunities for us to invest in efficient marketing whether it is through cashback or through ATL or through any other mechanism we would continue to do that and still achieve our profitability targets.

Rahul Jain: Right so just to conclude from your thought can we say that there is no optimization

and profitability will be more revenue driven rather than cost optimization driven?

Madhur Deora: I think it's fair to say that revenue growth has as well as growth of high margin revenues such as lending will be sort of the next big uplift to contribution profit. But I will point out that we have a large payments business, which is generating a significant net payment margin even small improvements in that when they drop to the bottom line, they can be very significant from a bottom line standpoint, right? So if we are doing Rs. 443 crores a quarter of net payment margin, then even a 10-15% improvement can have a significant impact on the bottom line, right? So just, just because the number is actually now quite large and working on continuing to improve that number is a very high ROI for us.

Rahul Jain: Sure. Thank you and those were my questions.

Madhur Deora: Thank you.

Moderator: The next in the queue is Mr. Piran Engineer from CLSA.

Piran Engineer: Hi thanks for making my question and congrats on the quarter. Just on your lending business first, on BNPL if I'm a customer who's paying some fee and I think one third of the customers were Delite customers don't pay any fee, how long does it take for me to get up graded to a Delite customer status assuming that I don't default, of course?

Bhavesh Gupta: Hi Piran. Piran there is no time for formula. I think the different lenders have different appetites, but I could say between six to nine months of vintage of continuous performance and lenders revisit both the limit and the risk classification and there could be a set of customers who could be up graded or down graded. So it is not that once you're a Delite customer, you will remain a Delite customer. There is a small portion I would say, which is down graded also, and you could also be up graded. So it is a continuous process, but that ratio or the share of the Delite to Lite to many broadly remains range bound.

Piran Engineer: Yeah but that's also probably because you are still growing and a lot of your incremental customers will be say Lite and I just assume as customers mature over time may be next two years or four years and of course if they're repaying, you should have more Delite customers than Lite and if that happens and take rates reduce, will you pass it on to the banking partner or will we have to absorb it?

Bhavesh Gupta: So Piran it's a matter of conjecture, which is fairly long ahead of four times at this point in time. I do believe that two things will happen and I think I had mentioned this earlier. Number one, we don't see for at least a couple of years to come because just 4% of our MTU and MTU is also growing, that our new customer acquisition engine is going to slow down. And I just mentioned in a previous answer that we are seeing very robust growth every month now, more than 400,000-450,000 users getting added to Postpaid. So we don't see that slowing down and hence the overall share of Delite, Lite etc will remain broadly range bound. The other thing that we also will see over a period of time is that the merchant looking at the impact of Paytm Postpaid to his sale, and hence increasing the MDR will also be a revenue opportunity, which will very easily offset any drop in convenience fee, if at all it was to happen. So that's the way the entire business model is going to play out. At this point in time the business model, at least for the next 12 to 18 months, I don't see any change in the business model albeit it may only have an increase in revenue, especially coming from MDR because more and more merchant acceptance, especially enterprisemerchants resulting in higher MDRs is the trend that we're already seeing.

Piran Engineer: Okay that makes sense. And on your merchant loans, what would be the TAM of this business? I understand that about 1 or 2% of the merchants have a loan right now, but practically speaking what percentage of merchants are going to be on boarded on merchant loans, that's just

one and one and a half lakhs

...

Bhavesh Gupta: Sure. I think that's a very good question, Piran. The simple answer, the way we look at this piece is that merchant loans are derivatives of our devices merchant because largely 80% of our loans are given or taken by a device merchant so we index our entire merchant business to device merchant. Today their number is approximately at 4.8 million, growing about a million a quarter and what our belief is once a merchant has taken a device six months forward their probability of getting eligible becomes very high and give or take, we see about 50% of them keep getting eligible six months going forward. So as we continue to remain very bullish on adding more and more devices, we obviously remain very bullish in adding more merchant loans. Having said

that, at current point in time, we have approximately 1.5 million merchants who are whitelisted to be given credit and have a pre-qualified offer on the app from various lenders, broadly amounting to about 2 billion US dollars of disbursement that we can do. So the current TAM itself is very large and as we are adding more devices, so the TAM will keep increasing.

Piran Engineer: Okay, so you said 2 billion dollars?

Bhavesh Gupta: Yeah, about 1.5 million, 15 lakh merchants are recurrently prequalified by lenders. Approximately as you know that the number is about one and a half lakh rupees per merchant. So that's the amount, about 15 to 20,000 crores of value.

Piran Engineer: Okay, got it. And just lastly in your earnings release you mentioned about some seasonality in the cloud business. If you can just sort of clarify what that was?

Madhur Deora: We mentioned seasonality in our commerce business and typically Q2 for entertainment is seasonally weak. In fact, we have said specifically for entertainment business seasonality. So entertainment in Q2 is generally weak because of monsoons and so

n. Also this particular quarter, not a regular season situation, but this particular quarter, the content lineup was very weak and whichever sort of relatively good content that we had in movies also just didn't work as well as it was expected to. So as a result both movies and events had seasonally weak quarter.

Piran Engineer: No Madhur! Get that. That was on commerce, but if you refer to your writeup only, I don't know which page there's no page number here, but I think page 12 of the PDF, you say it's a seasonally strong quarter for PAI cloud and clearly it seems so because last three quarters your revenue was in the range of Rs. 190 to 220 crores and now shot up to 250.

Madhur Deora: Yeah I apologize. It shouldn't have said seasonally strong. It just was a strong quarter because cards did well, advertising did a little bit better, PAI cloud did well. So I think there, we didn't mean to say it was seasonally strong. It was just a strong quarter. Actually we haven't said seasonally strong. We have just said it is driven by strong uptake in our credit card distribution. Yes, you're right and a seasonally strong quarter of PAI cloud. It has nothing to do with the season. It's just to be a strong quarter.

Piran Engineer: Okay, okay. Fine, that clarifies it, thank you and all the best.

Moderator: Next question we'll take from Mr. Anand Bhavnani from White Oak. Anand Bhavnani you can unmute.

Anand Bhavnani: Thank you for the opportunity and congratulations for a good ramp up in the lending services business. If you could give us some colour on other financial services that you would want to explore as the lending business kind of continues to gain momentum and it's stabilized, what other financial services are on your priority list?

Vijay Shekhar Sharma: Anand we have Paytm Money, which is a stock brokerage and mutual fund distribution and we also have insurance distribution and brokerage business. So these two are other financial services businesses.

Anand Bhavnani: Soon those can you give us some colour as to what you're targeting in terms of numbers and what kind of TAM?

Vijay Shekhar Sharma: We call them the future bets because there's a tremendous amount of technology development and brewing that requires. So they are not materially large, as you can see, the numbers themselves are led by credit. Most of the revenue is driven by that.

Anand Bhavnani: Got it. Secondly you're expected credit loss in case of merchants, I see the number is higher than in case of Postpaid. So just wondering I would assume that merchants, because they're a lot more located on a particular spot and because they probably have a device and everything, they'd probably be less credit risk.

Vijay Shekhar Sharma: Anand when a loan is defined as a portfolio and lenders side as a part of that definition of loan portfolio, they put expected credit loss as a number. It has nothing to do with actual credit loss. That credit loss is called net credit loss, meaning this is when you start a business, you say, this is my customer issue cost, this is my credit loss, this is my revenue so expected credit loss is a number that lender puts in definition of their book, of this kind of loss, which is actually nothing to do with whether the loan performance will be based on that or not. What you're seeing is net credit loss, which is in the presentation, and otherwise we always share as a detail in subsequent slides.

Bhavesh Gupta: And Anand if I can supplement over this piece, on the they're two different products. BNPL is a 4500, 5000 rupees

short term consumption credit for 30 days. The chance of default is far, far lower for everybody defaulting for 5,000 rupees whereas the merchant loan is a one year, 14 month, one and a half lakh rupee product through daily instalments deducted through pay settlements. So the IRR and the income that the lender makes are very different and what the customer pays in Postpaid is much lesser than what they pay in the merchant. So from a risk adjusted return merchant loan, even at a 5% expected credit loss while the actual credit loss as Vijay said is lower than that but expected credit loss, the return for the lender, return for Paytm is much higher versus a Paytm Postpaid.

Anand Bhavnani: Noted thank you much, all the best.

Madhur Deora: Thank you.

Moderator: Thank you Anand. The next question will be a repeat question from Mr. Vijit Jain. Vijit you can unmute your line.

Vijit Jain: Thanks Anuj. Just a housekeeping question alluding to one of the comments earlier made. So when a customer scans Paytm QR code to make UPI payment from a competitor app, in this instance, in this particular transaction, there is no scope for monetization, right? And is this particular transaction included in Paytm's UPI GMV when the regulator and NPCI reports it on their website?

Bhavesh Gupta: So Vijit, there is monetization definitely included. So if you're looking at monetization from a device subscription perspective or from a lending perspective, that monetization is agnostic to which app is being opened to pay to the merchant. It could be scanning from a competitor app and paying a merchant. The merchant still needs a subscription service because he needs reconciliation at the shop and obviously that GMV that merchant is actually collecting is being processed through us and that is available to us to underwrite our lending partner to give credit. So there is actually no problem and this GMV is called out as P2M GMV also in the definition of MPC and hence is eligible for various kinds of incentives below 2000 rupees at different points in time.

Vidit Jain: Okay. Got it, thanks, thanks Bhavesh. That was my question.

Madhur Deora: Thank you Vijit.

Moderator: Thank you. And with that we come to an end of the Q&A session. As mentioned earlier, a recording of this call and the presentation and a transcript will be put online on the company website. So thank you all for joining.

Vijay Shekhar Sharma: Thank you namaskar.

Madhur Deora: Thank you everyone.

Bhavesh Gupta: Thank you everyone. Good day.

Call: Feb 2023

Corporate Office - One Skymark, Tower -D, Pl ot No. H -10B, Sector -98, Noida -201304

T: +91120 4770770 F: +91120 4770771 CIN: L72200DL2000PLC108985

Registered Office - 136, First Floor, Devika Tower, Nehru Place, New Delhi -110019 One 97 Communications Limited
compliance.officer@paytm.com

www.paytm.com

February 10, 2023

BSE Limited

Department of Corporate Services

Phiroze Jeejeebhoy Towers,

Dalal Street, Fort,

Mumbai - 400 001

Scrip Code : 543396 National Stock Exchange of India Limited

The Listing Department

Exchange Plaza ,

Bandra Kurla Complex,

Mumbai - 400 051

Symbol : PAYTM

Sub.: Transcript of the earnings conference call

Dear Sir / Ma' am,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings conference call, conducted on February 6, 2023. The above information is also available on the website of the Company at <https://paytm.com/investor-relations/financial-results>.

Kindly take the same on record.

Thanking you

Yours Sincerely,

For One 97 Communications Limited

Amit Khera

Company Secretary & Compliance Officer

Encl. as Above

Paytm | Quarter Ended December 31, 2022 Results | Earnings Call

Date: February 06, 2023 | Time: 6 PM Indian Standard Time

Disclaimer:

By reading this earnings call transcript you agree to be bound as follows:

This

earnings

call

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management

of

One

97

Communications

Limited

("Company")

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The
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and
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and
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are
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events
or
results
to
differ

materially from those anticipated in the forward-looking statements and financial projections.

We,
or
any
of
our
affiliates,
shareholders,
directors,
employees,
or
advisors,
as

such,
make
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representations
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The
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and
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ast performance is not indicative of future results.

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(including
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thereof)
or
any
class

of
investors.
No
rights
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presented
and
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on
this earnings call.

This
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in
India
or
by
any
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in
India.

No
rights
or
obligations
of
any
nature
are
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or
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be
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created by the contents of this document.

Moderator:

Thank
you
for
joining
and
a
welcome
to
Paytm's
earnings
call
for
the
quarter
ended
December
31
st

,
2022.

From
Paytm's
management
we're
joined
by
Mr.

Vijay
Shekhar
Sharma,
Founder
and
CEO,

Mr.
Madhur
Deora,
President

and
Group
CFO,

Mr.
Bhavesh
Gupta,
Head
of

Payments
and
CEO

Lending
and
Mr.
Anuj

Mittal,
Vice
President,
Investor
Relations.

A
few
standard
announcements
before
we

begin.
This
call
is
meant
for
existing
shareholders
of
Paytm,
for
potential
investors
and
for
research
analysts
to
discuss
the
financial
results
of
the
company.
This
call
is
not
for
media
personnel.
If
any
media
representatives
are
attending
this
call,
I
request
you
to
kindly
drop
off
the
call
at
this
point.
The
information
to
be
presented
and
discussed
here
should
not
be
recorded,
reproduced
or

distributed
in
any
manner.
Statements
made
on
this
earnings
call
may
include
forward
looking
statements.
Actual
events
may
differ
materially
from
those
anticipated
in
such
forward-looking
statements.
Finally
this
earnings
call
is
scheduled
for
75
minutes.
It
will
have
a
presentation
by
the
management
followed
by
Q&A.
Kindly
utilize
the
raise
hand
feature
on
your
Zoom
dashboard,
if
you
wish
to
ask
a
question.
We
will

unmute
your
line
and
take
your
questions
in
the
respective
sequence.
Please
ensure
your
name
is
visible
as
first
name,
last
name,
followed
by
your
company
name
for
us
to
be
able
to
identify
you.
The
presentation,
a
replay
of
this
earnings
call
and
a
transcript
will
be
made
available
on
the
company
website.
With
this
I
would like to request Mr. Vijay Shekhar Sharma to kindly initiate the call.
Vijay
Shekhar
Sharma:
Thank
you.
Thank
you
so

much
everyone.
Thank
you
so
much
for
joining.
I
hope
you're
keeping
healthy
and
happy.
It's
an
incredible
quarter
for
us.
We
finally
achieved
one
of
the
important
milestones.
I
used
to
call
it
my
own
salary
by
my
own
efforts.
This
happened
last
when
we
started
Paytm
and
that
was
the
time
when
we
were
generating
free
cash
flow
and
we
used
that
money
to

start
the
new
business
of
Paytm
and
probably
eight-nine
years
later
we
have
come
back
again
to
that
business
milestone
that
we
have
started,
the
focus
on
monetization
in
last
couple
of
years
and
that
has
allowed
us
to
make
continuous
investments
in
growth
while
improving
profitability.
This
quarter
was
a
key
benchmark
for
us
to
generate
the
profit
and
I'm
very
happy
to
say
that

you
saw
the
team
has
done
incredible,
incredible
work
in
growing
payments
business
or
credit
business
which
is
the
focus
area
that
we've
done.
I
personally
looked
at
along
with
my
teammates
and
leaders
that
are
on
this
call
the
attention
and
the
investment
or
dollar
allocation
as
we
call
it
to
the
key
areas
and
pruned
many,
many,
many
line
items over the period in last two years.
The
best
part
I

can
tell
you
is
that
I
believe
that
this
trend
of
generating
sustained
profit
will
continue.
Our
profitability
is
expected
to
grow
even
further.
We
expect
to
grow,
to
become
a
free
cash
flow
generating
machine.
I
don't
call
it
a
free
cash
flow
generating
company.
I
wish
to
call
it
a
free
cash
flow
generating
machine.
So
let

's
see
what
comes
up
forward
and

the
best
part
is
that
our
focus
on
merchant
payments
instead
of
focusing
on
consumer
led
UPI
payment
has
created
a
scalable
UPI
revenue
model
in
subscription.
I
feel
highly
positive
and
inspired
by
the
adoption
of
our
device
business,
especially
Soundbox
which
has
led
to
significant
scale
in
UPI
acquiring
and
various
subscriptions
led
revenues
that
you've
seen
our
month-on-month
numbers.
In
fact,
if
you

notice
that
our
payment
revenues
are
also
one
of
those
line
items
where
we
sort
of
do
the
processing.
We
kept
cleaning
up
different,
different
type
of
merchants,
different,
different
type
of
line
items
and
I
am
very
happy
to
tell
you
that
we
have
completed
our
clean
up
in
the
last
quarter
and
we're
focusing
on
only
quality
revenues
that
are
profitable
and
have
growth

which
is
predictable
and
recognizable.

So
we
probably
would
have
purged
literally
hundreds
of
various
different
kinds
of
merchants

if
they
were
not
profitable
or
if
they
were
not
useful
for
us
or

generating some pain in the system.

Our
lending
model
focusing
on
low
and
grow
if
you've
noticed
we
started
with
small
ticket
size
has
now
demonstrated
that
it
is
a
large
scalable
opportunity
especially
because
our
portfolio
qualities

are
demonstrated
over
multiple
payment
cycles
and
our
lenders
and
partners'
conviction
and
our
alignment
and
specific
focus
of
the
regulatory
landscape
and
guideline
gives
me
confidence
that
we
are
addressing
a
pretty
large
profit
pool
in
our
credit
disbursement
business.
I
understand
that
it
is
a
business
which
is
in
infancy
so
percentage
of
growths
are
very,
very
higher
but
absolute
value
are
also
you

can
see
are
very,
very
clearly
growing
nicely
So
Bhavesh
will
talk
about
them
in
due
course.
Lending
upsell
which
is
now
in
my
opinion
a
scalable
opportunity
and
it
doesn't
have
any
regulatory
arbitrage
and
I
am
especially
calling
out
this
line
because
many
credit
businesses
in
the
country
or
Fintechs
have
been
built
around
some
or
other
regulatory
arbitrage.
While
what
we
have
built

is
a
mature
business
where
the
partners
have
a
comfort
of
credit
quality,
the
regulator
has
the
comfort
of
the
guideline
and
we
have
grown
organically
not
acquiring or by making a desperate push of any kind of product in the market.
In
fact
our
belief
is
that
with
the
increase
in
the
digital
payment
ecosystem
in
the
country
there
will
be
market
risk
or
different
kind
of
frauds
that
would
come
in
the
system
but
I'm
very
confident
with

the
quality
of
work
Paytm
is
doing
the
right
operation
risk
and
compliance
is
a
USP
of
our
company
and
the
attention
that
we
are
driving
on
the
risk
and
fraud
in
the
market
will
become
a
continued
benchmark
in
the
country.
If
you
notice
we
have
grown
our
average
monthly
transacting
users
32%
year-on-year
and
subscription
devices
or
subscription
led
revenue.
Important
thing
I
wanted

again
to
remind
you
is
that
our
focus
is
various
subscription
line
items
with
our
merchants
so
that
is
why
not
only
devices
we
have
started
to
include
a
few
more
subscription
line
items
in
the
business.
That
is
why
we
are
converting
this
line
item
to
subscription
paying
merchant
instead
of
just
device
subscription.
It
is
definitely
led
by
that
(device
subscription).
And
as
you've

seen
we
crossed
an
incredible
milestone
of
10
million
quarterly
loan
disbursement
in
the
quarter
and
little
less
than
Rs.
10,000
crores
of
disbursement.

I
am
very
happy
to
see
these
things
driven
by
technology
insights
and
the
brand
that
we
have
created
over
a
period.

I
invite
Madhur
to
share
the
rest
of
the
business
presentation
and
Bhavesh
to
talk
about
it.
We
look
to

take
lots
of
questions from you. Thank you.

Madhur

Deora:

Thank

you

Vijay.

It's

a

pleasure

to

welcome

you

on

our

earnings

call.

So

this

is

our

revenue

progression.

As

we

have

mentioned

we

have

grown

42%

year-on-year.

As

we

pointed

out

in

the

earnings

release

this

quarter

we

did

not

record

any

UPI

incentive.

This

is

because

the

UPI

incentive

circula

rs

came

in

January.

Last

year

they

came

in
December.
So
while
our
payments
revenue
grew
21%
on
a
reported
basis
on
a
like-for-like
basis
d
including
UPI
incentive
this
number
would
have
been
34%.
I'll talk a little bit more about that later on in the presentation.
There
were
a
couple
of
small
impacts
on
our
payments
revenue
which
we
have
called
out
in
the
earnings
release.
One
is
that
since
Diwali
was
earlier
this
year
some
of
the
e-commerce
sales
happened
in
Q2
rather

than
in
Q3,
so
there
was
some
impact
on
that
and
as
Vijay
mentioned
we
finished
all
the
work
that

we wanted to on focusing on profitable GMV. So there's a little bit of impact from that as well.

Our
financial
services
revenue
grew
257%
along
with
growth
in
disbursement
and
now
it's
standing
at
Rs.
446
crores
of
revenue.
Vast
majority
of
this
is
from
our
loan
distribution
and
collection
business
and
our
financial
services
revenue
now
accounts
for
22%
of
our
revenue

up
from
9%
a
year
ago.
So
this
has
clearly
been
a
key
contributor
to
our
growth
and
scale.
Our
commerce
and
cloud
business
grew
24%
year-on-year
to
Rs.
420
crores.
This
quarter
the
key
drivers
were
credit
cards,
and
commerce.
One
thing
we
did
call
out
is
that
we
had
high
volume
in
our
events
business
which
also
increased
our
take
rate
and
we'll
talk

a
little
bit
more
about
those
later
on.
So
overall
42%
growth
just
over
Rs.
2000
crores
of
revenue.
We
do
want
to
call
out
like
we
did
last
quarter
as
well
as
in
our
December
meeting
that
we
did
receive
some
incentives
from
PIDF
and
NABARD
which
we
counted
as
other
operating
revenue
but
they
really relate to payments.
This
is
our
progression
on
contribution
margin
and
EBITDA.

Our contribution margin a year ago used to be 31% and we have improved that to 51% so there has been a 20 point increase or a huge jump in our contribution margin or our unit economics and our indirect expenses as a percentage of revenue has gone from 58% to 49%. As you would have noticed in the last three quarters this number has been

flat
at
about
Rs.
1000
crores
a
quarter
and
on
a
year-on-year
basis
this
has
only
been
up
20%.
As
a
result
as
a
percent
of
revenue
this
has
declined
quite
meaningfully
and
the
combination
of
these
two
has
allowed
us
to
become
EBITDA
break
even
or
EBITDA
profitable.
A
year
ago
we
were
negative
27%
of
revenue.
Now
we're
positive
2%
of
revenue.
I
should

call
out
that
this
is
sustainable
and
this
has
been
done
without
sort
of
cutting
down
on
investments
that
we
believe
generates
value
for
us.
So
this
is
sustainable
going
forward.
We
did
achieve
operating
EBITDA
profitability
three
quarters
ahead
of
the
guidance
which
we
had
given
in
April
of
2022
so
we're
quite
proud
of
the
discipline
that
we
have
built
into
the
business
and

this
is
driven
by
strong
revenue
growth
across
businesses,
disciplined
cost
management
and
our
strong
business model which has a ton of operating leverage.

Just
double
clicking
on
the
payments
business,
our
payments
revenue
on
a
headline
basis
like
I
mentioned
earlier
was
21%
year-on-year.

Just
expanding
on
the
UPI
incentive
including
UPI
incentive
this
number
would
have
been
34%
year-on-year.

The
way
this
works
is
that
last
year
we
received
the
first
three

quarters
of
UPI
incentive
in
Q3
which
is
the
December
quarter
and
that
number
was
Rs.
68
crores.
Our
estimate
is
that
for
the
same
three
quarters
this
year
our
UPI
incentive
would
be
Rs.
130
crores.
So
just
to
be
clear
this
number
is
only
for
the
first
three
quarters
of
this
year.
Whatever
we
get
for
the
fourth
quarter
would
be
over
and
above

this.
So
if
we
just
include
these
Rs.
130
crores
to
compare
on
a
like
for
like
basis
this
Rs.
992
crores
last
year
included
UPI
incentive
for
the
first
three
quarters
and
then
we're
including
management
estimate
for
the
first
three
quarters
of
this
year
to
the
reported
number.
Then
we
get
to
about
34%
revenue
growth
in
payments.
So
payments
continues
to
grow
revenues

quite
meaningfully,
like
I
said
34%
year-on-
year
despite
the
fact
that
we
have
mentioned
earlier
that
we
have
cleaned
up
revenue
which
was
not
very
profitable
for
us.
Despite
doing
that,
we
have
been
able
to
grow
at
34%
year-on-year.
And
just
to
be
clear
we
have
not
recorded
any
UPI
incentive
this
quarter
because
final circulars from MEITY came in January.
We
talked
in
the
December
meeting
about
our
payment

business
and
how
we
track
that.
So
our
payment
business
generated
Rs.
459
crores
of
net
payment
margins.
Net
payment
margin
just
to
be
clear
is
our
payments
revenue
minus
our
payment
processing
costs.
And
that
has
two
main
components;
one
is
payment
processing
margins,
so
all
the
money
that
we
make
on
processing
payments
and
the
second
component
is
the
revenue
that
we
make
from

subscriptions.

On payment processing margin we have given the guidance that we are currently at 7-9 basis points of GMV so we continue to be within that range in the December quarter. This number is including the proforma impact of UPI incentive for one quarter and despite inclusion of interchange costs which I will talk about in a second and we had given the guidance and

we
stick
with
that
which
is
that
since
UPI
is
growing
faster
than
other
instruments
and
UPI
is
slightly
lower
margin
we
expect
long
term
payment
processing
margin
to
stabilize
at
5-7
basis
points.
Coming
to
the
subscription
for
a
second,
subscription
we
make
a
little
over
Rs.
100
per
month
per
device.
The
number
of
devices
has
grown
to
5.8
million
devices
now,
up
3.8

million
so
roughly
one
million
a
quarter
is
what
we
have
been
able
to
grow
this
time.
Massive
growth
in
this
business
and
the
massive
opportunity
ahead
of
us
and
it
gives
us
many,
many
benefits
in
terms
of
merchant
monetization,
merchant
stickiness
and
merchant
upsell
and
like
we
mentioned
in
December
and
I
briefly
mentioned
earlier
we
also
get
some
incentive
from
partner
banks
RBI,

NABARD.

Some
of
them
can
be
lumpy
in
nature
from
a

quarter-on-quarter basis but there's steady revenue that we get every year.

On
the
right
hand
side
we
have
just
given
a
little
bit
of
clarity
on
net
payment
margin

so
the
like
for
like
basis
this
number
went
from

Rs.
443
crores
last
quarter
to
Rs.
537
crores
this
quarter.

One
of
the
things
that
we
have
done
is
for
our
Paytm
Postpaid
product
we

now
incur
interchange
costs.
Previously
we
used
to
incur
a
promotion
incentive
which
used
to
be
in
our
cashback
so
you
will
notice
that
our
cashback
has
gone
down
dramatically
and
we
have
a
lot
of
disclosure
on
this
in
our
earnings
release,
but
at
a
high
level
our
cashback
has
gone
down
quite
dramatically
from
about
Rs.
190
crores
to
about
Rs.
90
crores
whereas

we
have
taken
Rs.
78
crores
of
interchange
costs
related
to
Paytm
Postpaid
in
our
net
payment
margin.
So
on
a
like
for
like
basis
our
net
margin
would
have
gone
up
much
more.
We're
reporting
Rs.
459
crores
of
net
payment
margins
this
quarter
this
is
the
basis
on
which
we
will
report
going
forward
including
the
interchange
costs
for
postpaid.
And
including
the
interchange

costs
of
postpaid
like
we
have
said
we
would
be
within
the
7-9
basis
points
currently.

I
will
turn
over
to
Bhavesh
to
talk
to
us
about
lending.
Bhavesh
Gupta:
Thank
you
Madhur.
Hi,
good
evening
everyone.

So
lending
again
had
a
wonderful
quarter.
This
is
on
the
back
of
all
the
three
businesses
now
coming
to
some
level
of
maturity,
Postpaid
as
a
business
you

can
see
that
now
two
big
things
have
happened.
One
piece
is
that
Paytm
Postpaid
continues
to
be
the
largest
funding
source
or
a
lending
product
which
is
accepted
at
17
million
merchants,
1.7
crore
merchants
in
the
country.
We're
seeing
a
very
good
adoption
by
merchants
who
want
Paytm
Postpaid
to
be
available
on
their
shops
either
on
an
EDC
device,
payment
gateway
or
a

QR
code.
We
continue
to
see
very
healthy
growth.
Obviously
Y-o-Y
this
number
looks
300
percent
plus
but
Q-o-Q
basis
also
we
are
clearly
seeing
this
business
grow
very
comfortably
at
about
25-30%
which
is
a
shade
over
the

guidance
that
we
have
been
providing
in
the
last
quarter
that
we
feel
very
comfortable
growing
our
lending
business
quarter-on-quarter
between
20-25%
but
now
we're
seeing

that
growth
actually
higher
than that now at about 30%.

Our
personal
loans
Y-o-Y
is
looking
much
sharper
because
we
started
this
business
a
shade
before
December
21
quarter
so
this
number
obviously
is
closer
to
500%
in
terms
of
personal
loan
but
two
interesting
things
have
started
to
happen
in
PL.
The
customers
who
are
taking
PL
from
us,
40%
of
disbursement
happened
to
existing
Postpaid
customers.
This
is
giving

much
better
portfolio
quality
comfort
to
our
lending
partners
and
also
is
giving
a
good
experience
to
our
consumers
who
through
largely
with
couple
of
clicks
are
able
to
consume
this
product
very
conveniently
through
the
Paytm
app.
We
have
also
started
to
see
almost
15-20%
of
the
customers
who
have
taken
PL
over
the
last
12-18
months
and
now
finished
their
loan
coming
back
to

take
another
loan
and
hence
that
portfolio
is
also
becoming
very
material
and
the
quality
of
that
portfolio
is
better.
New
to
PL
portfolio
continues
to
be
operating
between
30-40%
of
their
disbursement
amount
in
the
quarter
which
is
a
very
healthy
mix
which
will
make
the
PL
business
not
only
scale
very,
very
well
for
us
but
also
will
make
sure
that
our
profitability

for us and credit quality and profitability for our lending partners continues to be better than the plan.

Merchant
loan
is
something
that
we
feel
very
excited
about
now.
Obviously
last
year
through
the
year
was
impacted
by
COVID
and
we
saw
maybe
about
two
quarters
back
that
once
COVID
was
completely
out
of
the
market,
merchants
were
coming
back
to
normalcy
in
accepting
more
payments
and
hence
merchant
lending.
We
are
now
seeing
the
acceleration
amongst
the
three
businesses
highest
in
the
merchant

lending
product
and
we
continue
to
believe
that
merchant
lending
product
back
on
the
devices
growth
will
continue
to
scale
much
healthier
and
we
do
see
it
as
an
opportunity
that
as
our
devices
penetration
keeps
increasing,
our
loan
penetration
of
devices
merchants
will
also
keep
increasing.
It
is
hardly
about
5%
and
the
total
devices
in
the
market
have
now
crossed
5
million.
So
we

do
feel
very
positive
that
all
the
three
businesses,
be
it
Postpaid,
Personal
loans,
Merchant
loans
should
continue
to
demonstrate
very
healthy
quality
of
business
and
profitable
products
for
both
lending
partners
and
ourselves
in
due
course
of
the
next many quarters to come.
If
you
see
on
the
left
side
there
is
the
Financial
Services
revenue
which
now
is
contributing
22%
of
the
overall
revenue
for
Paytm.
This
has

really
grown
very,
very
incrementally
over
the
last
year
and
this
is
largely
backed
by
the
performance
that
you've
seen
in
the
lending
business
which
is
contributing
a
disproportionate
portion
of
this
Rs.
446
crores
of
revenues.
The
interesting
part
here
is
that
we
continue
to
see
that
the
number
of
new
borrowers
who
are
coming
in
quarter-on-quarter
is
a
very
comfortable
half
a
million-ish
number

every
month.
We
are
not
aggressively
chasing
this
number
as
a
metric.
While
the
overall
top
of
the
funnel
as
you
can
understand
we're
sitting
with
80
million
plus
monthly
transacting
users
and
of
the
80
million
monthly
transacting
users
today
life
to
date
in
the
last
two
years
only
eight
million
unique
borrowers
have
accessed
credit
through
Paytm
platform
through
our
various
lending
partners.
So

just
10%
of
our
entire
monthly
transacting
users
thus
far
have
taken
any
form
of
credit
through
the
Paytm
platform.
And
another
half
a
million
every
month
are
taking
incremental
credit
as
new
customers
on
the
Paytm
platform.
This
just
gives
us
a
very
good
segue
because
we've
spoken
in
the
past
that
a
very
large
portion
of
our
MTU,
close
to
40-45%
of
our
MTU

is
white-listed
on
various
loan
products
with
our
partners.

And
hence
we
feel
very
confident
that
while
we
continue
to
grow
new
business
through
new
consumers
and

the
fact
that
almost
40-50%
of
our
existing
loan
business
is
coming
from
existing
customers
or
merchant
business,
the
cumulative
effect
will
continue
to
give
us
a
20-30%
growth
rate
Quarter-on-Quarter
for
the
foreseeable
future.
In
terms
of
our

portfolio
I
think
the
portfolio
is
holding
up
very,
very
nicely.
We
continue
to
see
that
for
all
the
metrics
that
we
have
demonstrated
over
the
last
three
or
four
quarters,
there
has
been
zero,
any
kind
of
deviation
in
the
terms
of
portfolio
deterioration
of
any
kind.
In
fact,
the
portfolios
are
performing
better
than
the
expected
credit
losses
that
our
partners
have
assumed.
These

numbers
for
different
businesses
are
lower
between
50
basis
points
to
75
basis
points
between
Postpaid
to
Personal
loan
and
I
do
believe
that
going
into
the
next
year
with
higher
interest
rates
also
in
mind,
we
do
not
see
any
kind
of
lead
indicators
to
suggest
this
portfolio
quality
is
going
to
be
of
any
different
number
than
what
we
have
put
out
in
this

piece.
The
last
point
on
the
lending
side,
important
to
understand
is
that
our
focus
on
continuously
looking
at
the
regulatory
landscape
and
working
with
our
partners
to
make
sure
that
Paytm
is
always
upholding
every
regulatory
processes
that
is
being
laid
down
both
in
terms
of
the
directions
coming
in
from
the
Reserve
Bank
of
India
or
any
other
regulator
and
the
risk
appetite
of

lenders
is
making
our
business
more
solid
than
ever
before
and
we
are
committed
to
make
sure
that
we
keep
building
this
business
on
the
four
legs
of
risk,
compliance,
operational
efficiency,
and
profitability,
and
continue
to
scale
this
business
in
a
manner
that
you've
seen
thus
far.
Madhur
back
to
you.
Madhur
Deora:
Thanks
Bhavesh.
So
this
is
about
our
commerce
and
cloud
segment,
which

did
Rs.
420
crores
of
revenues
this
quarter.
The
main
drivers
of
this
were
our
credit
cards
and
commerce
business,
which
saw
quite
a
decent
jump.
On
the
co-branded
credit
cards
like
we
have
discussed
before,
which
is
a
part
of
our
commerce
and
cloud
business
that
continues
to
scale
particularly
well.
We
have
started
to
give
additional
disclosure
on
our
credit
card
business.
As
of

December,
2022,
we
now
have
4.5
lakh
activated
cards
and
we
activated
1.5
lakh
credit
cards
this
quarter.
Overall
for
this
cloud
segment,
our
revenue
grew
by
15%
to
Rs.
235
crores.
On
a
Q-on-Q
basis
there
was
some
impact
because
our
PAI
cloud
business
had
a
particularly
strong
last
quarter,
so
there
was
a
little
bit
of
impact
from
that,
but
on
a
Year-on-Year
basis

this
business
is
performing
fine.
On
enabling
commerce,
our
GMV
was
Rs.
2,300
crores.
Our
revenue
was
Rs.
185
crores
resulting
in
the
take
rate
of
8%.
We
did
have
high
volume
in
our
events
business
and
we
have
clarified
in
the
earnings
release
and
we
are
happy
to
take
in
Q&A
that
there
are
certain
events
in
which
we
provide
full
stack
services
so
we

have
high
take
rates,
but
also
high
direct
cost.
On
a
steady
state
basis
our
take
rates
should
be
roughly
6%
but
in
Q3
and
Q4,
we
do
see
a
little
bit
of a jump in the events business, including the full stack events.
And
finally,
we
just
wanted
to
call
out
a
number
of
growth
drivers
in
our
business.
One
is
that,
obviously,
as
all
of
you
experience
every
day
while
India
digital
payments
has
grown

quite
a
lot,
it
is
still
in
very
early
days.
Growth
in
UPI,
cards,
EMI
led
payments
all
of
this
is
yet
to
reach
the
masses.
So
we
think
that
just
from
a
user
standpoint
and
from
a
usage
standpoint,
there's
massive
growth.
We
are
going
to
be
launching
UPI
Life
soon,
which
allows
instant
multiple,
small
value
UPI
payments,
which
we
think
will
lead
to

an
increase
in
adoption
of
digital
payments.
We'll
also
be
launching
credit
card
on
UPI,
which
enables
users to link their Rupay and other credit cards to UPI.
On
the
merchant
side,
which
is
like,
Vijay
pointed
out
really
where
a
lot
of
revenue
can
be
made.
We
think
there's
a
potential
of
10
crore
merchants
and
more
than
50
crore
payment
customers

in
the
near
term
so
really a very large opportunity to go after.
We
are
on
the
lending
side,

working
on
integrating
with
large
NBFCs
and
banks
to
leverage
the
full
potential
of
small
digital
credit
on
the
Paytm
platform,
just
in
the
way
we
have
been
able
to
scale
it
to
Rs.
10,000
crores
a
quarter.
We
think
that
there's
a
long
way
to
go.
We
have
put
a
bunch
of
disclosure
in
our
earnings
release
about
how
we
are
working
with
RBI
regarding

both
Paytm
Payments
Bank
and
Paytm
Payment
Services
Limited.
And
one
of
the
things
that
we're
quite
proud
of
is
that
we
have
been
able
to
do
all
of
this
and
increase
our
focus
on
building
scale,
but
with
a
huge
amount
of
focus
on
operational
risk
and
compliance.
We
think
that
as
we
go
forward,
like
Vijay
mentioned
earlier,
this
is
going
to
be
quite

important
and
quite
a
differentiator,
both
in
terms
of
customer
experience
and
in
terms
of
what
regulators

expect from us. And I think that's all we had. I'll hand it back to the moderator and we can move to Q&A.

Moderator:

Thanks

Madhur.

We'll

now

proceed

to

Q&A.

Please

utilize

the

raise

hand

feature

on

your

Zoom

dashboard

if

you

seek

to

ask

a

question.

We

will

unmute

your

line

and

take

questions

in

the

respective

sequence

of

raised

hands.

With

that,

we'll

move

to

the

first

question

of
the
session,
which
will
be from Mr. Manish Adukia from Goldman Sachs.
Manish
Adukia:
Yeah
thanks
Keshav.
Hi,
good
evening.
Thank
you
for
taking
my
questions.
So
firstly
congratulations
on
reaching
the
milestone
of
operational
profitability
in
the
quarter,
my
first
question
actually
relates
to
that.
So
in
the
shareholder
letter
you
mentioned
that
the
next
milestone
you're
looking
for
is
free
cash
flow
profitability.
Now
with
the
UPI
reimbursement
coming
through

in
the
next
quarter
and
your
continued
traction
in
the
lending
business,
is
it
safe
to
say
that
you
should
get
to
positive
free
cash
flow
starting
the
March
quarter
itself
and
related
to
that
where
do
we
see
margins
go
from
here?
Are
double
digit
EBITDA
margins
possible
by
the
end
of
fiscal
2024?
That's
my
first
question.
I'll
wait
for
the
second question.
Vijay
Shekhar

Sharma:
Thank
you
Manish
and
I
just
want
to
tell
you
that
the
Q4
UPI
incentive
will
be
one
off
and
we
will
explicitly
call
it
out.
So
leaving
that
apart,
we
will
not
be
free
cash
flow
generative.
Understand
what
I'm
trying
to
tell
you
here
is
that
one
off
number
because
it
is
coming
in
Q4,
remember
the
number
Rs.
130
crore
that
we

are
quoting
is
for
three
quarters,
fourth
quarter
number
will
be
topped
up
on
top
of
it,
but
still
that
four
quarter
number
whenever
it
comes,
we
will
call
it
extraordinary
one
time
line
item.
And
because
I'm
calling
it
one
time
line
item,
so
I'm
not
calling
it
free
cash
flow
generative.
While
technically
with
that
effect,
adding
that,
yes,
it
could
be
free
cash

flow
generative
for
that
quarter,
but
again,
next
quarter
because
it
won't
be
there
so
then
we
don't
know
what
to
say.
We
would
rather
like
to
say
free
cash
flow
generative
on
the
quarter
when
we
are
consistently
sure
of
this.
For
example,
EBITDA
profitability
that
we
have
done
based
on
operations,
we
will
continue
to
increase
the
EBITDA
profitability.
Could
it
go
two
digits,

in
what
timeline,
I
don't
know,
but
yes
it
could
go
two
digits
for
sure.
And
like I said this is a sustained EBITDA growth that we are seeking from here.
Madhur
Deora:
Yeah,
I
sure
would
agree
with
that
and
I
think
it's
just
for
us
it's
important
that
the
timing
of
UPI
payments
will
vary
depending
on
when
the
government
releases
the
circular.
So
the
way
we
see
it
is
a
bit
of
a
normalized
number.
So
while

it
is
correct
that
we
expect
a
chunky
number
to
hit
our
reported
numbers
in
Q4
we
would
not
consider
that
as
a
normalized
result,
if
that
results
in
free
cash
flow
break
even
we
would
not
consider
that
as
normalized
free
cash
flow
break
even
or
a
milestone
in
that
journey.
And
on
the
second
part
of
your
question,
I
don't
want
to
get
to

specific
qu

arters
or
specific
guidance
but
we
did
want
to
call
out
that
and
nearly
everything
that
we
are
doing
is
very
sustainable.
We
as
you
know
have
been
investing
in
growth
alongside
moving
to
profitability.
So
we
don't
see
a
challenge
with
some
of
these
trends
continuing
where
we
can
continue
to
improve
our
revenue
and
our
contribution
profit
dollars
and having that result in increased profitability.
Manish
Adukia:
Sure

thank
you
so
much
for
that.
My
second
question
is
on
regulation
and
thank
you
again
for
providing
the
detailed
update
in
the
press
release,
would
you
be
able
to
give
us
any
sense
on
the
timelines?
I
mean
the
Paytm
Payment
Bank,
it's
now
obviously
lasted
longer
than
your
initial
expectations.
You've
had
some
back
and
forth
with
the
RBI
based
on
the
press
release,

can
you
give
us
a
sense of how long it might take, like a quarter, a couple of quarters longer? Any colour would be helpful?

Vijay
Shekhar
Sharma:

RBI
decisions
are
their
decisions.

We
don't
have
control
over
them.

Based
on
what we've been interacting with them, the day is not very far.

Manish
Adukia:
Right.

And
can
I
ask
a
follow
up,

I
mean,
have
you
had
to
make
any
kind
of
meaningful
operational changes to resolve this ban that could have any kind of business impact?

Vijay
Shekhar

Sharma:
That's

a
very
good
question.

Answer
is
no.

RBI
actually
called
out
that
we
went
through
all
kinds

of
different,
different
technology
systems
or
let's
say
commercial
systems,
et
cetera,
et
cetera.

But
in
the
end
there
was
no
incremental
dramatic
change
that
we
had
to
do
or
anything
that
has
an impact on OCL level.

Manish Adukia:

Sure. Thank you so much. That's all
I have and I'll jump back in the queue.

Vijay Shekhar Sharma:

Thank you Manish.

Moderator:

Thanks Manish. The next question will be
from Mr. Sachin Salgoankar of Bank of America.

Sachin

Salgoankar:

Hi
thank
you
for
the
opportunity
and
congrats
for
a
great
set
of
numbers.

I
have
three
questions.
First
question
is
when

we
look
at
Payment
Services
to
Consumers
it
is
down
on
a
Q-o-Q
basis
and

I
do
understand
your
comments,
but
just
wanted
to
understand
the
outlook
going
ahead,
how

should we look at, will there be incremental growth or we do see a bit of a softness in the near term?

Vijay Shekhar Sharma:

We see growth. We are removing
the bad blood.

Sachin

Salgoankar:

Okay,
great.

Second
question

is
Vijay
on
the
comment,
what
you
made
about,
the
clean
up
with
merchants
so
what
kind
of
an
impact,
and
there
was
obviously
a
statement

at
the
end
by
Madhur
saying
that,
the
opportunity
is
huge
in
terms
of
100
million
merchants.

So
possible
to
help
us
with
a
bit
of
a
lay
of
the
land
in
terms
of
merchants,
what
kind
of
merchant
clean
up
are
you
seeing
and
what

kind of focus of merchants is what you guys are having going ahead?

Vijay
Shekhar
Sharma:
So
Sachin
in
the
market
there
were
merchants
where,
let's
say
the
rates
that
were
provided

were
special
case
scenario
rates,
for
example
like
you
go
to
an
issuer
bank
and
then
you
generalize
the
commercial
based
on
that.
But
over
the
period,
those
rates
were
changed,
but
the
customers
rates
did
not
change.
So
they
were
not
net
revenue
profit
generating
for
us,
net
profit
generating
for
us.
So
we
were
extremely
critical
of
accounts
that
were
not
profit
generating
for

us.
We
were
clear
in
the
market
that
none
of
our
competition,
who
is
a
private
player,
can
even
afford
to
take
these
kinds
of
costs.

So
we
were
clear
about
it
that
take
it
or
leave
it,
and
we
left
many
of
those

merchants. It was led by cleanup of quality revenue that contributes towards bottom line and growth.

Madhur

Deora:

Sachin

if

I

may

add

just

the

filter

that

we

use

is

that

the

merchant

should

be

profitable

with

the
only
exception
where
we
see
immediate
upsell
opportunities,
right?
So
for
example,
a
paper
QR
merchant
historically
was
not
profitable.
Now
with
UPI
incentive,
they
are
profitable
as
well
actually
but
we
also
see
upsell
opportunities
there,
which
is
devices
and
merchant
len

ding
and
so
on,
right?
But
for
example,
certain
online
merchants
you
would
not
see,
for
example,
lending
upside
so
those
businesses

need
to
be
profitable
for
us
because
we
build
technology,
we
help
them
with
routing,
we
help
them
aggregate
different
types
of
payment
instruments
and
therefore
we
should
be
able
to
make
margin
on
it.
And
that
discipline
has
percolated
to
every
single
business
team
and
as
a
result
we
have
been
able
to
improve
our
net
payment
margin.
There
has
been
a
marginal
impact
on

revenue
but
on
a
year
on
year
basis
we're
still
growing
very
significantly.

So
I
think
we
quite
like
the
trade
off
where
our
revenue
is
up
34%,
like
for
like,
and
our
net
payment
margin
is
up
120%
like
for
like.

I
think
that
brings
a
lot
of
great
discipline to the business. That's the right way of building a business.

Sachin
Salgoankar:

Got
it.

Thanks
Madhur
and
last
question
obviously,
is
in
the
back
of

the
adjusted
EBITDA
break
even
and
obviously
you
guys
are
seeing
the
sustainability
of
this
so
on
the
back
of
it
I
guess
the
bar
goes
higher,
right?
So,
should
we
see
some
kind
of
an
incremental
new
guidance
coming
from
you
guys
in
terms
of
either
a
net
income
or
a
reported
EBITDA
breakeven
or
to
that
matter,
even
you
know
when
could
we
see

free
cash
flow
breakeven?
I'm
asking
of
free
cash
flow
because
I
presume
there's
a
bit
of
a
device
Capex,
which
is
going
to
increase
going
ahead.
So
any
thoughts,
any
comments
would be helpful?
Vijay
Shekhar
Sharma:
Thanks
Sachin.
We
are
not
giving
any
incremental
guidance
on
free
cash
flow,
but
we
are
definitely
making
sure
that
we
have
sustained
and
growing
profitability.
I
also
want
to

remind
you
that
we
would
have
lots
of
investments
coming
up
and
in
growth
and
market
opportunity.
You've
seen
it
that
we've
never,
ever
compromised.
Important
thing
is
disciplined
growth
in
profitability,
disciplined
contribution
in
growth
and
marketing.
So
it's
an
important
thing
that
they
are
saying
that
our
profitability
will
continue
to
grow
consistently
along
with
the
investments
that
we
are
looking
at.
As
far

as
the
timeline
for
free
cash
flow
generation
is
concerned
we
are
not
setting
it
up
and
we
believe
that
the
money
requirement
for
Capex
is
not
very,
very
large.
It
is
very
much
generatable
within
the
current
operating
business that we have like we had discussed in December month.

Sachin Salgoankar:

Perfect. Thanks Vijay and all the
best for future.

Vijay Shekhar Sharma:

Thank you.

Moderator:

Thanks Sachin. The next question will be
from Mr. Saurabh Kumar of JP Morgan.

Saurabh

Kumar:

Hi

guys,
congratulations
on

this
EBITDA
break
even.

I
just
had
two
questions.

First

is

on

this
cash
flow
again,
so
could
you
reconcile
this
Rs.
9,200
crore
cash
balance
to
Rs.
9,000
crore
in
December?
How
much
was
the
CapEx
and
how
much
went
into
buyback
and
so
I
just
want
to,
where
does this Rs. 200 crores go?
Madhur
Deora:
So
in
the
last
quarter
we
had
just
under
Rs.
200
crores
of
CapEx
Saurabh.
We
do
earn
interest
income
as
well.
So
we
do

earn
about
Rs.
100
crores
of
interest
income
every
quarter.
We
have
actually
given
disclosure
on
how
much
buyback
we
had
done
until
December.
The
number
was
Rs.
68
crores.
I
should
add
at
this
point
that
as
of
Friday
we
had
completed
Rs.
796
crores
of
buyback
in
total
which
was
about
90%
of
the
maximum
buyback
amount
that
our
board
has
approved
so
the

vast
majority
of that would have come in Q4.

Saurabh

Kumar:

Okay.

Okay,

so

Rs.

200

crores

of

CapEx

and

Rs.

100

crores

interest

income,

okay

I

understand.

The

second

is

essentially

on

the

loan

syndication.

Have

you

still

seeing

the

incentive

income

yet flow from banks Bhavesh or that will happen later?

Bhavesh

Gupta:

Yeah,

no,

so

we

don't

do

syndication

Saurabh

as

you

know.

We

do

distribution.

So

yeah,

we

do

see

a

decent

amount

of

collections

revenue,

which

come
in,
but
as
we
had
explained
last
year
or
last
time
also,
that
the
collection
revenue
comes
for
a
book
that
we
originated,
let's
say
one
year
back,

right
because
personal
loans,
merchant
loans,
average
tenures
are
between
14-15
months
so
the
incentive
is
coming
for
the
business
that
we
generated
14-15
months
back.
Now
14-15
months
back,
obviously
business
was
one
third,
one
fourth

depending
on
the
business
you
look
at
of
the
size
so
the
collection
incentive
in
terms
of
rupee
value
in
today's
term
looks
small,
but
yes,
in
percentage
terms
of
that
yearbook,
the
number
is
fairly
material.
So
yes,
we
are
getting
a
very
healthy
collection
incentive,
but
rupee value, the number is small because it is on last year's business.

Saurabh Kumar:

And would you be able to quantify that

like...

Bhavesh

Gupta:

Yeah,

we

have

said

in

this

presentation

also

our

collection

incentive

is

ranging
between
0.5
to
1.5%
depending
upon
the
business
that
you're
looking
at.

Obviously
for
postpaid
it
is
between
0.5-0.75%.

Saurabh
Kumar:

Okay.

And
just
this
last
question,
is
on
the
sustainability
of
this
indirect
cost
so
you've
not
grown
indirect
for
three
quarters
and
your
marketing
expense
to
revenue
has
kind
of
fallen
to
6%
so

how should we think about this indirect cost going ahead? Any colour you can provide will be really great.

Madhur

Deora:

As
we
said
before,
I
think

we
have,
prior
to
two
quarters
ago
we
had
done
a
significant
ramp
up
of
indirect
expenses
in
three
main
areas.
One
was
technology.
The
second
is
sales
and
the
third
is
marketing.
So
we
had
done
that
even
as
we
were
increasing
contribution
margin
and
revenues.
You're
right
to
notice
that
over
the
last
three
quarters
we
have
kept
indirect
expenses
flat
in
absolute
terms,

and
in
percentage
terms
it
has
gone
down
by
nine
points.
I
think
given
how
well
our
monetization
engines
are
working,
if
there
are
areas
where,
whether
it's
on
sales
employees
or
in
marketing,
where
we
would
make
where
we
could
make
slightly
incremental
expenses,
we
would
do
that.
So
it's
not
like
we
are
sort
of
internally
managing
this
number
to,
hey,
we
have
to

cap
it
to
Rs.
1000
crores
or
something
or
anything
of
that
sort.
So
where
we
do
see
investment
opportunities,
we
do
that.
You
would've
seen
that
within
this
Rs.
1000
crore
number,
people's
cost
has
gone
up
largely
driven
by
sales
employees
and
in
some
cases,
technology
folks.
So
we
do
make
those
choices.
So
as
monetization
is
kicking
in,
we
might
increase
this
number

over
the
next
few
quarters
but
not
at
the
expense
of
increasing
profitability
and
free
cash
flow.
And
frankly,
given
how
well
monetization
is
working,
we
don't
have
to
make
those
sorts
of
tough
choices,
if you will.

Saurabh Kumar:

Okay got it. Thank you.

Madhur

Deora:

We
do
also,
I
should
also
add
that,
like
all
companies
in
February,
sorry,
in
April
of
every
year,
we
also
have
appraisals
so
that
also

has
an
impact
on
employee
expenses,
but
that's
one
quarter
only.
Saurabh
Kumar:
Okay
and
just
one
follow
up
so
of
the
employee
costs,
Rs.
300
crores
is
the
discretionary,
that
cost
of
building
a
platform,
a
growth,
your
growth
cost,
the
remaining
Rs.
700
crores
is
basically
just
the
maintenance
cost
of
this
whole
business,
right?
That's
the
way
one
should
think
about
it?
Vijay

Shekhar
Sharma:
No,
no,
no
we've
given
making
costs
and
expansion
costs.
Field
sales
executives

are
one
cost.
Second
cost
is
people
who
make
it
so
the
appraisal
happens
of
the
people
who
make it.

Saurabh Kumar:

Okay. Okay got it. Thanks Vijay.

Moderator:

Thanks Saurabh. The next in queue would
be Rahul Jain from Dolat Capital.

Rahul

Jain:

Yes.

Hi

thanks

for

the

opportunity.

I

just

have

a

couple

of

questions.

Firstly

if

I

look

at

our

promotional

cash

back,

even

on

an

adjusted
basis
for
the
Rs.
78
crores
that
you
mentioned,
it's
kind
of
large,
Rs.
30
to
40
crores
on
Q-o-Q
basis
and
it's
not
significantly
higher
even
on
Y-o-Y
basis,
but
we've
been
adding
our
number
of
MTU
quite
well
even
on
a
Q-o-Q
and
Y-o-Y
basis.
So
I
understand
a
very
large
component
here
could
have
come
from
lending
and
devices
use
cases,
but.

where
we
are
and
how
we are adding

more and more MTUs with cutting down on both promotions and marketing side?

Vijay
Shekhar
Sharma:
Rahul,
these
MTU
additions
as
you
very
well
have
seen,
are
not
driven
by
cashback.
Instead,
they
are
driven
by
good
marketing
that
is
led
by
referral
marketing,
and
great
product
initiatives
where
customers
who
have
downloaded
the
app
we
are
converting
them
in
a
better
way
than
previous
in
first
transactions
so
we
internally
have

a
first
transaction
hawkey
view
of
the
customer
and
then
retainance
technologies.

So
it
is
productive
technology
driven
by
referral
as

a
product
initiative,
not
by
the
marketing
initiative.

That
said,
like
I've
always
said
it,
we
will
not
shy
away
from
investing
in
consumer
growth

at
a
time
when
we
see
that
we
have
outlier
profit
opportunities
coming
up.

So
right
now
it is product technology.
Rahul
Jain:

Right.
So
does
that
mean
our
annual
transacting
user

is
still
a
very
high
number
from

where
this retention optimization has been done and if you could share that number?

Vijay
Shekhar
Sharma:

Rahul
we
are
very,
very
interested.

I
want
to
tell
you
that
we've
looked
at
UPI
because
this
was
the
war
of
UPI
effectively
between
different
companies.

Somebody
chose
consumer
P2P,
somebody
chose
P2M,
the
merchant
payment,
we
chose
merchant
business.

So
if
you
notice,

our
merchant
business
revenue
in
the
industry
of
payments
is
particularly
higher
than
every
other
peer
all
because
we
put
attention
there.
In
fact,
our
acquiring
side
market
share,
which
NPCI
does
not
yet
declare,
once
they
start
declaring,
you
will
see
how
well
we
are
capitalized
there
over
other
UPI
players,
also
standalone
UPI
players
or
other
remit
aggregators.
So
the
idea
is
that
we

have
deliberately
built
it
led
by
product
and
technology
on
the
consumer
side
and
acquiring
side
is
what
our
revenue
and
business
opportunity would be. So we do the consumer side also.

Madhur

Deora:

Rahul

just
to
clarify,
we
have
not
slashed
cashback
or
anything
of
that
sort.
Our
contribution
margin
continues
to
improve.

So
we
do
have
room
if
we
wanted
to,
to
increase
cash
back,
but
there
just
hasn't
been
-
like
Vijay

said
it's
very
product
led.
Our
learning
is
that
customers
long-term
stay
with
you
for
a
product
or
the
product
is
improving,
they
just
stay
with
you.
So
we
are
roughly
doing
about
three
basis
points
so
just
under
three
basis
points
of
GMV
as
cashback.
A
chunk
of
that
is
referral
which
is
really
targeted
towards
new
users
and
the
rest
of
it
is
just

related
to
just
transactions
that
users
do
where
we
have
recently
good
take
rates,
and
we
might
be
giving
a
little
bit
of
that
back
to
users.

So
that's how we manage our business but we have not sort of slashed cash back or anything of that sort.

Rahul

Jain:

Right,
right.

And

just

one

more

if

I

can,

basically

we

have

been

highlighting

this

new

net

payment

margin

and

we

have

given

a

band,

while

we

see

the

way

we

have

progressed,

we

have

improved
on
this
metric
very,
very
significantly
and
the
kind
of
net
margin
that
we
are
making
right
now,
probably
we
might
not
have
made
in
the
historical
basis
anytime
in
the
past.
So
what
makes
you
think
that
this
will
get
optimized
to
this
level
and
rather
go
down
eventually
just
because
of
the
mix
because
I
think
the
number
of
use
cases
and
the

kind
of
the
value
or
GMV
individual
transaction
can
bring
it
has
such
a
wide
variety
of
possibilities.

It
would
be
never
be
possible
for
anybody
to
capture
this
number
precisely so why we want to share this number and think this can pull up?

Madhur
Deora:
I
think
when
you
adjust
for
UPI
mix,
which
we
have
clarified
and
you
mentioned
in
your
question
the
mix
effect
we
think
that
this
is
a
reasonably
good
indication
of
how
much

money
are
we
able
to
make
on
each
transaction,
right
and
you're
right
that
certain
transactions
may
make
us
lower
money.
That
could
depend
on
the
type
of
merchant,
type
of
customer.
It
could
depend
on
the
type
of
instrument
so
this
gives
us
a
reasonably
good
sense
of
if
a
custome

r
comes
on
our
app
versus
if
we
are
on
the
merchant
app
or

in
the
merchant
shop
and
what
is
the
value
that
we
are
adding
for
the
technology
that
we
bring
or
for
the
consumer
access
that
we
bring
to
our
merchants,
or
the
convenience
that
we
bring
to
the
consumers.
So
we
think
that's
a
reasonably
good
proxy
for
that
and
while
UPI
mix
and
we
have
mentioned
that
UPI
we
expect
to
be
three
or
four

basis
points
so
that
increasing
would
bring
this
number
down
slightly.
We
think
this
is
a
reasonably
good
number
to
focus
on
and
I
think
the
part
of
the
reason
to
bring
that
out
was
to
clarify
that
payments
actually
does
make
money
on
an
aggregate
basis
on
GMV
because
I
think
there
was
some
misunderstanding,
at
least
among
some
folks
that,
oh,
payments,
everything
has

to
be
at
zero
and
we
just
wanted
to
clarify
that
that
is
not
the
case
and
that
is
certainly
not
the
trend
that
we
see.
And
in
fact,
over
the
last
few
quarters,
we
have
seen
this
number
go
up
rather
than
down, right and we see continued momentum in this number.

Rahul Jain:

Great. That's all from my side thanks.

Moderator:

Thanks Rahul. The next question will be

Mr. Sameer Bhise from JM Financial.

Sameer

Bhise:

Yeah.

Hi

thanks

and

congrats

on

the

good

numbers.

So

on

the

gross

margin

thing

do
we
expect that this is the new normal?

Madhur Deora:

Sorry, on which number?

Sameer Bhise:

On the gross profit margin?

Madhur

Deora:

I'm

sorry,

what

are

you

referring

to

exactly

as

gross

profit

margin?

Are

you

referring

to

net

payment margins Sameer?

Sameer Bhise:

So basically the contribution profit
which is currently tracking 50% plus.

Madhur

Deora:

Yeah

so

there

are

no

one-offs

in

this

number

and

we

are

ahead

of

our

internal

plans

and

the

plans

that

we

have

sort

of

shared

on

the

basis

of

which

we

had

shared

breakeven
guidance,
but
there
are
no
one-offs
in
this
number.
So
we
should
assume
that
we
would
be
at
roughly
these
levels
with
potential
upside
from
growth
of
lending
faster
than
payments
and
those
sorts
of
things,
but
there
are
no
one
offs
in
this
number.
So
yes,
this
is
a
rebased
margin
number
going
forward.
And
I
should
add
that
from
quarter-on-quarter
we
may
have

fluctuations
but
on
the
long
term
best
basis
we
see
this
as
steady
and growing.

Sameer

Bhise:

Yeah
and
secondly
on
the
number
of
employees

I
believe
the
material
increase
has
come
from
addition
of
sales
force
on
the
employee
cost
side.

We
probably
are
at
rough,

I
mean,
how
much
more to go in terms of on ground sales force additions?

Madhur Deora:

Bhavesh you want to take that?

Bhavesh

Gupta:

So
Sameer,
the
opportunity
is
fairly
decently
large
for
us.
As

Madhur
said
in
the
beginning
of
the
conversation,
we
added
about
three
quarters
back
a
lot
of
people.
Today,
when
we
see
the
opportunity
in
the
future,
we
do
believe
that
we
will
add
not
as
much
as
we
added
three
quarters
back,
but
we'll
keep
adding
a
few
more,
but
what
would
be
the
exact
number
we
haven't
done
the
AOP
planning,
but
yes
there

is
going
to
be
addition,
but
it's
not
going
to
be
a
be
a
materially
large
addition.
It'll
be
an
addition,
which
will
be
positive
in
terms
of
getting
us
more
devices
per
incremental
sales
force
than
what we've done in the past.
Sameer
Bhise:
Yeah
because
we
are
already
probably
tracking
roughly
30,000
kind
of
sales,
I
mean
on
ground sales team, which is sizeable.
Bhavesh
Gupta:
Yeah
so
it's
not
actually
that
large
a

number,
but
yeah,
it's
closer
to
that
number.
But
the
important
part
here
is
that
when
we
look
at
the
opportunity,
as
Vijay
mentioned,
of
10
crores
merchants
as
an
opportunity
and
we're
sitting
with
three
crores
merchants
today
we
have
a
very,
very
long
way
to
go.
We
are
currently
placed
in
about
400
to
450
cities
and
towns,
and
our
belief
is
that
over

the
next
two
to
three
years,
we
would
like
ourselves
to
be
in
maybe
a
thousand
towns.
So
this
penetration
will
be
a
bit
more
people
led.
But
yeah,
we'll
calibrate
it
as
we
see
the
growth,
but
it'll
not
be
on
the
back
of
doing
loss
making growt

h, but be on the back of making profitable growth.

Madhur

Deora:

And

Sameer

if

I

could

just

add

one

thing

is

the

work

that

these

sales

employees
do
has
a
very
good
payback
period
especially
when
they're
going
and
putting
sound
boxes
and
devices
and
so
on.
So
the
unit
economics
on
that
works
really
well.
So
it's
just
a
question
of
do
you
do
upfront
investment
like
we
have
done
or
do
you
sort
of
stagger
it
over
time,
but
we
have
such
high
conviction
that
we
have
done
the
upfront

investment
and
it
goes
a
little
bit
back
to
the
question
that
Sachin
was
also
asking
is
that
we
have
sort
of
gone
from
2
million
devices
to
5.8
million
devices
for
that
sort
of
growth
you
do
end
up
front-ending the investments a little bit and that's what we have done.
Sameer
Bhise:
Yeah
and
the
payment
services
to
merchant
piece
is
clocking
like
9%
Y-o-Y.
I'm
sure
with
the
kind
of
devices
that
you've
added

in
the
last
9
to
12
months,
this
number
starts
ratcheting
up,
but
how
does one see this?
Bhavesh
Gupta:
Yeah
I
think
Sameer
Vijay
tried
to
answer
that
question
earlier
in
that
part
that
two
things
have
happened.
One
piece
is
that
last
year
we
were
clocking
in
certain
GMV
and
hence
certain
gross
revenues
of
merchants,
which
are
either
not
profitable
or
we
were
not
very
comfortable

purely
from
a
risk
perspective.

So
we've
done
a
lot
of
cleanup
over
the
last
two
quarters.

I
think
the
cleanup
started
in

quarter one and then we moved in quarter two and then we had some residual impact in quarter three.

Sameer Bhise:

So there is some impact this time around
as well?

Bhavesh

Gupta:

Yeah
but
future
going
forward,

I
think
when
you
get
into
the
next
year,
we
do
see
that
the
cleanup
that
we
had
to
do,
we
have
done,
and
we
will
have
some
more
win
back
coming

back
from
those
merchants
who
on
commercial
basis
had
been
left
off
because
we
do
know
our
product
is
arguably
the
best
in
the
country
so
it'll
come
back
to
us.
And
more
importantly
is
that
our
acquisition
machinery,
as
you
directly
pointed
out,
is
going
to
continue
to
churn
a
lot
more
GMV
than
what
we've
done
in
the
past.
So
you
will
see
growth

coming
into
this
factor
and
this
will
be
more
profitable
growth
than
we've
seen
in
the past.
Madhur
Deora:
And
just
to
add
to
that
there
are
two
other
factors
when
you're
looking
at
a
Y-o-Y
comparison
Sameer
I
apologize
if
I
wasn't
clear
earlier,
one
is
obviously
UPI
incentive
so
in
December
quarter
last
year,
we
had
UPI
incentive
in
this
December
quarter
in
the
number

that
you
are
referring
to
for 9% Y-o-Y.
Sameer Bhise:
Yeah it does indeed include incentive.

Madhur
Deora:
So
that's
one
difference.

The
second
is
because
Diwali
was
a
bit
later
last
year
some
of
our
online
merchant
sales
had
online
merchants
had
sales
in
October
and
early
November
whereas
this
time
most
of
our
merchants
had
their
big
sales
in
September
and
a
few
smaller
sales
in
October
so
sort
of
some of that revenue got moved to Q2 this year versus being in Q3 last year.
Sameer Bhise:

Fair enough. This is great. Thank you
and all the best.

Madhur Deora:

Thank you, Sameer. Thanks for your questions.

Moderator:

Thanks Sameer. The next in line would be

Gaurav Kochar from Mirae Asset.

Gaurav

Kochar:

Yeah

many

congratulations

to

the

team

on

achieving

the

operating

profitability

well

ahead

of

guidance.

Questions,

firstly

on

the

lending

side

so

while

you've

disclosed

the

penetration

level

in

merchant

loans

as

a

percentage

of

device

merchants

similar

like

to

like

on

the

consumer

side,

if

you

can

call

out

what

is

the

total

let's

say

user

base
of
BNPL
product,
which
is
your
postpaid
so
if
you
can
give
the
number
of
users
who
have
subscribed
to
postpaid
and
maybe
PL
as
a
percentage
of
that
PL
disbursed
in
the
last
12
months
as
a
percentage
of
that
how
would
that
number
be.
And
like
you
have
mentioned
repeat
rate
of
45%
in
case
of
merchant
loans
given
that
this
product
is

also
more
than
12
months
old
now
what
is
the
repeat
rate
in
case
of
PL
and
going
ahead
in
terms
of
this
sort
of

penetration
PL
as
a
percentage
of
your
BNPL
customer
base
where
do
you
see
it
tracking?

So
that
would
be
first
on
the
lending side. I have another question. Maybe I'll ask it later.

Bhavesh

Gupta:

Sure

Gaurav.

So

Gaurav

we

have

said

8.1

million

users

have

gone

ahead

and

taken
any
form
of
credit.
Out
of
8.1
million
broadly
I
would
say
closer
to
7
million
are
people
who've
taken
BNPL
Credit
and
that
number
we
do
see
adding
about
400,000
new
users
every
month.
So
that
is
that
is
there
and
hence
the
percentage
of
MTU
still
this
is
about
less
than
10%
and
in
terms
of
lenders
white
list
which
is
closer
to

about
40
million,
there
is
a
very,
very
long
way
to
go.
So
there
is
obviously
no
holding
us
back
in
growing
this
business
at
400,000
to
500,000
new
users
on
BNPL
every
single
month.
In
terms
of
the
personal
loan
in
terms
of
penetration,
that
number
will
be,
I
don't
have
an
exact
number,
but
I
can
give
you
a
range
bound,
that
number
is

fairly
small
against
the
7
million
users
who
have
BNPL.
The
number
of
users
who
have
been
pre-approved
for
a
personal
loan
by
lenders
will
be
close
to
about
2
million,
of
which
I
think
about
300,000
to
400,000
users
have
taken.
And
every
month
we
see
about
30,000
to

40,000 users take PL from the BNPL pool. So again, that opportunity continues to be very, very large.

Gaurav Kochar:

You have the MTU numbers, 4%, 0.8%,
5.2%

Bhavesh

Gupta:

The
third
piece
of
question
is
in
terms
of
PL

to
existing
PL
I
did
mention
earlier
in
my
conversation
that
that
is
closer
to
about
15
to
20%
today
and
as
the
book
continues
to
keep
maturing,
this
ratio
will
stabilize
at
about
40-45%
of
existing
PL
customers
taking
another
PL
over
the
next
12
to
18
months.
I
don't
think
that
the
BNPL
customers
taking
PL
that
ratio
is
40%
of
PL
coming
from

existing
BNPL
customers,
this
ratio
is
going
to
change.

So
the
stable
use
case
will
be
about
40%
of
PL
coming
from
BNPL,
another
maybe
40%
coming
from
existing
PL
and
the
remaining
coming
from
new
to
PL
for
the
first
time
so
there
is
a
very
decent
runway
ahead
of
us
for
many,
many
years
to
continue
to
penetrate

into the current MTU and obviously our MTU is also growing fairly at a good clip.

Gaurav
Kochar:
Great,
great
sure.

So
just
to
clarify
the
first
form
of
credit
that
we
give
to
the
user
is
a
postpaid or you directly give PL.
Bhavesh
Gupta:
So
it
depends
upon
the
lender's
risk
appetite.
There
are
different
funnels.
The
user
can
opt
for
BNPL
or
personal
loan
or
credit
card
or
merchant
loan,
a
different
white
list,
but
there
is
an
upsell
opportunity
from
BNPL
to
a
PL.
It's
not
to
say

that
you
can't
take
directly
a
PL.
Obviously
the
risk
policy
of
lenders
are
more
tougher
if
you're
coming
absolutely
new
to
personal
loan
whereas
the
risk
policy
for
somebody
who's
upgrading
from
BNPL
after
repaying
six
months,
is
a
bit
more
lenient
because
they
have
seen the risk play out for that user for the last six months.
Gaurav
Kochar:
Got
it
sure.
Thanks.
Second
question
is
on
the
credit
card
side,
we've
added
about
1.5
lakh

cards
in
this
quarter.
Just
wanted
to
understand,
was
this
a
festive
quarter,
hence
the
run
rate
is
high,
or
you
believe
incrementally
we
can
add
50,000
cards
every
month,
or
1.5
lakh
for
the
quarter
kind
of
run
rate
in
the
near
future?
And
also
if
you
can
give
some
colour
around
what
percentage
of
the
total
income
on
the
cloud
business
would
be
coming

from
credit
card
business
and
going
ahead,
let's
say
taking
a
two
year
view,
assuming
a
certain
number
of
cards
what
would
be
the
proportion
of
this
in
the
cloud
business?
Bhavesh
Gupta
(00:58:16):
So
let
me
take
the
cards
question
in
some
detail
and
then
I'll
hand
it
over
back
to
Madhur.
The
cards
business
I
don't
think
our
business
is
linked
to
any
kind

of
festivity
because
we
don't
have
an
offline
distribution
of
the
card
business.
It's
purely
playing
on
the
digital
journeys
that
customers
are
white
listed
by
issuers
and
they
consume
it.
So
yes,
the
short
answer
is
that
the
run
rate
of
50,
000
is
not
issued
cards.
It
is
activated
cards,
we
don't
track
issued
cards.
Our
belief
is
that
we
only
want
our
partners

to
look
at
where
the
cards
are
getting
activated
on
which
they
can
get
spend,
and
we
can
make
money.
So
50,000
is
a
run
rate
that
we've
been
doing
for
the
last
couple
of
months,
and
I
believe
that
this
run
rate
is
only
going
to
become
better.
And
I
had
said
in
my
conversation
in
the
past
that
we
aspire
to
look
at
about

a
million
cards
to
be
issued
in
the
next
12
to
18
months,
and
we
are
sticking
to
the guidelines. Madhur?

Madhur

Deora:

Yeah

Gaurav

credit

cards

as

a

percentage

of

cloud

revenue

would

be

about

20

to

25%

and

we

do

expect

that

to

grow,

given

that

credit

cards

as

a

business

is

expected

to

grow

faster

given

the

very low penetration that we have.

Gaurav

Kochar:

Alright,

thanks.

Just

last

question,

if
I
can
squeeze
in
on
the
sales
force,
we've
added
about
5,000
on
an
average,
there's
been
a
5,000
employee
uptake
in
this
quarter
and
I
understand
this
would
be
largely
towards
the
merchant
business
acquisition
that
has
been
so
successfully
doing.
I
just
wanted
to
understand
is
...
in
terms
of
the
device
run
rate
we've
been
adding
300,000
every
month
or
about
a

million
every
quarter
going
forward
given
that
the
headcount
has
increased,
can
we
expect
this
run rate to improve going ahead?

Bhavesh

Gupta:

The
answer
is
yes.
We
are
already
seeing
metric
for
January
become
better
over
December
and
we
do
believe
that
this
number
is
going
to
become
better
than
what
we
reported
in
the
past.

Gaurav Kochar:

Alright. Alright that's it from side.

Thanks and all the very best.

Moderator:

Thanks

Gaurav.

We'll
have
time
to
take
one
more
question

and
the
last
question
of
the
session will be from Mr. Manish Shukla of Axis Capital.

Manish

Shukla:

Good
evening,
and
thank
you
for
the
opportunity.

So
first
on
the
sales
force
of
about
29,000, how many would be off roll?

Bhavesh

Gupta:

So

Manish

we

don't

have

off

roll

as

a

concept

in

sales

force.

So

this

team

is

on

the

rolls

of either our subsidiary or directly mostly.

Manish Shukla:

So the cost that you report it fully
accounts for this entire 29,000 people?

Bhavesh

Gupta:

Yeah,

there

would

be

attrition

in

the

front

end,

so

they

may

not
have
spent
a
full
time,
so
the
guy
may
not
be
earning
a
full
month
salary,
et
cetera.
As
you
can
imagine,
people
who
generally
spend
more
than
30-45
days,
they
continue
to
remain
in
the
system
for
a
long
period
of
time
on
which
we
spend
the
entire
salary
and
incentive.
But
yes
we
will
pay
to
these
people
even
if
they're
staying
for

one
month, one day.

Manish
Shukla:

Okay,
sure.
The
next
question
is
the
interchange
for
postpaid
that
you
reported
that
roughly
works
out
about
1.5%
of
the
postpaid
loans
for
the
quarter.
You
think
that's
broadly
the
right
run

rate to look at it going forward as an expenses.

Bhavesh

Gupta:

Yeah
so
this
is
a
good
question
you
asked.
So
this
used
to
be
when
we
started
this
business
maybe
two
years
back
we
had
to

incentivize
merchants
and
users
to
either
take
or
accept
postpaid.
This
number
used
to
be
higher,
close
to
2.5-3%.
We've
seen
over
the
last
two
years,
this
number
has
now
fallen
to
1.5%.
And
as
per
the
new
digital
lending
guidelines
wherein
this
particular
product
has
to
be
disbursed
directly
to
the
merchant
through
payment
aggregators,
hence,
it'll
become
interchange.
We
do
see
that
over
a

period
of
time
with
the
scale
that
we've
achieved
hopefully
this
number
should
settle
down
more
closer
to
where
interchanges
are
for
credit
cards
of
low
value
credit
cards,
but
at
the
point
in
time
1.5
is
seemingly
optimum
that
we
and
our
lending
partner
look
at,
but
our
endeavour
is
to
make
sure
this
number
can
fall
down
from
1.5%
to
maybe
closer
to
1%

of
1.2%
over
a
longer period of time.

Manish

Shukla:

Okay

thanks.

Then

If

I

were

to

look

at

payment

processing

charges,

excluding

interchange,

that

works

out

to

roughly

about

55%

of

gross

payment

revenues.

Is

there

scope

to

optimize

this further

r because obviously this has come down quite drastically over the last couple of years?

Madhur

Deora:

Manish

that's

not

quite

how

we

look

at

the

business

so

I

would

discourage

you

from

looking

at

that

as

a

metric

because

by

that

metric
you
wouldn't
do
credit
card
business,
for
example,
right?
In
credit
card,
you
can
charge
a
merchant,
let's
say
1.5,
1.7,
1.8%,
but
a
large
chunk
of
that
becomes
payment
processing
cost.
You
still
make
a
chunky
margin.
You
still
might
make
10,
15,
20
basis
points
on
that
GMV
which
is
absolutely
worthwhile
for
us
to
do,
but
we
don't
really
sort
of
manage

this
number
to
say,
okay,
is
it
55%
or
60%
or
50%?
So
I
wouldn't
quite
look
at
like
that.
I
would
look
at
it
in
the
way
that
we
have
explained
it
in
December
and
earlier
today,
which
is
what
is
that
as
a
percentage
of
GMV
overall
as
in
our
net
payment
margin,
which
is
revenue
minus
processing
cost,
what
is
that
as
a

percentage
of
GMV
and
for
that
we
have
sort
of
said
we
are
currently
at
7-9
bps
and
over
time
because
of
mixed effect this may go down slightly.

Manish
Shukla:

Okay
thanks.

The
last
question
if

I
look
at
the
growth
in
financial
services
revenue
that
is
less
than
the
growth
in
value
of
the
loans
disbursed.

So
if
one
were
to
calculate,
take
that
as

financial
services revenue to loans disbursed that has been trending down. What is causing that?

Vijay
Shekhar
Sharma:

Revenues
of
previous
year's
loans
and
disbursement
revenue
is
of
this
year's
loans
so
it's
a
combination
of
incentive
of
collection
plus
disbursement
because
incentive
of
collection
of

the previous year, which is 400% less so your number would look small next year.

Manish

Shukla:

Should

one

look

at

it

as

a

six

month

lag

or

12

month

lag?

What

is

the

right

length

of

credit?

Vijay

Shekhar

Sharma:

The

length

of

credit

we

are

talking

average

length

as

you

are
reading
in
different,
different loan line items are 12-14 months.

Manish Shukla:

Alright, understood. Thank you for
answering my questions.

Moderator:

Thanks

Manish.

With

that

we

come

to

an

end

of

the

Q&A

session.

A

reminder

that

the

presentation

discussed

today,

a

replay

of

this

earnings

call

and

the

transcript

will

be

made

available

on

the company website. Thank you for joining.

Vijay

Shekhar

Sharma:

Thank

you.

Thank

you

so

much

everybody

for

joining

and

it

was

great

to

have

a

detailed

discussion.

We

are
available
any
which
way
for
any
other
specific
questions
that
you
have.

Thank you. Have a good day. Bye.

Madhur Deora:

Thank you very much. Thanks everyone.

Call: May 2023

Corporate Office - One Skymark, Tower -D, Plot No. H -10B, Sector -98, Noida -201304

T: +91120 4770770 F: +91120 4770771 CIN: L72200DL2000PLC108985

Registered Office - 136, First Floor, Devika Tower, Nehru Place, New Delhi -110019 One 97 Communications Limited
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www.paytm.com

May 11, 2023

BSE Limited

Department of Corporate Services

Phiroze Jeejeebhoy Towers,

Dalal Street, Fort,

Mumbai - 400 001

Scrip Code : 543396 National Stock Exchange of India Limited

The Listing Department

Exchange Plaza ,

Bandra Kurla Complex,

Mumbai - 400 051

Symbol : PAYTM

Sub.: Transcript of the earnings conference call

Dear Sir / Ma'am,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings conference call, conducted on May 6, 2023.

The above information is also available on the website of the Company at
<https://ir.paytm.com/financial-results>.

Kindly take the same on record.

Thanking you

Yours Sincerely,

For One 97 Communications Limited

Madhur Deora

Executive Director, President and Group CFO

Encl. : As Above

Paytm|Quarter and Year Ended March 31, 2023 Results|Earnings Call Date: May 06, 2023|Time: 11 AM Indian Standard Time_____

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M o d e r a t o r : Thank you for joining and welcome to Paytm's earnings call to discuss our annual results for the full financial year which ended on March 31, 2023. From Paytm's Management we have with us today Mr. Vijay Shekhar Sharma, founder and CEO, Mr. Madhur Deora, President and Group CFO, Mr. Bhavesh Gupta, CEO of Lending and Head of Payments and Mr. Anuj Mittal, Vice President Investor Relations. A few standard announcements before we begin. This call is for existing shareholders of Paytm, potential investors and research analysts. This call is not meant for the media. If any media representatives are on this call, we request you to kindly drop off at this point. The information to be presented and discussed here should not be recorded, reproduced or distributed in any manner. Some statements made today may be forward looking in nature. Actual events may differ materially from those anticipated in such forward looking statements. Finally, this earnings call is scheduled for 60 minutes. It will have a presentation by the management followed by Q&A. For Q&A kindly utilize the raise hand feature on your zoom dashboard if you seek to ask a question. We will unmute your line and take questions in their respective sequence. Please ensure your name is visible as first name, full name followed by your company name for us to be able to identify you. The presentation or replay of this earnings call and the transcript will be made available on our website subsequently. With this, I would like to request Mr. Vijay Shekhar Sharma to kindly initiate the call.

V i j a y S h e k h a r S h a r m a : Thank you dear shareholders for joining our call. I'm very happy that we have announced our second successive and continued quarter of EBITDA profitability before ESOP. Obviously, we have said earlier we are aiming for Paytm to become a free cash flow positive in the near future and all this profitability and attention to quality revenues which drive quality profit has been possible because of our incredible team, business teams. I'm especially indebted to their attention, realignment and disciplined assignment of resources that they have pursued in the last year and their amazing efforts and deliveries that have made us successful like this. I also want to share that I'm very proud to see that our team has been continuously adding more leadership positions and we are continuously adding new team mates there and all this is because we believe that India is offering an incredible, incredible opportunity. I will talk about further growth line items towards the later part of the presentation. Before I start this presentation I want to draw your attention to a tweet that we have done from Paytm handle and filing that we have done to BSE about our business KPIs of April 2023. Many of you may or may not have seen it so please see it and if you have any questions related to that we'll be very happy to take them up as well.

With this I will come out to this incredible and mark quarter that we had in the last quarter of FY23. We got the UPI incentive for all of FY23 in the last quarter so we accounted for that. In this presentation we have tried providing as much detail as possible without taking the last three quarters numbers. So all the numbers that we are reporting as expected are including the fourth quarter UPI incentive and in the quarterly numbers we have tried showing you mark to mark exactly how the quarter number would have been if the UPI incentive was not added to this quarter's number. So we are trying that. I'm sure you will be very careful and attentive towards the numbers that we are showing. Like I said, we are repeating that because the UPI incentive of the whole year got achieved in the last quarter, we are giving you a reported number and mark to mark numbers in these numbers. Madhur and Bhavesh will specify when they talk about payments and overall business. With this as you know that we, by a whisker have missed a rounded off number here and we did Rs. 7,990 crores which is 61% year-on-year growth. We're very happy to report that we have interna

lly kept the key target that we will continue to grow on a particular number in the topline because of the opportunity in payments and credit businesses. I want to use the word payments here because if you notice our payments business is now Rs. 4,930 crores and two years back it used to be around Rs. 2,000 crores. So we continue to see a tremendous amount of growth thanks to the new monetization methods like subscription revenue from SoundBox, EDC devices revenue, and we have now added commercial towards enabling commerce. So we continue to see the payment line item of four revenue and merchant relationship continuously growing. And we are very happy to announce that we have been able to achieve more than 2.9x growth. Meaning it is literally 3x that you would have seen in the last two years.

And this like I say again and again, it is all because the payment is maturing for the merchants. Merchants are making sure that there is a digital payment, mobile payment in their shops, which gives them the opportunity to take up premium products also. So it's a free premium model where merchants get 0% MDR and which is reimbursed to them from the government through UPI payments, and then we have subscription revenue and extra charges for other payment instruments. So this is what is growing the payment business. I also want to point out that I believe that UPI has started going towards monetization through MDRs. Different payment instruments will co-me on UPI. Till now, UPI used to be known as bank account led payment and now bank account led payment is what you see. If you saw, the repaid wallet instrument has an interchange in MDR, meaning the issuer is Paytm. Let's say your Paytm wallet is being used on somebody else's QR the merchant side QR will have to pay us. What we earn is called interchange. What they charge the merchant is called MDR and the delta between them is the revenue that the QR company keeps. So here it is that QR payments from bank accounts are free, which we believe will remain free in the long term and then there will be other payment sources for example, wallets. This is visibly going to benefit from universal interoperability and acceptability and will also generate some revenue for us.

So, the core thing that I'm trying to point out is that you can see that UPI payment instruments will have different, different payment MDRs or charges to the merchant or they may not have merchant charges because somebody who's offering the payment service to the merchant

could absorb it. So let me not say that merchants will be charged or not. Let me say that issuers will get revenue. That is a better way to look at it for you guys. I'm very happy that our payment team has done great market penetration. As you guys are aware, we are a merchant side business. We always call it payments when you are paying a merchant. So, yes, our P2P business numbers are not that great as a market share, we are very aware of it but at the same time we are proud to say when it comes to the merchant, whether consumer making payment to the merchant or merchant choosing a payment solution, Paytm is the market leader here.

Now, due to this and one of the line items that we started growing in 2020, was credit, which is part of our financial services business, and it has done very, very good. As you can see and further details are coming in due course I think the Government of India and regulator have very much clearly focused on expanding the disbursement of credit using digital means here. The idea here is that how can it be different, smaller loan tickets sizes or various other loans of larger ticket sizes also be digitally enabled to be distributed. The keyword is digitally distributed. It is not just about the organization internally managing the digital process but it is about how they can be digitally enabled to distribute. So whether you see conveniences of KYC, conveniences of document and CIBIL scores, etcetera and the processes, clarity is provided in the digital lending guidelines on all those things, and we took clear advantage and we pursued more clarity and you're seeing that year-on-year this number is growing. We continue to believe this will be a key performance number for us to focus on.

And the third line item is our commerce and cloud services. It has a little bit of a mean annually it is showing growth, but quarterly because you understand that commerce is an activity which is festivity driven and soon so there will be different swings, quarterly, but at the overall level, our commerce and cloud business which includes advertising, marketing and because we distribute co-branded credit cards, so we call it marketing. The keyword here is we don't call it credit because there is no credit relationship or disbursement relationship. We have a purely co-branded credit

card disbursement model. So we account for it there led by co-branded credit card distribution, which has continued to grow. So commerce and disbursement of credit cards will be the key drivers. This year you will see that we have last quarter numbers coming up soon to be shown to you, you've seen it, are very, very good. I'm very happy to say that we are focused on not only the revenues, but we are also focused on EBITDA. Obviously, we are talking about EBITDA before ESOPs so that there is no misunderstanding here. It is because of the charges of ESOPs, which we have clarified at different times and report out there. The nice thing that I want to tell you is that in the past two years, when we have grown our revenue by 2.9x, our margins have also improved by 57%. We in the last quarter even have shown how good this number has been, profitable, actually. So we are very, very hopeful that we would continue to improve and improve on EBITDA over the period and in contribution.

I'll hand it over to Madhur, our CFO here who is going to talk about quarterly numbers and then I'll come back to the rest of the business and Bhavesh will talk about payments and credit. Thank you.

Madhur Desai: Thank you, Vijay. Good morning and welcome everyone. It's my pleasure to walk you through our quarterly earnings led by revenue growth that Vijay briefly talked about, a 100% increase in UPI incentives year-on-year from last year when we got about 90 crores of UPI incentive. This year we got Rs. 182 crores of UPI incentive. Our performance has been extremely strong. In the last quarter we delivered EBITDA before ESOP of Rs. 234 crores. Just to dig into that our revenue for the quarter was Rs. 2334 crores. Our revenue growth was extremely strong at 51% year-on-year. Out of this Rs. 2334 crores, Rs. 133 crores pertain to UPI incentives for previous quarters that we happened to receive in the last quarter so we have tried to normalize for that. If you exclude that Rs. 133 crores then our revenue would have been Rs. 2200 crores with 43% year-on-year growth. Our contribution margin has grown dramatically. This trend continues over the various quarters that you have been tracking us. On a year-on-year basis, our margin improvement is 20%. We delivered Rs. 1283 crores of contribution margin but once again if we take out the Rs. 133 crores for previous quarters then that number is Rs. 1150 crores or 52%. So we have seen expansion in this number in this quarter again.

EBITDA before ESOP expense improved by Rs. 602 crores on a year-on-year basis; a year ago we were at Rs. 368 crores negative EBITDA. This year last quarter we were at Rs. 234 crores positive EBITDA and we have had a margin improvement of 34%. But once again if you make that adjustment of Rs. 133 crores that I talked about, we delivered Rs. 101 crores of EBITDA before ESOP cost and a margin of 5%. So there has been a continued expansion in our EBITDA and as Vijay mentioned, other than some extraordinary circumstances we expect to be EBITDA positive going forward and aim to start generating free cash flow very shortly.

Going back to the core business model of payments and loan distribution and collection where we are seeing expansion of our platform, our average monthly transacting users has grown 27% year-on-year to about 9 crores average monthly transacting users as of last quarter. Our merchants subscriptions which primarily comprise our payments device business has grown to 68 lakh merchants. So there is a huge expansion of technology adoption by our merchants and over the last few quarters we have been relatively steadily adding about ten lakhs a quarter and we expect that pace to continue or improve a little bit.

On the back of our payments business, we leverage our ability, our brand, our distribution, our data insights and our technology to distribute loans and as you know we help our partners collect those loans as well. Last quarter we did Rs. 12,500 crores of loans and disbursements and we are seeing significantly year-on-year growth.

A little bit about our breakdown of revenues; our payments revenue was nearly Rs. 1500 crores. It grew 41% year-on-year but once again adjusted for the Rs. 133 crores that we talked about earlier, that number was 28%. Our financial services revenue grew to Rs. 475 crores, driven by the increase in our lending business. Our commerce and cloud business on a year-on-year basis went up 23% and we'll talk about that at some more.

On payments revenue like I mentioned, we have seen 28% year-on-year growth. Our net payment margin has been a continuing improvement story and we have focused on how we can monetize payments better and keep our costs under control. So our like-for-like payments revenue is 28% and our like-for-like net payment margin after taking out payment processing

costs is Rs. 554 crores last quarter. If we add back the Rs. 133 crores then you get to the reported net payment margin number. So while we think the Rs. 554 crores is the relevant number, we have given you the Rs. 687 crores as well, just so that you can tie it back to our financials. This as you know comprised two main line items. One is net payment processing margin. In December we said that this number is in the range

of seven to nine basis points and we do expect that to go over time to five to seven basis points. But we are happy to report that currently we are at the high end of the original seven to nine basis points and are currently not seeing downward pressure. In fact we are seeing various opportunities to keep working on this and improving this. And of course our merchants, 68 Lakhs today, pay us for the subscription revenue which also continues to scale very quickly. I'll turn over to Bhavesh to talk about the lending business.

Bhaves h Gupta: Yes, thank you Madhur. Hi, good morning everyone. On the lending side of the business we continue to seed decent momentum in growth, both in a consumer and merchant loan distribution. Important to note here is that we're now getting more secular growth across the three businesses. Merchant loans as a business seem to be performing much better on a smaller base because last year was impacted by COVID. We've said in the past that we'll continue to calibrate our growth as we see the scale of business become larger because our focus is not entirely on volume of disbursement but also the quality of portfolio. I am happy to inform you here that while we grew our year-on-year business by 253% and quarter to quarter again by almost 25% to Rs. 12,554 crores, each of the individual line of businesses have also been growing almost in the similar range bound model, especially personal loans and merchant loan businesses, which are extremely profitable both for us and for our lending partners and Postpaid as a business which is also profitable and provides us a great funnel to up-sell personal loans, merchant loans and credit cards.

I want to draw your attention to the graph on the right side table. We have a very large MTU base and the MTU base grew by 27% on a year-on-year basis. In spite of that, our focus has been to make sure that a very limited set of users and merchants are getting access to credit, meeting the appetite of our lending partners. More importantly, we set for ourselves a very strong portfolio governance model wherein while our lending partners could assume an elevated loss provision, we continue to have a more conservative view. We would not like any distribution of credit originated through Paytm platform to perform beyond our own credit expectation, which is far more conservative than the lender's expectation. And in that context, as you can see, that our penetration to MTU continues to be very, very low, indicating two things (A) the runway of opportunity for us is significantly larger than what we have exploited, and (B) we continue to grow and be very selective on both Postpaid, merchant and personal loans on our system.

The portfolio in Q4 performed better versus Q3. We have been very calibrated in making sure that the personal loan entry rates, which is basically a portfolio construct that we are focused on, dropped by almost a percent. We were operating close to 11.5% on a blended basis. Now we are in a range bound between 10.5% to 12%, which is in line towards elevenish. We are also seeing a drop in entry rates for postpaid. They're now closer again to elevenish percent but we continue to believe that these will only become better. This is because we have further tightened our underwriting models with our partners owing to the very decent growth that we are experiencing. On an overall basis our expectation is that the portfolio quality will remain stable and may be we will be in a position to have a much better portfolio quality being demonstrated in the subsequent quarters. We've already seen, especially in postpaid, that from the last quarter where our expected credit loss by lending partners used to oscillate between 1 to 1.2%, it has dropped down to 0.75% to 1%. And we and our partners feel very comfortable at this particular ECL for Postpaid, which is almost 50% of our loan business, will continue to perform like this or even get better. So all in all, I'm happy to inform you that we continue to demonstrate good growth in terms of distribution of credit and at the same time get much better portfolio performance than expected by lending partners. And as we look into the next year, our belief, it is our focus will be a lot more on portfolio quality, given the elevated interest rates in the market than growth, and hence be able to maintain profitability of this business much

better, in spite of the fact that we will calibrate our growth as we see the overall interest scenario far more closely and the overall credit scenario far more closely into the next year. Back to you Madhur!

Madhur Desai: Thanks Bhavesh. I'd like to talk about commerce and cloud business. As you know here, we have two broad sets of businesses. One is commerce where we sell travel, movies and event tickets and deals and gift vouchers to our customers. Last quarter we did Rs. 2185 crores of GMV in this business which was up 22% year-on-year. This is despite the fact that as you may be aware the entertainment side of business, especially movies, has not completely come back to pre-COVID levels and it's still seasonal and goes sort of up and down depending on the quality of the content. We did see a slight decline on a quarter-on-quarter basis. This is because, like we mentioned in the last quarter results, we do events business, some of them on a sort of full stack basis which is to say we have a very high take rate on those but we also have a very high direct cost. That business is seasonal. It usually peaks in Q3 and it comes off a little bit in Q4 and Q1 and Q2 are more subdued. So we have also indicated that our take rate, which over the last two quarters has been close to 8%, should revert back to 5%-6% as we sort of experience seasonality.

On the cloud side of business just to remind everyone, we offer advertising, marketing, loyalty services to various enterprises and we also distribute co-branded credit cards. Our co-branded credit card business has continued to scale very well both in terms of new card issuances as well as spends; we have now 5.9 lakh activated credit cards with our partners as of March 2023. So we saw an increase in that but we did see a decrease in our marketing cloud business. Just to remind everyone, our marketing cloud business is where we provide marketing and up-sell services to telecom companies and enterprises. This is a business that Paytm has been in for over a decade - it is not a very fast growing business and it has been sort of under some amount of pressure. Having said that, I would just like to point out that its contribution to our overall revenue is less than 3%. So it's not particularly material in terms of overall growth rates and soon.

And finally, we are launching a co-branded RuPay credit card very soon. So we wanted to take this opportunity to make everyone aware of that. And with that, I would like to hand it back to Vijay to talk about the growth drivers. Thank you.

Vijay Sekhara: Thank you. Thank you, Madhur. The RuPay credit card will be really interesting as you all can understand. RuPay Credit Card will come on UPI rails also so we've been trying to work it out and I want to point out what is on the right side to you. This is a dynamic QR device that we have refreshed as part of our portfolio. This is a device that is integrated with what you might have seen in various stores out there. When you go to a large enterprise store, it is integrated with the billing POS and when the merchant generates the bill, it automatically dynamically shows the QR and obviously being Paytm QR it allows postpaid, wallet and everything else to be accepted and obviously other UPI apps can also be used to pay. So I'm very happy to tell you that it is part of the device portfolio, which we've refreshed. Secondly, what we've done with our SoundBox which is a very legendary device, I mean the amount of love that we get for SoundBox from merchants and consumers is incredible is continued enhancement and investment in its hardware. We want to remind you that we treat it as one of the key portfolio offerings of our services. We launched a 4G enabled SoundBox last year. 4G enabled device means that it can run faster, has better battery efficiency and soon. So it now has seven days of battery backup, kind of industry leading backup and I'm very proud to tell you the things that Bhavesh's team did in the market is that even though there were many companies which thought that they will throw frее devices in the market but because of the cost, because of servicing, because of features, it didn't even see the day. And we actually continue to grow more and more in the market.

Incidentally, what we are seeing is that when more players come, the product becomes more mature in the market and the market underestimates it and then superior products win. So for us, we're re-seeing that there are many people who are launching SoundBoxes and that is growing our opportunity in the market and I put the word growing our opportunity because ultimately this product is an outcome of last four years of R&D and efforts and now that it is made of software and hardware is completely by us so it is something that pe

ople will take time to even understand

Here it is, technology. We also launched our new technology platform and it is very important for me to tell you that this was a key milestone behind the scenes. This is where the engineers were invested and I want to share that we are going to release some engineers from here but we would assign them to other businesses and technology. So you would remember in December when we had done the analyst call, we had suggested that we are sort of sorted out except for strengthening and linear increase in engineering and technology. The good part is that this technology platform will take us to 10x more transactions of current scale, obviously we are handling hundredsof billion dollars of merchant payments and I'm calling this out as a merchant payment because P2P technology is owned by Paytm Bank, it is not related to us and it is P2M payment, which is merchant payment platform that I'm talking about.

The beauty of this is that, this is 100% indigenously developed technology including risk operation set cetera. And that will actually take us to the next level because I don't think the kind of features that we have added, people are seeing today. Obviously artificial intelligence, AGI, will play an important role here for us in this, especially for protecting frauds, etcetera. I'm very happy to announce that our fraud rates and as they call it fraud to sales rates are not just industry leading but startlingly incredibly better. Whether we talk to the government or regulators, they are very happy seeing what we've done and how we have started using artificial intelligence in our business. So this is our payment up date on systems for merchants.

You all are seeing that we have launched UPI Lite. If you have not, please use Paytm app and now more banks have started coming on UPI Lite so it is scaling. UPI Lite enables payments of small amounts without requiring a PIN. It is not offline just in case, and the balance is maintained on the device side instead of at the bank. So the bank led failures are sorted out. It is even better. So we've launched it and we already have 55 lakh customers on it. We've done transactions in crores, so it is taking up very, very well.

On the consumer side we have wallet interoperability. We've been waiting for this to come for a long time. What it does is that it allows us to get Paytm wallet accepted on all the UPI QR. Although we are the largest QR or largest acquirer of merchants, there are tremendously large potential merchants whom we would want our Paytm instrument or Wallet etcetera to go. And that is what we are expecting. It is not commercially live or agreement wise live, etcetera, etcetera but everybody has to launch. So you expect it to take at least two quarters for material important contributions to show up in our numbers, etcetera.

And that also brings us to show that the wallet has grown. So you can understand that wallet, UPI, all of the Paytm instruments are a unique legacy available and will have the advantage of being available across every merchant that will allow us to invest even more in merchant acquisition and consumer growth. I want to call out consumer growth in investment there because of the extra profits that we have started to make. While we continue and we said in the previous quarter and earnings also that while we continue to invest, we continue to commit to incredible market opportunity which requires us to expand and invest in consumer growth. We believe this will not materially cost us in our profitability. So in other words, our profitability and revenues continuously grow even when we will do these investments. It's an important thing.

Finally, as you all are aware, our business of financial product distribution and it is led by credit. So we are signing up large NBFCs and banks and we already have a couple of them which are very, very interested, in the queue. But as we are aware it takes a lot of technology for the part next to become Paytm partner. In fact, I want to share one extra thing here that in the last month, month of April, one of our lending partners went through significant IT outage and because of that significant IT

outage, they were not able to disburse loans to many of the customers whom they sort of had disbursed loans earlier to. So not top-up loans or potential loans. So if you see our April numbers, especially in the merchant base, they are seemingly flat out there. It is because there is a lot of technology stress on our partners continuously. So we are adding more banks and NBFCs and in fact some announcements are queued up before the next quarter. So you would see that.

And I think whether you look at payments on the merchant side, whether you look at payments on the consumer side, whether you look at our credit disbursement, these are core businesses. In addition to this I said, we

are enabling AGI and I don't want to call it AI. I only want to call it AGI, Artificial General Intelligence here. The reason that I'm calling it out is because that is incredible technology that I believe will change how we use the server side components. For example, like you're talking to a server which is configuring and you have a workflow and then instead of this you can talk to it. So let me give you an example here. Many of us who are old internet users, can imagine that currently it is as if the internet is currently being navigated like a Yahoo directory and search on Yahoo directory versus search on Google where you can search what the destination has. Now that is the leap what I'm talking about. AGI is for the business and we are committed to it and have started investments already. So you will see that there is a large amount of products which are AI first or AI enabled coming from our family. And the best part I said is that we don't need to allot extra dollars to it because our platform that we got expanded here is giving us an opportunity to expand on that side.

With this I want to say thank you and we look forward to getting as many questions and understanding that you seek and thank you for championing. I see very detailed narrations about our business which are getting clear and clear. So thank you so much for that. I look forward to the questions.

Moderator: Thank you Vijay. We will now proceed to Q&A. Remind me to utilize the raise hand feature on your Zoom dashboard if you seek to ask a question. We will unmute your line and take questions in the respective sequence of raised hands. With that, the first question of the session will be from Ankur Rudra from JPMorgan. Ankur, your line is unmuted.

Ankur Rudra: Hi, thank you for taking my question. So, my first question is on the payments business. We've seen none of your peers scaling quite rapidly in recent times with a similar product. I think you referenced that. Is there any pressure on subscription charges for the Soundbox portfolio or then net payment margins from this?

Vijay Shah: No, actually it is increasing the opportunity for us because more merchants will take our SoundBox given the product maturity and our product pricing. The market has aligned to the pricing that we were giving; it was priced zero and it has, over the period, become the same price as ours.

Ankur Rudra: Okay, thank you. Second question is on financial services. I did notice that the effective taker rates on the loans for the quarter have become a bit muted versus what we saw in the previous periods. Is this due to any change in collection incentives or changes in the taker rates from your partners?

Bhavesh Gupta: Yes Ankur let me clarify this piece. You're aware that in our business model, our lenders keep some elevated provisions because they don't know at the scale at which we operate, what actually will be the loss rate. Now what happens over a period of time, as they see the portfolio perform, especially in a product which is short-term credit like Postpaid, that the portfolio performance is much better

rthan what they were keeping elevated provisions, we try to work with them to bring the provisions closer to the actual provisions. Now, that is what has actually happened in Q4 especially in a product like Postpaid, given the steady and improving quality of the loan book, we've seen the lenders are becoming more comfortable with portfolio quality and hence they have reduced the excess provision that they were keeping on this portfolio, thereby reducing our opportunity to build them more and collect over a period of time. So the EBITDA does not change. The gross revenue that we used to bill them because they were keeping higher provisions has gone away in a product like Postpaid. That's there as you're seeing a marginal drop in take rate, but our overall EBITDA remains the same or actually becomes better.

A n k u r R u d r a : Okay and this is connected to the change we see on a quarterly basis on your ECL, your bounce rate, etcetera?

B h a v e s h G u p t a : Yes and that is what I pointed out in my previous conversation, that we were having our lenders keep an ECL of 1.2% in Postpaid, which dropped to 0.75% right? So our intention is that the lenders should be a more comfortable and not keep a lot more elevated provision. So in Postpaid, because it's a 30 day product, they have now become extremely comfortable and hence their need to keep extra provision to accommodate any kind of deviation quarter on quarter, has reduced significantly. So that is the reason why the gross revenue is billed less, whereas the net rate, net revenue continues to be higher for us.

A n k u r R u d r a : Okay, understood. This is the

last question on the tech upgrade that Vijay you referenced. Is there any kind of capitalization for the tech platform upgrade that we should expect in the accounts?

M a d h u r D e o r a : There's an extremely small amount of employee cost that we have capitalized. I think it's about three or four crores for about a twelve month period in which we have built out the new technology system. So, yes, there is an extremely small amount of capitalization that our auditors have asked us to do.

A n k u r R u d r a : And this capitalization would be over a period of roughly how long?

M a d h u r D e o r a : Historically it was done for roughly twelve months. Just to be clear, the capitalization for the tech system that you talk about, I'm assuming you're talking about the first bullet point on the growth driver which is what we internally call the 2.0 system. Is now completed. We had done a press release on this in early March. So that entire project took about twelve months. And over that twelve month period, we did about three crores a month. And we're not doing that anymore because the project is finished.

A n k u r R u d r a : Okay, understood. Thank you and best of luck.

M a d h u r D e o r a : Thank you Ankur.

M o d e r a t o r : The next question is from Jigar Valia from Om Group. Jigar, your line is unmuted.

J i g a r V a l i a : Thanks for the opportunity. Congratulations on the great performance. A follow up question with regard to the net take rate. There is less need for the buffers or provision that the lenders need to keep and accordingly, we can kind of also invoice them a little lower so we can map the gross take rate in which we can see the pattern, but if you can help understand the net take rate and it would get adjusted under which line item on the expense side, if you can help with that, thanks.

B h a v e s h G u p t a : So there is no expense as an adjustment to this entire thing. What ends up happening here is that as we've explained the business model earlier, there is a distribution revenue which largely remains unaffected by any change of portfolio and then there is a collections revenue. Now if the lender keeps higher provisions since they believe the portfolio may not perform as well as we believe it will perform, we will bill over a period of time. But what is happening for a product like Paytm Postpaid, because it is a short term product, the portfolio performance is very well established. So we bill less and hence we get less. So only on a gross to gross basis it will optically appear that our take rate has gone down, but if you look at the contribution profit for the EBITDA, that remains the same or actually marginally becomes better.

M a d h u r D e o r a

: May I just add, if I understood your question correctly, what Bhavesh described as bill less is in the payment processing cost line.

J i g a r V a l i a : In the payment processing cost line, so good that was what?

M a d h u r D e o r a : So for example if this trend was to continue and we were to further make changes, then the payment processing cost would go down marginally and the revenue side of it would go down marginally.

J i g a r V a l i a : Got it and this should lead to a contribution margin to be higher than 50%, which used to be earlier. Because of this accounting probably it shouldn't move slightly upwards of 50% and stay that way?

M a d h u r D e o r a : Yes, it does because you make the same amount of money on a slightly lower revenue base, the contribution margin goes up and there are also some sort of tax and other efficiencies that we get out of this.

J i g a r V a l i a : Got it and on the gross take rate, if it is right now say close to 3.5% on a blended basis that would be more of a steady state number rather than 4% plus?

B h a v e s h G u p t a : Yesso Jigar yes to that question but what we have seen is that this will oscillate depending upon which business contribution we're making more or less. So there are quarters like in Q4, Postpaid was marginally higher than 50% and personal and merchant loan was at 45%. So if the personal loan and merchant contribution is a bit more, the 3.5% could become 3.75% but yes, the better way to do it is that it will oscillate between 3.5% to 3.75%.

J i g a r V a l i a : Perfect. That helps and the last question from my side is...

M a d h u r D e o r a : Jigar, let me just add to that, payments MDR that we get from merchant on Paytm Postpaid is recorded in payments revenue because all MDR regardless of instrument, is recorded there. So while you're absolutely right in tracking this line and dividing it by the disbursal value to get to a trend line, I want to point out that what we report as financial services revenue is not all revenue related to all loan distribution

products. The MDR from Postpaid does come in the payments revenue.

J i g a r V a l i a : Understood. Thanks Madhur for that clarification. Just the last question from my side. Is it possible to, on a pro-forma basis give the UPI incentive for Q1, Q2, Q3 because having just for Q4 again makes it non-comparable. You've tried to be as elaborate as possible. I understand, but may be on a pro-forma basis.

M a d h u r D e o r a : So Jigar, we have said that out of the Rs. 182 crores that we got for the full year, Rs. 133 crores was of previous quarter which means that Rs. 49 crores was for Q4 so if you were to carve out the Rs. 49 crores from our reported number which is Rs. 101 crores, then you get to Rs. 52 crores of EBITDA excluding incentive for Q4. So if you exclude even the Q4 UPI incentive from Q4, then the number that you get is Rs. 52 crores.

J i g a r V a l i a : Got it. Excluding the UPI it is comparable, I cannot map the UPI incentive for Q1, Q2, Q3 separately that's...

M a d h u r D e o r a : Yes, so Rs. 133 crores, you can broadly assume that it was growing at 5%-10% quarter-on-quarter. So the last quarter number, I think was close to Rs. 45 or 50 crores.

J i g a r V a l i a : Understood, it helps. Thank you very much.

M a d h u r D e o r a : So it's relatively evenly distributed but of course, some quarter-on-quarter growth amongst those three quarters.

J i g a r V a l i a : Helps, helps, thank you very much. Thank you.

M o d e r a t o r : Next in the queue is Suresh Ganapathy from Macquarie. Suresh, your line is unmuted.

S u r e s h G a n a p a t h y : Okay so just to understand this better on this stake-ratething, what you are saying is that from an accounting standpoint, when your provisions in the Paytm Postpaid business is better than expectations or the loss rates are lower, your revenue line item shows a lower take rate, but at the same time, the payment processing cost also comes down. So net-net on an overall basis, it remains more or less the same. It doesn't affect the overall EBITDA. Is that the interpretation right from an accounting standpoint?

M a d h u r D e o r a : Yes, so the take rate would be the same, perhaps slightly better, the profitability will be the same or slightly better.

S u r e s h G a n a p a t h y : Okay, just to repeat again, part of it gets adjusted in a downward revision in the financial services distribution line item, and part of it will get adjusted in the downward revision in the payment processing cost. The payment cost which includes the payment processing charges will also come down.

M a d h u r D e o r a : I wouldn't think of it as splitting it into two parts and maybe Bhavesh you can add. What we are saying is that the cost impact is seen in the payment processing cost line item. The revenue impact of nearly the same, perhaps slightly lower, is seen on the financial services revenue side.

S u r e s h G a n a p a t h y : Okay so the overall EBITDA doesn't change much. Okay, fine. These second question is, can you let us know how many Banks and NBFC partners you have on the lending side, and if you can give the proportion, it would be great in value terms.

B h a v e s h G u p t a : Yesso Suresh, we have seven partners today, two banks and five NBFCs. Unfortunately, we do not have the, I would say, approval from our partner to declare individual disbursement values but I can tell you that our business is fairly well spread. It's not concentrated to one or two partners. While some partners are very comfortable doing Postpaid and personal loans, some are more comfortable doing merchant loans. But if they are comfortable doing a business, they will do that business materially with us and not a very small portion. And having said that, we also are now in the midst of adding more partners, and we will be announcing partnerships with some of the new large NBFCs and banks in due course of time, starting from June.

S u r e s h G a n a p a t h y : Okay. It's not possible to share the share of the largest partner also?

B h a v e s h G u p t a : Unfortunately. So we don't have, what can I say, agreement with our partners to share their portfolio in specifics. Some of the time they're asked can we share a particular lender portfolio, etcetera, or the disbursement value because some of these are listed entities, as you understand. So if they were to declare individually in their announcements to investors, we'd be more than happy to share. But we currently do not have the approvals from them.

S u r e s h G a n a p a t h y : No, because simple math says that the average share is 15% per partner, right? So I'm pretty sure that it is not going to be distributed uniformly at 15% across these seven. So there is a possibility that a partner will be greater than 20

%, if I were to simply do the math, so I just wanted to understand that as well.

B h a v e s h G u p t a : Yes Suresh, as I said that not every partner does all our businesses. So let's say a partner A will do only Postpaid and personal loans because that's generally the combination but then we have partners who only do personal loans at a large scale. So if I'm doing, let's say, Rs. 1400 crores, they could be doing 50% of the PL volume with us and there could be another two partners doing 25%, 25% each. Similarly in merchant loans, there are partners who will do 50% of merchant loans with us and then another three partners will do 15%, 20%, 20%. So depending upon their risk appetite and where strategically they want to calibrate their ROI set cetera, they pivot their businesses. What you're saying is right, but it is not very concentrated also. That's the comfort I can give you very clearly.

V i j a y S h e k h a r S h a r m a : Yes important thing that I want to add to what Bhavesh is saying Suresh here is that, as per our internal KPIs soon as we start crossing two digits of their disbursement, we start to make it clear that we need to add or divert transactions or request to float disbursement to some other lenders. So our continued aim is to remain at a single digit distribution of their overall book.

S u r e s h G a n a p a t h y

: Okay and in this 2 and 5 that you're retalking about HDFC bank is not included right because they are just a credit card partner?

B h a v e s h G u p t a : No, they're included because credit card, while we book that in our cloud revenue, is a business which is driven with our lending partnerships and we also are currently in conversation with not just HDFC, but other banks to do more credit card distribution and loan distribution. So we kind of do not differentiate between the four businesses when it comes down to banks.

S u r e s h G a n a p a t h y : Yes, but then Bhavesh this is 1 and 5 and not 2 and 5 because HDFC Bank doesn't give a single rupee of that Rs. 5000 crores of loans that you have disbursed this quarter. I mean, this month rather? So it's effectively six partners giving you that Rs. 5000 crores that month and not seven partners because HDFC Bank doesn't have any lending relationship with you guys.

B h a v e s h G u p t a : That's one way to look at it but we have with each partner, including the bank we have agreements with, to do multiple products. But it is a sequence of events that we go with. Currently we're doing cards, but obviously in the future, not just with HDFC, but with other banks also, we intend to do loan businesses with them. It's just how technologically we want to sequence, we scale up with each partner.

S u r e s h G a n a p a t h y : Okay.

B h a v e s h G u p t a : What you said is right that if you want to do a mathematical assessment, we can divide it by five or six partners that we currently are doing Rs. 4400 crores of business with.

S u r e s h G a n a p a t h y : Yes, so that comes out to be almost 20% per partner on an average if I would do the simple math. So that's the only concern here. Okay, no problem. It's pretty clear. Thank you so much.

B h a v e s h G u p t a : The only clarification also Suresh here is that as you understand it equally well, while on gross disbursement basis it may appear that we are doing less Rs. 1000 crores or Rs. 800 crores per partner but because 50% of this business is Paytm Postpaid and it just runs off in 30 days. From a purely AUM origination perspective, the number is 5-6%. So it is not a concentration at all.

S u r e s h G a n a p a t h y : Yes, that's clear. That's fine. Okay, thank you so much. Bye-bye.

M o d e r a t o r : Next in line is Bhavik Dave from Nippon. Bhavik, your line is unmuted.

B h a v i k D a v e : Yes congratulations on a good quarter. Just two, three questions; one is on the operating expenses and specifically on

the indirect expenses. We have incurred Rs. 1000 odd crores that has remained flat for four quarters now. I just want to understand how we should think about it? Can this be controlled or can it grow in a reasonable way versus our revenue? I just want to understand as a % of revenue it's come off from 60% to 45% how do you think about this line item? That's question number one.

Madhur Desai: So, Bhavik, a couple of points on that. So one is, on the employee cost, we do have an appraisal impact in Q1 of every year. That's something that will be there and should be factored in. These second is like Vijay mentioned, given how well our monetization engines are working, both on payments and on lending, as well as in commerce and cloud and the way your contribution margin and EBITDA is growing, we do see opportunities to continue to invest on merchant acquiring sales teams as well as on

the marketing side. But we're going to grow this in line with revenue, obviously not as fast as revenue, but we're going to grow this to support revenue and to make sure that monetization is coming out of that as opposed to significantly ahead of that. So as we grow as a platform, we will make investments in sales, marketing and obviously technology and plus the appraisal impact but we're very conscious that we want to get to higher EBITDA profitability and cash flow profitability and we believe we can do both of these things in line with each other.

Bhavik Dave: Great, that's useful. I would like just one clarification in terms of promotion and cash-back incentives. I see that the number quarter-on-quarter has come off. Is it purely seasonal or is there something more to begin with because our MTU and devices and all other things are growing and customer acquisition is quite healthy but this promotional cash-back incentive number. Obviously we can't compare it with last year or two quarters back because we had that payment processing bit that was re-classified but from a quarter-on-quarter basis it's just purely based on the seasonality, right? That's the way to think about it.

Madhur Desai: A little bit of seasonality in there because in Q3 when we have festive related sales we do support some of our online partners and those sort of things so there's a little bit of seasonality in there, but I think it is also fair to say that we are very sharp about the promotional cash backs in the company and so we do think that unless something dramatically changes on the monetization side, taking anumber of something like 2.5-3bps is probably the right level for our scale.

Bhavik Dave: Understood and sorry just to dig a little deeper, the other expenses part, like that number remains reasonably elevated. What exactly would be the one or two large elements of that Rs. 190 odd crores that we have this quarter?

Madhur Desai: Yes, I assume you're referring to other direct expenses?

Bhavik Dave: Yes, yes, yes, correct.

Madhur Desai: So part of it is because of the events business like I mentioned earlier, that in our events business there are certain events that we do where we have very high take rate but we also have very high direct expenses. All those events are profitable. So in the last quarter and this quarter you would have seen an elevation in that season. If this revenue from events goes down in Q1 and Q2, then you'd also see a reduction in other direct expenses. So that's one part of it. The second part of it is some of the collection costs related to the lending business also goe there so while we become more efficient in collection overall but because we have the scale up of the amount of disbursement amount of collection that we do, some of the costs are related to that also go into other direct expenses.

Bhavik Dave: And the event driven revenue line item will come into commerce a bit. We've not seen any major increase there this time around. So was just wondering if the cost may be a little inflated or higher than what you would have anticipated. Sorry, one last point on the same on the expenses spend is the sales employee force that we have is like normalizing in that 28-29,000 odd number of people. The productivity remains broadly at like 12-13 devices per month kind of number for each individual. Do you think that this number will remain in this 28-30,000 range or will increase materially from here? Are we having the right number of people to add that 1 million odd devices every quarter? Is that the fair way to think about it that they are reasonable y productive and this is how it will go about or it can be improved from here?

Madhur Desai: I will let Bhavesh...

Vijay Shah: But Bhavik I must say meticulous math so over to Bhavesh.

Bhavesh Gupta: So Bhavik, productivity obviously is an area that we continue to work on and our business is more of a function of technology. How much technology we can give to our frontend that they are timed to onboard a new merchant is faster, right? And that's a very large area of focus that we are able to bring in and I can tell you some metric that used to be number of minutes and now it's dropped by 20% and every quarter we intend to bring it down. That's the product that we keep building on. But what we've seen is that both due to our expansion geography, the demand for a product like SoundBox in Tier II and Tier IV cities is also very large. So we will be driving more productivity as we've been driving, but we also are now expanding and hence our belief here is that these million boxes that we were able to grow last year secularly this number can be moved a bit more. And if there is an

opportunity, and we believe that there is, we'll expand our sales team further.

Bhavik Dave: Perfect and last question sorry the data point on subscription revenues what will be that number this quarter? Will it be in that Rs 171-80 crores range, Rs. 180 crores odd range where it will be this quarter?

Madhur Desai: So it continues to grow with the number of devices deployed so it has gone up about 15-20% quarter-on-quarter.

Bhavik Dave: Great. That's very helpful. Thank you so much Madhur, thank you.

Madhur Desai: Thank you Bhavik.

Moderator: The next question we'll take is from Sachin Salgoankar, from Bank of America. Sachin, your line is unmuted.

Sachin Salgoankar: Hi, thank you for the opportunity. I have three questions. Firstly, Madhur I would like to understand what kind of a steady-state contribution margin and steady state adjusted EBITDA margin one could look at because clearly you guys have seen a strong improvement in contribution margin in this quarter you had adjusted for the accounting change, you're seeing a bit of a margin improvement. So I just wanted to understand that.

Madhur Desai: So I think on contribution margin Sachin we have come a long way from where we were even two years ago to now and we believe that payment profitability and the mix of lending we don't believe that's, the payment profitability and the mix of lending has contributed to that. So we think that on a contribution margin, this is probably roughly the right level with some room for improvement. In both on the payments side as well as from lending, just because of the mix effect of lending growing a bit, growing significantly faster than payments so in commerce and cloud. So we think we'll see some upward trends there, but it won't be as sharp as what we have seen in the last year or two years. On adjusted EBITDA, it's hard to sort of talk about a steady state because now we have sort of reached this level where we have a certain amount of revenue call it a billion dollars for last year, Rs. 8,000 crores for last year and about Rs. 9,000 crores for the last quarter run rate we have 50 plus percent contribution margin and we have a certain fixed cost base. So then it just comes down to operating leverage in the busi

ness which we think is very, very significant going forward because almost everything that we have built technology led and there's significant amount of efficiency that you can get out of that. So I think that the operating leverage story will continue for many, many years which is also to say that adjusted EBITDA should continue to move upwards for many, many years as long as we're seeing operating leverage.

Sachin Salgotankar: Okay, so Madhur to look at it the other way in the next couple of years, there's room for this adjusted EBITDA margin to move to around 10% plus?

Madhur Dora: I don't want to give a specific number here, but yes, there is room for adjusted EBITDA margin to keep moving up as we get more and more operating leverage. What I know is that our projections for this year assume significantly higher revenue growth than indirect expenses growth, right? So when you sort of put that in the model with even if you put a steady state contribution margin, even if you don't assume any improvements in that, it translates into meaningful EBITDA expansion.

Vijay Shekhar Sharma: Sol! I take it to the next level. Sachin, the word that I used in the beginning of the call, AGI or Artificial General Intelligence means that a lot of work that humans do for us from onboarding to the customer care to the fraud detection to every decision that we make, there is a large operation team that we also have and I'm going to say that not only those will get more efficiently done using AI that we are adding in our machines, it will also make us scale to another level of solutions. And now also see trends where other companies which have not been able to scale technology like this, are starting to fall behind us. In other words we will become scalable with non-linear costs and the market will grow and competition will probably reduce to fewer players. That is why Madhur is saying that there is a space for improvement.

Sachin Salgotankar: Got it, pretty clear Vijay. Second question when we look at your depreciation amortization clearly we've seen a sharp increase on a Y-o-Y basis and one understands that's mainly on the back of Soundbox and to earlier Bhavik's question I guess you guys gave a bit more clarity in terms of the outlook of the Soundbox. So is it fair to assume that this number will continue to increase or are we coming at a point where this might peak at some point maybe this year and then it could stabilize?

Madhur Dora: We do depreciate devices for financial accounting purposes quite aggressively. So two years in the case of Soundbox and three years in the case of devices, which we also think is significantly more aggressive than the useful life that we can get out of these devices. And as a result, we have seen this big increase in depreciation with the scale at which devices have grown. We do have extremely ambitious plans to continue to expand devices in the country over the next two or three years. We think that there is a clear runway to be able to do that. So I think the depreciation number itself, you should expect for that sort of continue to grow. Last year it grew 200% year-on-year so clearly it won't grow at that level but you should expect that Capex translating into depreciation will be a factor in our net income.

Sachin Salgotankar: Got it. And last question wanted to know your thoughts on the recent comments by RBI on credit on UPI. How would we look, what could be the impact of that on the overall Paytm business?

Bhaves Hegupta: Certainly it's a very welcome move in totality. The fact that India has significant opportunity for small time credit and disbursement which can be made more frictionless and seamless, which is what the intention of Reserve Bank of India is to allow overdraft account to be used by linking on a UPI rail and hence users can go out and scan QR and kind of consume the credit it is a fantastically welcome move. What is yet to be clarified is the commercial architecture around

it. What is currently known on the previous product which is overdraft on UPI rails, the MDR was similar to credit card. That adoption has been much lower but I'm assuming looking at credit card on UPI, if you look at that commercial in which you have less than Rs. 2,000 transaction free etc, if that commercial understanding was also on credit on UPI, then we could see some adoption happening in this area. And as an acquirer, we will only benefit with more funding sources getting added to the UPI QR payments. So we welcome this move.

Sachin Salgotankar: And Bhaves do you see competition increasing on back of it?

Bhaves Hegupta: Competition in terms of credit?

Sachin Salgotankar: Yes, more banks and now anyone could sort of give credit on UPI, right on the back of that?

Bhaves Hegupta: Yes we don't give credit on UPI because our partners are NBFCs who are yet not allowed to give credit on UPI. I'm assuming it will come over a period of time, but I guess, others said we don't see the competition is going to increase or decrease. There is room for a very large number of players in this space. We've been trying to achieve this objective through proprietary engagement with our partners for Postpaid. If tomorrow there is more acceptance of credit on UPI, it is only going to make the product more meaningful, even Postpaid for us. So I think it'll only expand the market. It's not going to bring more competition.

Sachin Salgotankar: Got it. Thank you all the best.

Moderator: Thank you, Sachin. Given the current queue of questions, we're going to extend the call by 20 more minutes and take as many questions as we can in that time. The next question is from Mr. Saurabh Kumar from JPMorgan.

Saurabh Kumar: Just two questions so one is just on this contribution margin so if we exclude the UPI incentive this quarter, then your margin has not gone up quarter-on-quarter despite the mix improvement, is it a fair understanding?

Madhur Dora: Yes, I think it's fair that the contribution margin has been flat Q-o-Q.

Saurabh Kumar: Okay. These second is on your device's activation rate. What should we assume as the activation rate?

Madhur Dora: Yes so we've given this number, Soundbox oscillates between 80%-85% and that's been a consistent number. That number hasn't reduced in spite of the scaling of that business.

Saurabh Kumar: Okay so what I'm trying to calculate is basically the remaining 80% are giving you Rs 100 rentals?

Bhaves Hegupta: So there are two ways to look at it. When we look at rental active, that number is above 90%, close to 90-92% because there are merchants who are happy to give you rental, but they may not be active every month on QR payments but if you're talking activation as we track it, we don't track only rental activation we track the transaction activation. That number is close to 84%.

Saurabh Kumar: Okay one last question.

Bhaves Hegupta: You should take it 90%.

Saurabh Kumar: Okay, I'll take this offline and the last question is basically this payments service to consumers so this would include the 1% MDR of BNPL, right?

Madhur Dora: No, the Paytm Postpaid MDR depends on which merchant you're getting it from. So if you're using Postpaid on the Paytm app, then it would come in payments service to consumers. If you're using it at one of our third-party online merchant partners, or if you're using it at an offline shop and that shop is paying us an MDR, then that would come in payments service to merchants.

Saurabh Kumar: Okay got it. So this lower growth that you see in payment?

Vijaya Shekharsarma : Consumersidesortofiswhenlet'ssayyouaremakingacreditcardbasedpaymenttosomeone,let'ssayrentpayment,andobviouslythereceivingpartywants100rupeesof100rupeesthenwe'llsaythat,okay,youpaythischargesowhenconsumerpaysthatiscalledconveniencefees.

Madhur Dora : Sorryjusttoclarifythatanytransactionthatis happeningonthePaytmappso wehaveexplainedthatinthe pyramid investor presentationso if a merchant is collecting the payment on the Paytm app and they're repaying a SanMDR for it, so it could be a mobile popup, it could be electricity bills and a large set of payments, a large set of categories of payments, then that is payments service to consumers because the offering is the consumer app. Whereas if we are doing the transaction at a merchant shop or the merchant app, then we consider that as payments service to the merchant. So the MDR also works on the same basis, which is that if it's for a transaction that happened when a merchant was collecting a payment on the Paytm app and they're repaying a SanMDR, or the consumer is paying a fee like Vijaya said, then that would be in payments service to consumers.

Vijaya Shekharsarma : Yes, in both actually the merchant is paying. That is why, if you notice in the presentation this time, we have called it Payment Services because 'to consumer' or 'to merchant' was a little confusing, because if let's say you are a merchant and let's say you are Airtel and you're selling top-up on Paytm consumer app, you effectively are paying the fees, Airtel is paying the fees but on Paytm app we used to call it 'Payment to Consumer'. So in the business presentation, if you notice, we have called it payments service this time because we believe that consumer and merchant split does not necessarily help in understanding the nuance that we at a time of IPO had split although the table below the disclosures carries the split.

Saurabh Kumar : Okay, so was just trying to figure out the core growth with XP, Soundbox and this MDR so that number seem to be more like 20% odd. Is that a fair number and has this kind of stayed static for the last four quarters? Now I'm just trying to back calculate from our payment revenues of Rs.1,400 crores. If this is what you have said, the Postpaid MDR and the Soundbox rental, then your core payment revenues have kind of remained in the thousands crore ballpark.

Madhur Dora : I can't quite follow that math off the top of my head.

Saurabh Kumar : Oh I think it will take it offline.

Moderator : Thank you Saurabh, next in line is Nitin Agarwal from Motilal.

Nitin Agarwal : Yes. Hi congrats on good numbers. So the first question is on device penetration. We have now achieved a 20% penetration rate and so what is the acceptance rate for a device when you approach a merchant and do you have an order book for this which gives you a sense on how fast you should go on to invest there and where this penetration can move, like in a few years from here?

Bhaves Hegupta : The pipeline is fairly simple. We've got about 30 million, 3 crore merchants who are paper QR merchants and now, as you know, give or take 60 lakh Soundbox merchants. Now the difference, as you can imagine, are the potential merchants who can take Soundbox. At any given point in time we do not see all the three crore merchants active but a large majority of them are active. We have seen that any merchant who does more than 25-30 payments on the QR on a

monthly basis is finding an IoT device like Soundbox meaningful for their business performance and management. So that funnel today, as we said today this month will be about 60-70 lakh more merchants who are keen or would be eligible to take the product like Soundbox. So there is no demand issue that we see in our system of the product called Soundbox. What is more important to us here is that we do find more innovation as a skin in the market place because there are various different kinds of merchants, merchants who want smaller Soundbox to larger Soundbox to a Soundbox which can have very, very low latency. That's the reason we launched the 4G Soundbox etc

tera and that is where our entire focus is. But purely from a funnel perspective, we have 50-60 lakh merchants who are recurrently eligible who do that many number of transactions which make Soundbox a correct product for them.

Nitin Agarwal

: Okay and secondly is there any seasonality in the GMV? The growth rate, if I look at sequentially, this quarter looks relatively modest.

Madhur Dora : Yes there is not a massive amount of seasonality, but there is seasonality in the business, particularly in relation to festive season and so during Diwali and pre-Diwali we do see pre-Diwali we see online merchants running obviously large events and festivals, shopping festivals and as you get closer to the Diwali there is a sort of spike in business in the offline side of things. So there is seasonality and not to further complicate the matter, because the date of Diwali also moves, that seasonality may be seen entirely in Q3 or in some years, it is seen partially in Q2 and partially in Q3. So that is the seasonality impact that we see in the business. There is other seasonality related to weather and so on, which is not significant.

Nitin Agarwal : Okay and lastly is calculation of Postpaid penetration, should we not take the number of loans originated every quarter to quarterly average MTU because the current methodology seems to understate the penetration there.

Bhaves Hegupta : No, so Nitin the way we see this piece is that we've got close to about 80 lakh odd users who have taken Postpaid but of the 80 lakh users, we see about a million users who are not eligible to take their credit line because of delinquencies that they have demonstrated in the system. So basically we see about 45 lakh odd users who are using Postpaid every month but if you blend it out for a quarter it could be 40 lakhs. An MTU that we are looking at is about nine crores etc etc. So that's the way we calculate it but a macro point rather than getting into it is it 4.5 or let's say 7.5, the headroom for growth is very, very large. Even if you were to do the math on a gross to gross basis the headroom for growth is very large.

Nitin Agarwal : Right, okay, sure. Thanks so much, wish you all the best.

Madhur Dora : Thank you Nitin.

Moderator : Thank you Nitin. Next in line is Rahul Jain from Dolat Capital. Rahul, your line is unmuted. And may I request we do have a few other folks who want to ask questions. We have quite a few folks still in queue and..

Rahul Jain : Thank you. Sure. I have two questions. I'll ask in one go to save time. So firstly on the Postpaid we have seen that the value of usage has increased multifold over the last four-five quarters. So is it simply because of the higher limit that we have given to them or is it because of increased touch point or we are observing incremental preference of consumer using the credit option instead of debit on their bank account and, what are the incremental innovation we could do to leverage growth in the loan and distribution business over it's more toward profitability I think that is what he said and also from the point of view of how the immediate time or growth potential changes with onboarding of new partner on the lending side, any thoughts he would help. Thank you.

Bhaves Hegupta : Sure Rahul the growth of Postpaid is a function of three aspects. One is how many places Postpaid is accepted. So if you go one year back, this number would have been about 30-40 lakh merchants and today we've got 1.9 crore merchants. So the fact that

atwe've been consistently working with our merchants to make them aware of Postpaid, of the product both online and offline, more acceptance of the product, more usage of the product becomes a natural outcome. So that has led to growth. The other piece is that as the portfolio has matured and the lenders have got comfortable with the way the portfolio performed, they have gone and upgraded the limits to people who had lower limits, and hence the overall limit, average limit per user, has gone up by 30-40%, resulting in the overall GMV also being increased. And number three, of the piece is that we've also seen the adoption of users who are adopting it may be only for one use case or two use cases now adopting for multiple use cases because the visibility of the product and generally now that you are sitting with almost 70-80 lakh users, there is a network effect if I may use the word, which has started to play around. So we will continue to see this growth happen. It may not be as much as we've seen last year because of coming out on a small base but yes, we have not taken, if I may use the word,

our partners have not taken any additional risk to go ahead and give more limit set cetera, etcetera. It's just the overall network will become a more meaningful positive for the users.

To your other question about my comments we've been maintaining this right from Q1 and Q2 when for the first time in the strategy cycle started to move up. Our belief has always been that the strength of Paytm model is not just being able to give the best quality portfolio to our partner on our platform, but also to be able to give them the portfolio which is palatable to the risk appetite in a moving macro environment. Now, given the macro in the last may be twelve months you've seen repo move at 2.5%; there is always an issue of unsecured credit in a higher interest scenario on a lag basis and we are very, very mindful and continue to work with our partner that how we should look at the change in macro and calibrate growth so that we do not have any slippages in the portfolio. In fact, we have demonstrated that we want to make a portfolio better. In that backdrop, our belief is that we would like to be a lot more watchful in Q1 and Q2, when we would see elevated interest rates may not be more Repo rate increase than we've seen thus far, but definitely elevated interest rates and how does the portfolio that we've originated in the last two quarters perform in the Q1 and Q2 of this year and if we see that the performance of portfolio is at par or better than what the lenders have anticipated, we will see far higher growth in H2 versus what we intend to do in H1. So it is not that we are going to go into very low growth, but if you were growing at 25% quarter-on-quarter, we would like to calibrate it to maybe 15-20% and make sure that the portfolio obligation is far, far better demonstrated through our distribution platform versus just a GMV disbursement.

To your third question about the TAM I think the TAM expands marginally because the kind of partners you bring on the platform are all very, very large NBFCs as you know that our intention is to bring in banks and large NBFCs typically these are AA/AAA NBFCs and we don't see much material difference in the risk appetite. What we definitely see here is that the intention of partner A versus partner B in expanding in a certain geography tends to be a bit higher. So we get maybe a couple of percentage points higher upside in terms of the opportunity that we are not able to leverage with existing partners. That's the only upside but more important to us is it provides a saner runway over the next six to nine months as the book matures with new partners on their comfort in growing with us, which typically is the area that we can continue to focus in this year.

Rahul Jain: Appreciate it, thank you.

Bhaveshgupta: Thanks Rahul.

Moderator: Thanks Rahul. Next in the queue is Piran Engineer from CLSA, Piran your line is unmuted now.

Piran Engineer: Yes, hi thanks. Some of my questions have been answered, but just to follow up on the Soundbox thing, so Bhavesh you're saying that the potential size of the overall pool would be about 13-14 million merchants and the sort of cutoff limits is 25-30 transactions per month on your QR code is that fair?

Bhaveshgupta: Yes, so not on my QR code. We have data, so we generally believe that if you are not a Soundbox merchant and you are a QR merchant, typically you will have two QRs and if you're redoing, let's say 25-30 transactions with me, you may be doing similar or marginally lower transactions with somebody else. So broadly, you do...

Piran Engineer: Fair enough but that's like one transaction a day. Why will a customer need a Soundbox when he's doing one transaction a day? The entire idea of Soundbox was to provide convenience when you've got multiple customers at your shop, everyone's paying you at the same time, and that just gives you the ease of handling the overall transaction. So for one transaction per day why will I pay?

Bhaveshgupta: So Piran, a merchant ends up doing two transactions in a day, but that is not the point. We have seen that doesn't mean that everybody who takes a Soundbox is taking it only on one transaction. We have seen that point in time becomes a pitch point when you start engaging with these merchants. When I'm talking about 50-60 lakh merchants available who do more than 25-30 transactions a month with us, they become eligible. We are able to convert about a million of these merchants in a quarter. Not all the 60 lakh merchants in a quarter. So this is an eligible list. And obviously there's a funnel that the people who are doing 100 transactions or 150 transactions a quarter find it meaningful. The other piece here is it is also a very well demonstrated fraud in the system right? So if you

look at a guy who's selling, let's say, ice creams, they also have a Soundbox. It is not about the number of transactions. It is one in a day or two in a day. They do get unfortunately, hit by fraud with spoof apps, etcetera in a research that we've seen. If people are able to show them wrong messages on a static screen, on a spoof app and kind of not pay them and they have no way to understand that this money has come in their bank account or not. So by paying 100 rupees of rental, they're also able to protect themselves from fraud. Not just that they have a more convenient way to reconcile. So it's more of a market dynamic and hence it makes us believe that when we look at the funnel, we have a large funnel which keeps getting converted into every month and if I was to say for the month of April, we have seen that demonstration again happen, that we were able to deploy the same number of marginally higher number than what we did in March.

Piran Engineer: Fair enough no longer understand the run-rate is going strong. I'm just thinking about the TAM, but that's okay and secondly, again, just on the TAM on the lending business, now we have 80-90 lakh BNPL guys but just in terms of, say, personal loans and merchant loans, you know, in terms of number of customers, you know, what could be the TAM say 3 years down the line. And also in the lending business, how often do commercials between you and the lenders get revised be it for cost of funds going up and down, or be it for ECL being better or worse than expected. Like does it get revised every three months, annually, how does that work?

Bhaveshgupta: Yes, so Piran we have a six-month revision of commercials that we do with our partners. We have thus far because the repo has gone up significantly so there has been transmission of both repo and some commercial changes we do. But yes, the simple answer is that we contractually review commercials every six months and that is what we have done. It can be for the better. Very rarely it's for the worse. Obviously during the repo increase we had to calibrate interest rate both what the lenders charge the users and obviously the RoA expectation they have. To the TAM question that you had, the Personal Loan TAM is linked to what we have seen thus far to the BNPL growth. 60% or 55% of our disbursements that our partners do is happening to existing BNPL customers. And that funnel is only becoming robust on a month to month basis as the book is maturing. So if fewer were sitting on, let's say 40 lakh or 50 lakh active users of BNPL in a quarter

er,
wedofindthatalmostamillionormillionandahalfusersofthatfunnelareeligibleforPL,andthen50-60,000ofthemkeeptakingPLfromthatfunnel.SothemoreandmoreweareabletogrowourPaytmPostpaidbusiness,thedownstreamimpactisonPL,whichcontinuouslykeeps growing, and that has been demonstrated. So there is less focus on straight through PL coming into the lenders book. There is more focus on it getting upgraded through either a merchant loan or a BNPL loan or an existing personal loan in PL. Sold on't think we have a tall problem on the TAM of PL. It is extremely small as a number today and it is linked to the entire Postpaid disbursement.

On the merchant loans side the TAM is linked to the devices. We have so far if my memory stands right, we have so far given about 500,000 to 600,000 merchant loans over the last two and a half years merchant credit. We have 60 odd lakh merchants who have devices and I think I've spoken about this math in the past that typically it takes six months for a device merchant to become eligible for credit in the location that we are in. So if you look at this number, typically the base of merchants who can be eligible is about 40ish lakh, 35ish lakh of which five have already got the credit. So the remaining base is 30 lakhs, of which half of them are whitelisted by our partner to take credit. And we are able to disburse about 70-80,000 merchants, maybe close to 90,000 merchant sets every month. So again, it is linked to the device's story. More devices we're able to deploy, more merchants, get eligible for credit, and that TAM is obviously very high for us.

P i r a n E n g i n e e r : Okay, thank you and all the best.

B h a v e s h G u p t a : Thanks Piran.

M o d e r a t o r : Thanks Piran. Next in the queue is Vijit Jain from Citi. Vijit, you can ask your question, please.

V i j a y S h e k h a r S h a r m a : Keshav you can add another person, because Vijit seems to be having the room.

M a d h u r D e o r a : Let's come back to Vijit later if you need.

M o d e r a t o r : Next in the queue is Himanshu, Himanshu from Aditya Birla Mutual Fund.

H i m a n s h u T a l u j a : Yes, hi, sir. Thanks for the opportunity. Most of the questions have been answered. Just two small quick questions; one is when you talked about the growth drivers of the launch of the new tech platform, what is the cost of upgrading this and how much did you have accounted for in the quarter? Secondly, how much and how we are going to see this in the coming quarters as well. How it is going to spread this cost in the coming quarters as well. Second part to this question is just needed clarity: is this cost part of your indirect expenses?

M a d h u r D e o r a : So Himanshu if I could just clarify the cost of building the new platform was a people's cost and that cost we're not incurring anymore. Obviously those people are now deployed to other projects which I mentioned. The cost of operating the platform going forward is significantly less than the cost of four existing platform scales. So there are two differences that we get which is that over the last year we were running effectively two platforms because not all of the transactions were migrated from the old platform to the new platform. So there are some efficiency improvements that we get as a result of now running on a single platform and that impact you will see in software cloud expenses. And like I said, the running cost of the new platform will be lower than the running cost of the previous platform.

H i m a n s h u T a l u j a : Suresir, thanks for the clarification and my other question is this Wallet interoperability guidelines. Just trying to understand how this is going to increase the use case for the revenue on the payments size payment business and since you mentioned that at whatever comes it is at least at two-quarters away so if you can just give us, what is the scope and the opportunity here?

V i j a y S h e k h a r S h a r m a : Well, what it means is that Paytm full KYC Wallet customers will be able to make payment at other QRs and the QR provider will make payment to us. Now what is the market if you assume that Paytm is accepted at X percentage of the market, the prorated extra potentially yet cetera could be the market opportunity but to be honest about it, we don't put this kind of mathematics because the increased acceptance, increased customer traction set cetera so we haven't done this math Himanshu. And we are two quarters away so we are not doing this math or we are not looking to see. We will see it as it comes.

H i m a n s h u T a l u j a : Sure, sir. Thanks.

M o d e r a t o r : Thank you. Next in the queue is Mr. Akshay Jain from JM Financial.

A k s h a y J a i n : Hisir, thank you for the opportunity. I have a question regarding the recent news report that RBI has cautioned the bank to go slow on the unsecured lending side. So what are your thoughts on the same and any potential impact on Paytm or further have you received any communication from RBI or your lending partners regarding this thing? That's my only question.

B h a v e s h G u p t a : Yes, we've also read the report. I'm sure that from time to time the regulator will guide the industry, especially bank and non-banks, to be mindful of the changing macro. And that's the reason we have always preempted it. The moment the interest rate, environment, inflation environment and macro changes there has to be a more conservatism built into our business models and we should be focused on portfolio versus growth. So having said that, we haven't got any confirmation or any kind of guidance from our partner that they are worried about the kind of portfolio we are originating. We continue to originate the portfolio as per the risk appetite. But as I said in my previous conversation, we are mindful of a more proactive view of the changing macro and the overall growth of unsecured and the overall portfolio. And hence we continue to calibrate the growth versus the portfolio mix that we would like to give our partners to. But we haven't got guidance from our partners. Our partners feel very comfortable with the portfolio.

A k s h a y J a i n : Okay sir, thank you.

M a d h u r D e o r a : Thank you Akshay.

M o d e r a t o r : Thank you Akshay. Next in the queue was Mr. Vijit Jain from Citi. Vijit, your line is unmuted.

V i j i t J a i n : Yessorry about that. My question is, you've launched the RuPay credit card with HDFC Bank, which was announced in the presentation. Now RuPay credit cards are allowed on UPI, right? Is that the key pitch here because Master and Visa are currently not allowed on UPI and how does this play with Postpaid, which is also credit on UPI?

V i j a y S h e k h a r S h a r m a : Vijit it is not launched and neither it is launched with HDFC so it is not there, number one. Number two, our pitch is that RuPay wants to promote and we want to promote RuPay so it is the pitch. As far as the usage is concerned then the number of users it will reach out to will decide what incremental change is or not.

anges or not.

V i j i t J a i n : Okay, good. I think I saw that in the presentation itself.

V i j a y S h e k h a r S h a r m a : It's coming soon. We haven't launched.

V i j i t J a i n : I see.

M a d h u r D e o r a : We are about to launch soon. It is a RuPay credit card. We haven't said which bank partner and of course RuPay credit cards will be used in every manner that a RuPay credit card can be used, including RuPay credit on UPI.

Vijit Jain :Got it. My second question is just on the payment net margin expansion Q-o-Q now even excluding UPI incentive payments you have about 60-70bps improvement and obviously the BNPL disburseals this quarter are also up 30% Q-o-Q. So net-net that is one of the key drivers of that expansion there?

Vijay Shekhar Sharma :Well, it is one of the drivers, but other drivers are also there.

Madhur Dora :Yes, soon BNPL also we have MDR revenue, we also have cost. There is some increase in subscription revenue, which I think Bhavik had asked about earlier and there is improvement Q-o-Q on what we call payment processing margin, just resulting in efficiency both on the revenue side as well as on the cost side. Again Vijit would be slightly careful about looking at these numbers, just granularly on a Quarter-on-Quarter basis. On a Year-on-Year basis we have and on a long term basis we have already given the guidance because there are a number of factors that go into Q-o-Q, including usage of different instruments by customers and soon.

Vijit Jain :Understood. The last question Madhur Postpaid disbursement volume per quarter is about 12 million. Any broad indication of how many P2M transactions are happening using Postpaid as a payment instrument?

Bhaves Hegupta :So we actually don't track it because it's not a metric that is very relevant. We look at use cases, but I think the last time when we have seen this was about six or seven transactions at typical Postpaid user does in a month.

Vijit Jain :Okay, got it. Thanks.

Moderator :And now for the last question of the session. We'll take it from Mr. Manish Shukla from Axis.

Manish Shukla :Thank you. So what would be the timelines for achieving the free cash flow breakeven for you?

Madhur Dora :Manish we have not given a specific quarter, but we have said that we are very close to achieving cash flow profitability. And just to be clear, the way we define cash flow profitability is EBITDA plus interest income less Capex. There are also, in parallel improvements in working capital that we are doing. So if you notice over the last one year due to improvements in working capital and if you adjust for the money that we spend on buyback, we over the last year have actually added to our cash if you look at the 31 March, 2022 number and the 31 March, 23 number so we have also in parallel improved working capital. But when we are talking about free cash flow, we're saying EBITDA plus interest income less CapEx and we are very close to being able to do that. You only need some improvement in EBITDA going forward, not very significant improvements in EBITDA to be able to get your free cash flow breaking.

Vijit Jain :Soon once you get there, what would be the end use of the cash on books?

Madhur Dora :We will discuss that with our board and we will communicate sort of what that is. At the moment, we do feel like we have a lot more cash than we have immediate use for. One of the things that we have done in the past is discuss with our board and return some of that in the form of buyback. So that would be one option on the table and there will be other options with respect to any investment areas that we feel very strongly about. So we will, at the appropriate time, once we are starting to add the cash flow, discuss all of that with the board and communicate that back to the market.

Vijit Jain :Sure thank you. Those are my questions.

Madhur Dora :Thank you, Manish.

Moderator :Thank you, Manish. With that we come to an end of the Q&A session. A reminder that a recording of this call and the transcript will be put on the company website. Thank you all for joining our newscall.

Vijay Shekhar Sharma :Thank you, everyone. Thank you.

Madhur Dora :Thank you for the very detailed questions and we really appreciate your time and attention.

Vijay Shekhar Sharma :Yes, thank you, look forward.

Call: Jul 2023

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July 26, 2023

BSE Limited

Department of Corporate Services

Phiroze Jeejeebhoy Towers,

Dalal Street, Fort,

Mumbai - 400 001

Scrip Code : 543396 National Stock Exchange of India Limited

The Listing Department

Exchange Plaza ,

Bandra Kurla Complex,

Mumbai - 400 051

Symbol : PAYTM

Sub. : Disclosure under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 - Transcript of the earnings conference call

Dear Sir / Ma'am,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings conference call, conducted on July 22, 2023, on the financial results of the Company for the quarter ended June 30, 2023.

The above information is also available on the website of the Company at <https://ir.paytm.com/financial-results>.

Kindly take the same on record.

Thanking you

Yours Sincerely,

For One 97 Communications Limited

Sunil Kumar Bansal Company Secretary and Compliance Officer

Encl. : As Above

Paytm | Quarter Ended June 30, 2023 Results | Earnings Call Date: July 22, 2023 | Time: 11 AM Indian Standard Time

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discussed and presented herein, is not intended to be an offer for subscription or sale of any securities or inviting offers or invitations to offer or solicitation to offer from the public (including any section thereof) or any class of investors. No rights or obligations of any nature are created or shall be deemed to be created by the information presented and discussed on this earnings call. This document has not been and will not be reviewed or approved by a regulatory authority in India or by any stock exchange in India. No rights or obligations of any nature are created or shall be deemed to be created by the contents of this document. Moderator: Thank you for joining. And welcome to Paytm's earnings call to discuss our financial results for the quarter which ended on June 30, 2023. From Paytm's management, we have with us today Mr. Vijay Shekhar Sharma, Founder and CEO; Mr. Madhur Deora, President and Group CFO; Mr. Bhavesh Gupta, President and COO; and Mr. Anuj Mittal, Senior Vice President, Investor Relations.

A few standard announcements before we begin. The call is for existing shareholders of Paytm, potential investors and research analysts. This call is not meant for the media. If any media representatives are on this call, we request you to kindly drop off at this point. The information to be presented and discussed here should not be recorded or reproduced or distributed in any manner. Some statements made today may be forward-looking in their nature. However, actual events may differ materially from those anticipated in such forward-looking statements. This earnings call is scheduled for 60 minutes. It will have a presentation by the management followed by Q&A. (Operator Instructions) The presentation, a replay of this earnings call and a transcript will be made available on the company website subsequently. With this, I would like to request Mr. Vijay Shekhar Sharma to kindly initiate the earnings call. Vijay Shekhar Sharma: Thank you. Thank you so much, everyone, for joining our quarterly call. I'm very happy to see that our business is exactly going in the direction that we have envisaged and it is really incredible to see the amount of technology potential opportunity that is coming up in our business, and I am more than hopeful - I am more hopeful than ever before that there is incredible amount of impact and business that we could do in next few years. With this, I have numbers to share here. In fact, as you may have seen, we have given a very narrated detail there in our business, where you can see there really is different, different kinds of details that we have put up there, and this is our presentation which is going to summarize. We'll tilt it towards more Q&A instead of just a business presentation because we have given a very detailed narration. The numbers that you're seeing here that we have year-on-year growth of 39% of revenue which is driven by, as you can very well see, our payment and financial services business are definitely growing year-on-year in an incredible way. Commerce business, which is obviously dependent on many other seasonality and limitations, have grown but not in the same range. Our profit contribution margin has started to grow even further. So last time when we were looking at 51% as our contribution margin, we saw this growth going towards 56%. And the single thing that is behind it is the higher margin payment business and higher margin business for our credit and financial services business. And these are improvements that we're seeing in our margin. So, if you see that we have growth, we have increased contribution profit and then also increased the margin there. So, it is a very healthy sign. We see there

is a lot of opportunity here. Obviously, as you all know that it has created an opportunity for us, where EBITDA before ESOP has improved by INR 359 crores before a year. And it is important to note that we have compared here INR 52 crores, with a number that previous quarter, because there was a one-off UPI incentive that had come. So, to give you a more quarter-on-quarter correct normalized view we have excluded the UPI incentive on this number. So, overall, what it means is that we are on path, we are on our committed guideline of becoming free cash flow positive by the year-end, meaning we could start generating free cash. In fact, some of you may have seen the numbers. So, we have added some cash in our reserves already. We are very sure that based on the market conditions and positive movement in payment revenues and credit opportunity, we should surely be able to deliver it before year-end. In fact, we are believing that it could go to the next level of (Technical Difficulty). So, thank you so much. I would give it to Madhur to continue forward.

Madhur Deora: Thank you and welcome everyone. We'll go to the next page, please. So, this is our payments business. Payments business has continued to scale up very nicely with improved profitability, as Vijay mentioned earlier. Our monthly transacting users, which is the number of customers who transact on Paytm app, has gone up 23% year-on-year and continues to see an upward trend. Our merchant subscription business, as we have mentioned before, which is a key focus area, has more than doubled year-on-year. In the last quarter, we added 11 lakh merchant subscriptions. So, this is a product and offering that continues to find larger and larger addressable market opportunities. All of this has contributed to our net payment margin improving 69% year-on-year to INR 648 crores. Just to remind everyone, our net payment margin is money that we make on payment processing, which is the revenue minus what we pay to the issuer banks plus the subscription revenue. So going back to payment processing margin, we had given a range in December 2022 that this is currently in the 7 to 9 basis points including UPI Incentives. Currently even without UPI incentives, which we did not record any of in this quarter, it is at the high end of our 7 to 9 basis points guidance. So, we have seen encouraging trends here. That is, because of the increasing GMV of non-UPI instruments, such as EMI, which is a big focus area for us, both online and offline, as well as the increasing share of our payment processing for card transactions. We are also experiencing lower interchange costs for Wallets. As some of you know, there was an interoperability circular that came out from NPCI, which is effective since April 1st. So as a result, our interchange cost for Wallet has gone down and Interchange cost for Paytm Postpaid also continues to go down due to better portfolio quality, which is a theme that we had touched upon in the last quarter's earnings. Our subscription revenue is a direct result of the growth in merchant subscriptions (Devices), which as I mentioned earlier, has gone from 39 lakhs, sorry, 38 lakhs a year ago to 79 lakhs in this last quarter. We'll go to the next page, please. Now a little bit about our loan distribution business. Our value of loans distributed through Paytm platform last quarter was just under INR 15,000 crores, which is a number that we had published in our monthly operating metrics. So, this is a number that you already have. And this has seen significant growth across all three products. So Paytm Postpaid is up 138%, personal loan is up 202% and merchant loan is up 232%. So, we are seeing traction across all three of our products. As we have mentioned before, starting, I think, May '22 is when we explicitly called this out that our focus is on improving credit quality. One of the things that we're quite proud of is that the penetration levels are still very low, which means two t

things. One is that there is a huge addressable opportunity ahead of us and also that we are very selective when we work with our lending partners on who gets a loan on Paytm platform. Another indication of this is that the portfolio performance for our partners has continued to improve. Specifically in Paytm Postpaid last quarter, we lowered the range for expected credit loss with our partners, and this quarter again, we are lowering the ECL rates in the range that we have given. Earlier it was 75 to 100 basis points, now it is 65 to 85 basis points. So, we are seeing consistent improvement in credit quality because of a number of business initiatives that we have taken. We'll go to the next page, please. Our commerce and cloud business. The co-branded credit cards and advertising have driven growth in commerce and cloud business. It is up 22% year-on-year, which is lower than our overall business, but it is still a healthy 22%. In our commerce business, we - just to remind everyone, we sell travel, movies and events tickets and deals and gift vouchers to customers. This GMV was INR 2,500 crores. It was up about 10% year-on-year. On a revenue basis, this was up about 12% year-

on-year. The reason for the subdued growth was a decline in the movie industry. So last June, the movie industry was seeing some healthy content. This June quarter has been lower than the previous June quarter. Also, there has been a decline in Play Store vouchers, which are sold - that entire industry, and we also sell Play Store vouchers, so that entire industry has seen a degrowth. On a QoQ basis, I just want to call out that Q3 and Q4 are strong quarters for our events business. So, there is that seasonality in our business. Q1 and Q2 are much more subdued because of the lack of holidays, festive season, as well as weather. So, our take rates have basically come down to what we have guided earlier, which is 5% to 6%, whereas in Q3 and Q4 we see a little bit of a higher take rate. On our cloud business, like I mentioned earlier, co-branded credit cards, they are continuing to scale very well. As you know, about a couple of quarters ago, we started to give numbers for activated cards, that number has now reached 7.5 lakhs and our partnerships are doing very well. You may have noticed that we have launched a credit card with SBI, SBI RuPay credit card. Paytm SBI RuPay credit card, which was launched about a month and a half ago, and we also saw growth in our advertising business. We'll go to the next page, please. And finally, some of the growth drivers in our business. Clearly, mobile payments in India have still got very low penetration, particularly on the merchant side. We think that we are extraordinarily well placed in that business because the technology that we give to our merchants is very well accepted and the adoption is growing very fast, particularly Sound Box and Card machines. We're making a number of other innovations in the payment ecosystem. UPI Lite, we were the first to launch the RuPay credit card on UPI, which we just mentioned. Multi-bank and Brands EMI aggregation. As I mentioned earlier, we are seeing an uptick in that and that is contributing to higher net take rates as well. And Paytm UPI SDK for our online merchants. On the loan distribution side, we think that there is a huge opportunity for growth, while we will continue to focus on ensuring superior credit quality for our partners. Further, there is good regulatory clarity on digital lending guidelines now in India. So that is also supporting the scale-up of the loan distribution business. Last quarter we had mentioned that our target for this year is three to four new lending partners. On June 30, we did announce the first of those new partners, which is Shriram Capital. And I hope many of you have noticed that. Paytm Money has launched a new bond trading platform. We think that there is huge under-penetration in India for retail investing in bonds. So that's a business, w

hich while it is very early and very small right now, is a directional bet for us that we think that this is something that will play out over the next several years. So, we are proud to be one of the early players in that. With that, I'll hand it back to the moderator for Q&A. As Vijay mentioned, we have put a detailed earnings release and we have intentionally kept the presentation relatively short to allow as much time for Q&A as possible. Moderator: Thank you Mr. Deora. With that we'll start the Q&A session of the earnings call. As a reminder if you seek to ask a question kindly utilize the raise hand feature on your zoom dashboard and we'll seek the questions in the sequence of the raise hands and within the permitted time. With that the first question of the session will be from Mr. Sachin Salgaonkar from Bank of America. Sachin Salgaonkar: Hi, thank you for the opportunity. I have three questions. First question is regarding your ticket size on loan and clearly Madhur, we could see you guys lowering ECL range but while we're seeing that we're also seeing ticket size across every segment which is Paytm Postpaid, personal loans, merchant loans is actually increasing and perhaps in a meaningful manner. So, I just wanted to understand how we should look at this?

Bhavesh Gupta: Hi, Sachin. So, the reason for ticket size increase is that the renewal business is now maturing. We've been at this business -- merchant loan postpaid for three years and Personal Loan for more than two and a half years. Both in personal and merchant loan, more than 50% of our business is coming from existing users and in postpaid about 65% of business from existing users. So lenders have a much larger comfort in giving a higher ticket size to people when they are disbursing the second loan or a renewal of the existing loan to the users. The new user ticket size continues to be the similar amount that was happening, let's say, a year or 12 months back, but because the blended business has moved up, that's the reason ticket size has moved up. Sachin Salgaonkar: So, Bhavesh, directionally it might inch up a bit more also going ahead? Bhavesh Gupta: Yes. So, it may, but that's not a metric that we personally track. It is basis the comfort the lender derives and what is their underwriting policy, but broadly, our focus is that we should be, as the book matures, on every product there could be a stability point both in merchant and personal loans in particular that the existing customer renewal, as a share of total business, could inch up to maybe 60%. So, yeah, you could expect marginal increase but Postpaid is a natural increase over a period. It will not see a dramatic increase, because it continues to be a consumption-led product, not a life-led product. Sachin Salgaonkar: Got it. Second question, the new FLDG norms are out there. I just wanted to understand, any change of thought in terms of how you guys are looking at current business, and does that change incrementally something for you, i.e., in terms of getting a bit more partners as well? Bhavesh Gupta: Yeah. So, I think this is a very welcome move from the regulator. It just reinforces that the overall regulatory environment is very positive and pro of building a digital lending infrastructure and credit business in this country. We welcome this move with a lot of positivity. Having said that, our belief here is that risk management is a job of a regulated entity. They understand risk and the heterogeneity of models that they have built over a period of time much, much better than Paytm would ever be. So, our current model is not of taking risk but helping the lenders to manage collections. We are committed to their model; we'll scale that business. Will it add and help in any new partners, because we've never given FLDG, we don't have any inertia in getting new partners. Like you saw Shriram

Capital or Shriram Finance addition, you would see many, many more large institutions

getting added to our overall portfolio of partners that we work with, without us offering any kind of FLDG. So the short answer is this that our model that we continue to pursue will continue as it is. We are not exploring any FLDG models with our partners. Sachin Salgaonkar: Okay and is Shriram already onboarded, should we see contribution from next quarter onwards? Bhavesh Gupta: No, they're not, they're on-boarded but they're into technology integration. So our aim is currently that we're looking at some time in quarter three that they should go live. Sachin Salgaonkar: Got it. The last question I have is on the software cloud data centre expenses, clearly, we did see them declining and I presume this is because you guys are moved to a new platform. So just wanted to understand going ahead directionally this should continue to further come down as well, right? Madhur Deora: Well, I think, as a percentage metric of GMV transaction revenue et cetera, it should continue to come down. But you're right that we did see the benefit last quarter of effectively exiting our old platform, which I think I mentioned in the previous quarter's call that we were effectively running two cloud platforms in parallel. So, exiting the old platform did give us a one-time benefit. You shouldn't expect it to sort of continue to decline in absolute term, because as also the business scale grows, there are more transactions, more data, and so on, more compute required, more storage required and so on, but as a percentage of revenue and so on you should expect for this to go down over time. Sachin Salgaonkar: Okay thanks guys. Madhur Deora: Thank you Sachin.

Moderator: Thanks Sachin. The next question will be from Mr. Nitin Agarwal from Motilal Oswal. Nitin Agarwal: Yeah, hi. Thanks for the opportunity. A couple of questions; first is - how many tie-ups are we looking to add now over FY 24-25 to sustain this disbursement goal that we are reporting and what is the outstanding loan book size with all the partners as of Q1? Bhavesh Gupta: Hi, Nitin. So, Nitin, I think last quarter also, we had mentioned that this year we are looking to add about three to four more partners. One has already been announced and the remaining couple of partners, we intend to announce over the next couple of quarters, that will help us to manage the -- both the aspirations of the new partners who come in and the existing partners. And more importantly, it will provide the much-needed expansion of what those new partners bring to us. So this is something that we believe will happen. We could make some amendments as we go in the next couple of quarters in terms of adding more than what we are saying, but this is a minimum we will add. With regards to your second question, if you could repeat that please once again for me. Nitin Agarwal: So the outstanding loan book size? Bhavesh Gupta: You see, the loan book, we actually don't track, because our commercials are based on disbursements and not on the loan book, but broadly what we understand, basis the average maturity of tenure and the composition, if you are disbursing, let's say, INR 100, about one-third could be the AUM as a combination with all the partners, but this is more of an estimate. That's a range that you could take. Nitin Agarwal: Okay. And of these three, four partners that you're looking to add, are you looking at banks also to come? Bhavesh Gupta: Yes, you will see some announcements in banks also. Nitin Agarwal: Okay. And the other question is like on the pending regulatory approvals. Any thoughts - what progress are we looking over there for both the payment aggregator and the payment bank. And while we have mentioned that it is not affecting our business growth and overall aspirations, but as and when you get these approvals, how will things change in terms of the growth trajectory thereafter? Bhavesh Gupta: I think both are different approvals which are pending. So let me talk about the Payment

Aggregation business first. I think the last update that we'd given that there are approvals, which are pending with the government ministries et cetera. The process of engagement with them is already on. We'll file the application. That process is currently in the works. And whatever exchange of information has to happen is going on. And we remain hopeful that that process should end fairly shortly, and we should get the direction for further course of action in that area. Having said that, we've been explicitly guided by the regulator that we can continue to operate the business we were operating of Online Payment Aggregation that we were doing, and as and when we were to get any kind of communication from the Government of India, we shall keep them informed. So, our business has not got affected, primarily because we've been in this business since a very long time, at least from 2017. It's been about six years of doing payment aggregation business and being the leader in that business right from the beginning, we have had many, many customers who've been added in our system, and our focus has been to further deepen our relationship and penetration. And as you can see from both net payment margin and growth of GMV that area of effort is really helping us. Yes, there is always an opportunity to add new clients. So, we will welcome as and when we get the approval to be able to add new clients. It will have a marginal impact on the growth of our business, not a material impact, especially in the online space because the online space, we believe, currently, most of the large clients already are there and the objective is to move towards increasing penetration versus adding newer clients. On the bank side, that process is again on. As an associate of Paytm, the information we get from the bank is that the process of engagement with the regulator is on. Yes, it has taken a lot more time than we anticipated, but at this stage in time, we don't have necessary clarity as to when would the process be

over, but we understand from the Paytm Payment Bank management that that process is operating very, very comfortably and should get over soon, but we don't have any particular timeline to those yet. Nitin Agarwal: Okay and lastly just to again come back on the loans side we have achieved an annualized disbursement run rate of close to INR 60,000 Cr and there has been a bit of concern on what we have seen after the regulator pointed out some discomfort on the growth and unsecured loans. So, have you seen any change in behaviour or underwriting with your partners and how sustainable can this value of loans be because we are already INR 60,000 Cr a year, how sustainably do you see this growing over the next two three years? Bhavesh Gupta: I think the focus of ours, right from the beginning, has been to ensure that we are able to originate the best quality portfolio to our partners and that approach of ours hasn't changed over the last three years. Yes, we have been reading in the press about the discomfort, which is particularly called out for banks, et cetera by the regulator. Our partners, thus far, haven't come across stating anything of discomfort about the portfolio that we've originated with them. So, you will see even a personal loan product in quarter one. We have grown, while we ourselves believe that we should calibrate growth as we move forward, but we don't see the growth getting tapered off to a level wherein somebody shows discomfort. Our belief is that there is an opportunity for the business if calibrated to the macro conditions of both risk and reward ratio.

Whatever growth is then hence as an outcome desired, we will pursue that. You will see us being a lot more conservative in growing, because our objective, just like how we have demonstrated in Postpaid, we would love to demonstrate the same in merchant loan and personal loans also that we can continue to grow at a healthy pace and also have a portfolio perform better than what we did last year. With that plan in mind, our focus will remain to get a better portfolio and also a decent level of growth, but it will be calibrated looking at the macro. Nitin Agarwal: Thanks Bhavesh. Thanks a lot and I wish you all the best.

Bhavesh Gupta: Thank you, Nitin. Madhur Deora: Thank you. Moderator: Thanks Nitin. The next question is from Mr Rahul Jain from Dolat Capital. Rahul Jain: Yeah, hi, thanks for the opportunity. As you mentioned in this presentation that there is an increase in GMV, from card and EMI, which has helped in better payment margin. Just wanted to understand that do you see any possibility that we have just yet touched the QR-based payments through the debit side of the economy, but the next wave could be QR-based payment on the credit side through EMI, card, BNPL or whatever, and incrementally regulator also keep on talking about the under-penetration on credit and all that. So, do you think that could actually change the dimension in a different way and the 7 to 9 bps that we keep talking about could stay at a higher level and overall revenue per GMV basis could also expand materially? Vijay Shekhar Sharma: Rahul, thank you for this. And I'll ask Bhavesh to add post what I suggest here. Number one that you actually pointed out correctly that there is an incredible attention, there is an extra attention that is being put by regulators and every the payment provider - player, like banks or NBFCs to make credit on counter available at more and more number of times, and more and more possibilities there, whether it is led by credit cards. So, the credit card acceptance on UPI QR. And then you can see the growth in the credit card spends, you can see the growth on BNPL equivalent, whether it is a large ticket or a small ticket on the counter is the growth direction. While the debit side has plateaued is not what I would say. There is a large customer base still pending to come on board. But definitely, credit is adding the share of extra revenue and it will add to the net bps margin continuously. We don't know how many people will actually have credit access, and then in turn pay on the counter using credit. But that is definitely going to be there. And Rahul, it is not just on debit, it's also on prepaid. So prepaid and credit

are the areas that could add extra margin to payments in India. That is what I'd say. Over to Bhavesh for his view. Bhavesh Gupta: Yeah. No, I think I'll just supplement what Vijay said with one simple statement. As the affluence and the aspiration of larger masses of India is growing, affordability of those aspirations or driving affordability becomes a very important element as far as retail is concerned. And we are clearly seeing trends which are not necessarily available last year, be it online or offline. A lot many more brands, just not mobile phone brands but even lifestyle brands and travel brands et cetera are seeking affordability. So, it's a technology that Paytm is able to power on the ground, be it on online space or offline space and even QR space of being able to drive affordability. And that market has really helped margins improve. And as Vijay rightly said, we will see, irrespective of what is happening on the acquiring side of technology, be it QR or card machines or online gateway, affordability will become a very important driver for increase in payment margins and having the customer get the right deal with the merchants on a long period of time. So that shift, as India becomes more affluent and more aspirational, that shift is a three to five years shift. It will move a lot more with affordability and higher... Rahul Jain: Hello? Vijay Shekhar Sharma: Yeah, Rahul that is what the answer is. You can continue the question if you have? Rahul Jain: Yeah, sure. Just one more question. So, looking at this annual spend on your marketing expense, Q1 was 1.8. There was some saving that we were expecting from non-renewal of some sports sponsorship con

tracts. So how should one look at for the year and for the future on this marketing expense side? Vijay Shekhar Sharma: Yeah, there is no doubt about it. There was IPL et cetera, as you noticed, if you would have seen those things. So those are the kind of expenses that we had. But at the same point of time, instead of being more dollar -- rupee value reduction, we look at it as a percentage of revenue direction because there is a tremendous amount of opportunity of acquiring consumers. We will be diligent and bothered about good quality customers. So, Rahul, if you notice, QoQ, our user growth has not been dramatically larger than previously, and it is not because incremental users have not come. Actually, incremental users have been growing, we've been pruning and adding features which are related to safety, security on our platform. So, we will continue to focus on consumer as a business also Rahul, and that is why I would say, even though you would have seen a trend basis it is more, but I think as a percentage of revenue, we would keep it at a particular level. Rahul Jain: Sure. Understand. Just, sorry, if I could squeeze in one more question which is related to this headcount addition that we see, which I guess is largely for the onboarding of new merchants. Can you just explain why we need such a large pool? Is it because of new markets, new micro market and new geographies that we keep going because if I see this - there is an absolute addition of a million on a run rate basis, then ideally the same set of people with some servicing requirement, but it should not grow very linearly because the people who would have already deployed may not be as busy with the existing base. So, is there some non-linearity in that? Vijay Shekhar Sharma: Yeah, yeah, totally agree. And in fact, the interesting thing here is that we are expanding to new geographies. That is why there is a cycle of person getting onboarded, getting trained and getting fully, let's say, productive in number of deployments, but we also see requirement of adding even more number of people, because mobile payment and opportunity of merchant accepting payment is dramatically growing to next level of geography level where we have reached today. I mean, I also want to share that we used to, at one point of time, like many times we have added in these analyst calls, discuss what the TAM for number of devices was or subscriptions you can sell. And we continue to see that number actually growing once we reach that milestone where we see what new kind of customer would come. So newer devices, newer markets, and newer merchant needs served by devices is the way forward for us. And in these, training those number of people and deploying those number of people is something

that we continue to do, and we will keep adding. Like I told you in consumer and merchant, both sides, there is an extraordinary opportunity for the next two years. Madhur Deora: I'll just maybe add a small point to that which is, I think we had mentioned this last quarter, but over the last couple of quarters, we have really focused on enhancing the service as well. So, there is a service team, which does a fantastic job of making sure that the merchants are getting really high-quality experience. So that has been an aspect of some of the growth, but the predominant aspect is, as Vijay mentioned, which is

we see opportunities to go deeper in the country and we are seeing an increase now in the net adds and it's not very noticeable yet. We're doing about 10 lakhs a quarter. Last quarter we did about 11 lakhs. So, we are seeing that opportunity to grow a little bit faster. Rahul Jain: I appreciate the colour thank you so much. Madhur Deora: Thank you Rahul. Moderator: Thanks Rahul, the next question is from Mr. Rahul Bhangadia from Lucky Investments. Rahul Bhangadia: Yeah, thank you for taking my question, sir. And congratulations on a continuously improving set of numbers. Two things here. The rev

enue from financial services and others as a percentage to the loans disbursed seems to be trending downwards, and it has now reached about 3.5%. Could you help us with how we should kind of look at the take rates here or the commission here? Bhavesh Gupta: Yeah, Hi Rahul. So the last quarter we had mentioned that because of better portfolio economics on Postpaid, the interchange that we pay, which used to get added to the revenue of the lender and some part of it used to come back to us as gross income, because we have reduced interchange by almost 50 basis points last quarter, you optically saw the take rate go down in quarter four. This quarter, the idea that we have been able to understand more strategically with our lending partners is that with the repo rates kind of plateauing, we did not want to pass on the increase of repo which happened in the last quarter or maybe a quarter or two to the consumers, because we wanted to make sure that, a, we are able to maintain better portfolio quality and just ensure that our portfolio mix is more high quality than may be of users who were on the edge and they were comfortable given the last year macro, but may not be comfortable given this year macro. So, we've taken broadly a 0.1% upfront hit in our take rate on credit predominantly, which we believe that we will recover, similar or more, through the collection incentives, as the portfolio performs much better, because the portfolio mix is better. On a trendline basis, we don't see this number go down. I think this number is the stable number that we can very comfortably see, because the repo is not changing. Hopefully, it is not changing, unless it changes for a long period of time, when we'll have to reverse the statement, but at this point in time we believe if repo remains where it is and our portfolio mix is now, I would say, largely optimum, the take rate should remain what it is today or maybe starting to inch forward in quarter three and quarter four. So, a clear assumption should be that you could take between 3.5 to 3.75 on stable base cases. Rahul Bhangadia: 3.5 to 3.75 obviously also includes the incentives that you would be getting on collecting what you would have disbursed let's say six months back or one year back, right? Bhavesh Gupta: Yeah, it includes incentives that we collected almost 15 months back because merchant loans and personal loans are where the large part of incentives. Rahul Bhangadia: Okay, and the other question was on this round off thing. Revenue from the subscription of merchant devices. Would there still be of the order of 100 bucks a month or you have given a broad range in the presentation what would be the average number that we can go by? Madhur Deora: So, net of GST it is slightly more than 100 rupees a month. Rahul Bhangadia: But that's about it because you've given a 100 to 500 range in the presentation so...

Madhur Deora: So, the Soundbox is slightly more than 100, so you can take 100 slightly conservatively. We have the card machines which depending on the model can be 300 to 500 rupees but that is a much smaller percentage of the base. The Soundbox is the much larger percentage of the base. Rahul Bhangadia: Oh so 100 is a good number to go by, net of GST? Madhur Deora: Conservatively 100, is a good number to go by for the overall base. Rahul Bhangadia: Thank you very much, thank you for answering the question. Madhur Deora: Thank you, Rahul. Moderator: Thank you, Rahul. The next question will be from Mr Piran Engineer from CLSA. Piran Engineer: Yeah, hi, thanks for taking my question and congrats on the quarter. So, a couple of questions here, one is just a follow-up on one of the previous participant's question, like really what happens to all the employees after three to five years because you, I think, almost tripled your employee count in the last three years or so since the IPO, or maybe two, two and a half years. And once you achieve your penetration of Soundboxes in the n

ext two years, the rate at which you're going will reach 1.5 crores Soundboxes in another two years. So what really happens to all these employees? Vijay Shekhar Sharma: So, Piran, we -- first of all, thank you for noticing that we have never stopped investing in our future growth and opportunity, and it is an important thing as continued business we see. And we don't see it as an expenditure that is, let's say, this is one-off. We believe that there is a great opportunity to build a large technology distribution and obviously payment is one part of the technology. Then extending it to commerce in the next part of technology that we are working upon. And then later we could find out some other service and technology that we could give them. So, we look at it as a distribution channel and moat for India's small micro entrepreneurs and companies and we believe that we will have different, different use cases at different, different stages of time. So as a direction while we are continuously adding, we will optimize it at a particular point of time when we see that there is not that depth of penetration coming in, or new person productivity is not that much, but right now there is all the reason to add even further. And secondly, like you said, what we will do is, in mature markets, let's say, in a large metro market, we have started to sell deals business, if you've started to notice that which is enabling more commerce. So, there will always be hopefully something else, and if we don't find something which is palatable and can be used for revenue generation, we would happily optimize the number of people, but right now, for the next two, three years, we see it continuously growing. Madhur Deora: Vijay, if I could just add one point so you should see for example the device subscriptions as the revenue stream and the technology which this distribution team is supporting today we think the base case is that there will be new products and new technologies and new revenue streams that could be distributed to these merchants so that's sort of the base case and that's what we are sort of planning towards. I couldn't tell you what will be the killer product three or five years from now, I could give you a few ideas but I couldn't tell you what the killer product will be but that's where sort of our innovation comes in. Piran Engineer: Okay and just getting back to Vijay's point, can you give an example of like you said in metro cities you've started engaging in different ways to improve commerce so can you just give an example of what that would be? Vijay Shekhar Sharma: A gift voucher is a simple example. We are selling gift vouchers of different, different enabling it for more number of people. Piran Engineer: So, this will be even for your mom and pop, like Kirana stores? Vijay Shekhar Sharma: They may do a deal; more than gift vouchers so there will always be something.

Madhur Deora: So, if you go to deals, there is a section on Paytm app for deals and cash-back. Within that if you go to - there is an icon for deals, and then you can see restaurant deals, you can see retail deals. So restaurants will run deals with gift

vouchers, retail stores will run gift vouchers. So that's something that is available on the Paytm app and that has scaled up tremendously on the supply side recently. Piran Engineer: And that's because of your feet on the street or is it more of a B2B part, like I think you would tie up with Dominoes and say okay, why don't you offer.. Vijay Shekhar Sharma: No, Piran, you should see there, there are standalone restaurants there, individual single restaurants. Then national restaurants are obviously there. We look at them as enterprise, and enterprise coverage is like you can see is driven by a particular size of the team, but this is definitely an individual store kind of thing. Piran Engineer: Got it, got it. Secondly, in terms of online merchants that we do payment aggregation for, just wanted to understand, is

it that you get growth because let's say your online merchant is growing let's say Flipkart is growing what a 30-40% year-on-year and you also get that growth. Is there something we can do ourselves to gain market share among all the payment aggregators they have and if so, what is it? Is it more pricing led, or do we offer more products? How does that space really work is what I want to understand? Vijay Shekhar Sharma: Yeah, there are two line items, two key drivers of getting more share of wallet of current customers. Number one is, like you very well said, give more number of payment options. And number two is to give better success rates. The pricing is now not a big factor. Incidentally, surprisingly, pricing is actually not a factor, because losing a customer for them is costlier than getting a few bps saved on the pricing. So contingent to the pricing value as a pricing, it is more led by better success rate, more payment instruments. Piran Engineer: Got it and just lastly pertinent question for now any thoughts on Jio? I know it's a pretty broad-ended question. How they could disrupt the merchant lending part of it with their Jio Mart business is what I'm really alluding to? Vijay Shekhar Sharma: I think there is a large market out there to be served by many, many more number of large players, and we believe that this country's opportunity is so underserved that we believe that in India many more big institutions - from distribution to book ownership, every kind of space has opportunity for many, many large players. So we believe that there will be opportunities for everyone to coexist and expand that opportunity. And I think everybody would address it from their standpoint. So there will always be an opportunity for everybody to win. And there is no - surprisingly, the best part I can tell you in this business is there is no winner take all and there is no winning of someone means less for some others. There are a lot, lot, lot more people, many more number of people needed in the industry to serve the small customers of this country. Piran Engineer: Got it, got it. That's all from my end. Thank you and all the best. Madhur Deora: Thank you Piran. Vijay Shekhar Sharma: Thank you Piran. Moderator: Thanks Piran. Next in queue, is Mr. Sameer Bhise from JM Financial. Sameer Bhise: Yeah hi, thanks for the opportunity and congrats on a good set of numbers. One is on the indirect cost line still growing 40%, some thoughts there would be helpful. Should I go ahead or we take that first? Madhur Deora: Sorry I'm not - feel free to finish all your questions Sameer Bhise: Yeah secondly, on the number of merchant loans during the quarter that stays flat QoQ, is it purely seasonality?

Madhur Deora: Did you want to finish... Vijay Shekhar Sharma: You could complete the question and Bhavesh is here. Sameer Bhise: Yeah and finally on Vijay's comments with respect to one, are employees kind of sales staff on the field, spread geographically? Can you indicate what kind of number of towns or cities would they be spread across and finally on potential use-cases say three to five years down the line or revenue streams down the line; any examples would be useful if you can highlight that. That's all from my side. Bhavesh Gupta: Let me take the non-indirect cost question and Madhur can step in, post that. See, from a purely merchant lending QoQ piece that you mentioned, I don't - again, I want to repeat, we're not chasing a metric which is the number of merchants taking credit or value. Our metric is always that we are able to service the demand out there with the best interest of the portfolio for lending partners. Having said that, as the book is maturing, we're getting a lot more business which is very high credit quality of existing merchants taking more versus the newer merchants coming on the play. Quarter one generally is that period of time when merchants - newer merchants are less interested with credit because they really p

lan the business. And Q2 and Q3 onwards we see a much higher demand, and we will see the merchant - the newer merchants take more loans and hence, total number of merchants taking loans will increase, but our focus is always to make sure that we are able to retain our existing merchants and merchant loans and obviously ensure we are giving them more, both from a portfolio construct and retention and quality of book. To your question on location, yeah, we currently have close to 500 locations, depending upon what product you're dealing with. Our idea here is that if you were to come back last year in the same quarter, we would have been closer to 400. So we kind of added about 100 locations over the last 12 months. Our thinking here is that QR is the first destination product, paper QR. And then Soundbox follows and then card machines. So we are obviously delivering QR in much higher number of locations because we also do DIY QR et cetera and Sound Box will follow. So that will be the demand that we foresee over the next two to three years really on the devices side to keep growing and hence, our sales force will keep growing. Madhur, if you want to add.. Madhur Deora: Yeah, on the other indirect expenses there's sort of no one, straight explanation to it. There's a number of - this is the other within the indirect. So it captures a number of our smaller expenses and unfortunately that number is a little bit lumpy. I do expect this number to come down over the next couple of quarters. Sameer Bhise: Okay and finally on the use-case opportunities over say three four years? Madhur Deora: Yeah, so I don't think we want to get too far ahead and get into sort of speculative zone but I think the best example that you can think of is that seven or eight years ago when we first launched QR code in India, QR code was the technology, and now four years ago, we started to make devices the technology, and like Vijay mentioned we are now seeing an additional opportunity in deals and gift vouchers solutions. We've also mentioned in the presentation that we sell loyalty software to our merchants. So those are the things that we're working on. They are not as big in terms of number of merchants or number of subscriptions as QR code is or as devices is but there will always be - we are big believers that merchants when they have more technology and especially if we are able to connect them to our customers, because we have a huge customer base as well on our app, will benefit in many ways. They will benefit on the payment side for sure but they'll also benefit on basically being able to grow their business which is what we call Commerce and Cloud. So we will discover new and new things, just like we've discovered deals and gift vouchers, is something that we will hopefully scale going forward. Sameer Bhise: Fair enough and if I can just squeeze in one more question. Could you give some quantification

of what has been the gain on the interoperability circular norms with respect to payment margin?

Bhavesh Gupta: Yeah. So Sameer, this is -- the circular came in only in April. There are a bit of head protocols, which the network wants both acquirers and issuers to achieve. So that -- all the market participants, including Paytm Payments Bank will issue as wallet, is currently in the dev state and certifications. So I guess, actual benefit can start to accrue at the end of quarter three and quarter four. It's too early to say, but there will be benefits, but actual benefits can be seen only in quarter three, quarter four. Sameer Bhise: Okay so still more upside likely? Vijay Shekhar Sharma: I won't use the word upside because I think the way I would say this piece is it just increases the acceptability of Paytm Payment Bank wallet and hence gives more reasons for users who use Paytm Payment Bank wallet and that wallet product has been growing in spite of growth in UPI the wallet product has been growing. It will have further reasons for users to

use wallet because its interoperability will now be across QR codes and payment gateways. So I think more than revenue and the net payment margin impact to it I guess that there will be much more benefit of further penetration in use case enhancement for wallet which will long term result in some benefits also. Sameer Bhise: Fair enough. This is useful thank you and all the best. Vijay Shekhar Sharma: Thank you Sameer. Moderator: Thank you Sameer. We have Manish Shukla from Axis Capital with the next question. Manish Shukla: Good morning and thank you for the opportunity. First question is, as you look to add more lending partners do you see you trying to do more types of products or just these three products you think are good enough? Bhavesh Gupta: Yes. So, Manish, I think it's a good question. Our focus is that there is a fair amount of penetration which is still left, if I were to use the word, on the Paytm platform, in other words, industry to further do what we can do in these lines of products. And our current focus is to work with our partners to leverage their understanding of risk in various geographies and their technology capability to build scale. So we're not looking at adding new products but there could be some variants, if I may use the word, of customizing a personal loan or a postpaid, or a merchant loan, but if you -- if your question is will we start doing, let's say, mortgages or loan against property, the answer is no. So there will be variants of these products, because we still feel we're in the early growth stage of building scale in this business. Manish Shukla: Sure. And as it pertains to lending, in the past you've mentioned that two by two constraints, that is not more than two-year tenure, not more than two lakh ticket size, you see that limit, those restrictions getting - let's say, increasing those limits going forward? Bhavesh Gupta: Yes. So we're not increasing limits. I think there is a life cycle of a credit customer. What we have seen is that that is a sweet spot where we're able to get the best return for risk versus reward. Both win-win for lenders and for ourselves. The higher you go, there is the rate negotiation, but the risk is much lower. So, the margin reduces relatively. So our focus has been where we can make the best risk-reward ratio. Currently it's two by two. If we do believe in future, there is an opportunity to have a balanced risk-reward ratio for, let's say, as an example, I'm making -- I'm not giving you a guidance, but I'm making a simple statement, three by three, yeah, we will look into it with our partners. But at this point in time, our focus is to build the majority of book under two by two. Manish Shukla: Okay. Sticking to loans, looking at the ECL data, just curious, the ECL on PL and merchant loan is almost similar, whereas merchant loan is a daily debit product and PL is a purely unsecured product. So why should the ECL in the two should be the same? Bhavesh Gupta: Yeah, so I am not sure -- this is a risk. This is a portfolio performance question, I'm not sure if it has anything to do with the tenure. But, see, PL as a product is largely hinged on users who are looking at as a cash in the bank, where the merchant is actually leveraging that payment in flow that he is

getting on a Paytm QR or a Sound Box. It just happens to be that both ECLs are largely pivoting to a similar number, but the return on both products are very different. The personal loan business is operating at 16%, 18%, 20% IRR, whereas the merchant loan products are operating, maybe a couple of percentage points higher. So the return on a merchant loan product, both for the lender and us is higher, while with the same ECL. And PL marginally is lower than the merchant loan. It is just a coincidence that both of them are trending similarly, it's not by design. Manish Shukla: Okay. And really the last question, the new Paytm SBI RuPay card, are the revenue metrics for these materially differen

t from the other cards that you originate? Bhavesh Gupta: No. With SBI, the commercials are similar. It's -- the product has a much better acceptance. So if you were to say that there are 100 people looking for a credit card of Paytm SBI, and now would that 100 increase to 200? Yeah, it could increase to 150, because this product offers the customer the choice to link it on a UPI handle on Paytm app and be able to use it across QR codes of Paytm and other QR codes. So acceptance is the moat of this product and not the commercial. So we will be in a position to give -- expand the market together with SBI of more users wanting to move into a RuPay credit card and link them on Paytm app and use it across QRs. So hence, in terms of the value of total gain that we will get at a cumulative level will be much more positive, but the per unit economics is largely similar. Manish Shukla: Sure. Thanks Bhavesh. Those were my questions. Bhavesh Gupta: Thanks Manish. Moderator: Thank you Manish. Given the schedule time of the session we'll take three more questions. Any questions we cannot address in this session we request you to please write into ir@paytm.com and we'll be addressing those questions. The next question from the session will be from Mr Vijit Jain from Citi. Vijit, your line is unmuted. Anuj Mittal: I think Vijit got dropped off, we can move. Madhur Deora: We'll come back to him. Moderator: Yeah the next question will be from Mr Rahil Shah. Rahil, your line is unmuted. Rahil Shah: Hello, good afternoon sir. I just have one question. Directionally how do you see... When are you expecting PBT to break-even excluding ESOP cost? Madhur Deora: So we're not giving a sort of forecast. I think... Rahil Shah: Yeah, no, no. I am definitely not expecting that. Just from your perspective, so directionally from a business point of view how do you see it improving from here on? So just a tentative. Madhur Deora: So again, that would be guidance which I don't think it's appropriate to give on a call like this, but I think if you're seeing our EBITDA trajectory, and we have -- if you look at our December presentation, we have mentioned what the growth drivers of our business are. We have also given indications for where we see some of the costs going forward. So for example, we have said that the cost of building the platform should be growing at about 15% to 20%, and so on. And we've also given indications of when ESOP costs start to reduce, which is around the second quarter of 2024 - or, sorry, second quarter of FY '25. So when all of those things sort of come together, then there should be a rapid translation of EBITDA to net income, and that's sort of broadly how those

numbers look. Rahil, are you still there? Rahil Shah: No, no that that was it for me. Thank you. Moderator: Thank you Rahil. The next question will be from Mr Vijit Jain from Citi. Vijit you can unmute your line.

Vijit Jain: Hi, thank you for the opportunity. My connection was bad. If this question was already answered I'm sorry, but I just wanted to understand a couple of things on devices and on the net payment margins. On the devices side, are you having better success in terms of moving people to higher value devices or are you also having better success in kind of getting most of your device footprint to actually pay up a subscription fee? I'm just wondering if the revenue increase that you've seen on a Q-o-Q basis in payments is driven more by devices or is it more of a payment instrument type of phenomenon? Madhur Deora: So if you look at the net payment margin and if I could just answer it that way I think we provided commentary that the payment processing margin has also improved significantly and the reasons for that is one is we are seeing a lot of increase in EMI and cards where we make substantial net payment margin. Obviously we're seeing an increase in UPI and wallet and all of those things as well, but more recently we have seen acceleration in E

MI and cards so that is one factor. The second factor like we mentioned is on the cost side with the interchange costs for both wallet and postpaid for slightly different reasons but we have sort of described that in the earnings release. The growth of subscriptions is a factor in the revenue but it is not the predominant factor and maybe to answer your question and to perhaps clarify all the merchants who take devices from us pay us a subscription. So they are all on a subscription plan. We may in a very, very small percentage of cases run certain offers and so on but merchants who take devices actually pay us a subscription fee so you can pretty much assume that all of the 79 lakh merchants who are using our devices or have a subscription from us are on the subscription plan which generates revenue for us. Did that sort of answer your question Jigar? Vijay Shekhar Sharma: Actually that was Vijit's question. Jigar, please go ahead. Jigar Valia: Hi, thanks. Okay, first question is on this average take rate as our trend has kind of been trending down and this time it was kind of a bit of a sharing when repo rate high incrementally the present rate should be a steady rate or you should look it as the trend kind of continuing for bit well more before it stabilizes? Bhavesh Gupta: So Jigar, I just had mentioned a similar question previously. I think this is more calibration to not passing on the increase of the last repo rate to the user and kind of absorbing between ourselves and the lending partner. So there's a small blip of about 0.1% hit in take rate but it will be more than compensated maybe in a long arc of 12 to 15 months on collection incentives. Your portfolio will be dropped because you are choosing much better customers at a marginally okay rate. Having said that, we believe this is the kind of the bottom of the take rate because there is no more for the repo rate increase which is expected to happen. If that is the reality then you can assume this is broadly the range at which we are operating. From this, hereon, in a couple of quarters, we will just start to see this move on. Jigar Valia: Fair, fair, got it. The other question is on the MTU increase, this quarter has been less. I mean we've been increasing by five every quarter. This time it's been two. But of course the focus is more on the penetration of Soundboxes, and devices have been doing fairly better. So, incrementally, should this be the run rate going ahead that we would look at that instead of adding five maybe two or three could be the run rate going ahead and incrementally there should be more Soundboxes and accordingly probably one can factor slightly more on the depreciation or the cost as far as devices are concerned? Bhavesh Gupta: I think the two answers are a bit different. Our strategy on users and strategy on merchants are different strategies and obviously not kind of competing with each other. So let me first answer the merchant part to you. The merchant part we remain very confident on both the infrastructure that we have created by adding more sales force and the product upgradation that we've been able to make. You could see in this quarter we were adding about a million devices a quarter now we're adding about 11 lakh 1.1 million. Our belief here is that maybe on a quarter to quarter basis this number will be 11 lakhs or marginally more so device trajectory will be decently on an upward gain and we remain confident for not just this year but even for the next couple of years that this penetration will keep increasing. On the user side we have had a very clear cut focus to continuously increase user experience both in terms of how our app is used by the users to make payments and also the security features. We've

been working on giving newer app versions to our users over the last maybe three to four months in an accelerated manner and we took a bit of a bit of a clear call in quarter one of this year just to begin with this that we

would like all our users to be using our latest app version which has better UI, better features, better product experience and speed and better security etc, etc. That resulted in maybe a couple of million users who did not upgrade to the latest to the app version not being transacting on the app. Now this is a temporary issue. We don't see any negative trend on new user addition or retention of our existing user. This is more of a product upgrade that we would like all our users to use and hence in this quarter we've seen marginally a couple of million users getting fewer. I don't think this is a trend to multiply over the next few quarters. We believe we should continue to grow the way we're growing last year over the next couple of quarters. Jigar Valia: Okay one more on the payment processing so clearly payment processing charges have gone down and payment income is up this and because of the mixed EMI and cards and non-API instruments so if you can share what is the mix overall for us right now and are you seeing it as a kind of a trend or it's again kind of a blip and it should again go back in favour of UPI immediately but is there something wherein you can see this increase in non-UPI and EMI cards picking up well actually is there anything? Vijay Shekhar Sharma: Jigar there's no dip in UPI. It's that other instruments have grown up because we have deployed more devices so more devices mean that we can acquire more card payments and credit related payments but UPI has blipped is not the fact. Jigar Valia: Understood, understood. Madhur Deora: UPI continues to grow well on our platform but what we're seeing is that other instruments are also now growing at a higher rate than they were previously. Especially because of the success that we're having on card payments and EMI payments both online and offline. Jigar Valia: Understood depreciation lastly should continue at a slightly higher rate given the traction is a little better? Madhur Deora: So the depreciation, we do depreciate the devices quite conservatively. So for example the Soundbox is depreciated over two years even though the life of that device is longer. So we should see the depreciation last quarter is a bit of a base and as we expand the platform or we expand the merchant base rather than we should see that continuing to inch up. Jigar Valia: Thank you. Thanks. Vijay Shekhar Sharma: Thank you. Moderator: Thank you Jigar. The next question we'll take is

from Mr. Saurabh Kumar from JP Morgan. Saurabh Kumar: Hi team, so just two questions. One is what's the contribution of the distribution business in the overall financial services pool and how's that been trending? And the second is on this unsecured lending so if there is additional price competition in the market because all the banks and NBFCs are going here, who absorbs the ROA hit? Will there be a chance that Paytm again kind of takes some part of that or do you think that you have the ability to pass this on to the lending partner? These are the two ones, thank you. Bhavesh Gupta: Hi Saurabh. So let me take the second question first and then come to the first question. You see there is as I said previously also there is a balance of risk and reward. Our belief here is that a good business is built where both partners are making money, which is Paytm as an LSP and lending partner as a regular entity. The consumer has to love the product and hence sticking on to the narrative of 2x2 and sticking on to the narrative of giving a best product experience gets you the upside. Having said that, I want to be very clear in my assessment that if this is the end of repo increase, I don't think anybody has to suffer with regards to any compression of revenue that they are making. If for whatever reason we will see in the future repo was to go up again, then we'll have to calibrate to how much to be passed on,

how much to be retained, etc, etc, because this is the peak of the repo in my opinion. Beyond

this, if you really pass on to users, higher interest costs, you may see deterioration of portfolio which is not the focus here. So we don't see any margin compression happening in the current state. If the repo was to start coming down, which maybe let's say in quarter three or quarter four, we will only see margin increase of portfolio mix and margin increase in our revenues coming out of that entire thing. In the first piece, if you could repeat the question it would be great because then I can contextualize the answer to that. Saurabh Kumar: Okay, so Bhavesh just on the second piece, my question was irrespective of the repo, let's say from the bank started using PL rates because we have seen repo rates increase but PL has not gone up so my question was essentially due to competition, if it comes down, what happens? And the first one was what is the contribution of the non-lending, the distribution business, your other stock broking piece in the overall insurance distribution, in the overall financial services revenue and how's that been trending? Madhur Deora: Bhavesh if you allow me, I'll take the first question quickly and then you can please explain the impact of repo rates and competition and so on. So Saurabh in our Financial services and Others revenue, roughly depending on the quarter, roughly 85% is related to the loan distribution and collection business. I should point out and we have sort of a large explainer on this in the earnings release that the MDR that we earn on postpaid does not go into the financial services and others in the payments business and all of the credit card, co-branded credit card business that we do with HDFC and SBI and others goes into the Cloud part. So you're looking at 85% of that financial services and other revenue being related to the loan distribution and the collection for those three products excluding the postpaid MDR. Saurabh Kumar: And it'll be growing at these similar lines as financial services or slower or? Madhur Deora: Currently, it is growing at roughly the same pace. Over the last couple of years, the share of loan distribution and collection has grown, which might be obvious from the fact that that business has scaled up from being really very small three years ago to being one of the largest revenue drivers for Paytm. Bhavesh Gupta: And Saurabh to your point again, with competition increasing, we haven't actually seen, to be very honest, competition increase in the less than two years and two lakh ticket size business because a large part of the banks are actually focused on higher ticket and longer tenure. There, the competition is much, much higher competition and currently we're not in that space of offering higher tickets and longer tenure. So in this space it has more to do with what is the right risk reward. I again repeat that you could actually pass on and try to earn a much larger revenue share for yourself or to the partner, but maybe originate not the best credit quality in the system. So this is less of a competition issue, but more of a portfolio mix issue. And hence, we don't see that there is a challenge on the revenue that we earn with our partner's in this cohort. Yes, in a larger cohort, there could be some competition, some challenge. Saurbh Kumar: Okay, thank you. Moderator: Thank you, Saurabh and now for the last question of the session, we'll take it from Mr. Anand Bhavnani. Anand Bhavnani: Thank you for the opportunity. Two questions, one is of the 3.5 to 3.75% that we get for loan distribution collection. How should we think of the split between the two activities? And the second question is on the same lines; for our collections, in a scenario whereby, let's say the lender judges collections to be deficient, are there any penalties which can exceed the 3.75% that we combine on loan distribution collections? Bhavesh Gupta: So Anand we've always maintained that point of view that we don't offer any kind of guarantees. The lender is f

ree to decide whom they want to underwrite, what is the loss that they want to assume in the commercialization of this model, and whatever is the upfront they intend to pay us and

what they want to pay us as a collection incentive. If let's say, for example, the lender has a 5% expectation of loss and the loss was to be 6%, that 1% belongs to them. If the loss was 4%, that 1% belongs to Paytm because we are spending the effort and the cost to be able to collect on that account. So we don't have any kind of liability, explicit or implicit, to be able to get anything in our system with the portfolio performing worse off than what they anticipated. So I am just mindful of repeating this piece and now that the FLDG etc. are coming into play, obviously there will be many more lenders who will take FLDG etc. from different partners and would like to deal with that model differently, but our model remains what we've been able to communicate here in our system. Anand Bhavnani: And how should we think of the split between distribution and collection services? Bhavesh Gupta: Yeah, so different products have different maths. Postpaid has a lesser distribution. I would say there is MDR, there is convenience fee etc but I'll give a simple answer as an aggregate you could see about 0.5% to about 0.75% of current disbursement coming as collection incentive and the rest coming as distribution. Anand Bhavnani: Noted. Thank you and all the best for coming quarters. Madhur Deora: Thank you. I think we are way over time, but I am conscious that there are probably more questions and we have run out of time. So please I request everyone who still has questions to feel free to write to ir@paytm.com and one of us will come back to you over the next few days and anyone speak to you over the next week. Back to the moderator? Moderator: Thank you Mr. Deora. With that we come to an end of this earnings call. Thank you for joining us for your questions. And as Mr. Deora said, please do write to ir@paytm.com for your pending questions. Thank you. Vijay Shekhar Sharma: Thank you everyone. Bhavesh Gupta: Thank you very much. Bye.

Call: Oct 2023

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BSE Limited

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Script Code: 543396 National Stock Exchange of India Limited

The Listing Department

Exchange Plaza,

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Mumbai - 400 051

Symbol: PAYTM

S

Subject: Disclosure under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 - Transcript of the earnings conference call

D

Dear Sir / Madam,

P

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings conference call, conducted on October 21, 2023, on the financial results of the Company for the quarter ended September 30, 2023.

The

The above information is also available on the website of the Company at

<https://ir.paytm.com/financial-results>.

Ki

Kindly take the same on record.

T

Thanking you

Y

Yours Sincerely,

For One 97 Communications Limited

S

Sanjay Kumar Bansal

Company Secretary & Compliance Officer

E

Encl. as Above

Paytm|Quarter Ended September 30, 2023 Results|

Earnings Call Date: October 21, 2023 | Time: 11 AM Indian Standard Time _____

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M o d e r a t o r : Thank you for joining and welcome to Paytm's earnings call to discuss our financial results for the quarter which ended on September 30th, 2023. Before we start the presentation, we would like to play a small video about Paytm Soundbox Journey and Innovation. Thank you again. From Paytm management, we have with us today Mr. Vijay Shekhar Sharma, Founder and CEO, Mr. Madhur Deora, President and Group CFO, Mr. Bhavesh Gupta President and Chief Operating Officer, and Mr. Anuj Mittal, Senior Vice President, Investor Relations. A few standard announcements before we begin. This call is for existing shareholders of Paytm, potential investors and research analysts. This call is not meant for the media. If any media representatives are on this call, request you to kindly drop off at this point. The information to be presented and discussed here should not be recorded, reproduced, or distributed in any manner. Some statements made today may be forward-looking in nature. Actual events may differ materially from those anticipated in such forward-looking statements. Finally, this earnings call is scheduled for 60 minutes. It will have a presentation by the management followed by Q&A. For Q&A, kindly utilize the raise hand feature or Zoom dashboard if you seek to ask questions. We will unmute your line and take questions in the respective sequence and within scheduled time. Please ensure your name is visible as your first name, last name followed by your company name for us to be able to identify you. The presentation, a replay of this earnings and data transcript will be made available on the company website subsequently. With this, I would like to request Mr. Vijay Shekhar Sharma to kindly initiate the call.

V i j a y S h e k h a r S h a r m a : Namaskar, good morning everyone. And today's earnings call, with me, are Madhur and Bhavesh. Happy Diwali to all of you. In the festive season, this time, you must have seen in our presentation that an animation is going on. This is an AI-generated animation in the beginning and this is going on because we believe that Paytm will have to become a completely AI company. I'm very happy to see the kind of innovation we've done in the last quarter. You must have seen the amount of attention we put to the merchant ecosystem in India and make every nook and corner of India digitally enabled and help us achieve incredible financial inclusion, that is the expectation of our government, regulators and everyone out there.

With focus on operational risk and compliance and innovation that are exemplary in the market, we've had great momentum in the last quarter. You've seen our results. We've had a festive season unlike last quarter -- last year, which was in this quarter is coming in the next quarter. So Q-o-Q, we would see those numbers looking more mappable in the next quarter. I'm very happy to see the kind of attention we are putting in on growth and kind of innovations, led growth kind of revenue-led growth, platform scale. And I'm very happy to see that our team has a great momentum out there.

With me today, Madhur will give you more insights and Bhavesh will talk about more businesses. And I want to hand it over to Madhur for a detailed conversation. We look forward to answering the questions as many more beyond 60 minutes, but as we know, we are here to answer, take questions and answers any which ways, 365 days out there. Thank you so much.

M a d h u r D e o r a : Thank you, Vijay. Good morning everyone. It's my honour to present the financials for the quarter ending September 2023. Our revenue this quarter was Rs. 2,500 crores so annualized to more than Rs. 10,000 crores, is an important milestone for the company. We also continue to improve our EBITDA. This quarter, we did EBITDA of Rs. 153 crores, which is about 6% of revenue. Just to remind everyone, this does not include any UPI incentive money that we would get for this quarter later in

the year. And this is a significant improvement of Rs. 319 crores YoY. So continued focus on profitability as we have talked about previously. Our revenue growth YoY was 32%. Like Vijay mentioned earlier, some of the festive season sales, particularly on-line sales this year will happen in Q3 or are happening in Q3 where as some of this had happened in Q2 last year purely due to the shift in timing of Diwali this year versus last year. Our contribution margin has grown by 69% YoY. We're very proud of this improvement in unit economics that we keep delivering and we are now at Rs. 1,426 crores.

We have talked about operating leverage in the past. If you would notice our indirect expenses this quarter other than an increase in sales employees, have been very muted. So we have put a lot of control on all of our other indirect costs, such as people costs, marketing costs, tech and all the other things, which go into other indirect expenses. While we'll continue to invest in marketing, sales and select other areas, we believe that this discipline is really going to pay off in terms of growth in operating leverage and growth in EBITDA over time.

This is our performance in the payments business. Our average monthly transacting users has grown by 19% YoY to 9.5 crore monthly transacting users. Some reseeing an uptake in this number compared to last quarter. Our merchant subscription we're very proud of has grown up 91% Year-on-Year. If you'd notice in the last quarter we added more than 13 lakh merchants, which is higher than the run rate that we were enjoying previously. Some reseeing a definite increase in adoption, the pace of adoption of our devices. I think part of this has to do with the network that we have created and sort of just making this device standard for the merchants and also all the innovation that we are doing such as Pocket Soundbox, Card Soundbox and Music Soundbox that Vijay talked about and that you would have seen in our video.

Net payment margin is up 60% Year-on-Year. We continue to deliver more payments profitability. This quarter alone we did Rs. 700 crores of net payment margin and this is at the high end of our guidance of 7 to 9 bps. This is despite the fact that as I mentioned earlier we don't have UPI incentives in this quarter and our subscription revenue continues to grow steadily as the scale of the device deployment grows. I turn over to Bhavesh to talk about lending.

B h a v e s h G u p t a : Hi, thank you Madhur. So lending business continues to seed decent momentum. As we've been mentioning over the last three quarters we have muted in consultation with our lending partners' growth of a personal business because much earlier than what generally the market had started to see may be the last quarter, we started to see a couple of quarters back that there were some early signs of the portfolio which could not be built in a manner that we would like to build with our partners, so that other than PL, our Post Paid Business and Merchant Loan Business continues to see every, very healthy growth and PL business we've obviously slowed down ourselves. In spite of that part, Q-on-Q we've still had a decent growth and Y-on-Y as you can see we've grown to 122%. We've ended the quarter at Rs. 16,211 crores. This results in an annual run rate of more than 8 billion US dollar on a run rate basis and we still have H1 ahead of us and the festive season and we do see that in the next coming quarters we'll see a much better momentum of the loan business including the personal loan business.

I'm very happy to inform you that, true to our focus on how we would like to build the portfolio with our partners, we continue to see much better portfolio performance than the portfolio performance we saw, let's say last quarter and the quarter before that. The entry rates or the bouncerates as we call them for our postbid business have further come down and now in the range of 9.5 to 10.75, this is a reduction of almost 50 basis points over the last couple of quarters. Our ECL rates of this business continue to remain range bound between 0.65 and 0.85. I do believe that with the entry rates coming down, maybe in a longer arc we could see the ECL rates also drop below the 0.65 to 0.85 range bound. The personal loan while the ECLs have remained stable because we did a lot of proactive engagement and portfolio action with our partners, our entry rates, the cheque bouncerates have come down again come down by 50 bps to 10.25 to 11.25 range. What it suggests is that a tag in a long arc if we say a couple of quarters ahead we could see more positive development on how the ECLs will play out in the personal loan business.

The important part here is in spite of a very, very good scale up that we've done on the merchant loan business on the back of much higher deployment of our device's share

in the merchants, our merchant loan portfolio has become even better. Our ECLs here have again dropped down by about 50 basis points and now we are operating in the range of 4.75 to 5.25. Soon an overall basis the loan distribution and collections business for us continue to perform in a manner of expectation that we've had and I'm also happy to inform you that like we said in the past that we'll continue to add new lending partners. In this quarter we have added Tata Capital as another top notch named AAA NBFC as a lending partner. Last quarter as you know we made an announcement that we added

Shriram Finance so now we have two more incremental partner staking the overall partner to nine partners in our portfolio. I'll hand it over back to Madhur for the next part of the presentation.

Madhur Deora: Thank you Bhavesh. So this is about our commerce and cloud business. Now cloud business is more than a majority or it is a majority co-branded credit cards and advertising. As we've been talking about in the previous quarters, these are the two big growth areas in this business. Both those businesses continue to do well. Our credit card number now is 8.7 lakhs activated credit cards as of September 2023. The same number was actually three lakhs a year ago so we have added roughly six lakh cards in the last year and we are seeing continued traction with our partners HDFC and SBI.

As we have mentioned before PAI Cloud Business had a strong quarter last year in this quarter and our telecom VAS offerings which is the marketing cloud business has seen a decline Year-on-Year as a result of which our overall cloud revenue is only 3% Year-on-Year growth but we think that this is a bit of an aberration given the points mentioned here and from here the business should continue to grow strongly.

On the commerce side we have seen strong growth. Our GMV is now Rs. 2900 crores roughly which is up 39% Year-on-Year and our taker rates have also remained in the guided range of 5% to 6%. As a result we have got 31% Year-on-Year revenue growth to report and in each of our businesses travel, entertainment and deals and gift voucher, we are seeing continued growth going forward.

And finally your key focus areas; as we have mentioned before and this should not come as a surprise, we are extremely bullish on the mobile payment acceptance in the country especially due to the new innovative products that we are offering which I mentioned on the right and they have a tremendous product market fit and each of them are solving a specific problem that merchants have either by growing TAM or growing stickiness or helping them with card acceptance.

Credit and financial services with all the work that we have done so far Rs. 16,000 crores of disbursements, we still think that we are heavily underpenetrated. Personal loan as you have seen is only about 1% of our customers. Merchant loan is about 6% of our merchants so there is a huge runway ahead for each of our products. Farming of online merchants, our online merchant team has done a tremendous job in Paytm Payments to do more and more with existing merchants. So this has got to do with having more payment instruments being accepted throughout, better success rates for our merchants, which is really helping us deepen our partnerships and grow our share of volumes with merchants.

And finally going forward you will probably hear us talk more about enabling commerce given that now payments and lending businesses have become such contributors, we are very bullish on each of these businesses which is travel ticketing, entertainment, deals, gift vouchers, advertising and soon. So here we talk more about how this third piece of the business of Paytm is shaping up. With that I will hand it back to the moderator and we will take all the questions you have.

Moderator: Thank you we will now proceed with Q&A. A reminder to utilize the raise hand feature on your zoom dashboard if you seek to ask a question, we will unmute your line and take questions in the respective sequence of raised hands. First question is from the line of Sachin Salgaonkar.

Sachin Salgaonkar: Hi, thank you for the opportunity, I have 3 questions. First question, both to Madhur and Bhavesh. I wanted to understand, on the Personal Loan bit. I mean you guys are consciously sort of going to reduce the growth in terms of portfolio because you're seeing the early signs out there. The question out there is what is now changing that you guys are getting comfortable that the growth should sort of pick up in the future?

Bhavesh Gupta: Thank you Sachin for the question. You're right, said, we saw some early trends about three quarters back when I think nobody in the market was kind of suggesting

that we could see some bit of stress coming in the unsecured credit. We haven't seen any portfolio deterioration as you can see with the last three quarters. So we are pretty comfortable with regard to the portfolio that we have been able to originate with the partners. The comfort is largely coming from two levels, one part here is that we now have a very, very large user base who has taken Personal Loans over the last two and a half years and they have matured the portfolio in a fairly large quantity if I may use the word, we have more than Rs 300-400 crores of portfolio which gets matured every month which is available for further upsell through our partners. So that's one bucket which is growing Quarter-on-Quarter and in the next two quarters we will see the renewal opportunity available to fully matured loans will be much higher than what we have seen in the last two quarters.

The other part here is that we do see that overall expansion of our lending partner base also brings in more insight on how the lenders look at this business both in terms of risk and as well as the new geographies and pin codes that they would like to open, so you will see some level of upside. We are not expecting personal loan to start growing the way they used to grow let's say a year back, but the muted approach to Personal Loans will no more be muted and you will see some growth start to happen, maybe nearly doubled digits but not at the level that we've been seeing last year.

S a c h i n S a l g a o n k a r : Noted, thank you Bhavesh, very clear. Second question is more on the partners. I just wanted to double confirm that the partnership with Shriram is up and running and we should see contribution coming from that, going ahead?

B h a v e s h G u p t a : Yeah so it's currently what we call it internally in the pilot phase. So early November is when we will start seeing contribution full scale coming in from merchant credit business that they will start to go live with.

S a c h i n S a l g a o n k a r : Got it. In the last call you guys had mentioned that you were in talks with two to three new partners in around six months, was a n announcement to one. I just wanted to check are we on track in terms of announcing more partners in the next coming months?

B h a v e s h G u p t a : Yeah so I just mentioned in the credit part we have just gone live with Tata Capital on a pilot basis and again we'll scale up with them from next month onwards so that's the second partner we've gone live with, after Shriram. And in the next two quarters, we at least expect to go live with three more partners. Minimum one or two being banks out of the three partners.

S a c h i n S a l g a o n k a r : Got it and my last question, I just wanted to understand the competition outlook in the market, because at one level we are hearing new players are looking to enter into Soundbox. Google for example is also looking to come into merchant loans and more so, you know, how do you guys look at something like a Jio Financial Services? Is it more as a competition on the Soundbox for example or is there a room to potentially partner as a lending partner?

B h a v e s h G u p t a : So I think there are multiple aspects of your question, so let me take them one by one. Any new fintech who tries to get in, be it the names that you mentioned or anybody else in our opinion is good for making this entire business more robust and strong. As we saw in mobile payments, maybe about seven to eight years back when Paytm got into the mobile payment world, we were maybe arguably the one or two players in the market, but today it is the way to go as far as payment is concerned.

Our belief is in digital credit which we started off three years back. More and more people endorsing it will make this product and partnership with banks as mainstream, which will help the overall economy and the financial inclusion that I think a lot of us should be focused on and building in India as a stronger economy. So it's a good sign both regulatory and otherwise and in my opinion this is not to be seen as competition, but expansion of the market.

To the other question about some of the other players, what would they do, including Jio, I think very less is known in our mind currently of what these players will do or not do. Our opinion is that we are a fairly decently large platform who can originate good quality credit for more and more partners. Any new partner who has a balance sheet, who comes into the market and they do believe that we can add value to building a good portfolio with them, we would obviously look to partner with them. But as I said that is too early for us to comment about it, but yes we see any new partner with a balance sheet coming in as a collaborator versus a competitor.

With regard to your third question around Google or anybody else who

is getting in this space as I said that is good. Anybody who comes in just endorses the belief that what we started off as a business model is now being adopted by larger companies and that just expands the market and makes the business a lot more what I can say, robust and ledge d, both regulatory and otherwise. So it's a welcome move.

S a c h i n S a l g a o n k a r : Thank you and all the best.

M o d e r a t o r : Thank you. Next question is from Vijit Jain of Citi.

V i j i t J a i n : Hi. Thank you. So my question is just staying on the devices a little bit. Clearly you are getting more aggressive in driving device signups and related to that your merchant loans are moving in the right direction. ECLs have gone down, loan growth is picking up. So I am just wondering on two things, one is the devices market much larger than you thought even a year back and how are you thinking about the devices market now versus maybe a year back and if you can help me with the sense of what your average device per merchant who actually uses the device is currently?

V i j a y S h e k h a r S h a r m a : So Vijit, you must have seen this kind of innovation. We especially played out a video here today to explain in how we have innovated on devices. I think our execution is not just innovation but distribution will be very, very scalable, in our favour. We've seen many players coming in the market not able to even create a dent on the merchants' trust and confidence on our devices. In fact we had net churn from those base to us and especially when they make it free etc it also makes it in our favour because this is not the cost that a merchant can't pay. He wants more assured, immediate and superior product on the table. So it's not a price-sensitive product. It is a value and skill-sensitive product and there we have an edge in the number of years, including the stack of hardware, software and service all combined looked at by one company.

Mostly, people go to China, stamp it and then bring it as if they're rebuilding Soundbox or any other device in the country. We've not only innovated on the sound we have also innovated on card, meaning we've not only on QR, but also on card and we have further more devices and plans and a road map further ahead. So in my opinion till the time period we're leading from the front, we're leading in innovation and we're leading in distribution, I wonder if it is any body's market. In fact every body else coming in the market expands the market. They are able to serve to a new nuance very far away or a particular cohort of a customer whom we would have not reached.

Out there we are completely committed to dominate acquiring side business in this country. It means we will continue to increase our manpower and distribution. We will continue to innovate on execution of the devices. Here the software and hardware recombination works in our favour and the monetization of what we are doing works dramatically in our favour, like you said credit and soon.

Soon we are merchant as an incredible product for payment and value added services like credit that we suggested he's got from our partner so it becomes a sale that is incredible combination of scale. Likelihood, I'm going to repeat it, acquiring payments for India is what Paytm's mission when we started was, is and will always be and we'll dominate in that.

V i j i t J a i n : Great thanks Vijay. Vijay my second question is just if I look at since the RBI restrictions were imposed, right, you've added maybe 20 million monthly transacting users in the four or five quarters since. Soon these restrictions lift, are you looking at you know trying to see should we expect a rise in the number of KYC customers that you would like to then have and is that restriction kind of impeding you from growing in the personal loans side for example because you can't e-KYC any new customers in the last four to five quarters?

V i j a y S h e k h a r S h a r m a : One of the most important thing that you should know is Paytm Bank and Paytm which is OCL as we know are two very, very different companies not just at 'arms length', I call it 'farm's length' now and the approach here is of a completely clear understanding that whatever Paytm Bank does is for its good and for their business plans.

What Paytm does is what business that we are in which is acquiring consumers for various consumer payment products and then serving them merchant and value adds. Here we have permission as you know, UPI is the way to acquire the customer and we've been able to fundamentally do a good job of it. In credit when you are talking about, I also sit on a selection bias of customers where we believe that an old customer

ronour platform is better suited to get credit disbursed from our partners versus a new incremental consumer who would have a very small footprint on our

platform.

And I bring it up in various conversations that I imagine we are short of some million, for a 100 million. And for our calculations sake, let's say, if we have 100 million monthly users, you're talking about penetration percentage which is 1% today. I mean in a peak movement, if we ever would have crossed 20, 25, 30 let's say I mean think about it that what is that good tag rate of a product 10% 20% or whatever that you want to take it, there is a huge upside and that puts us also into a dramatic distribution of credit volumes as dollar value rupee value here. For our credit business to grow, we actually do not need incremental consumer on our platforms. It is better for us to penetrate the existing customer base instead of acquiring new consumers.

In fact, for the current customers, expected penetration, you know what different credit franchisees in banking and in the non banking sector that you see, this is incredible good opportunity for us to enable small credit to the customer base that we have. And that is the beauty that we are chasing.

In other words, I'm not only going to say that it is what does not matter, I'm actually going to say, as a strategy, we may not see a large number of consumer on our platform by definition.

M a d h u r D e o r a : Vijit I may just add to that, when the RBI embargo came, we had said that we don't expect it to have any significant impact in the business. I think the reverse is also true, that once the embargo is lifted and if we're resigning up more customers for wallet or bank account and soon which as Vijay said is sort of bank's own strategy and road map and investment and soon, we don't expect that to have sort of any direct impact on either Paytm MTU or Paytm lending business because there is no such dependence per se. So for example you mentioned a specific point around KYC. So the bank doesn't share KYC with lending partners. When somebody takes a loan on the Paytm app, our lending partner does the KYC for the customer in that role.

V i j i t J a i n : Got it, got it, yeah, yeah sure. My last question here, just on the payment gateway business. When you do business with online merchants, merchants outside of the Paytm app, are you still gaining market share there and as you keep padding these new Paytm instruments like postpaid etc is that kind of helping you in getting greater market share on the payment gateway business? Is that how you look at it? Is that the proposition and how do you see market share evolving in that segment?

B h a v e s h G u p t a : So Vijit, the reality of the commerce business or the third party business as you call it is that while there are lots and lots and lots of companies who are in the online space, but the materially contributing GMV companies are maybe let's say about 1000 companies who genuinely dominate 80-90% of current volume that are there. Now the idea here is, what the companies require and what Paytm offers. It's a technology play.

And that's the reason we win more often than not over anybody else. We're able to offer them the best payment gateway technology because this technology was built to handle the Paytm app traffic, like add money to wallet and managing a lot of commerce activities on the Paytm app that's where the technology got built and this technology is now available to our merchant partners etc who then consume the technology.

So I'll just give you certain examples which will give you some more clarity. Products like allowing the merchant to use real-time monitor in of transactions, success rates, which funding source is going through, what price is going through, giving them SDK for UPI, giving them routers which can allow them to route multiple transactions from multiple complicated gateways without taking the technology bandwidth and the latest one that we've done is an affordability stack that you can aggregate any kind of EMV of debit card, credit card, UPI linked credit limit etc, it just makes the entire proposition that is very dominant.

And I'm very glad to inform you, on a year-on-year basis, down the line business has grown very, very handsomely and healthy. And our net payment margin on line business has grown, just letting this notion but this is a very competitive space actually get defeated that we are actually moving in the right direction and gaining more market share. There is no data available on market share. But in our opinion, we continue to be a very formidable player in this area, and we are getting in more and more inroads into merchants where we may have had a lesser share of the e-commerce flows.

V i j i t J a i n : Great thank you Bhavesh. Those were my questions. Thank you.

M o d e r a t o r : Thank you, the next question is from Puneet Bahlan from Macquarie.

S u r e s h G a n a p a t h y : This is Sure

sh Ganpathi here so just quickly a couple of questions. One is on ESOP cost, I'm looking at it, the number actually is higher. I mean that for the first two quarters, you have reported 7.6 billion and if I look at the full year last year the number was 14.5. So this number was supposed to go down in FY24, but if I look at the first two quarters, it looks like we will end up ending FY24 at a number higher than FY23. What is happening here in comparative numbers?

M a d h u r D e o r a : So we had actually said that starting August '24, this number starts to go down. If you look at our December presentation that we had done in person, which we have been posted on the website in the next year, there is a slide on a static basis, how does the ESOP cost evolve. But then we had also added commentary that this is subject to change, basis lapses of ESOPs, which we don't control because that is usually linked to employees leaving and new ESOP grants that we do usually at the time of appraisal on new joiners.

So the actual numbers we had called out would be slightly different than that, most likely slightly higher than that, but that was supposed to be a directional number. For the year, we expect these ESOP costs to be similar to last year. And then there's a directional schedule which for now you can use the December presentation from last year. And next quarter, we are going to share an updated ESOP schedule based on all ESOPs granted until now.

S u r e s h G a n a p a t h y : Okay fine and on this personal loans, I know there is a lot of debate, I just wanted to know how we could think about growth here because this is the lowest growth Q-o-Q both in value as well as volume perspective. Now the base is also getting tougher and bigger. You have reported for the first half close to 130-140% Y-o-Y growth in this business, in value terms. With each passing quarter or year, this number will trend down, even if you add more partners.

How should we look at the growth? Because on one hand, you are talking about the fact that the penetration level in the MTU is very low, right, 1% or whatever Soundbox merchant loans. So are you confident about not asking for a specific number, but doubling for the foreseeable future?

B h a v e s h G u p t a : I think Suresh, this is a great question. The answer will be broken into two parts. I don't want to give direction for the

member, as you rightly said. Personal loans for the future, let's say at least for the next couple of quarters, will remain muted. So if you were seeing let's say 100% growth, a 150% growth in the previous years we would not see that kind of growth. My sense is anything about 30-40% YoY growth even on our base, is a decent growth that we can expect in personal loans.

Merchant loans will be growing much higher because we do see that as we are penetrating a lot more on the Soundbox in the market, the eligible base of merchants who have a Soundbox, and has the GMV which is meeting the risk criteria of our lending partners, that base continuously keeps growing on a lag of 6 months. So we are more bullish that we will see merchant loan growth in excess of 50-60%. So if I give a stable case situation I think anything between 40-50% on a blended credit basis over the next 2-3 years should be a growth that we should start seeing from here on on the base that we sit on today.

Suresh Ganapathy: Just on the last point, stressing on this Bhavesh because, when you say your ECL losses are, of course I can see for the last four quarters, the personal loans have remained stagnant, what makes you take this decision? Are you looking at your customer profile and seeing overleveraging kicking in or you are worried about the bureau data not giving you good feelers, because somewhere down the line you have to experience to take this call, right?

Bhavesh Gupta: Yeah so I think Suresh, we took this call as I said, three quarters back in our commentary if you go back into archives, you will see that three quarters back when nobody in the market was talking about this, we saw three data trends. Very clearly people who were taking personal loans for the first time, we were seeing they getting into early delinquency much faster in the system which at least in my experience of managing this business for many cycles is always a near sign.

These second thing we started to see was that early tenures, 3 and 6 months in your credit we're seeing much higher leverage. So these people, we could see much higher entry rates and much lesser collection efficiency than what we were seeing earlier. So we first removed that bucket completely, we will not do anything which is 6 months and below. We'll only do 9 months to 30 months of credit. That's the reason why our number of loans also went down.

And the third trend that we started to see was that in certain aspects

of this segment, which was coming in metro people who had multiple credit cards, we could see, again, the leverage becoming much higher, and they were taking more credit on EMI, etcetera on themselves and this was very visible in our exercise that we were doing with lending partners.

So accumulation of this, we could see that this may become a bit of an issue, especially with repob being high, the overall environment macro being what it is, it is better to be conservative. And that's the reason we cut down much earlier and hence, you're seeing a stable portfolio with a lesser growth versus may be we could have continued to grow, and we're going to see maybe 0.5% to 1% higher ECL, which we were not wanting to. So that was a good call in hindsight, and we'll continue to maintain such calls in the future for the rest of the portfolio.

Suresh Ganapathy: Thanks, thanks Bhavesh for your insight.

Bhavesh Gupta: Thank you Suresh.

Moderator: Thank you. Next question is from Pranav Gundlapalle of Bernstein.

Pranav Gundlapalle: Thanks for the presentation, just a couple of questions. One on the postpaid product particularly. It would be helpful to understand what is the number of merchants that currently accept postpaid and what percentage of that would actually be paying an MDR for that so that's the first question.

Bhavesh Gupta: Yeah so Pranav I think we report this number annually. Out of the 41 million merchants that we carry online and offline, more than 20 million merchants have signed up to accept postpaid. Not all of them obviously pay MDR. The number of merchants who are repaying MDR is less than about a million.

But what's important here is that as a part of our approach, we do not necessarily even mandate in offline world, in online every merchant pays MDR, but in offline world we do not mandate MDR charging up till postpaid as a percentage of what they do in a month on Paytm acceptance crossing at least a double-digit number. So if you're operating and let's say you're doing a GMV of 10,000 rupees and the total postpaid GMV is let's say 1000 rupees or maybe 800 rupees, most likely you will not be even charged as an offer in the system.

Only when we believe we're able to add material value in bringing in customers with a credit product like postpaid loan into your shop and we believe the merchant will appreciate value we start to have a cascade of MDR being charged starting from 50 basis point going up to 1.25%.

Pranav Gundlapalle: Understood, very clear. These second question was on your employee base. I think you mentioned I mean you do disclose the number of sales employees that you have. If at some stage in the distant future you will start seeing a plateauing of the device numbers, what percentage of the current employee base would you require to service that base of installed devices? In other words, of the 35,000 people what would be the rough distribution between sales and servicing?

Bhavesh Gupta: I think it's a good question. We haven't disclosed the number, but I can give you a range bound number because this number is something that we track very closely. Close to about 15 to 20% of our sales force currently is involved dedicatedly in what we call servicing but servicing is not just going and servicing the device. It's also to do with merchandising, branding, managing what is called 'on the shop queries' and then obviously managing devices servicing etc.

I think the other question that you asked initially was if we see the device numbers plateauing, fortunately we do not see plateauing for the next 3 years in this business and there are multiple reasons that Vijay also mentioned. Innovation that we've been able to make in products is just expanding the market. So as an example, if you look at pocket Soundbox, now pocket Soundbox is a completely new area of merchant onboarding. Now we're seeing this product available at railway stations, at bus stations, people who are kind of vending out in buses or railway stations love to have a pocket Soundbox. We're seeing autorickshaw drivers, taxi drivers, door-step delivery guys managing pocket Soundbox.

Now this market did not exist, in the physical Soundbox or the product that we had earlier. So I think we remain very confident that at least for the foreseeable future, minimum of 2 to 3 years, incremental device deployment and hence the consumption of sales force that we have to do an expansion of it will both continue hand in hand whereas the service infrastructure will also keep increasing but at any given point in time it will remain to about 20-25% of total people that we have on the ground.

Pranav Gundlapalle: Understood, very clear. Last question if I may,

I mean may be related to the first one. There's this whole talk about credit lines on UPI and how that could take off, one of the questions there is how willing would merchants be to pay an MDR on these kind of products. Would it be fair to say even for a credit line on UPI, the penetration of merchants or the ratio of merchants paying MDR would be similar to what you're seeing on postpaid, maybe a million out of 28 or 30 million?

B h a v e s h G u p t a : I think the answer has to be split again. We cannot or should not broadbase this answer. So when you talk about credit on UPI (a) let me first articulate it's a fantastic opportunity for India to see bank account credit lines getting an acquiring side opportunity of disbursement which has never happened. It's much, much, much larger as an opportunity versus credit card. For let's say almost 40 years in this country the only credit payment product available was the credit card before Paytm got in the Paytm postpaid which is mobile credit. So this is a fantastic innovation and onewe applaud NPCI and RBI to have been able to create this product for the Indian consumers and I think it will revolutionize the way the entire credit disbursement business happens through mobile phones.

Now having said that, there is a decently large business where consumption of such credit will happen in the online space and enterprise space. So the way to see this piece is that not everybody carries a debit card in their pocket and not everybody has a credit card, but you definitely have a phone. So if you're walking into an offline store or online store you will be able to access UPI credit line or credit line in a bank account through UPI without any friction of a plastic card in your hand. So it just opens up a very, very large opportunity in the market and that is an MDR bearing opportunity.

Now when you come down to a pure play semi organized small business, yeah it could take some time. Will they pay MDR or not pay MDR - and it will take some time for them to start to appreciate what level of incremental consumer the merchant is seeing this product is bringing to the shop and then MDR will follow. So there will be a bit of a learning curve. I don't want to say will the merchants who pay MDR currently on credit cards or on postpaid or any other product will this be a similar number, my sense is on a longer arc you take a three to four year view, you will have a very, very large number of people who will appreciate accepting a product like a UPI credit line at their shops if they were to bring in incremental customers or if they were to bring in higher average sales price because of affordability through credit coming to their shops. If they see value, they will pay MDR.

P r a n a v G u n d l a p a l l e : Understood, thanks a lot.

M o d e r a t o r : Thank you Pranav. Request to all the participants to restrict their question to two part participants. If time permits, we will allow more questions. Next question is from Pranav Tendulkar from RARE Enterprises.

P r a n a v T e n d o l k a r : Hi, thanks a lot. So I just had to ask two questions, one is that in the strategic presentation that you did in December 2022 you already had focused on the business of brokerages so any development there that you can share and also second is that I always feel that the main reason why people use Paytm is that there is no friction and that's why I always feel that there is a huge opportunity where there is an on-discretionary product like say ET For any on-discretionary product where people are just worried about the friction in the payment, there is a huge opportunity that Paytm can capture as compared to say other distributor sets. So any thoughts on those lines and just the third question that, if Paytm UPI cards, like UPI credit cards work then will it result in our payment amount going up and also MDR going up? That's it, thanks a lot.

V i j a y S h e k h a r S h a r m a : Thank you. Definitely, you just correctly pointed out two opportunities in the wealth business. We definitely are putting our energy and resources in those directions and we do believe that there is an opportunity to serve simple wealth products to a large audience and that is the direction that we continue to work and like I've said this is one of our future long term bets so we are there.

And you said it correctly when credit cards, RuPay credit cards come on QR code, UPI is the GMV of the credit cards grows and the single thing that is important to be noted here is that merchant has to accept that it will take MDR bearing instrument on UPI which is why you would see at many places this is not enabled versus enabled and soon so it will generate large GMV of credit card potential revenue on UPI.

P r a n a v T e n d o l k a r : Anything on UPI remittances that we are doing, that

'sit thanks a lot?

B h a v e s h G u p t a : Oh that's in the pilot stage. I think it will take some time for cross-border on UPI to scale up, but we remain very bullish on that opportunity of innovation that NPCI has been promoting and we are very positive participants in the ecosystem to promote such products.

P r a n a v T e n d o l k a r : Thanks, thanks a lot.

M o d e r a t o r : Thank you, then next question is from Jayant Kharote of Jefferies.

J a y a n t K h a r o t e : Thank you for the opportunity and congrats on a great set of numbers. First question would be on the Personal Loans thing so if the small tenure PL just sort of moving out how has that affected the mix between say BNPL, new to PL and repeat PL customer in this quarter versus last quarter and how should we think about it going ahead? That's the first thing and I will do a follow up afterwards.

B h a v e s h G u p t a : Yeah thank you Jayant. So it has not impacted materially. It's just that if let's say we were distributing 100 loans of personal loan the mix generally was that about 40% of them were getting upgraded who had an earlier postpaid loan available through our partners. Another about 25% to let's say 30% were existing personal loans who had paid off their personal loan and they were eligible for the next loan and the remaining were people who were coming and taking first time personal loan through the Paytm app.

The only difference here is that the renewal base is increased and the postpaid upsell base has decreased by 5% so that's show the counter balances happen and it is decreased because we took a proactive call with our lending partner three quarters back that we don't want to distribute credit of up to six month tenure because we found some early trends which are not very comforting to us and our partners and hence that's the slow down that we did in that business, but in the future if we do find that it gets to stability stage we will look at that thing but no other material change.

J a y a n t K h a r o t e : Great the follow up was actually the same thing which you sort of answered in a way, but then if the BNPL to PL customer migration let's say a one month Rs. 6000 ticket size customer moving to a three or six month product and calibrating the ticket size upwards with different products if that is sort of getting impacted because of the credit behaviour of certain core how does this play into our new product line up? We would have some products lined up in the next six to twelve months or one to two years and then how does this play into that because then you are having a large wide space between your entry level product and then what starts after say one lakh onwards?

B h a v e s h G u p t a : I think in the credit business Jayant as you will also appreciate we have to calibrate how we look at growth versus how we look at portfolio in the macro. We are very conscious of that. We are currently indexed on ensuring that we build a great portfolio with calibrated growth especially on the unsecured Personal Loans business as we mentioned and we are indexed on growing merchant credit, BNPL etc, etc much, much, much more aggressively.

So from an overall mix perspective it may change a bit more towards merchant credit versus personal loans, but from productivity and everything else there is no material change and I don't think there is any strategic new development of new lending line which gets impacted because of this because any

new strategic business line that we intend to open while we have not currently decided which is the line that we want to open is contingent on

how the overall portfolio plays out.

Actually if the portfolio and the macro is not playing out and is not conducive then obviously we calibrated appropriately, but at this point in time we are not seeing anything. There is a very small part of the business of PL couple of hundred crore that we have pruned down and still the growth has been decent and will continue to remain decent in the future.

J a y a n t K h a r o t e : Thank you and congrats again for the very good numbers.

M o d e r a t o r : Thank you. Next question is from Nitin Aggarwal of Motilal Oswal.

N i t i n A g g a r w a l : Hi congrats on a good quarter and thanks for the opportunity. So few questions like one are on the net payment margin. We have seen an increase this quarter which has been suggested due to the rising mix of non-UPI instruments. So how sustainable is this and can we see therefore higher net payment margin in the steady state versus the guidance that we have?

B h a v e s h G u p t a : Yeah I think this you may not see higher. The reason for that is the shift in the adoption of UPI both at the online and offline merchant as a share to total GMV we are seeing the growth in penetration in that area

and that obviously is not net payment margin bearing in our system. The work that we've been doing over the last 12 months especially on credit cards is driving affordability, enabling brand EMI's on online and offline, has resulted in the net payment margin going up for us. That is a bit of a seasonal business as you can imagine because the business last year was very negligible and last quarter has become arguably very, very large compared to what is the opportunity in the market. We could see one odd quarter further where you could see some tailwind in net payment margin, but it will still remain range bound between 7 to 9 basis points.

M a d h u r D e o r a : And just to add Nitin, so we're not changing the long term what we have said 5 to 7 years, but I think it's fair to say that when we gave that roughly a year ago we had not expected a lot of the tailwind that we have seen as well as the disciplined execution from the teams especially on non-UPI instruments so we are certainly ahead of where we thought we would be a year out.

V i j a y S h e k h a r S h a r m a : I'll take an opportunity to say more things. So what I'm seeing is that when we meet regulators, NPCI, government, different people, there is a continuous chatter around MDR on UPI. So different cohorts could be opened like we have RuPay card and plus 2000 rupees there is an MDR. Prepaid there will be an MDR. So there are these nuances where there is an attempt of driving transaction based MDR based payment on UPI. While we are not factoring in the 5 to 6 bps guidance I do believe that there is this attention that our team has been able to bring on credit-bearing products and international card prepaid etc. and obviously the festivities and then next quarter even more festivities I can tell you this that means that EMI obviously is a phenomenon in this country in these days, these days mean in these quarters of the year and that's why we are conservative and we are saying 5 to 6 bps but there are like these positive green shoots out there in longer term I am talking of 2-3 years where this could grow further ahead.

N i t i n A g g a r w a l : Right, thanks and the other question is on the fee per device while we have been installing devices at a very aggressive rate now but at the same time the mix is going to change and you are talking about the Pocket Soundbox also. So how do you see that blended there for fee per device trending over the next 1 to 2 years because that is going to be a very sizable number to the overall P&L? Any competitive intensity that can drive down the fee or how do you see this overall?

B h a v e s h G u p t a : So currently competition intensity is not driving the pricing of the product. The pricing product is driven by what kind of product we intend to sell in the market. You are right pocket Soundbox brings in a lesser fee, card Soundbox brings in higher fee and our music Soundbox again gets in higher fee, but on a blended basis it remains range bound between Rs. 95 to Rs. 105. That is the range that we are operating even now and I don't see that range changing material unless and until some disruption in the market happens. When that happens we will respond to that at that point in time, but at this point in time we remain very confident of maintaining Rs. 100 on an average on a device basis for a longer future.

M a d h u r D e o r a : Just add the way we think about this is sort of payback periods versus life of device and soon and this is a very dynamic because of all the innovation that we have done so as a shorthand I think we will continue to use the framework that we had discussed last December which is what Bhavesh referred to. Over the long period I think maybe there are tweaks to the framework that will be required to sort of better understand our model and the unit dynamics of various types of Soundboxes.

N i t i n A g g a r w a l : Right and last is on the take rate in the financial business while we have indicated that we are expecting them to increase. Any colour you can provide in terms of where do we really see that moving in the next 1-2 years and how are the partners taking it up too because in general there has been some bit of caution on the unsecured loans so how comfortable they are with you in that?

B h a v e s h G u p t a : Yeah so I think one good thing that we can say for Paytm and obviously the partner we work with is that both of us are joined on a common objective and that common objective is not to build a large business. The common objective is to build a great portfolio which can result in making a business larger and longer arc of a credit business because you can always build a good large business in a short-term but it may blow up in the future. So from that perspective our lending partners continue to remain very committed to the business that we build

and with them and we continue to add to notch AAANBFCs and very early in next quarter we should be able to announce a couple of banks also.

So I think the take rate story we had mentioned this is a link to what market can offer and there are rates that are there in the market so we believe that a stable case financial service take rate is in the vicinity of 3.5% to 3.65% so you will see some upside on take rates over the next couple of quarters and if we see as in when we see there is a pocket of downside there is any opportunity for us to recalibrate or renegotiate with our partners and the consumer that may give us some further upside but I think the best way to model would be about 3.5% to 3.65%.

N i t i n A g g a r w a l : Right, okay thank you much.

M o d e r a t o r : Thank you Nitin. We will extend this call by another 15 minutes to accommodate more questions. We have Rahul Jain from Dolat Capital. Rahul you may please go ahead with your question.

R a h u l J a i n : Yeah hi. Thanks for the opportunity. Just two questions, firstly we added this 0.5 million devices each in August and September month, possibly boosted by manpower addition and also from the introduction of new innovative devices. So do we now plan to accelerate our pace of device addition from one million quarterly run rate to a higher run rate now?

B h a v e s h G u p t a : Yeah hi Rahul. So we added new people because we could see mass demand on the back of new devices and generally the product acceptance that the market is seeing for our business. I think it will not be a very, very large growth from where we've been able to demonstrate because it takes some time for the sales force to get mature to be able to add value. So our sense is looking at about 1.5 million a quarter kind of a stable rate case could be something that we aspire for over the next 12 to 18 months as far as Soundbox and card machines are concerned.

R a h u l J a i n : Sorry you said 1.5 million quarterly is what you would expect?

B h a v e s h G u p t a : Yeah, yeah.

R a h u l J a i n : Okay thanks. Secondly in the Paytm Money business we saw significant improvement in profitability in FY23 so do we see this levels sustaining and what we are doing to grow this business?

M a d h u r D e o r a : Yeah so Paytm Money has been growing very steadily. Rahul so our business model as you know is we get customer for payments and then we upsell them to other products lending being the largest and other financial services such as Paytm Money. So the outcome of that is we see steady growth in these businesses so Paytm Money has about 7 lakh annual active customers which is the data which the stock exchange share and that has been and a lot of them are equity broking customers, FNOs and soon. It's a fantastic business, very high margin and if you can run it at a very low cost of customer acquisition then it's a very good business. So we see a huge opportunity in Paytm Money to continue to grow trading and investing in the country and yes it is financially becoming much sounder than it was 2 or 3 years ago.

V i j a y S h e k h a r S h a r m a : And Rahul also want to add to what Madhur has already said that it is a great value added and extra product from our side. In a longer arc of time let's say a couple of years forward we look at it as a customer retaining product. We prefer customers creating more portfolio picking up SIPs on our platform versus purely a trading revenue line item which is exactly the product that we built and focused on. In other words, the idea here is that this is not a revenue monetization line item for us, it will continue to bring healthy revenues and we'll continue to continue to invest in technology and product. And believe a large number of customers on our platform who have a portfolio of one of the products on our platform is what the true north this business should go towards.

R a h u l J a i n : That's helpful. One bookkeeping, sorry if I can chip in, is if you could explain which JV helped us increase profit in the quarter and what kind of customers saw this write off in the quarter?

M a d h u r D e o r a : Sorry both Paytm Payments Bank, Paytm Payments Bank is not JV and Associate obviously so the line that I think you're referring to is JV and Associate so Paytm Payment Bank had good profitability last quarter and our gaming JV which is first games which we own 55% of that also had improved profitability last quarter. So both of those businesses did well. With respect to the customer it is related to an airline customer which suspended operations last quarter.

R a h u l J a i n : Understood, thanks a lot.

M o d e r a t o r : Thank you Rahul. Next question is from Manish Shukla of Axis.

M a n i s h S h u k l a : Good afternoon and thank you for the opportunity. Bhavesh if you look at the Y-o-Y growth

with trends for volume and ticket size and here I'm referring to Postpaid and PL, ticket sizes have been going up despite the increase in volume. Now one obvious explanation is repeat customers getting higher lines but do you see lenders willing to give higher lines to even first time borrower on Postpaid and PL today versus six months or a year back?

B h a v e s h G u p t a : Yeah, I think it's a good observation. We've now disbursed about 11 million credit customers in the last three years with various partners and we continue to add about 400,000 to 500,000 new customers who are taking credit of any kind through the Paytm platform with different partners of course every month. So the renewal rates and existing customer taking new loan rates are only becoming healthier and as they become healthier there is a much better comfort with lenders to give them a higher credit line. We haven't seen a reduction or increase in people who come to apply for the first time a Postpaid or a Personal Loan known or a merchant known from a lending partner so that number line has remained kind of stable. That's not kind of dropped or increased if that was a question. Renewal lines have obviously increased.

M a n i s h S h u k l a : And for the last couple of quarters for postpaid ticket size contributed more to growth than volume this quarter that is the case with PL. Going forward should we expect that for at least the set two product line ticket sizes will be a bigger contributor to growth than volume?

B h a v e s h G u p t a : May not be true for Postpaid, but could be true for PL.

M a n i s h S h u k l a : Okay, understood, thank you. Those were my questions.

M o d e r a t o r : Thank you, next question is from Jigar Valia of OHM Group.

J i g a r V a l i a : Hi, congrats and thanks for the opportunity. My question pertains to the employee cost - ESOP, these sequential increases, should we look at it more like a sequential increase or still it is like a once a year addition then it should kind of sustain or should we look at sequential increase to continue?

M a d h u r D e o r a : Yeah, so Jigar that's a good question so we have historically sort of broken that up into sales employees and non-sales employees and over the last five or six quarters actually both of those costs were increasing because on the sales side we're obviously making investment to increase our device space and soon and on the non-sales side we were adding in financial services in particular in technology and soon.

So going forward you should expect and obviously there's the appraisal impact in the first quarter of the year for annual appraisals which we have been talking about for the last three or four quarters so on the sales side you should expect this to continue to grow in line with the device net add that Bhavesh mentioned because we are seeing huge market opportunity at least for the next two or three years. I think Pranav from Bernstein had also asked some questions around that. So there in the nearer term you should expect for us to continue to invest.

On the non-tech, sorry on the non-sales employees side I think we expect the growth to be very subdued going forward if at all because we have done a huge amount of investment when we see a lot of opportunity including because of AI that Vijay mentioned earlier which should show improvements not just in tech but even non-tech because AI can help us improve a lot of our internal processes as well.

J i g a r V a l i a : Got it. Can you give some perspective about the subscription charges for the upgraded devices? I mean you mentioned about going up to Rs. 500 so these would all be for Soundboxes, right?

M a d h u r D e o r a : Just to be clear, sorry to interrupt but just to be clear, the Rs. 500 is for the upper end android devices so this is what we had said last December as well when we are trying to clarify our business model in simple terms. So Rs. 500 is a very small percentage of devices. This is for the high end android card machine which would be, you can check it out on our website and soon so that's not a Soundbox. That is an android based card machine but it's a small percentage. Vast majority of Soundboxes are in the roughly RS. 100 range net of GST.

J i g a r V a l i a : And last question is if you can give some perspective about the nature of business with the various lending partners, I mean if you can help us understand and differentiate like Shriram Cap versus Tata Capital in terms of the profile of customers they are targeting and may be slight differentiation? Of course the traction is good as you have guided in terms of adding the lending partners so congrats on that.

B h a v e s h G u p t a : Yeah thank you Jigar. I think the different partners join the Paytm opportunity of working together on loan and distribution with different objectives. Shriramas said has started with merchant credit. Tata Capital has started with personal loans and they will over a longer arc of 12 to

18 months migrate to other products in the system. Purely if your question is more from a risk perspective I think that's not very different. It could be very, very range bound let's say between partner A to partner B and the material reason for that is that from a Paytm perspective it self as we maintain the past that we ourselves are very conservative and strict as to which kind of users or merchants can get access to credit. That filter remains common irrespective of new partner or old partner and once the merchant or user passes that filter then the filter of the lender comes into play where they are looking at underwriting etc, etc.

So I think there is no risk arbitration, if I may use the word, that we look at in a business model. Only arbitration that we look at in a business model is which partner is able to service the needs of the user or the merchant better both in terms of pricing, loan amount and geography penetration, but not on the risk side.

J i g a r V a l i a : Thank you, thank you.

M o d e r a t o r : Thank you, then the next question is from Rahul Bhargava of Lucky Securities. Rahul you may please go ahead.

R a h u B h a n g r i a : Hi thank you for taking my question and congratulations on a great set of numbers. Just if you could, in the material uptake in Capex number for the first half you could just give us a sense of what all has gone into that?

M a d h u R e o r a : Yeah vast majority of the Capex is devices and if you are comparing first half to first half of last year the deployed device has also gone up very meaningfully. We do think that there are opportunities in the near term given our scale to reduce some of these costs because technology gets cheaper over time and we are working with vendor/partner to reduce the cost of devices, but the increase in Capex is almost entirely driven by the number of devices that we are deploying.

R a h u B h a n g r i a : Would Rs. 1200 per box still be the benchmark here?

M a d h u R e o r a : No, it is slower. So I think of the Soundbox portfolio that we have, Rs. 1200 would be roughly the cost of some of the higher end Soundbox devices, whereas for the other Soundbox devices it would be lower and it has been trending down.

R a h u B h a n g r i a : Okay so the question actually came from let's say roughly about 24.5 million the boxes that you put up in the first half and the Capex has been about Rs. 480 crore so that's the slight kind of disconnect there?

M a d h u R e o r a : Oh yeah but there is a small percentage in terms of volume of devices which does skew the blend upwards because of the card machines. So the card machines, while they are a small percentage, cost about Rs. 5000 to Rs. 7000 so that would be significant. Only about 80% of this, about 80 to 85% of the Capex is devices, the rest of it is things like laptops and servers and soon.

R a h u B h a n g r i a

: Should we expect this run rate to continue, Rs. 480 Cr, maybe Rs. 500 Cr first half, Rs. 1000 Cr per annum guidance?

M a l e S p e a k e r : In the absolute term there are no aberrations in that number so you should expect that to continue, but like I said we should be able to do more devices for the same amount of Capex.

R a h u B h a n g r i a : Yeah, yeah that's fine. So roughly that's the number. Okay thank you.

M o d e r a t o r : Thank you, then the next question is from Pallavi Deshpande of Sameeksha Capital. Pallavi you may please go ahead.

P a l l a v i D e s h p a n d e : Thank you. Just wanted to understand on the ONDC platform, what do we charge the sellers? There were reports of high charging. Second, do you see the government coming in to limit what you can charge as fees and finally what is the opportunity size that we are seeing?

V i j a y S h e k h a r S h a r m a : Thank you. Thank you for asking the question Pallavi ma'am. The biggest thing that I want to share here about ONDC is that ONDC is done in partnership with us just a concern Paytm E-Commerce Private Limited where they hit the ONDC chain and hook to the network and as OCL get advantage of dispersing on our platform. Second thing is the charging is in that sense created in a way that we are all doing in invitation charging there. There is no regulation by the way. There is no intent of ONDC to even regulate that this amount will be kept. It is the classic nature of the network concept here. Many players will be there who can serve the same merchants so they will try to bring more value add per percentage point they charge.

We don't have a very, I mean there is an invitation pricing is a very much intended statement that we don't have a very fixed percentage

to get all merchants. We have different, different cohorts and category of merchants to do it. Our focus will be just like we have learned in the MDR model that instead of doing MDR you could do as a subscription kind of model. We are tilted towards that when we look at it long term.

P a l l a v i D e s h p a n d e : Right and what would be like in terms of GMV what can it add for one year ahead. I know it's early days, but what can it add to your GMV guidance which you have?

V i j a y S h e k h a r S h a r m a : Ma'am I don't have one-year guidance. I don't have exactly that, but I have a long arc guidance. In the duopoly market of commerce there is an obligation of a third player which would come with the power of ONDC, of the size of the duopoly of the one of the players in the market. One time it will be the combined category of all ONDC consumer players and over the period big players will come and I see it happening that way.

P a l l a v i D e s h p a n d e : Lastly would be back to the loan business; if we would be looking at tier, going into the small towns away from metros, expanding our geographic footprint?

B h a v e s h G u p t a : This is, we already are in small towns in the sense we currently service more than 250 towns for personal loans and merchant credit and more than that for Paytm postpaid. So there is no there is no small town restriction if I may use the word and it's a function of opportunity, demand and as well as the partners' risk appetite and collection capability in those towns. So as and when we believe all the three matches happen we keep adding more towns. So this year we would be adding another 50 to 60 towns in consultation with our partners across these businesses.

P a l l a v i D e s h p a n d e : And the 500 locations you have that's for the payment business, right, right now?

B h a v e s h G u p t a : That's for the payments business yeah. We don't offer credit in all the 500 locations. We offer credit you can say give a report in about 250 of them.

P a l l a v i D e s h p a n d e : And what's the growth in the 500 number we look at for this year?

B h a v e s h G u p t a : This year we would not be growing 500, but next year, every year we typically add between 50 to 100 towns. It's a functional lot of data that we ingest, smartphone penetration, connectivity, what kind of merchants kind of moving in those markets etc so what ever the data suggests to us we have a long list of towns that we want to enter and some of the satellite towns start becoming main towns where

rewewillhaveourpermanentemployeeskindofservingthosetownsetc,etc.Butyoucantakeabout50to100townswe'llkeeppaddingever
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nectwithyouoffline.

D e e p a k M e h a n d i r a t t a :SureI'llreachout,thankyou.

M a d h u r D e o r a :ThankyouDeepak.

M o d e r a t o r :Thankyou.Withthatwecometoanendofthiscall.Areplayofthisearningscallandthetranscriptwillbemadeavailableo
nthecompanywebsitesubsequently.Ifyouhavemorequestions,pleasereachouttousonir@paytm.com.Thankyouallforjoining.

V i j a y S h e k h a r S h a r m a :Andeverybody,thankyouandHappyDiwalifromallofus.

Call: Jan 2024

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January 24, 2024

BSE Limited

Department of Corporate Services

Phiroze Jeejeebhoy Towers,

Dalal Street, Fort,

Mumbai - 400 001

Scrip Code: 543396 National Stock Exchange of India Limited

The Listing Department

Exchange Plaza ,

Bandra Kurla Complex,

Mumbai - 400 051

Symbol: PAYTM

Sub. : Disclosure under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 - Transcript of the earnings conference call

Dear Sir / Ma'am,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings conference call, conducted on January 20, 2024, on financial results of the Company for the quarter and nine months ended December 31, 2023.

The above information is also available on the website of the Company at

<https://ir.paytm.com/financial-results>.

Kindly take the same on record.

Thanking you

Yours Sincerely,

For One 97 Communications Limited

Sunil Kumar Bansal

Company Secretary & Compliance Officer

Encl. as Above

Paytm|Q3FY24EarningsCall|

Call Date: January 20, 2024 | Time: 10:00 AM Indian Standard Time

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M o d e r a t o r : Joining and a warm welcome to the earnings call to discuss Paytm's financial results for the quarter, which ended on 31st December 2023. Joining us today from Paytm's management team are Mr. Vijay Shekhar Sharma, our Founder and CEO; Mr. Madhur Deora, President and Group CFO; Mr. Bhavesh Gupta, President and COO; and Mr. Anuj Mittal, Senior Vice President, Investor Relations. A few standard announcements before we begin. This call is meant for shareholders of Paytm, potential investors and research analysts and not for any media representatives. The information presented and discussed here should not be recorded or distributed in any manner. Some statements made today may be forward-looking in their nature, which may differ from actual events. Finally, this earnings call is scheduled for 60 minutes. It will have a presentation by the management followed by Q&A. During Q&A, if you seek to ask a question, kindly utilize the raise hand feature on your Zoom dashboard. We will unmute your line and take questions in the respective sequence, and within the scheduled time. For us to be able to identify you, please ensure your name is visible as your first name, last name, followed by your company name. Today's presentation, a replay of this call, and a transcript will be made available on the company website subsequently. With this, I would like to request Mr. Vijay Shekhar Sharma to kindly initiate the earnings call.

V i j a y S h e k h a r S h a r m a : Thank you. Good morning, and happy new year, everyone. I'm very excited to present all of us together for our quarterly earnings. You've already seen our numbers. My colleagues, Madhur and Bhavesh in this call, who will talk in detail. I want to tell you that in the last 2 quarters, the technology world has seen a dramatic revolution due to AI. The power of AI will dramatically shift capabilities who are able to leverage it versus those who are not. We've seen our company using AI in different, different business use cases of the technology and product. And I would rather use the word dramatic because it is dramatic to see the acceleration of deployment and abilities of computing that we are able to harness with these various co-pilots and our own LLM models that we are seeing. Our business in financial services and payments will leverage the power of AI more than probably anyone and any time before we imagined. Our capabilities and marketing services to the merchant will also be very, very much accelerated because of the capabilities that we've been able to develop. With this, I offer my colleague, Madhur, an opportunity to talk about the business and then all of us will come back for your Q&A. Thank you.

M a d h u r D e o r a : Good morning, everyone, and it's great to see everyone on a Saturday morning. I'm very pleased to report our earnings for the quarter. Our revenue for the quarter is up 38% year-on-year, which is fantastic. It has accelerated compared to the previous quarter. Part of this was because of the timing of the festive season, but overall normalized revenue remains very, very strong.

Our contribution profit grew 45% year-on-year. Contribution margin was at 51%, which has expanded 2% year-on-year. There was a slight dip sequentially. All of that was because of seasonal factors. During the festive season, we do have a little bit more cashback. We do have a little bit tighter payments margin. We also have our events business, which has a large amount of direct cost, is a profitable business, but it does see a big scale up in Q3 and Q4. And as a result of that, you can see a little bit of a sequential dip. We do expect the contribution margin to remain in the mid-50s going forward.

In terms of EBITDA, our EBITDA before ESOP has increased to INR 219 crores, as you can see from this chart. This has been a consistent improvement every quarter for the

last 6 or 7 quarters that you can see since we returned breakeven and profitable. We expect, because of the very strong momentum that we have across several businesses that we'll talk about as well as operating leverage, that EBITDA will continue to improve and next quarter will be better than this quarter. We also just highlighted our profit after tax, which improved by INR 170 crores, still a negative number, negative INR 222 crores. But the reason we highlight this is we are very focused on bringing ourselves to PAT positive in the very near future as well.

Can we go to the next page, please. This is our Payments Business profitability. As you know, net payment margin is the sum of payment processing margin and the subscription revenue that we make. This number has gone to INR 748 crores this quarter. It has grown by 63% year-on-year. So we continue to perform extremely well on this metric. And we'll just try to explain this a little bit more clearly, our payment processing margin without UPI incentive, and I should just highlight that there's

no UPI incentive this quarter, that is usually expected in Q4. Even without UPI incentive, we were in the 7 to 9 basis points range. As you can see, our GMV growth was very strong, both on a year-on-year as well as sequential basis, and we for the first time crossed INR 5 lakh crores of merchant payments this quarter.

Our merchant subscriptions continue to show very strong growth and actually an acceleration. So some of you may remember that we were at about 10 lakhs net addition per quarter, for several quarters. And last quarter, we saw that accelerate to 13 lakhs. And this quarter, we have seen that accelerate to 14 lakhs. So we're seeing a new base for addition of merchant subscriptions. And as you may remember, we made about INR 100 per month per merchant for the subscription. As a result of all of this, there has been a 63% year-on-year growth in net payment margin even without UPI incentive.

Can we go to the next page, please. This is our Financial Services business, where we wanted to highlight a number of points. One is, our value of loans distributed through our platform is now at INR 15,500 crores. That is a 56% growth year-on-year. You will see that they are yellow line, which is Paytm Postpaid, has seen a sequential decline. I'm sure a number of you were on the call that we had in early December where we talked about Paytm Postpaid potentially declining from the base that we had through a conscious decision that us and our lending partners have made, we have calibrated that. Next quarter, you'll see the full year impact of that. So that's the number that we had for this quarter.

Our personal loans and merchant loans continue to grow very, very well. Our portfolio quality, most importantly, continues to remain stable and healthy, well within the parameters that we have talked about. And we, obviously, on the top right, share every quarter what the collect

ion performance and as a result, the portfolio performance is. Our merchant loans business, in particular, is showing very healthy trends. We've been very excited about this business. As you know, our number of subscriptions keeps growing. So we are now over 10 million or over 1 crore merchants who have taken a subscription from us and more and more of them are becoming eligible from our partners for a loan and more and more are showing interest in taking these loans. So that continues to be a huge growth driver going forward.

We talked a little bit about high ticket loans a month and a half ago, and we just wanted to elaborate on that. We have made significant progress in that business in the last 4 or 5 months and even since the last time we spoke. We now have 2 crore whitelisted users from our lending partners, and it is showing early trends of scale. So Q3 distribution of this number, which is the first time we're disclosing this number separately as INR 490 crores. For a business which is very, very early and very recent, this is a tremendous number, and we're very excited about where this number goes going forward. And like we said on the previous call, we would like to reiterate that we'll continue to calibrate Paytm Post paid or post paid loans as we call them as per regulatory guidance and their expectations. So this is an ongoing exercise, and we'll continue to do that. Collections I've already talked about.

I did want to highlight two other businesses in financial services where we are seeing very good momentum and a very large opportunity. So in insurance distribution, we're seeing great product market fit for some of our embedded insurance as well as former merchant insurance products. So this is a business that we'll talk about more going forward and also scale. You may recall that Vijay in an earnings call about a year ago, had said that insurance is

about a year from now activity for us, and this is where we are. We are a year hence and we're seeing the efforts that we have put in here starting to give us great opportunity going forward. So we'll start to talk more about this.

Equity broking, as many of you know, we have Paytm Money, which is a mutual funds and equity broking platform. This is a huge market, very profitable, and we are seeing a huge scale of opportunities here for both F&O and equity trading customers.

Go to the next page, please. This is Marketing Services, which we previously used to call Commerce & Cloud. The reason we call it Marketing Services is this business has become primarily about providing marketing solutions to our merchants. So going forward, we will call it marketing services because that's really the core of what we are doing. And also cloud might be slightly confusing because we don't really do cloud computing services or data centers and so on. So just for clarity, we are going to call it Marketing Services. The core of this business is to drive a enormous amount of high-margin monetization from our merchants. This business has grown 22% year-on-year to over INR 500 crores. So it's the first time this business has crossed INR 500 crores of revenue.

We sell discount deals, gift vouchers and other digital goods like tickets - travel tickets and entertainment tickets. We're pleased to report that our GMV grew 48% year-on-year. So that's a very strong performance from our various teams, and that is partly as a result of growing market share in travel. We have had a huge ramp-up in our new gift voucher business, which was relatively early a year ago. And we're also seeing some positive momentum in entertainment.

We offer brand marketing, advertising and loyalty services to brands and businesses, and that business is also growing very fast year-on-year. And finally, our credit card distribution business is also here. And we, for the first time, crossed 10 lakh Paytm consumers acquired for credit cards. So that is 125% growth year-on-year. So I would like to say that all of these businesses are effectively firing on all cylinders and contributing to the strong momentum that we have overall as a company.

Can we go to the next page, please. I'll just hand it over back to Vijay to talk about our key focus areas going forward, and then we'll take Q&A. Vijay Sahasrarama: Thank you, Madhur. So as you would have seen here, we've been able to leverage AI in two key areas. One is that we've been able to see accelerated deployment and code generation, QA, etcetera, that is in the production technology, and we are reworking with various co-pilot technology companies, and this is showing already deployed and doing incredible. Secondly, it is also enabling us to create operating efficiencies because in many, many mundane tasks, we are able to now remove humans and have machines take care, and that is a big scale. So these 2 things are our key AI-led initiatives.

We're talking about monthly transacting users and financial services approach here. If you notice, we also crossed our 100 million active customers in the last quarter. This is also a key milestone. As many of you would know, there are visitors, registered users, users that logged in, etcetera, etcetera. We always show the active transacting users. Registrations are upward of 600 million on our platform just in case, but that is not the number that is material, but the material number is monthly transacting users that crossed 100 million. And we have been able to do it very prudently and our focus is on acquiring strictly monetizable incremental user, which means that we've been able to do, as you noticed, acquisition very, very prudently. And there are products like UPI Credit, UPI Auto Pay, which are actually going through the roof. And we believe that, that will generate even a higher quality of customers on our platform, and we will continue to acquire customers with that in sight.

Our merchant payments side, which is very, very important. And I think as Paytm, we want to be known for the payment merchant network that we are creating, partnering with all payment networks. Here, our approach has been led by multiple devices. As you know, we created so and so card machines and various hybrid of those. And we have even a few more in the pipeline and in

-- continued in next year, you will see tons of our multiple device formats serving different, different, different needs of merchants and that remains a focus area for us.

In fact, I also want to share here that we've been able to do good work on sourcing and supplying and building homegrown capacities on this. That's a USP that we've been able to build on. You heard from Madhura on high-ticket loans, and Bhavesh is go

ing to talk more about it when you ask more in detail. But overall, I can tell you that we've been able to drive high-ticket loans as you saw in -- literally for the last few weeks in the quarter and the numbers you saw were very, very encouraging. We will keep focused on that. And as far as insurance is concerned, it is sort of something that we are able to bundle in our core offerings, whether they are merchants, whether they are consumers where we are doing embedded insurance. And the results have been very, very encouraging, actually.

In fact, I can say that it is better than what we had imagined this to carry on. So that is why we are talking about insurance out there as one of the key KPI. In fact, equity trading is very simply - Paytm's customers need to be cross-sold and we will bring lots of offerings of Paytm, stock broking and mutual fund, etcetera, on the main consumer app. So you will see better cross-selling opportunities for our Paytm consumer base on financial services overall.

Marketing services is -- I'm going to say this is like a by-product of the traffic on the consumer app where we have consumer business. Obviously, merchants can offer deals, gift vouchers, discounts, coupons, etcetera, and they can sell those, event tickets. We've been able to also create lots of marketing, branding opportunities for brands like you're seeing here. We've been able to create customer acquisition and branding opportunities for businesses, brands and even credit card issuers, which are our partner credit card issuers. So we are very, very

appy. And that is our focus area for the next four quarters.

Infact, I wanted to say this, I want to reinforce one extra thing when I was talking about forward-looking guidelines because of efficiency and soon. The important thing that Madhursaid was that our next quarter seem seven better than this quarter and in the bottom line. And I think our attention to the facts is what is showing up in the results and it continues the momentum in next quarter also and next quarters. Thank you.

O p e r a t o r : Thanks, Vijay. The first question of the session will be from Mr. Vijit Jain from Citi.

V i j i t J a i n : Thanks for the opportunity and Congratulations on a pretty decent set of numbers. I have two questions. One is can you talk a little bit more about what use cases have you eliminated on the merchant side in Postpaid, which is what you talk about in the earnings letter. And associated with that, if you can talk about the reduction in whitelisted customers by 15%, is that comfortable enough from an ongoing perspective? Or do you think you'll be tightening standards a little bit further here? That's my first question.

B h a v e s h G u p t a : Yes. Thank you, Vijay, for the question. Good morning, everyone. So, Vijit, the use-cases that we have taken out are predominantly where we could see that consumers were fundamentally spending a larger portion of their postpaid line in a single use-case. What I meant to say here is that what we basically double-click is typically a postpaid user. They do between 5 to 7 transactions a month using postpaid. But we also used to find or were finding users who are kind of consuming either through one or two transactions the entire limit at certain categories of merchants could be online lifestyle, could be high ticket offline, etcetera. So we have calibrated that aquisition of postpaid to bring down the disbursements of postpaid, which could be argued was kind of on the edge of riskiness and was discomforting to you and obviously our lending partners.

When we say we eliminated, I think the way we used to do, and I've said this for the last many quarters, that we look at every month not just for Paytm Postpaid business, but even for all our credit business. We look at what's happening to various cohorts of users and cohort definition is fundamentally to do with what the user is doing in terms of vintage on the platform, geography, spends, delinquency trends, recovery collections, etcetera. And we used to kind of clean out maybe a couple of percentage points user every month. That number has gotten enhanced by us.

So instead of taking out, let's stake about 3% to 4% every month that we used to take out from our base, we have taken out close to 15%. These were the cohorts that our lending partners suggested to us, were showing high leverage as far as bureau data was concerned with the man hence, they were not very comfortable. And we also felt that it is the right thing to do given the macro environment. So this is what two things have happened.

Going forward, I think the sense that we understand is two things that are happening. One is because we have calibrated use-cases and because we have calibrated the number of customers who are getting incrementally onboarded or are remaining on the platform, while remaining on the platform is still a very large number, but the use cases have been calibrated. The user who was using postpaid, their frequency is coming down. So while there was an anticipated cut in GMV that we had expected, there has been more than anticipated cut of usage also that we are seeing, which means that this number that we've reached out in this last quarter, especially December, which is a drop from the peak of postpaid disbursement by about 50%-60%, will continue to look downwards in Q4 and could stabilize maybe after Q4 end and/or maybe early Q1 FY25. But it's too early for me to say. But at this point in time, we believe this would be a number which will slide down further.

V i j i t J a i n : Got it. And Bhavesh, my next question is - the loan performance indicators that you publish, I can see that there's a little bit of positive move on the bounce rate for personal loans there, but there's no change otherwise. So I'm just wondering how to reconcile that with all the events and commentaries leading up to the December 23 -- sorry, December thing where you tightened standards. Should it not have reflected in at least some of those numbers?

B h a v e s h G u p t a : Yes. So I think, Vijit, there is a lead and a lag indicator bouncing as you can see. So postpaid, there is no change in delinquency parameters for us. We did not reduce postpaid loans because we were seeing any delinquency trends. I want to repeat that number very, very clearly. Our portfolio, both of the GCL and the expected credit loss numbers on postpaid, remained range bound at the lower end of the range that we have given. So we are very comfortable and so are our partners. It was done predominantly because overall on the macro side, our partners were seeing higher stress on less than INR 50,000 loan and we were of the opinion it is better to be ultra conservative versus just looking at our portfolio. So that decision of postpaid loan was taken in that light and we continue to go with the direction that less than INR 50,000 seem to be something which is not necessarily showing great signs in the overall macro and overall credit bureau trend that the overall industry is seeing, while our portfolio continues to be very, very strong. On the PL piece, yes, we've been cutting down on PL for the last four quarters. We've been conservative on personal loan growth while we have grown decently. But as you can see from our data, the last two quarters have been flat or negative on the personal loan business, especially the business we used to do, non-high ticket. And we believe that in the next two quarters also that line of business will remain flatish and the growth will come from high-ticket PL, which is showing tremendous momentum. So, bounce rates coming down is a very good sign for us. While we understand in general, overall, the bounce rates have either remained flat or increased in the rest of the ecosystem, but for us it has started to show down. So on a lag basis, we believe, let's say two quarters forward, we could start seeing some impact to ECLs and GCLs coming down. But it's too early to say because we've just seen this quarter the bounce rates have come down. I would like to wait for another two quarters before I can give you a more forward-looking direction on GCL.

V i j i t J a i n : My last question, just on the payment margins. So I see in this quarter, if I take the payment revenues, remove the payment processing charges, it's about 14.7bps, 100bps down Q-o-Q. Now I know there is a seasonality associated with sales and everything. But there's also the increased PIDs benefit that you're not getting, right? Your other operating revenues is up from INR 24 crores odd to INR 50 crores odd. So just I'm wondering that when you talk about payment margins in the 7 to 9bps band, excluding device rentals, does that include the PID benefits? And if -- or at least will increase the PID benefits? And if you remove that, will you still be in the 7 to 9bps band in this quarter?

M a d h u r D e o r a : Maybe I'll answer that, and Bhavesh can add. No, the payment processing margin does not include any incentives or marketing or anything else that we get on devices. That is all included in the devices part, some merchant subscriptions you should definitely think of as money that is paid to us by merchants and the small contribution from many incentives or schemes that we might be a part of. So to answer your question, the PID piece or any other incentive goes in the subscription part rather than the payment processing margin part. And excluding UPI incentive and excluding these incentives, which I just clarified, that payment processing margin is still comfortably in the 7 to 9bps range.

And if you recall, when we had -- in December '22, I think it was,

when we had first talked about the split in payment processing margin, that 7 to 9 bps was actually including UP incentive. So while we had guided that this trend may be downwards so far it has actually been strengthened. Bhavesh, I don't know if you have anything to add?

Bhavesh Gupta: Yes. No, I think Madhur, you've answered in detail. If there's an incremental question Viji, I'm happy to answer.

Vijit Jain: No, no, that's sit from my side. I'll jump back into the queue.

Operator: The next question will be from Mr. Pranav Dheera from Bernstein.

Pranav Dheera Gupta: Hey morning, thanks for the call. Just a couple of questions. I think the first is on the merchant loans. What percent of your soundbox base would be of a size that you would be comfortable lending to? In other words, if you can give us an sense of what's the minimum payment flow that's required for a merchant loan, vis-a-vis that's typically required for a soundbox. That will help us understand what's the headroom on the penetration front.

Bhavesh Gupta: So I think we've said this earlier also, the math is the merchant loan eligibility is highest for devices merchant. And while they're paper QR merchants, but our focus is always on devices merchants because they tend to perform much, much better as a cohort. We today have close to 10 million devices in the market. We've been adding, as you know, close to less than an average 12 lakh, 13 lakh devices a quarter. So it takes about six months before our lending partners are comfortable to start looking at data.

We do not offer loans for merchants who have not been on our platform using devices consistently, at least for a period of six months because they demonstrate better credit quality. So fundamentally,

to say, if you remove two quarters of sales of devices, that number comes down to, let's say, about 6 million in the system, of which half of them are signed off, whitelisted or have taken a loan. So that's a very, very large funnel for us. And that's the reason we remain excited that this business, while has grown Y-on-Y by almost 95%, will continue to demonstrate very healthy growth for us.

And there are various criteria, Pranav. I don't want to really get into the-- those criteria on this call. But I can say that it's not a unilateral criteria. It's a multidimensional criteria between users, GMV, type of device, type of merchant, geolocations, etcetera, which lead to the lenders' whitelisting and then they have their own underwriting criteria to go ahead and offer. We don't have any role to play in that.

Pranav Dheera Gupta: Understood. So I understand right. So you're saying that the-- when you give out a soundbox, if everything else holds up, those typically are customers who would become eligible for a loan, from a size perspective.

Bhavesh Gupta: Yes. So 50% of them, because the soundbox is delivered in 500 locations, whereas credit-- merchant credit is given at about 175. And hence, about 70% of soundbox sales is done in locations where lenders give credit, of which you can say about 70% get whitelisted after 6 months.

Pranav Dheera Gupta: Understood. Very helpful. Just another question on the postpaid loans. So you mentioned that the BNPL portfolio for you has held up very well, whereas the lending partners are seeing stress may be elsewhere in the system. In that context, would you rethink your decision not to have a balance sheet of your own? Or would you have done something differently given the numbers that you're seeing, if you had a balance sheet that you could lend off?

Bhavesh Gupta: See, that's a very hypothetical question. I would not like to get into that question very honestly, Pranav, because we don't have a balance sheet. We don't intend to have a balance sheet. We are a technology company, which has consumers and merchant on our platform. And we would love to work with the lenders and the wisdom that they have of doing credit over so many years, multi-decade. We are a young company, so we would love to leverage the knowledge of the lending partners. If they feel comfortable doing more, we would do more. If they feel comfortable to do less, we will do less.

Operator: The next question will be from Rahul Jain from Dolat Capital.

Rahul Jain: Hopelamaudible.

Operator: Yes, you are. Congo ahead, please.

Rahul Jain: Yes. Just two questions. Firstly, you mentioned that for high ticket, you have close to 2 core whitelisted users. So can we say that with induction of a low-cost lender like Axis Bank, conversion of whitelists to actual lending could be much higher as a probability for success?

Also may get better match with the underwriting criteria versus what you see for the low ticket loans where the data is lower, the profile of the borrower could also be lower. So there is a mismatch between the risk criteria versus for high ticket the mismatch may be much lesser.

Bhavesh Gupta: Yes. I think it's a very good question, Rahul. Early trends suggest to us that the funnel as we track on a whitelist, are holding or performing better than the low ticket funnels because the rejection rates in low tickets are fairly larger than the rejection rates in high ticket. But it's an early trend. I think on a longer arch, when we take, let's say, a full of next year, this particular whitelist itself will grow from the current standard that we have of 2 crore to an upward of 3-3.5 crores. This is exactly what we see in our credit card business, where the profile is largely similar.

Where in our multiple banks are going and issuing credit cards to the platform, where the whitelist is almost close to about 3.5 crores. So two things we clearly feel very confident. One is that the whitelist is going to increase further as more and more partners come on the system, and the funnel will perform better.

So mathematically, the high-ticket business will perform much, much better than the so-called low ticket business. But the scale of this business is contingent on various factors. And what we are seeing as early trends are giving us very good comfort that quarter-on-quarter basis if those trends play out, this business should become a materially large business for us as we see next year.

Rahul Jain: Right. And on the postpaid side, since-- so the criteria may not improve, materially different from what we observed in December in a near future perspective. Is there a revised strategy in terms of getting a different set of partners for it or may be increasing the size of this exposure, changing the cohort which needs to be targeted on that product because that product is pretty good and unique. But if we don't grow on that kind of a product, I mean, that's a serious differentiating offering and why not to leverage that?

Bhavesh Gupta: Yes. So I think, Rahul, there are two different elements of your question. I want to ask them differently. We-- at a macro level, when we see and hear that on an overall basis, there is a concern that banks and non-banks have on a low ticket volume of business, I don't think as a strategy, we want to arbitrage and move to a partner who could technically say, "Hey, I'm happy to take this risk and let's do business with-- you and do business with me." Our belief here is that we would love to build a business which on an overall basis is aligned to the way the regulatory thinking and the lenders are thinking. So if there is a concern either regulatory or otherwise, we would like to play with that and make sure that unless and until the overall macro environment and regulatory environment is positive, we are not necessarily going ahead and building this business at a scale that we were building earlier.

Having said that, every product goes through calibration. While you-- while what you've said is correct, that postpaid is generally a differentiating factor. But I also want to mention that we have been doing multiple lines of business, including merchant credit, personal loans, now

high-ticket personal loans, etcetera. We also have built strength on those businesses, which today's environment allows us to scale those businesses over postpaid much faster.

Sowe'll continue to calibrate postpaid, if you ask me, honestly, at this point in time. And we'll see as to how the environment is changing positively in this area. And whether that means that we have to make some changes in the product; we'll do that in due course of time. But at this point in time, we don't propose to make any changes in the product to kind of navigate the environment, we would like to play the environment and be conservative.

R a h u l J a i n : Right, right. Understood. Just one bit, if I can. So since our profit improvement is quite consistent and our commitment to the cost management is also very obvious. All our monthly metrics are very healthy, be GMV, MTUs and soon and in one direction without any disturbance. Then just trying to understand what refrains us from giving a PAT guidance either for a short term or may be more medium-term basis. Is there any reason for that?

M a d h u r D e o r a : I think we have seen--so our analysts also have assumptions in their models about PAT guidance and soon. We don't think our business is now relatively easy to model, right, which--and we obviously have, I think, about 15 or 16 analysts, really high-quality analysts who cover us. So I think there's enough projections out there

here to--for analysts and investors to be able to sort of get their head around what does the business look like 2 or 3 or 4 quarters from now. And how does that

sort of translate from revenue to EBITDA before ESOP cost to EBITDA after ESOP cost and to Profit After Tax.

Sol'm--sol guess what! I'm trying to say, Rahul, is that there might always be some incremental benefit of giving PAT guidance. But the way we see it is, this trajectory is pretty clear for people to see and model and see--and the only thing I would say is that our conclusion from this is that we should be PAT positive in the relatively near future.

R a h u l J a i n : Right. Madhur, you're giving too much responsibility to our community. I think the more the input the better the precision on the thing. So you have a bit more idea than what any of us put together can. But I got the sense. Thank you.

O p e r a t o r : The next question will be from Mr. Jayant Kharote from Jefferies.

J a y a n t K h a r o t e : First, I wanted to touch upon the employee count. I think you've guided in the past that you want to maintain the device addition at 14-15 lakh number, so does this mean you have the ground force fully deployed now? Or do you need to add more? How should we sort of look at this? And then an add-on question is Vijay spoke about AI benefits on the non-sales piece as well. So if you could just help us understand how this plays out on the employee cost front.

B h a v e s h G u p t a : So Jayant, the on-ground field force, largely in Q3 was stable. We were adding a lot of people till Q2 because we wanted to make sure that in the festive period, there is a decent expansion of the market, and we are able to attack that market with full force on the ground. I don't think that we will see the kind of expansion of sales force we've seen historically in Q4 and beyond even next year. So there will be a moderate expansion. I can't give any guidance to that, but we have a very moderate expansion. But nothing of the kind that you've seen in the past because I think now we have a fairly decent expansion and penetration in 500 plus cities where we don't necessarily need to add more people to grow.

The other important element I just want to say here is that the last quarter growth of at least a couple of lakh devices was an outcome of the festive. So then a normal run rate for us on devices, I personally believe over the next 12 to 18 months, should be seen between 11 lakh to 12 lakh incremental devices and not 14-15 lakh devices. I just wanted to make that point clear because that's a bump up of the festive season. This is not necessarily a common trend line. 11-12 lakh devices also is a very, very decent number on the back of the 1.1 crore device that we have in our system. Vijay, you want to take the AI question?

V i j a y S h e k h a r S h a r m a : Yes. So there is clarity instead of expanding more business functions, we are clearly trying to add the capabilities of machines and systems. So the systems and capabilities will continue to grow on our platform, which will necessarily create not so much demand in a linear way of the number of people that we need. That's the answer.

J a y a n t K h a r o t e : Second, on credit card on UPI, although, if you could also help us put this in perspective from a slightly longer or medium-term, how much of a GMV do you think can come from here? And what are the early trends or indicators? And tied to that, how mean in gful is this for our payments processing margins?

M a d h u r D e o r a : Bhavesh do you want to take that?

B h a v e s h G u p t a : Yes. Let me put this as a nearly trend question first and then on net payment margins. I think early trends are fantastic, very clearly, both because we do credit card marketing for our partners, we are seeing a very, very high demand overall on RuPay issued cards versus other logo

issues cards. So really the customer is appreciating the product very well, then you can use this card, link it on our app and start making payment on QR code.

So customer expectation and appreciation of the product is high, which basically means that incremental issuance in our country on cards, you will see a fairly large portion or majority of those cards will be coming with the RuPay cards. Now the merchant acceptance part is split into 2 elements. We have been pleasantly surprised that a smaller merchant who was not accepting cards in the past, either because they didn't have devices or was wary of MDRs, every month, we are seeing that more and more merchants are getting on boarded who are happy to pay MDR and allow their QR code to be enabled with RuPay CC acceptance.

So I think these trends, while they're just about, 4 to 5 months back trends are very, very encouraging. And it will be very early for me to comment on what percentage of UPI GMV it could end up becoming.

I personally believe that we should wait out for a couple of more quarters for this number to stabilize, both on the acquiring and issuing side by then we can say that this number will become what as a percentage. But today, it is not very significant. But it's still growing very, very rapidly, and we remain very positive on this business because we are dominating the acquiring side, and we are also doing fantastically well on the linkage of the card on our app.

On the net payment margin, again, today, it's not very consequential, but let's say, if you were to take a 12 to 18 month future view, just the fact that it has two-stage revenue. One is when you link the card on the app, the app gets paid depending upon different types of calculations, the app gets paid between 4 basis points to 8 basis points every time the card is used through the app, and you get the net payment margin from the merchant between 5 basis points to 20 basis points. This could end up becoming a decently profitable business. But I think we'll have to wait it out for the next 12 to 18 months of this business to be meaningful in our contribution.

J a y a n t K h a r o t e : If I could just squeeze in one last question. You mentioned BNPL is stabilizing possibly in Q1 FY25. Do you see the

stabilization process could extend even beyond the first quarter of next year?

B h a v e s h G u p t a : See, a bit hypothetical for me to give you beyond that because there are multiple factors. It is all contingent on how macro trends start to behave. At this point in time, we have visibility for next two quarters that it will continue to have a downward slope in terms of its contribution to our overall lending business. But beyond Q1 should it stabilize, I think I would wait out for another quarter to be able to give that answer.

I just want to remind, once again, while postpaid is a good product and has been a very material differentiator as far as low-ticket business is concerned, its contribution to the P&L has been very marginal. Because they take rate of this business, as you guys may remember, between MDR to the net margin we make, it was not necessarily very, very high, right, versus merchant loans and personal loans which are in excess of 3.5% to 4%. This business was very, very low.

Now its impact on P&L is very overestimated. Its impact on P&L is very marginal. And that is getting very easily compensated by high-ticket personal loans and other forms of businesses that we have been accelerating, be it insurance, wealth management and including payments.

So we are mindful that we want to align with how the overall macro trends are showing, but it does not have any impact or I would say it has a very, very marginal impact to the EBITDA guidance or the EBITDA contribution of four overall lending business, our overall Paytm's business.

O p e r a t o r : The next question in the queue is from Mr. Piran Engineer from CLSA.

P i r a n E n g i n e e r : Congratulate on the quarter. Just a few questions on there. Firstly, on BNPL. Soon BNPL, our lending strategy has been that we attached a customer to our lenders. It's not a marketplace. Now we've seen Aditya Birla Capital wanting to scale back. From a contractual point of view, can we move the customer to another lender? The same customer, just contractually I am asking, what are the legalities around it?

B h a v e s h G u p t a : Yes, we can 100% move the customer from one lender to another. But it's important to note that we, as an organization, very, very clearly do not necessarily play on contracts otherwise. We play on the thesis of our business and the partnership that we carry. Every decision we take is in consultation with lending partners. When they believe they're comfortable doing something, we would do that part. So to your specific question, and I don't want to use a particular lender partner because we have at least three partners whom we currently do BNPL with. And all the three partners today believe that we need to be conservative in this business.

So movement from partner A to partner B is not something that we have to worry about. But yes, we can move the customer from partner A to partner B if that partner who has the original customer gives us the permission and is okay for us to move that particular customer.

P i r a n E n g i n e e r : Alright that lender has to be okay?

B h a v e s h G u p t a : Piran, it is not contractual. It is more, what can I say, it's in the spirit of partnership.

P i r a n E n g i n e e r : Got it. Okay. Okay. Fair enough. Secondly, on your 2 crore whitelisted high-ticket personal loan customers, just wanted to get a sense, how many of them already have a loan from the industry?

B h a v e s h G u p t a : Yes. So that data will not be readily available to us because

we used not have the credit bureau information, etcetera. The important element there is that these are all credit tested customers, right? So they would have had a loan or may have a loan currently, but they are all credit tested customers. That's there as on they're eligible by various banks and non-banks for being allowed to be given a high ticket loan.

P i r a n E n g i n e e r : Okay. Credit tested by the system, right, not in Paytm?

B h a v e s h G u p t a : Yes, credit tested by the system. So the process is simple, that the lenders look at the kind of consumers, etcetera, they would like to underwrite. And their criteria is that they should be credit tested. Basically, they have an existing tradeline or a historical tradeline on the credit bureau, and that is the customer they would like to underwrite. And then they have their own underwriting criteria, what is the depth of the credit line, what is the core, etcetera, etcetera, on which in the real-time basis when they apply, they could get a loan or not get a loan.

P i r a n E n g i n e e r : Got it. Got it. I have a couple of more questions, just feel free to stop me when you need to. So firstly, on the news article, the 1,000 employees are being laid off, is that true? And is that what Vijay was saying the consequence of AI. Using AI for operational efficiency?

B h a v e s h G u p t a : See, I will let Vijay also answer this question in particular. But I don't want to comment on the news article because we have not gone and given any information to the press. The press obviously is free to put what they believe they are getting in the market, etcetera. There is a lot of focus that we have had since the last two quarters on operating efficiency. We had scaled our manpower looking at our business efficiencies going forward, and we realized those business efficiencies in Q2 and obviously in Q3.

Thank to AI, in many of our functions, we've been able to demonstrate operational efficiency, as Vijay had said in his opening remarks. Let's say that we had a sales team and we had an operation team, etcetera, who were doing a lot of manual lifting and business processes, etcetera, etcetera. Today with technology, which is powered through AI, we are able to do, let's say, that work very much more efficiently with fewer people.

So there is some efficiency, which is technology led, powered through AI, but there's also a lot of efficiency that we've been able to build into our business primarily by making sure that there is a focus on cost and there is focus on operating leverage. A combination of two has resulted in people's costs going down. And as I said, I don't want to comment on what the press is writing but we have seen our people costs come down, and we will remain much more focused and tighter on our people cost, especially on the ground sales team, which is a very large part of our overall people cost.

P i r a n E n g i n e e r : Got it. And just lastly, in stock broking and mutual fund distribution, I just struggle to understand the sort of impact, like what differentiation would you all have, a- because mutual fund distribution is generally direct plans so you don't really earn anything and b- in stock broking, typically, the discount brokers make it on F&O trading so you will need to have a large market share to make any big impact. So if you could just spend maybe a couple of minutes talking about your thought process there? And what plans are there? That would be great.

B h a v e s h G u p t a : Yes. I think, Piran, thank you for asking that question. So there are two clarifications I want to give. Yes, Paytm historically has built a great business on direct mutual funds, and we continue to build and grow that business, right? The important element there is that in the last couple of months, we've also gone ahead and set up a separate line of business, independently of direct mutual funds by taking an ARN code on which we are focusing on building newer products on daily SIP, monthly SIP and general direct mutual fund on which we earn commission which is a decently good number.

But the AUM under that business is currently small, but it's growing rapidly, right? And given the size of MAU that we have, you can imagine that any product that we are able to add value through the number of customers coming in the Paytm app, that number can multiply very, very decently. And we've seen nearly trends on a mutual fund distribution business on the back of SIP and otherwise, the one-time mutual fund investment on which we earn incentives growing at a decent size and pace. Early trends, but obviously, we feel very positive. To your other question, I think this business is hinged on two levels. One is the platform's ability to attract users who either could be existing equity or F&O traders.

Since the market and to attract users who could be the first hand equity traders. I think again the same answer, just like we've demonstrated in our credit business, we have demonstrated in our marketing services business, Paytm platform offers a wonderfully unique opportunity to be able to target this 10 crore MAU customers who are coming on the Paytm platform, who could very conveniently through the product that we have built called Paytm Money, able to open their Demat and trading account and use the technology interface, which in our opinion is best-in-class and be able to trade, right?

And yes, we are discount broker, but we still are able to do a wonderfully good job giving the product differentiation versus many other platforms available in the system. Why we feel excited, Piran, is that we've been working on this product for the last two years. It's only in the last two quarters, we have seen that the scale of new customer acquisition has become very, very decent. And the depth of customers who are coming on our platform and trading either in F&O and equity trading is also becoming significantly large for us, for us to now further invest in the business and grow. So our right to win is our distribution franchise and the product innovation and the product convenience that we offer over other platforms.

And we believe that right to win will further accelerate this business into a zone where this could become meaningful in the next 12 to 18 months as a part of financial services revenue.

Piran Engineer: Got it. This is useful. Just one suggestion, if I may, a humble request. We've got a lot of companies reporting on Saturdays. If something could be done where your Board meeting is moved on a weekday and the call is moved on a weekday, it will be really helpful. It's just the bandwidth we give to each company, this is something I've asked Anuj multiple times.

Vijay Shekhar Sharma

: Piran, thank you so much, like Madhura said. Next time, we will definitely try to make it a weekday. Thank you, good input.

Operator: Given the current queue of questions and raised hands, we'll extend the call by 10 minutes. The next question in the queue will be from Jigar Valia from Ohm Group.

Jigar Valia: My question is basically, we had about a couple of lakh sex trade devices because of the festive season. So does that also come along with slightly discounted subscription rates and as we instead of 13, 14, if we are doing 10, 12 lakh devices on a normal basis, these subscription rates also would be slightly better.

Bhaveshgupta: Jigar, it's a bit of a tactical play on pricing. The honest answer would be, yes, we could have lost maybe Rs. 5 a device rental in the festive season just to make sure that we are capturing the market. Rental is important, but the GMV through the device, the opportunity for us to earn MDR on the device and then eventually get credit on to the merchant is a much bigger opportunity. So that's the way we see it.

So the short answer is, yes, we could have lost maybe Rs. 5 a device in that quarter. But on an ongoing basis, if we are putting out 12 lakh devices, 13 lakh devices or 10 lakh devices, I don't think there is any material change in our rental per device from an ongoing basis perspective. So that number will remain in that range of Rs. 100 that we've reported in the past.

Jigar Valia: Got it. A quick second was that with regard to the mutual fund and the equity broking - Paytm Money client acquisition, so is it largely a function of product differentiation and convenience? Or does it entail any acquisition cost or any schemes, offers, etcetera?

Bhaveshgupta: So it doesn't entail any kind of scheme offers. Anyway, it's very restrictive as you know. You can't offer many schemes on enticing or getting clients on board. I think it's a leverage of product and the fact that the Paytm Money is now an integral part of the consumer app of Paytm, then a natural or organic traffic, as we call it, of 10 crore people coming and using the Paytm app every month, allow them to explore this product. And obviously, the journeys are built in a manner that the customers are able to activate their equity trading account and start trading through the Paytm platform.

So the product differentiation is an experience but the acquisition engine is the Paytm app, which is a massived differentiation versus anybody else because I don't think any other platform out there who's doing equity trading has 10 crore customers coming on the platform. So we feel very bullish that that traffic could just give us a very accelerated pace of acquisition in this business.

Jigar Valia: Right. I have a few clarifications with regard to Slide 5, if I may. So one is INR 490 crore is that we would have

done or would largely be a lot back-ended and probably like a monthly rather than a quarterly type of number. And 2 crore whitelist users is so

what base, so if this has to expand, is this like the best of the entire 10 crore? Or is it 2 crore out of a certain set of things which is there? And if 2 goes to 3 or 4 or whatever based on the number of lenders increasing and the profiles improving, so would that be a part of a static base or it's a partial base which we have covered for the 2 crore whitelist?

Bhaveshgupta: I think it's a good question, Jigar. So let me answer the latter question. So 2 crore is, I would say, a part. So 10 crore is obviously for many, many, many cities and pin codes and not every lender is available in every pin code. So the eligible base which broadly, I would say, high-ticket business will be done will be about 65%-70% of four MTU because everyone will not be comfortable lending in every corner of the country digitally. So from within that, we are currently at 2 crores. So you could say at a short hand answer from me that maybe about from 6.5 crore to 7 crore customers who are eligible for credit out of the 10 crores because this is where on pin codes where credit has been disbursed, currently whitelisting is 2 crores. Will this number go up? As I said, in a previous answer, yes, this number will go up as we add more lenders and people get comfortable.

To your INR 490 crore answer, no, it is not back-ended, as I have said on the December call, we had started high ticket business sometime in mid of Q2. There were early trends that we saw with one partner. We grew that business at the end of Q2. And whole of Q3, we saw one more partner getting added into the system. So this number was not back-ended. But yes, we had more than INR 200 crore of disbursement in December, and that number continues to keep growing from here on.

Jigar Valia: That's great. And the metrics should keep improving as the high delinquency low-ticket loans are going off and the better

quality, high ticket are improving, so overall ECL, etcetera. would also improve as a function of the mix changing, right?

BhavesHGupta: Yes. But currently, the portfolio that we show for merchant loans and personal loans, does not include a high ticket because we are not linking our incentives to the portfolio performance yet, but we will have a collection obligation in some form and factor. As the business matures, we'll start declaring those matrices accordingly.

JigarVallia: Finally, would you have any penetration target for any of these segments, including the high ticket?

BhavesHGupta: No. I think our focus is not to drive volume. Our focus is to drive the portfolio and what is convenient to our lending partners. Paytm platform and the user base present such a large opportunity to every partner that we don't have to worry about what's the penetration. I think we only have to worry about, are we able to offer the best product experience and the best quality of lending partners. So that's our focus, penetration will be low in our platform.

Operator: The next question in the queue is from Mr. Saurabh Kumar from JPMorgan.

SaurabhKumar: Just two questions. So one, this bounce rate you have given includes the first week of the payments from what have taken in the postpaid portfolio, right?

BhavesHGupta: You mean the first week of January?

SaurabhKumar: Yes. So if you've cut the lending in December, so this includes that?

BhavesHGupta: Yes, this for the quarter. I just want to mention Saurabh clearly, while we had a deep cut in the month of December, but we've been cutting since the month of August, so we are cutting less, but we had a deep cut in December. So our bounce rates have not materially changed. Even for the December--after December also, our bounce rate has only gone up by about 0.5% to 0.6%, which is very, very marginal and that also has gone up, so to clarify very clearly by that 0.5% to

0.6% for the December cohort in specific because then you have cut and taken out 15% of customers, they generally have some bit of delay in making payments because you block their lines.

So it takes a bit of time. And when we're looking at that number, let's say, today, most of those people have paid back. So the impact to GCL and NCL is not meaningful, maybe INR 1 crore here and there.

SaurabhKumar: Okay. That's great. And Bhaves, can you comment on what is the NPL in this whole postpaid portfolio, so you've given the bounce, but what is the NPL? I just want to compare it to the bureau data.

BhavesHGupta: Yes. So we don't track it the way lender track it, Saurabh, as we have mentioned, on a 30-day basis, our ECL operates between 0.65% to 0.85%, a

nd that has not changed. It's actually somewhere in the middle of these numbers. So that number remains the same.

SaurabhKumar: So basically if I just kind of go through a disclosure, it should have been the 6% odd ball park.

BhavesHGupta: If we multiply it with 12, Yes, so it could be in the range of 6% to 7%, if you will see on an ANR basis for a lender. Yes. But then, if you do that and just for a mathematical clarification, we should also multiply the take rate into 12. So obviously, from an RoA perspective, even with that kind of credit loss, it looks like the RoA is phenomenally large.

SaurabhKumar: That I understand, just one last thing, on this contribution margin, if you add the proforma UPI incentive, would you stabilize at this 56%, 57% odd level? Or how should we think about the contribution margins from here on?

BhavesHGupta: Yes. Madhur clarified that it will remain in the mid-50s. I don't think that number is going to change. There was an aberration on festive where in we obviously offer better incentives to merchant to process payments through Paytm platform. That incentive goes away in a normal case scenario, so we should be largely in that range.

MadhurDey: So we have been largely reporting it without UPI incentives. So UPI incentives on our current revenue base could be another sort of number on top of this, but we have typically been reporting this without UPI incentives. And we have mentioned it in writing in the earnings release as well that we expect this to be in the mid-50s. So it's a official as it comes.

Operator: The next question we'll take is from Mr. Nitin Aggarwal from Motilal Oswal.

NitinKumarAggarwal: Congrats on the good set of numbers. So two questions. First is on the whitelisted customers. So what is the success rate in terms of customers accepting the high ticket pay loan that you're offering as some of them may already have some pre-approved offers from the banks. So how do you compare the success rate of these loans vis-a-vis the normal PL that you have been doing till now?

BhavesHGupta: Yes. So the approval rates, Nitin, are much higher than the less than INR 2 lakh loans that we were doing. So typically, the approval rates were in the vicinity of 15%-20%, between because we used double filtration, we would decline the majority and the lending partner declines at the end. Here, the approval rates are in excess of 40% as the early trends suggest, and I think they will only become better because the whitelist will keep getting refined by the lending partners and the credit quality is going to become better and better.

With regard to the overall conversion that these customers could be pre-approved by a bank, etcetera. Yes, at a fundamental level, your point is correct. But what we are seeing clearly here is that the customers are not necessarily always aware of what they have with their existing bank. So they are not that much used to using their bank's platform or lending partner platform that actively versus how they're used to using Paytm platform.

So when they come to the app and they're reapplying, we are seeing that they are getting a good offer irrespective that they may have a similar or a better offer from the existing lender just because the product efficiency is completely digital and very instant, they are happy to take credit through Paytm platform, even if they have had a whitelist sort of pre-approved from their bank. So I don't think that is becoming any kind of a challenge in our system.

NitinKumarAggarwal: Okay. So then the disbursement overall should pretty much be on track, but this quarter, we are seeing some moderation in the mix of financial revenues. And while you explained that this moderation will not have any significant impact on EBITDA, a revenue perspective, how do you look at the mix of financial revenues over the next 1-2 years?

BhavesHGupta: I'll refer the mix to Madhur. But I can give you a sense that postpaid contribution in a quarter for us used to be about INR 8,000-9,000 crore disbursements. That number, as we've said, has come down in December to about 60%, etcetera and will continue to slide down. So there, the gross revenue will go away.

In Q4, there will be reasonable compensation through high-ticket personal loans, which have higher revenue than the postpaid revenue. Their revenue is much higher than the postpaid revenue and their EBITDA contribution is significantly higher than postpaid. So maybe two quarters forward, the loss of revenue of postpaid will get compensated. And in the next quarter itself, the loss of EBITDA of postpaid will get compensated. Madhur back.

o you.

M a d h u r D e o r a : Yes. So I think one of the lines that you can see is other direct expenses which have gone up over the last few quarters, and that has largely been because of the collection efforts that we do on postpaid, which is a very large number of loans, even though the value and like Bhavesh mentioned revenue and profitability is lower.

So those sort of line items should moderate, given a lower scale of postpaid, and that is going to be the math to get to what we're saying, which is that the other products are higher margin. They are high taker rate, but more importantly, they have significantly higher contribution margin and EBITDA margin.

N i t i n K u m a r A g g a r w a l : Okay. And lastly, just one small clarification on the payment processing charges. In this quarter, we have seen an increase in the processing charge by almost 20% sequentially. So was just curious to know why the spend mix across different payment instruments varies so much from one quarter to another so as to cause this variation?

M a d h u r D e o r a : That one is relatively simple, actually, which is that it was just a season where people use a lot of credit cards and we have a very large on credit cards, all of payment processing both in the on and offline world. You'll also notice that year-on-year, that number has gone up meaningfully, and that is partly because the festive season last year was split between Q2 and Q3, the festive shopping was split between Q2 and Q3. Whereas this year, nearly all of it was in Q3.

So it's mostly to do with festive shopping behavior where there's a lot of credit cards, which has payment processing costs associated with it. Obviously, it is a profitable business for us. But if you're just looking at that line item, you will see a jump.

N i t i n K u m a r A g g a r w a l : Yes. So this then should likely come back in the fourth quarter?

M a d h u r D e o r a : Yes. So if you look at year-on-year trends, it should normalize. And quarter-on-quarter trends will obviously, like said, Q3 was an anomaly. I shouldn't say an anomaly, I should say it's seasonality.

O p e r a t o r : We'll take two more questions. Then the next one being from Mr. Sachin Salgaonkar from Bank of America.

S a c h i n S a l g a o n k a r : Congrats for a good set of numbers. My first question is on the soundbox side. You see a few more players looking to come into the market. So the question out there is, how are you guys looking to differentiate on the soundbox given the fact that it's turning into a commodity? And a related question here is, depreciation and amortization has consistently increased in sync with the number of soundboxes deployed. So any clarity, any guidance in terms of where it could move? Should it stabilize in a year or so? Or will it continue to increase?

V i j a y S h e k h a r S h a r m a : I'll take up on the differentiation on Soundbox, and then obviously, Bhavesh will add to the scale of deployment. So every smart phone is a commodity until it is not because the features and nuances start to become even detailedly differentiated that people stick with 1 or the brand name or feature or services. I was in Ahmedabad, I was on the road, and I was trying to learn what soundbox they use and why?

The shopkeeper literally went on to say that, oh, I use it because this is what works better than others soundboxes. And I did say that what if the other guy gave you for free, would you still continue with it? So the guys said that this works better, my settlements come early, my product is superior, I mean the cost is not so much that I mean, Rs. 100 fee is not even so much, that someone offering free is material for him.

So here, I believe that the nuances of the product, including, for example, like I'll just tell you this, what I just now told you, we do settlements before 6am. Our target is that before the day starts, the settlements should happen. And the guy very clearly himself told me that the other settlement comes around 8, 9, 10 a.m., and that is where the cash doesn't show up also and, then notifications speed, success, surety and the nuances like Bluetooth, etcetera that we have added and we continue to add those features are actually a differentiator. So I'll still stand for the differentiator on the product, but Bhavesh, because he runs on the street, so I would want him to add and expand more.

B h a v e s h G u p t a : Thanks, Vijay. I think Vijay has really well summarized. And what we see on the ground here is that one metric that we track, Sachin, is that I have 11 million devices on the ground, every month, how many are getting deactivated and what is the cohort of the deactivation. And then we go and meet the merchant to figure out if de-activations are an outcome of our bad service or a company replacing my bo

x.

So we clearly see deactivation in the range of about 100,000 devices to 150,000 devices, right? But interestingly, not even 15,000 to 20,000 devices in a month on a base for Paytm of 11 million are deactivated because competition could replace my product, right? Yes. Dowelike 15,000-20,000? We don't like 15,000-20,000, but that number is so small.

So it just tells us very clearly that our product and a significant enhancement in the product that we keep doing both in form factor, feature, pricing and the capability the product is able to demonstrate gives us the edge over competition, and there are 19 players today in the industry who are giving a product equivalent to Paytm soundbox with a different name. So we feel very confident that our product innovation and control on the form factor and the technology inside it because we manufacture in India will always give us significant competitive differentiation in the market for us to keep growing and differentiating.

Will the market give us an opportunity to keep scaling at the level that we're scaling. I think putting out between 4 million to 5 million boxes incrementally, net additions, net of deactivations, net addition is a number we feel very confident over the next four to five quarters. I think I would like to calibrate that number after four to five quarters as to build for FY26, etcetera, hold, again, a similar number of incremental devices. But at this point in time, adding another 5-odd million devices, I don't see at all a challenge.

S a c h i n S a l g a o n k a r : Thank you Vijay and Bhavesh. Second question is on the 2 crore whitelisted users, and I know there are multiple questions on that. My question is more on the fact that these are high-quality credit tested users, almost every credit card or a fintech is looking to target. So what is the differentiation or competitive advantage you guys bring out there? Is it what Bhavesh answered one of the earlier questions, is the ease of getting loans, is it the interest rates that you're giving a lower? Or is there some other kind of differentiation where you guys feel confident that the growth out there will be strong?

B h a v e s h G u p t a : So I think Sachin, my answer may look very simple. But honestly, in the business of credit, what we have figured out historically also and obviously in Paytm, is there is a demand of credit, multiply that with a availability of credit and obviously amplify that with ease of getting credit. So we're not changing demand. Demand is already there in the market. What we are changing is a availability. 10 crore people are able to see the content of credit, right, in the system of Paytm which I don't think any other digital means other than Google and Facebook from an advertising point of view, any other means is able to show 10 crore people a availability of credit. So that is the first differentiation Paytm brings on the table.

Then is the amplification to ease a product journey, offering, simplicity, pricing, etcetera, etcetera, etcetera. And that is where our technology, our product, our nuances of understanding how the journey should be built is able to help us. So multiplying these two things gives us a

gnificantrighttowinandwhichwe'vealreadydemonstratedwithtwopartners.AndIthinkoverthenextcoupleofquarters,youwillseethesenumbersstarttoreflectwhatI'msayingatthispointintime.Andwewillalsolearnintheprocessandmakeourproductsevenbetter.

S a c h i n S a l g a o n k a r :Gotit.Andmylastquestionis,Iwantedtounderstand,youguyshavetwopartnerstodayrightnowonthe personalloanunsecured50kandabove.Howmanymorepartnerscouldwehavein,let'ssay,acoupleofquarters?

B h a v e s h G u p t a :Ithinkwearealreadyintegratingwithanothertwopartnerscurrently.Andwehavealotofinterestfromvariousbanksandnon-bankstointegratenotjustforpersonalloans,butevenforbusinessloans,high-ticketloans.Soasthetimegoesby,wewilltake maybetwopartnersaquarterandseeatwhatpointintime,weneedstabilizeandthenkeepservicingthedemandofeachlenderintooursystem.Butwedon'thaveeachchallengeofpartner,we'lladdatleasttwomoreinthefuture.

V i j a y S h e k h a r S h a r m a :Andbytheway,wedon'thavejusttwo,thetwoisincremental.

O p e r a t o r :Kindremindertoeveryonehatthepresentationshowedtoday,therecordingofthiscallandatranscriptofthecallwillbeavailableonthe companywebsite.Thankyouallforjoining.

V i j a y S h e k h a r S h a r m a :Thankyou.

M a d h u r D e o r a :Thankyouverymuch

Call: Feb 2024

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February 02, 2024

BSE Limited

Department of Corporate Services

Phiroze Jeejeebhoy Towers,

Dalal Street, Fort,

Mumbai - 400 001

Scrip Code: 543396 National Stock Exchange of India Limited

The Listing Department

Exchange Plaza ,

Bandra Kurla Complex,

Mumbai - 400 051

Symbol: PAYTM

Sub.: Disclosure under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 - Transcript of the conference call dated February 01, 2024

Dear Sir / Ma'am,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the conference call, conducted on February 01, 2024, on update on RBI direction to PPBL, OCL's relationship with PPBL and the way forward.

The above information is also available on the website of the Company at
<https://ir.paytm.com/investor-events>.

Kindly take the same on record.

Thanking you

Yours Sincerely,

For One 97 Communications Limited

Sunil Kumar Bansal

Company Secretary & Compliance Officer

Encl. as Above

PaytmConferenceCallonUpdateonRBI direction to PPBL, OCL's relationship with PPBL and the way forward
Call Date: February 1, 2024 | Time: 15:30 PM Indian Standard Time

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ty of risks and uncertainties and other factors that could cause actual events or results to differ materially from those anticipated in the forward-looking statements and financial projections.

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Moderator: Thank you for joining, and welcome to Paytm's conference call to answer questions from the filing on the action of PPBL from RBI. From Paytm's management, we have with us today Mr. Vijay Shekhar Sharma, Founder and CEO; Mr. Madhur Deora, President and Group CFO; Mr. Bhavesh Gupta, President and Chief Operating Officer; and Mr. Anuj Mittal, SVP, Investor Relations. A few standard announcements before we begin, the information to be presented and discussed here should not be recorded, reproduced or distributed in any manner. Some of the statements made today may be forward-looking in nature. Actual events may differ materially from those anticipated in such forward-looking statements.

Finally, this call is scheduled for 45 minutes. It will have opening remarks by the management followed by Q&A. [Operator Instructions]. For us to be able to identify you, please ensure your name is visible as your first name, last name, followed by your company name. We request participants to restrict to 2 questions per participant to allow more participation. A replay of this call and a transcript will be made available on the company website subsequently. With this, I would request Mr. Vijay Shekhar Sharma to kindly initiate the call. Thank you, and over to you.

Vijay Shekhar Sharma- Thank you, everyone, for joining. Obviously, this is an important moment for all of us at Paytm and Paytm Payments Bank. We've seen the update from the RBI, which was publicly released. So I have one slide here to show the discussion that I can talk about.

So this is the slide that talks about impact of our relationship of OCL i.e. Paytm with Paytm Payments Bank Limited and what we've learned and what next has to be done. The important thing is that Paytm Payments Bank has received a regulatory directive from RBI, and we are taking immediate steps to comply with the directions. The users of the Paytm Payments Bank can use the savings account balance, the wallet balance and wallet balance which is used in FASTag and NCMC, etcetera, account until 29th February. And effectively, that means that they can continue to add money, etcetera. But after 29th February, they cannot add incremental money to the bank account or savings account and soon.

OCL is a payment aggregator for online-offline merchants and already works with various other banks and Paytm Payments Bank is one of the key banks in that. And from here on, we are very clear that we will work with only other banks and not PPBL. PPBL is just one of the various other banks. OCL has already been working with other banks for the last 2 years. And especially when the embargo had come to the payment bank, we had already started to work and accelerated the plan for movement to other banks and other banks have actually already started working with us.

So it is an important thing for me to tell you that we continue to decline and decrease the slant-wise dependency on Paytm Payments Bank, but there is still a significant enough dependency, I would rather say they are. And when we exit the plan and completely moved to other payment bank partners. And remember, these are payments-related relationships, which means all banks have necessary technology and capability already there.

And I'm very happy to tell you that we are generally overwhelmed by the support that we've received from the various banks, large banks of this country and our country and those who are already a partner and more additional large banks have reached out at a very, very senior level to say that they will be very happy to help us and happy to execute relationships that we, in the past, have been doing with Paytm Payments Bank. And we obviously, very clearly, we are going to take that as a step forward and work with current and many more incremental bank partners. Going forward, the key word is that we will not work with Paytm Payments Bank, and that means that other banks will come.

With regard to the direction

of termination of the nodal account of OCL, that is One97 Communications PBSL by Feb 29. OCL, PBSL are already in process of moving the nodal account to other large commercial banks, and that will be done definitely before the due date. And OCL's Marketing and Financial Services businesses, where we market and sell other services to the

consumers are not affected due to these directions. And these directions are over an associate company Paytm Payments Bank Limited.

It is important for me to point out that there will be a requirement to have operational change for the merchant relationships that we have where the merchant has a relationship with Paytm Payments Bank, and those relationships need to be operationally changed and there will be an operational change there.

Overall, I can say that it is-- on behalf of Paytm, I can say that it is more of a big speed bump, but it is something that we believe that with partnership of other banks and capabilities that we have already developed, we'll be able to see through in next few days or quarters as the case would be. So thank you so much. And with this, we'll take the question and answers.

Operator- First question is from Sachin Salgaonkar.

Sachin Salgaonkar- Vijay, I have 3 questions. First question, actually, can you help us and understand what exactly went wrong there? I mean, for some time, we were hearing from you guys that this should get resolved, this should get resolved. But when we look at some of the orders being used of persistent non-compliant, need continued material supervisory concerns, can you help us explain what is something

here RBI is not fully comfortable? And what further needs to be changed from that perspective?

Vijay Shekhar Sharma-In recipient of the same letter that was made public...

Madhur Deora-Sachin, just ask all 3 of your questions then we can answer all at once. Sorry, Vijay.

Vijay Shekhar Sharma-Okay. Yes, that's right. We want to take a lot of questions. So we will suggest that whenever you are asking a question, just put all 3 questions or 2 questions that you are asking.

Sachin Salgaonkar-Got it. Okay. So that was the first question. Second, Madhur, if you could help us understand how to quantify the INR 300 crore to INR 500 crore impact on annual EBITDA, i.e., how much is coming from revenue, how much is from EBITDA? And I presume, this is for this year, right, you are looking for? And third, what Vijay mentioned in the opening remarks, the operational changes, which are needed from a merchant perspective. Just wanted to understand what kind of changes are these and how much time will it take?

Vijay Shekhar Sharma-Okay. Sol'I take the first one, Sachin. As you saw the letter that is publicly sent there, there is another letter that the bank has received. But based on that, I cannot foresee what we did not see or not see. There are obviously RBI beliefs, and we totally are believing of the fact that there is something that RBI would have seen. Have they sent us details? Answer is no. They have not sent us any details. So something that is based on over the period, what different, different audits they would have done and their solutions based on that is the opinion that has come based on. So we don't know the exact nuances, what triggered or any one line item...

Sachin Salgaonkar-Sorry, so how does one get a comfort that RBI should get comfortable going ahead with these changes, right? Because if you are exactly not your--Paytm is not exactly clear in terms of where was--where RBI was not fully convinced, then, I mean, how do you look to fix those issues?

Vijay Shekhar Sharma-Actually, the keyword here is that it is in discussion with Payment Bank and Payment Bank cannot share these facts with, let's say, the parent or shareholders out there. So that's also one of the reasons that we can't discuss this. This is an interaction between the bank and Payment Bank, central bank and payments bank.

Madhur Deora-Sorry. So if I can just clarify, the certain direction, as Vijay said earlier, there's a certain direction that they have given to Payment Payments Bank with respect to their operations. If we are doing a service in partnership with Payment Payments Bank, those services, and will come to your third question, we would go through some operational changes and soon. But like Vijay said, going forward, we would work only with third-party banks, who don't face such issues from the RBI and who also do provide these services to other consumer technology companies as you may--I'm sure you're aware that, that is a pretty standard business model in the industry, where consumer technology companies, such as ours, who have a lot of app traffic, will work on payments products with various large banks, right? In our case, we were doing various things with other banks, but v

arious things also with Payment Payments Bank. And those services would be affected. So that's sort of the Paytm point of view on this about what we need to do going forward.

With respect to your second question, the INR 300 crore to INR 500 crore that we mentioned is the worst case annual EBITDA impact that does not take into account the expectation that we will be able to sort of continue all the businesses that we're dependent on Payment Payment Bank for. There's primarily two lines of businesses that we do.

One is Payment Payments Bank has a wallet. For that wallet, we provide two services. One is that we are the app on which a vast majority of customers come and add money to that wallet. On that, we make some revenue and some profitability. And the second is that we--so we are a payment provider effectively. And the second is that we also offer as a part of our merchant services where we provide payment services to merchants. We--both online and off-line. We also allow those merchants to accept Payment wallet. In those cases, the merchants pay us a revenue and we pay interchange effectively to Payment Payment Bank.

So overall, the worst case EBITDA margin impact of that is INR 300 crore to INR 500 crores. We have called that an annual EBITDA impact. I do expect that over time, we'll be able to offset this in a big way, but we have called that out as it will have an annual impact.

Bhavesh, did you want to take the third question of Sachin?

Bhavesh Gupta-Sure. So Sachin, the operationalization piece is--meanstwo things, basically. So when you are a merchant, you have--a nd it's an offline and online merchant conversation. Sol'I take both of them. But let's start with the offline merchant where you see a Payment QR, which is powered by Payment Payment Bank, right? And now that QR has a VPA, a Virtual Payment Admin of the Payment Payment Bank. So now that QR will have to be changed, the VPA will have to be changed to any other sponsor bank, and we have multiple sponsor banks working with us. While we used to predominantly work in the offline space with Payment Payment Bank, but in the large enterprise merchant space, in the online space, we have other operators in the UPI space, etcetera.

So when we say operationalizing difference, we basically now have to work in making sure that the VPA is changed to another bank. We have multiple options for the banks that we are currently in conversation with. We'll obviously conclude one bank, two banks or a large number of banks to make sure that we are able to do this exercise.

This will be a large exercise. So it will be split into two parts. One, there is a new acquisition, which is much easier, than the new acquisition can immediately start to happen on other bank VPAs, so we decide. So that decision will take in the next may be a week or so because there'll be some commercial involvement, etcetera. And we have proposals to that regard already in the system, so we are evaluating them appropriately. And then there will be discussion on how do we move the existing merchants who are accepting UPI to any other bank or banks. So that discussion will involve

discussions with the regulator, NPCI, etcetera, whether it can be a one time moment or a case-to-case movement. So we have had some discussions, but obviously, they are yet to be concluded formally, and it will take maybe a couple of days more when we have more direction on how we make the migration

Sachin Salgaonkar-Okay. Bhavesh, one small question. Will the terms of VPA with Payment Payments Bank and other banks be materially different and hence expensive for Payment?

Bhavesh Gupta-No, it will be largely similar because the fact is that today, purely from a P2M, there is a UPI incentive component. So we have a commercial on sharing of UPI incentive with the other VPA banks that we have, which is largely in the similar arrangement that we have with Payment Bank.

Operator-Next question is from Viji Jain of Citibank.

Viji Jain-So just a clarification. The first question is on the INR 3 billion to INR 5 billion impact that you're talking about, is that basically assuming the wallet ceases to operate, is that it? Or are you assuming some kind of a smaller size of the wallet business? And does it also include different commercial as you move some of these relationships, including the nodal account to other banks? And related to that, I would just request if you could breakdown your core net payment margins a little better. The 7 to 9 bps a little bit better, so we have a better handle on the

at post these developments. So that's my first question.

My second question would be, if you need to, let's say, shutdown PPBL either because it doesn't take deposits, or has lower reason to exist going forward. Could you take over the Paytm UPI and the Paytm wallet products back into OCL? Are there challenges

with that? If you wanted to do something like that? That's my second question.

And any commentary on the financial services side from your partners post this development? Those are my 3 questions.

Bhavesh Gupta - So Vijit, let me take the questions in the reverse order. So we've been working with our various partners. So our equity broking and our insurance business obviously remains unaffected, because they do this business independently of any relationship that they may have with Paytm Payment Bank. So that business is 100% unaffected.

The lending business has no relationship of any kind with Paytm Payment Bank, other than the fact that there would be merchants, whom they have taken a loan and have their repayments coming from a Paytm Payment Bank account, which is not a very large number, but it would give you a directional number, maybe about 10%, 15% odd merchants on a ballpark number who would have their repayments set up happening from the PPBL bank account, because there they were taking settlements there. There, we have to move their settlement accounts to another bank account that they would like to take the settlements so their repayments can keep coming. And that process is already on.

It's not a very large process, because we have about 400,000 live merchant loans. Even if we take 15% of this, we're talking largely about 60,000-70,000 merchants. And we have a 30,000 sales force on the ground, which is already in the market to make sure that those repayments and the settlement account changes, etcetera, are done on or before 29th of February.

Same is on the personal loans side, there is a much lesser number than 15%, who have their Nache or Auto pay set up through the PPBL account. And hence, they have to be changed at a mandate. That work obviously is also soon. It will not be physical work, but will be done digitally. So we are in the

process of doing that piece. Earlier, the effort was to make sure that they are able to convert their Auto pay into other mandates or with other banks that they have. And that effort has now got amplified further just to make sure that exercising that completely before 29th of February.

Beyond that, there is no operational challenge for the continuation of the lending business. Obviously, the new lending business will not have an option for the user to have a PPBL bank account as their payment bank account. And hence, the new business can continue as it is. Having said that, as expected, because it's a material development in one of our associate companies, each lender has their own set of areas of concern and clarification that they seek from us. We are in the process of discussing and engaging with them on clarifying a lot of nuanced questions like you may have and others have. And so what's the impact on the portfolio, what's the impact on the overall business.

We've been able to answer all those questions and now they have to process those questions and come out with their further incremental questions or call to action. In that time, we have proactively worked with our partners to say till the time we are able to make these operational changes, let's pause the new origination of loans for that period of time. And once we are able to solve the operational things for existing and thenew ones, we restart. So there will be some disruption. And hence, this INR 300 crore to INR 500 crore number that Madhur was saying will have some impact coming in from lending that we will not be originating loans for maybe a couple of weeks before we solve for the operational challenges, and then we go back to normal.

Madhur Deora - Vijit, on the first question, on the INR 300 crore to INR 500 crores, that does assume that the wallet business would shrink dramatically. I don't know if the number is 0, but shrink dramatically, because if customers are not able to add money after February 29, then obviously, that will be depleting balance and very soon, that would be a very small number. So it does assume that. If you look at -- I don't want to get in a huge amount of detail on that payment margin. But if you look at our overall net payment margin, which was about 8 basis points last quarter. And we have roughly 70% UPI, 30% non-UPI. So that gives you a sense of what our non UPI net payment margin is. And I would say that wallet is in line with that.

Vijit Jain - Got it. And my last question was -- and this was related to the wallet business. I'm just trying to understand if the wallet business could also work with a third-party bank. Is that at all possible? And the broader question around, could you take Paytm UPI and Paytm wallet products back into OCL from PPBL?

Bhavesh Gupta - Let me answer those questions. So I don't want to get into a speculative zone because this question is a bit speculative, what happens to the bank, etcetera, because we cur

rently are very focused on making sure that the management of the Paytm Payment Bank is fully in compliance with the direction of the Reserve Bank of India. And once they have executed directions, they then obviously seek the guidance for next steps from there on. So what will happen from there on, etcetera, a bit of a conjecture. So I would not like to go into that space.

But having said that, the idea here is that there are a set of products that Paytm app offers to its users. It includes UPI, wallets, FASTags, NC MC, etc. Some of the products like FASTag are already distributed by Paytm for other banks, right? So that continues to operate in that manner. And commercially, those operations are better than the commercial that the bank could offer just because those other banks are much larger. We will work under the guidance of the regulator, because some of those changes, if we have to now start acquiring or issuing handles for other banks, just like other consumer tech companies do, will need guidance from Reserve Bank of India, and the conversations have started as to how, what is the best way to make sure that the customers are least inconvenienced and the business can continue to proceed forward.

And currently, the conversations are in a positive direction, but they will take some time to get concluded. But we are committed to making sure that we are able to offer alternatives to the customer on the app. Those customers could be Paytm Payment Bank customers, or the customers who either were coming to the app for the services and are getting acquired in the system.

You also had a question about nodal. I think the question on nodal is a fairly simple one. We maintain multiple nodal accounts for various businesses that Paytm and the group entities do with large commercial banks, not just Paytm Payment Bank. We have 3 more banks in which we have already API connect on nodal businesses. All the 3 banks are very interested to make sure that these nodal accounts, which have been instructed to be shut down in Paytm Payment Bank, could be moved to one of those 3 banks.

So we are currently in discussion both commercially and technologically because there are some obligations of the product, looking at the velocity of operations in those accounts, which bank can offer us the best experience and commercials. But both of those decisions will be taken very, very soon, and we'll be able to migrate that account on a commercial basis better than what we have today.

Operator - Next question is from Ankur Rudra of JPMorgan.

Ankur Rudra - Firstly a few questions from my side. First of all, Vijay or Madhur, if you could just may be help us understand how we should or you are interpreting the directions from the regulator? Is this because of the -- I mean, the comments -- do you feel that because of the nature

of the linkages between OCL and PPBL, which were untenable in their minds or because of the inability to comply with the recommendations over the last couple of years? I think that's number one.

Number two, given the direction that you've chosen that you're migrating to other banks, it seems like the way it will be -- Paytm will be structured in many of the services, and will be similar to your fintech competitors. If that is the case, then what do you think will be your competitive advantages compared to your peers going forward?

Number three, you mentioned you will be trying to transition customers on wallet and other prepaid instruments and merchants as well where PPBL was the acquiring bank. The question is do you have adequate time to operationalize this to the other banks, given it's a few weeks to go? And if you can elaborate a little bit in terms of the process on a per consumer or merchant basis, if you have clarity there? Thank you Bhavesh Gupta - Ankur, let me take the third point first. I think I've briefly touched upon that there is the merchant side, the user side is a Paytm Payment Bank ownership. Merchant side is a Paytm aggregation ownership online and offline. Paytm Payment Bank is the acquirer for UPI and wallet and there are other banks who have acquired debit cards, credit cards and net banking. So the part of migration has three legs. One is that you should have a partner bank interested to own up even the UPI acquiring and wallet acquiring. We have enough and more partner banks, who are interested in integrating with Paytm. So that is sorted out.

The second part is, is the commercial in that transaction, similar, better or lower than what we kept today. I can assure you that the commercial is in the similar range that we get from PPBL in some cases better, in some cases a bit lower, but on an average, in a similar range.

Now is the third part. One is that you do account to account migration, which is a bit time consuming and you rightly pointed out that time is short. Other is to do a one time migration. We have obviously started discussions with the relevant authorities, both in RBI and NPCI, etcetera, who are helping us extremely well to see to it that how this migration can happen. And there are precedents in the past where in we have seen that there were disruptions in some other bank, in the past. And these handles were able to get changed or VPA's were able to get changed. But we don't know at this point in time what will be the migration journey. I think we'll have better clarity in a week from today. But we are pursuing both the approaches, and we are very positive to be able to meet the timelines of this migration with these disruptions.

Ankur Rudra - Before you move on, just may be one quick clarification on that point. Will this entail any kind of reacquisition with fresh KYC or can the existing KYCs be transitioned, if that's required? Bhavesh Gupta - Yes. So Ankur, that's the point I'm making. So those are nuances because we are talking about 40 million merchants out here on UPI acquiring, all those merchants also do other acquiring. So it's a large set of migration to happen. So it needs guidance from both the NPCI and RBI and the discussions have started. So what and how will the guide and appropriately guide us, we will see in maybe in some course of time next week. And whatever is the guidance that we get from them, we'll adhere to that guidance. The idea from both the sides from our end and obviously, from the other side is to ensure that there's least disruption to merchants because it's a large infrastructure, where in the people should not get inconvenienced. So we'll do whatever is the best and whatever is the right approach regulatory allowed for this matter.

Vijay Shekhar Sharma - Ankur, your first question was about what kind of reason existed. Can you just reask because I think Bhavesh actually touched upon your first part also. Ankur Rudra - Sure. Sure, Vijay, the question was, do you think the reasons for the comments by the regulator was because of the nature of the business structure of the linkages between OCL and PPBL? Or was it a specific inability to comply with recommendations may be over the last 22 months since this matter came to the light?

Vijay Shekhar Sharma - I think it is a bit of both. There's no doubt about it that the very nature of the payment business is significantly carried by parent Paytm, in this situation, as you just heard us talking about it. So the bank did have dependency on Paytm for some of the payments so offering like wallet, etcetera. And we were able to deliver a lot of comfort, but it seems like, which is the second part that you're asking, that the way we're not completely comfortable. So would say a bit about...

Madhur Deora - Ankur, may be I can just add. I think -- this is sort of underpinning both your first and the second question, which is that by design, a bank has to make its decisions independently. And the relationships between Paytm and Paytm Payments Bank have to historically, whatever relationships we've had, have to go through a thorough harm's length process.

So going to your second question then, yes, some of these partnerships may look very similar to the partnerships that consumer technology companies, technology apps like us have with bank partners, like I said at the beginning of the call, in some cases, we had those partnerships in other banks, in some cases, with Paytm Payments Bank. Those partnerships over time will be with third-party banks, like Vijay mentioned at the beginning of the call.

And the advantage that we have will -- is the advantage that we always have had, which is that we know how to build great technology for our consumers, and we know how to acquire and retain customers and get them to do many, many things on the Paytm app over time. And we have advantages in the merchant side in terms of our product innovation and our distribution and our service and soon. So those are the advantages that Paytm has carried for many years and developed and expanded on. For some of these, we need a bank partner. Like I said, Paytm Payments Bank historically has been a bank partner with some of these products. Going forward, that would be other banks.

Operator - Our next question is from Nitin Aggarwal of Motilal Oswal. Nitin Kumar Aggarwal - So a couple of questions. One is that -- do you think that you will be able to retain most of the merchants that are there on PPBL and seamlessly migrate them to other banks? And the similar question on the consumer side. So is one month going to be sufficient for this migration you think?

Bhavesh Gupta - The idea here is that it is not necessarily something of a retention issue. It is an optionality to be given to the merchant, which currently is Paytm Payment Bank, and we have to switch that to another

bank, right? So as I said in a previous question, we are continuously discussing with stakeholders, which is NPCI, Reserve Bank of India, etcetera that how we can manage the transition in the most seamless manner, right? Once we have the direction from them that yes, you can manage it. Because there is a precedent and there is a process to be able to do that. Then this entire thing is going to happen very, very quickly. And I think we'll have more clarity about this in maybe a week from now. But we are very confident that we'll be able to retain these merchants and the users that we have on our platform.

Vijay Shekhar Sharma - Nitin, I wanted to add here that it has happened in the past in UPI's case that a certain bank had a concern, and then it was to be solved and the relevant stakeholders were able to take a quick decision to get this with continuity to another bank. Because the architecture is made in a way that it is not stuck and locked into that. If it is an inter-portable payment instrument, it is easy to migrate. It is about li

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key you've heard from us, the wallet, where there is a customer, the wallet customer, that is where the discussion is ongoing and we need more clarity. As far as the UPI is concerned, there is a precedent.

Nitin Kumar Aggarwal-Okay. And how difficult is it to move QR codes to another bank?

Vijay Shekhar Sharma-Like I said, there is something that has happened in the past related to moving a significantly large UPI operators bank, and that got done. So there is a precedent for this.

Nitin Kumar Aggarwal-Okay. And these set of INR 300 crore to INR 500 crore that you have talked about, is it a one-time or do you think that is going to be a permanent damage to the EBITDA?

Madhur Deora-We think that--we have said annual EBITDA, Nitin, but we've also said that that's a worst-case situation. So over the next year, this should be INR 300 crore to INR 500 crore hit from where we were going to get to. But we think that in the near term and certainly in the medium term, there'll be a number of offsetting things that we can do to reduce this impact. We have also mentioned that we do expect over time, our profitability to keep improving, because many of the relationships that we have currently with Paytm Payment Bank, they're really solvable through third-party partnerships.

Nitin Kumar Aggarwal-UPI incentive, which we typically get in the fourth quarter. Now we will also get it because we have an underlying Paytm Payments Bank with us. We often hear that most of the fintechs don't get that incentive passed on to them by their banks' partnerships. So do you think that UPI incentive we will lose fully or some part of it, as we migrate to other banks?

Bhavesh Gupta-So Nitin, as I mentioned earlier that we have commercial arrangements with other banks where we get a share of UPI incentive, similar, broadly similar as we use the word, to what Paytm Payment Bank was too offer to Paytm, right? So don't think that we're going to lose anything which is material in this. Yes, there could be a 5%-10% impact, but nothing more than that.

Operator-Next question will go to Suresh Ganapathy.

Suresh Ganapathy-So just wanted to check out of the total nodal accounts that OCL has in the system, what proportion would be with the Paytm Payments Bank and what would be with the other commercial banks as on date, roughly? Just to understand the scale.

Bhavesh Gupta-It's entity and product level. So because Paytm has various accounts for various of its businesses. Paytm Payment Bank has a nodal account for off-line payments and online payments. And there are other banks, who have nodal accounts for, let's say, commerce business or they will have a nodal account for some other lines of business, etcetera, etcetera. The important element there is that when you open any partnership of nodal account for international banking, there is an integration which is needed with that bank for them to be able to service the requirement.

So now for us to move this nodal account, as I said earlier, that we already have a proposal from not just one bank, but multiple banks. And we are now evaluating which is the proposal, which is best for us to move these accounts into that bank and get the operation back in the system. While we have time till the end of the month, but we'll do that much earlier.

Suresh Ganapathy-So in the meanwhile, I would say, I go to a store and make a Paytm QR code payment, can I do? Or it will take some time? It will be blocked for temporarily till the time the transition happens?

Bhavesh Gupta-I just want to give absolute clarity. The system is working, will continue to work as it was working in the past, and it will continue to work. Even when we migrate a nodal account, there is not a process migration. It will just be an API call, which will start to move from a settlement account

to a settlement account, let's say, with X bank or Y bank, and everything else will operate. There'll be no disruption even for a single hour.

Suresh Ganapathy-So you are confident that you can get this done before Feb 29, the deadline, right?

Vijay Shekhar Sharma-Yes, much, much before that.

Bhavesh Gupta-It's a call that we have to take, because we already have a relationship and proposals. And as Vijay has started in this conversation that we are very thankful to our other banking partners, who have been very, very helpful in making sure that the continuation of our businesses that we do with them and expand to what we were doing in PPBL, can be migrated to more than one of our partner banks, and we would obviously try to do with as many partner banks as possible.

So this is purely, I would say, a paper work process, which is not--which is about a few day issue, not a month issue also, but we'll see whatever best has to be done before the end of the deadline.

Vijay Shekhar Sharma-And Suresh, I just want to tell you when Bhavesh is saying, you have to take a decision, it is rather our account, which bank we are opening kind of decision, not any other kind of decision.

Suresh Ganapathy-Okay. And just one last question that I have, in general, about the customer of Paytm itself, right? There were 33 crore wallet users who were housed, of course, in the Paytm Payments Bank, he could use the FASTag. A lot of things you could give it to him and therefore, he loved being with Paytm. Now the question was actually asked, but how will that guy being the overall Paytm ecosystem considering that abruptly things have gone off? So I'll just give you an example today, Vijay, what happened is that one of my colleagues went in a car and using his Paytm wallet tried to make a payment in the Uber. And that Uber driver said don't make payment through Paytm wallet as it may close. A lot of miscommunication is also going on. How do you address these complex situations that you are currently facing?

Vijay Shekhar Sharma-So I'm very happy to tell you, Suresh, that the kind of, let's say, if we were to monitor the wallet usage and the exit of money versus incoming of money, it's not something which is very aberration actually, which is very normal. So these kind of hearsay conjecture. These things, we will continue to focus on communication. And like you said it, a lot of things go end up becoming hearsay. And obviously, till the time we were not able to communicate, we ourselves have to take a decision on stock market communication and soon. So we would become even further aggressive on communication. So more or less, communications would solve for it. If it is a fact that it is a thing they are seeing, it is a thing they are seeing.

Madhur Deora-Suresh, since this morning, we've had and even last night, we've had aggressive communication out to merchants, out to consumers on the app, social and all of that. So yes, it is an issue because there's a lot of sort of things that fly around when something like this happens and then people have misinterpretations and soon. So we are working very aggressively to inform customers and merchants that there's no impact right now.

Suresh Ganapathy-And the ability of the management to retain the consumer in the ecosystem, considering that a lot of products are now temporarily taken away? I mean, will those be challenges.

Vijay Shekhar Sharma-There is no doubt about it that customers love the deep integrated product offering. At the same time, I'm rather going to say that other banks, it is just our partnership with other banks that should be able to bring a lot of it back. That is what I'm trying to say. I mean

an I'm not going to say whether it is easy or tough. But it is definitely not a very complex thing to execute. It is just the method and logical architecture thing.

Operator-Next question is from Manish Shukla of Axis.

Manish Shukla-So firstly, for the 9 months of this financial year, what part of your payment volume was routed through nodal accounts at PPBL?

Bhavesh Gupta-So that number would not be offhand available. But the nodal account, as we said, is for our offline payment business and our online payment business. So predominantly, our P2M GMV that we report gets routed to that nodal account. There could be certain deviation to that GMV, not getting into detail, but that will broadly now be transferred to some other bank in the system.

Manish B. Shukla-Okay. And of the payments of the overall GMV for this year, what proportion would have been from wallets?

Bhavesh Gupta-Very small. I think we've called this out very, very clearly that the wallet is a very important product. Customers love it because of this deep integration with FASTags and the fact that they love to use a product at the merchant level. But it's pure-

play impact to the GMV is very, very small because UPI dominates 75%, cards dominate 15%-17%, etcetera. And then there are some loan instruments, as you know, and then there's the wallet. So it's not a very high GMV-oriented product. But yes, it's a reasonably profitable product because we get MDR and we get add money to wallet charges. So there was a sharing of revenue, which will now get impacted until the time we are able to have an alternative available on the Paytm app for users to either open a new wallet with any other issuer or through the Paytm app and/or migrate these wallets if that is a possibility as per the regulator.

Manish B. Shukla-Last question, so the INR 3 billion to INR 5 billion potential impact that we are talking about, it will be in the merchant MDR line item. Is that the right assumption?

Madhur Deora-So there are two things that we do for wallet. Customers add money into wallet where Paytm provides a payment service through Paytm Payments Bank. And then when customers use this wallet on third-party merchants like large online merchants or offline merchants or QR codes and soon, then Paytm earns MDR and it pays an interchange too. So the first part is our payments that happen on our app and the second part is payments that happen on the merchant website or an app. But all of this will be in payment services revenue that we disclosed, Manish.

Operator-Next question is from Rahul Jain of Dolat Capital.

Rahul Jain-May be it sounds slightly repetitive but just to add up to this thought of INR 3 billion to INR 5 billion kind of a reconciliation. Since we say that our commercial on the payments would be similar, also we ideally would be able to timely move to the alternative so the disruption would be lower on the payments side.

So is it purely coming from not being able to lend for some period of time and gradual impact of that? And also from the wallet perspective, since we may also find wallet partners. So where is the bulk of this math adding up from?

Madhur Deora-Rahul, as we said earlier, this does assume the worst case of if we are not able to migrate the wallet users. And if effectively--I think, Vijit asked this question earlier, which is that if the wallet volumes become really, really small and all the margin that you're making on wallet goes away, then, of course, there will be some corresponding marketing spend and soon, which would also go away offsetting some of the--if you will, net payment margin loss.

But this is the worst case for if you're not able to do any of those things. And then on top of that, it does include some temporary impact potentially on our lending business.

Rahul Jain-Yes. And so when you say worst case, the worst case is INR 5 billion and INR 3 billion is--INR 3 billion is practical? Or is it like both ends of it could--the actual impact would be even lower than this range also?

Madhur Deora-We're keen to get out our range to investors. As you can imagine, I think we released this a few hours after. So it's hard to be very precise because there are certain linkages that if your wallet volume goes down, then there's certain spend that you're doing on promoting certain payment instruments with merchants and soon, which could be savings down the road and soon, right? So it was hard to come up with a very precise number, which is why we said INR 300 crores to INR 500 crores.

And if we are able to work on offsetting the customer experience in a meaningful fashion, then, obviously, the worst case. You should expect, like Bhavesh said earlier, that there will be some initial sort of operational work that we have to do, which may cause some short-term disruption. But we do think that longer term, we should be able to offset a lot of these things and not be in this worst case range.

Rahul Jain-Yes. And the clarification to Bhavesh's remark on the lending business impact. So if essentially, a new loan is given to any consumer or merchant, who may be having PPBL, but also another account, can lending distribution may continue to such prospects?

Bhavesh Gupta-Yes. Rahul, as I said, there are two parts to it. The first part is that we have to operationalize the fact that we have to make a few journey changes where in the dismantling of the bank that you can link your PPBL account, etcetera, has to go out of the journey, right? So that work is already on. The other piece here is that the users and the merchants who come in, they set up their ENACH mandate or Autopay mandate using the sponsored bank as Paytm Payments Bank because it's a UPI or a NPCI service. Now we have multiple integrations, but we have to integrate those integrations over Paytm Payments Bank in our journey.

So there are some operational changes, which will take us maybe a week or 2 to do before we can kick start the new business back again. And then the existing bu-

siness is just about making sure that the people who had set up their mandates from PPBL bank account are able to switch to another bank account, which work has already started. So I think the disruption will be there for a couple of weeks. And to that extent, we will have an EBITD A impact on our lending business. I don't want to shy from saying that. But we are very hopeful that, let's say, by early March, we should be back to full normalcy, if not earlier.

Operator-Thank you so much. We will extend the call by 15 minutes. That is still 4:30. Next question is from Pranav Gundlapalle of Bernstein.

Pranav Gundlapalle-Just a couple of questions. The first is on your card acquiring the POS machines business. How does that change? Is it similar to what is going to happen with your QR merchants or would you be a bit more involved in terms of shifting their current accounts, etcetera? That's the first question.

Second is, once you have the disconnect between Paytm app and PPBL, would there be any loss in the type of insights that you used to get from customers based on the spending, etcetera? And therefore, down the line, does it impact the underwriting or filtering ability of customers?

And the third question is on the switch over to other banking partners. While the economics could be similar, is there a big difference in the

velo integration that you could get with PPBL because it was a related company? And would that lead to any sort of deterioration in experience or any other changes or risk that you see from that shift? Those are the three questions.

Vijay Shekhar Sharma-Pranav, I actually want to take the last question where you were talking about whether we had a special relationship with Paytm Bank or not. That's exactly what we solved in the last two years, and we believe that we not only became arm's length, we became farm's length, meaning we'd rather have a much stronger gap of no data sharing, no data knowledge, etcetera with Paytm Bank actually. So I would say that we don't see that it will be less in any manner whatsoever. That is the word that I want to use, less in any manner whatsoever. So everything else on Paytm works on various other nuances which are there and logically on our platform.

Bhavesh Gupta-And Pranav, for rest of the two questions, there was no data that Paytm was taking and getting from Paytm Payments Bank in the past or in the present. I just want to explicitly clarify that. For any moment in time, a customer who is a customer using wallet or UPI handle of Paytm Payments Bank, the data resides with Paytm Payments Bank, and there were absolutely no information which is available. All the models, be for growth for our insurance business or our lending distribution business or any other thing that we used to do on the Paytm app was were built on insights that are available on the Paytm app data, which regulatorily and legally Paytm is able to consume and have it in the system, right?

So that's point number one. So there is no impact on that piece at all and it has not ever been. To your question on POS machines, I think the migration is absolutely the easiest there because POS machines-- so let me split this for more clarity. So we do online payment gateway business. Online payment gateway business, Paytm Payments Bank only powers former merchants, the UPI handle. But corporate card, debit card, net banking, it is anyway being done with various other banks, large commercial banks in the system. Paytm Payments Bank has no business or no relationship because they are not in that business.

What we have to do for online payment gateway is, which we have already integrated, now start to offer to all merchants, some other bank handle, and that's a very, very quick switch. That's a one day, two days work. Instead of acquiring @ Paytm, now you start acquiring @ xyz, right, in the system. So that is the number one piece on the online gateway. So there is absolutely no disruption happening on the online payment gateway business. It continues to operate in the same manner it was operating earlier.

Now there is a second part, which is the POS machine, as you rightly said. POS machine, again, we acquire POS businesses on behalf of various banks, including Paytm Payments Bank. But each POS machine as a payment aggregator, we do multi-bank acquiring, right? So we have an ability that when you swipe your credit card or debit card, we can acquire that instrument funding source depending upon the right commercial with any bank. So we are a multi-bank acquired by at least 5 or 6 banks on the POS. Paytm Payments Bank is one such acquirer and which anyway is hardly acquired any credit card and does not acquire any debit card, largely acquired wallet and UPI, which again we have to just switch the wallet VPA, which is not very, very complicated.

As I said, the

operationalization of POS migration and online migration is the easiest and simplest. The operationalization for pure play QR merchant is where we are seeking guidance from NPCI, RBI, etcetera, as to what is the most convenient and non-intrusive or obstructive way to be able to do so.

Operator-Next question is from Bhavik Dave of Nippon Mutual Fund.

Bhavik Dave-Perfect. So two, three questions. One is the discussion that we spoke about with various banks that we are in. I'm assuming that you mean are now on wards after the event has taken place, right?

Vijay Shekhar Sharma-Bhavik, this is what I was trying to say in the beginning that we already since last 2 years had started to do this and the dependencies were of certain products that were single bank equal to only Paytm Bank, but most of the payment business actually have become multi-bank and the traffic allocation, etcetera, were different, different. So it's not because that it happened yesterday, we are starting today. It actually has been going on. And that is why I was also saying that our current and potential bank partners proactively reached out to say that you can just continue to do more.

Bhavesh Gupta-And Bhavik, to that extension, I just want to give one explicit example. So that is very, very clear that for the last maybe about 18 months, we have been issuing a very large private bank FASTag through the Paytm app in fairly large quantities, along with Paytm Payments Bank FASTags. And now we have switched to ensure that our customers who are coming to ask for FASTags are only getting that bank's FASTag and we'll add a lot more banks into that capability fairly soon.

Similarly, other products, which Paytm Payments Bank was offering, we have to now start to integrate those products with other banks because they were always an interest, both operationally and commercially from other banks, but we were not very, very keen because it was working fine-- the way it was working. Now with this guidance, we will now start to engage with them and to start to integrate with them.

So it's not, as Vijay said, we will start today. It's been there. We have agreements. We have commercial discussions on most of the businesses. Yes, it will take operational integration and migration time. That will be a minor disruption that we have to go through the process. And hopefully, we can work through the process and make sure the disruption is the least.

Bhavik Dave-Sure. And the second question is on the governance and the compliance bit. Wherein when you look at the Paytm Payments Bank, right, it was a payment bank, not much in terms of business that needed to be done. It was a deposit-taking entity, and there were no loans given out. And it was a very simple business model, yet RBI had to take stern action in terms of compliance. What gives us the comfort or what are we doing to get one step ahead and make ourselves at OCL a little more compliant or highly governed in some sense, so that we don't face any challenge here because that's a regulated entity. So the RBI had direct control. OCL, which is not. But how do we keep ourselves in the thick of things in this sense, how do we keep the governance standard up there so that there's no other disruption that comes in because last week, we saw one more article about the FASTag bid and now this comes through. So how do we keep things crystal clear when it comes to governance and compliance at OCL as well? I would love to hear your thoughts on that.

Vijay Shekhar Sharma-Yes. So Bhavik, one of the most important things that probably happened in 2019 as a Board and I, when we were having a discussion decided that we would augment the compliance and risk capability of the organization dramatically. If you know, when I was a Group Compliance Officer position, which is filled by a very able, capable team mate. And then earlier, it used to be that independent teams used to have their own compliance methods and sort of their own business leader reporting, but now we have an oversight on the group compliance.

In fact, I'm very happy to tell you about the amount of work that we've done in Payment Bank, although it has not achieved the fruitful result like you and I are seeing today. But again, we are telling you that there is a dramatic improvement wherein one of the internal-- one of the audits from the regulator, it actually was said that we have seen material improvements. And that it was very humbling for me to hear, and there were many nice and positive words in different, different conversations. I do want to tell you that also.

Sowedidlookatcomplianceasacorebusinessmodelapproachinsteadofinlayeringas an addition. The important thing for us to remember is that if we don't make compliance and risk a core part of the business, then it does not become the big

business that we ambition-wise carry. And that is why when you look at risk management also, credit risk or fraud risk or every other thing, we've built lot of technology and capabilities, and that is why you saw even though those personal loans and payment traffic growing and our fraud ratio dramatically reduced, our operational risks systems and capability dramatically improved.

So I'm very proud to say that today, the technology stack that we have for operational risk and compliance is actually the world class, except like what we have seen today is what is very sad and bad that we have this kind of outcome, which we still facing, but as far as group is concerned, as well the entity is concerned, we look at now compliance first, technology second approach.

Bhavik Dave - Sure. And last question is with seeing that almost 80% in this sense, the payment business now gets impacted, which was not earlier, and we had already seen lending business getting slower considering the macro environment, how do we look at costs, right? And that's one lever which can maybe control the loss of EBITDA or profitability that we are seeing for FY25, FY26.

How do we think about cost in the entire scheme of things? Do we think about cost more now because of this event as well because there are a lot of many things that are going around and revenues are challenged in a material way? Do we continue to spend the way we were and invest in the business to create maybe new channels of growth? How are you going to balance this eventually over the next couple of years, is what I want to understand?

Vijay Shekhar Sharma - The best part is, Bhavik, that we don't have new incremental channel to be discovered or, let's say, risky market in goods sales dollar to be pushed on those. So we are sort of clear about what our sales and marketing spends are. Those are actually very capped and soon. So overall, when we reduce the number of things that we do, we see dramatic improvement in the cost. And that is the first approach that we have taken since the listing, and we continue to prune the number of things that we do.

So what it brings is actually, like in a derivative way, what we said is going to happen, that there will be a better cost advantage. We always had more people to do fewer things forward-looking also, but now we will do it with partners. So much less cost.

Madhur Deora - Bhavesh, you may have seen this sort of duality from us over the last two or three quarters and very, very specifically in the last quarter that we think that there's massive EBITDA expansion opportunity for us out of operating leverage because the indirect costs, in particular, while we have attention on direct costs as well, of course. But indirect costs, in particular, the growth of that should slow down very dramatically. And we have talked about various factors. Vijay just mentioned one. We have talked about the role of AI, where we have to say we are very early adopters of this in the Indian context and may be even global context.

And we are seeing just a huge amount of efficiency and productivity improvements across the board. And in addition to that, just a very sharp focus and discipline on costs because the scale at which we do things now, improving our processes, improving our efficiency can have a very meaningful impact. So that is an area of a huge amount of attention even before this. And if this has revenue pressure, then we would also obviously, will look at the cost once again.

Operator - Next question is from Preethi R of UTI Mutual Fund.

Preethi R - Some question is basically on the solution that you're offering with the migration to other banks, will that resolve the problem from regulators point of view. Without addressing the issue at PPBL. So the response to the compliance lapses I think are not satisfactory. That's the root of the problem. Is it on data storage, KYC tech dependency? It is an associate company, and it's -- and if the MD could be on this call, if they could address what exactly is the issue because RBI possibly view OCL and PPBL together as one entity and they could, of course, send out a dispatch on PPBL since it's RBI. So could you please elaborate on that either on this call or if there's another platform? I think we definitely need an answer from them.

Bhavesh Gupta - No, I think it was addressed to you. But Preethi, I can take a stab at this question that you asked from the bank point of view. So the difference, we today work with other large financial institutions, be it mutual funds, insurance companies, lending banks, lending NBFCs, etcetera, in a very, very compliant and robust manner. And I just want to say that we've been very cautious, both as a DNA that we've built over the last couple of years and for the learning of the associate engagement that we have of Paytm Payments Bank.

And what is the approach regulator expects from a company of our size and scale as to how should we be managing the regulatory products.

So in that spirit, when we engage with other banks, we feel very, very confident that part of solutioning of how we want to operate to other banks, products that we currently are taking on Paytm Payments Bank. And I'll just give you an example of Paytm FASTags or we do credit card or we do loans, etcetera, etcetera, is very well established.

The challenge of what we understand thus far is very clearly articulated for that the bank in its conduct on variety of elements, being a young bank at the beginning and then obviously growing in very large size and scale, wasn't able to satisfy the size either to the regulator or the controls, be it on technology or in compliance, to as much satisfaction that the regulator may be seeking. That's our understanding of that. And obviously, there are a lot more details available with the bank.

And as and when we can get reviewed to those details, we'll be more than happy to have a discussion with you. But we have always maintained at OCL that we would like to operate with a regulated partner on the way they want to regulate and operate the business, not the way we operate the business. And hence, our all other partnerships that we do with other banks and NBFCs or broking companies, etcetera, have been very, very successful, and we'll feel confident that will continue to happen. And we will learn from this.

I don't want to say that there is zero learning from this process. We learn from this. We are continuously engaging with the regulator and other well-wishers and other stakeholders in the system of how these things could have been done better and it should be done better. And in that entire process, making our entire company far stronger and far more compliant so that we do not have any situation ever in the future.

Vijay Shekhar Sharma - Preethi, I've always learnt from these interactions and notices of regulator that there is a lot better that we could do. And definitely, the growth of the bank was one of the factors with respect to the various risk and control compliance method that it had put in place. That is the beginning of the conversation was. And I'm happy to tell you that based on that very factor, we changed the management, not just in the bank, but also in the Paytm and various other relationships that we have with our financial institutions also are based on these kind of insights that we were actually able to handle.

I definitely want to tell you there is a learning and lesson in this and all other interactions that we've had. And we will not let it go without getting that learning and lesson imbibed completely into it. This is an opportunity for us to come stronger, better, able and capable for regulators size, and we believe that we are going to make sure that everything else apart, this is the game that we get out of it. And you can be very sure that

when we look at ourselves in the future and look at this event, we will see it as the event that made us superior and better than anyone else in the industry.

Madhur Deora- I just want to address one point, Preethi. I think there is-- there may be this impression that Paytm and Paytm Payments Bank is one. But by design and by structure, it is not and it cannot be. First of all, it's an associate company and second is not an associate company in the

sense that it's a bank. And first and foremost for a bank is that it has to follow the governance that a bank is supposed to follow, which is to say that it has to have its independent management team, which reports to the Board as the matter that has to go to the committees of the Board where it can only be the independent directors.

It has to also have independent compliance and risk teams and so on. So yes, there might be that impression. I'm not saying that, that may or may not happen. But by design and by structure and by reality, it just does not function like that and cannot function like that. If one did try to make it function like that, I think you are really in a bigger problem because you are breaching the spirit of governance of how a bank should be governed.

So hopefully, there's acknowledgment of that. It is a tricky situation in that sense because an associate of yours has to make independent decisions. But if those decisions and those actions then are found to be incomplete or wanting from the regulator, and obviously, it has reputational risk on all of us.

Preethi RS- So that was the only question I had, but we would definitely want to hear from your associate company on this matter because overnight has become so material to the company, right?

Operator- Next question is from Jayant Kharote of Jefferies.

Jayant Kharote- First question is on the nodal account for merchant payments moving to other

banks. So does this affect the product or user experience for the merchants in any manner? Like, I know we are perhaps the best on funds settlement time early morning, 8 a.m. So more qualitatively, would you be able to replicate the same product experience for the merchants? That's the first question.

And second question is, if I understood correctly, most of the immediate operational transitions can be solved digitally or are B2B in nature. And there is some physical effort needed like when you called out on the 60,000-odd merchant loans. So I mean, we do have a capable 30,000 employee force. Do you want to call out any other areas in the next 1 month where you think you'll need sort of a slightly intense physical effort? These are the two questions.

Bhavesh Gupta- Yes. So Jayant, the nodal account decision, as I said, is exactly hinging on the point that you raised out and thank you for bringing the detailed nuance and understanding of the product. That's today the ability of the current nodal technology backed by Paytm Payments Bank has a lot of flexibility, etcetera, etcetera. It's not to say that, that is very unique to it.

It needs to be assessed appropriately by just technically and the teams are on it with 2 or 3 large banks to just test it out that it works in a manner we want it to work. And that's the reason we're reseeking, it may take a week or 10 days for us before we announce the decision to move to which bank, etcetera, because that's a technical feasibility going on. But it is not something which is very complex. We know what product is available, and we will, I would say, 99% get the similar product because banks are very, very keen to develop something further on top of what they have just to accommodate this massive opportunity that they could get because of a huge float in that account.

To your other piece on physical force, so yes, I gave you one nuance of the lending business. But wherever there are merchants who have PPBL as their settlement bank account, they have a DIY flow on the app who are being nudged that you can now go and make a change of the settlement bank account from PPBL to some other bank that you have because we know that they have multiple bank accounts.

And only the ones who don't do it, let's say, through digital effort, even after multiple reminders, will need a physical interaction for which we have a large sales force, which we'll any ways do it so that the merchant keeps getting the settlement in the bank account that they like. But it is more at the merchant end that they would not want a settlement to get stopped after 29th February. So they will need to have an active bank account available to them, and we are making sure that we're able to do it digitally, some bit of physicality will get involved, but it's not a complex task. We'll be able to do that in maybe about 10 days.

Jayant Kharote- And this is only for the 6 lakh odd merchants that are there on PPBL of our total 4 crore base?

Bhavesh Gupta- No. So it is on a 4 crore base. Obviously, the activation of this 4 crore is less than 4 crores. And off that base, I can give you a broad sense, maybe about 12%, 13%, maybe 15% of them have a settlement account as PPBL, which will have to now change to any other bank account the merchant carries. So yes, it is a math which is not materially large, but it is large, but not materially large. Most of it is being done DIY because merchants do change their bank accounts naturally also, and they can do it on the app with a simple log-in process.

But if they fail to do so in the time that we are stipulating which is around 15th or 20th of this month, then we obviously will have a physical nudge to make that happen.

Operator- Next question is from Sumeet Kariwala of Morgan Stanley.

Sumeet Kariwala- I had two questions. The first question is on the wallet business as you try to restart and you try to tie up with some other bank to offer wallet-related services. How will that work? Will you need a PPI license because I understand the current PPI license is with Paytm Payments Bank? And can you run that business without a PPI license as a distributor of a wallet product for a particular bank?

And if you can do that, how will the economics change and soon? So just trying to get some clarity, as you try to restart this business, can you-- and if you restart this day, for example, 1 year down the line, can this entire INR 300 crore EBITDA impact be pulled back?

Bhavesh Gupta- So Sumeet, let me clarify. Yes, you're right. PPI license is of Paytm Payments Bank and then there is a wallet on top of it, right? Now there are two parts to the answer. One part there is, any ways Paytm Payments Bank was barred from issuing new wallet for the last 2 years. So even on the Paytm app, we had not switched on an option for user to come in, sign up on a new wallet of any other third party PPI issuer

or a bank, right?

So now the intention here is that we will now start issuing other PPI wallets of any other issuer through the app as a new wallet, right? And the commercial will largely be similar because it's an interchange defined by the NPCI and there is an add money charge defined by the payment aggregator. So there is no commercial change per se in that part. But obviously, it will be a new acquisition.

On the existing wallets that the bank has, the bank will have to find out a way as to how that process of fringing-fencing those users can be. And then at conversations bank will do by itself hopefully with the regulator as the time goes by so as to ensure that the least disruption to people who've been using the wallet of Paytm Payments Bank can they be given an option to switch over to any other bank with least disruption, right?

And if there is a facilitation Paytm can provide, we'll obviously participate. But our current focus is to ensure that we are able to switch on new acquisition of wallets like we have done for FASTags and new acquisition of handles, etcetera, etcetera, while the migration of existing will need direction from RBI and the work the bank will have to do with them and whatever facilitation Paytm can provide, we would obviously participate in that journey.

Sumeet Kariwala - Very clear. And some data-related clarification. So you've given the impact on EBITDA in estimated number, worst-case number. If I were to try and back calculate this at the revenue level, I was making some assumptions. Will it be fine to assume that 15% to 20% of the payment-related revenues are getting impacted over here?

Madhur Deora - No, it would be lower than that, Sumeet. So I like we mentioned that if you think about this number and if you think about -- and these are all sort of somewhat preliminary, although we feel confident of the range, but just to talk about how we get to that math, if you talk about this number and then you say, okay, then net payment margin impact should be slightly higher than this because whatever the net payment margin impact is will be offset by some other savings in marketing and cashback and soon. So the net payment margin impact will be somewhat higher than this. And like I mentioned earlier, our net payment margin for non-UPI is in the 25 to 30 bps ZIP code and wallet it is also in that ZIP code. So that's show you sort of get to the revenue number, sorry, the GMV number.

Sumeet Kariwala - Very helpful and one last more question. Any potential thought on how the MTU might get impacted like 3, 4 months down the line, or you don't think there'll be a dramatic change to that number because UPI is driving a lot of stuff over there?

Bhavesh Gupta - No, Sumeet, the MTU number is based on both the fact that customers can come on the Paytm app and do UPI transaction. Wallet was a very, very small subset of MTU, as you know. 97%, 98% of the transactions people will do preliminary will be UPI-led. So as we find a solution to migrate @Paytm, which is powered to Paytm Payments Bank to any other issuer of that handle, we don't see that there is going to be any material impact on the MTU. And more importantly is that we then start to grow from there on because of the embargo, the bank could not offer certain products.

And because of our partnership expansion with other banks who could offer all the products, maybe in a 6-month period from today, we will be in a position to not only regain what we may end up losing for the next maybe couple of months but start to grow further more because of new acquisition opportunities that will emerge, which was not there for the last 2 years because we were working on some products with PPB L.

Madhur Deora - Just to give you one illustration, for example, on FASTags. After the embargo, we did start partnership with one other bank, and that has been very successful. Of course, it is a win-win partnership. It is beneficial for Paytm and it's beneficial for our bank partner. So these sort of things can also be done for other products.

Operator - That was our last question for today. Thank you, participants for joining the call. You may now disconnect the line. Thank you so much.

Call: May 2024

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May 28, 2024

BSE Limited

Department of Corporate Services

Phiroze Jeejeebhoy Towers, Dalal Street, Fort,

Mumbai - 400 001

Scrip Code: 543396 National Stock Exchange of India Limited

The Listing Department

Exchange Plaza ,

Bandra Kurla Complex,

Mumbai - 400 051

Symbol: PAYTM

Sub. : Disclosure under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 - Transcript of the earnings conference call conducted on May 22, 2024

Dear Sir / Ma'am,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings conference call, conducted on May 22, 2024, on financial results of the Company for the quarter and year ended March 31, 2024.

The transcript is also available on the website of the Company at <https://ir.paytm.com/financial-results>.

Kindly take the same on record.

Thanking you

Yours Sincerely,

For One 97 Communications Limited

Sunil Kumar Bansal

Company Secretary & Compliance Officer

Encl. as Above

Paytm|Q4 FY 24 Earnings Call|

Call Date: May 22, 2024 | Time: 16:00 PM Indian Standard Time

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M o d e r a t o r : Thank you for joining and welcome to Paytm's earnings call to discuss financial results for the quarter ended and financial year ended 31st of March 2024. From Paytm's management we have Mr. Vijay Shekhar Sharma, Founder and CEO, Mr. Madhur Deora, President and Group CFO, and Mr. Anuj Mittal, Senior Vice-President, Investor Relations. A few standard announcements before we begin. This call is for existing shareholders of Paytm and potential investors and research analysts. This call is not meant for the media. If any media representatives are on this call, request you to kindly drop off at this point. The information to be presented and discussed here should not be recorded, reproduced or redistributed in any manner. Some statements made today may be forward-looking in nature. Actual events may differ materially from those anticipated in such

forward-looking statements. Finally, this call is scheduled for 60 minutes. It will have a presentation by the management, followed by a Q&A. With this, we'll start the call. I request Mr. Vijay Shekhar Sharma to kindly initiate the call. Over to you, Vijay.

M r . V i j a y S h e k h a r S h a r m a : Thank you, Pranav. Hello, good evening, everybody. Thank you for joining us in this quarter's earnings call. As you are aware, the last three months have been quite a roller coaster in the journey of Paytm. We learned a lot of four lessons. We learned how to become better and resilient. We also resolved ourselves to be fully compliant according to regulators' expectations in letter and in spirit. And I'm very happy to see that our results are indicating that.

Expectedly, the February and March months were very, very uncomfortable for us. At the same time, they were filled with a lot of lessons for long-term sustainability and growth of the company. In fact, I'm very happy to tell you, you might have read the earnings release that sort of four worst is behind us in terms of consumers and merchants and few line items of businesses that we, first of all, were proactively able to stop or pause or sort of reduce, we now have started to come back to those line items of businesses and started to build a large revenue and profit-centric company in the long term.

Many of our teammates, these days, have been going through the test of time, lessons and learning of life where they have learned what we needed to do and what we have been able to do. In fact, I can say that as Paytmers, I couldn't be more proud of each of our teammates' commitment. In this quarter, we have two months of impact on the business. Still, we have the performance at the annual level, which is better than last year and we remain committed to grow sustainably with focus on profits, with focus on the core of the business, which is payment business and cross-selling of financial services business.

Overall, it is important to note that as Paytm, we were committed to building India's financial economy and contributing towards our country's financial inclusion. We will remain aligned to our regulators and our government's mission to digitize and formalize the financial economy. With this, I give my teammate Madhur this slide. Then we will talk about a few Q&As and the way forward. Thank you.

M r . M a d h u r D e o r a : Thank you, Vijay. And welcome, everyone. And thank you for joining the earnings call. Just to hit on a few key points and then spend enough time on Q&A. For the full year results, we achieved the first full year of EBITDA profitability since IPO at Rs 559 crores. Our revenue was close to 10,000 crores with growth across the three businesses on a year-on-year basis. Our contribution profit was Rs 5,500 crores and at 56%. And like we said, EBITDA, including UPI incentive was Rs 559 crores, a margin of 6%. So, all of this is evidence to say that we have significant momentum all through the year and we are outperforming every

metric from the previous year and frankly some of our internal estimates as well. Obviously, as Vijay mentioned, starting February and March this year, we started to see an impact on our business.

For the quarter, we did see a revenue drop of Rs 2,267 crores. This was a decline on a quarter-on-quarter basis. Normally, there is some festive impact but obviously most of this impact, the vast majority of it rather, was due to the transition that we needed to do starting February 1, this year. Our contribution profit also declined to Rs 1288 crores, flatish on last year, including UPI incentive and 57% margin. Our EBITDA before ESOP was Rs 103 crores. As we mentioned earlier, we got Rs 288 crores of UPI incentive, which is over a 50% growth from previous year, including some UPI incentive that we get from our new partner banks.

A little bit of a deep dive on our business. Our merchant business has started to grow in April and May. Our MTU has stabilized in the month of May. Our MTU is down 24% as compared to January.

April was the worst and May has now started to stabilize at least on a daily transacting user basis and we expect this to stay stable. Our MTU growth will come only when we get the new TPAP user onboarding commencement from NPCI. On the device side, we have started acquisition of new merchants and are focusing on activation of inactive merchants. As you would imagine, during February and March, we did see a reduction in our active merchant base as we were pending migration to our partner banks. The active base declined by 10 lakhs. So, roughly about 10% of our overall merchants did become inactive. This was due to higher attrition in February and March and also because we were not doing new merchant addition, which normally would offset at least the regular attrition as well as show an increase in numbers. We're mainly very, very committed to the subscription device merchants and that business. We continue to innovate and launch newer devices with improved features. A couple of them are on the cover of this presentation.

On our Payments GMV, we have slightly better new store report. The business has come off its worst. 12% of our GMV was coming from businesses which are currently discontinued or disrupted. This also includes the services that we were redistributing for Paytm Payments Bank, such as Wallet and Banking, but also other places we're going to put in view. Excluding that, we are down 6% compared to January and we're about 3 to 4% higher than the March lows. So, we do expect this to continue to show uptick from here on.

On payments services in terms of a little bit of outlook, just to calibrate everyone, the business now becomes primarily about focusing on UPI, which is 80 to 85% of our GMV, card processing and EMI payments processing. So, consumers are effectively in India paying merchants using these three instruments. And of course, as we have customers on our app as well as merchants for whom we provide payment processing services. Our GMV was down a little bit like we mentioned earlier, upon a year-on-year basis. Merchant subscription, this is a device pace. Our net payment margin is impacted. So, Rs 748 crore excluding UPI incentive became Rs 565 crore and Rs 853 crore including UPI incentive. As I mentioned earlier, the business is about UPI, debit and credit cards and EMI.

I just want to remind everyone on the business model. So, for bank-to-bank UPI merchant payments, we don't earn an MDR from the merchant, but we do receive a subvention of the government, which is the UPI incentive that we talked about. There are other instruments where we earn MDR from merchants including certain instruments that work on the UPI rails, such as UPI credit card, credit overdraft and soon. And I'm sure there'll be more innovation going forward as well as debit and credit card processing and EMI aggregation. So, that's where we earn a higher payment processing margin and also on bank-to-bank UPI we earn a subvention from the government.

Our outlook on payment processing margin is expected to be 5 to 6 basis points including UPI incentive. We have elaborated on this in the earnings release that just the way the quarterly numbers work, we expect this to be in the 3 to 3.5 basis points range on a quarterly basis and including UPI incentive to be 5 to 6 basis points. And the last 2 years pattern is that UPI incentive comes toward the end of the financial year, usually in the fourth quarter.

I've already talked about merchant deactivation or inactive base which we are focusing on reactivating and obviously adding new merchants as well. Due to a certain number of merchants going inactive, our subscription per device on an overall deployed basis, the 107 lakh number that we shared, has gone down. We expect that to now go up. Obviously, this always

remains subject to market forces and competitive dynamics. We expect net additions in terms of device merchant to come back to past trends by Q3.

On financial services as we have mentioned starting in December, on the personal loans side, the vast majority of our focus has shifted to the distribution-led model for personal loans. This is a new opportunity that we saw where we have scaled up business where for lenders, we do distribution-only and lenders are responsible for collections. We do not provide collection services on this. This combined with the fact that we are extremely cautious on personal loans with collections means that the vast majority of our business is right now and going forward, at least in the near future, is expected to come from a distribution-only model for personal loans.

Our taker rate overall has gone up a little bit as we had mentioned earlier that Postpaid had slightly lower taker rates. With the mix changing more and more towards personal loans and merchant loans, our overall taker rates have gone up a little bit. Given that we are going to focus on distribution-only loans and at least at this point the credit cycle will be really selective on focusing on prime and super prime customers, there might be a slight compression in our taker rates and we are overall saying we should settle this at 3-3.5%.

We are expanding our focus into insurance broking as we have mentioned over the last couple of quarters. This is focused on being extremely product-led, so embedded insurance and DIY products. So, the vast majority of our effort goes into building the best-in-class DIY products for our consumers. One equity broking, two separate pieces of business. One is to have a great platform for equity trading and F&O trading, which is Paytm Money. We are also expanding distribution of mutual funds where we see strong tailwinds in terms of participation in the equity markets by retail investors. Here are key focuses on SIPs where we think we can expand the financial inclusion towards wealth management products.

Just to double click on that a little bit, on the consumer loans, we are expanding on different types of distribution-only loans where we earn no distribution fees and we have paused small personal loans and Postpaid loans as we had mentioned earlier where we were helping partners with collection, so earn distribution and collection bonus. On merchant loans, our continued focus remains on merchant loans where we deal with collections because these are existing payment merchants of Paytm who are receiving lots of money using Paytm everyday. So, that remains the core focus.

We are starting to see some opportunities and starting to do some pilots on different types of other business loans. These are, for example, I argue ticket loans where we are only doing distribution. So, that's another part of the business. As you can see on the right-hand side, we have given you monthly data just so that you can see where the trend lines of the business have been during this period of transition in February, March and April. So, in January we had done Rs 3,300 crore of total disbursements. Rs 720 crore of that was Postpaid. Like I mentioned, that is paused. Rs 1,393 crore of personal loans included both models, distribution-only and distribution plus collection. In February, March and April all of these numbers are on a distribution-only model and in merchant loans we had done about Rs 1,100 crore. Broadly paused that in February and now we are starting to see significant scale up in that close to back to previous levels.

Marketing services is a high margin business for us which is an upsell on our payments consumer base and this consists of travel, advertising and credit cards largely. Travel and advertising revenues have been impacted due to lower MTUs during this period compared to the previous period. As we see stabilization and growth in our customer base, we should see this business scale up again.

We also wanted to share some of the financial impact. So, we have broadly broken it up into three buckets. The big picture is that last quarter there were obviously a bunch of moving parts and some

of them affected us earlier in the quarter and some of them affected us later in the quarter. So, the full EBITDA impact, effectively the full quarter impact will only be felt in Q1 and we do start to expect meaningful recovery from that in Q2 because we mentioned a number of things are temporary and we can restart.

So, to begin with, the first is as we had mentioned I think it was January 31st to February 1st that on account of a embargo on the PPBL product specifically inability for customers to add money to wallet and PPBL bank accounts there is an EBITDA impact to Paytm as a distributor of those services and for others serving

us that we provided to PPBL of about Rs 500 crore on an annual basis. We had given a range of Rs 300 to 500 crore, we think we're going to be at the higher end of that range unfortunately.

So, most of this impact will start from Q1 because for the vast majority of Q4 we were offering these services although on a slightly smaller scale but the volumes were more or less intact. The second impact is like we mentioned our MTUs have gone down and a number of active merchants have gone down because of this in Q1 we expect incremental EBITDA impact of Rs 100 to 150 crore as we get more consumers and more merchants on the platform we should see recovery from this EBITDA impact. We also mentioned that we have, in line with certain prudent measures that we have taken, during this period of transition, and in line with certain regulatory guidances, we have paused certain

businesses in Q4, the full quarter EBITDA impact of that would be an incremental Rs 75 to 100 crores according to our estimates and again here we expect the recovery starting in Q2.

So, overall, we expect Q1 to be, like I said, the full quarter impact of this if you add up all of these incremental impacts then we come currently we're doing about Rs 180 crores of negative EBITDA before UPI incentive and obviously, we're not expecting UPI incentive in Q1, hence if we add up all of this impact we expect Q1 to be Rs 500 to 600 crores. This includes investment in marketing in February and March of last quarter we effectively paused most user growth marketing. We have restarted that so if you include that impact as well, we expect Rs 500 to 600 crores. And we're confident of meaningful movement from this number in Q2 and onwards and the reason for that is that certain products which have been paused, some have already restarted, some we expect to restart very soon and we're also achieving steady growth in operating metrics.

We have put a bunch of commentary in the earnings release about how we're looking at cost. There is an opportunity for us to create a much leaner organization structure, in line with some of the revenue and profitability impact that we have had. We're very conscious about the fact that we need to look at every cost. Our largest indirect cost is of course people cost and we're re-expecting annualized people cost savings of Rs 400 to 500 crores, going forward. I'll turn it back to Vijay to talk about our focus areas going forward.

M r . V i j a y S h e k h a r S h a r m a : As I said our attention to governance, compliance remains prime attention in next few quarters, so you expect us to do more independent board members and subject matter expert on our subsidiaries and associates and on parent board and you also expect us to drive lot of internal overhaul or reviewing the workflow processes that we are looking at. Important to note that we are committed to our payments business as core payment business driving on recovering on consumer and merchant base that's important thing that's our core moat.

We will continue to invest in the sales team or marketing to drive our due market share or customer count on both merchant and consumer side and the cross selling wise we are very clear we've seen it works. The cross sell is done using the financial services distribution model, obviously we have seen how we have pivoted on our loan business from collection-centric approach to distribution-only, while on merchant side the distribution plus collection works out great so we'll continue to expand on that and disbursements of insurance and equity mutual fund products. It is important to know that we are looking at our cost structures on the business line items so that we can prune our non-core assets and we can create a leaner organization focused on profitability. Thank you.

M r . M a d h u R D e o r a : Yeah, we can open it up to questions.

M o d e r a t o r : Thank you. First question we'll take from Alok Srivastava from UBS. Alok you may please go ahead.

M r . A l o k S r i v a s t a v a : So, I was asking what is the view on the marketing services business because in the earnings release as well as your comments on the call there is no mention of the marketing services business and there is also a mention of pruning of non-core businesses. So, I just want to understand that going forward what is going to happen in that business because you have been mentioning payment score and distribution of cross sell of financial products.

M r . V i j a y S h e k h a r S h a r m a : Oh, Alok the key reason that we did not mention much about was that we saw lesser consumer base and that is why our growth or then numbers were flat as far as the marketing services to merchant is concerned, that remains a re-orientation of solidifying relationship with merchant and that

continues as a focus. We have done a good job of integrating, creating merchant opportunities where we offer advertising, we offer marketing, we offer APIs-led structure where we have consumer ticketing, travel, etc. So, the intention of this messaging was that we are not losing focus and sight from our core which is payment cross sell financial services. Marketing services, we more or less see as a support to the payment business and that is the reason that we didn't mention much, but you could see that numbers are good and have more or less not dropped significantly.

M r . A l o k S r i v a s t a v a : Okay, fair. So, what exactly is non-core Vijay when you are saying pruning of non-core businesses?

M r . V i j a y S h e k h a r S h a r m a : So, internally we were running many projects including let's say cross-border payments and we don't need to do that now. We were running a lot of products which were useful for various bank partners like software service to bank etc. So, we are trying to find out whether those businesses, if you notice our cost structure of overall engineering and technology people etc. have been larger than what a pure payment company would have had. So, these are those kind of items.

M r . A l o k S r i v a s t a v a : Okay, got it. These second one is do you have any update on the payment aggregator license that you haven't got so far and do you see any risk that your existing customer base could also be impacted at some point in time? Can RBI say that the government has not given approval and we have reached a point where the existing customers also will have to be given up. Do you have any update on that and also if you could let us know if over the last three months you have lost any of the big online payments' customers?

M r . V i j a y S h e k h a r S h a r m a (2 6 : 0 4 m i n s) : So, first of all, the RBI has a variable approval, sort of that, inform us in 15 days of getting feedback from the government. So, there is no delta of how long it is or not in more or less. So, we don't foresee that as a risk there. As of the approval, it is inter-ministerial committee meetings. I think it was due or will be due once the government gets formed. I can't comment about when it will be done or soon. So, that is why we are in a waiting state. As for losing any online merchants, now we did not lose any. We have actually focused on deepening relationships by farming relationships. So, practically speaking, I can share that there are revenues from online merchant that have grown on a product to product basis. Obviously, our revenues included other payment instruments like Postpaid etc that we used to have which we have paused. So, that part of revenue if we don't account for, then like to like basis, our revenues from our online merchant have increased.

M r . A l o k S r i v a s t a v a : Okay, fair. I just have one more, on your guidance of, 3 to 3.5 basis points NPM (ex of UPI incentives), your UPI incentives were roughly one and a half basis point in FY24. And when you look at government allocation to UPI incentive, that number is growing at a slower pace versus the growth of overall UPI 2MGMV. So, incrementally in FY25, when you are likely to lose market share, maybe I'm finding it difficult to understand how you will get two basis points when this year you did one and a half. So, shouldn't it be, unless I'm missing something, shouldn't it be more like a four to five basis points kind of a guidance for NPM?

M r . M a d h u R D e o r a : Yeah. So, just a couple of clarifications. The incentive scheme this year was very, very similar to the incentives in the last year, in terms of how they think about industry and non-industry teams, group of merchants and what the incentives were to the acquiring banks. So, it was very similar. As you saw, we got a number which was slightly more than 50% more than the previous year. So, that's the first point. Second on acquiring GMV. Of course, we have not seen a few months of growth, but it's more or less back to especially UPI acquiring is more or less back in fact, probably about flat to January. So, yes, we haven't had the growth that we would have otherwise had from January to April. But our acquiring numbers including on UPI is very strong.

The third purely, UPI was previously 70% of our GMV. And now it is going to be 80 to 85% of our GMV. So, that has a little bit of a blending impact

act as well. And finally, while overall, our UPI incentives sharing with partners is similar to what we had with Paytm Payments Bank, there are some small nuanced differences. And the final point is that Paytm is now a TPAP. So, there's a small amount of money that the TPAP gets, which we will also get going forward.

M r . V i j a y S h e k h a r S h a r m a : I think, Alok, overall, I also want to tell you that UPI

is headed towards MDR. If you notice the indication of different payment instruments that have come on UPI, for example, like RuPay on UPI for Rs 2000 rupees plus payments, MDR is charged to the merchant. Credit on UPI also is very clearly out there with the charging to the merchant and then prepaid on UPI is also charging towards the merchant. And if you notice, the regulator has brought three different buckets of merchants, small merchant, mid-sized merchant, large sized merchant. In my opinion, while the government incentives are, like you said, may not be growing in the same ratio as UPI is growing. But at the same point of time, the percentage growth of UPI in itself is not very, very large as a volume, but on other instruments, which are MDR worthy. So, we don't see that there is a reason for it not to be in the fivebps range.

M r . A l o k S r i v a s t a v a : Fair. Okay, thanks. Thanks a lot. All the best.

M r . M a d h u r D e o r a : And Alok, of course, this is on the basis that next year's UPI circular will be very similar to last year's, like last year's are very similar to the year before. So, this is a little bit of crystal balling. But that UPI incentive assumption is based on the same.

M r . A l o k S r i v a s t a v a : Yeah, that's fair. Okay, thanks.

M o d e r a t o r : Thank you. I request all the participants to limit their question to two per participant. We'll take next questions from Sachin Salgaonkar of Bank of America. Sachin, you may please go ahead. Sachin, now you're allowed to permit. Yeah. Hi.

M r . S a c h i n S a l g a o n k a r : Yeah, thank you, sir. First of all, Madhur, Vijay thank you for sharing incremental outlook pointers and data points on recent trends. Really appreciated. My first question is on loans. I thought one of the advantages that Paytm historically had as collections, given your strong data analytics. Now going ahead, this distribution-only loan model, is this something which is temporary or we could see a change? And a related question to this is, how are your partners thinking because I don't understand none of your partners have left you. But most appear to be in a wait and watch mode.

M r . V i j a y S h e k h a r S h a r m a : Sachin, I believe that we took a call, based on the overall market macro where the credit disbursements were clearly under stress when it came to personal loans. If you notice, we have looked at small personal loans and BNPLs specifically, a very small personal loan out there and our personal loan ticket size was also very small. So, we have taken a call that till the time the market comes back, we will not do collection-incentive led volume on that side. While on the merchant side, as you know, we have a very clear way to help lenders collect. So, we continue to do it.

So, as you are understanding, based on these, it is temporary, till the time the market comes back, where the collection activity by your platform can generate collection bonus. If we are not going to generate a collection bonus, we are not going to do it. That is what our approach is. And this is adding an opportunity for us to experiment and bring a few more types of credit disbursement products and also hedge. So, as they say, there is an opportunity in adversity. We looked at it as an expansion of other kind of credit and we see every good approach there and it has given us an opportunity to partner with few banks also actually surprisingly.

M r . S a c h i n S a l g a o n k a r : And your thoughts on merchants?

M r . V i j a y S h e k h a r S h a r m a : Merchants, we continue to do collection-centric loans.

M r . S a c h i n S a l g a o n k a r : Got it. And Vijay, obviously in opening remarks, you guys did mention you're piloting on the other side of loans. We did see gold loans on your app. So, any such categories we should think about how big is this opportunity for you guys?

M r . V i j a y S h e k h a r S h a r m a : Sachin, we are looking at Micro LAP as of now, and we also tried gold loans. So, we are trying secured credit also, as part of four experiments and because it is not material, we have not mentioned much in the numbers yet. But at the same time, I want to tell you that secured credit is more about monetizing the traffic. So, we were wondering whether it makes sense or does not make sense. But at the same time, we are integrating for a couple of secure credit lines, especially for small merchants, Micro LAP makes a lot of sense.

M r . S a c h i n S a l g a o n k a r : Got it. And the last question from me is your use of cash. Clearly you have a good amount of cash on your balance sheet. Basis your guidance and where things are. One gets a sense that the worst is over, perse, for you. So, again, from that perspective, I wanted to understand, should we see, a) some kind of a buyback

to help the stock or b) could we see heavy investments in marketing as you focus in terms of acquiring more users and merchants?

M r . V i j a y S h e k h a r S h a r m a : I do not mind telling you that, like I told you that we will invest in customer acquisition for sure, because that is the first right of our business. At the same time, for wider use, I will ask Madhur to comment on that.

M r . M a d h u r D e o r a : Yeah. So, Sachin, we do have excess cash. There's no doubt about that. We have about Rs 8,300 crore excluding PML customer funds. While we have mentioned that next year, the next quarter will be EBITDA negative. We will get back very quickly on the path back to profitability. I

think over the last quarter, the most important thing for us to do was to finish these transitions and also to un-pause some of the things that we had paused temporarily. And the important thing was also for us to make sure that we take this opportunity to make sure that our investors and analysts who have been effectively waiting for a full update since the embargo on Paytm Payments Bank have that full information symmetry with us or as much less information asymmetry as we can have.

Now that we have done that, I do expect to go back to the board and discuss how much excess cash we have and what is the best use of that cash. Even with the point that Vijay mentioned is that we do have to invest in marketing, which we have mentioned. And we have to focus on getting back to profitability. But yes, in that journey, we do have a significant amount of excess cash. And it is logical for that unless we're going to spend that cash, we should be having discussions with our board about how best to return that cash to shareholders.

M r . S a c h i n S a l g a o n k a r : Thanks, Madhur. All the best for the future.

M r . M a d h u r D e o r a : Thank you, Sachin.

M o d e r a t o r : Thank you. Next question is from Vijit Jain of Citi. Vijit, you may please ask your question.

M r . V i j i t J a i n : Yeah, hi. Thanks, Madhur. So, Madhur, my first question is, aside from the impact on your UPI market share, which we can see in the data, can you talk about overall, the recovery trajectory that you're seeing across merchant categories in general in GMV terms? So, online, in-app, offline, online, off-app, and also as a slightly different vector, if you can talk about enterprise and SME merchants?

M r . M a d h u r D e o r a : Yeah. So, let's just go to the slide where we had GMV trends. So, if you see, like we mentioned, there's clearly an impact of 12% from disrupted instruments. Overall, like we said, we're down about 6 to 7% from January. Now, if we further break that up into consumers and merchants, and just to calibrate everyone, when we say consumers, we mean transactions that happen on the Paytm app

p, which is, for the most part, fit, bill payments, as well as some of the commerce categories that are on the Paytm app. And the merchants side is all the offline merchants where we help merchants accept payments, as well as on the online merchants. So, that business, if you can see from this chart, Vijit, has been significantly less impacted to begin with, and has stabilized earlier. So, even on the consumer side, because of MTUs, was declining, this stabilized here, and then it had gone up here.

In terms of the further cutoff of this against online enterprise and what we call sort of soundbox merchants or QR merchants, I think EDC, which is card machines, was the fastest to recover, and is actually higher than January levels, and online and semi-organized slightly slower, and semi-organized especially because we had to do the migration to partner bank. And obviously, that's a very large base of merchants, so it's able to communicate to all of them at the same time, that there's no reason to be worried, we will be able to offer you continuity of service, is more challenging. So, we saw that impact to be a little bit longer, but that has started to come back very meaningfully as well. So, there is not a huge difference between the three merchant categories as I described them, which is organized offline, kind of semi-organized and unorganized offline, and the third being online. There is not a huge difference, but there was earlier and more recovery in the organized offline market.

M r . V i j i t J a i n : Got it, thanks. My second question is, just looking at the Q1 guidance that you've provided, and thanks for providing that. So, if I look at the EBITDA guidance for Rs 400 to 500 crores of losses, it seems to suggest you will have maybe somewhere around 40% contribution margins with whatever fixed cost structure you have. So, I'm just wondering if you could walk us through how you get from 40% to back to 50% contribution margins, which is also your medium-term guidance.

And are there specific one-offs in this Q1 guidance, or is it all to do with the scale that you are hitting in Q1?

M r . M a d h u r D e o r a : So, Vijit, our indirect cost base is about Rs 1200 crores. So, if you do that math in the Rs 1500-1600 crores revenue, and of course we're working with ranges here, we don't expect contribution margin to go down to 40%. I would say that excluding UPL incentive, which for simplification purposes, let's just say it's Q1, Q2, and Q3 of every year, and Q4, then you get the UPL incentive, and then you have an annual number. Excluding UPL incentive, we might be in the high 40s to 50%. And including UPL incentive for the full year, we would be a few points north of that. So, that's sort of the general direction of the business right now.

Of course, there are a few moving parts, particularly the unpausing and the ramping up of some high-margin businesses. So, we might be off by a couple of points here and there. So, that's where our broad business is landing. With respect to the second part of your question, I wouldn't say one-offs, I would say that, like we mentioned, that there are certain pieces of business which are at different levels of recovery path. So, for example, the user side of the business, just the MTU base, has stabilized, but the growth of that depends on new user onboarding.

The merchant side of business is slightly more under our control, in the sense that we are doing an enormous amount of reactivation efforts, especially since there were 10 lakh odd merchants who went inactive, and we are adding new merchants as well. So, that recovery is a little bit sharper, and we will start to see that even in Q1, let alone, and obviously in Q2 and Q3 as well. So, I would call them sort of temporary impacts with slightly different recovery paths, back to the original trendlines, as opposed to necessarily one-off items.

M r . V i j i t J a i n : Got it. Last question, if I can just sandwich that in. The merchant loans have obviously recovered pretty well, right? You're almost back to where you were in January on that. And you mentioned that as well, Madhur, when you spoke just now. So, suffice to say, greater confidence in continuing to ramp this as per original plans going forward from here, whereas consumer loans, obviously, because the product has changed quite a bit, is a little bit slower growth. That's show one should look at it? And within consumer loans, if you can talk about, how much of the April run rate is, these very high-ticket loans of, the ones that you launched in December quarter?

M r . M a d h u r D e o r a : Yeah. So, on the first part of the question, on the merchant loan where we are doing collections, which is vast, vast majority of the merchant loan number that you see here, which is Rs 971 crores in April, I would say, yes, there has been significant recovery nearly back to the January numbers. But we should add that we are, any, there are reasons why we make this distinction between collection and distribution-only is because we do take up this task of doing the collection, we also take up some sort of a sync-up obligation with the lenders, that our collections should be effective.

Hence, if we are finding any concerns, either as a macro or in our base, on potential asset quality deterioration, we take a very, very conservative view to the extent of working with lending partners to slow down disbursements to get much more targeted and soon. So, even in the merchant loan business, while there is this ramp up in significant momentum and tailwinds, we are going to be very focused on signs of asset quality deterioration.

So, I don't want to create an expectation that we will very soon be doing numbers much, the same as before or much larger than before, just because of the momentum that we're seeing over the last two or three months, because our most important metric is whether our lending partners are seeing any kind of asset quality deterioration on businesses where we are doing collections, right? So, I would say just a little bit of wait and watch and give us some time to just make sure that, and there could also potentially be some signal of, hey, there's some latent demand here, because when we don't do business in February, then there might be a little bit more to do in March and April.

So, we are very focused on this business. It is core to us. It has performed very, very well for us in the past, but we are not going to sort of just extrapolate mindlessly. On the new type of loans, where we do not collect and only get distribution fees, that's a very small part of the business in the last three months. They're encouraging in terms of having done a lot of the upfront work and the partners' interest in scaling this up. But I think for now, you could call it a pilot. Did I miss one of your subquestions, Vijit?

M r . V i j i t J a i n : No, thank you. That's about it. Thank you.

M r . M a d h u r D e o r a : Perfect. Thank you.

M o d e r a t o r : Thank you. Next question is from Rahul Jain of Dolat Capital. Rahul, you may please go ahead.

M r . R a h u l J a i n : Yeah, hi. Hopel' maudible. So, apart of my question was answered, but just trying to attempt it in a different way. Our guidance kind of suggests that our cost on an absolute basis would be stable. Is it simply coming because of lower net payment margin, or the re is more built into that to come to that number, or it's simply more conservative to begin with?

M r . M a d h u r D e o r a : Rahul, I think it's a couple of things. One thing I should point out is that in Q4, our marketing spend was roughly half of what we spent per quarter. And that was deliberate, because in February and March, we want to make sure that transitions are completed, as opposed to really focusing on specific user campaigns, right? So, we do expect in Q1, our marketing costs to be higher than Q4, because now we are seeing, and you saw some of the heads, hopefully, at the beginning of the call. These are reads that I think we have launched or about to launch, Vijay can tell me. So, this is really just straight from the oven, and we're going out with that. So, we will spend more on marketing. Q4 was abnormally low. So, there is that one impact, and I think we've mentioned that in the earnings release. It will be partially offset on the

ndirect costs side by some of the people cost action that we have taken in the past, and the sort of expectation that we have created here of Rs 400 to 500 crores of annual people cost savings. So, but that takes a little bit of time to come through fully in the financial numbers. So, we will not see all of that in Q1.

M r . R a h u l J a i n : Right, right. And, a question for Vijay. While we have closed down some businesses like Postpaid, given the greater discomfort on possibility of converting into cash or any other factor, but do we see a possibility of recreating this product as distributor or manufacturer in a way that better aligns with the comfort zone of the norms?

M r . V i j a y S h e k h a r S h a r m a : First of all, BNPL was not against the norm, which means that we could potentially bring it back how it was, number one. And secondly, there is an opportunity of credit line on UPI, which is very adjacent to this. So, yes, there are two opportunities.

M r . R a h u l J a i n : So, so in one of your comments where

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M r . V i j a y S h e k h a r S h a r m a : We paused it because small ticket loans were going through extraordinary delinquencies.

M r . R a h u l J a i n : Right, right. And in your comment in the press release, you mentioned that happy to share these products have been restarted and they're more in the process of starting soon. You're trying to indicate product seven as far as wallet or Postpaid or those could be a little more in the future?

M r . V i j a y S h e k h a r S h a r m a : This is because most of the products are in partnership with other financial services organizations, including Postpaid, including wallet now, if you notice. So, a lot depends on technology, comfort, scale, then piloting starting. So, that is why I've said and literally everything is on the table. We need to start FASTag distribution, as you might have seen.

M r . R a h u l J a i n : Yeah, I completely understand the way a lot of things have happened. But I think importantly, like on a new product launch we did on the device side, but newer products have to be the instrument to re-imagine the TAM which we always was offering. And if some of these products don't exist, then the TAM has to get redefined back to the similar or higher size with newer launches. So, would be happy to hear more inputs on that in the time to come.

M r . V i j a y S h e k h a r S h a r m a : Absolutely, Rahul, you're correct. And you have pointed out towards the product that will be our attention and much less of our attention. It is definitely dependent on our partners, their market's response, etcetera, etcetera. So, we will do what our partners are interested in. Our technology and distribution becomes our moat.

M r . R a h u l J a i n : Appreciate it. Thank you.

M r . V i j a y S h e k h a r S h a r m a : Thank you.

M o d e r a t o r : Thank you. Next question is from Gaurav Singhal. Gaurav, you may please go ahead.

M r . G a u r a v S i n g h a l : Hi, thanks for taking my question. So, I wanted to understand your view on breakeven. Given that next quarter, what I understand is expected to be like a bottom of Rs 500-600 crore loss and then improvement from there on. But if I just look at the various moving parts here, I mean the payment, net payment, revenue, now it seems

sto structurally lower. And then on the lending side also, you mentioned you're not going to scale it up aggressively from the April number that you have disclosed. So, maybe that's also a more gradual scale up. And then marketing and others is probably more, I guess, trending in line with GMV. So, if we put all of this together, it seems there are not a lot of paths near term for breakeven. But I'm wondering if you have a different view or if you feel like in four or five quarters, you do see things coming to breakeven again. And then if yes, what kind of path do you have in mind?

M r . M a d h u r D e o r a : Thank you, Gaurav. This is Madhur Deora; I'll take your question. So, I think there are various drivers, right, for our business. So, one is on the payments side itself, we are seeing, as you saw, GMV recovery. And obviously, GMV has a direct impact on margins, the payment processing money that we can get in absolute rupee and dollar terms. So, that's the first stone. Second is, as we mentioned, the sort of, a little spike in the inactive merchants, which we are now fixing and correcting and reactivating, does result in additional subscription revenue, which effectively goes straight down to the bottom line, or at least to the EBITDA line. So, that is a very positive contributor going forward.

On financial services, I think they're very interesting conversations for us to have with our lending partners now that the payment business has stabilized, as we have said in the presentation. I think

those conversations were, quite frankly, a little bit harder in February and March than they are now, especially now we are sort of public with all of these numbers. So, I think those conversations are a lot easier to have now than they were in February and March. I think it's hard to be very, very specific about which one of these line items will do better than expected and which ones may not grow very significantly from here. What I was commenting to Vijit, was just our basic approach to be conservative. We are not seeing issues in asset quality in merchant loans, but I also wanted to be calibrated about creating an expectation that that would automatically translate into a dramatic growing the business. But there are opportunities in lending, both in the distribution-only model in personal loans, as well as scaling up merchant loans, both with collections and without collections, and the pilots that we have in secured lending. In addition, insurance and wealth can become positive contributors going forward. These businesses are not quite off the scale of our lending business right now, obviously, but there is incremental money to be made.

On our commerce and cloud businesses, I do think we can do a lot more about being sharper, about getting slightly greater monetization per MTU or engaged customer than we currently do. And finally, on the cost side, while, like I mentioned in Q1, we'll spend more on user growth than we did in Q4 because Q4 was abnormally lower, we are very focused on making sure that we are lean as an organization and that we have a lot of discipline on cost.

So, across the platform, there are many, many opportunities. I think we did sit down and think about whether this is the time for us to give slightly longer-term guidance beyond Q1. And we thought that as we are having these discussions with partners, as well as internal conversations about where the next Rs 100, Rs 200, Rs 500 crores of bottom line is going to come from and over what time period, we thought it's better to wait. We should give the Q1 guidance, but it is better to wait until at least July, if not a bit longer, to be a little bit more specific about when exactly we get to that break-even.

M r . G a u r a v S i n g h a l : Hi. Thanks a lot. That's very helpful. And then the other question I had was on adding MTUs. So, you mentioned you would be discussing with NPCI, which I think was one of the points that RBI mentioned, but then the other point was also to finish migration of all the existing users, existing UPI users. So, has that been completed? And is the discussion with NPCI the only outstanding point or is something else left to start adding MTUs?

M r . V i j a y S h e k h a R S h a r m a : I think as a migration, logically, the migration was of the system and technology, because as a consumer, as you can guess, let's say we have X million customers, only a fraction of them come and not everyone of them will effectively come in the lifetime to get migrated. And we do the migration of these customers as and when they come on the app. So, we are very actively converting them and migrating them. As for any other concerns or inputs, we are in active conversations with NPCI and they're very supportive. And we are hopeful that they should give us this inducement. If we get fee

edback, we solve them.

M r . G a u r a v S i n g h a l : All right. So, just one last thing. So, on this UPI, you mentioned the bank-to-bank UPI is the one which does not have any monetization apart from the incentive. How much is that as a percentage of the total UPI GMV for us, roughly?

M r . V i j a y S h e k h a R S h a r m a : I think the intention is to say when you pay from a bank account, which is a primary way of making a payment on UPI, the other payment instruments like credit, credit card, overdraft, prepaid are very minuscule, not even 10%. I'd rather say a few single percent.

M r . M a d h u R D e o r a : So, if I may just add, out of the about annualized 20 lakh crores, we have said 80 to 85% is UPI, of which is a very small percentage of non-bank to bank link, vast majority of that 80 to 85% is bank.

M r . G a u r a v S i n g h a l : Okay. Thank you.

M r . M a d h u R D e o r a : Thank you.

M o d e r a t o r : Thank you. We will extend the call for another 10 minutes because there are a few questions. We'll take the next question from Jayant of Jefferies. Jayant, you may please go ahead.

M r . J a y a n t K h a r o t e : Thanks for the opportunity. First question is to Vijay. About this Rs 400 to 500 crore of annualized people cost savings, how are you thinking? Can you help us understand the journey of the savings? It's almost 15% of your current employee cost base. And how would this play out between the field force versus the HO? We saw you had almost a half thousand reduction in the count of sales employees. So, if you could just help us understand the journey of the savings, how will this play out?

M r . V i j a y S h e k h a R S h a r m a : First and foremost, I want to tell you, Jayant, that we will continue to add more sales executives. And this churn of sales executive, if at all, is due to uncertainty, what kind of product that we should sell, when we are migrated, other banks have started and soon. So, instead of retaining, we let them continue to churn and not bother about them. But I want you to know that we will increase that overall number and we are committed to grow our merchants' ecosystem by adding more sales people.

As for overall cost, there is a clarity of number of product and technology and operations side. There is a tremendous amount of scope available. So, we are able to add that. I mean, very simple customer care is merchant care is the systems and people and operations where, let's say, Excel sheets move instead of the system could get modified. So, a lot of space for cutting that kind of slack. We will definitely increase the number of people in the field area. It will be, I mean, given our attention and direction, our machines are chugging along well and in terms like they're reworking smoothly with our partner bank, we will continue to increase the number of sales people that we look at on that side.

M r . J a y a n t K h a r o t e : And the device deployment rate, do you expect that to go back to, I mean, maybe not one and a half million, but maybe beats some level of that, not what we're seeing currently.

M r . V i j a y S h e k h a R S h a r m a : Well, Jayant, I can tell that I track this daily and I'm happy to tell you that some of our numbers are actually very, very much going towards the previous numbers.

M r . J a y a n t K h a r o t e : Oh, great, great. That's great to hear, Vijay. The second one is for Madhur, on the margin on lending business. If you could help us understand, there was an element of collection expenses as well, right, which used to be a part, I think, of the other contribution expenses. So, if you could help us understand the margin on lending products, where you do collections and where you don't do collections. How was that before? And now that you're seeing more of these non-collection products, how will the margin on the lending business play out?

M r . M a d h u R D e o r a : So, Jayant, on the, let's say, contribution margin basis or EBITDA margin basis, because some of this is people cost, the margins for similar size loans are not that different, whether it is with collections or without. Obviously, with collections also means that some of the collection revenues and collection incentives are slightly back-ended. So, there might be a little bit of a timing issue there, but on a bottom-line basis, they're not particularly different. It is possible that some of

the high ticket loans might be to even more prime customers, or if it's a high ticket, then the taker rate might be slightly lower. The average taker rate of distribution-only loans is slightly higher than the loans that we do with collections. So, there could be those elements as well. But like for like, the bottom line is not very different.

M r . J a y a n t K h a r o t e : Thank you.

Thanks Vijay.

M o d e r a t o r : Thank you. Next question is from Saurav Kumar of JPM. Saurav, you may please go ahead.

M r . S a u r a v K u m a r : Hi, thanks for that. So, just two questions, one on slide six, you basically say that the average per device subscription revenue, which is Rs 90 will go down to Rs 80 and then recover back to Rs 100. I'm wondering what is driving that? It is just that you're expecting more fall off in Q1. So, is it just the activation rate, which is basically declining in Q1 and going back to Q4? Or is there something else, so the discounts which you're giving, which probably come out? So, that's one. And the second is again, on the indirect cost basis, whatever you kind of guided to, will it be fair to say that your fully year indirect costs should be in the Rs 4500 crores odd range? These are the two questions. Thank you.

M r . M a d h u R D e o r a : Yeah. So, on the first question, it is purely kind of the full quarter impact of how we have exited Q4, Saurav. So, obviously, January was based on normal activation rates or inactivation rates. And then February and March, we saw this 10 lakh drop. So, we have exited Q4 slightly, well, 10 lakhs worse, if you will, than our normal activation rates would suggest. In Q2, we do see, sorry, in Q1, we do see recovery in those activation rates and early signs are positive. But it is because you exited weaker than, for the overall quarter, there is slightly less subscription revenue. So, to clarify, we're not seeing deterioration in Q1, but we're seeing in Q1, the full quarter impact of the deterioration we saw in Q4.

M r . S a u r a v K u m a r : So, it's just a percentage activation rate change is what is driving this.

M r . M a d h u R D e o r a : And also, the fact that we could not add new merchants for a portion of, well, all of February and a portion of March, and we are adding new merchants now. So, for those merchants activated, obviously the early activation rates are quite high. And to your second question, I think give or take 5% sort of range, that probably sounds right.

Mr. Saurav Kumar: Okay. Thank you.

Mr. Madhur Dora: I should mention that while I think to get to that number, you have taken out Rs 400 to 500 crores of savings that you mentioned, the marketing number would vary a little bit, depending on what actions we are taking in Q2, Q3, Q4. Like I said, last year, we did spend about Rs 100, Rs 150 crores less than what we expected to be because of the February and March impact.

Mr. Saurav Kumar: Thank you.

Moderator: Next question. And the last question is from Piran Engineer of CLSA. Piran, you may please go ahead.

Mr. Piran Engineer: Yeah. Hi, thanks for taking my question. Amlaudible?

Moderator: Yeah, you're audible.

Mr. Piran Engineer: Yeah, thanks. Just firstly, if you can just comment on how many lending partners are active with you as on date, and in this sourcing only model, is there some sort of FLDG agreement or any sort of that sort of stuff? Because there's a lot of media speculation around it. So, I just want to clarify this.

Mr. Vijay Shekhar Sharma: Yeah, none of the lending partners have entered any agreement with us. So, practically, depending on the disbursement rate, yes, no, maybe, and soon. So, everybody is on. As far as FLDG, we've not given or don't plan to. We don't see, we would rather go in a disbursement-only model, like we are talking, as you can see. And as for the media report, we did file a stock exchange clarification the next day. So, hopefully, that clarifies.

Mr. Piran Engineer: But Vijay, just to be fair, this Rs 2000 crores of disbursements you all did in April, that has come from all seven partners, have all seven contributed, or is some are dormant, some are, because at least one partner is public about wanting to reduce the share to zero.

Mr. Vijay Shekhar Sharma: Yes. So, not every partner is active or disbursing.

Mr. Piran Engineer: And hence my question, can you give a sense of how many are active with you?

Mr. Vijay Shekhar Sharma: Again, this is more about the comfort, like I told you, Piran, that which state of business stability are we at of different lending partners. So, we already have enough and ample supply of capital, as you can guess. We are doing these numbers as you are seeing them. So, we are rather trying to find out for disbursement of, on a merchant side, as you can see, the numbers are showing up, and we are expanding on that, up to a particular level. But we are more focused on disbursement-led partners, which could be many more different kinds of partners than the same partners as before. So, the approach here is not necessarily to go to the same

partner for the same product, if you notice. Because we are not doing BNPL and personal loan with collection, so we may not need to necessarily seek that partnership.

Mr. Madhur Dora: And Piran, I would just add one other thing, which is that while we have had the disruption that we had in February and March, and the pausing of business and unpausing of some of those already and unpausing hopefully more later, I think we also have to keep in mind the overall context of the market, where partners who are doing lending with players like us also have different views about what their approach should be given the overall market backdrop. And we have always worked with our partners on the basis of, you should only lend to people that you're comfortable lending to because we don't give you FLDGs. So, partners will take certain views from time to time, which is why we have been talking about how many partners we have, and our desire and focus to increase the number of partners, because we don't control partner decisions, nor do we influence partner decisions, nor do we try to catalyze partner decisions by giving FLDGs.

Mr. Piran Engineer: Got it. Okay, that's clear. Just a couple of clarification questions, if I heard them correctly. Did you mention that the UPI incentives sharing with the new bank partners will be similar to what you had with Paytm Payments Bank?

Mr. Madhur Dora: Our overall commercial is similar, some of the nuances of arrangements might be different. Because remember, in the case of Paytm Payments Bank, Paytm Payments Bank was running UPI, it was hosted on Paytm App for customers, and we were also a merchant acquirer for Paytm Payments Bank. Our model going forward as TPAP is different, right? So, the arrangements that a TPAP would enter into with a partner bank, as a sponsor bank, would be slightly different than the arrangements that we had in the past, but the commercial impact to us is roughly the same.

Mr. Piran Engineer: Okay, that clarifies. And secondly, could you just explain this thing on the previous participant's question, the subscription device rental is different for active and inactive merchants?

Mr. Madhur Dora: No, sorry, that wasn't the clarification. So, maybe I misunderstood the question correctly, and the way I explained it, is that I think the question was, you have said Rs 90 will go to Rs 80. Does that mean that you are seeing deterioration in ARPU per customer in Q1? And the point that I was making is that we saw deterioration in ARPU per customer in Q4, especially on account of the inactive base going up by 10 lakhs, like we have described. So, we have exited March with that state of play. And we actually expect recovery of that, not full recovery, but partial recovery of that in Q1. So, we expect Q1 momentum to be upwards, whereas Q4 momentum in the last two months was downwards. But as you think about what your weighted average ARPU per device would be in Q1 versus Q4, that will be downwards because you exited Q4 weak.

Mr. Piran Engineer

: No, I got that Madhur. So, it basically means that an inactive merchant pays you lower rent than an active merchant, right?

Mr. Madhur Dora: An inactive merchant actually does not pay us rent because we deduct from their settlement. Of course, we have other ways of sending a salesperson to go collect subscription fees and soon, but that is significantly harder, right? So, an active, the sure sign of being able to, the surest way of being able to earn subscription from a merchant is if they are active. If they do transactions. Because if they do one or two transactions, even one or two transactions a month, obviously merchants, soundbox merchants do many, many, many more than an average. But if a merchant goes inactive for whatever reason, then it is significantly harder to collect. And obviously, then we use more reactivation efforts and then non-field reactivation efforts. And those activation efforts take a little bit of time to kick in on a scale of 10 lakhs.

Mr. Piran Engineer: Okay. Okay. Now I understand. Got it. Got it. Thanks for the clarification guys and all the best.

Mr. Madhur Dora: Thank you.

Mr. Vijay Shekhar Sharma: Thank you. Thank you, Piran.

Moderator: Thank you. With that, we come to an end of this call. A replay of the earnings call and a transcript will be made available on the company website subsequently. Thank you all for joining.

Mr. Vijay Shekhar Sharma: Thank you everybody.

Mr.MadhurDeora:Thankyou.

Call: Jul 2024

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July 26, 2024

BSE Limited

Department of Corporate Services

Phiroze Jeejeebhoy Towers, Dalal Street, Fort,

Mumbai - 400 001

Scrip Code: 543396 National Stock Exchange of India Limited

The Listing Department

Exchange Plaza ,

Bandra Kurla Complex,

Mumbai - 400 051

Symbol: PAYTM

Sub.: Disclosure under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 - Transcript of the earnings conference call conducted on July 19, 2024

Dear Sir / Ma'am,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings conference call, conducted on July 19, 2024, on financial results of the Company for the quarter ended June 30, 2024.

The transcript is also available on the website of the Company at <https://ir.paytm.com/financial-results>.

Kindly take the same on record.

Thanking you

Yours Sincerely,

For One 97 Communications Limited

Sunil Kumar Bansal

Company Secretary & Compliance Officer

Encl. as Above

Paytm|Q1FY25EarningsCall|

CallDate:July19,2024|Time:16:00PMIndianStandardTime

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Moderator: Thank you for joining and welcome to Paytm's earnings call to discuss our financial results for the quarter ending June 30th, 2024. From Paytm's management, we have with us today Mr. Vijay Shekhar Sharma, Founder and CEO, Mr. Madhur Deora, President and Group CFO, Mr. Anuj Mittal, Senior Vice President, Investor Relations. A few standard announcements before we begin. The information to be presented and discussed here should not be recorded, reproduced, or distributed in any manner. Some statements made may be forward-looking in nature. Actual events may materially differ from those anticipated in such forward-looking statements. Finally, this earnings call is scheduled for 60 minutes. It will have opening remarks by the management, followed by Q&A. For Q&A, kindly utilize the raise hand feature on your zoom dashboard. If you seek to ask a question, we will unmute your line in the respective sequence and within the scheduled time. Please ensure

your name is visible as first name, last name followed by the company name for us to be able to identify you. We also request you to limit your question to two per participant. A replay of this earnings call and a transcript will be made available on the company website subsequently. With this, I would like to request Mr. Vijay Shekhar Sharma to kindly initiate the call. Thank you. And over to you, Vijay.

Mr. Vijay Shekhar Sharma: Hi, good evening everyone. Thank you so much for joining. I'm very happy to tell you that, this evening, we have all come together in our office and are joining from a single place. That's why you're not seeing us individually, if you're looking at the number of attendees in the call. As you might have seen, our quarter performance has been in line with what we had suggested and what our operating metrics are showing, the resilience and the capability of the Paytm product and sort of service, resilience out there. I believe that this is just the beginning of the end of, I would say, the tough times or the number that has sort of stayed at flat level from quarter to quarter. This quarter saw the full impact of the situation that we got in. And as a team and as a company, we are committed completely to uniting as a fully compliant business.

My team and us are also committed to make sure that we go back to profitable quarters very, very soon. We are hoping and working on making sure that we deliver at least one profitable quarter in this financial year as soon as we are able to see a lot more clarity coming our way. As a team, our focus is on going back to the payments and cross-selling of financial services as a core business. Our marketing services, where we help our merchants to expand and sell more to the consumers, is a great opportunity, and we believe that we are able to deliver on that also. You must have seen these segmented numbers and we're happy to take the calls. In fact, just so that we all can take more Q&A, we've decided to do away with the presentation that we give, because more or less, we have already written the summary in the release that you all would have gotten. So we'll right away start with the Q&A. So happy to take as many questions today that we are able to answer. Over to moderator for questions.

Moderator: Thank you, Vijay. We will now proceed to Q&A. A reminder to utilize the raise hand feature on your zoom dashboard. If you seek to ask a question, we will unmute your line and take questions in the respective sequence of raised hands. Our first question is from Vijit Jain from Citi. Vijit, you may please go ahead.

Mr. Vijit Jain: Great, thanks for the opportunity. Vijay, just alluding to your opening remarks, when you said, you are aiming to deliver one profitable quarter this fiscal year. Just wanted to understand if, you're referring to, operating break-even or PAT level break-even and, is the target to achieve that, inclusive of UPI incentives, just trying to get a sense on the roadmap from here, to break-even in this

financial year. That's my first question.

Mr. Vijay Shekhar Sharma: Thanks Vijit. Like you said it very, very well. We are moving up. Obviously, I do believe that in the last quarter, the revenue will be a lump sum UPI incentive, hopefully sizable again this year. We will definitely love that quarters should be profitable. But, there is no doubt about it. We are looking at it without that extraordinary one-time item. So you can expect to talk about EBITDA break-even before ESOP cost and before adding UPI incentive.

Mr. Vijit Jain: Okay, great. Vijay, my next question is, in terms of the new user acquisitions for UPI, which you've not started and, obviously, when you are able to do that, that should help you start to grow and claw back market share in UPI, more meaningfully, I'm just trying to understand if there are any specific targets or roadmap that have been set for you and before you can resume that. From NPCI are there any defined steps, milestones to achieve, or is that more of you interacting with them and getting approval from them to go ahead with that? That's my second question. Thank you.

Mr. Vijay Shekhar Sharma: Vijit, we are in process of completing technology and consumer migration. As you are aware, we have done everything for the merchants, and for consumers, there is a little bit of multi-bank ecosystem, so all banks have to participate and then our primary partner, Yes Bank has to also expand on certain system technologies. So we are at the tail end of the migration. Soon once the migration is complete then, we would go back to NPCI to request to add new and incremental customers.

Mr. Vijit Jain: Correct, thanks. If I can just ask one last question. In the last earnings call, I think the April 2024 run-rate for consumer and merchant loans was something like Rs 20 billion a month. The full quarter number seems to suggest there's a moderation from April to May and June. So can you talk about the most recent, you know, consumer and merchant loan trends that you're seeing in June 2024? And, any other thoughts on this?

Mr. Vijay Shekhar Sharma: So Vijit, on merchant loan, we had suggested that there is a pent-up demand, and we knew that this would mean that there is a little bit of surge as soon as we opened up. But in due course, if you look at it, there will be more users whom I believe will come. An

dou lending partners, thanksto the overall over-arching credit environment, will get interest. So I'd say that right now we are not looking at very aggressive growth in credit disbursement, thanksto our lenders continuing to pursue prudent policies according to how the regulators suggest. But at the same time, this also means the quality of credit etc. for them is coming out to be great as they're seeing the data on the inside on the books.

So core philosophy, I'd say that, we remain very, very disciplined with our lender partners where we suggest to them that they should betaking the decision which they want to take, and this is where we are. So net net, we don't have much guidance to give, but in due course, once the systems and technologies are back, as you know that right now we are holding up in terms of new users or holding up in terms of increment al merchants, we have started adding that we've written. So, I'd say that you can expect that in this current quarter and the next quarter, then numbers should get better. But we are not going to say that it is going to be dramatically better, all because that it is rather a larger macro and attention to the disciplined disbursement by our lender, which is a good thing, not because of any other reason.

Mr. Vijit Jain: Got it, Thanks, Vijay. I'll jump back into the queue.

Moderator: Thank you, Next question is from Adarsh Parasrampur.

Mr. Vijay Shekhar Sharma: Hi Adarsh.

Mr. Adarsh Parasrampur: Hi, congrats. So the first question is on expenses. You all have called out that there has been someone-off expenses in the indirect costs. Except employee costs, everything is kind of up. So just wanted to understand what the roadmap here would be. If you add all of that up, it's Rs 1300 odd crores, up from about Rs 1200 crores last quarter. So if you can talk about what were the one-off sand what's the likely outcome as you, as you again ramp up, some of the other businesses.

Mr. Madhur Deora: Yeah, thanks Adarsh. So there are four main components of indirect expenses. The first one, the largest one is employee cost. And we had mentioned in the last quarter that there's going to be a tight focus on making the company a bit leaner. And as a part of that, our employee cost is down just about 10% quarter on quarter. We do expect it to go down over the next few quarters by another, 5 to 7%. So one employee cost, there are good trend lines.

These second cost is marketing expense. Again, we had mentioned in the last quarter that our

marketing expenses last quarter were significantly lower than trend lines. This quarter, we have spent a little bit more than we would normally. And that was really we wanted to make sure we take this opportunity to inform all our customers and merchantsthat the services are working very smoothly without disruptions. And obviously, you may have seen some of our ads that talk about how we are now powered by 4 banks. So that was the big campaign that we did, along with some BAU things. Going forward, I expect marketing costs in the rest of the year to be a lower trajectory, than what we did in this quarter on an average.

The third cost is technology, what we call software, cloud and data center. In that we had some migration related costs to third party banks. So there were some one-off there. Also some of our contracts with our partners, with bank partners work in away where we bear some of the infrastructure costs, but we do get a slightly higher share of UPI incentives. So that is something where the contract is just slightly different than the contracts that we had in the past.

And finally, on other indirect expenses, we had some one-off provisions, largely related to our device merchants. We took this opportunity to look at our provisioning policy, and we have taken a very conservative provisioning policy on any trade receivables, particularly from device merchants. And, anytime you tighten provisions, you usually have a one-off expense. And then you have that sort of tapered out.

I do expect the other indirect expenses to also come down very meaningfully starting next quarter. So that's where we are. So, yes, you're right that despite the decrease in employee expenses, our overall indirect expenses went up from Rs 1200 to Rs 1300 crores, but we expect that to come down. Overall, one-off numbers would have been to the tune of about Rs 80 to Rs 100 crores in this quarter.

Mr. Adarsh Parasrampur: The other question that I had was on the lending side. You did mention that we should see a gradual scale up. Just wanted to ask if you can break that up between, merchants and personal loans, what kind of, grading up should we expect in due course?

Mr. Madhur Deora: I think, both of them have very different trajectories in some ways. The merchant cash advance business we've been running for four years, and it has been absolutely rock solid throughout. In fact, from what Vijay mentioned, with respect to even further tightening and, sort of credit policy discipline and soon, we are seeing some very good signs in terms of early buckets. So this business has always been a fantastic business for our partners and a fantastic business for us. And that continues. It's really just a question of, in this sort of, credit environment, it would be better to be safe than sorry sort of situation and we just remain conservative.

On personal loans, as you know from the last quarter discussions, we are focusing largely on distribution of personal loans and the effort sare underway to add more and more partners, both banks and non-banks. And as you have more partners, we should see more and more scale up. And I think the key focus there is to build as much, so one of the focuses is to build as much diversification.

So I mean, both of these businesses should grow like Vijay mentioned. But sort of for different reasons.

Mr. Adarsh Parasrampur: And, my last question, Vijay, is on the devices. Your commentary says you get back to adding a lot of devices that you used to in 2024, which was about 13-14 lakhs a quarter. So is that the run-rate that you're talking about once you get into the second half?

Mr. Vijay Shekhar Sharma: Well, I don't know whether it will be 13-14 lakhs per quarter or less or more, but I can tell you that what we are seeing is that as far as our understanding of the market is concerned, there were a lot of devices that had got inactive and we used to pick them, that is why we net them, and we are finding that we could pick those devices and deploy them back, that is why one of the big reasons that our cap ex will be lower, but we will be able to get more money also. So, when you say, 13-14 lakhs, I think, a healthy number would be more like a million a quarter instead of 13-14 lakhs. But who knows, we could just aggressively go there in a festive quarter.

Mr. Adarsh Parasrampur: Got it. So yeah, not what I meant is you get back to like 8-10 lakhs, in due course. Perfect. Okay, this is good. Thank you.

Moderator: Thank you so much, next question is from Lokesh Manik of Vallum Capital. You may please go ahead.

Mr. Lokesh Manik: Yeah, hi. Just a couple of questions. So the first question is on technology. Sometime back I heard that, you know, our up-time is quite high compared to the competitors. And I understand one of the reasons is that we have an in-house tech stack which

was earlier sitting in Paytm Payments Bank. And now that the payments system is being powered by four different banks, do you see any difficulty in maintaining the uptime?

Mr. Vijay Shekhar Sharma: A short answer is that we are adding our technology to the partner banks. We are powering our partner banks with our technology.

Mr. Lokesh Manik: Understood, understood. And the second question was on the divestment of the entertainment business. Also should we expect a fall in your software and cloud and data center cost?

Mr. Vijay Shekhar Sharma: Oh, yes, I hear what you're saying. So let me tell you, the biggest cost in software and data centers is actually the order of magnitude from payment processing or payment type. I mean the total number of transactions. As you can guess, the computing is in reference to the number of queries that we'll send to the cloud. The total number of transactions for all of our various marketing services will still be less than 5% of total cloud cost, so it won't beat all materials even if we look at one category of line item over another. Because the larger the cost goes in the number of payment processing that we execute at the back-end.

Mr. Lokesh Manik: Understood, understood. That's for my side. Thank you so much.

Moderator: Thank you, next question is from Pranav Gundapalle, from Bernstein. You may please go ahead.

Mr. Pranav Gundapalle: Hey, thanks for the presentation. Just a couple of quick questions. I think the first is on your payment margin, just the e-processing margin. There's obviously a sharp decline versus, say, the December quarter. What are the biggest drivers apart from the loss of certain products? Are there any other factors driving this decline?

Mr. Madhur Deora: So, primarily, I think we had given some details in the last quarter earnings as well. So I will just refer to that. But just to answer your question, most of this decline is due to the higher profitability that we had from the products that were discontinued, particularly wallet. So we had mentioned that, we expect the non-UPI, to be again, 15 to 18 basis points, as it was a couple of years ago, actually. So, that was one component.

These second is, in our deal with third party banks such as Yes Bank and HDFC Bank and Axis Bank and soon, our commercial sales are slightly different in the sense that we do bear a little bit more of payment costs. But we get a slightly higher share of UPI incentive. Soon on an overall basis, we do about the same. But, the running costs are a bit higher and we have given some mix numbers as well that we expect this to be 3 to 3.5 basis points a quarter excluding UPI incentive and including UPI incentive, we expect that to be 5 basis points plus.

Mr. Pranav Gundapalle: Understood, so in the fourth quarter, UPI incentive would be much higher now, and therefore the full year gap would be a lot lesser than the gap we are seeing in the individual quarters. Is that fair to say?

Mr. Madhur Deora: Yes, I think there is an offset there. But again, we were earlier at between 7 to 9 basis points. And I think in the last quarter earnings, we did say that we would be closer to between 5 and 6 basis points going forward now.

Mr. Pranav Gundapalle: Understood. Thank you, That's all, Thank you.

Moderator: Thank you Pranav. Next question is from Rahul Jain of Dolat Capital. Rahul, You may please go ahead.

Mr. Rahul Jain: Yeah, I hope I'm audible.

Moderator: Yes you're audible.

Mr. Rahul Jain: Yeah, you know, since we haven't shared any specific guidance for Q2. It would be great to understand some specific color in case. How are we trending in recent months versus let's say, quarterly average, maybe in terms of ARPU of devices or any other metrics you would like to share?

Mr. Vijay Shekhar Sharma: Rahul, as far as revenue per device, etc. are concerned, like we have told, you could see the revenue and that's true every much in line. We have indexed it, if you notice, from January, the GMV of the transaction volume, net of what product that we can't carry I want to remind you that our wallet, rent payment and in the last month, credit card bill payments from BBPS, reset that you can't take that directly. So, quoting ARPU obviously, beyond these products, ARPU are in the same range.

In fact, rather, what we are seeing and what we are able to do is that we are able to increase ARPU per customer, whether it is consumer or merchant side. We are able to do better cross-sell, so the internal company has been aligned in a cross-sell method mode where there should be an attention to cross-sell in a more attentive way. So expect ARPU of net of those products being stable, and then adding the various line items and the increase in ARPU in the next few quarters.

Mr. Rahul Jain: Right, and yes, sorry, shall I continue?

Moderator: Yeah, please.

Mr. Rahul Jain:

Mr. Rahul Jain: Yeah. So the second question was, to understand, you know, what is the thought process behind trying to divest some part of the marketing services related to events. How do we see, improving better focus on payments and eventually how from a time perspective, given that some product has been constrained at this point, what are the broader thoughts? Is it more about doing sharper fewer things at this point and expansions much later on.

Mr. Vijay Shekhar Sharma: Rahul, one thing that I personally take care of, and I'm putting every line item of business under a review, is that it takes attention and resources, and if it does not contribute towards the bottom line in a growing bottom line manner, then why are we doing it? That's a simple approach.

Mr. Madhur Deora: So I think I'll just add to that, we want to focus very sharply, on places where there are ecosystem benefits. Payment is clearly being the core business of us and then there's financial services. And even if you look at what we call marketing services, those are areas where we basically have payments merchants who we can do more and more business with. So that is one filter that we use. These second filter that we use, like Vijay said, is sort of what is the contribution to our overall business and the third is, what are the avenues available for us to maximize shareholder value. So basis all of these, you know, certain businesses are evaluated from time to time. And, this is a valuation that we're doing right now.

Mr. Rahul Jain: Right and if you're..

Moderator: Rahul your network is not perfect. We are able to..

Mr. Vijay Shekhar Sharma: It is tough to understand the question, so maybe a little louder or clearer or something has to be done.

Mr. Rahul Jain: Yeah. Is it any better?

Mr. Vijay Shekhar Sharma: Yes, definitely.

Mr. Rahul Jain: Yeah, yeah. So, just last bit, in terms of understanding the growth metrics for us now, the challenges are behind us. Now we have the kind of runway that we need, the stable point. And from here on we would evolve over time. So if there are ways you want to characterize that, given the current shape of the business and products that we have, what is the revenue growth band that you should chase for?

Mr. Vijay Shekhar Sharma: Rahul, if I understood. And I'm answering so that if there is something that doesn't get answered, please revert back. Overall, we have shown stability and like we are talking, our merchant base growth is expected because we are already onboarding merchants, while on the consumer side we are awaiting onboarding. So one is that there is a TAM i.e. total addressable market of cross-sell

to be enhanced on a platform, which is the number of users or merchants, which is the total addressable customer base on the platform. Number one growth metric is this. And number two, because we have had and we are lucky to have such a resilient customer base or trusted customer base on our platform. That is more than enough for monetization, to be honest about it.

We believe that we need to cross-sell various financial services and help merchants get various marketing services better, and that is the key KPI that we need to look at. So more customers and more cross-sell per customer, as simple as that. And among the cross-sell, obviously one of them that we've done over the past and we still continue to do is credit. While insurance and wealth are pending at scale and in marketing services, we've shown what we can enable to the merchants, and we have a few more line items that we are expanding and have seen the online items going with merchants. So more merchants and consumers, basically more customer on our platform and more cross-sell per customer.

Mr. Rahul Jain: Thank you. That's quite helpful.

Moderator: Thank you Rahul, next question is from Bhavik Dave of Nippon Mutual Fund. Bhavik, you may please ask your question.

Mr. Bhavik Dave: Yeah, Hi. Thank you for the opportunity, sir. Two questions, one is when we look at our employee expenses, decline that we've seen quarter on quarter basis. It roughly looks like 50% of the fall has come from your 5,000 odd feet on the street that have gone off. And the remaining is from your other, other employees. Just wanted to understand, when you talk about 8-10 lakh odd merchants, that will add, like may be from the festive quarter onwards when things normalize, will we require, will we be okay with the 30-31,000 odd people that we have? Or we'll have to maybe pull that backup. How are we thinking about it? Because, that's reasonably contributed to our employee expense going down. So just wanted to get your sense on that.

Mr. Vijay Shekhar Sharma: Bhavik, we had, FASTags sale team, and we have optimized on that side. While our merchants sale team continues to be augmented, you will see an increase.

e.

Mr. Bhavik Dave: Okay. So this number will bear around this 31 to 35,000 people.

Mr. Vijay Shekhar Sharma: Expect continuous growth. And that festive season all being good we will be bigger.

Mr. Bhavik Dave: Okay. And our second question is on the other indirect expenses, which Madhur sir, alluded to and there's a Rs 75-80 crore kind of increase, I didn't get the entirety of the answer in the sense what exactly is this? Rs 75-80 crores? And that seems to be the one-off for the quarter, right? Like in terms of increase in indirect expenses, if you could just throw a little more light on that.

Mr. Madhur Deora: The question was on overall indirect expenses. Not just on other indirect expenses. So what I was saying is that if you just had to look at one-offs, then there are some infrastructure expenses that we have incurred as a part of the transition. And these are the ones that we have tightened our provisioning for aged receivables, specifically for device merchants.

Mr. Bhavik Dave: Okay, okay. All right.

Mr. Madhur Deora: And the one-off nature of these second point is that anytime you tighten the provisions, there is a one-off number and then obviously there is an ongoing number.

Mr. Bhavik Dave: Understood, understood. That's useful here. Thank you so much. Thank you.

Moderator: Thank you Bhavik, next question is from Jayant Kharote of Jefferies. Jayant, you may please go ahead.

Mr. Jayant Kharote: Hello, yeah, thank you. And, congrats on a good set of numbers. Vijay, I have three questions. Firstly, I wanted to start with now that, you know, operations have stabilized, your lending pipelines are laid out and as you said, you're going to grow in tandem with the market landscape moves. So now where do you see the new growth avenues or profitability avenues from a near-term let's say three, four, five quarters outlook, which are the products or segments which frankly are making you most excited? That's the first question.

Mr. Vijay Shekhar Sharma: Jayant, There is no doubt about it, that, in India, commerce is not a bottom-line centric line item. And we've seen that, any kind of commerce, is not going to be

significantly bottom-line accretive. So the other line items are advertising, and you can't talk about financial services. So credit, insurance and wealth in this sequencing as a dollar value, total value basis is what my personal pick would be. And advertising is a by-product of traffic. And all these are the bottom-line accretive.

Mr. Jayant Kharote: Great, that really helps. So credit, insurance and wealth. So just building on that, firstly credit, do you see stumbling blocks in credit card on UPI? Why haven't we seen that volume? It did have an initial pickup last year, but where is that momentum now heading? I mean, what do you ascribe that to?

Mr. Vijay Shekhar Sharma: UPI requires RuPay credit card, RuPay credit card requires new credit card to be issued. New credit card issuance requires the market to improve, market improvement requires rates to improve, so you can see the domino where it is headed and effectively as soon as you see more and more RuPay credit cards in the market. So that's why banks are now replacing, if you will, or issuing the same limit on RuPay credit cards instead of calling them incremental because, you know, you in a parallel world must be seeking credit card portfolios. So that increases what is now secular organic, not catapulting to a very extraordinary number is the reason that growth doesn't look so much. But at the same time, overall credit on credit card on UPI is a great product, very visible. And, it is only for RuPay credit cards. That is why it is where it is.

Mr. Jayant Kharote: Bhavesh had given this number two years out. He was looking at 5% of GMV, sort of, coming from this product. Do you think we are still on track to do something like that in the next, one or two years?

Mr. Vijay Shekhar Sharma: I think I'd add credit card on UPI, plus credit on UPI into this, because maybe the credit on UPI is what NPCI is very actively working upon. So that would bring effectively the apporacquiring side roles remain anything that bears MDR and MDR on both are very similar. So in other words, I would still be saying the same and I would just add credit card or credit on UPI because maybe people don't issue or the banks don't issue credit cards as much, they can issue the overdraft limits.

Mr. Jayant Kharote: Great and one last question on the insurance side, some of our peers have scaled up this two wheeler, motor, consumer products of insurance very successfully now, why are we focusing on the merchant side and not doing both ends - consumer and merchant? What's the thought process over there?

Mr. Vijay Shekhar Sharma: Merchant is more in-person sales that we are able to execute. That doesn't require social media or other marketing channels. So there actually, the merchant side number is bigger than non-revenue line item merchant number is bigger than the consumer actually.

Mr. Jayant Kharote: And in the near term there's no thought process of doing the consumer side from your end?

Mr. Vijay Shekhar Sharma: No, no, we'll do it. I mean health is something that we are trying and we are seeing good product buildup. So we will

illandweareliketoldyouinsequencing,credit,insuranceandwealthasadollarvalueincrease.Whilewealthisamaturerproductforusso wewoulddomore,wealthandinsurancewise.LikeIsaidit,wearenowbuildingtowardsamoreconsumersideandbringingthataasanatten tionpoint.

Mr. Jayant Kharote: Great, Thank you very much. And congrats once again for a great setup.

Mr. Vijay Shekhar Sharma: Thank you so much Jayant, thank you.

Moderator: Thank you Jayant. Next question is from Grishma Shah of Envision Capital, Grishma you may please ask your question.

Ms. Grishma Shah: Yeah, excuse me. Good evening to the management team. And thanks for the opportunity. Just wanted to know your thoughts. Partly you addressed it, but, you know, if you look at the payment to consumer, line item Rs 84 crores of revenue this quarter, roughly. We don't have wallets. We don't have FASTag, postpaid loans may not come back in the future. So, while we understand that you want to cross sell, you're waiting for approval to bring in more consumers here. Very tough to estimate when the wallet will come back. So if you could give some idea on that?

Mr. Vijay Shekhar Sharma: Ma'am, first of all, you very well have zoomed in, and these are the factors. I would rather add and correct a few more factors. So consumer payments, number one, wallet, number two, rent payments, and, number three, like you said, postpaid loans which were interchangeable revenue. Right. These three are the bigger consumer side of the products.

When can the wallet come back? We are very hopeful that it should someday, in partnership or otherwise, come back at the same point in time right now. We rather are focused on products before that, like stabilizing relationships with banks on UPI technology. Like in the earlier question I answered, and at the same time stabilizing and bringing the merchant back. So are we working on the wallet to be brought back, or are we working on other systems to be working, scaling? We are right now working on other systems for scaling. We hope and wish that it should come back, but we don't have a direction towards it.

Ms. Grishma Shah: Okay and the approval from the NPCI should come during this fiscal?

Mr. Vijay Shekhar Sharma: On consumer adding?

Ms. Grishma Shah: Yes, sir.

Mr. Vijay Shekhar Sharma: We definitely believe that it should definitely come, during the fiscal. Definitely, Unless something extraordinary happens.

Ms. Grishma Shah: Okay, thank you and good luck.

Moderator: Thank you Grishma. Next question is from Aashi Anand, Aashi you may go ahead with your question.

Mr. Aashi Anand: Yes, hi, I actually had a question about extension of Grishma. If we look at the consumer payments GMV, excluding discontinued products, this is down about 20%. From an index perspective. However, consumer payments revenues are down 80%. I just want to understand, can all of this be ascribed to higher profitability on the 2 or 3 products that have been discontinued, or are there any other factors at play?

Mr. Vijay Shekhar Sharma: You very well said it already that the products that got discontinued were very highly profitable.

Mr. Aashi Anand: Okay, excellent, thanks a lot.

Mr. Vijay Shekhar Sharma: Thank you.

Moderator: Thank you, we have a repeat question from Vijit Jain. Vijay, you may please go ahead.

Mr. Vijit Jain: Yeah, thanks. So just two questions. One, I just wanted to get a sense of, you've obviously telegraphed that you look to cut Rs 400 to Rs 500 crores in annualized employee expenses, and you have pretty much done that in this quarter. If I look at December versus June quarter. So is it fair to say that, most of the actions that you needed to do on the team side are now behind, and, you would look to grow the team, in line with how the product evolves from here.

Mr. Vijay Shekhar Sharma: Vijit, I would add one extra line item here that the total impact that can be visible in finances is actually, as you can understand, there are notice periods, etc., etc. so that is yet to come a little bit more.

Mr. Vijit Jain: Okay, great, got it, thanks Vijay. And Vijay my last question. You know, with the device thing, you and Madhur mentioned about the aged receivables impact because of some devices which went inactive and then, you redeployed them. So I'm just trying to understand, during this whole last six months, you would have had some mer

chants drop off from devices. Were you able to recover most of these devices from merchants who dropped off and redeploy them? Or, you know, whether some devices that you would also have had to write-off.

Mr. Madhur Deora: So, normally what we do is we have reactivation efforts, right? So obviously when a merchant becomes inactive, your first few months of effort is to reactivate them as opposed to picking up the devices. If only a merchant is inactive for longer, we would look to pick up the device and refurbish and redeploy it. And even that is worth doing. But obviously, from a RoI standpoint, it's much better to try to reactivate the merchant. Also because, this inactivity, the merchant that went inactive were due to an external factor. It's not like the merchant's behavior changed or something. It's just that maybe they saw some press news or whatever else and got confused and thought their device would stop working. And that's the reason they went inactive.

So our effort should be actually even more on reactivation in this case, because the merchant may not have sort of just voluntarily one day chosen not to use the device. So we will move towards a period of reactivation efforts. And only after that, think about picking up these devices. Unless the merchant has expressed a specific desire to not continue. On the other hand, from a financial standpoint, we want to be conservative, right? Which is why we have increased the provisioning because, in a situation where if I'm not able to, if I have some money due from a merchant and the merchant has stayed inactive, then I want to get that off the books here.

Mr. Vijit Jain: Got it, Thanks, Madhur.

Moderator: Thank you, next question is from Nimesh Shah of Emkay. You may please go ahead.

Mr. Nimesh Shah: Yeah, Thanks for the opportunity. So I had one question on the devices front. If you could just, call out what would be the subscription revenue per month per device, for this quarter?

Mr. Madhur Deora: So, on a device basis, we get about

■

80 to

■

90 per month per device.

Mr. Nimesh Shah: Got it. And, what would be the Capex guidance, if you have any, for this year?

Mr. Madhur Deora: We are actually working through that for this year. The reason is tied back to the question that Vijit had asked. That if you

have inactive devices, at some point, you would be picking up a percentage of those and refurbishing them and redeploying them. But it's safer to say that our capex this year will be lower than our capex next year, quite meaningfully or last year. Sorry, sorry. Our Capex this year will be meaningfully lower than our Capex last year.

Mr. Nimesh Shah: Got it.

Mr. Madhur Deora: Yeah, Sorry. That's all I vetosay.

Mr. Nimesh Shah: Yeah, Okay. Thank you.

Moderator: Thank you. Next question is from Manish Shukla of Axis Capital. Manish, you may please go ahead.

Mr. Manish Shukla: Yeah, good evening and thank you for the opportunity. On personal loans, just curious, why is the ticket size flat YoY if we had stopped doing the small ticket personal loans for the last six, nine months?

Mr. Vijay Shekhar Sharma: Why is the ticket size?

Mr. Manish Shukla: Flat on a YoY basis? The personal loan average ticket size is disbursement. I would have expected that that would have trended higher, given that you've stopped doing small ticket personal loans for more than six months.

Mr. Madhur Deora: Actually, the percentage of small ticket personal loans was very small, I think from what I remember in December, early December when we had spoken about this, it was 10 or 12% by volume and by value, I think it was close to 5%. So it wouldn't really change the number very much, Manish, and the rest of it could be variants of the remaining 95%.

Mr. Manish Shukla: Okay, one of the notes to the accounts says that the FVTOC is all PayPay. So what is the carrying value of PayPay investment as of the end of June?

Mr. Madhur Deora: I can get that to you separately. I don't have that offhand. But yes, all of that is related to PayPay. And just to clarify, it is related to forex movements. So this quarter we haven't had any change to the underlying value. It is basically forex movements between yen and rupee. And I think they have depreciated slightly against the rupee.

Mr. Manish Shukla: Yeah, But we don't have the balance sheet. So we don't know the number for 31st March as well, right, so..

Mr. Madhur Deora: I'll get you that number for 31st March, we'll put that out there.

Mr. Manish Shukla: Sure, Thanks. Last question on personal loan disbursement. I joined the call late. And so my apologies if this has been answered. The monthly run-rate in March and April was Rs 1000 crore plus, but this quarter, on a full quarter basis, we've done about Rs 2500 crores. So what are the numbers that we are looking at going forward?

Mr. Vijay Shekhar

Sharma: Personal loans are going through two of the buckets, as we discussed last time, that we are only going through disbursement of large ticket loans, which is only like we just learned 90-95% of them were earlier the large ticket only. But the intention is to define these loans as disbursement only, where our role and responsibility is not led by collection. So now these loans are susceptible or obligatorily linked to the wider credit situation or context of the market. So till the time period, market or regulatory guidance to the small credit or these are under, these still are counted as small credit even though not less than Rs 50,000, goes back up. This is not going to grow very dramatically.

Mr. Manish Shukla: Sure, Understood, Thank you, thank you.

Mr. Madhur Deora: So Manish, I just wanted to add to your previous question. In October and November of last year, we had disclosed previously that personal loans less than Rs 50,000 was 3-5% of disbursement. So it was already a fairly small percentage. We had been reducing ticket size through 2023 as well. So at the beginning of 2023, that number is close to 7 to 9%. So most of the change that you have seen was a real difference more than a year ago.

Mr. Manish Shukla: Okay, Understood.

Mr. Madhur Deora: And the carrying value for PayPay is roughly for our stock acquisition right and PayPal's roughly Rs 2000 crores.

Mr. Manish Shukla: Sorry, 2000?

Mr. Madhur Deora: Rs 2000 Crores, Yes.

Mr. Manish Shukla: Okay, Thank you.

Moderator: Thank you, next question is from

Sumeet

Kariwala of Morgan Stanley. Sumeet, you may please go ahead.

Mr.

Sumeet

Kariwala: Yeah, hi, good evening everyone. Thanks for the opportunity. And, great to see the business stabilized. Now, as we do that, you know, I had a question from a medium term perspective. If you can highlight, what would be the sustainable growth rate from a three year perspective? Where would contribution margins and EBITDA margins kind of stabilize from a two year perspective? Nothing for fiscal 25-26, but if you take a two-three year outlook, how should we think about the business now? Post all the changes?

Mr. Vijay Shekhar Sharma: Well, Sumeet first of all, thank you so much. We believe that it should be growing very comfortably now that the base would become smaller. If you notice we were able to do very healthy 35 plus percent growth, any which way on a larger base. So you can build or we can at least expect to improve that number.

Mr. Madhur Deora: So Sumit, I'll just add. I think if you think about the payments business, the GMV growth is very strong and especially on the merchant side, our position is very strong. And before these events, we were actually growing market share quite meaningfully. So while we have had some reduction in market share from February to May, there's no reason why we should not be on an increasing market share trajectory as well. So I feel pretty good about obviously the overall payment volumes in India, growing 30, 40, 45% comfortably. And the merchant side share is increasing as well. So that's, that's on the payments side.

On loan and distribution, obviously one has to be very, very, very cautious through the cycles, as we have been. But, even if you have to sort of put aside any recovery related tailwinds, again, growing loan and distribution business, given how low our penetration is by 30 to 40%, is the sort of thing that we should be aiming for. I think Vijay, in the document we have talked about, in our key focus areas, also insurance and wealth, which are not massive contributors to our business right now. I think together

they are probably about 3 to 4% of our overall revenue. But the reason why we're talking about those is these are places where we are allocating resources, not from an FY25 perspective, but really from a sort of future growth drivers perspective.

So we think that they can add percentage to our topline. In terms of margins, obviously, we are currently on a path back to recovery, to profitability, and Vijay talked about it at the beginning of the call. Medium term, we do want to get to sort of high double digits or close to 20% EBITD

A margin. But I think the overall platform can do much better than that. But over the next, if you had to say over the next 3 or 4 years, that's what we should be aiming for.

Mr.

Sumeet

Kariwala: Yeah, and just one small follow up. Broadly, this 15-20% range should be a fiscal 27 kind of an event. I know there's, I'm masking a little, but just trying to think, whether it's fiscal 27, 28, 29 or in this sense because things are stabilizing now, Fiscal 26, and Fiscal 27, if they are good, Fiscal 27 could be that kind of a year or it's further out.

Mr. Madhur Deora: Yeah, Fiscal 27 and Fiscal 28. Those are the ranges which should be in. And I think longer term we can be higher.

Mr.

Sumeet

Kariwala: Perfect, thanks a lot.

Moderator: Thank you Sumeet, and the next question is from Aman Vij. Aman, you may please go ahead.

Mr. Aman Vij: Yeah, yes. Good evening sir. My first question is, so basically on the merchants, the penetration of the devices. So this number used to be around 10%, which has now moved to around 25%. So could you talk about how much higher can this number grow to?

Mr. Vijay Shekhar Sharma: Over the overall merchant base penetration was 10%. Is that what you're saying?

Mr. Aman Vij: Yeah, it was 10% two years back. Now it is around 25%, right? We have one crore devices for four crore merchants.

Mr. Vijay Shekhar Sharma: Oh got it, got it. So obviously right now there is no doubt about it that we were redeploying or capturing the current merchant base, visiting them. And then when you revisit then you find out that they are a soundbox customer. So you're looking at it at the same time. There are both numbers increasing the overall TAM of the number of merchants, which are Paper QR, and then the number of merchants that are soundboxes.

And I think that now there is a new trend in India that the new shop is happy to take a soundbox day one, so in other words, we would be able to get, subscription paying merchant on the day one instead of earlier, where they used to have a QR code based transaction volume and then graduate to soundboxes.

Mr. Aman Vij: So, sir..

Mr. Vijay Shekhar Sharma: This percentage is not the funnel mathematics basically. I mean, I'm trying to say we basically could be deploying a hundred thousand of merchants, which are first timers on Paytm platform directly on device.

Mr. Aman Vij: So the question is a little long term, say one to say one to two years down the line. Do you think this number, which is 25% now, can move to even 30 to 40% because like you are saying..

Mr. Vijay Shekhar Sharma: Rather should be 100%

Mr. Aman Vij: Yeah, the incremental will be 100%. But overall out of..

Mr. Vijay Shekhar Sharma: I mean, overall, like I said, any which way the number of merchants that take payment using soundbox become higher transacting merchants and soon. So we prefer to onboard merchants or transfer merchants to soundboxes. So I mean this penetration percentage, we don't look at it like that. And like I told you why, because we rather believe this merchant who is paying a subscription is a better merchant.

Mr. Aman Vij: Make sense. Next question is on the soundbox part only. So could you talk about, in terms of whatever is your estimate, what is your estimate in this product? Because we were the first in this product. But now, competitors are also catching up. So according to your estimate, what is our current market share in this soundbox product?

Mr. Vijay Shekhar Sharma: I don't know, there is no number from the market. I mean, there is nobody who captures total soundbox deployment.

Mr. Aman Vij: Sure and for our mix in terms of the POS machines and soundbox, is it still more towards the soundbox or has the shift moved towards the POS machines?

Mr. Vijay Shekhar Sharma: As you said, we are pioneers of the soundbox. We will expand on the soundbox and add cards to that. Instead of making EDC pick up a soundbox. You know what I'm saying?

Mr. Aman Vij: Makes sense sir. So just, I want to clarify. So the number which you mentioned is 7.8 crore monthly transaction users, does it include the merchants as well as the users?

Mr. Vijay Shekhar Sharma: No, we basically, I mean, total customer on the platform should be A plus B and minus of the dedupe.

Mr. Aman Vij: Sorry, I didn't get it.

Mr. Vijay Shekhar Sharma: Merchants plus consumers, plus certain people who are both that. Removing those, that's what I'm saying. The number does not include that.

Mr. Aman Vij: Okay, so no double counting, but it includes the number of merchants we have as a transacting user.

Mr. Vijay Shekhar Sharma: No, it does not include those people as in this number. I'm rather saying the total number of platform users will be consumer plus merchant minus certain consumers who are both merchant and consumer. And the 80mn is only one side of the number, not the both sides numbers. And the point I'm trying to put up is that we are not talking about active merchants into our active consumer count. We call it consumer, not customer, while customer on the platform is consumer plus merchant.

Mr. Aman Vij: Okay, that makes sense. Final question I had, you had talked about how we have focused more on merchant loans, basically. So in terms of the, there's two parts payments and the loan distribution side. Again, the question is on the market share, in your understanding, what would be our market share in this merchant loan payments system?

Mr. Madhur Deora: Sorry, can you please repeat again?

Mr. Vijay Shekhar Sharma: Aman, we don't know who else does

offer how much they do it, and banks directly do it and other NBFCs do it. So we can't say a market share of a merchant loan to a merchant. You know what I'm trying to say. There is no denominator which we know of to the numerator of our number.

Mr. Madhur Deora: So Aman, just to be clear on this, what we want to stick to sort of published information and some of the questions that you are asking, we don't really have published information on, and you know, like I said, when we are pioneers of this product and I can confirm this is product, so we just continue to expand the market and there have been interesting learnings along the way. Like Vijay was saying that a

lier, merchants were upgrading from QR to soundbox. Now the merchants want soundbox as their first payment product and soon. So that's the bottom up opportunity that we see and feedback that we execute on, we don't really have. There might be research out there, but we don't really have market share information to share.

Mr. Aman Vij: Sure, sir. Yeah, these were the questions. Thank you.

Moderator: Thank you. We will take the last two questions. I mean, two participants after this. We'll start with Deepak Mendiratta. Deepak, you may please ask your question.

Mr. Deepak Mendiratta: Hi, thank you for the opportunity. I have one very, very small doubt. I'm not sure if it has been covered. How do you see the sustainable taker rate on the financial instrument, on the financial lending side? And apologies if it was covered earlier.

Mr. Madhur Deora: I think we've mentioned in the last earnings release that it's 3 to 3.5% in this part, you talk about, I just to clarify, you're retalking about taker rates on loans, right?

Mr. Deepak Mendiratta: All right, Thank you, thank you.

Moderator: Thank you, next question is from Nitin Aggarwal of Motilal Oswal. Nitin, you may please ask your question.

Mr. Nitin Aggarwal: Yeah, Hi Good evening, everyone, and thanks for the opportunity. I have two questions. First, if you can talk about how has been the success rate in re-activation of dormant UPI customers because we have lost a fair bit of customers over these months. And do you really see any room to increase MTU until we are allowed to onboard new customers?

Mr. Vijay Shekhar Sharma: Rather, there is a little bit of month on month increase but not material enough. Yes. The short answer there is. And by the way, the total TAM of people whom we could bring back is about 183 million.

Mr. Nitin Aggarwal: Okay, And how has the success rate been so far, in your engagement with the customers of this 183 million therefore what is your sense?

Mr. Vijay Shekhar Sharma: I mean overall, if you remember last time I was saying that we were interested in materially valuable customers. So materially valuable customers are those who can be monetized and soon and so forth. And, we are also augmenting our product, as you are aware, right

now, the product back end is something that we are working with banks. So we have not gone aggressive basically, the short answer is that, because multi bank, partnership, workflows you know lot of things.

Mr. Nitin Aggarwal: Okay, sure. And, this is a taker rate, in guidance that you've suggested, 3-3.5%. So, but at the same time, you're really looking into expanding into these secured lending products. So any specific plans as to which all products you will want to initiate with the lenders and, what size you are looking at when you look at this taker rate guidance over the coming years.

Mr. Vijay Shekhar Sharma: I think the taker rate guidance on loan is, as you are very well understood, that it is dependent on the product mix. It is not like a disbursement mix. And if our disbursement of secured credit, namely LAP, loan against property or loan against gold or loan against securities, all those kind of things happen, then the numbers will be different.

So have we seen those numbers yet coming in, so these are in the integration process. And we'll see as this comes and like you said it very well. The taker rate is an outcome of the kind of mix of products that we're talking about. And right now the mix stays the same. So that is why we are talking about the same taker rate. But like you said, if we end up growing secured credit dramatically bigger in ratio, it will show up in those kind of numbers.

Mr. Nitin Aggarwal: And are we already doing any pilots here on secured lending?

Mr. Vijay Shekhar Sharma: Yes.

Mr. Nitin Aggarwal: Okay, yeah, sorry. And the last thing is like, how do you really look at the broking distribution and the other financial incomes? Like, how big can that be as a lever over the..

Mr. Vijay Shekhar Sharma: Mutual fund distribution can be really, really big because this is equivalent to building a book, because we have done, there are two kinds of business models in mutual fund distribution

, as you are aware, which is director, where the platform charges the fee or earns income. So we have started to expand on the fees income kind of model. And then numbers are growing very, very well. So I do believe that mutual fund distribution and insured distribution over the period will become the third leg like payment credit and mutual fund distribution or plus insured distribution. And for insured distribution, we've been able to find both sides takers, consumer and merchant.

Mr. Nitin Aggarwal: Right, right, Sure. Thanks Vijay. Thanks so much, Thank you.

Mr. Vijay Shekhar Sharma: Thank you, Nitin.

Moderator: Thank you, that was the last question. A replay of this earnings call and the transcript will be made available on the company website subsequently, Thank you all for joining.

Mr. Vijay Shekhar Sharma: Thank you everyone. Thank you so much for joining, Thank you, Byebye, Have a good day.

Call: Oct 2024

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Registered Office - 136, First Floor, Devika Tower, Nehru Place, New Delhi -110019 One 97 Communications Limited

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October 29 , 2024

BSE Limited

Department of Corporate Services

Phiroze Jeejeebhoy Towers,

Dalal Street, Fort,

Mumbai - 400 001

Scrip Code: 543396 National Stock Exchange of India Limited

The Listing Department

Exchange Plaza ,

Bandra Kurla Complex,

Mumbai - 400 051

Symbol: PAYTM

Sub. : Disclosure under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements)

Regulations, 2015 - Transcript of the earnings conference call conducted on October 22, 2024

Dear Sir / Ma'am,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations,

2015, please find enclosed the transcript of the earnings conference call, conducted on October 22,

2024, on financial results of the Company for the quarter and half year ended September 30 , 2024.

The transcript is also available on the website of the Company at <https://ir.paytm.com/financial-results>.

Kindly take the same on record.

Thanking you

Yours Sincerely,

For One 97 Communications Limited

Sunil Kumar Bansal

Company Secretary and Compliance Officer

Encl. as Above

Paytm|Q2FY25EarningsCall|

Call Date: October 22, 2024 | Time: 17:00 PM Indian Standard Time

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It is clarified that this earnings call, and the information discussed and presented herein, is not intended to be an offer for subscription or sale of any securities or inviting offers or invitation to offer or solicitation to offer from the public (including any section thereof) or any class of investors. No rights or obligations of any nature are created or shall be deemed to be created by the information presented and discussed on this earnings call. This document has not been and will not be reviewed or approved by any regulatory authority in India or by any stock exchange in India. No rights or obligations of any nature are created or shall be deemed to be created by the contents of this document.

Moderator: Thank you for joining and welcome to Paytm's earnings call to discuss our financial results for the quarter ending on September 30th, 2024. We will start our call with Q&A after introduction to the management. From Paytm's management, we have with us Mr. Vijay Shekhar Sharma, Founder and CEO, Mr. Madhur Deora, President and Group CFO and Mr. Anuj Mittal, SVP, Investor Relations. After a few standard announcements before we begin. The information to be presented and discussed here should not be recorded, reproduced or distributed in any manner. Some statements made today may be forward looking in nature. Actual events may differ materially from those anticipated in such forward

looking statements. Finally, this earnings call is scheduled for 60 minutes. A replay of this earnings call and transcript will be made available on the company's website subsequently. We will start our Q&A now. If you seek to ask a question, kindly utilize the raise hand feature on your Zoom dashboard. Please ensure that your name is visible as your name, last name followed by your company name for us to be able to identify you. We will unmute your line and take questions in the respective sequence of the raised hands. Our first question is from Alok Srivastava from UBS. Alok, you may please go ahead.

Alok Srivastava: Yeah. Hi, everyone. I think the first question is if Madhur or Vijay, if you could explain this DLG model with an example in terms of how revenue will accrue, how cost will be there, I think it will be helpful for everyone.

Mr. Madhur Deora, President and Group CFO: Yeah. Hi. Thank you Alok, I can begin to answer that. So, as you know, in our previous model, without DLG, which is a model that we continue with certain partners, we have a sourcing fee, which we have described earlier as 3.5-4%. So that continues as is. We give a DLG to our partners upfront, which obviously is well within the regulatory guidelines. So we give that DLG we have, as mentioned in the earnings release, we expensed that entirely currently in the quarter in which it was given. So in the last quarter we have expensed all the DLG that we have given and as a result of this, we get higher collection revenue during the life of the loan. The overall take rate, net of DLG, still works out and here we're talking about merchant loans because we have given data only for merchant loans. The overall take rate during the life of the loan, net of DLG cost, still works out to be north of 5%, which was, which is, and as you know earlier we did not have a concept of net of DLG cost. So we had an overall take rate. We think that the overall take rate will still be north of 5%, net of DLG cost. So we do expect a significant amount of collection revenue over the life of the loan under the DLG model.

Mr. Vijay Shekhar Sharma, Founder and CEO: This is Vijay. Thank you for joining. Also, I would go ahead and say that we were reviewing our all regulated businesses and we were seeing what is the market practice and regulatory, sort of guidance on those businesses. And as you are aware, the more or less industry had matured or materialized and had reached towards a DLG based structure. While our commercial model never had any challenge from many audits, etc. but our lenders did look at it. But we were more about that how can we make the business very much aligned to like what everybody else does? So there, the commercial model and viability, we waited till the month where we were able to see that we have enough income. So we have reported in the quarterly earnings that we have actually taken the DLG amount that we paid as a cost in the provision, the cost in the quarter and I'm very happy to say this, that it does not change our profit guideline. We are going to make larger money and this is going to be helping us net

the DLG cost, if at all, any quarter we are assigning in that, and expectedly every quarter they will be DLG cost and I also want to extend next further that DLG costs, as you are aware are going to be paid back to us, so higher revenue. So, in any way, the business does not require additional equity capital or investment because this is a rotation. Money is a rotation here.

Alok Srivastava: Okay, sure just a follow up on this, Madhur, this 5% net that you'll be making, is it over and above the upfront fee that you will make on the loan?

Mr. Madhur Deora, President and Group CFO: It's the total money that we make. So we make a sourcing fee upfront, we have DLG cost upfront, and then we have collection revenue over time. The total of all of that, net of the upfront DLG cost that we talked about, will be north of 5% or is expected to be north of 5%.

Alok Srivastava: Sure and typically, are we talking about a tenor of 12 months or so?

Mr. Madhur Deora, President and Group CFO: Yeah. So the average tenor is about 12 months, I mean, most of our loans are 12 to 18 months. There can be some which are slightly longer, some which are slightly shorter but yes, that is in the ballpark of what we do.

Alok Srivastava: Sure, sure, Madhur. That is helpful. Secondly, on net payment margin, I think my calculation is suggesting some three and a half basis points NPM, that's roughly a basis point improvement over last quarter. So how has this happened? Has there been some change in mix or something which has driven this improvement?

Mr. Madhur Deora, President and Group CFO: I won't comment on exactly what the improvement was, but yes, it has gone up, as we have indicated in our earnings release, that has been due to largely better monetization of merchants as well as control over our payment gateway costs. So it has been on both sides.

Alok Srivastava: Okay and should this be the run rate that we should be looking at in coming quarters?

Mr. Madhur Deora, President and Group CFO: Yeah. We do think that we should be able to manage and we should be a

ble to maintain these sort of levels, going forward. We do have some quarterly volatility, maybe because of festive being slightly better, slightly worse and soon and obviously, I'd just like to point out here that all of these numbers are excluding UPI incentive. So including UPI incentive, for the year, we expect our payment processing margin to be significantly higher.

Alok Srivastava: Sure, sure. Thanks a lot, Madhur and Vijay. Thanks. All the best.

Mr. Madhur Deora, President and Group CFO: Thank you.

Mr. Vijay Shekhar Sharma, Founder and CEO: Thank you.

Moderator

: Thank you. Thank you Alok. Next question is from Aditya Bagdia of Buoyant Capital. Aditya, you may please unmute your line.

Aditya Bagdia: Yeah. Hi. Thanks for the opportunity and congratulations on a good set of numbers. So just one question, like you have mentioned in the presentation about increased monetization of the devices which were not in use. So if you could just highlight your strategy on that and what would be the rough takerate on those devices right now.

Mr. Madhur Deora, President and Group CFO: So just to be clear, yes, we are focusing on increased monetization from our devices. The core piece of that, of course, remains subscription revenues and those subscription revenues have been inching slightly upwards as we get, as we get greater active rates and soon. We have talked in the release about reactivations but also pick up refurbishments and redeployments. So we're quite focused on that. So the core of it is subscription revenue. I think we have given a couple of examples of other places where reactivated devices can also give us increased revenue, and there have been a couple of examples of that but just to be clear, that relates to active devices, not to inactive devices.

Aditya Bagdia

: Okay. Thanks and what would be the subscription revenues for the quarter, like is there a change if you redeploy an inactive device?

Mr. Vijay Shekhar Sharma, Founder and CEO: Aditya, the interesting thing is that once we pick up a device, that merchant does not remain a merchant any more with us because we picked up the device. So one number gets reduced there but if we refurbish and redeploy the device, we did not incur a capex of the size of typical capex. We did incur some refurb cost, which in turn signed up a new merchant. So what we've done and we've written in the detail there, is

that we will continue to pick up or recoup the devices from the market if the merchant is not more using them, refurbish them and redeploy so that it shows we are trying to say we will monetize the device. I hope I'm detailing it and you can ask which part I should detail further please.

Aditya Bagdia: Sure Sir, fair enough, fair enough. Thanks a lot. That's all.

Mr. Vijay Shekhar Sharma, Founder and CEO: Thank you.

Moderator: Thank you. Next question will be from Siddharth Gupta, followed by Pranav Gundlapalle of Bernstein. Siddharth Gupta, Voyager Capital. Can you please unmute your line and ask your question?

Siddharth Gupta: Okay. Hi. I hope I'm audible. Good evening gentlemen, great set of numbers. I have a couple of questions. Firstly, on the DLG model if you could elaborate on the difference between the takerate we'd have on non-DLG loans and on the DLG loans. Secondly, do we plan on extending this DLG model to our other lending partners as well and if we have an internal cap that we wish to have on the kind of models that we have set around Rs 225 crores for this particular lender and, third, I wanted to understand if we have any plan on, moving back towards a wallet business with tie up with a potential bank in the future.

Mr. Madhur Deora, President and Group CFO: So maybe I'll take the first two questions in which I can address the wallet question. So, our net takerate, for the DLG business, like I mentioned, should be a little bit north of 5% over the life of the loan. So when I'm saying net, that is net of DLG cost, that is not dissimilar to loans which are without DLG. I think the key thing that matters in a loan really is, as you can imagine, so, you know, interest rates and soon but also what is the credit loss. And that is where, as we mentioned, we are seeing improvement in asset quality ever since we restarted doing the merchant loan business in March and April, so we're seeing improving asset quality that's very encouraging.

Our collection performance is also improving so that is what affects the net takerate but compared to the two models, which is where your question was Siddharth, they are quite similar. Of course, in the case of the DLG model, the DLG cost comes upfront. So as this is, once this is ramped up, then it becomes business as usual. But in the first couple of quarters you will see a bit of a drag, right, and obviously we have had the numbers that we have had, despite the meaningful amount of DLG that we have given last quarter.

On your second question, we are open to doing DLG with more partners. I don't think we have a strong preference one way or the other. Like Vijay mentioned, this is the emerging market practice and we are perfectly happy to, you know, be in line with what the market practice is. For various reasons, some lenders may not want a DLG and that is okay as well.

Mr. Vijay Shekhar Sharma, Founder and CEO: Yeah Siddharth, so it's really interesting to know that not every lender has asked for it but we also wanted to. We are particularly looking at the particular type of portfolios, etc. etc. so it is not a wider practice that we are going to go with, and that is why we haven't set a limit on a number here either. In other words, we are not saying that it will be one every loan or not it is going to be with a cap so that's what we are trying to say.

Siddharth Gupta: But then it leaves me open to the question that apart from, say, signaling to the lending partner that we are sort of backing up on the quality of the asset that we are bringing to them, what is our skin, our incentive to kind of go ahead and push forward with this model.

Mr. Vijay Shekhar Sharma, Founder and CEO: I told you a little bit a while back. This has become an industry practice and regulatory best practice. So our interest was to remain within the borders.

Mr. Madhur Deora, President and Group CFO: And the indication that we have also had from partners is that their appetite for doing, for the amount of business they do under DLG model is somewhat higher. So to your point that that signal is not just a sort of qualitative thing, it does actually have an impact on how much business we do from the first standpoint and it is also possible that some new lending partners may have a preference for DLG model versus maybe, you know, less of a preference for non-DLG model. So our focus is, we're seeing enormous amount of demand for very good asset qualities and this is a very profitable business for us. So we do want to try to get into win-win partnerships with other lenders. So if existing partners can scale more and new and new partners, some potential new partners are refin-

ding it easier to start with this model and continue with this model, then we are open to it.

Siddharth Gupta: Okay, got it and may be on the wallet bit?

Mr. Vijay Shekhar Sharma, Founder and CEO

: Can you ask the question again? Were you asking that you want to bring the wallet back again?

Siddharth Gupta: Yes, are we envisaging bringing the wallet back with another banking partner, or is it a product that we've put on hold for now, for the foreseeable future?

Mr. Vijay Shekhar Sharma, Founder and CEO: The Paytm wallet was operated by Paytm Payments Bank, which is under regulatory supervision right now, we would wait for a clear direction on that side first.

Siddharth Gupta: Okay. Thank you.

Mr. Vijay Shekhar Sharma, Founder and CEO: Thank you.

Moderator: Thank you. Next question will be from Pranav Gundlapalle of Bernstein, followed by Rahul Jain of Dolat Capital. Pranav, you may ask your question now.

Pranav Gundlapalle: Hey. Good evening. I'm just going to go back to the question on DLG. While the average takerate would be the same versus the earlier arrangement. Would the sensitivity of the revenue to asset quality change with this model versus the prior model?

Mr. Madhur Dora, President and Group CFO: I think over the last 4 or 5 years since we have started doing merchant cash advance or merchant loan business, we have seen asset quality in a relatively tight range, right and obviously, we have disclosed that every quarter, as you're aware. I think within those ranges, and I would say even give or take a couple of percentage points as much as a couple of percentage points, on expected credit loss, we don't expect the net takerate to be different or to be different than what I just mentioned earlier. Right. So the answer is that in all reasonable scenarios, we don't expect that to be different. In theory, it can be different because it is a little bit more dependent on collection revenue but, as long as our expected credit losses are in that range or even somewhat higher, we don't expect the way this model is out is that you will get enough and more collection revenues so that the net takerate will be, like I mentioned, north of 5%.

Pranav Gundlapalle: Understood, so, yes, I think, you know, in normal circumstances, it probably would remain the same. I'm just trying to understand, let's say there's zero credit losses for a portfolio. Would we end up with much higher revenue? Similarly, if there is doubling, would we end up with a much lower revenue?

Mr. Madhur Dora, President and Group CFO: So if you had zero credit losses, we would expect we would have much higher revenues, much higher net takerates. If you had even meaningfully higher ECLs, we would still end up with, through the life of the loan, roughly the same net takerate. Of course, in a theoretical scenario where we breach, you know, like you mentioned, 2x, then yes, our collection revenue would be lower but like I mentioned, and it's mentioned in the earnings release as well. The reason why we are doing this is to release more capital, our lenders are very confident of the business. We are very confident of the business, we are seeing improving asset quality. Our lenders are committing more capital on the back of it and the timing, in addition to the regulatory and the market practice, the timing has been when we feel comfortable that we're not going to have such scenarios.

Pranav Gundlapalle: Understood. Now, I'm just trying to understand the benefit for the partners so that was the basis of the question. These second question is your cost base. You've seen, again, a material reduction this quarter versus last. Would it be fair to say this is a new base or is there room for further reduction in the near term?

Mr. Madhur Dora, President and Group CFO: At the moment we are guiding to this being the new base, although we continue to look at our cost base, particularly on people, software costs and other indirect expenses, which is the largest chunk, about 85% of our other indirect expenses to continue to find optimization opportunities. I'm optimistic that we will find such opportunities like you may remember, last quarter we had guided to 5% to 7% for the reduction on the back of full quarter impact and soon, we exceeded that on employee cost. So we continue to remain very disciplined on trying to find as many areas as possible and, yeah. So I think that is an ongoing exercise and to find more and more opportunities, including AI driven opportunities to

inefficiencies.

Mr. Vijay Shekhar Sharma, Founder and CEO: Pranav, this is Vijay. I'd like to add a couple of points on both line items. Important to note that if you notice our contribution margins, they have gone back to near 55% without any UPI incentive, which is the guidance that we had done with the UPI incentive and in my belief, this is going to be the new norm. We are very hopeful and sure that it should not cross or go much lower than these numbers and UPI incentives, sort of what comes out will become on top of profit number one.

Number two, there is one large cost. Pranav, because I love the way you write those notes and I love to read them, I want to tell you that there is a cloud cost, a pretty large amount of cloud cost and we've seen one of our industry peers make a cloud in a capex model instead of an opex model and that's another way to look at the cost structure there. So personally I would operate that as AI comes further and further, it will become that we are far more profitable on a point to point basis, but we are far more capital efficient also in using the capital the way this is meant to be. So, I personally remain committed that technology wise for a per transaction and for per bit of revenue, we should lower cost for people, lower cost of machines and as you are aware, we are talking AI, which is a little bit of cost, but we would remain even further cost efficient on that. The model that we are deploying and the cost that we are incurring on them are phenomenally low.

I'm very happy to tell you we in literally ten months, reduced 60% of our manpower cost on support and that was so good and this was all triggered by Klarna's blog post that you would have seen out there and we internally have created AI VR. You can talk to a machine like it is a human. So interactive VR response that used to be front end for the merchants, now there is a single model that is answering them on a text, and if you want to continue the call, it will continue there and the agent will also know this. So these are even opportunities to fork out and to be fully independent technology and software businesses.

I'm very hopeful, like Madhur is saying, that this is a new norm, that we will be further finding out ways of our cost, but not necessarily in people, but on an operating cost which are beyond people's costs. The point is that, and I also believe that our business with this new DLG model that we've done will bring us more capital towards credit disbursement to the merchants, and this is more of a future forward underwriting that our lenders have learned over the period and the quality that they have seen. Remember, the quality that they saw in last quarters gave us more revenue is the reason that we earned more credit revenue and more financial services revenue that we've written in the earnings release. So you're talking about higher margin business getting more excess of growth, opportunity of growth while the machine based leverage is growing this. So I'm personally hopeful. Let's see what goes up in the future.

Pranav Gundlapalle: Understood, that's super helpful. Thanks a lot. All the very best.

M o d e r a t o r : Thank you Pranav. Next question will be from Rahul Jain of Dolat Capital, followed by Jayant Kharote of Jefferies. Rahul, you may ask your question now.

R a h u J a i n : Yeah. Hi. Firstly, on the personal loan and distribution business, when you see things turning better and the way we would like to grow in this space, and from the revenue recognition point of view, do you see the taker rate to ideally go up by 50 to 100%?

M r . M a d h u r D e o r a , P r e s i d e n t a n d G r o u p C F O

: Sorry. Can you just repeat the second question? Rahul, explain that before I answer both questions.

R a h u J a i n : Yeah. I'm saying in general, for the total business, do we see the taker rate going up by 50-100% in the lending business.

M r . M a d h u r D e o r a , P r e s i d e n t a n d G r o u p C F O : So on your first question on personal loan and distribution, we have done a fairly good job of disbursing about Rs 1600-1700 Crs last quarter. But we do recognize, as we mentioned in the release, that we have more work to do. I think we have done a decent job this quarter of adding some new lending partners, and we do hope to add more lending partners in the next quarter as well. I think that is critical for us. That's scaling the lending partners that we have added last quarter. All those lending partners are relatively small on the platform right now. As well as, you know, adding and scaling new partners, that really is the way we want to grow this business. I think we've been talking about that for the last two quarters. I think once we are able to do that and hopefully in the next when we're talking a quarter from now

we will have more proof points to show to you. We'll be very confident of scaling this business because the market opportunity is massive. It's just that, you know, you

have to bring in as much supply as you can and as quickly as you can so that is the key, in terms of, how does this business scale.

There are other factors, there are other tailwinds that could also exist. We are seeing in some sense enough demand. Right. So the number of key financial services customers that we had last quarter was about 6 lakhs. But this one is obviously a subset of that. So there is enough and more demand. I think it is fair to say that in the early days, us and some of our partners are being quite cautious as well. So there is an increasing penetration opportunity. Finally, I would say, it is important and it is what it is that we are going through a very cautious phase of the cycle, as it should be, both for us and our lending partners. So maybe 6 or 12 or 18 months from now, that sort of overall market backdrop is more supportive.

With respect to your second question, we do expect our lending, or, sorry, financial services revenue to continue to scale up. On a QoQ basis, we did have a very good quarter on the revenue side, despite the fact that the volume disbursed, the number of Financial Services customers did not go up very fast, but we did get better revenues. This does create a base for us to continue to scale it. I think as we get more volume through our platform on both, Merchant Loans and Personal Loans, we should be able to achieve that over the next couple of quarters.

R a h u J a i n : And just last bit, if I could ask one more, on the ad initiative on the soundbox, do we see this could be a meaningful contribution in the near term basis and what should be the ideal runway?

M r . V i j a y S h e k h a r S h a r m a , F o u n d e r a n d C E O : Rahul, I don't think it will be a meaningful contributor. The intention was to say that we really continue to innovate on the technology and the various aspects of merchant businesses. This is something that FMCG companies asked us and then Meesho asked us. So we thought that we would talk about it. Meaningful is a big number. So I'm going to say that these are one of those 20% experiments that our team continues to do.

M r . M a d h u r D e o r a , P r e s i d e n t a n d G r o u p C F O : I would add that, this channel of advertising is a bit of a differentiator. We would hope that this does scale but these things specifically, this particular channel, any new channel does take a little bit of time to scale. We also hope that we see, knock-off impact of this on our overall advertising business that we are able to offer a differentiated, effectively publishing property to our advertisers and as a result, they advertise with us, but they also advertise more on our platform.

M r . V i j a y S h e k h a r S h a r m a , F o u n d e r a n d C E O

: And we are trying to defend our product actually by creating more ways to earn revenue per product.

R a h u J a i n : Sure. Thank you. That's all.

M o d e r a t o r : Thank you Rahul. Next question will be from Jayant Kharote of Jefferies, followed by Anand Dama of Emkay. Jayant, you may ask your question.

J a y a n t K h a r o t e : Thanks, Pranav. This one's for Madhur. Madhur, I just wanted to understand the accounting for this DLP model. I get it that the net taker rates should remain on MLs north of 5%, but the structure is through the P&L. Should it be like a gross taker rate of 10% minus the FLDG cost and then the net taker rate? And if that is the case, how many quarters do we take to reach that steady state? Sort of accounting gross and net numbers.

M r . M a d h u r D e o r a , P r e s i d e n t a n d G r o u p C F O : Yeah. So, the sourcing fee is taken upfront. The DLG cost is basis an ECL model. Given this is a new product, we have taken, basis of the ECL model, the entire cost of DLG has been taken upfront. It is in the other direct expenses, so above contribution margin. The collection of revenues will come in under cost of financial services revenue over time. The time period of that, like we mentioned, the average tenor of these loans is about 12 to 18 months. So the vast majority of that revenue will come in less than 18 months. Actually, the largest chunk comes in 12 months, but let's say the vast majority comes in about 18 months. Then there is so much tail revenue because you have loans which may have gone GCL, but you continue to recover those loans even past the full tenor of the loan or even past the last repayment dates so that's sort of the profile. These are not very long dated, but at least for the next couple of quarters, they create a bit of a drag compared to if we had to do these loans without DLG.

J a y a n t K h a r o t e : Just to clarify, 12 months from now, ou

gross taker rate if the ECL is holding up goes to 8 to 10% and net of FLDG we will beat 5%. Of course, it can be better if the recovery is stronger. I think that's a correct understanding, 12 months from now?

M r . M a d h u r D e o r a , P r e s i d e n t a n d G r o u p C F O : That's probably correct.

J a y a n t K h a r o t e : Great and lastly on the costs. Again, phenomenal job guys. I think in two quarters it will come down to these levels. How do we go from here? Is this now, should we expect quarter on quarter growth on this, especially then non-sales employee cost base or is there more room?

M r . V i j a y S h e k h a r S h a r m a , F o u n d e r a n d C E O : I think Jayant primarily you should think of if you were to expand market and costs. I mean that too when UPI new customer onboarding and market share cap etc. show up which I believe that for concentration risk will be done. So in my opinion, once that is taken care of, we would spend money on marketing and that is the time that you should see this growing. As far as people are concerned, not really, but I do believe that UPI consumer growth offers an incredibly large opportunity for us. As

ou are aware, this business was earlier not being done by OCL, but by your associate, PPBL. Thanksto RB and NPCI, they allowed us to become a player as OCL and now we are awaiting new customer additions and once that is allowed, we would spend on marketing, but a bit on a large when we will take care of market share cap also. So you are expecting the increase only at a materially changing market condition. Not otherwise.

J a y a n t K h a r o t e : Great and if I could just squeeze one last one. On the active sales employees, I see that that base is stabilizing around 30,000-31,000. Given that you are doing a lot of redeployment of devices, should we expect this number to grow moderately rather than going back to that 35,000-40,000 number?

M r . V i j a y S h e k h a r S h a r m a , F o u n d e r a n d C E O : We are also enhancing the productivity per employee, behind the scene. Let me also say the A that we keep singing as a song of is also going to help on per employee productivity in the sales field. So while the number would increase slowly, there will be further productivity enhancement rather.

J a y a n t K h a r o t e : Great, and congrats guys for the great set of numbers.

M r . V i j a y S h e k h a r S h a r m a , F o u n d e r a n d C E O : Thank you so much. Thank you.

M o d e r a t o r

: Thank you Jayant. Next question is from Anand Dama of Emkay followed by Suresh Ganapathy. Anand, you may ask your question.

A n a n d D a m a : Hey, thank you and congratulations for a great set of numbers. Is it possible for you to quantify what the collection revenue that included in the, you know, financial services?

M r . M a d h u r D e o r a , P r e s i d e n t a n d G r o u p C F O : We don't really break that out historically, and I would be reluctant to sort of put out another data point. But we have mentioned earlier that 3.5%-4% historically was the sourcing revenue and roughly 1%, and may be in some quarters slightly more, is the collection revenue so that's broadly the split on obviously then the non FLDG model and non-distribution model. So on the loan and distribution only, which obviously doesn't have the collection revenue. In the last quarter it was slightly higher in terms of that split, because we did a really good job of repayments and collections and likewise had mentioned, just merchants are just using mobile payments more so that help the overall performance of the merchant lending business. So it was slightly higher, so that's about as much direction as I could give you.

A n a n d D a m a : For sure. And this is primarily on the Merchant loans and Personal loans business both right put together?

M r . M a d h u r D e o r a , P r e s i d e n t a n d G r o u p C F O : Well, actually it's the merchant loan. Because on the merchant loans, just to remind you we are doing the same model we've been doing over the last 4 or 5 years, obviously now in part with FLDG also. In the personal loan business, the vast majority of our business over the last 2-3 quarters has been a distribution only model. So there is really no collection arrangement. Our lending partners do their own collection.

A n a n d D a m a

: And any update on the new loan products that we are talking about earlier on, like you know, home loans, mortgages and stuff?

M r . M a d h u r D e o r a , P r e s i d e n t a n d G r o u p C F O : I think there are a few experiments and integrations going on with a few secured products. I don't think that at this point, in the financial services business, that is our number one priority, because we see a big penetration

opportunity in both merchant lending and personal loans. Like we mentioned earlier, in merchant loans, there's a huge amount of demand and we just want to unlock more capital, including through these DLG arrangements and on personal loans, the focus is on adding more and more partners so that is really the core focus of financial services. While we have work going on, I think you should really look at that as maybe having some meaningful contribution after the next 2 or 3 quarters, as opposed to anytime very soon.

A n a n d D a m a

: And lastly, is there anything pending from our side to be done for the NPCI to approve the new user or customer onboarding?

M r . V i j a y S h e k h a r S h a r m a , F o u n d e r a n d C E O

: Hi, this is Vijay. So as of now nothing seems like it. We are just in a wait and watch state. I wish we can start sooner.

A n a n d D a m a : Thank you.

M o d e r a t o r : Thank you Anand. Next question will be from Suresh Ganapathy of Macquarie, followed by Nitin Agarwal from Motilal Oswal. Suresh, you may please ask your question.

S u r e s h G a n a p a t h y : Yeah. Thanks. So, Madhur, sorry, just a little bit more on this FLDG thing. So if you have about Rs 1600 crores of portfolio, which is under the FLDG, and let's assume you are giving 5%. So you are saying that 80% is given in the form of bank guarantee, and there is a cost associated with that bank guarantee and apart from that, a certain ECL cost which has been expensed through the P&L. I am understanding right?

M r . M a d h u r D e o r a , P r e s i d e n t a n d G r o u p C F O : No. Sorry. That's, let me just clarify. Suresh, so Rs 1650 crores is the AU M, as of September 30th. The disbursed amount is slightly higher than that, as you would expect, because some installments have already started, and have been repaid. So the disbursed amount is slightly higher than that. On that amount, the arrangement is that we give a DLG. The DLG is not 5% it is meaningfully lower than 5%. 5% is the cap, as you obviously know from the regulator. So our DLG is significantly lower than that. There is no bank guarantee here, although there is flexibility to give it as a bank guarantee under regulation. Our arrangement is that, in this case we would most likely give this as a FD, which would be lien marked, and all of that cost, 100% of the DLG that we give, the arrangement is that we most likely give that in the form of a FD, and that FD would be lien marked, and that entire amount of DLG that we are giving in the form of lien marked FD, has been expensed in the last quarter. So in other words, there is no DLG given which is not expensed in the P&L this quarter.

S u r e s h G a n a p a t h y : Okay. Okay. So just to understand the numbers, let's assume it is Rs 1500 crores and the disbursement is higher and 2% is what you have given. That means you are saying 30% has been expensed, Rs 30 crores has been expensed to the P&L. I'm just telling the ballpark, just a rough calculation.

M r . M a d h u r D e o r a , P r e s i d e n t a n d G r o u p C F O : That's right. Yeah.

S u r e s h G a n a p a t h y : Okay, so Rs 30 crores has been fully expensed to the P&L and it is coming in the other direct expenses, right?

M r . M a d h u r D e o r a , P r e s i d e n t a n d G r o u p C F O : Exactly.

S u r e s h G a n a p a t h y : Okay. Let's hypothetically assume that the number is 5%. The actual experience of that client is 5%. So effectively, we are saying that instead of Rs 30 crores, it's closer to say Rs 60-Rs 70 crores. What happens with the remaining Rs 30 crores? Who bears the hit? The company bears the hit or what happens to Paytm? Is there a clawback arrangement? Because you have only expensed till Rs 30 crores, right? Just throwing numbers off the air but just to understand the mechanism.

Mr. Madhur Deora, President and Group CFO : Sure, so let me just simplify the numbers because they're all illustrative anyway. Let's say we do Rs 100 crores of disbursal and let's say we have 3% DLG. Okay. So though that Rs 3 crores will be given in the form of FD. That entire three crores will be expensed. Now, let's say the GCL is higher than 3% or higher than the three crores on that book of Rs 100 crores. All of that is credit loss for the partner. So in this case, because we have publicly disclosed, I can say in this case where we have given DLG, we're talking about SMFG, where we have given a separate disclosure. And that is a part of their P&L. Because obviously they're making interest income as well. And on the remaining 95% or 97% of loans, which are good, so they're making interest income on that, even net of that additional 2% or 3% whatever we are talking about there, they have very good RoA, right. So it is a DLG. In this case

the first 3% as we were using in our illustration, the first 3% gets offset against the FD. After that, all the hit is passed on. And then on top of that, depending on the performance of the book, we also make what we expect to be a significant amount of collection revenue. But that over the life of the loan.

Suresh Ganapathy : But if it crosses 3%, how can they give you a collection incentive? Because you have already crossed the FL DG limit. And the company is not happy with the number being crossed 3%. You will still get a collection incentive if the GCLs are higher than 3%?

Mr. Madhur Deora, President and Group CFO : Yes. So, let's extend that same example. So we have Rs 100 crores of disbursal. We have 3% DLG and let's say the partner has, let's say the book eventually ends up at 5% NCL. So the partner now has Rs 5 crores of credit cost. They get Rs 3 crores from us. And on that performance level, over the life of the loan, Paytm would not only not have any additional cost to the partner, we will also make significant collection revenue from the partner.

Suresh Ganapathy : Okay. So this is clear. But just one final question, because this is an important thing for all of us to understand. Now the RBI is very clearly telling us, as per the rules and regulations, both synthetic FLDG and non-synthetic structures like collections will be taken as a part of the overall 5% limit. Somewhere down the line we are saying this collection is not a non-synthetic FLDG because the RBI may view it as a non-synthetic FLDG, right?

Mr. Madhur Deora, President and Group CFO : I cannot speculate on that Suresh. Honestly, we have gone through next remigorto ensure that this is in alignment with the regulations, alignment with market practices, of course, and to the satisfaction of compliance teams of both sides. So the collection arrangement that we have is very much permitted, and it isn't what you may call as synthetic DLG. We are not in the business of giving synthetic DLGs.

Suresh Ganapathy : Okay. This is pretty clear. Thank you so much, Madhur.

Mr. Madhur Deora, President and Group CFO : Thank you. Please feel free to reach out with any other questions.

Suresh Ganapathy : Sure. Yeah.

Mr. Madhur Deora, President and Group CFO : Thank you. Suresh.

Moderator

: Thank you. Next question is from Nitin Aggarwal and this will be the last question for today. Nitin, you may ask your question.

Nitin Aggarwal : Yeah. Hi. Thanks for the opportunity. Good evening everyone. So two questions. One is like, what do you plant to do with the cash on the balance sheet now that it has increased after the sale of the business and what is the optimal number you would like to carry for your new requirements in terms of cash?

Mr. Madhur Deora, President and Group CFO : I think Nitin, we want to address and visit that question with our board. It is one of the things that we have decided is we want to be consistently free cash flow positive, which is not that far away from for us now before we take that decision, to the board and come up with a sort of a firm guidance, or not. I mean, firm guidance, as in a directional framework or what we think of as excess cash, how do we think about returning that cash and of course before that, what are the uses of that cash? So yes, we have talked about this. This does come upon nearly every quarterly call and I do acknowledge that we have Rs 10,000 crores of cash, and I don't see any scenario

under which we will be able to use up any meaningful percentage of that cash. But I think we have decided that let's get to the most important thing is that business should throw off cash. Right and we feel like we're getting close to that and we'll absolutely address that with our board and hopefully have a better answer for you once we have crossed that milestone.

Nitin Aggarwal : Sure Madhur, and the other question is like, if I look at in metros and key cities, there is already a good coverage of digital payment provision there at almost all merchants will be something that will be like signing merchants. So what is the TAM that you're really looking at? Is the growth in merchants coming in more from suburban regions or say like going one level down metros and both in numbers, I mean, as well as in the value in terms of GMV. What is the TAM that you are really looking at?

Mr. Vijay Shekhar Sharma, Founder and CEO : Hi, this is Vijay and while we all see significant amount of Paytm and Paytm soundboxes all around us in metro cities, I am going to surprise you by saying that the penetration scope is

only double of what it is penetrated as of now in metro cities, I'm talking metro cities only. So we are talking about a significant amount of TAM in the metro cities themselves. Possible and the reason that metro cities I'm talking about is because there is a consumer merchant network effect, because more metro city consumers pay using smartphones, mobile payments, the more merchants need soundbox number one

Number two, what we are seeing in metro cities and a little bit ahead, let's say top 10 cities or top 20 cities is that merchants now don't wait for a larger percentage of QR based payment, Paytm QR based percent payments. They are starting to take a soundbox very early in the journey of being onboarded itself. So here, I mean, numbers can be very comfortable. I mean, NPCI gave about 60 million merchant data, although I don't know the uniqueness check on that data but I can say that there is a market of tens of millions more soundboxes out there.

Nitin Aggarwal : This is very interesting and lastly, just as a data point, how many inactive devices do we have any plan to pick from merchants? How much is that number?

Mr. Vijay Shekhar Sharma, Founder and CEO : We don't. So nothing of sort of that we know that this is the inactive merchant. We are trying to go activate the merchant, and we say the device is not working or picking up because of that. So it's an ongoing journey. What I can only tell you one thing here is that we found out that these devices, which we are picking back from the market, are more like battery outage or some plastic refurbishments, etc. we see which is not very large. So the keyword is that there you go with the opportunity of picking them back and then installing refurbished devices back. Some merchants become active, revenue starts coming back so that is why you are seeing there is a larger amount of TAM out there.

Nitin Aggarwal: Got it. Thank you so much and wish you all the best.

Mr. Vijay Shekhar Sharma, Founder and CEO: Thank you, thank you.

Moderator: Thank you. Next question will be taken from Sachin Salgaonkar. Sachin, you may ask your question.

Sachin Salgaonkar: Thanks Pranav Apologies. I signed up late. So if any of these questions is answered. Sorry about that in advance. First question, just wanted to understand how fast we could see the wealth insurance business growing and what are some of the new areas which you guys are exploring in terms of secured lending and any color you could provide that would be helpful.

Mr. Vijay Shekhar Sharma, Founder and CEO: Sachin, first of all, secured lending or the loans which are of low margin, etc., we've learned that everything ends up becoming the book for lenders and if we are assigning secured lending distribution also on the same side of disbursement allocation, we rather lose an opportunity of another high, better product for the customers. So we are not doing a large amount of secured lending and that is one of the big factors, by the way, that personal loan and disbursements were sort of not in line with what somebody would have expected. So in other words, we are not aggressively going after secured loans. Let's say that and then I personally suggested that this is something that we will look at later, if at all we need to look at.

Then when you talk about wealth and insurance, the good thing is that these things, especially the wealth market, have had a tailwind. Where there is a great amount of opportunity happening and opportunity coming in. But when you look at insurance, there is a distribution that we are working on, are they going to become materially important. That is exactly the reason if you notice, we have started to give number of transactions and number of financial services customers because overall the business model will look like payment customers and cross-sell to them and cross-sell per customer will be the revenue because disbursements or GWP or whatever we help distribute won't be the primary number, but the revenue per customer is what we are headed behind the scenes, yes. We don't expect them in 1 or 2 quarters, but do expect them in due course, let's say second quarter. Third quarter onwards showed up as better than today's contributions and that is why we are trying to say financial services at large matters, not just credit distribution.

Sachin Salgaonkar: Thanks Vijay, very clear. A quick follow up on there. So from a loan perspective, is it only the merchant loan book which would materially scale up, let's say in the foreseeable future?

Mr. Madhur Deora, President and Group CFO: I think we see opportunities in both merchant and pe

sonal loans. I think the demand side of it, the ability to do very, very sensible business in both of those is enormous. I think the dynamics are slightly different. Where in merchant loans you know, I think the growth of our devices business, after some interruption that we had earlier this year, is now creating that ramp up. On personal loan, I think, we did talk about this a little bit earlier, but I'm happy to repeat, that one of the key things that we had talked about over the last two quarters is adding new partners. So we're pleased to say that we did add some new partners this quarter, but quite frankly, they're not ramped up yet and we do have other partners in the pipeline as well. So we need to get the new partners as well as potential new partners, integrated and ramped up and that will create the opportunity. There's no dearth of demand. It is just that we have to create more supply on the platform.

Sachin Salgaonkar: Very clear. Thank you. Thank you. Second question, I just wanted to understand a bit more on your what kind of steady state EBITDA margin should we expect from the business, particularly given the fact that the business model has evolved a bit after some interruptions?

Mr. Madhur Deora, President and Group CFO: Yeah, I don't think we should necessarily give that guidance right now. We have talked about, which I talked about last quarter, about being profitable, in, by having one profitable quarter by the end of the year and despite the DLG cost that we talked about earlier in the call, we expect to not only meet that guidance but exceed that guidance. So deliver some significant profitability this year and then with all the tailwinds that we have, especially on merchant payments, merchant lending, personal loans, and the huge improvements that we have had in our cost structure, we expect to get very meaningful profitability. So we are seeing this as getting to very meaningful profitability relatively soon, becoming a business that is throwing off cash. But specific EBITDA margin range I'd rather not get into.

Sachin Salgaonkar: Okay. Thanks and my last question Madhur is just on any thoughts on potential cash return back to shareholders, to your comments about, you know, trying to get into a cash position very soon. There's a guidance of EBITDA break even by, let's say, 3Q or 4Q and potentially at some point, you know, as and when the PayPay IPO happens, there could be, you know, incremental cash, which you guys could end up getting. So if you add it all together, do we see some kind of a potential cash return to shareholders? May be not immediately, but at some point in the next 12 to 18 months.

Mr. Madhur Deora, President and Group CFO: Yeah. I think your observation is right that we do have more cash than we need for any organic or inorganic opportunities and we do expect to get back in a position where we are generating cash. This question was asked about 10 or 15 minutes ago, by Nitin from Motilal Oswal. I think we want to get to a position where we are sustainably throwing off cash and then have a, you know, a very good robust framework with the board about how we think about the cash balance, use of money, as well as use of excess money. So hope fully in a couple of quarters I'll have a better answer to this.

Sachin Salgaonkar: All right. Thank you.

Mr. Vijay Shekhar Sharma, Founder and CEO: Also, I would also add on behalf of, overall board discussion that we had that we need to be fairly long haul in generating free cash before we start to think about returning it to the shareholders. There should be a trigger or a reason for it and right now, these cash amounts that we are able to get, we are rather going to be focused on operating business and higher margin and more revenue and more profit.

Sachin Salgaonkar: Thanks. Very clear Vijay.

Mr. Vijay Shekhar Sharma, Founder and CEO: Thank you.

Moderator

: Thank you. Next question will be from Vijit Jain of Citi and this will be the last question for today. Vijit you may go on and ask your question.

Vijit Jain: Yeah, thanks. And sorry I joined late. So if this is a repeat, my apologies. My first question is, within the merchant loans business going forward, what kind of shared you think DLG will take as a, you know, in terms of disbursements going forward? Are you looking at a mix in mind? That's my first question.

Mr. Madhur Deora, President and Group CFO: Vijit, we, honestly, that's not a metric. We have gone through and we'll share the transcript with you. We've gone through the DLG economics in some detail earlier in the call.

I, as you would imagine. But in summary, over the life of the loan, we see this business as very profitable. We see, you know, regulatory clarity on this. We see certain lenders having a preference for this and of course, we see a huge amount of demand and this is very likely said, this is a very profitable business for us, with or without DLGs. Right? So when you look at it from that prism, we are perfectly okay for business to be done on DLG model going forward and I don't think there is a metric that we're trying to manage to do x percents should be DLG and x percents should be non-DLG and we're

going to find out more in the next few quarters whether it stabilizes to a certain number, in which case we can start talking about, hey, what do we expect but we're certainly not managing to a number.

Vijit Jain: And my next question is going to be, you know, are there any major areas within payments or financial services that you think you could still venture into. I know I've asked this question before, but, once you get the RBI payment gateway license, does that open up things like cross-border? Is that meaningful? Is that something that you would like to do? That's my first question and, if you can just comment on if there's a timeline on when you get RBI license and also on the NPCI side. Thank you.

Mr. Vijaya Shekhar Sharma, Founder and CEO: Thank you Vijit. This is Vijay, and I'm taking this question. So number one. Yes, that is one of the big reasons that I'm personally, whenever this discussion of returning capital to the shareholders comes up, I am suggesting that there are tremendous opportunities for Paytm to grow within the current framework. First and foremost, let's go back to the moment when Paytm Bank originated. We gave the wallet to the bank. We transferred the bill payment business to the bank, and in due course, the UPI also was operated by the bank. Being at arm's length and being at a different entity, the payment bank had its own business priorities and instead of growing UPI market share, it probably focused on other business models. So consumer side UPI market share for Paytm Payments Bank was something that we all know was not in the range of what other apps were showing. While when you look at Paytm operated Wallet or Paytm operated QR, Paytm operated different services, we were the market leader there very clearly and are the market leader very clearly.

Now, the consumer base of UPI is an opportunity which is way bigger than what we anticipate in a conversation as of now. Remember, the UPI consumer for Paytm is an open and wide open opportunity. The product, technology, market ownership, customer ownership, everything belongs to Paytm, and I really thank RBI and NPCI for making this possible and partner banks that as Paytm we are able to get these consumers. So Vijit think about right now RBI asked and Paytm Bank transferred 130 million customers plus 200 million handle to OCL and now once NPCI will give us a confirmation, we will be able to grow and my friend, I'm telling you, we are not in this to become a mediocre player or remain a fringe player.

We are here to solve the problem of concentration risk or a market share, and we remain that aggressively committed towards consumer payments like you've seen us committed towards merchant payments. So the very fact that Paytm will have an opportunity to play in UPI consumer market share will be an extraordinarily large opportunity. As you can guess, once we have the customer on our platform, ownership of our customer on our platform, we will be able to grow tons of cross-sell of financial services to this consumer and then obviously there are byproducts like marketing services and advertising, etc. that you're talking about. And remember, in the UPI ecosystem, when RBI allowed us to become a TPAP player, it very clearly marked us a responsibility to Paytm that we will be able to potentially solve for concentration risks that the system carries.

As an Indian player, as a pioneer of the mobile payments system in India, we remain committed and we remain committed to invest and expand our offering. So remember, as an Indian player, as India's homegrown champion, we are here to invest in payments and there is a tremendous large amount of opportunity in consumer payments. When you come about the merchant side, as a PA license, you should know that online payment innovation is something that we were able to bring QR on desktops so that the customers' higher trust, less fraud prone and superior payment checkouts system happened. Since two years we've not acquired new consumers, but we have built a dramatically large amount of

technologies, including cross border multi-currency, including quick commerce which requires many other payment pro

ducts.

We are waiting to onboard as many more merchants so that we can onboard newer quality products and offering to those customers. And I'm very happy to tell you, Vijit, you could figure out for yourself these foreign transfers, including another services such as omnichannel payment systems, have very impactfully showed up in the market right now. Imagine Tanishq is a customer for us offline, let's say, but they are not online. For us, we are not able to build an omnichannel payment and India has to lead the way in payments. I do believe that an extraordinary amount of opportunity in payments for us to grow a larger TAM. What we are right now focused, as you could see, is monetization and we are showing the market that we can very well optimize and monetize and in due course we will, when we get an opportunity, we will expand the TAM of the consumer and merchant both together.

Vijit Jain: Great. Thank you so much Vijay, and best of luck with everything and hope you guys have a really good festive Diwali ahead. Thank you so much.

Mr. Vijaya Shekhar Sharma, Founder and CEO: Thank you. Thank you and thank you everybody for joining us. Wish you all a very happy Diwali festive season and your support means a lot to us and see you again after Diwali.

Mr. Madhu Reddy, President and Group CFO: Yes, Bye.

Moderator: With that, we come to an end of this call. A replay of this earnings call and the transcript will be made available on the company website subsequently. Thank you all for joining, you may now disconnect your lines.

Mr. Vijaya Shekhar Sharma, Founder and CEO: Thank you. Bye.

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opinions
contained
herein
and
accept
no
liability
whatsoever
for
any
loss,
howsoever,
arising
from
any

use
or
reliance
on
the
information
presented
and
discussed
in
this
earnings
call.

The
information
contained
herein
is
subject
to
change
without
any
obligation
to
notify
any
person
of
such
revisions
or
change

and

past

performance

is

not

indicative

of

future

results. It is clarified that this earnings call, and the information discussed and presented herein, is not intended to

be

an

offer

for

subscription

or

sale

of

any

securities

or

inviting

offers

or

invitations

to

offer

or

solicitation

to

offer

from

the

public

(including
any
section
thereof)
or
any
class
of
investors.
No
rights
or
obligations
of
any
nature
are
created
or
shall
be
deemed
to
be
created
by
the
information
presented
and
discussed
on
this

earnings

call.

This

document

has

not

been

and

will

not

be

reviewed

or

approved

by

a

regulatory

authority

in

India

or

by

any

stock

exchange

in

India.

No

rights

or

obligations

of

any

nature

are

created

or

shall

be

deemed

to

be

created

by

the

contents

of

this

document.

Moderator: Thank you for joining and welcome to Paytm's earnings call to discuss our financial results for

the

quarter

ending

on

31st

of

December,

2024.

We

will

start

our

call

with

a

Q&A

after

introduction

to

the

management.

If

you

seek

to

ask

a

question,

kindly

utilize

the

Raise

Hand

feature

on

your

zoom

dashboard.

Please

ensure

that

your

name

is

visible

as

your

name,

last

name

followed

by

your

company

name

for

us

to

be

able

to

identify

you.

From

Paytm

management,

we

have

with

us

Mr.

Vijay

Shekhar

Sharma,

Founder

and

CEO;

Mr.

Madhur

Deora,

President

and
Group
CFO
and
Mr.
Anuj
Mittal,
SVP,
Investor
Relations.
A
few
standard
announcements
before
we
begin.
The
information
to
be
presented
and
discussed
here
should
not
be
recorded,
reproduced
or
distributed
in

any
manner.
Some
statements
made
today,
may
be
forward
looking
in
nature.
Actual
events
may
materially
differ
from
those
anticipated
in
such
forward
looking
statements.
Finally,
a
replay
of
this
earnings
call
and

transcript

will

be

made

available

on

the

company's

website

subsequently.

We

will

start

our

Q&A

now.

We

will

unmute

your

line

and

take

questions

from

the

raised

hands.

The

first

question

is

from

Pranav

Gundlapalle,

from

Bernstein.

Pranav,

you

may

ask

your

question

now.

Mr. Pranav Gundlapalle: Hey. Good evening. Thanks for taking my question. Two questions are, one is, in terms

of

your

GMV,

what

percent

of

the

transactions

would

be

cases

where

Paytm

is

on

the

merchant

side

versus

those

where
the
app
is
on
the
consumer
side?
I'm
just
trying
to
reconcile
the
consistent
growth
in
GMV,
versus
the
loss
in
overall
UPI
market
share.
Just
trying
to
see
if
there's
a

difference

in

the

consumer

market

share

versus

merchant

market

share.

So

that's

the

first

question.

I'll

come

back

to

the

second.

Mr. Madhur Deora: Thanks, Pranav. We actually have a little bit of disclosure in the back of our earnings release,

which

talks

about

the

number

of

transactions,

and

it

also

says,

merchant
transactions.
So,
you
can
see,
in
December
2024,
we
had
1,000
crore
merchant
transactions
and
we
had
1,232
crore
total
transactions.
Now
it
is
the
case
that
in
merchant
transactions,
some
of

them
might
also
be
our
consumers.

But
if
you
just
look
at
how
many
transactions
we
are
doing
for
merchants,
that
is
in
the
disclosure
in
the
back,
I
think
it's
fair
to

say
that
if
you
take
a
year
on
year
view,
then
the
merchant
side
of
the
business
has
grown,
whereas
the
consumer
side
of
the
business,
even
adjusted
for
discontinued
businesses,
has
been

flat

or

slightly

de-grown.

Mr. Pranav Gundlapalle: Understood. That's helpful. Thanks. And second, could you just share some color

on

the

RuPay

on

UPI

transactions

and

what

it

could

mean

for

the

payment

margins

if

it

increases

significantly

from

here?

Mr. Madhur Deora: Yeah. So, as I think the gist of the question on RuPay on UPI we do make MDR, unlike bank

linked

UPI,

but

it

is

still

a

very

small

percentage

growing

fast,

but

it's

still

a

very

small

percentage

of

the

merchant

transactions

right

now.

So

as

that

grows,

that

does

add

another

monetization

lever

for

us.

Mr. Vijay Shekhar Sharma: Pranav, I'll also add one extra line that, we get extra bps, which is significant

extra
bps
and
it
does
include
a
payment
margin
between
other
instrument
versus
RuPay
credit
card
and
we
do
believe
that
credit
card
running
on
QR
gives
us,
as
an
acquiring
side,
much

larger
revenue
than
on
the
consumer
side,
because
consumer
side,
you
don't
get
larger
revenue,
even
though
there
is
some
bps
that
is
paid
to
the
consumer
app
also.
But
the
acquiring
side

gets

disproportionately

more

valuable

and

useful

there,

number

one.

Number

two,

I

did

this

survey.

I

asked

my

team

to

do

a

survey

that,

we

saw

a

couple

of

million

new

customers

added.

I

said,

why

did

you

sign

up

so

fast

without

any

marketing,

advertising? And, our QR being present, our brand being present on ground was one of the big, actually, number

two

trigger.

First

was

literally

that

they

wanted

to

try

out

Paytm

once

again

before

they

got

to

know

in

the
press
and
then
second
was
that
I
saw
the
QR
code.
So,
our
acquiring
will
add
it
to
the
consumer
acquisition
is
what
our
belief
is
and
that
is
why
we
will

aggressively

expand

on

our

merchant

acquiring,

because

that

gives

us

an

edge

in

consumer

also.

So,

there

is

a

little

bit

of

flywheel

that

we

are

seeing

here,

and

that

is

probably

one

of
the
reasons
that
we
didn't
see
a
large
number
of
exodus
on
either
side.

Mr. Pranav Gundlapall

e: Great. Thank you. Thanks a lot for the answers.

Moderator: Thank you Pranav. Our next question is from Sachin Dixit of JM financial. Sachin, you may ask your

question
now.

Mr. Sachin Dixit: And thanks for the opportunity. So my first question is basically with regard to DLG and the

mix
within
merchant
loans.
So
we
did
some
maths
around
the
AUM

numbers

that

were

shared

and

somewhat

we

are

coming

up

with

almost

80%

of

merchant

loans

in

this

quarter

came

from

DLG

sort

of

arrangement.

Are

we

directionally

in

range?

Secondly,

is

this

the
right
steady
state
or
a
number
or
mix
from
DLG
that
we
are
hoping
for,
or
we
are
trying
to
optimize
for
a
certain
number
there?

Mr. Madhur Deora: That number is in the ballpark, Sachin. And, give or take a few percent, I think that's probably

right.

Like

we

have

said,
we
think
DLG
is
a
good
model,
non-DLG
is
also
a
good
model,
so
relative
to
each
other,
we
are
quite
indifferent.
If
a
partner
thinks
that
it
is
easier
for
them

to
do
business,
of
lending
to
merchants,
in
a
DLG
model,
or
if
they
can
do
more
business
as
a
result,
then
we
are
quite
open
to
doing
DLG
based
business
with
them.

So,
we
don't
really
have
a
target
number
in
that
sense,
but
yeah,
ballpark
it
should
be
in
that
range.

Mr. Sachin Dixit: And you are seeing interest from more lending partners on the same model I'm guessing.

Mr. Madhur Deora: Yeah. So that's right. So we're seeing more interest from lending partners in general across

MC
as
well
as
personal
loans.
MC
in
particular
has

been
a
product
that
has
done
consistently
very,
very
well
for
us
and
for
our
partners,
so
we
are
seeing
more
interest
in
that.
And
yes,
within
that,
there
are
some
partners
who

are
more
interested
in
DLG
models,
and
there
are
some
partners
for
whom
it
doesn't
really
make
much
of
a
difference.

Mr. Sachin Dixit: Sounds good. My second question is in regards to the plan in international. So I see that there

are
some
subsidiaries
that
we
are
looking
to
put
in
place.

Is
the
plan
there
to
do
largely
UPI
sort
of
enablement?

Some
of
these
countries
also
have
UPI
extension
that
has
happened,
or
we
are
planning
to
build
an
entire
merchant
ecosystem
sort

of
thing
like
we
have
in
India,
in
these
countries?

Mr. Madhur Deora: Vijay will.

Mr. Vijay Shekhar Sharma: Yeah, Sachin I'll take that, and, the intent here is to first go on the merchant side,

because
merchant
side
business
model
is
a
very
long
term
business
model
and
every
economy
and
geography
that
I'm
meeting
different,

different

senior

executives

in

either

the

central

bank

or

government,

love

it

because

SME

credit

is

missing

everywhere.

So,

if

you

can

solve

for

payment

and

solve for future forward receivable, that business model is a template in my opinion and our opinion,
technology

wise,

capability

wise,

we've

demonstrated

at
scale.
So,
our
primary
plan
will
be
that.

Mr. Sachin Dixit: Got it. Thank you and all the best.

Mr. Vijay Shekhar Sharma: Thank you sir.

Moderator: Thank you Sachin. The next question is from Alok Srivastava of UBS. Alok, you may please ask

your
question.

Mr. Alok Srivastava: Yeah hi. Thanks, Pranav. So I have this question on the DLG model that, ECL number that

we
have
given
that
number
has
come
down
to
4.5%
to
5.0%
versus
4.75%
to
5.25%.

S
o,
how

are
we
measuring
these
numbers?

We
are
measuring
these
numbers
or
lenders
are
sharing
these
numbers?

Mr. Madhur Deora: These numbers are based on our collection data, so there's a couple of things, right.
So

one
is,
when
the
lenders
put
a
program
in
place,
they
have,
in
their
program,

an
expected
credit
loss
and
in
our
conversations
with
lenders,
we
ensure
one
of
the
questions
that
we
obviously
touch
base
on
is
whether
the
program
is
within
the
bounds
of
their
expected

credit
loss.
But
the
specific
data
that
we
put
out,
including
the
bucket
wise
resolution,
is
based
on
our
collection
data.
As
you
know,
in
merchant
loans,
we
help
our
partners
with
the

vast
majority
of
collections,
because
these
are
active
merchants
of
ours,
so
basis
that
we
have
a
sense
of
how
this
is
trending
towards
expected
credit
loss.

Mr. Alok Srivastava: So, Madhur, sequentially, the decline would also be because of DLG that we are doing

and
earlier
it
was
largely

the
normal
one
that
we
were
doing
or
sequentially
there
has
been
change
in
some
underwriting
standards
and
so
on.

Mr. Madhur Deora: So, DLG does not affect the ECL. So just to clarify, the ECL of the portfolio, where our loss

guarantees
are
versus
where
the
partner's
losses
and
probations
are,
is

independent

of

how

ECL

is

measured.

The

DLG

book

is

doing

at

least

as

well,

in

fact,

slightly

better

than

the

rest

of

our

book

and

that's

just

sometimes

some

books

do

better,

sometimes
some
books
do,
slightly
worse.
So,
there
is
a,
I
wouldn't
necessarily
draw
a
pattern
there,
and,
the
reason
for
improvement
is
generally
collection
efficiencies,
obviously
with
a
lag,
it
is
also

indicative
that
your
underwriting
is
getting
tighter.
I
would
just
also
add
that,
at
the
beginning
of
2024,
we
had
some,
you
know,
sort
of
a
little
bit
elevated
churn
amongst
our
merchants,

so,
that
may
have
affected
some
of
the
ECL
as
well.
But
as
the
business
has
stabilized
and
growing
and
our
partners
are,
our
merchant
partners
are
growing
very
well
with
us,
we

are
seeing
improvements
in
collection
efficiency,
as
well
as
a
lot
of
the
work
that
we
have
done
to
bring
even
greater
amounts
of
sort
of
efficacy
to
our
collection
practices.

Mr. Alok Srivastava: Sure Madhur. Thanks. That's very helpful. I have a couple of more clarifications on FLDG.

So,

FLDG

number

that

we

shared

last

time

that

we

are

doing

less

than

5%,

does

that

still

hold

true?

That's

one.

Secondly,

all

the

DLG

costs

which

are

upfronted,

are

they

fully

captured

in
the
other
direct
cost?
And
also,
if
there
is
any
unutilized
DLG
which
may
happen
a
year
from
now,
where
will
it
show
up
in
P&L?
Will
it
be
adjusted
against
cost

or
will
it
become
part
of
revenue?

Mr. Madhur Deora: So, first question, correct. On a blended basis, our DLG cost is significantly lower than

the
5%,
and
it
has
broadly
remained
the
same
as
last
quarter.

On
your
second
question,
yes,

so
far,

all the DLGs that we have given, we provisioned them immediately in that quarter. And that is in other direct

expenses,

even
though
the

DLG

invocation

by

the

partner

is

obviously

with

a

lag,

as

and

when

GCL

is

hit.

And

the

third

is

that

if

we

do

have

a

situation

where

we

have

provisions

which

are

not

getting

used,

then

it

would

be

a

reversal

in

that

cost.

Mr. Alok Srivastava: Okay. Got it. Thanks a lot, Madhur. All the best.

Moderator: Thank you Alok. The next question is from Piran Engineer at CLSA. Piran, you may please ask your

question.

Yeah.

Mr. Piran Engineer: Yeah, thank you and congrats on the quarter. Just firstly, to clarify on one of the previous

questions,

is

it

...

is

DLG

given

only

on

merchant

loans

or

on

both?

Mr. Madhur Deora: There is a small amount of DLG that we have given personal loans as well with select lenders

only

in

the

collection

model,

obviously

not

in

the

distribution

only

model.

Mr. Piran Engineer: Correct. Okay. Fair enough. So, it was 80% of just the merchant loans that are disbursed

through

DLG.

Mr. Madhur Deora: That's right.

Mr. Piran Engineer: Okay. Fair enough. And just secondly, if you can give us a sense of how many merchants

currently

have

a

loan

outstanding

from,

you

know,

from

you?

Mr. Madhur Deora: It is broadly, five to six lakh merchants who have a loan outstanding. So, it is roughly 4-5%

of

our

device

base.

Mr. Piran Engineer: Okay. Fair enough. And, that can go to what sort of a number in your opinion, this five

to

six

lakhs?

I

am

just

trying

to

think

about,

you

know,

the

medium

term

growth

rate

here.

Mr. Madhur Deora: Yeah. We, in the sort of, I would say 2 to 3 years period, I think we definitely have an opportunity

of

increasing

the

percentage

penetration,

to

maybe

10

to

15%.

One

of

the
things
that
I
should
point
out
is
that
that
is
one,
only
one
of
the
three
drivers
of
the
overall
growth
in,
merchant
loan
volumes
and
revenues.
The
other
two
drivers
are

that
over
time,
the
ticket
sizes
have
increased
and
they
continue
to
increase.
So,
I
remember
three
years
ago
this
number
was
about
1,10,000.
Currently
the
number
is
about
2
lakhs.
And
part

of
that
is
because
the
value
per
merchant
has
grown
in
Paytm,
because
the
merchants
obviously
are
doing
a
lot
more
digital
payments
today
than
they
were
doing
three
years
ago,
especially
our

best

merchants,

to

whom

the

loans

are

sort

of

qualified

for.

And

the

second

is

a

large

percentage

of

the

loans

are

repeat

loans,

where

our

lending

partners

have

greater

confidence

because

that

merchant
has
already
shown
good
behavior
of
taking
a
loan
and
repaying
the
loan.
So,
that's
the
second
driver.
And
the
third
driver
is
obviously
the
growth
in
the
base
of
merchants,
which

is,
you
know,
obviously
grown
by
basically
doubled
in
the
last
two
years.
And
we
still
see
a
huge
runway
ahead.
Right.
So
over
the
last
couple
of
years,
we
have
actually
kept

the
penetration
percentage
relatively
flat,
despite
the
fact
that
the
volume
of
disbursal
has
gone
up
very,
very
meaningfully.
So,
we're
going
to
continue
to
be
cautious.
We're
going
to
continue
to
have

a

tight

whitelist.

But

I

would

say

over the next two, three years, we have an opportunity of taking this to north of 10%. And I think the long

term

opportunity

is

probably

even

higher

than

that.

Mr. Piran Engineer: Got it. And Madhur, just when you increase the ticket size, does the tenure also correspondingly

increase,

or

has

that

remained

at

that

12

to

18

months?

Mr. Madhur Deora: The tenure

decision is independent of whether you're increasing the ticket size, so, if you

have

more

confidence

in

the

stability

of

the

merchant,

then

the

partner

may

increase

the

tenure

as

well,

right?

So,

yes,

it

is

the

case

that

for

select

merchants

for

a

repeat

loan,

the

tenure

might

have

gone

up,

but

you

don't

increase

the

tenure

just

to

increase

the

loan

size.

You

look

at

how

much

you

think

you

can

collect

per

day

from

the

merchant,

and

that

is
one
of
the
variables
that
goes
into
the
loan
size.
And
then
you
look
at
how
stable
the
merchant
is
with
you,
and
that
sort
of
decides
what
the
maximum
tenure
you

are
willing
to
do.
And
those
two
things
sort
of
effectively
end
up
in
terms
of
what
is
the
maximum
size
of
loan
that
you
would
be
willing
to
do.
So,
those
are

slightly

independent.

The

tenure

has

not

grown

very

much

because,

again,

that

is

a

conservative

assumption

that

we

take,

which

is

that

we

don't

want

to

increase

our

loan

sizes

and

loan

book

just

by

increasing

tenure

and

then,

you

know,

fundamentally

changing

the

nature

of

what

we

are

trying

to

do

here.

If

the

merchant

is

a

good

merchant,

they

can

take

a

loan

12,

13

months

later,

they

would

have

repaid

that

loan,

and

at

some

point

towards

the

back

end

of

that

journey

or

after

repaying

the

loan,

they

are

eligible

for

another

loan,

right.

So,

the
merchant
with
good
behaviour
can
have
access
to
credit.
Instead
of
saying,
hey,
give
me
a
super
long
loan.

Mr. Piran Engineer: Got it. Okay. Fair enough. And just my last question, just a clarification. On page six, you

mentioned
that
your
payment
processing
margins
was,
comfortably
above
the
guided
three

bps

margin.

But,

you

know,

sort

of

when

I,

when

I

just

assume,

say,

■

90

or

■

100

rental

income

per

device,

the

margin,

the

residual

margin

comes

to

about

two

and

a

half

bps.

So

what

am

I

missing

here?

Is

my

rental

income

assumption

incorrect

or

what?

Mr. Madhur Deora: While we can go through your math offline, if you don't mind, but, yes, your rental assumption

is

slightly

higher

than

what

our

actual

is.

But

it

still

doesn't

quite

get

me

to
two
and
a
half
bps,
so
I
can,
I
can,
Anuj
or
I
can
look
at.

Mr. Piran Engineer: Fine. We'll take care of it. Yeah, yeah. That's fair. Cool. That's it from my end. Thank you

and
wish
you
all
the
best.

Mr. Madhur Deora: Thank you so much, Piran.

Moderator: Thank you so much. Thank you Piran. The next question is from Subhranshu Mishra.
Subhranshu

you
may
ask
your
question.

Mr. Subhranshu Mishra: Hi. Two questions. The first one is around the associates, various associates that we

have.

Someone

in

Ivory

Coast

and

various

other

African

countries.

So,

I

was

just

curious,

why

do

we

have

so

many

associates

where

we

are

probably

not

in

business

right

now.

Second

is,

this

particular

international expansion, what is the total market size that these countries have and what kind of market share

we

are

targeting

there?

Thanks.

Mr. Madhur Deora: On the first question, we do have many subsidiaries, actually, direct, or step down subsidiaries

in

the

Middle

East,

Southeast

Asia,

South

Asia

and

Africa.

Nearly

none

of

them

have

to

do

with

Paytm's

business.

They

have

to

d
o
with
the
old
One97
business,
which
is
a
part
of
what
we
disclose
as
marketing
services,
where
we
provide
services
generally
to
telecom
operators.
And
this
is
a
business
that
One97
has

been
doing
for
over
20
years.
And
in
many
of
these
countries,
there's
a
requirement
that
in
order
to
build
those
local
telecom
operators,
we
have
to
have
a
local
subsidiary.
We
are

in
the
process
of
rationalizing
these
number
of
subsidiaries
because
some
of
these
were
set
up
many,
many,
many
years
ago,
and
we
may
have
little
or
no
business
in
some
of
these

countries.

So,

over

the

next

3

to

6

months,

we'll

look

to

see

if

we

can

reduce

the

number

of

subsidiaries.

In

terms

of

international

expansion,

we

have

mentioned

three

particular

subsidiaries,

two

in
the
Middle
East
and
one
in
Southeast
Asia.
We
think
that
the
opportunity
in
the
Middle
East
and
Southeast
Asia
is
massive
and
many
of
these
countries
need
more
and
more
solutions

and
distribution
in
the
merchant
ecosystem.

We
have
been
able
to
build
great
technology,

at
very
low
cost,

in
India,

and
we
think

we
can
service

the
merchants

here
really
well.

But
we

are
going
to,
like
you
said,
explore
select
opportunities.

Generally
speaking,
opportunities
in
countries
where
there
is
a
large
local
market.

Mr. Vijay Shekhar Sharma: So, we should also say that it is very, very far ahead. So, don't misunderstand it

to
be
shown
up
in
a
quarter
or
two
for

sure

because

these

are

entity

formation,

license

application,

operating.

So,

let's

just

please

understand

that

it

will

take

some

time.

Mr. Madhur Deora: Yeah, I should mention that we have said, we are exploring these things. Setting up a subsidiary

has

a

long

lead

time

from

setting

up

a

subsidiary

to,

in

some
cases
getting
licenses
and
then
eventually,
you
know,
having
products
launched
and
merchants
signed
up
and
then
starting
to
generate
revenue
and
profit.
The
good
thing
is
that
these
are
largely
B2B

businesses,

so

they

don't

have

large

upfront

spend,

which

is

why

we

have

said

that

to

begin

with,

we

are

saying

up

to

■

20

crores

of

investment

in

each

of

these

markets,

which
is
also
a
bit
of
a
placeholder
number,
we
don't
really
think
that
we
need
large
amounts
of
money
in
these
countries.

Mr. Subhranshu Mishra: Sure. Can I just squeeze in one last question?

Mr. Madhur Deora: Sure.

Mr. Subhranshu Mishra: Sure, so what are our targets for personal loan disbursement on a monthly basis

and
merchant
loan
disbursement
on
a
monthly
basis

for

FY

26?

Mr. Madhur Deora: We are in the process of concluding this but I could answer that directionally. So, on the

personal

loans,

it

is

very

market

dependent,

if

I

had

to

be

honest,

because

we

absolutely

respect

the

fact

that

our

partners

are

being

very

cautious,

through

the

cycle.

And,

this

is

unsecured

digital

PL,

and

the

partners

want

to

just

make

sure

that

this

reflects

their

view

on

the

credit

cycle

and,

especially

at

this

point

in

the

credit

cycle,

one
should
be
cautious.
So,
I
would
say,
honestly,
it's
hard
to
say
where
we
will
exit,
for
example,
if
you
said
March
2026.
Right.
What
is
a
good
number,
what's
not
a

good

number.

I

think

the

way

we

are

measuring

this

business

right

now

is

how

many

partners

are

doing

meaningful

business with us. So, that's what we are trying to drive at this point in the cycle. And then when the partners

have

a

more

growth

mindset

in

terms

of

their

PL

book,

we

think

we

can

be

a

beneficiary

of

that.

On

the

merchant

loan

side,

we

expect

continuously

steady

growth.

Currently

we

are

already

higher

than

where

we

were

in

January

and

we

expect

continuous

steady
growth,
largely
because
of
what
I
said
in
response
to
Piran's
question
earlier.
I
think
it
was
Piran's
question
where
we
talked
about
medium
term
penetration,
there
is
upside
as
well
as

the
base
is
growing
and
the
ticket
sizes
continue
to
inch
upwards
on
a
blended
basis.

Mr. Subhranshu Mishra: Sure. Thanks. Cheers.

Mr. Madhur Deora: Thank you Subhranshu.

Moderator: Thank you so much. The next question is from Anand Dama of Emkay. Anand, you may please

ask
your
question.

Mr. Anand Dama: Hi, thank you for the opportunity and congrats for a great set of numbers. My question

again
is
related
to
PL
disbursement
only.
Do
we
expect

that
to
bottom
out
soon
that
now
you
started
offering,
you
know
DLG
and
PL
as
well.
And
in
FY26,
you
may
not
give
a
number
but
should
be
better
versus
FY25
if

things

go

positive.

Mr. Madhur Deora: Yeah, we definitely expect, I mean, unless there are big changes in and unless the FY26

macro

looks

worse

than

FY25,

we

do

expect

that

FY26

will

be

better

than

FY25.

And

especially

given

that

we

are

going

to

have

additional

partners,

going

into

FY26,
we
do
expect
an
increase
in
this
business
and
a
rebound
from
the
lows
that
we
saw
earlier
this
year.

Mr. Anand Dama: And DLG and the PL business could be on the higher side versus the merchant loans. Is that

safe
to
assume?

Mr. Madhur Deora: Not necessarily. No. I think in PL business the DLGs, on a blended basis are lower than

5%.

Mr. Anand Dama: And is there any update on the non PL, non merchant loan products that we were actually

planning
to
launch?

Mr. Madhur Deora: Vijay, do you want to talk about that? Non PL non personal loan, so, this might be

referring

to

uh..

Mr. Vijay Shekhar Sharma: What kind of other product are we talking about here?

Mr. Anand Dama: So, basically any home loan or you know mortgages is what basically we were talking about

earlier

on.

So,

is

there

any

update

over

there

like?

Mr. Vijay Shekhar Sharma: No, they're very low margin. They increase the line expenditure on us and we have

not

been

able

to

find

a

commercially

logical

reason.

The

CAC

was,

I

mean,

the

opportunity

cost

of
executing
that
versus
other
things,
I'm
not
yet
a
big
fan,
to
be
honest
about
it,
of
those
loans,
but
we
did
try
them
out,
but
we
sort
of
receded
from
that.

Mr. Anand Dama: And I think on the net payment margin, you said that the subscription revenue is still doing

well.

Are

all

the

device

merchants

now

paying

you

full

rental,

or

there

are

still

some

merchants

where

you

are

waiving

the

rent

because

you

know,

you

want

them

to

gradually

pick

it

up.

Mr. Vijay Shekhar Sharma: So, there are certain merchants who get rent refunds based on certain volumes

and

features,

always

now

or

later

nahi

hai

ye,

hamesha

hai.

Mr. Madhur Deora: So, we don't give waivers basis an activity. We give waivers basis, if you're doing a la

rge

amount

of

volume

with

us

then

we

give

that,

which

is

what

Vijay

is

referring

to

as

a

refund.

So

there

are

programs

that

we

would

run

that

if

you

do

very

large

volumes

with

us,

then

you

don't

have

to

pay

the

subscription

and

the

logic

is

that

those
merchants
are
great
merchants
in
lending
eventually
and
also,
we
make
UPI
incentives.

Mr. Anand Dama: Sure. If I can basically squeeze one more question, is on your capex. You said that basically

a
large
part
of
the
devices,
you
are
actually
refurbishing
and
supplying
it.
How
long
do
you

see

that

capex

will

remain

so

low,

and

any

guidance

on

requisitions?

Mr. Madhur Deora: Yeah, I think that that is one of the few factors that is an important factor for sure, but

it's

also

that

the

cost

of

the

device

has

also

come

down

as

we

are

ordering

at

large

scale

and

so

on.

So

we

don't

expect

the

capex

to

go

back

to

FY24

levels,

and,

we

think

that

the

refurbishment,

sort

of

savings

on

capex

due

to

refurbishment,

should

generally

be

the

case

over
the
next
two,
three
quarters,
that
this
number
is
not
something
that
we
actively
manage
on
a
month
on
month
basis
or
quarter
on
quarter
basis.
So,
that
might
go
up
and

down

a

bit.

But

refurbishment

supply

is

there

for

the

next

sort

of

two,

three

quarters.

And

even

in

FY26,

we

don't

expect

the

capex

to

go

back

to

FY24

levels.

On

depreciation,

I
mean,
I
don't
want
to
give
a
specific
guidance
other
than
to
say
that
as
the
high
capex
of
FY24
relative
to
FY25,
as
that
starts
to,
sort
of
roll
off,
because

these
are
two
years
depreciation
for
soundbox,
then
we
should
see
a
reduction
in
capex,
sorry,
reduction
in
depreciation.
And
we're
already
starting
to
see
some
of
that,
but
we
should
see
that

just

sort

of

accelerate

a

bit

next

year.

Mr. Anand Dama: That's brilliant. Thanks a lot.

Moderator: Thank you Anand. The next question is from Manish Shukla of Axis. Manish, you may please ask

your

question.

Mr. Manish Shukla: Yeah. Good evening and thank you for the opportunity. Now that you started giving DLG,

as

a

lender

what

is

an

incentive

for

a

lender

to

do

a

non

DLG

loan

with

you?

Mr. Madhur Deora: I think these are sort of good faith discussions that one does. Some lenders say, I don't

really

need

DLG

because

it

doesn't

really

help

me.

I'm

comfortable

doing

it

in

a

non

DLG

model.

I

really

quite

liked

the

model

earlier

of

you

keep

the

sourcing

fee

or

I

pay
you
a
sourcing
fee
and
then
eventually
you
get
a
collection
incentive
in
the
end,
versus
some
lenders
say
that,
hey,
it's
kind
of
important
for
us,
it
will
help
us
scale

the
business,
right.
So,
these
are
good
faith
discussions.

If
one
had
to
not
think
of
win-win
and
they
just
had
to
think
about,
hey,
why
not
just
take
the
DLG,
then
I

can
see
where
your
question
is
coming
from.
But
that's
generally
not
the
tone
of
the
discussion.
Generally,
the
tone
is
this
and
we
are
comfortable
doing
X
amount.
But
yeah,
it
might

be
helpful
for
us
to
have
FLDG
and
we
can
do
more.

And
on
the
basis
of
that,
one
sort
of
agrees
on
a
certain
model.

Mr. Manish Shukla: Okay. The cash that you got from P
ayPay stake sale, which is sitting in the Singapore
entity,
what
is
the
proposed
end

use
of
that
money?

Mr. Madhur Deora: We're still working on that. The cash is sitting overseas. And, obviously cash is fungible.

If
we
needed
cash
in
India,
then
we
would
have
brought
it
back,
but
we
don't
need
this
cash
in
India.
We
have
over
■
10,000
crores
of

cash
in
India.
So
we
will
work
this
out
over
the
next
couple
of
quarters,
whether
there
is
an
overseas
use
of
funds
of
this
money
or
whether
we
should
bring
that
back

to
India.
Most
likely,
eventually
we'll
bring
it
back
to
India
in
some
form.

Mr. Manish Shukla: And if you were to get it to India, would there be tax implications?

Mr. Madhur Deora: We're still working through the tax implications of this.

Mr. Manish Shukla: Okay. Next question on contribution margin. Where do you think it stabilizes, going ahead?

I
mean,
you've
been
really
tightening
your
belt
on
expenses.
But
I'm
just
trying
to
understand

what
is
the
steady
state
contribution
margin,
what
does
it
look
like?

Mr. Madhur Deora: Yeah. So, we've talked about the contribution margin without UPI incentives is at 50
to
55%.

So
50
to
55%
and
including
UPI
incentive
for
this
to
be
55
to
60%.
So
we
continue
to

believe

it

will

be

in

that

range.

We

do

see,

and

I

should

just

point

out,

that

the

contribution

margin

last

quarter,

in

this

quarter,

particularly

this

quarter,

has

been

impacted

by

DLG

costs,
which
comes
in
other
direct
expenses.
And
from
last
quarter
to
this
quarter,
it
ramped
up
because
last
quarter,
we
did
it
in
the
middle
of
the
quarter,
with
our
largest
merchant

lending

partner.

So

this

quarter,

the

number

was

much

higher.

Not

because

we

were

giving

more

DLG

as

a

percentage,

but

because

of

the

full

quarter

impact.

So

as

that

number

sort

of

plateaus

a

bit,

relative

to

our

overall

disbursal,

we

should

see

an

uptick

in

contribution

margin,

just

based

on

that

factor

alone.

Mr. Manish Shukla: But Madhur, you're also making a corresponding collection fee upfront as well. So, there

is

a

revenue

impact

also

on

the

DLG,

not

just

the

cost.

Mr. Madhur Deora: So, what we make upfront is still the sourcing fee. What I said in the last call is that the

trail

revenue

is

significantly

higher,

right.

So,

there

are

two

impacts,

one

is

the

trail

revenue

is

significantly

higher,

and

I

know

there

are

a

couple

of

questions

about

sort
of
the
lending
take
rate,
which
has
gone
up
meaningfully,
partly
because
of
this,
not
only
because
of
this,
but
partly
because
of
this.
And
second
is,
the
DLG
cost
has
gone

up

meaningfully

this

quarter

compared

to

last

quarter,

but

over

time

it

plateaus.

So,

what

happens

is,

if

we

have

given

X

amount

of

loans

under

DLG,

then

that

starts

to

generate

the

trail
income
over
the
next
three,
four
or
five
quarters,
whereas
the
DLG
cost
is
not
going
up
meaningfully.

Mr. Manish Shukla: Sorry to squeeze in then, what really explains the jump in take rate if you can just help

us,
the
delta
of
7
to
9%.

Mr. Madhur Deora: It's partly the trail revenue from the previous quarter, as well as a little bit of loans given

this
quarter.

So,
whatever

you

gave

in

October,

November,

you

have

higher

trail

revenue.

And

second

,

these

collection

efficiencies

have

continued

to

improve

like

we

mentioned

earlier,

which

means

that

in

our,

if

you

will,

old

non

FLDG

book,

we

are

getting

higher

collection

revenues

than

we

did

before.

Mr. Manish Shukla: Got it. Thank you. Those are my questions. Yeah.

Moderator: Thank you. The next question is from Rahul Jain of Dolat Capital. Rahul, you may please ask your

question.

Mr. Rahul Jain: Yeah. Hi. Thanks for the opportunity. So, if you could help me out, what is the ideal revenue

run-rate

of

the

non-lending

part

of

financial

services?

And

what

could

be

the

ideal

gross

take

rate

on

DLG

part

of

MCA

book.

Mr. Madhur Deora: Sorry, what was the second part of the question Rahul?

Mr. Rahul Jain: So what is the gross take rate on the DLG part of the MCA book?

Mr. Madhur Deora: The gross take rate over the lifetime of a loan in the DLG business, so if you remember

earlier,

we

used

to

talk

about

3

to

4%

on

sourcing

and

1

to

2%

on

collections,

right.

So,

to

that

you

can

add

the

FLDG

amount.

So,

let's

say

the

FLDG

amount

was

3.5%

or

4%.

You

can

effectively

add

that

in

order

to

get

a

gross

take

rate.

But

to

be

clear,

most

of

that
is
not
in
the
quarter
of
disbursal.

So,
in
the
quarter
of
disbursal

it
would
be
the
sourcing

fee,
which

we
have
talked
about

is

3

to
4%.

And

the
collection
revenue

effectively

goes

up

by

the

amount

of

FLDG

cost

that

we

have

incurred.

Does

that

directly

answer

your

question?

Mr. Rahul Jain: Yeah, yeah. So, essentially we should reach 8-9% on a trailing basis, that is how the maths would

eventually

work.

Mr. Madhur Deora: Yeah, broadly. That's right. It mostly depends on the FLDG cost and depends on various

other

things,

but

that's

probably

broadly

right.

It

can

be

a

bit

higher

than

that

because.

So

that

is

the

model

we

should

talk

about,

like

we

have

mentioned

in

the

last

couple

of

quarters

that

collection

efficiencies

on

MC

has

gone

up.
So
that
1
to
2%
that
we
had
indicated
we
make
on
a
trail
basis,
that
number
is
also
inching
upwards.
So
yes,
but
broadly
the
math
that
you
did
was
right.

Second

is

on

non-financial

services.

Sorry

...

non

lending

revenue

in

financial

services.

I

don't

want

to

give

you

an

exact

number

because

that

we

think

is

a

slightly

additional

breakup,

but

broadly

it

has
been
10
to
20%
of
our
financial
services
revenue
almost
consistently
over
the
last
8
or
9
quarters.
So,
when
lending
revenues
have
gone
down,
like
they
did
in
Q1
and
Q2,

then

it

was

a

little

bit

higher.

And

currently,

as

lending

revenues

are

recovering,

then

it's

a

little

bit

lower.

But

it's

been

in

the

10

to

20%

range.

Mr. Rahul Jain: Got it. And just last one more question. Given the kind of, efficiencies that we have displayed

on

the

indirect
cost
side,
and
our
commentary
on
the
depreciation
side
and
of
course,
the
mounting
cash
position,
and
cash
generation
expectation
in
the
coming
quarters,
and
probably
we
might
have
achieved
adjusted
EBITDA

breakeven

at

least

on

an

exit

month

basis,

if

not

for

the

quarter,

so,

is

there

any

specific

goalpost

that

we

are

aiming

for,

going

into

next

fiscal

or

calendar,

whatever?

Mr. Madhur Deora: So, I think just laying this out, like we said, we're very close to

EBITDA before ESOP
profitability.

This
is
without
UPI
incentive
just
to
point
out.
So,
for
example,
if
we
got
this
quarter's
share
of
UPI
incentive
in
this
quarter,
then
we
would
already
be
profitable.
But
obviously
the

sort
of
phasing
of
that
works
a
certain
way.
And,
what
is
also
going
on
when
we
look
at
EBITDA
to
PAT
is
that
our
interest
income
is
going
up,
largely
because
we

have

more

cash

than

we

did

before.

Our

depreciation

is

going

down, as we discussed earlier, and our ESOP costs are going down, as we have disclosed in the back of the

earnings

release.

So

as

a

result,

the

gap

between

EBITDA

before

ESOP

and

PAT

is

going

down

very

meaningfully,

I

think

in

2

or

3

quarters

that

gap

will

be

basically

zero.

So,

just

mathematically,

we're

going

to

get

very

close

to,

we're

going

to

get

to

PAT

profitability,

once

EBITDA

before

ESOP

is,

is
profitable
either
in,
you
know,
maybe
in
the
next
1
or
2
quarters,
sequentially.
So
that's
obviously
very
clear,
I
wouldn't
even
say
a
target,
that's
just
something
that
we
are
just

sort
of
marching
towards,
but
eventually
the
point
is
that
we
want
to
get
very
efficient
as
an
organization.
We
want
to
drive
higher
revenue
growth.
We
have
had,
obviously
some
headwinds
with

respect
to,
where
we
are
in
the
sort
of
credit
cycle
and
personal
loans
and
so
on,
and
which
is
fine.
I
think
one
just
has
to
be
cautious
and
build
great
long-term

businesses.

And

as

we

start

to

get

that

revenue

growth,

a

lot

of

the

work

that

we

have

done

this

year

on

becoming

more

efficient

should

translate

into

fantastic

operating

leverage.

And

so

while

EBITDA

breakeven

and

PAT

breakeven

are

milestones,

but

obviously

that's

not

the

goal.

The

goal

is

to

have,

double

digit

EBITDA

margin

relatively

soon

and

then

have

that

translate

into

a

substantial

amount

of

PAT.

Mr. Rahul Jain: Understood. So the first goal, as you rightly said, is, the difference between adjusted EBITDA

and

PAT

would

vanish

in

a

couple

of

quarters,

maybe,

Q4,

Q1

and

then,

the

double

digit

EBITDA

margin,

probably

4

to

6

quarters

from

that

point.

And,

from

a

growth

point

of

view,

as

you

rightly

said,

that

we

have

right

sized

the

business,

in

various

aspects.

So,

what

should

be

a

good

benchmark

for

growth

on

a

3

to

5

year

prospective

basis,

for

the,

assuming

the

same

set

of

business

stays

in

the

same

form

and

shape,

there's

no

new

incremental

revenue

line

that

we

we

might

see,

or

maybe

a

recovery

on

1

or

2

products

that

we

are

not

working

on.

So,

assuming

the

same

business

stays,

what

should

be

a

3

to

5

year

goal

post

on

the

growth

path?

Mr. Madhur Deora: Yeah, for reasons I'm sure you'll understand, that I don't want to give specific guidance

or
specific
ranges
off
the
cuff,
but
I
think,
things
that
get
us
excited
are
obviously
payment
volumes
in
India
are
growing
very
meaningfully.
So,
maybe
20
-
25%
year
on
year,
relatively

safely.

The

second

is,

the

take

rates

are

starting

to

have

some

levers

of

tailwinds.

So,

somebody

asked

earlier

about

RuPay

on

UPI.

Just

like

that,

there

are

several

oth

er

things

which

are

inching

take

rates,

you

know,

which

are

putting

a

bottom

at

the

take

rates,

but

also

increasing

take

rates.

Merchants'

willingness

to

pay

for

devices,

and

other

hardware

and

software,

is

very

encouraging

as

well.

So,

I

think

that

is

another

monetization

source.

We

have

a

whole

page

in

the

earnings

release

about

why

we

are

excited,

particularly

about

the

merchant

payment

side

of

the

business.

And

then

the

last

thing

we

point

to,

is

that

only

about

six

lakh

customers

or

merchants

have

taken

a

financial

services

product

from

us,

last

quarter

and

we're

not

even

getting

into
product
per
customer,
right,
which
is,
I
know,
in
financial
services,
something
that
more
mature
organizations
track.
We're
just
talking
about
the
number
of
people
who
have
taken
at
least
one
financial

services

product

from

us.

And

that

is

only

at

six

lakhs,

which

is

less

than

1%

of

our

base.

Right?

So

clearly,

there's

an

opportunity

to

distribute

to

more

of

our

customers

and

merchant

financial

services.

And

if

we're

able

to

do

a

good

job

of

that,

obviously,

even

at

less

than

1%

scale,

it

is

north

of

■
450

crores

of

revenue

for

us.

So,

if

we
are
able
to
increase
that
penetration,
by
finding
the
right
products
for
the
right
customers
and
having
them
transact
on
that
on
our
platform,
then
there's
a
huge
amount
of
high
margin

revenue
that
is
available
to
us.
So,
maybe
I'm
sort
of
stating
the
obvious,
but
I
think
these
are
the
2
or
3
components
which
get
us
really
excited
about
our
business
in

the

medium

term.

Mr. Rahul Jain: Yeah, sure. That's quite helpful and encouraging. Thank you.

Moderator: Thank you. Rahul. The next question is from Jayant Kharote from Jefferies. Jayant, you may please

ask

your

question.

Mr. Jayant Kharote: Thanks for the opportunity. Just one more on the DLG, if I got the construct correct, it

seems

that

we

may

be

starting

off,

on

an

incremental

basis

with

a

contribution

margin

of

less

than

50%

on

these

products,

incremental

DLG

disbursals.

And

then

as

3

to

4

quarters

sort

of

pass

and

you

get

the

collection

incentives,

that

can

move

back

to

50%

or

even

higher,

and

if

that

is

the

case,

then

does

it

mean

for

the

next

two,

three

quarters

we

should

expect

contribution

margin

to

be

nearer

to

the

50%

mark

rather

than

the

55%

mark?

Mr. Madhur Deora: So I agree with the first two points that you made. So, just to be clear, in the month of

disbursal,

the

merchant

loan

is

less

than

50%

margin,

right.

Because,

we

get

a

sourcing

fee,

like

we've

always

mentioned,

it's

3

to

4%

and

then

we

have

an

FLDG

cost

meaningfully

greater.

So

we

make

so

we

benefit

e.g.

cost,

which

while

we

have

said

is

less

than

5%,

it

still

means

that

the

business

is

not

in

that

month,

contribution

margin

positive.

And

yes,

over

time,

we

make

a

lot

of

trail

revenue,

which,

you

know,

while

I

was

answering

Rahul's

question,

we

sort

of

had

a

directional

computation

on.

So,

overall,

that

business

is

significantly

higher

contribution

margin.

I

think

the

point
that
I
was
making
earlier
is
that,
our
FLDG
cost,
despite
the
fact
th
at
it
doubled
this
quarter,
more
or
less
doubled
this
quarter
because
you've
seen
from
the
disbursal
numbers,

despite
that,
we
were
able
to
maintain
our
contribution
margin.
Obviously,
going
forward,
we
expect
our
revenue
from
merchant
loans
to
grow
faster
than
incremental
FLDG,
than
effectively
FLDG
growth,
because
we
are

starting
to
get
collection
revenue
from
not
only
the
old
book,
but
also
from
the
FLDG
book.
So
we
don't
expect
that
incrementally
from
here,
there
should
be
a
huge
drag
on
contribution

margin.

But

I

just

maintain

the

50

to

55%

range.

I

think

there's

just

various

factors

where

one

shouldn't

overly

try

to,

to

be

precise,

about

quarter

on

quarter

contribution

margin

trends.

Mr. Jayant Kharote: And I know too early on this one, but given that the DLG book has, you know, been there

for

five

odd

months,

how

is

it

behaving

compared

to

the

earlier

product?

And

I'm

asking

this

because

in

terms

of

incremental

disbursals,

almost

two

thirds

are

coming

from

this

product.

It's

fair

to
assume
that
this
product
will
become
the
largest
part
of
ML
disbursals
going
ahead.

Mr. Madhur Deora: So, I mean, the business is effectively the same, right. Which is that merchants who display

certain
behavior,
are
whitelisted,
and
they
can
get
a
loan
from
one
of
our
partners.
The

DLG

book

may

behave

the

same

or

slightly

better

or

slightly

worse

compared

to

the

non

DLG

book,

because

of

something

which

might

be

partner

specific.

Right.

So,

we

have

a

DLG

relationship

with
some
partners
but
not
with
other
partners.
So,
there
might
be
certain
partner
specific
reasons
why
it
may
behave
better
or
worse.
As
it
stands,
our
DLG
book
that
we
have
done

in
the
last
five
months
has
done,
I
would
say,
noticeably
better
than
the
non
DLG
book
AUM
that
exists.
Right.
So
it
is
very
much
on
track.
If
anything,
it
is
doing

slightly
better
and
we
have
really
no
cause
of
concern
on
the
unit
economics
or
the
expected
credit
losses
of
that
book.

Mr. Jayant Kharote: Thank you and congratulations for a great set of numbers.

Mr. Madhur Deora: Thanks, Jayant.

Moderator: Thank you Jayant. The next question is a follow up question from Pranav Gundlapalle.

Pranav,

you
may
ask
your
question.

Mr. Pranav Gundlapalle: Hey, thanks for taking my last question. The question is on personal loans. Can you

just
provide

some

color

on

what

drives

a

lending

partner's

choice

of

going

with

a

pure

distribution

model,

versus

one

where

you

are

responsible

for

collection?

Is

it

simply

economics,

or

is

it

risk?

What

drives

choice?

Mr. Madhur Deora: I think it might, so in some cases it's just segments, Pranav. So, we have actually both models

with

multiple

partners,

right.

So,

we

have

multiple

partners

who

will

do

distribution

business

only

with

us

because

they

are

underwriting

them

a

certain

way,

and

they

believe

that

their

existing

collection

infrastructure

can

take

care

of

those

loans.

And

then

there

are,

then

they'll

also

do

collection

led

business,

because

they

think

that

our

collection

capability

may

be

much

more

efficient

and

much

more

effective

for

a

certain

base

compared

to

them,

sort

of

figuring

out

or

adding

capabilities

to

their

other

collection

capabilities.

So

it

really

is

an

underwriting

call,

that

you

do

you

feel
comfortable.
So,
we'll
work
with
them
to
say
there's
a
segment
that
we
think
we
will
just
have
you
distribute
loans
to
because
you
don't
really
need
our
collection
capability.
And
there's

other
bases
where
you
may
be
able
to
underwrite,
give
them
loans
because
Paytm
is
able
to
collect
from
them.

Mr. Pranav Gundlapalle: Okay. So, I'm just trying to understand if we should expect a meaningful change in

the
mix
if,
let's
say
the
operating
environment
improves,
from
here,

or

would

it

change

if

it

deteriorates

further

from

here?

So,

I

guess

as

long

as

the

loan

mix

remains

where

it

is,

we

shouldn't

see

a

big

change

in

that

mix

between

one

versus

the

other.

Mr. Madhur Deora: Yeah, I think the idea is that you would go to partners and have both conversations, and

I'm

not

quite

sure,

like,

I'm

not

quite

sure,

we

have

a

very

strong

view

that

let's

say

we're

sitting

here

four

quarters

from

now,

and

partners

have

more

comfort

on

the

credit

cycle,

will

they

switch

more

towards

collection

model

or

more

towards

distribution

model?

I

don't

necessarily

think

we

have

a

strong

view

on

that.

But

I

think

the

idea
is
that
can
work
with
partners
and
continue
to
find
more
win-win
partnerships,
because
our
platform
has
a
huge
number
of
capabilities,
distribution
and
collection
and
some
partners.

Mr. Vijay Shekhar Sharma: Pranav, I also want to add that, distribution is more like when we have, extraordinary

differentiation
than,

let's
say,
a
Google
search
would
have
otherwise
it's
merely
an
advertisement,
because
you're
probably
practically
you
are
trying
to
generate
a
lead
and
then
you're
giving
the
partner
something.
So,
I'm
personally

going
to
say
that
we
remain
inclined
towards
higher
margin
products,
and
it's
sort
of
what
we
are
showing
and
seeing,
even
though
distribution
does
make
sense
because
we
don't
address
all
needs,

for
example,
like
larger
ticket
products,
we
don't
put
them
in
these
categories.
So,
there
is
a
fair
mix
of
distribution
and
distribution
plus
collection.
Distribution
plus
collection
is
the
preference
because
it

gets

us

more

margin.

Distribution

only

gets

us

larger

money

per

ticket.

We,

in

both

ways,

are

trying

to

create

methods

or

APIs

between

lenders

and

us

so

that

it

can

be

easier

done

than

as

neutrally

third

party

as

advertising

on

Google

could

work

or

some

third-party

place

could

work.

What

I

can

tell

you

is

that

we've

been

able

to

successfully

create,

even

in

distribution,

the

integration, which is far easier and far better than someone else. So, distribution opens up diversity and the

collection

opens

up

high

margins.

Mr. Pranav Gundlapalle: Understood. Thank you. Thank you very much for the answers. Thanks.

Moderator: Thank you Pranav. The next question is from Siddharth Gupta of Voyager Capital. Siddharth, you

may

please

ask

your

question.

Mr. Siddharth Gupta: Hi. Thank you for the opportunity and congratulations for a great set of numbers.

Most

of

my

questions

about

DLG

have

been

answered.

I

just

wanted

to

have

a

few

quick

questions.

First

one

is

what

is

the

quantum

of

DLG

we

want

to

meaningfully

envisage

over

the

next

few

quarters,

we've

gone

from

225

to

350

just

to

get

a

ballpark

figure

of

where

we

are

looking

at.

The

second

more

specific

one

is

basis

our

previous

payouts

and

our

rough

estimations.

What

is

the

rough

quantum

of

the

UPI

incentive

we

stand

to

receive

in

the
upcoming
quarter?
And
lastly,
I
just
wanted
to
understand
our
roadmap
on
three
of
our
products,
that
now
that
we
can
add
customers
back
on
UPI,
and
we
have
also
publicly
stated

a
goal
of
going
back
to
our
Jan
2024
levels,
which
was,
I
think,
around
9
or
10%
of
market
share,
where
if
we
have
a
particular
roadmap
of
how
we
wish
to

go

down

that

route?

Do

we

wish

to

take

a

cash

back

based

route

or

do

we

envisage

organic

growth?

And

if

you

could

shed

some

light

on

Paytm

Money

and

insurance

broking

as

a

business,

because

we

didn't

delve

too

much

into

it

in

the

release

that

came

out.

Thank

you

so

much.

Mr. Vijay Shekhar Sharma: Yeah Siddharth. A lot of questions, but I'll go to the most critical one, which is the

consumer

growth,

which

is

because

internally

we

have

now

switched

our

gear

towards

the

growth

where

the

merchant

growth

and

consumer

growth,

both

are

something

that

are

very

imminent

and

seeable.

If

you

notice

the

number

of

consumer

growth

without

marketing

spend

enhancement

is

very,
very,
very
encouraging.

I,
in
answer
to
a
previous
question,
also
suggested
that
there
is
an
organic
flywheel
that
we
are
seeing.

My
and
our
attempt
would
be
that
we
continue
to

do

product

led

growth

instead

of

big

bang

spend

money

led

growth.

And

we

do

believe

that

there

is

a

great

opportunity

of

product

improvement

and

product

differentiation.

We

have

a

lot

in

queue

going

ahead

on

the

consumer

side

in

terms

of

product

streamlining.

There

were

a

lot

of,

I

tweeted

and

I

learned

a

lot

about

what

is

not

good.

And

actually,

we

knew

a
lot
of
it.
So,
we
were
in
due
course
waiting
for
different,
different
levels
of
regulatory
clarity
before
we
started
to
release
the
product.
And
I'm
happy
to
say
that
those
products

lined
up
will
give
us
growth
or
retention,
better
retention,
better
growth,
better
reactivation.
So,
that
is
where
our
primary
opportunity
on
consumer
growth
will
be.

Paytm Money and Insurance are still work-in-progress businesses. Paytm Money is something that where there

is
an
attention
on
mutual

fund

distribution,

because

I

think

that

mutual

fund

distribution

is

a

great

amount

of,

number

of

customers

that

we

are

able

to

sign

up

because

of,

as

you

are

aware

that,

you

must

have
seen
on
social
media
and
otherwise
also
that
there
is
a
clarity
that
revenues
and,
trading
revenues,
thanks
to
F&O,
etc
have
declined.
So,
we
have
followed
the
same
trend
as
the

market

has

seen.

So,

there

is

a

lot

to,

let's

say,

I

would

say

do

there

based

on

mutual

funds,

which

is

what

our

focus

area

is

right

now.

Number

of

SIPs,

number

of
mutual
fund
customers,
that
is
what
we
are
trying
to
say.
And
insurance
wise
it
is
an
embedded
insurance
along
with
our
health
and
auto
insurance,
whic
h
are
very
good
bottom
line

contributors.

So,

that

is

what

we

will

continue,

and

rest

DLG

again.

Back

to

Madhur,

he

will

answer.

Mr. Madhur Deora: Sorry on UPI incentive, while we don't know what the exact structure will be, so it's hard

to

predict

a

number.

But

we

do

have

about

15

to

20%

growth

in
eligible
GMV.
And
so,
if
you
look
at
our
last
year
number
and
going
forward,
and
had
to
sort
of
take
a
ballpark
guess
at
this
number,
this
year's
number,
then
it

should
be
in
that
range.
But
I
would
hate
to
sort
of
just
start
blurting
out
certain
numbers
of
what
we
should
expect
in
Q4.

On DLG, Siddharth we don't really have a target number. We believe in the model and this DLG, while it is
a
cost
up
front,
it
is
more

than
made
up
by
the
profitability
on
the
merchant
cash
advance
business
or
merchant
loan
business.
So,
we
think
it's
just,
in
a
sense,
an
investment
into
getting
that
profit
pool.
So,
we

don't
really
have
a
number,
which
is
to
say
we'll
eventually
cap
it
at
this
number.
Of
course,
the
board
approved
numbers
have
been
disclosed,
but
I
would
expect
that
the
board
would

be
constructive
given
the
performance
of
this
business
when
we
go
back
to
them
for
any
additional
approvals.

Mr. Siddharth Gupta: Fair enough. Thank you, Madhur, thank you, Vijay. And Vijay, that was a great initiative

of
tweeting
for
two
things
on
product
improvement.

I
absolutely
loved
it.

Thank
you

so

much.

Moderator: Thank you. Siddharth. We'll take two last questions, given paucity of time. Our next question will

be

from

Rushabh

Sheth.

Rushabh,

you

may

ask

your

question.

Mr. Rushabh Sheth: Hi, Vijay. Thanks for the opportunity. I just wanted to check, are there any thoughts on

the

wallet

business?

Do

you

guys

want,

at

some

point

of

time,

to

start

redoing

it?

Just

want

to
kind
of
get
your
thoughts,
now
that
the
whole
Paytm
Bank
thing
is
behind
us.
If
you
have
any
thoughts
or
if
you
guys
are
planning
something
on
that.

Mr. Vijay Shekhar Sharma: Yeah, we want to do it. We are waiting for Paytm Bank's final outcome and on the

basis

of
that
we'll
take
the
next
step.

Mr. Rushabh Sheth: Got it. And any view in terms of the timeline for this outcome?
Mr. Vijay Shekhar Sharma: As people who are on this side of the call, we have only actions that we can effort
outcome.

Mr. Rushabh Sheth: Okay. All right. But based on that, you will decide how you want to go forward on that
timeline.

Mr. Vijay Shekhar Sharma: Yes, we'll do it quickly, but it will take time.
Mr. Rushabh Sheth: All right. Got it. Thanks so much, Vijay.
Moderator: Thank you Rushabh. The next question is from Lokesh of Vallum Capital. Lokesh, you may please

ask
your
question.

Mr. Lokesh: Yeah. Hi. Good evening. Just a couple of questions. One is a clarification.
Moderator: Lokesh sorry, you're not audible. Can you please speak closer to the mic?
Mr. Lokesh: Yeah. Is this better?
Moderator: Yeah, please. Thank you.
Mr. Lokesh: Yeah. Madhur, couple of questions. One is on the FLDG, if you can share AUM on the basis of which

the
financial
services
revenues
are
generated.
Do
you
think
that
would
be

a
better
way
for
us
to
track
the
performance
of
the
financial
services
business?

That
is
one.
Second
is,
hypothetically
in
the
mid
term,
if
you
have
to
grow
your
FLDG
book,
would

it
be
capped
to
the
free
cash
that
you
are
generati
ng
internally,
or
would
you
want
to
dig
into
the
cash
pile
which
is
sitting
in
the
balance
sheet.
So
those
are

my

two

questions.

Mr. Madhur Deora: So, your second question, the sourcing fee that we make in the month of disbursal is really

the

same,

generally

slightly

higher

than

the

DLG

cost.

Right.

And

obviously,

we

make

a

lot

more

money,

as

trail

revenue.

So,

we

don't

really,

so

it's

not

like

in
the
month
of
disbursal
it's
negative
business
and
we
are
doing
this
hoping
that
we'll
be
able
to
make
up
for
it
later
and
then
make
more
money.
So,
that's
not
what

is
going
on
here.
So,
that
constraint
would
be
a
logical
constraint
to
put,
but
it's
not
really
the
case
here
anyway.
On
your
first
question,
a
majority
of
the
revenue
that
we

make
is
upfront,
and,
sourcing
fee,
at
least
in
a
non
FLDG
model,
it
was
always
the
sourcing
fee
was
a
larger
chunk.
So
that's
why
we
had
always
pegged
it
to
disbursal.

I
think
we
can
consider
whether
AUM
is
a
better
number,
I'm
slightly
skeptical,
but
we'll
think
through
it.
I
think
one
of
the
things
that
we
are
driving
at
also
is
what

is
the
revenue
per
customer
that
you
make
from
the
number
of
customers
who
have
taken
a
financial
service
product.

So,
one
of
the
ways
that
we
have
also
started
to
look
at

it
is
you
have
six
lakh
customers
taking
a
financial
services
product
and
you
made
450
crores.
So,
what
does
that
drive
to
long
term.
Of
course,
now
some
customers
are
higher
ARPU,

some
products
are
higher
ARPU,
lower
ARPU.
But
broadly
speaking,
the
leading
indicator
to
being
able
to
make
more
financial
services
revenue
down
the
road
is,
if
more
of
your
customers
are
availing

it.

Mr. Vijay Shekhar Sharma: Yeah, I think AUM is when you are the actual book owner, which we are not, so,

I

would

go

towards

per

customer

revenue,

sort

of

an

ARPU

from

financial

services,

and

they

could

take

any

of

the

three

services-

loan,

credit

or

insurance.

Mr. Lokesh: Fair enough. That's a perfect representation of the product led strategy that you're talking about.

That's

great.

That's

great.

Thank

you

so

much.

Thank

you.

Moderator: Thank you so much. With that, we come to an end of this call. A replay of this earnings call and

the

transcript

will

be

made

available

on

the

company

website

subsequently.

Thank

you

all

for

joining

and

you

may

now

disconnect

your

lines.

Thank

you.

Mr. Vijay Shekhar Sharma: Thank you everybody.

Call: May 2025

Corporate Office - One Skymark, Tower -D, Plot No. H-10B, Sector -98, Noida -201304

T: +91120 4770770 F: +91120 4770771 CIN: L72200DL2000PLC108985

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compliance.officer@paytm.com

www.paytm.com

May 12, 2025

BSE Limited

Department of Corporate Services

Phiroze Jeejeebhoy Towers,

Dalal Street, Fort,

Mumbai - 400 001

Scrip Code: 543396 National Stock Exchange of India Limited

The Listing Department

Exchange Plaza ,

Bandra Kurla Complex,

Mumbai - 400 051

Symbol: PAYTM

Sub.: Disclosure under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements)

Regulations, 2015 - Transcript of the Earnings Conference Call conducted on May 06, 2025

Dear Sir / Ma'am,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Earnings Conference Call, conducted on May 06, 2025, on financial results of the Company for the quarter and financial year ended March 31, 2025.

The said transcript is also available on the website of the Company at <https://ir.paytm.com/financial-results>.

Kindly take the same on record.

Thanking you

Yours Sincerely,

For One 97 Communications Limited

Sunil Kumar Bansal

Company Secretary and Compliance Officer

Encl. as Above

Paytm | Q4FY25 Earnings Call |

Call Date: May 06, 2025 | Time: 18:00 PM Indian Standard Time

Disclaimer:

By reading this call transcript you agree to be bound as follows: This earnings call with the management of One

97

Communications

Limited

("Company")

is

for
information
purposes
only
without
regards
to
specific
objectives,
financial
situations
or
needs
of
any
particular
person
and
is
not
and
nothing
in
it
shall
be
construed
as
an
invitation,
offer,
solicitation,
recommendation

or
advertisemen t
in
respect
of
the
purchase
or
sale
of
any
securities
of
the
Compan y
or
any
affiliat es
in
any
jurisdiction
or
as
an
induc emen t
to
enter
into
investmen t
activity
and
no
part

of
it
shall
form
the
basis
of
or
be
relied
upon
in
connection
with
any
contract
or
commitmen t
or
investmen t
decision
whatsoe ver.
This
earnings
call
does
not
take
into
account,
nor
does
it

provide
any
tax,
legal
or
investmen t
advic e
or
opinion
regarding
the
specific
investmen t
objectives
or
financial
situation
of
any
person.
The
information
to
be
presen ted
and
discussed
on
this
earnings
call
is
confiden tial

and
proprie tary
to
the
Compan y
and/ or
its
affiliat es
and
no
part
of
it
or
its
subject
matter
be
used,
recorded,
reproduc ed,
copied,
distribut ed,
shared,
or
disseminat ed,
directly
or
indirectly ,
to
any
other
person

or
published
in
whole
or
in
part
for
any
purpose,
in
any
manner
whatsoever.

Statements or comments made on this earnings call may include certain statements that are, or may be deemed

to
be,
“forward-looking
statements”
and
relate
to
the
Company
and
its
financial
position,
business
strategy,
events
and
courses

of
action.
Forward-looking
statemen ts
and
financial
projections
are
based
on
the
opinions
and
estim at es
of
managemen t
at
the
date
the
statemen ts
are
made
and
are
subject
to
a
varie ty
of
risks
and
uncertainties

and
other
factors
that
could
cause
actual
events
or
results
to
differ
materially
from
those
anticipat ed
in
the
forward-looking
statemen ts
and
financial
projections.

We, or any of our affiliat es, shareholders, direct ors, emplo yees, or advisors, as such, mak e no represen tations
or
warran ties,
express
or
implied,
as
to,
and
do

not

accept

any

responsibility

or

liability

with

respect

to,

the

fairness,

accuracy ,

completeness

or

correctness

of

any

information

or

opinions

contained

herein

and

accept

no

liability

whatsoever

for

any

loss,

howsoever,

arising

from

any
use
or
reliance
on
the
information
presented
and
discussed
in
this
earnings
call.
The
information
contained
herein
is
subject
to
change
without
any
obligation
to
notify
any
person
of
such
revisions
or

change
and
past
performanc e
is
not
indic ative
of
future
results.

It is clarified that this earnings call, and the information discussed and presen ted herein, is not intended to be an

offer
for
subscrip tion
or
sale
of
any
securities
or
inviting
offers
or
invitations
to
offer
or
solicit ation
to
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public

(including
any
section
thereof)
or
any
class
of
investors.
No
rights
or
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to
be
creat ed
by
the
information
presen ted
and
discussed
on
this

earnings
call.
This
document
has
not
been
and
will
not
be
reviewed
or
approved
by
a
regulatory
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in
India
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by
any
stock
exchange
in
India.
No
rights
or
obligations
of
any

nature
are
creat ed
or
shall
be
deemed
to
be
creat ed
by
the
contents
of
this
documen t.

Moderator: Thank you for joining and welcome to Paytm's Earnings call to discuss our financial results for

the
quarter
and
year
ending
on
31st
of
March,
2025.
We
will
start
our

call
with
Q&A
after
introduction
to
the
management.
From
Paytm
management,
we
have
with
us
Mr.
Vijay
Shekhar
Sharma,
Founder
and
CEO,
Mr.
Madhur
Deora,
President
and
Group
CFO
and
Mr.
Anuj
Mittal,

SVP,
Investor
Relations.

A
few
standard
announcements
before
we
begin.

The
information
to
be
presented
and
discussed
here
should
not
be
recorded,
reproduced
or
distributed
in
any
manner.
Some
of
the
statements
made

today

may

be

forward-looking

in

nature

and

actual

events

may

differ

materially

from

those anticipated in such forward-looking statements. Finally, this earnings call is scheduled for 60 minutes.

A

replay

of

this

earnings

call

and

transit

will

be

made

available

on

the

company

website

subsequently.

We

will

start

our

Q&A

now.

If

you

seek

to

ask

a

question,

kindly

utilize

the

raise

hand

feature

on

your

Zoom

dashboard.

Please

ensure

that

your

name

is

visible

as

your

name,

last

name,

followed

by

your

company

name

for

us

to

be

able

to

identify

you.

We

will

unmute

your

line

and

take

questions

in

the

respective

sequence

of

the

raised

hands.

First

question

is

from

Mr.

Sachin

Salgaonkar.

Sachin,

you

may

ask

your

question.

Mr. Sachin Salgaonkar: Thanks, Pranav. Good day, management and congrats on adjusted EBITDA break-even.

I

have

three

sets

of

questio

ns.

The

first

question

is

largely

on

lending.

We

did

see

the

personal

loan

value

decline

on

a

QoQ

basis.

And

I

do

understand

it's

basically

on

the

back

of

tightening

what

we

are

seeing

in

the

industry.

The

question

out

here

is,

should

we

continue

to

see

this

kind

of
a
trend,
at
least
in
the
near
term,
before
things
start
improving?
And
a
related
question
is,
if
you
could
help
us
understand
how
many
lending
partners
you
have
right
now,
and

how

should

that

number

move

going

ahead?

Mr. Vijay Shekhar Sharma: Hi, thank you, Sachin. This is Vijay. Personal loan disbursements were not, did not

grow

quarter

on

quarter,

merchant

credit

definitely

grew.

And

personal

loan

wise,

we

are

moving

more

and

more

towards

a

pure

distribution

model

where

lenders

pick
up
their
own
collection
obligations,
so
to
say.
We
do
make
the
same
margins,
surprisingly.
And
merchant
wise,
we've
grown
healthily,
and
we
continue
to
see
that.
Personal
credit,
unless
something
bigger

changes,

we

will

not

see

much

larger

growth.

While

we

have

also

started

to

work

towards

secure

credit,

secure

based

on

various

other

items,

and

maybe

that,

if

that

grows,

we

will

see

some

numbers

going

back.

Mr. Madhur Deora: And on the number of lending partners for each personal loan and merchant loan, we

have

between

eight

and

ten

lending

partners.

Obviously,

there's

some

overlap,

so

I

think

the

total

number

of

lending

partners

is

about

fourteen.

If

I'm

not

wrong,

give

or
take
one.
So
yeah,
so
that
continues
to
progress
while
in
terms
of
getting
more
lending
partners
onboarded.

Mr. Sachin Salgaonkar: Thanks, Vijay and Madhur. Second question is on your expectation on MDR on UPI

for
larger
merchants
will
be
allowed
in
near
and
near
future.
Just
wanted

to
understand
if
you
could
help
us
understand
how
one
should
think
about
the
monetization
opportunities
as
in
how
this
happens
from
a
Paytm
perspective.
And
at
some
level,
is
it
also
linked

to
perhaps
the
UPI
incentives
decline,
what
we
saw
this
year
and
any
thoughts
on
how
the
government
is
looking
about
the
UPI
incentive
going
ahead
as
well?
Mr. Vijay Shekhar Sharma: Obviously, we do not know much, and we will not like to predict how the
government
is
looking
at
it,

but
we
definitely
see
talks
of
MDR
coming
on
UPI.
And
we
do
believe
that
it
should
show
up
sooner
rather
than
later.
And
we
do
believe
that
based
on
what
we're
seeing

in
the
current
financial
year,
it
could
show
up
at
any
point
of
time.
And
that
would
bring
monetization
of
QR
deployment,
acquiring
and
the
consumer
app
both.
And
I
think
the
numbers,

et

cetera,

and

when

and

how

is

something

that

continues

to

remain

to

be

discussed

or

to

be

seen.

And

that

will

bring

so-called

monetization

to

UPI.

We

do

believe

that.

Mr. Madhur Deora: And on your question on UPI incentive. I think at least the way we are running the business

is

that
we
expect
UPI
incentive
to
remain
low
going
forward,
especially
as
we
just
said,
once
the
MDR
comes
in,
then
it
would
only
be
for
very
small
merchants.
And
it
was
never

a
very
significant
part
of
our
business.
Going
forward,
we
expect
that
to
be
the
lower
number
as
indicated
in
the
last
year.

Mr. Sachin Salgaonkar: Vijay, just a quick follow up out here. The finance minister did say that she wants

1

billion
UPI
transactions
per
day
in
the
next
two

to
three
years.
So
at
some
level,
perhaps
we
are
seeing
a
monetization
which
might
add
a
bit
of
friction
to
growth.
And
we
have
a
higher
target
in
terms
of
growth.
And

I
do
understand
that
consumers
will
not
be
charged
on
UPI,
but
the
perception
sometimes
in
the
market
always
is,
whenever
an
MDR
comes,
the
consumers
will
be
paying
and
hence
there's
a

bit
of
a
friction.

So
do
we
still
see
this
coming

in
the
near
future
despite

this
entire
target

of
1
billion
UPI

transactions?

Mr. Vijay Shekhar Sharma: I do believe that there is a tremendous upside left and is ahead of UPI in the country.

The
finance
minister
is
perfectly
guided
towards
the

size
that
we
are
expecting.

And
I
do
believe
that
it
is
the
perfect
target
to
chase.

Consumers
are
not
going
to
be
charged,
like

I
say.

And
I
think
in
many
cases,

consumers'

misunderstanding

does

exist.

But

at

the

same

time,

I

don't

think

consumers

will

be

charged.

At

the

same

time,

how

MDR

shows

up,

it

is

the

work,

I

do

believe

that

NPCI

and

other

bodies

are

doing

it.

Mr. Sachin Salgaonkar: Got it. And my last question, your thoughts in terms of how much AI could lead to

cost

reductions.

I

did

see

a

statement

in

your

press

release

saying

that,

this

quarter,

you

did

reduce

some

non-sales

employee

costs

on

the

back

of

AI.

So

I

just

wanted

to

understand

the

potential

for

AI

and

what

kind

of

savings

we

could

see

in

the

future.

Mr. Vijay Shekhar Sharma: I don't have a percentage, but I do want to tell you that more and more automation

is

coming

in.

Overall

at

large,

more

productivity

per

employee

is
showing
up.
We
are
not
replacing
the
positions
that
get,
let's
say,
emptied.

So we are clear about it that we will be not recruiting incrementally if somebody, let's say, goes out. So practically,

it
may
not
look
like
a
drop,
but
it
will
continue
to,
as
the
cost
of
people

decline,

I

do

believe,

because

more

and

more

productivity

is

showing

up.

And

it

is

shocking

to

know

what

level

of

productivity

can

show

up.

I'm

right

now

in

Bangalore.

We

had

a

board
meeting.
I
was
yesterday
doing
my
team
reviews.
It
was
shocking
that
level
of
insights,
level
of
skill
from
a
senior
product
manager
that
we
typically
expect.
And
here
we
had
a

global
expert
product
manager.
So
it
would
be
a
dramatic
improvement
in
the
ability
and
capabilities
of
the
company.
So
I
do
believe
that
cost
will
continuously
reduce,
but
there
is
no
sharp

one-off,

et

cetera,

kind

of

thing

that

we

are

expecting.

Mr. Madhur Deora: I just want to add that what I'm really excited about is that we have really leaned into

this

and

we

are

doing

a

pretty

good

job

of

using

AI's

current

capabilities.

Of

course,

we

can

always

do

more.

And

obviously,
the
bigger
trend
is
that
AI
also
continues
to
get
better.
So
whatever
opportunities
exist
today
to
become
smarter,
more
efficient,
leaner,
those
opportunities
will
be
even
more
six
months
from
now,

a
year
from
n
ow.
So
we
just
fully
leaned
into
this,
and
that,
I
think,
is
what
really

matters.

Mr. Sachin Salgaonkar: Thank you both, and all the best for the future. Moderator: Thank you. Thank you so much. The next question is from Manish Adukia of Goldman Sachs.

Manish,

you
may
please
ask
your

question.

Manish Adukia: Thank you, Pranav. Hi, good evening, team. Thank you for taking my questions. So three questions

from
me
as
well.

Firstly, when I look at, let's say, the business, the merchant side of the business seems to be doing really

well,

whether

it's

merchant

acquisition,

device

installs,

merchant

lending,

like

you

alluded

to,

Vijay.

But

on

the

consumer

side,

you

touched

upon

the

personal

lending

business,

maybe

somewhat

subdued.

But

even,

let's

say,

the
user
base,
which
has
started
recovering
a
little
bit
after
the
NPCI
approval
to
onboard
new
users
but
still
significantly
below
the
number
where
we
were,
let's
say,
a
year,
year
and

a

half

ago.

One, I mean, is there a path to recovering the user base to where we were 12 to 18 months ago, and what

will

it

take

to

get

to

that

number?

And

then

second,

is

that

important

at

all?

I

mean,

do

you

really

need

MTUs?

I

mean,

even

if

MTUs

remain

where
they
are
and
don't
grow,
does
that
really
impact
your,
let's
say,
revenue
growth,
your
EBITDA,
et
cetera?
I
would
love
to
get
your
thoughts
on
that.
That
would
be
my
first

question,

please.

Mr Vijay Shekhar Sharma: Totally awesome way of looking at it, Manish. I really admire the way you looked

at

it.

The

truth

of

matter

is

our

future

forward

earning

and

bottom

lines

are

protected

by

the

people

who

stayed

on

the

platform,

incremental.

Users don't matter, but merchants definitely do. And I do believe that if we don't do anything and simply keep

focusing

on

the

product,

this
improvement
has
come
at
a
dramatically
lower
cost
than
we
would
have
spent
a
year
back.
So
it
is
purely
product
improvement
that
is
bringing
it
back.
And
I'm
very
proud
of

the
team
that
is
working
on
our
app,
UPI
and
other
backend
and
frontend
technologies
that
they
are
just
solving
the
bugs,
solving
the
features.

There is a very incredible feature that many of you may not know. Let's say you made a payment and you want

to,
in
passbook
history,
right
swipe,

you
can
hide
it.
That
feature
is
growing
like
a
wildfire
for
us.
Now,
these
kinds
of
insightful
features
give
us
the
capability
to
build
more
and
more
nuanced
products
that
we
will

see
over
the
period.
And
I'm
very
hopeful
that
even
though
as
far
as
our
future
forward
in
the
next
two
years,
I
have
to
write,
let's
say,
revenue
and
profit
for
forwarding,

we
will
definitely
do
it
based
on
merchant
growth
and
the
current
consumer
base.
But
yes,
the
final
question,
it
does
matter
to
us.
I
do
believe
that
in
India,
there
are
about

200

million

consumers

that

matter.

And

we

definitely

will

aim

for

200

to

250

million

customers

on

our

platform.

I'm not talking about, let's say, GMV market share, transaction market share, but I'm talking about highly repeat

usage

of

250

million

users,

because

that

is

what

material

number

of

users

matter
on
our
platform.

And
we
are
not,
as
you've
seen,
we
have
not
said
that
we
are
going
to
overspend
on
marketing.

I
would
rather
overspend
on
technology
or
attention
to
the

product.

Manish Adukia: Right. No, thank you, Vijay, for that response. Just trying to tie that response to, like you mentioned,

disciplined

marketing.

I

mean,

can

both

things

happen?

Can

you

be

disciplined

on

marketing

and

just

with

product

intervention,

grow

the

user

base

by

a

substantial

number?

Mr Vijay Shekhar Sharma: Absolutely. And in fact, I want to tell you that the growth in user base did happen

without,

in

fact,

we
cut
the
marketing
in
these
quarters
to
show
only
and
give
the
confidence
to
the
team
that
your
product
matters.
So
as
you
are
seeing
the
numbers,
that
is
because
of
the

good

product

and

better

product

attention.

And I want to give you another surprise, Manish. It is lesser number of people, more attention to the product

that

has

got

this.

So

lower

cost

in

people

operating,

lower

cost

in

marketing,

resulting

in

growth.

And I do believe without gangbuster marketing expenditure, we would be able to get it back. I do believe and

I'm

seeing

it

also.

Manish Adukia: No, thank you, Vijay, I appreciate it. My second question is on the comment in the shareholder

letter

on

international

markets.

And

there

again,

as

an

outsider,

it

feels

like

there

have

been

like

a

few

changes

in

strategies

in

the

past.

International

maybe

was

a

bit

of

a

focus

area

at

some

point

in

time.

Then,

you

know,

you

decided

to

focus

largely

on

the

India

business

over

the

years.

And now, again, let's say that you believe that some parts of your technology stack can be exported to international

markets.

So

I

just

want

to

understand

what

would

have

changed

versus

the

last

time

when

you

thought

India

was

the

bigger

focus

area.

For

now,

you

can

again

explore

international

markets

and

know

what

should

be

stacked.

I

would

love

to

get

your

thoughts

on

that

as

well.

Mr Vijay Shekhar Sharma: Manish, when we long back had come in public markets, we had called ourselves

as

a

platform

where

we

were

saying

payment,

commerce

and

financial

services.

And

as

you

know,

over

the

period,

we

said

payment

and

cross-selling

of

financial

services.

And

that

meant

that

there

is

an

ability

and

capability

in

the

company

of

manpower,

technology,

et

cetera,

that

we

created.

And as far as the technology product market fit is considered, we are very clear that what we have built in

India,

we

saw

it

in

PayPay

Japan,

we

are

seeing

further

products

that

we

are
developing
and
deploying
with
PayPay
Japan
and
many
other
such
similar
partnerships
that
we
are
in
conversation,
that
product
technology
can
be
monetized
in
other
markets.
I'd
rather
call
it
product
technology

monetization

in

other

markets.

And

we

are

rather

going

to

find

somebody

who's

locally

doing

it

and

extend

that.

So internationalization is not about launching consumer Paytm app in other markets. Internationalization is

about,

we

are

helping

somebody

local,

market

to

build

either

the

consumer

side

or

merchant

side

systems.

And

that

way

then

we

have

more

further

monetization

of

product

and

technology

platform.

And it also came about the number of people that we had. So because we had enough engineering and product

people,

and

I

love

the

capability

that

we

leverage

using

efficiency,

using

AI

and

skill
using
AI,
that
we
are
able
to
modularize
much
faster
than
earlier.
So
at
one
point
of
time
we
were
like,
oh,
we
would
not
rather
spend
anywhere
else
but
pay
attention

to

the

domestic

market,

which

is

perfectly

continuing.

But right now because of the assistant code generation and all sorts of things like Cursor, Replit, et cetera,

we

are

able

to

modularize

the

code

and

extend

it

for

another

market.

So

incrementally

very

less

technology

product

investment,

which

rather

is

not

even
further
investment,
rather
re-utilizing
or
utilizing
internal
resources
and
getting
a
market
extension,
because
you
are
able
to
partner
with
someone
who's
doing
it
in
their
local
market.
So
international
for
us

is
not
launching
Paytm
app
in
different
markets.
International
for
us
is
expanding
partnership
of
product
and
technology
with
some
people
in
that
local
market.

Mostly we are seeing merchant side relationships are far better for us because there is a nuance of what we

have
built
in
ability
to
see

it

in

many

markets

being

incoming

instead

of

consumer

side.

So

maybe

we'll

see

it

like

that.

Manish Adukia: Thank you. Just my last question may be directed towards Madhur. I think again, please pardon

my,

like

if

I

get

the

numbers

wrong,

but

two

or

three

quarters

ago,

I

think

Madhur

you

had

called

out

medium

term,

the

business

can

potentially

grow

at

like,

you

know,

30

-

35%

plus

on

top

line

and

15

-

20% was the EBITDA margin target from at least a near term perspective. Would you like to share any updates

in

terms

of,

you

know,

from
the
next
two,
three
year
perspective,
what
is
the
sustainable
revenue
growth
that
the
business
can
look
at
and
where
can
let
the
margin
settle
in
the
next
two
or
three
years?

Any

thoughts

or

color

would

be

helpful.

Mr. Madhur Deora: Thank you. Yeah, I think the ranges that I mentioned earlier that you referred to Manish

is

what

we

are

targeting

for

the

next

year

as

well

as

in

terms

of

growth,

as

well

as

longer

term.

And

yeah,

the

margin

target

for

the

next

two

to

three

years

remains

in

that

range.

We

do

think

that

the

business

has

that

much

earnings

potential,

especially

like

what

you

mentioned,

our

indirect

expenses

have

come

down
because
of
all
the
AI
that
we
have
leveraged.

So
getting
to
higher
EBITDA
margins
is
a
lot
easier
in
some
ways
because
of
lower
cost

structure.

Manish Adukia: Thank you so much. Very helpful. All the best. Moderator: Thank you, Manish. The next question is from Sachin Dixit of JM Financials. Sachin, you may ask

your

question.

Sachin Dixit: Thank you, Pranav, congrats team on a decent set of results across the board. My first couple

of
questions
are
with
regards
to
MDR.
So
let's
say
MDR
comes
up
anywhere,
whatever
25
-
30
bps,
whatever
the
number
it
comes
up,
how
much
do
you
expect
Paytm
is
likely

to
benefit
from
it,
right,
in
terms
of
your
GMV,
right?
So
if
you
think
of
let's
say
25
basis
points
for
MDR,
can
you
get
five,
seven,
eight
basis
points
out
of

it?

Mr. Vijay Shekhar Sharma: Logically, yes. That's rather conservative, but yes. Sachin Dixit: And this is largely in line to how UPI incentives were being distributed? Mr. Vijay Shekhar Sharma: UPI Incentives also have a lot of restrict

ions on the kind of payment they
factor

in.

For

example,

they

don't

factor

in

utility

merchants,

this

merchant,

that

kind

of

merchant.

So

incentive

distribution

of

transactions

and

bps

per

transaction

will

not

be

an

indication

of

MDR

in

my

opinion,

because

MDR

is

a

wider

payment

piece.

Mr. Madhur Deora: One critical difference between UPI incentive and MDR is that incentive is only on transactions

less

than

■
2,000.

So

just

keeping

that

in

mind,

and

then

obviously

there

will

be

detailing.

And

I

think

it's

slightly

premature

for

us

to

talk

about

exactly

what

the

number

will

be,

because

there'll

be

detailing

as

a

part

of

this

finalization

what

the

MDR

framework

looks

like

and

basis

that

we'll

be

able

to

talk

more.

But

yeah,

Vijay

has

already

given

an

indication.

Sachin Dixit: So sure. The second question would largely be on, let's say right now on surface level, it feels

like

because

the

cost

of

incurring

this

business

is

already

there

in

the

P&L,

whatever

MDR

comes,

it

should

directly

fall

all

the

way

to

EBITDA.

Right.

But

when

I'm

also

thinking

of

it,

let's

say

monetization

is

allowed

on

UPI

MDR,

it

might

result

in

heightened

competitive

intensity

and

the

number

of

people

might

try

to

gain

that

market

share.

So

is

it

safe

to

assume

that

the

margins

will

be

significantly

lower

than

100%

or

it

will

be

closer

to

100%?

Mr. Madhur Deora: So when we think about what the likely scenarios are, and of course, like I said, it's a bit

premature

because

we

don't

know

exactly

which

segments

we

are

talking

about

and

so

on.

We

do

factor that for the larger merchants, there will be some competitive intensity and you may not be able to exactly

charge

the

cap

or

whatever

that

is.

And

then

Vijay

gave

an

indication,

keeping

that

in

mind.

So yes, it does factor in that you're not able to charge. And it is similar to what we do today on credit cards

and

debit

cards,

right?

So

we

are

quite

familiar

with

how

that

works,

which

is

to

say,

on

which

merchants

are

you

able

to

make

a

slightly

higher

net

payment

margin

and
which
merchants
you
make
slightly
lower
net
payment
margin.
So
yes,
there's
an
understanding
of
competitive
intensity
and
how
it
relates
to
net
payment
margin
within
the
construct
of
an
overall
cap.

Sachin Dixit: Got it. My second question is with regards to your business as it stands, right? So when you

look
at
your
business
and
maybe
the
reason
why,
Vijay
also
alluded
to
that
product
is
how
you
want
to
differentiate
in
terms
of
customer
acquisition.
But
do
you
also
target
some
sort

of
ARPU
per
customer,
which
is
the
driving
metric
behind
how
much
you
go
about
and
try
to
invest
behind
acquiring
a
customer
or
are
you
generally
going
to
take
the
tech-led
approach

and

let

the

consumer

sort

of

affinity

shape

up

wherever

it

shapes

up?

Mr. Vijay Shekhar Sharma: No, we do bother about it. That's why we are not randomly spending money in

acquiring

customers

when

we

got

the

UPI

customer

acquisition

permission.

Like

you

heard

me

say,

200

million

customers,

that's

a
fairly
small
subset
of
the
potential
consumer
base
that
UPI
will
have.
But
I'd
rather
have
the
material
useful
customer
on
the
platform
than
to
have
a
race
of
what
do
you

do

with

this

customer.

Sachin Dixit; Got it, all right. Thanks so much and all the best. Thank you. Moderator: Thank you, Sachin. The next question is from Rahul Jain of Dolat Capital. Rahul, you may please

ask

your

question.

Rahul Jain: Hi, hope my line is okay. So the question may sound a little repetitive, but just trying to understand

from

a

growth

point

of

view,

what

are

some

of

the

opportunities

that

could

be

the

bigger

driver

for

us

going

into

next

fiscal?

Are

they

going

to

be

the

same

set

of

segments

which

needs

to

do

a

bigger

lifting

in

FY26?

Or

do

you

think

some

of

the

current

segments

which

are

not

performing

so

well

be

it

consumer

side

or

personal

loan

side

or

any

other

thing

that

could

pick

up

to

add

more

traction,

for

instance?

Mr. Madhur Deora: Yeah, I think, Rahul, I'd probably break that up into two logical parts. On the merchant

side

of

the

business,

we

see

the

same

trends

really,

right?

If

you

look

at

the

second

half

of

last

year,

of

course,

in

the

first

half,

our

deployments

were

lower.

But

if

you

look

at

the

second

half

of

last

year,
that's
a
pretty
good
indication
of
where
the
business
is
headed
in
terms
of
gross
deployments,
GMV
growth,
highly
engaged
merchants,
and
then
merchant
loans.
And
all
of
those
are
very
powerful

drivers.

And

I

think

most

people

tell

us

that

that

part

of

the

business,

they

see

structural

advantages

of

Paytm

and

very

good

momentum,

more

or

less

uninterrupted.

On the consumer side of the business, I would say that last year was a cyclical low. So on the one hand, for

about

six

or

seven

months,
we
were
not
adding
new
customers.

On
the
other
hand,
the
monetization

levers
were
slightly
lower,
partly
due
to
credit
cycle
and
so
on.

So
if
you
think
about
going
forward,
Vijay

has
talked
about
consumer
growth
and
how
that
is
going
to
come,
product-led.
And
then
eventually,
maybe
we
make
slightly
higher
investments,
but
initially
product-led.
And
then
on
the
monetization
side,
we
see

opportunities

clearly

on,

if

there

was,

for

example,

an

easing

of

the

credit

cycle,

that

would

have

a positive impact on personal loan and credit card. If we see a continued growth in trading volumes in India,

of

course,

in

the

last

three

or

four

months,

there

were

some

regulatory

developments

for
the
industry,
which
lowered
the
trading
volumes,
but
now
the
business
is
growing
again.
So
Paytm
Money,
which
is
our
equity
broking
platform,
we
feel
very
interested
in.
And
finally,
advertising,
where

we

think

there's

a

lot

of

opportunities

for

us

to

make

more

advertising

revenue.

So on the consumer side, we're starting the year with a lot of optimism, both on the base, which is the consumer,

highly

engaged

consumers,

a

number

of

transactions

and

so

on,

as

well

as

the

monetization

opportunities

through

those

three

or

four

areas

of

upsell

that

I

talked

about.

Rahul Jain: Right, and just one more question. Just to understand how usage of this DLG has led to increase

in

the

take

rates

of

what

should

be

the,

with

the

changing

evolving

mix

of

DLG,

what

should

be

the

ideal

take

rate

for

this

segment?

And

secondly,

how

is

it

changing

the

perception

of

the

lender

in

terms

o

f

approving

the

whitelisted

potential

merchant

loan

client

from

our

perspective?

Has

that

increased

the

threshold

for

the

lenders?

Mr. Madhur Deora: Yeah, on the second question, I don't think we necessarily ask our lenders to change their

behavior

just

because

they

are

DLG

and

we

also

hope

that

they

don't

do

that

because

we

do

want

eventually

to

target

a

range

bound

and

predictable

expected

credit

loss.

We

think

that

that

is

a

fundamental

indicator

that

you

are

building

a

high

quality

franchise.

So

ultimately,

as

we

said

enough

and

more

times,

it

is

the

lender's

decision

to

say

yes
or
no
on
loan
but
we
don't
see
a
change
in
behaviour
nor
do
we
encourage,
request
or
expect
a
change
in
behaviour.

The expected credit losses on merchant lending has been quite positive since April, May last year, so we do

not
have
concerns
that
FLDGs
are
making

them
less
disciplined
on
credit
losses
and
I
think
that
is
the
good
news.
In
terms
of
take
rates,
if
you
look
at
our
historical
take
rates,
it
should
be
about
3-3.5%
higher

on

the

merchant

loan

side,

which

on

a

blended

basis

probably

means

about

2%

higher

for

financial

services,

because

obviously

there's

a

percentage

of

it

which

is

personal

loans.

Rahul Jain: You're saying 200 bps more than the past or I could not follow that? Mr. Madhur Deora: 200 bps more than the past, i.e. compared to the period when we were not doing DLGs.

Rahul Jain: And it ideally should go higher as the mix improves, right? Mr. Madhur Deora: Well, higher or lower, it would depend a little bit on Personal Loan versus Merchant Loan

mix

and

DLG

versus

non-DLG

mix.

Merchant

loans

do

make

us

a

slightly

higher

take

rate

anyway,

compared

to

personal

loans.

So

there

would

be

various

factors,

but

yeah.

Mr. Vijay Shekhar Sharma: But overall, it doesn't make commercial difference in a different direction. It is

not

a

higher

net

rate

actually.

Mr. Madhur Deora: Just to be clear, merchant loan, when I say 2%, I mean, the reason I say 2% is because

not

all

loans

have

FLDGs,

right?

So

for

loans,

like

for

like,

loans

that

don't

have

FLDG

versus

loans

that

have

FLDG,

if

we

are

giving

about,

let's

say,

3.5%

FLDG,
then
we
expect
to
make
3.5%
more
take
rate.
Maybe
more,
but
3.5%
more
take
rate
through
the
life
of
the
loan,
right?
The
2%
number
I
was
giving
you
is
because

not

all

loans

have

FLDG.

So

when

you're

talking

about

take

rate

and

literally

taking

revenue divided by loans, then you expect that to be, call it 2%, because, call it 50 - 60% of the loans might

have

FLDG.

Rahul Jain: Right. And just a clarification, so 3.5, that is the minimum number, right? And if the performance

is

better,

it

could

be

much

higher

than

that.

Mr. Madhur Deora: But just 3.5%, I'm saying, assuming the same ECL, same partner, loan without FLDG, loan

with

FLDG

of

3.5%,

the

revenue

would

be

3.5%

higher.

And

of

course,

you

would

have

a

FLDG

cost

of

3.5%.

So

that's

the

point

that

I

was

making.

Yes,

depending

on

the

performance

of

the

loan,

we

do

make

a

collection

incentive

anyway,

which

at

the

same

ECL

would

be

the

same,

whether

it's

a

non-DLG

loan

or

a

DLG

loan.

Rahul Jain: Okay. So, there's no extra incentive for doing a DLG for the same performance or outcome? Mr. Madhur Deora: We don't do DLGs from the perspective

that a DLG loan will make us more net take rate.

We

do

it

because

our

lenders,
in
some
cases,
lending
partners,
rather,
in
some
cases
have
a
preference
for
it.
And
as
a
result
of
that,
the
volumes
tend
to
be
higher.
So
a
partner
who
may
have

done

X,

if

there

was

no

DLG,

may

do

30%,

50%

more

if

there

is

DLG.

Rahul Jain: Right. So it's a volume advantage versus price. Thank you. Moderator: Yep. Thank you. The next question is from Piran Engineer of CLSA. Piran, you may ask your question.

Piran Engineer: Yeah. Hi, team. Congrats on the quarter. Just firstly, on payment processing charges, we've

seen

a

good

decline

in

the

past

two,

three

quarters.

Is

it

just

a

function

of

mix

or

are

we

able

to

negotiate

better

rates

with

our

partners?

Mr. Madhur Deora: It is a bit of both. I think compared to last quarter, obviously, last quarter had a festive

season

versus

not.

So

that

Q3

to

Q4

tends

to

work

a

certain

way.

And

then

there

is

an

element

of

just

continuously

doing

a

better

job

on

processing

costs

with

our

partners.

And

I

think

you

saw

that

trend

in

2022

and

2023

as

well.

So

we

just

continue

to

work

on

that.

Piran Engineer: And is there scope that this goes down further, assuming the mix remains stable? Mr. Madhur Deora: There's always that effort, but I would point back to the net payment margin and payment

processing

margin

discussion,

Piran,

which

sort

of

normalizes

for

this.

So

our

effort

is

to

continue

to

improve

payment

processing

margin

across

instruments

and

across

merchant

types.

And

then

payment

processing

costs

sort

of

takes

care

of

itself.

And

it

is

actually

something

that

you

have

to

work

on

constantly

to

make

sure

that

you

are

able

to

be

competitive

and

attractive

to

your

partners

while

maintaining

and

improving

our

payment

processing

margins.

Piran Engineer: Okay, got it. And just secondly, you know, I don't mean to harp on this MDR thing, but if you

could

just

give

us

some

sense

right

now,

what

are

the

talks

like

with

the

government?

Is

there

a

particular

pushback

that
they
have,
which
is
why
it
hasn't
yet
happened?
Or
is
there
sort
of
an
in-principle
approval
right
now,
but,
you
know,
the
concerned
parties
such
as
y'all
and
others
are
discussing

the

nitty-gritty?

Mr Vijay Shekhar Sharma: We are the client of the network, not the network. We are the client of the network,

network

in

NPCI,

who

decides

and

works

with

all

these

partners.

Mr. Madhur Deora: I don't want to discuss all those things, but clearly the powers that be are discussing this.

And

I'll

go

back

to

what

we

said

a

couple

of

months

ago,

which

is

that

the

industry

is
expecting
this
to
be
a
thing,
and
we
will
hear
back
on
this
hopefully
soon.
And
then
we'll
have
a
little
bit
more
clarity
to
share
in
terms
of
how
whatever
that

framework

is

has

affected

our

business,

and

we'll

share

that

quickly

with

our

stakeholders.

Piran Engineer: Okay. Fair enough. And just on Paytm money, if you could just broadly highlight what is the

revenue

right

now,

if

it

is

meaningful,

and

how

do

you

think

about

this

business

over

the

next

three

years?

Mr. Vijay Shekhar Sharma: It's not very large, but we do believe it's a great upside. It has a customer lock-in

also.

So

we

have

gone

into

mutual

fund

distribution.

We

ar

e

trying

to

find

out

MTF

kind

of

margin

trading,

et

cetera,

kind

of

monetization.

And

those

have

come

out

positive.

So

it

doesn't

take

investment

anymore,

but

at

the

same

time,

it

is

a

great

opportunity.

I

can

see

that

it

is

in

so-called

less

trading

quarters,

if

you

will,

in

the
last
couple
of
quarters,
thanks
to
both
F&O
and
normal
trading
being
reduced.

It
has
been
able
to
turn
around
well.

Piran

Engineer:

Okay,
but
like
Vijay,
could
it
be
like,
say,

at

least

■

200-300

crores

annualized

in

terms

of

revenues?

Mr. Vijay Shekhar Sharma: Yes, you can assume. I mean, it's not too far away. Mr. Madhur Deora: That's about the scale, and it has a very good mutual fund business, which helps us, like

Vijay

was

saying,

with

customer

lock-in,

and

it's

a

fantastic

trading

platform

where

we

make

most

of

our

revenue.

And

then

we

also

launched

MTF

in

December

of

last

year,

which

is

scaling

up

nicely.

And

we're

very

positive

that

the

customer

retention

is

good,

and

we're

very

positive

about

scaling

that

business

over

the

next

two

or

three

years.

Piran Engineer: Got it. Okay. This was it from my end. Thank you. I wish you all the best. Moderator: Thank you. The next question is from Vijit Jain of Citi. Vijit, you may ask your question. Vijit Jain: Yeah. Hi. Thank you. And congratulations for the break-even, even excluding the UPI incentives.

So

my

first

question

is

on

the

consumer

business

side,

can

you

comment

on

the

prospects

of

return

of

wallet?

I

know

some

of

your

peers

have

introduced

wallets

recently.

And I've also noticed the app has gone through a lot of product changes, seems a bit more simple, significantly

more

simple.

So

I

just

wanted

to

get

your

thoughts

on

what's

driving

that.

Is

that

an

objective

to

kind

of

make

the

app

light,

increase

user

base

to

make

it

speedier,

lighter,

and

those

kinds

of

things?

So

if

you

can

broadly

talk

about

that.

Mr Vijay Shekhar Sharma: Thank you. You're a user, I'm glad. And it was long due. We've been very crowded,

cluttered

for

a

long

enough

time.

And

among

various

things

as

housekeeping

exercise,

my

personal

interest
was
to
make
the
app
as
simple
as
that
we
started
this
business
with.
So
right
now,
I'm
glad
that
you're
calling
it
out
light,
because
surprisingly,
no
traffic
or
no
internal

businesses

have

less

traffic, if you will. In other words, that the lightness is rather not costing us any growth line item to cross sell

other

line

items.

So

that's

the

approach.

My theory is if customers love you impeccably well, and keeping the payment-led super app concept is better

than

calling

super

app

first,

payment

second.

So

payment

first,

super

app

roll

second,

versus

super

app

and

payment

second.

That

is

the

approach

that

we

took,

and

we

are

seeing

good

results,

and

you

saw

the

uptick

in

the

number

of

consumers

that

came

back

also.

And when you talk about wallet, I really wish we would have had it by now, as in terms of one way or another,

but

we

may

be

near

a
breakthrough
or
some
solution
to
the
way
forward.
So
we
are
just
trying
to
keep
it,
think
across
and
see.
We
have
multiple
options
on
the
table,
and
we
could
decide
not

many
months
ahead
in
the
future
what
is
the
call
that
we'll
take.
We
had
a
board
m
eeting
today,
we
did
discuss
it,
so
we
have
something
to
discuss
as
management
and
come

back

on.

Vijit Jain: Correct. Thanks, Vijay. My next question is on, the shareholder letter also notes that you've applied

again

for

the

payment

aggregator

license

to

RBI.

So

do

we

have

any

additional

inputs

on

that,

and

do

you

expect

that

to

also

come

about

in

the

near

term?

And

yeah,

I'll

just

follow

up

with

a

quick

question

on

MDR

after

that.

Thank

you.

Mr. Vijay Shekhar Sharma: Yes, we do. And there were some next steps that RBI suggested us to do, we've

been

doing

those.

Vijit Jain: Got it. Great, thanks. My last question is on the MDR incentives for the quarter, right? I know the

government

has

obviously

slashed

the

incentives

that

they

gave.

This

is

almost

smooth

now,

given

MDR

is

actually

being

expected.

So

the

UPI

incentive,

sorry,

is

being

slashed.

And

your

share

of

UPI

transactions

obviously

in

FY25

also

went

lower,

still

■

70

crores

seemed

a
bit
low.
So
what
I
wanted
to
understand
is,
did
something
change
here?
Or
did
your
share
of
small
merchant,
small
ticket
transactions
was
lower
this
year?
Is
that
what
drove
the

■

70

crores

number?

And relatedly, because I see that the payment processing charges are also significantly down quarter on quarter.

So

I'm

just

wondering

if

I

should

just

look

at,

you

know,

the

net

payment

margins

here

and

not

look

too

much

around

that

■

70

crore

number,

because

that

just

seemed

low

to

me.

Mr Madhur Deora: Yeah, so most of this is the reduction in incentive overall. So what GMV is eligible, how

much

does

the

industry

get

paid?

All

of

that

has

been

reduced

quite

meaningfully.

Like

for

like,

we

would

have

made

a

little

bit

more.

But

the
two
factors
that
have
affected
us
is
that
while
we're
doing
really,
really
well
on
the
merchant
payment
side,
right
now,
if
you
just
take
the
average
market
share
through
the
year

last

year

versus

the

previous

year,

it

would

have

been

slightly

lower.

Because in the first half of the previous financial year, we did have some market share dips and also we shared

that

very

candidly.

We

talked

about

8

lakh

to

10

lakh

devices,

obviously

it

was

a

pattern

from

our

GMV

data

as

well.

So

if

you

just

take

the

average

GMV,

it

would

have

been

lower

and

obviously

we're

talking

about

the

entire

year

of

UPI

incentive.

And the second is that there were small changes to acquirer's share versus the rest of ecosystem share in the

new

framework,

which

is

to

say

the

acquirer's

share

was

slightly

lower.

So

that

affected

us

marginally

as

well.

Vijit Jain: Got it. Thanks.
Mr.

Madhur

Deora:

But

this

number

wouldn't

have

been

like,

yes,

compared

to

■
288

crores,

it

looks

like

a

low

number,

but

it

wouldn't

have

been

like

■

150

crores

or

something,

right?

It

would

have

been

marginally

higher

if

those

two

things

had

not

happened.

Vijit Jain: Got it. Understood. Thank you. Moderator: Thank you, Vijit. The next question is from Anand Dama of Emkay.

Anand, you may please

ask

your

question.

Anand Dama: Yeah, thank you for the opportunity. My first question is on the Personal Loan business

that's

still

declining

for

us.

Is

it

that

the

decline

is

attributed

to,

you

know,

most

partners

reducing

their

business

with

us?

Or

is

it

that

few

partners

were

lumpy

in

nature?

And

that's

where
basically
we
are
seeing
a
decline.
And
by
when
do
you
expect
the
disbursement
number
to,
you
know,
largely
bottom
out?
I
think
you've
talked
about
in
the
presentation
that
possibly
later

part
of
the
year,
we
should
see
some
pickup
in
that
business,
if
you
can
just
talk
about
that,
number
one.

Number two, your financial services customer base has declined quarter on quarter to 5.5 million. Is it more

seasonal
in
nature
or
there
is
something
more
to
read
into

that?

Mr. Vijay Shekhar Sharma: Oh, Anand, the personal loan business, we are technically moving from distribution

plus

collection

business

to

pure

distribution

business.

And

there

are

partners,

growth,

integrations

and

in

due

course,

disbursements

have

been

continuously

growing.

And

I

can

say

that

we

believe

that

there

is
demand
and
supply
in
the
market
based
on
the
credit
cycle.
The
part
where
we
also
do
collection
as
an
obligation
is
something
that
we
will
bring
back
on
the
table
once

the
market
or
credit
cycle
turns
around.

So in a way, we right now are doing the business, which is pure distribution, like a marketplace distribution.

We
have
added
a
few
more
line
items
like
loans
against
mutual
funds,
etc.
And
those
will
and
have
started
to
pick
back.
So

that's

the

reason

for

personal

loans,

not

the

same

as

QoQ.

At

the

same

point

of

time,

we

are

not

going

aggressively

in

the

personal

loan

distribution

business,

where

we

do

believe

that

there

is

a

large

amount

of

stress

in

the

overall

market,

which

is

getting

eased

out.

And instead of being aggressive, we let it be that whatever the lenders need and whatever the policy and pricing

lenders

are

doing,

the

market

is

behaving

like

that.

So

there

is

not

much

difference

from

our

side

that

we

are

doing

less

or

more.

Mr. Madhur Deora: On the number of users, Anand, it was partly because of personal loans that Vijay just

talked

about,

and

the

volume

disbursed

number

that

you

have

seen,

and

it

was

partly

in

terms

of

active

users

in

the

equity

broking
industry,
which
Paytm
Money
is
a
part
of.
As
you
might
be
aware,
call
it
from
December
to
February,
largely,
there
were
some
regulatory
adjustments
because
they
wanted
slightly
less
trading,
if

you
will.
So
they
increased,
they
reduced
the
number
of
settlement
cycles
and
so
on
in
the
industry.
So
overall,
there's
been
a
lot
of
press
coverage
that
industry
volumes
are
down
about

30

-

40%.

So

the

number

of

Paytm

Money

monthly

active

users

would

have

declined

along

with

the

industry.

So

those

are

the

factors

that

make

us

very

positive

that

this

should

start

growing

going

forward.

Anand Dama: So the second question is on the DLG cost. So is it possible for you to share how much the DLG

cost

in

the

current

quarter?

There

is

some

trail

income

also

that

I've

talked

about

on

the

DLG

front.

What

is

that?

Any

new

partners

where

you've

gone

for

DLG

in

the

current

quarter?

And

one

more

question

is

on

the

ESOP

cost.

So

earlier,

you

used

to

provide

the

ESOP

cost

schedule.

I

think

you

just

provided

for

the

first

quarter

how
much
it
is
going
to
be.

Is
it
possible
to
provide
it
for
the
next
two
to
three

years?

Mr. Madhur Deora: On ESOP cost, because we are sort of still finalizing certain grants right now, we didn't

want
to
share
quite
a
number.

The

■
75

-
100

crores

that
we
have
talked
about
is
for
the
next
few
quarters.
So
we
expect
that
to
be
in
the
range.
When
we
do
the
next
quarterly
filing,
which
will
be
two
odd
months

from
now
in
July,
we
will
share
the
updated
ESOP
cost
schedule.
So
that
is
a
feature
that
we
have
this
quarter.
We
didn't
have
it,
and
we
put
this
range
because
it

was
sort
of
work
in
progress.

With respect to DLG costs, it's a slightly commercially sensitive information, so we don't share that. But we

have
indicated
on
previous
calls
that
blended,
it's
about
3%
to
4%
DLG
that
we
give,
and
that
is
not
on
all
lending.
It's
largely

on
merchant
lending,
and
it's
not
all
lending
partners,
but
it
is
a
very
substantial
majority
of
that.
So
based
on
that
you
could
probably
get
some
estimate
of
what
that
number
is,

but

we

don't

want

to

share

exactly

what

that

number

is.

Anand Dama: Any new partners you have tied up with on a DLG front? Mr. Madhur Deora: We currently have three partners on DLG. There'll be a DLG disclosure that will go up on

our

website,

which

is

already

on

our

website.

Sorry,

I've

been

told.

It

is

already

on

our

website,

which

talks

about,

it's
a
regulatory
required
disclosure,
which
talks
about
how
much
AUM
you
have
under
DLG,
under
different,
they
call
it
portfolios.
Each
portfolio
indicates
for
us
a
type
of
loan
with
a
type

of
partner.

So
portfolio
one

would

be
partner

A,
call

it
merchant

loans.

Portfolio

B
might

be
partner

B,
merchant

loans,

and

so

on.

So

that

is

already

on

our

website.

Anand Dama: Thanks. Thanks a lot. Moderator: Thank you, Anand. Vijay will take one question from the chat window. Mr. Vijay Shekhar Sharma: Yeah. I just saw this question from Ravi, who is from Bangalore. I'm a long-term investor in Paytm. As an investor, I'm more interested in Paytm showing profit as early as possible,

as

you're

not

able

to

show

profit

this

quarter

because

of

an

exceptional

expense

of

■

522

crores

related

to

ESOPs.

Did

you

consider

splitting

this

expense

to

multiple

quarters

so

that

it

could

have

resulted

in

profit

this

quarter?

Is

there

any

compelling

reason

why

you

booked

this

full

expense

this

quarter?

Ravi, this is all an audit matter. The auditor decides, we follow, and the way the auditor suggested, we did

it.

And

as

you

can

see,

this

exceptional

charge

is

something

which

everybody

logically

should

see

as

a

one-off,

one-time

and

exceptional

in

nature.

We

are

at

the

verge

of

PAT

profitability,

if

you

were

to

see

every

other

expenditure

and

thing.

I'm

very

sure

that

in

the

next

quarter

onwards,

if

everything

goes

as

we

are

seeing,

it

could

very

well

be

a

PAT

profitable

quarter.

Moderator: Thank you. The next question will be the last question. This is from Prateek Poddar of Bandhan

Mutual

Fund.

Prateek,

you

may

please

ask

your

question.

Prateek Poddar: Yeah. Just a couple of questions. One is, when I look at your key financial services customers,

on

a

sequential

basis,

there's

a

decline,

whereas

the

financial

services

revenue

income

has

gone

up.

So,

I

just

wanted

to

check

what

has

happened

over

there.

Mr. Madhur Deora: So our financials, I think I just mentioned this a little while earlier, the financial services

customers

have

decreased

largely

in
two
segments.
One
is
personal
loans,
where
obviously
there's
disbursal
data
to
also
look
at,
which
we
have
shared.
And
the
second
is
in
Paytm
money,
on
a
quarter-on-quarter
basis,
these
numbers

have
reduced
because
from
December
to
February,
there's
some
regulatory
adjustments
from
the
capital
markets
regulator,
which
affected
the
F&O
industry
overall.
There's
enough
and
more
news
stories
about
how
much
trading
volumes

have

gone

down

and

so

on.

We

do

expect

that

to

recover,

and

we're

already

seeing

recovery

in

that.

So

it

definitely

looks

like

it's

bottomed

out.

Financial services revenue has grown because the highest margin and the highest ARPU product, if you will,

which

is

merchant

loan,

continues

to

do

very

well.

Yeah.

So

you

already

got

it.

Prateek Poddar: And so, last question. When I look at software, cloud, and data center cost on a sequential

basis,

that

has

declined

by

10%.

I

just

wanted

to

check

if

there's

any

correlation

with

the

total

number

of

transactions,

because

that
seems
to
have
gone
up.
So
has
there
been
some
efficiency
gains
over
the
year,
or
what
has
led
to
this
10%?

Mr. Vijay Shekhar Sharma: Yeah. Actually, that is what I've been continuously putting up. This is classic AI.

When
you
give
AI
an
opportunity
to
review
things,

it
goes
beyond
human
logic
that
you
typically
use.
So
you
very
well
pointed
out,
and
it
is
a
very
sharp
eye,
I
must
congratulate
you.
And
this
is
attributable
simply
to
putting

AI
in
every
process
and
cost
line
item
that,
what
do
you
think
we
should
be
doing?
What
kind
of
practices
we
are
doing,
are
following,
what
else
we
could
do?
Then,
you

know,

I'll

just

give

you

a

clue

about

it.

Things like, let's say, you have a cloud where the machines are dedicated so that any spike, you are able to

take

care

of

the

minimum

sort

of

permission.

And

then

AI

was

able

to

say,

based

on

your

pattern,

I

suggest

that

from

this
hour,
typically
in
the
night
hour,
you
could
just
reduce
them
to
dramatically
low
volume.
And
then
it's
like,
you
know,
day-end
closing
balance,
float
revenue
kind
of
thing
in
the
compute

industry

also,

where

if

you're

not

using

compute

for

those

hours,

you

can

do

it.

Similarly,

internally,

we

are

picking

up

AI

inferencing

in

a

way

that

we

start

to

use

the

downtime

of
our
peak
systems
or
the
time
when
the
peak
traffic
is
not
coming
to
do
the

inferencing.
So there are tons of insights. I mean, I'm glad that you pointed it out. And I'm going to point back that,
yes,

it
is
efficiency
by
the
team's
effort
on
finding
cost

efficiency.
Mr. Madhur Deora:I just want to make two other quick points. One is that when we did the migrations in
the

first
half

of
last
year,
obviously,
the
most
important
thing
was
to
do
the
migrations,
right?
And
since
then,
using
AI,
the
team
has
been
working
hard
on
finding
places
where,
because
it
was
a

time-bound

activity,

finding

places

where

we

could

have

done

things

more

efficiently

if

we

had

more

time.

So

they're

solving

those

things.

Second is, while we're very pleased with the improvement, I would just slightly discourage us from looking

at

quarter-on-quarter

trends

too

much,

because

there

is

sometimes

a

little

bit

of

volatility

here

and there. But we are quite pleased that our tech teams and our DevOps team is very cost-sensitive. And that

is

a

good

place

to

be

as

an

organization.

Prateek Poddar: Got it. Fantastic. And best wishes for the future. Mr. Vijay Shekhar Sharma: I'll take a few more questions from the chat window. Lakshay Tavatari has said that, in the past, companies' core business faced significant challenges.

Despite these

disruptions,

companies

have

demonstrated

remarkable

resilience.

Currently,

there

seems

to

be

a

renewed

focus

on

strengthening

the

core

business.

Given

the

unpredictable

nature

of

the

market,

do

you

believe

it's

strategically

sound

to

double

down

on

core,

or

with

a

diversified

approach,

exploring

adjacents

or

alternate

business

segments,

offer

a

safety

net

for

long-term

stability

and

growth?

Very, very good question, Laksh. And my answer would be that, in India, we have an obligation to focus on

the

core,

because

that

is

what

the

business

model

has

become:

scalable,

profitable,

identified,

learned,

and

so

on

and

so

forth.

And

the
best
part
I
can
tell
you
is
that
we
are
able
to
see
that
result,
as
you
are
seeing.
And
as
far
as
adjacency
and
alternate
is
concerned,
we
have
tried
to

find
out
software,
services,
software
that
we
can
expand
to
other
fintech
banks
or
other
people,
which
we
also
found
out
in
neighboring
geographies
also.
So
that
is
our
alternate
additional
market
or

incremental

revenue

that

we

found

out.

It's

very

simple,

no

incremental,

much

cost,

and

you

got

more

revenue

on

the

bottom

line

side.

So,

Lakshay,

that

is

where

it

is.

And I can see Srinath asking, share your three-year vision on innovation on this platform of payment and financial

services.

What

new

product

can

we

expect?

Srinath, I'm going to say that when we look at three years, the best thing is the products that we are talking

about.

I

mean,

in

other

words,

it's

like

saying

you

can

continue

to

expect

payment

and

cross-selling

of

financial

services

continuously

going

much

deeper

in

the

last

three

years.

The

cost

and

the

innovations

of

the

quality

of

product

will

be

very,

very

different.

As

you

are

aware,

we

started

to

build

new

products

and

services.

App

you

saw,

consumer

side,
and
devices
you
saw.
So
tons
of
machines
and
AI-based
capability
will
be
in
all
workflows.
I'm
especially,
I
mean,
not
going
to
say
the
particular
feature
right
now
in
this
call

right

now,

because

this

is

a

more

earning

call.

But you can expect us to build continued innovations in consumer and merchant sites as we have done in

the

past.

And

what

we

are

building,

I'm

very,

very

proud

of

and

very,

very

excited

about

those

things.

Would you probably be a 100 billion business by 2035? Thank you. I mean, this is an earning call. When will ESOP reduce, will the shareholder get a dividend or share appreciation? I think ESOP cost, as you

are

aware,

we
had
one
time
charge
and
overall
ESOP
costs
have
reduced
quarter
on
quarter.
Next
quarter
onwards,
that
will
be
much
lesser,
all
because
of
this

one
time
charge
that
we
have
incurred

in
this
quarter.
Mr.
Madhur
Deora:
And
because
Vijay
gave
up
his
ESOPs.
So
instead
of
■
169
crores
last
quarter
of
ESOP
charge
going
forward,
we
have
currently
given
an
indication
of

no

more

than

■

75

-

100

crores.

And

we'll

update

that

guidance

in

the

next

couple

of

quarters.

So

it's

going

to

be

a

significantly

lower

ESOP

charge

going

forward.

Moderator: With that, we come to an end of this call. A replay of this earnings call and the transcript will be

made

available

on

the

company

website

subsequently.

Thank

you

all

for

joining.

You

may

now

disconnect

your

lines.

Thank

you.

Call: Jul 2025

Corporate Office - One Skymark, Tower -D, Plot No. H-10B, Sector -98, Noida -201304

T: +91120 4770770 F: +91120 4770771 CIN: L72200DL2000PLC108985

Registered Office - 136, First Floor, Devika Tower, Nehru Place, New Delhi -110019 One 97 Communications Limited

compliance.officer@paytm.com

www.paytm.com

July 28, 2025

BSE Limited

Department of Corporate Services ,

Phiroze Jeejeebhoy Towers,

Dalal Street, Fort,

Mumbai - 400 001

Scrip Code : 543396 National Stock Exchange of India Limited

The Listing Department ,

Exchange Plaza ,

Bandra Kurla Complex,

Mumbai - 400 051

Symbol : PAYTM

Sub. : Disclosure under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 - Transcript of the earnings conference call conducted on July 22, 2025

Dear Sir / Ma'am,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings conference call, conducted on July 22, 2025, on unaudited standalone and consolidated financial results of the Company for the quarter ended June 30, 2025.

This disclosure will also be hosted on the Company's website viz. <https://ir.paytm.com/> .

Kindly take the same on record.

Thanking you

Yours Sincerely,

For One 97 Communications Limited

Sunil Kumar Bansal

Company Secretary and Compliance Officer

Encl.: As above

Paytm | Q1FY26 Earnings Call |

Call Date: July 22, 2025 | Time: 18:00 PM Indian Standard Time

Disclaimer:

By reading this call transcript you agree to be bound as follows: This earnings call with the management of One

97

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information
purposes
only
without
regards
to
specific
objectives,
financial
situations
or
needs
of
any
particular
person
and
is
not
and
nothing
in
it
shall
be
construed
as
an
invitation,
offer,
solicitation,
recommendation

or
advertisemen t
in
respect
of
the
purchase
or
sale
of
any
securities
of
the
Compan y
or
any
affiliat es
in
any
jurisdiction
or
as
an
induc emen t
to
enter
into
investmen t
activity
and
no
part

of
it
shall
form
the
basis
of
or
be
relied
upon
in
connection
with
any
contract
or
commitmen t
or
investmen t
decision
whatsoe ver.
This
earnings
call
does
not
take
into
account,
nor
does
it

provide
any
tax,
legal
or
investmen t
advic e
or
opinion
regarding
the
specific
investmen t
objectives
or
financial
situation
of
any
person.
The
information
to
be
presen ted
and
discussed
on
this
earnings
call
is
confiden tial

and
proprie tary
to
the
Compan y
and/ or
its
affiliat es
and
no
part
of
it
or
its
subject
matter
be
used,
recorded,
reproduc ed,
copied,
distribut ed,
shared,
or
disseminat ed,
directly
or
indirectly ,
to
any
other
person

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in
whole
or
in
part
for
any
purpose,
in
any
manner
whatsoever.

Statements or comments made on this earnings call may include certain statements that are, or may be deemed

to
be,
“forward-looking
statements”
and
relate
to
the
Company
and
its
financial
position,
business
strategy,
events
and
courses

of
action.
Forward-looking
statemen ts
and
financial
projections
are
based
on
the
opinions
and
estim at es
of
managemen t
at
the
date
the
statemen ts
are
made
and
are
subject
to
a
varie ty
of
risks
and
uncertainties

and
other
factors
that
could
cause
actual
events
or
results
to
differ
materially
from
those
anticipat ed
in
the
forward-looking
statemen ts
and
financial
projections.

We, or any of our affiliat es, shareholders, direct ors, emplo yees, or advisors, as such, mak e no represen tations
or
warran ties,
express
or
implied,
as
to,
and
do

not

accept

any

responsibility

or

liability

with

respect

to,

the

fairness,

accuracy ,

completeness

or

correctness

of

any

information

or

opinions

contained

herein

and

accept

no

liability

whatsoever

for

any

loss,

howsoever,

arising

from

any
use
or
reliance
on
the
information
presented
and
discussed
in
this
earnings
call.
The
information
contained
herein
is
subject
to
change
without
any
obligation
to
notify
any
person
of
such
revisions
or

change
and
past
performanc e
is
not
indic ative
of
future
results.

It is clarified that this earnings call, and the information discussed and presen ted herein, is not intended to be an

offer
for
subscrip tion
or
sale
of
any
securities
or
inviting
offers
or
invitations
to
offer
or
solicit ation
to
offer
from
the
public

(including
any
section
thereof)
or
any
class
of
investors.
No
rights
or
obligations
of
any
nature
are
creat ed
or
shall
be
deemed
to
be
creat ed
by
the
information
presen ted
and
discussed
on
this

earnings

call.

This

document

has

not

been

and

will

not

be

reviewed

or

approved

by

a

regulatory

authority

in

India

or

by

any

stock

exchange

in

India.

No

rights

or

obligations

of

any

nature
are
creat ed
or
shall
be
deemed
to
be
creat ed
by
the
contents
of
this
documen t.

Moderator: Thank you for joining and welcome to Paytm's Earnings call to discuss our financial results for

the
quarter
ending
on
30th
June,
2025.
We
will
start
our
call
with
Q&A

after
introduction
to
the
management.
From
Paytm's
management,
we
have
with
us
Mr.
Vijay
Shekhar
Sharma,
Founder
and
CEO,
Mr.
Madhur
Deora,
President
and
Group
CFO
and
Mr.
Anuj
Mittal,
SVP,
Investor
Relations.

A
few
standard
announcements
before
we
begin.
The
information
to
be
presented
and
discussed
here
should
not
be
recorded,
reproduced
or
distributed
in
any
manner.
Some
of
the
statements
made
today
may
be

forward-looking

in

nature

and

actual

events

may

differ

materially

from

those

anticipated

in

such

forward-looking statements. Finally, this earnings call is scheduled for 60 minutes. A replay of this earnings

call

and

transit

will

be

made

available

on

the

company

website

subsequently.

We

will

start

our

Q&A

now.

If
you
seek
to
ask
a
question,
kindly
utilize
the
raise
hand
feature
on
your
Zoom
dashboard.
Please
ensure
that
your
name
is
visible
as
your
name,
last
name,
followed
by
your
company

name

for

us

to

be

able

to

identify

you.

We

will

unmute

your

line

and

take

questions

in

the

respective

sequence

of

the

raised

hands.

The

first

question

is

from

Mr.

Sachin

Salgaonkar.

Sachin,

you

may

ask

your

question.

Mr. Sachin Salgaonkar: Thank you for the opportunity. Congratulations on a good set of numbers. I have three

questions.

First

question,

clearly,

Vijay

and

Madhur,

we

did

see

a

good

amount

of

cost

control,

be

it

marketing,

other

expenses

and

capex

for

sustainably

in

a
number
of
quarters.
So
the
question
out
here
is,
is
there
further
room
to
cut
without
impacting,
let's
say,
revenue
growth?
Because
obviously,
if
you
cut
marketing,
there
is
a
bit
of

an

impact

on

growth.

Mr. Vijay Shekhar Sharma: Hi, thank you, Sachin. I do think there is always a corner where we are able to find

some

cost,

but

they

will

not

be

material.

So

it

is

not

the

agenda.

It

is

rather

investing

in

a

few

more

line

items

that

we

believe

are

long-term

growth.

So

we

are

not

actively

pursuing

cost

cuts,

while

I'm

definitely

pursuing

whatever

is

not

necessarily

drop

it

out

of

the

window.

Mr. Sachin Salgaonkar: Okay, got it. Second question is, you know I wanted a bit more clarity in terms of your

lending

book.

I

know

in

the

past,

you

guys
used
to
give
a
good
amount
of
disclosures,
but
any
color
in
terms
of
how
is
the
mix
between,
let's
say,
personal
and
merchant
loans?
I
do
think
this
quarter,
the
value

of
the
loan
disbursed
is
also
not
given.
So
I
do
want
to
understand
where
the
numbers
are.
And
a
related
question
is,
the
mix
between
DLG
and
non-DLG,
is
it
because
of

the

lenders

where

the

mix

is

now

getting

skewed

more

towards

non-DLG,

or

could

that

change

basically

how

the

lenders

get

changed

from

a

medium-term

perspective?

Mr. Vijay Shekhar Sharma: So first thing first, it is the same lenders who have decided to forego DLG-based

math

because

they

see

the

book

performing

great

for

their

references.

It

is

not

about

adding

new

lenders

who

are

not

taking

DLG.

So

it

is

strictly

about

current

lenders

that

have

existed

previous

quarter

or

previous

to

previous

quarter,
number
one,
which
inherently
inherits
that
the
book
has
performed
incredibly
good
for
lenders
to
have
their
risk
and
comfort
to
be
deciding
because
you
know
there
were
various
clearances
and
clarifications

that

got

issued.

And as far as the mix is concerned, I can say that we've linearly extended the previous quarters. The problem

of

not

giving

the

numbers

separately,

as

you

are

aware,

we've

been

discussing

it

many

more

quarters

before,

it

gets

misconstrued

that

we

are

the

lender

or

we

are

lending

when

we

say

we

distributed

so

much

of

loans.

We

kept

trying

different,

different

words,

but

we

do

not

want

any

ways

whatsoever,

anybody

to

misunderstand

that

we

are

not

owning

responsibility

or

book

of

these

loans.

So we being the fee-based income, we started to say, let's just talk about the fee. I'm very happy to hear or

learn,

all

of

us

are

available,

as

to

what

KPIs

should

better

help

you

understand

these

things

that

you

are

asking

for.

As

of

numbers,

they've

been

very

linear,

traditional

sequentially

and

the

previous

lenders

who

have

been

continuing

with

us

ever

since

are

the

lenders

who

have

decided

that

they

don't

need

DLG.

So,

Madhur,

more.

Mr. Madhur Deora: Yeah, and just indicatively, both personal loan and merchant loan grew last quarter, both

in

terms

of
revenue
and
disbursals
and
also
the
mix
is
roughly
the
same
as
it
was
last
quarter.
So,
there
has
been
no
sort
of
q
ualitative
thing
to
report
and
of
course,
going

forward,

if

we

do

see

qualitatively different trends, then we'll call that out. I think one of the things, just to echo what Vijay said,

is

that

I

think

a

lot

of

people

on

this

call

do

understand

that

we

are

purely

a

distributor,

but

we

did

find

that

there

were

other

stakeholders

who

are

getting

confused

by

this.

We

are

happy

to

receive

feedback

on

what

might

be

helpful

from

a

modeling

standpoint

without

also

causing

confusion.

Mr. Sachin Salgaonkar: Thanks, Madhur and Vijay and I'll get back offline in terms of a modeling perspective.

But

just

given

the

fact

that

the
mix
has
not
changed
as
compared
to
last
quarter
between
personal
and
merchant
loans,
the
question
out
here
is
we
were
expecting
recovery
in
the
personal
loan.
Are
we
seeing
no
recovery

and
hence
the
mix
has
not
changed
at
all
or
are
we
still
seeing
recovery
or
perhaps
the
recovery
is
some
point
away
in
the
personal

loan?

Mr. Madhur Deora: No, not significant recovery. It is linear. Mr. Sachin Salgaonkar: Got it. And last question is, again, now that you have turned positive on the EBITDA

margin,
any
guidance
or

any

medium

term

steady

state

adjusted

EBITDA

margin

we

should

look

at?

And

of

course,

the

related

question

is

contribution

margin

is

significantly

improved

now

at

60%.

Is

this

a

sustainable

level

ideally

we

could

look

at

going

ahead

and

perhaps

a

bit

more

room

to

improve

from

this

super

high

level?

Mr. Madhur Deora: I think one by one on contribution margin, we are at 60%, as you noted. Last year, in the

same

quarter,

we

were

at

50%,

so

significant

improvement

there.

We

have

set

high

50s,

so

we

want

to

just

leave

some

room

for

quarter

on

quarter

aberrations.

But

we

do

think

this

is

the

right

ballpark

for

us

going

forward.

With

respect

to

EBITDA,

so

we're
not
doing
adjusted
EBITDA
anymore.

We're
not
doing
EBITDA
before
ESOP
costs.

So
of
course,
this
is
straight
up
EBITDA
reported
GAAP

EBITDA.
We do think that what we had said earlier about 15% to 20% EBITDA Margin over the next two, three
years

is
still
the
number
to
drive
towards.

And

that
seems
more
achievable
today
than
even
a
few
quarters
ago,
because
the
contribution
margin
is
very
good,
and
we
are
seeing
that
keeping
a
tight
leash
on
indirect
expenses
overall
does
still

allow

us

to

grow

very

well.

But

as

I

just

said,

we

may

do

a

little

bit

more

of

investments,

but

this

will

be

more

than

offset

by

growth

in

contribution

margin.

Mr. Vijay Shekhar Sharma: Sachin, EBITDA before ESOP happened last quarter. This is the first quarter where

we
are,
if
you
read
the
earnings
release,
we
have
pruned
out
every
word
which
included
EBITDA
before
ESOP,
PAT
before
ESOP,
or
anything
before
ESOP.
Next
quarter
onward,
we
will
stop
giving

the
ESOP
line,
and
it
will
be
only
the
employee
cost.
So
that
we
are
maturing
towards
absolute
complete
employee
cost,
including
EBITDA,
or
PAT,
where
the
ESOP
cost
is
the
cost
of

the
management.

So
there

we
go.

No
more

adjusted

anything.

Mr. Sachin Salgaonkar: All right, thank you, and all the best for the future. Moderator: Thank you so much, Sachin. The next question is from Piran Engineer from CLSA. You may please

ask

your

question.

Mr. Piran Engineer: Yeah, hi, thanks for taking my question. Congrats on the quarter. Just before the, you know

technical

questions,

there

was

this

BSE

release

right

now.

So

Madhur,

you're

not

getting

reappointed

on

the

board,

or
you're
seeking
not
to
get
reappointed.

Anything

to
read
into
that,

or
have

you
been
at

the
board

just
for

a
short
time

or
since
inception?

Mr. Madhur Deora: Well, I've been on the board for about two and a half, three years, and there was never

the
intention
that
this

should
be
a
permanent
thing.
We
wanted
one
executive
director
on
the
board,
so
I
did
a
term,
and
now
our
General
Counsel
is
being
nominated
for
this.
On
a
personal
level,
I've

been
very
much
looking
forward
over
the
last
two
or
three
years
to
drive
some
business
priorities
for
the
company,
but
quite
frankly,
simply
didn't
have
the
bandwidth
with
everything
else
that
was

going

on.

So I'm really, really looking forward to going back and driving certain big business initiatives. So that's going

to

be

the

roadmap,

and

we

just

need

to

free

up

bandwidth

for

that.

I

would

rather

do

that

than

sort

of

board-level

governance.

Mr. Vijay Shekhar Sharma: The important thing is if you notice that we've gone focus, focus, focus. So Madhur's

bandwidth,

rather

than

being

a

board

representative

in

an

operating

representative

or

operating

action,

is

very

much

more

valuable.

As

you

notice,

our

future

forward

growth

line

items;

they

are

all

about

revenue

and

profitability

by

the

same

businesses

and

a

little

bit

of

expansion

into

international

markets.

So overall, there is a tremendous amount of work operatingly on the table, and I think there is the responsibility

of

the

board

why

we

got

a

GC

so

that

more

compliance,

et

cetera

kind

of

updates

can

be

taken

care

of

by

them.

Mr. Piran Engineer: Okay. Okay. That clarifies it. Just moving on to the quarter. In this quarter, ballpark, what

percent

of

our

disbursements

would

have

been

under

FLDG?

Mr. Madhur Deora: I think we'd rather not give the exact percentage, but I mean, you can see from our direct

expenses

decrease

quarter

on

quarter,

and

that

will

give

you

a

sense.

We

also

report

partner

portfolio,

AUM,

on

a

monthly

basis

as

per

RBI

guidelines.

But

I

can

tell

you

that

that

number

is

down,

even

that

AUM

number

is

down

over

40%.

So

you

can

imagine

that

the

new

disbursements

are

significantly

lower

under

DLG

than

before

DLG.

Mr. Piran Engineer: Correct. So then Madhur, the QoQ decline, which it's almost halved, that's pretty much

attributable

only

to

the

change

in

DLG

stance.

There

are

no

other

products

or

services

that

have

caused

this

decline.

Hello? Mr. Madhur Deora: Oh, sorry. Just because, I apologize. So the other costs have actually gone up a little bit

as

they

do

sort

of
quarter
on
quarter
as
you're
growing
the
business.
So
the
DLG
impact
is
even
sharper,
but
you
shouldn't
assume
that
because
that
line
has
halved
that
the
DLG
has
halved.
Yeah.
The

DLG

has

gone

down

very,

very

significantly.

Mr. Vijay Shekhar Sharma: Yeah. Important thing. We actually had an incredible quarter for merchant disbursements

and

portfolio

quality.

DLG

is

not

the

needle

moving

single

reason.

Rather,

there

is

a

tremendous

amount

of

growth

in

credit

disbursement

itself

that

we

saw.

If

you

see

the

revenue,

that

would

help

you

understand.

Because

DLG

was

coming

in

the

cost

line

item,

we

still

are

showcasing

the

revenue

side

of

the

financial

services.

And

that

is
needle
moving
behavior
there
is
from
the
merchant.

Mr. Piran Engineer: Got it. And if I compare it on a YoY basis, last year, first quarter, you all had not started

DLG.

This
year,
the
first
quarter,
you
all
might
have
done
a
little
bit
here
and
there.

It's
still
down.

So

I

have

to

think

of

it

as

being

down

because

of

that

business

that

was

sold

to

Zomato,

right?

Mr. Madhur Deora: Well, we actually have a little bit of commentary on that later on. So you're absolutely

right,

though.

So

in

the

first

quarter

of

last

year,

we

had

no

DLG.

This
quarter,
we
have
a
small
amount,
but
less
than
the
previous
quarter.
And
the
reason
for
reduction
in
expenses
is
some
cost
rationalization.
Also,
of
all
the
business
that
we
have
done

historically,

our

collection

costs

are

down

quite

a

lot,

on

a

sequential

basis

and

also

on

a

year

on

year

basis,

because

especially

in

personal

loan,

our

partner

AUM,

which

is

under

the

collection

model,

is

down

quite

a

lot,

right?

Because

a)

the

overall

volumes

are

lower,

and

b)

we

have

moved

a

large

amount

of

volume

to

the

distribution-only

model.

So

our

collection

costs

are
down
quite
a
bit
as
well.
So
when
you
look
at
it
year
on
year,
you
have
to
adjust
for
that
as
well.
And
we
have,
of
course,
in
the
back
of

the
earnings
release,
given
some
sort
of
qualitative
factors
for
direct
expenses,
just
so
that
you
have
a
sense
of
the
trend
lines
and
direction.
Mr. Vijay Shekhar Sharma: So one of the important things you should know, if you read Financial
Services
Revenue
Rs
561
Crores,
it
is
overall,

if
you
see
quarter
on
quarter,
and
the
number
is,
because
of
DLG
not
being
there,
this
number
is
lesser.
It
could
have
been
higher
if
we
had
the
same
amount
of
DLG

issued

as

in

the

March

quarter.

Because

of

the

loan

closure,

we

are

able

to

recover

disbursements

done

under

the

DLG

model

as

a

revenue.

Mr. Piran Engineer: Correct. No, no, yeah, I get that. Just trying to work out some math. Okay, this answers

my

question.

Just

lastly,

in

terms

of

the
POS
business,
I
see
you've
given
some,
you
know,
qualitative
commentary
at
the
start.
Are
we
rethinking
how
we
do
our
POS
business
just
as
a
distributor
while
the
bank
owns
the

POS

machine?

You

mentioned

this

for

the

enterprise

level

merchants.

And

just

broadly,

out

of

your

1.3

crore

devices,

how

much

would

be

POS?

Mr. Vijay Shekhar Sharma: The important thing is that we do not do that business where the bank owns the

customer,

and

we

are

just

putting

hardware

on

behalf

of

the

bank

and

calling

it...

Mr. Piran Engineer: No, other way Vijay.. The bank owns the machine, you own the customer Mr. Vijay Shekhar Sharma: We don't do that. We don't do this business. We own the machine, we own

the

customer.

We

are

in

that

business.

And

that

is

what

we

have

tried

to

qualitatively

talk

about

because

it

is

important

to

know

that

there

are

two

business

models

where,

one,

like

you

said,

bank

owns

the

customer

or

bank

owns

the

POS

versus

our

model

where

we

effectively

own

the

customer

and

the

machine

and

we

route

the
payment
processing
to
a
bank.
And
that
is
the
business
that
we
are
in.
That's
why
we
call
it
full
stack.
We
are
not
saying
that
the
bank
owns
the
device
or

owns

the

customer

and

we

are

being

called

POS

providers.

No,

that's

not

the

business

we

have.

Mr. Piran Engineer: Okay. And just the number of machines would be useful? Mr. Vijay Shekhar Sharma: The number of subscriptions that you're seeing is the number of customers owned

by

us

Mr. Piran Engineer: No, no. Out of 1.3 crore, most will be soundboxes, right? How much would be POS machines?

Mr. Vijay Shekhar Sharma: Oh, I get it. Mr. Madhur Deora: Roughly a million plus. You should also know, Piran, that as we see the entire gamut of

the

market,

historically

we

have

thought

about

soundboxes

and

EDCs

as

two

different

things.

Now

it's

a

spectrum.

Yeah.

Because

now

we

also

have

a

card

soundbox.

Now

we

have

a

card

soundbox

with

a

screen.

So

the

only

thing

literally

that

it
doesn't
have,
which
an
EDC
has,
is
a
printer,
right.
And
we
actually
have
a
card
soundbox
with
a
screen
with
a
chip
and
pin.

Mr. Vijay Shekhar Sharma: And these are being installed in enterprises. Mr. Madhur Deora: So, now this is an entire spectrum. And you're right to say that four years ago, we were

saying
soundbox
and
EDC
machines.

But
now
a
soundbox
that
can
accept
cards,
tap
and
chip
and
pin,
and
has
a
screen,
is
effectively
an
EDC
for
a
merchant
who
doesn't
really
need
a
printer.
Mr. Vijay Shekhar Sharma: Piran, being a hardware, software and services full stack owner, we were able
to
build
hardware

where

what

is

needed

is

added

and

what

is

not

needed

is

removed.

And

that

is

where

the

edge

over

anything

else

is.

Other

companies

source

hardware

from

China,

do

a

capex

deal

on
a
rental, and
that's
the
payment
business.

We
don't
call
it
a
payment
business.

We
design
our
own
hardware.

We
own
our
own
software.

We
deliver
our
own
services.

And like you just learned, the idea of creating many more layers between the paper QR to, let's say, an enterprise,

online,
or
you

can
call
it,
POS
billing
machine;
there
are
so
many
devices.
It's
like
a
phone
business,
literally,
that
there
will
be
so
many
layers
and
types
of
phones
in
between,

size-wise.

Mr. Piran Engineer: Got it. Okay, that's it from me. Thank you and all the best. Moderator: Thank you, Piran. The next question is from Mr. Sachin Dixit from JM Financial. Sachin, you may

please

ask

your

question.

Mr. Sachin Dixit: Hi Vijay and team, congrats on a great set of results. My first question is with regards to the

shareholder

letter

mentioned

that

the

payment

services

business

operated

at

breakeven.

One

housekeeping

question,

what

all

revenue

line

items

are

you

including

there?

Largely

from

a

longer-term

perspective,

how

do

you

see

profitability

in

this

particular

payment

services

business

going

ahead?

Mr. Vijay Shekhar Sharma: So, the payment business includes subscriptions and any interchange MDR, all

those

kinds

of

incentives,

etc.

that

we

call

it

out.

It

does

not

include

any

financial

services

revenue

whatsoever.

And

obviously,

the

marketing

services

revenue

is

separate.

So,

it

is

payment-related

billing

that

we

w

ould

have

done

to

the

merchant.

Mr. Sachin Dixit: Right, and on profitability piece? Mr. Vijay Shekhar Sharma: I do believe payment is a profitable business.

Like you're seeing, without UPI,

MDR,

we

are

talking

profits.

And

I

do

believe

the

payment

channel
is
profitable
and
has
operating
leverage.
We
continue
to
push
operating
leverage
by
creating
more
solutions
and
value-adds
on
top
of
as
basic
as
processing,
if
you
will.
And
that's
where
the

differentiation

in

the

payment

business

comes.

I

continue

to

believe

that

payment

standalone

will

be

a

bottom-line

driver

and

a

large

bottom-line

driver

once

these

MDRs

also

show

up.

In

effect,

today

we

are
calling
breakeven
and
tomorrow
we
are
going
to
call
large
profit
from
payment.
That's
why
I
keep
saying,
focus
on
the
core,
we
have
a
great
business.
Mr. Sachin Dixit: Perfect, perfect. My second question is on the contribution margin side, right?
Obviously,
this
quarter,
we
reported

a

60%

contribution

margin,

which

looks

quite

good

from

a

sequential

or

YoY

basis.

But

there

will

obviously

be

some

impact

of

FLDG-based

trail

revenue

coming

in

from

the

last

few

quarters

that

we
have
issued,
while
there
is
no
DLG
expense
on
the
like-to-like.
So,
I'm
guessing
there
might
be
some
one-time
impact
being
there
in
that
contribution
profit.
Mr.
Madhur
Deora:
I
wouldn't
...

Sorry,

please

finish.

Mr. Sachin Dixit: So, I was just saying like, so can you break down maybe how many percentage points would

be

because

of

the

trail

revenue

coming

in

this

quarter

versus

there

being

no

FLDG

expense?

Mr.

Madhur

Deora:

So,

to

be

clear,

this

is

not

...

I

wouldn't

quite

call

it

a

one-time

impact.

I

think

you're

right

in

observing

that

this

quarter,

we

rather

suddenly

don't

have

a

significant

amount

of

DLG

cost.

But

the

fact

that

we

are

doing

a

large
amount
of
non-DLG
business
will
mean
that
the
trail
revenue
will
be
a
bit
lower
compared
to
if
we
had
done
DLG
business.
So,
yes,
there
will
be
some
impact
of
not

doing

DLG

on

just

future

financial

services

revenue.

We

don't

think

that's

very

significant.

And

like

I

mentioned

when

I

think

Sachin

had

asked

...

Sachin

Salgaonkar

had

asked

the

question

that

that's

part
of
the
reason
why
we
think
our
guidance
should
be
high
50s
rather
than
guiding
to
specifically
60
percent,
which
is
what
we
have
already
achieved,
although
there
are
drivers
in
the

rest
of
our
business
that
can
move
this
number

upwards.

Mr. Vijay Shekhar Sharma: Sachin, to your question of if we had large trail revenue, the answer is that last

year,
in
this
quarter,
because
these
are
12-14
months
loans,
was
not
very

large.

Mr. Sachin Dixit: Understood. All right. Thank you. And those are my questions. Moderator: Thank you, Sachin. The next question is from Mr. Pranav Gundlapalle from Bernstein. Mr. Pranav Gundlapalle: Hey, good evening. I just had three questions. First is on your BNPL product. Is a resumption

of
BNPL
contingent
on
you
getting

your
wallet
product
back
or
are
there
other
dependencies
before
you
can
get
BNPL
started?

Mr. Vijay Shekhar Sharma: No, it is not. Both are independent. It was rather the small credit issue that exists

in
the
market,
less
than
Rs
50,000
credit
due
to
that,
and
that
is
the
only
single

KPI

that

materially

matters

to

the

lenders.

There

is

no

other

KPI

related

to

wallet.

We

don't

tag

it

on

the

wallet

either

anyway.

Mr. Pranav Gundlapalle: Okay. So, if there is a recovery in personal credit, both your PL and BNPL products

could

come

back?

Mr. Vijay Shekhar Sharma: 100%. I mean, I personally love the product, and I'm personally a champion of

it.

And

like

you

said,
when
the
personal
credit
comes
back,
BNPL
will
come
back.
We
totally
believe
that
it
will
come
back.
Okay.

Mr. Pranav Gundlapalle: Second question is on your lending business. What percent of these persons will

your
largest
partner
account
for?

A
rough
number,
I

think.

Mr. Madhur Deora: It would be somewhere between 30 and 40%. And there's a reason for it. While we have

a
huge
amount
of
lending
capacity
available
with
other
lenders,
especially
the
lenders
who
have
joined
in
the
last
six
or
nine
months,
who
have
done
successful
sort
of
scale
up,
up
to

a
certain
level,
but
have
a
lot
more
appetite,
especially
in
merchant
lending,
majority
of
the
business
is
repeat
business.
And
in
the
case
of
repeat
business,
the
partner
who
gave
the
first

loan
always
has
the
RoFR,
and
the
vast
majority
of
repeat
business,
nearly
100%,
gets
done
by
the
same
partner.

So, as a result, even though we have a huge amount of capacity available from other lenders, the same partner

actually
effectively
ends
up
getting
all
the
repeat
business,
and
the
new

business
is
distributed
based
on
various
logics,
such
as
which
is
a
better
fit,
who
has
better
conversions,
better
commercials,
etc.
So,
it
does
take
time
for
the
business
to
shift
away.
And

the
largest
partner,
I
think
you'll
get
some
indication
of
that
also
from
our
FLDG
disclosure,
that
there
is
one
partner
who's
very
substantial
in
terms
of
their
AUM
on
our
platform.

Mr. Vijay Shekhar Sharma: And Pranav, I want to tell you that we personally have been pursuing other lenders

who

do

not

necessarily

have

the

appetite

to

do

the,

let's

say,

top

up,

to

release

this

RoFR,

so

that

we

can

allow

another

top-up

loan

to

be

given.

And

a

couple

of

them

even

agreed.

I'm

personally

very

committed

to

continue

to

see

even

further

deconcentration

or

hedging

among

multiple

people.

But rather, this is more like that some champions have understood the product, and they want to do even

more,

versus

many

who

have

their

own

restrictions

based

on

many,

many

their

own

self

reasons,

may

issue

a

lesser

amount.

So,

it's

less

about

capital

availability.

I

can

also

tell

you,

I

personally

look

at

capital

availability.

Right

now,

we're

disbursing

30-40%

of

capital

availability.

Mr. Pranav Gundlapalle: Understood. Mr. Madhur Deora: Just to give you another sense, another way to answer that, because I don't want to give

you

the

exact

number,

is

that

this

partner

is

largely

in

merchant

lending.

Our

book

with

other

partners

in

merchant

lending

over

the

last

nine

months

has

grown

significantly

faster,

obviously

from

a

smaller

base

in

each

case,

than

with

this

partner.

So,

it

is

shifting,

but

it

happens

gradually

because

of

the

repeat

and

top-up

business

nature

of

this.

Mr. Pranav Gundlapalle: Understood, understood. Very Clear. The last question is,

I think, circling back

on

the

credit

card

acceptance.

So,

irrespective

of

whether

you

call

it

POS,

EDC,

or

smarter

soundbox,

would

our

number

of

devices

accepting

credit

cards

have

increased

in

the

last

one

year,

especially

after

the

restrictions

on

PPPL?

And

also

has

the

economics

changed

versus

what

it

was

with

the

PPPL

arrangement?

Mr. Vijay Shekhar Sharma: Yes. Actually, you pointed out the correct thing. The net payment margin is going

to

grow

because

of

credit

card,

EMI,

and

let's

say,

loyalty

point

or

any

other

high-margin

processing

payment

instrument.

We

came

from

the

behind

on

EMI,

and

we

nearly

took

the

top

spot

of

processing

EMI

volumes

in

India.

Then

credit

card-wise,

number

of

devices,

yes,

exactly.

That

is

the

reason
that
we
continue
to
drive
these
acquiring
instruments.

Surprisingly, all of our card-acquiring machines are card-acquiring. Along with that, our QRs are card-acquiring

because

of

RuPay

credit

cards

going

on

QR.

So,

it

started

to

earn

sizable

revenue

because

RuPay

credit

card

on

UPI

actually

is

MDR-bearing,

even

today.

Mr. Madhur Deora: I should also just clarify. I think you mentioned something about margin. The margin is

nearly

identical

between

whether

PPPL

was

acquiring

or

the

partner

banks

who

we

are

acquiring

with

right

now.

So,

the

margins

are

not

different

at

all.

Mr. Pranav Gundlapalle: Understood. Just to clarify, if you look at the RBI disclosures, PPPL had almost a 78%

market

share

in

what

at

least

RBI

calls

as

POS

machines.

Is

it

safe

to

assume

that

the

market

share

has

not

declined

since

the

last

12

to

18

months?

Mr. Vijay Shekhar Sharma: We increased that. So, yes, safe to assume that it did not decline. You have an

eye,

my

friend.

Thank

you.

Mr. Pranav Gundlapalle: Thank you. Those were my questions. Moderator: Thank you so much, Pranav. The next question is from Mr. Jayanth Kharote from Axis Capital.

You

may

please

ask

your

question.

Mr. Jayanth Kharote: Thanks for the opportunity. And congrats on delivering positive earnings to the whole

team.

The

first

one

is

on

this

quarter's

payments

revenue.

So,

if

I

look

at

the

device

addition,

POS

device

addition

has

been

pretty

strong.

And

if

the

net

payment

margins

are

north

of

3

bps,

is

there

a

decline

in

the

yields

for

the

devices,

QoQ?

Mr. Vijay Shekhar Sharma: UPI volume is not accounted for, for any revenue till the time period final bonus

is

given

or

the

grant

is

accepted.

So,

the
yield
looking
less
is
not
because
of
rental
or
any
other
thing
or
subscription
fee
that
we
charge
from
the
merchant
or
any
other
thing.
It
is
because
growth
of
UPI
effectively

shows

incrementally

less

bps

payment

processing

because

we

only

account

for

it

in

the

quarter

where

we

get

the

amount.

And

UPI

is

growing.

Mr. Madhur Deora: I'll just add a couple of things to that. We also get PIDF revenue, which is an incentive

from

the

government.

We

also

have

certain

incentives

with
our
partner
banks.
So,
there
are
a
couple
of
smaller
line
items.
But
if
you're
looking
literally
quarter
and
quarter
and
getting
to
smaller
margins
of
error,
then
there
are
a
few

other,
much
smaller
variables
that
also
play.

As a part of our overall subscription revenue per device, because we have become extremely efficient on capex

and
r
efurbishment,
we
are
not
looking
to
drive
up
subscription
revenue
per
merchant
necessarily.

So,
we
have
very
much
moved
towards
what
is
the

lifetime
value
of
this
portfolio,
which
includes
the
subscription
revenue,
includes,
for
example,
things
like
obviously
these
incentives,
but
also
RuPay
on
UPI.
And
then
also
includes
some
attribution
of
the
fact
that

some
of
these
merchants
can
be
upsold
to
merchant
lending.

So,
we
look
at
it
in
the
holistic
context
rather
than
trying
to
drive
up
a
single

number.

Mr. Jayanth Kharote: Actually, that feeds into my second question. I was going to ask now that do you see

the
POS
market
share

having
stabilized
between
the
few
players,
and
does
this
now
open
up
headroom
for
looking
at
price
hikes
on
these
products?

Mr. Vijay Shekhar Sharma: I like it. I personally want to tell you internally we did increase the price and it worked

out
and
sort
of
it's
a
funny
thing.
I
mean,
funny

because

internally

when

my

team

pitched

it,

because

they

said

that

we

can

try

it,

I

was

like,

are

you

sure

you

will

not

see

churn

in

the

merchant?

Then

we

found

out

that
there
is
a
reverse
elasticity.
By
paying
large,
because
our
products
are
far
superior
than
competition
in
the
market,
everybody
else
is
a
Chinese
copy;
our
hardware,
software,
stack,
et
cetera,
work

out
incredibly
better.
And
that
gives
our
product
a
premium
level
in
the
market.

So, sometimes if you were charging Rs 100, we are charging Rs 129 now. And we are able to do it because

the
customer
loves
it.
And
the
stability
and
robustness
gives
a
premium
to
it.
And
in
other

words,

I

would

not

want

to

call

that

we

are

going

to

increase

the

price.

I

would

rather

say

that

we

are

continuing

to

expand

and

invest

in

the

business.

And

I

told

the
team,
earn
the
business,
revenue
and
profit
and
expand
to
newer
places.
And
they
were
able
to
do
it.
So,
no,
not
yet.
And
especially
when
there
are
seven
more
players
coming

in
this
market.

But
at
the
same
point
of
time,
we
did
the
elasticity
check,
my
friend.

And
it
was
so
positive
and

surprising.

Jayanth Kharote: Yeah, I mean, that explains that you've gone through a couple of events over the last two

years.

If
the
vintage
has
stuck
around,
that

ability

to

price

it

up

should

be

there.

But

I

get

your

point,

you

want

to

wait

for

a

couple

more

quarters..

Mr. Vijay Shekhar Sharma: Yeah, I mean, one more year, our time will come. Mr. Jayanth Kharote: Okay. The second question is slightly longer term. And, you know, most of the businesses

have

stabilized

now,

Vijay,

whether

it's

lending

or

payments.

There

is
decent,
healthy
linear
growth
here.
But
if
I
were
to,
again,
push
you
towards
any
non-linear
variables
there
that
can
lift
the
revenues.
So
Credit
card
on
UPI,
we
discussed
four
quarters

back,
you
had
guided
5%
of
GMV.
But
it
doesn't
seem
that
the
pace
is,
you
know,
going
at
that
rate,
maybe
the
issuance
side.
So
anything
else
that
you
can
call
out

that

can

introduce

non-linearity

to

the

revenues?

Mr. Vijay Shekhar Sharma: Some of the consumer products, if you remember, we just talked about BNPL,

we

just

talked

about

wallet.

We

just

talked

about

many

of

those

products.

Those

were

non-linear.

I mean, those were getting incredible top-line, bottom-line both. Once they start showing up, I'm going to

tell

you

that

that

linearity

just

changes

the

orbit

to

the

next

level

and

after

that,

we

could

think

about

newer

products

and

technologies

for

our

merchants.

We

have

some

of

those

being

in

the

pilot

stage

as

we

speak.

I'd

rather

speak

about

them

once

we

see

a

sizable

number.

So,

yeah,

obviously,

I

mean,

we

are

in

it

for

long.

Mr. Jayanth Kharote: Is BNPL around the corner by any chance? Mr. Vijay Shekhar Sharma: Sorry, it's not a question of BNPL around the corner. But my point was that there

are

line

items

that

we

have

showcased

in

the

past

that

have

this

dramatic

peak.

And

like

we

just

answered

a

few

minutes

back,

it

is

rather

the

Rs

50,000

ticket

loan

kind

of

thing

that

is

overhanging

on

it.

Mr. Madhur Deora: And I should just also mention that it's anybody's guess about the next six, twelve months.

But

we

do
feel
that
on,
for
example,
the
consumer
credit
side,
there
is
a
little
bit
of
a
drag
on
the
business.

Right.

That business has seen much better days. And I'm not saying exactly to do exactly those volumes six or twelve

months

from

now.

But

it

does

feel

like

and

including

in
our
conversations
with
partners
that
we
are
towards
the
bottom
of
what
our
potential
is
on
that
platform.
And
maybe
six
or
twelve
months
from
now,
we'll
be
getting
a
lot
more

monetization

out

of

that.

The other thing that we have done is we have made this very much product driven, transacting user growth.

So

if

you

look

at

Paytm's

products

now

versus

a

year

ago,

the

app

homepage,

for

example,

is

very,

very

much

payments

heavy.

And

a

lot

of

the
things
which
might
have
been
distracting
users
or
it
might
have
been
cross-sell,
upsell
have
been
sort
of
deprioritized.

So I think those things sort of and that is because of sort of where we were coming from a year, year and a

half

ago.

And

that

is

paying

a

lot

of

results.

And

I

think
we'll
continue
in
that
posture
for
a
bit.
But
we
are
very
disciplined
about,
if
anything,
it's
okay
to
undermonetize
the
consumer
side
a
little
bit
right
now.
But
just
make
sure

that

the

users

are

getting

a

fantastic

payment

experience.

Mr. Jayanth Kharote: Understood. Thanks and congrats once again. Moderator: Thank you, Jayant. The next question is from Mr. Sameer Bhise from Dymon Asia. Sameer, you

may

please

go

ahead

and

ask

your

question.

Mr. Sameer Bhise: Yeah. Hi. Thanks for the opportunity. Congrats on a strong set of numbers. So just wanted

to

ask

in

terms

of

this

efficiency

improvement

journey,

would

you

say

that

some

of

the

low

hanging

fruits

have

been

taken?

And

it

is

probably

more

difficult

in

terms

of,

say,

expansion

of

EBITDA

margin.

Would

that

be

a

fair

statement

or

do

you

think

some

of

the

easy

wins

are

still

there

on

the

table

to

take?

Mr. Madhur Deora: So I would say I just break up the question into two parts. So one is on the cost efficiency

side.

I

would

say

like

if

you

will,

as

you

described

the

low

hanging

fruit,

a

lot

of

that

we

have

done.

So

if

you

look

at

our

indirect

expenses,

it's

down

very

meaningfully

from

its

peaks,

about

30-35

percent

lower.

Having

said

t

hat,

every

time

we

pay

more

attention

to

it,
there
are
things
that
we
find
where
we
can
be
more
efficient.

So
it's
not
about
doing
less.

It
is
just
about
just
getting
more
efficient

so
that
we
can
do
more.

So
there
might
be
a
few
more
areas
and
there
most
likely
are
a
few
more
areas.

But I think the EBITDA margin expansion is going to come from the fact that this quarter, for example, we grew

31
percent
on
a
like
for
like
basis,
28
percent
headline
number.

We
do
think

in
future
quarters
that
number
should
be
at
least
that
much,
if
not
higher.
And
we
are
a
60
percent
contribution
margin
business.
And
there's
no
reason
why
indirect
expenses
should
grow
anywhere

close
to
the
revenue
growth
type
of
levels,
not
even
perhaps
half
of
that
level.

So now that we have a 60 percent contribution margin, we have a positive EBITDA. I think the jaws really open

up
as
long
as
we
stay
disciplined
on
indirect
expenses
and
continue
to
drive
high
margin

revenue.

Mr. Sameer Bhise: So just kind of putting some of this math together, would it be fair to say that you could

probably

hit

early

double

digits

before

the

end

of

the

financial

year?

Mr. Madhur Deora: I don't want to give specific guidance for the end of this financial year, because that is

also

what

one

does

with

quite

a

lot

of

sort

of

proactiveness

when

one

is

ready.

But

we

do

see

significant

improvements

in

EBITDA

margin

between

now

and

the

end

of

the

year.

We're

currently

at

about 4 percent, but that is like 4 percent just in the first quarter that you have hit profitability. So you can

imagine

that

there's

a

lot

of

upside

there.

Mr. Sameer Bhise: Fair enough. That's all from my side. All the best. Thank you so much. Moderator: Thank you, Sameer. In order to accommodate a few more questions, we will be extending this

call

by

15

minutes.

The
next
question

is
from

Mr.
Rahul

Jain
of

Dolat
Capital.

Rahul,
you

may
please

unmute

your

line

and

ask

your

question.

Mr. Rahul Jain: Hi, thanks for the opportunity and some very strong execution. Most of the questions have

been

answered,

but

let

me

make

an

effort.

We

give

this
unique
user
data
on
the
financial
services
side.
It
seems
slightly
volatile.
Is
there
a
way
to
read
the
seasonality
on
this?
Or
you
think
there
could
be
bigger
stable
pieces
which

could
be
identified
in
a
different
account?

And
there
could
be
some
smaller
use
cases
where
we
see
more
volatility
in
the
user

base?
Mr. Madhur Deora: So I think you're referring to a number of customers who availed financial services. I think

the
historical
trend
is
not
seasonality
as
much

as

the

fact

that

while

we

have

seen

growth

in

merchant

loans

we

have

also

seen

a

slight

decrease

in

personal

loans.

We

also

were

doing

very

well

in

Paytm

money

on

the

equity
broking
side.
But
as
you
know,
market
volumes
are
down
because
of
certain
industry
regulatory
events
that
took
place
in
the
second
half
of
last
year.
So
I
think
the
commentary
on

that

is

that

our

revenue

has

doubled

despite

this

number

remaining

slightly

flat.

Which

I

think

is

sort

of

positive.

On the other hand, I do understand that that is not as helpful a metric for modeling as we may have initially

expected

it

to

be.

Because

our

revenue

per

finan

cial

services

customer

in

a
sense
has
doubled.
So
like
Vijay
said
earlier,
we'd
love
to
get
feedback
on
what
could
be
useful
other
than
loan
disbursal
volume
which
we
have
mentioned
we
discontinued
two,
three
quarters

ago

for

the

reasons

that

we

mentioned

earlier.

Mr. Rahul Jain: Just to ask a question that was previously asked. What could be the top one or two or three

priorities

for

the

company

right

now?

Is

it

basically

the

execution

or

is

it

basically

the

reviving

the

lost

revenue

streams?

Or

is

it

more

about

new

offerings

that

we

intend

to

venture

into?

Mr. Madhur Deora: I think we've sort of called that out in terms of focus area. So merchant payments are

disproportionately

the

focus.

It's

the

core

of

the

company.

So

merchant

payments

and

across

the

span.

So

I

know

Paytm

probably

gets

more
headlines
for
smaller
merchants
and
financial
inclusion.
But
what
we
did
want
to
call
out
this
quarter
also
is
that
we
cover
the
entire
span,
including
enterprise
merchants,
both
online
and
offline.

So merchant payments are the core. And there's a huge amount of growth possibilities there, a huge amount

of

innovation

is

possible.

And

we

are

going

to

drive

that.

So

in

a

sense,

that

is

a

big

focus

area.

Vijay

has

mentioned

wallet

and

BNPL

earlier.

And

that

is

something

which

is

not

like

a

one

month

or

two

month

thing.

But

that

is

something

that

we

are

actively

working

on.

On the financial services side, as all of you probably appreciate by now, merchant lending has been fantastic

with

our

partners

and

really

been

a

star.

And

we

run

that

business

very

conservatively.

But

it

just

has

enormous

tailwinds,

which

we

benefit

from

now

that

we

have

got

the

business

model

right.

And

then

on

the

personal

loan

and

credit

card

side,
we
just
kind
of
wait
for
the
recovery.

It's
not
that
we
are

going to push; try to be ahead of the recovery. We'll just wait for the recovery. And we have a very good product

and
we
think
that
should
work
well.

So
we've
sort
of
listed
out.

And
I
think
internally,
we're

just
super
focused
on
AI,
which
is
something
that
we
have
called
out
in
this
meeting.
Every
customer
product
and
every
internal
process
should
be
AI
first.
And
that's
something
which
we're
not

seeing

as

sort

of

a

thing

that

we're

going

to

start

to

do.

That has been the posture of the company internally for the last one and a half years. And that's why we felt

ready

to

start

talking

about

it

now.

Mr. Rahul Jain: Thanks. Thanks. I appreciate it. Moderator: Thank you, Rahul. The next question is from Ms. Grishma Shah of Envision Capital. Grishma, you

may

unmute

your

line

and

please

ask

your

question.

Ms. Grishma Shah: Yeah. Good evening to the management team. And, you know, thanks for taking my question.

I
want
some
color
on
the
GMV
growth
for
this
quarter.

And
how
do
you
see
panning
out
for
the
year?

You
know,
that's
my
first

question.

Mr. Vijay Shekhar Sharma: Ma'am, I think, if you notice, the GMV growth is driven by UPI expansion and expanding

the
merchant
base.

And
lately,

we
augmented
our
management
team
on
online
merchants
because
we
already
have
had
them
onboarded
for
a
long
time.
And
by
focusing
on
more
farming,
we
hope
to
get
even
more
growth.
So

all

thr

ee

buckets,

adding

more

merchants,

farming

the

current

online

large

merchants,

and

expansion

of

UPI

or

say

merchants

growing

more.

So

we

continue

to

see

that

payment

has

4-5x

growth

left

in

this

country

from

today.

Ms. Grishma Shah: Okay. The other question was on the MDR for large merchants. Is there any clue or, you

know,

you

could

help

us

understand

if

it's

some

time

away,

it's

still

a

long

time

away,

what's

the

sense

on

this?

Mr. Vijay Shekhar Sharma: And we are as aware as you are. So no extra comment or input that we discover.

So

we

will

go

by
what
happens
and
get
informed.

We
are
not
basing
our
business
on
one
hope
of
the
future.

We
are
rather
committed
to
continue
to
drive
profitable
business
even

today.

Ms. Grishma Shah: Okay. Thank you and good luck. Mr. Vijay Shekhar Sharma: Thank you, ma'am. Moderator: Thank you, Grishma. The next question is from Mr. Vijit Jain of Citi. Vijit, you may please ask your

question.

Mr. Vijit Jain: Hi, thanks for the question and congratulations on a great set of numbers here. My first question,

just
on
the
financial
services
side,
you
know,
wanted
to
understand
first,
is
the
number
of
customers
that
you
provided,
is
that
a
unique
number?
Or
is
that,
you
know,
would
that
include,

you

know,

a

single

customer

availing

more

services?

Mr. Madhur Deora: It's a unique number.

Mr. Vijit Jain: Got it. And relatedly, Madhur, would it make sense to, you know, provide also the number of

transactions

that

actually

happen

under

the

financial

services

bucket

where

you

realize

some

revenue?

And

relatedly,

you

know,

you

have

mutual

funds,

stocks

and

loan

distribution

under

that

bucket.

And

the

revenue

incidents

on

each

of

them

would

be

fairly

disparate.

Would

it

make

sense

to

disclose

the

number

of

transactions

under

those

broad

categories

for

this

quarter?

Mr. Madhur Deora: So, just to clarify, mutual funds are not there. It's personal loan, merchant loan, equity

broking

and

insurance.

I

think

we

separately

would

love

to

collate

feedback

on

what

would

help,

what

would

be

the

simplest

way

for

analysts

to

model

financial

services

better.

So

we'll
take
this
on
board
and
maybe
engage
with
you
to
get
some
feedback
on
that
and
then
we'll
also
talk
to
other
analysts.

On how many products, so if you have 5.6 lakh customers who took financial services, the number of products

would
be
a
single
digit
percentage
point
higher,

it
will
not
be
massively
higher.
Right?
So
it's
not
like
we
focus
on,
hey,
now
that
the
person
has
taken
a
personal
loan,
we
should
try
to
start
them
equity
broking.
Right?

So
it
is
not
really
that
journey.

We
have
three
or,
sorry,
four
separate
high
ARPU
products
for
us.

They're
not
necessarily
one
linked
to
the
other.

So
the
overlap
would
be
relatively

small.

Mr. Vijay Shekhar Sharma: Also, Vijit important thing to note, like Madhur said, it does not include mutual

funds.

So

things

like

embedded

insurance

or

mutual

fund

distribution,

which

are

non-material

for

the

revenue

we

generate,

we

have

kept

those

numbers

away

from

it.

This

number

includes

unique

customers

who

have

generated

material

revenue

and

bottom

line

for

us.

Mr. Vijit Jain: Got it. Understood, Vijay. My second question, you know, on the EMI on devices bit, is this financial

services

distribution

for

you

or

will

it

be

payment

services?

Okay,

regardless

of

which

instrument

is

used?

Mr. Vijay Shekhar Sharma: Payments. If it is an instrument used on a device and we are charging merchants

for

MDR

and

then

passing

an

interchange,

this

is

a

payment

revenue.

It

could

include

EMI,

credit

card,

etc.

Mr. Vijit Jain: I see. Got it. And, you know, a related question on the enterprise POS side, right? So from a market

landscape

point

of

view,

there,

you

know,

I

mean,

when

I

look

at

the

various

banks

and

who
their
POS
partners
are
in
the
current
system,
of
course,
there
are
a
number
of
players.
Some
of
them
may
still
be
on,
you
know,
distributing
old-school
POS
devices
versus
you
guys

who

obviously

have

a

software

stack

on

top,

a

lot

of

instruments,

a

lot

of

capabilities,

etc.

So

is

that

a

big

opportunity

here?

Switching enterprises out of old-school devices, which already show up in that RBI number into more modern

devices.

And

within

that,

how

do

you

do

that?

Given

these

are

bank

relationships

currently,

from

a

go-to-market

strategy?

Mr. Madhur Deora: Yeah, I think there's a very large opportunity on the card side still in the country. And obviously

there'll

be

developments

around,

you

know,

UPI

and

RuPay

cards

on

UPI

and

cards

as

a

form

factor.

So

there'll

be

industry

level

innovations

as

well.

So

I

don't

want

to

talk

too

far

ahead,

but

let's

say

over

the

next

two,

three,

four,

five

years,

we

do

think

that

there's

an

opportunity

for

more
card
acceptance.

However, we think that a larger part of that opportunity is probably in taking these card machines a bit deeper.

And
for
that,
you
need
to
have
the
payment
gateway
model
that
we
have.
We
need
to
have
a
fleet
on
the
street.
And
for
us,
it
ends

up

being

an

entire

spectrum,

right?

So

all

the

way

from,

you

know,

we

still

do

paper

QR

as

well,

although

that

is

becoming

smaller

and

smaller,

but

paper

QR,

Soundbox,

you

know,

Card

Soundbox,

and

then,

you

know,

Android

card

machines,

and

then

obviously

online

payment

gateway

and

everything

else.

So I think the larger opportunity is probably in terms of taking this deeper. I'm sure there are some large high

value

merchants

that

still

use,

you

know,

still

want

a

hardware

upgrade

or

something

of

that

nature,

which

is

part

of

the

reason

why

we

have

also

started

as

a

very

small

part

of

our

business,

partnering

with

banks

and

brands

on

what

we

call

this

POS

provider

model.

But

that

we

don't

think

is

as

attractive

as

a

model.

Mr. Vijay Shekhar Sharma: I like to give some range number for this POS provider, all because that our hardware,

like

you

said,

was

liked.

And

in

a

month,

we

should

do

significantly

less

than

10,000,

but

a

little

more

than

5,000.

Mr. Vijit Jain: Okay. Got it. Got it. Perfect. Thanks, Vijay. And my last question here, on the personal loan's

distribution

side

right

now,

good

to

see

that

there

was

a

decent,

you

know,

2

million

month

quarter-on-quarter

improvement

in

the

MTUs

on

the

customer

side.

From

a

personal

loan

distribution

recovery,

you

know,

how

dependent

from

here

on

is

that

going

to

be

on

whether

MTUs

go

back

to,

you

know,

somewhere

around

the

previous

levels?

Or,

you

know,

do

you

think

that

business

can

grow

even

on

this

existing

base?

Mr. Vijay Shekhar Sharma: I rather believe that it will grow only on the existing base, because it is better to

have

a

vintage

customer

whose

value

that

you

accrue

or

have

understanding

on

the

platform,

getting

incremental

customers

and

cross-selling

them.

And

that
too,
UPI
customers
are
very
low
value
customers,
etc.
We've
seen
it
in
the
past.
So,
we're
talking
about
our
current
MTU
being
way
more
than
enough
for
the
number.
I
see.

Mr. Madhur Deora: And I think that's exactly right, which is that, I think the big change in personal loan, I think,

is

going

to

be

actually

cycle-dependent,

right?

And

like

I

said,

anyone's

guess

on

when

that

would

be,

but

our

partners

tell

us

it's

maybe

two,

three,

four

quarters

away,

right?

And

ultimately,

it's

their

decision

when

they

want

to

lend

more.

I think, in the medium term, the fact that we are getting, we're not just getting MTU increase, we're getting

it

partly

because

retention

and

engagement

of

customers

is

higher.

So,

our

MTU

increase

is

not

just

because

we

are

adding

more

customers,
that
we
are
acquiring
more
customers.

You
can
see
our
marketing
cost
is
actually
one
of
the
lowest
it
has
been
in
a
long
time.

But
what's
driving
the
increase
is
retention

higher,
engagement
higher.
So,
in
the
medium
term,
we
do
think
we'll
have
more
customers
who
are
eligible.
But
yeah,
next
quarter,
whether
this
number
grows
to
7.5
Cr
or
7.8
Cr
or

7.9

Cr,

I

don't

think

we'll

have

any

immediate

impact

on

personal

business.

Mr. Vijit Jain: Got it. And just last question on, just switching to, sticking on the same thing. In general, you

know,

now

that

we've

seen,

and

you

guys

have

seen

a

cycle

in

the

industry

on

the

personal

loan

side,
is
there
any
key
fundamental
way
you
think
personal
loans
disbursed
online
may
change
when
it
comes
back
into
recovery?
Any
significant
big
changes
in
how
it
will
be
done
for
the

industry

in

general

that

you

would

highlight?

Mr. Vijay Shekhar Sharma: Oh, I would be able to say about how it will impact us in the future, how will we

behave,

I

don't

know

about

industry-wise.

I don't actually know many other things about the overall online industry distributing loans. I can definitely

say

that

I

would

personally

pursue

to

do

well

in

many

other

businesses

which

are

not

so

cyclic,

even

though

wealth

is

a

cyclic

business,

a

lot

of

trading,

but

there

is

an

opportunity

to

do

a

few

more

things.

Mr. Vijit Jain: Okay, great. Thank you. Mr. Vijay Shekhar Sharma: We are basically under-educated on financial services at large. Mr. Vijit Jain: Best of luck Vijay and the team for the future. And thank you for taking my questions.

Thank

you.

Moderator: Thanks, Vijit. We will take the last two questions of the day. The next question is from Mr.

Sumeet

Kariwala

from

Morgan

Stanley.

Sumeet,

you

may

please

unmute

your

line

and

ask

your

question.

Mr. Sumeet Kariwala: Hi, good evening, everyone. Thanks a lot for this opportunity. I had a question with

respect

to

the

non-UPI

GMV

that

has

been

obviously

coming

off

in

terms

of

contribution

to

overall

GMV.

Now,

if

the

RuPay

credit

card

business

is

picking

up,

there's

some

activity

on

the

EMI

business.

Should

we

expect

that

to

grow

f

aster?

Mr. Vijay Shekhar Sharma: Faster is the wrong word because of the very reason that there is still a finite number

of

people

who

have

RuPay

Credit

Card

and

that

number

is

not

very

large,
because
the
common
people
are
using
more
and
more
UPI.
So
it
will
grow.
Very
good.
But
faster
between
the
two
still
will
not
be
the
case.
Mr. Sumeet Kariwala: Thanks, Vijay. Just one more question on the EMI financing business. Can you just talk
about
the
product?
How

do

you

differentiate

as

compared

to

competition?

What

would

be

your

market

share,

key

brands

that

you

work

with?

Mr. Vijay Shekhar Sharma: So, EMI is a product where the trick is that merchant and consumer needs many

more

parties

for

subvention.

So

one

of

the

biggest

differentiation

in

our

product

versus
many
others
who
were
in
the
market
when
we
entered,
is
that
we
have
at
least
five
parties
that
can
subvention
the
cost
of
financing.
And
subvention
means
that
in
the
moment

of
truth,
the
loan
could
be
paid
by,
let's
say,
brand,
number
two,
retailer,
number
three,
the
consumer,
number
four,
any
other
entity
like
platform
like
us
can
subvention
further
or
even
the

bank.

So

we

are

talking

about

how

every

party

can

pay

the

subvention

cost

as

a

first

and

foremost

change

that

we

were

able

to

bring

in

the

market.

Second is that because we work with so many banks, we are able to give that small shop in a small town an

opportunity

to

give

card

offers.

You

know,

typically

you

would

see

these

card

offers

come

on

large

retailers

like

Vijay

Sales

or

Chroma

or

many

other

online

merchant

platforms.

Small

merchants

do

not

get

that.

So

we
even
added
card
offers,
which
was
second
differentiation
and
card
offers
and
for
card
plus
EMI,
both
offers
I'm
saying
here.

And third is because we work with brands with advertising also involved for them. So we were able to incentivize

brands
that
you
can
advertise
on
our
platform,
give

us
the
incentive
for
our
customer
or
our
machines
or
our
customer
spends
for
our
merchants
that
they
are
driving
your
product
sales.
So
three
big
differentiation.

First of all, products, like I said, more opportunities to get subvention or credit from. Second, more offers for

the
retailer
from
banks

and
financial
institutions.

And
third,
that
brand
has
an
advantage
because
we
have
a
consumer
app
where
we
are
able
to
cross
sell
or
give
incentive
to
the
brand
to
say,
I'll
give

you
this
advertising
in
lieu
if
you
give
my
merchant
something
more.
So
very,
very
differentiated.
Nobody
can
match
because
these
are
sitting
around
on
the
differentiation
of
we
have
a
consumer,
we

have

a

technology

and

we

have

a

bank

relationship

anyways.

Mr. Sumeet Kariwala: Thanks, Vijay. This is super helpful. Moderator: Thank you, Sumeet. The next question is from Mr. Prateek Poddar. Prateek, you may please unmute

your

line

and

ask

your

question.

Mr. Prateek Poddar: Yeah, thanks. Just two questions. One is when I see revenue from marketing services,

on

a

sequential

basis,

they

are

down,

but

your

MTUs

are

up.

How

should

I

think

about

this?

Given

that

you

talked

about

engagement,

retention,

etc.,

right?

Mr. Madhur Deora: Sorry, sorry to interrupt. Just to be clear, first of all, quarter on quarter, you always see

some

shifts.

In

this

line

of

business,

there

is

some

seasonality.

I'm

not

saying

this

quarter

was

specifically

because

of

that.

But

I

also

refer

to

the

comments

I

made

earlier,

which

is

that

on

app

experience,

over

the

last

two

quarters,

we

have

made

payments

far

more

prominent

and

non-payments

upsell

for

a
large
set
of
customers
far
less
prominent
because
payments
retention
on
the
consumer
side
is
something
that
we're
driving
as
a
priority.
And
that's
starting
to
show
in
MTUs.
So, the monetization of customers, especially new or light or medium engaged customers, is going to
come
later.
Of

course,

if

a

customer

is

a

very

heavy

user

and

doesn't

mind

seeing

a

few

ads

or

a

few

upsell

offers,

then

they

will

see

that.

So we're being far more selective and so that's why we're saying payments retention gives us long-term
upsell

opportunities

whereas

it's

not

about

what

this

quarter

of

marketing

services

are.

Mr Vijay Shekhar Sharma: And one last line on this, consumers are monetized when some advertiser, some

marketeer,

somebody

who

wants

to

reach

out

to

them.

So

these

two

things

will

lead

to

a

lag

anyway.

Mr. Prateek Poddar: And maybe just when I again sequentially when I see the merchant subscriptions and

the

new

devices

which

are

being

deployed,
the
number
is
lower
versus
what
we
did
last
quarter
despite
higher
cost
of
sales
in
terms
of
the
sales
network
etc
on
a
sequential
basis
again.
I
don't
know
whether
that's

the

right

way

to

look

at

it

but

just..

Mr. Madhur Deora: I see where the question is coming from. Again quarter and quarter will have some aberrations

but

we

also,

for

example,

did

more

device

pickups

than

we

had

done

in

the

previous

quarter

because

that

says

it's

a

dramatic

amount
of
capex.
So
the
opex
is
significantly
lower
than
the
capex
of
the
new
device.

Mr. Vijay Shekhar Sharma: And you get to see a net number. So we may have deployed higher devices at a
gross
level,
minus
the
devices
picked
up.
So
while
the
absolute
deployments
are
larger,
we

are

reporting

only

the

net.

Mr. Madhur Deora: And just to clarify that's a double whammy on the number that you're looking at because

there's

employees

going

and

picking

up

a

device.

So

a)

I'm

paying

the

cost

for

it

and

b)

I'm

actually

getting

a

negative

device

count.

Mr. Vijay Shekhar Sharma: But we'll continue to do it because we want more active merchants who are driving

credit

worthy

growth.

Mr. Prateek Poddar: Yeah I get it and last question Vijay is there a way to not or to optimize this refurbishment

cost

or

redeployment

cost.

You

talked

about

so

many

AI

platforms

etc.

Is

there

something

in

the

pipeline

which

can

significantly

give

you

far

better

efficiency?

Mr. Vijay Shekhar Sharma: Actually, if you notice we specially shown the capex chart so that we are telling

capex

as

rental

or

capex

as

payment

revenue.

That's

an

important

line

item

that

we

definitely

continuously

want

to

say.

And

there

I

know,

I

mean

we

are

becoming

far

more

conservative

in

identifying

it

as

a

how

many

number

of

years

we

are

going

to

see

it

active.

So if you know we charge the soundbox in two years and the EDC in three years. Now we wrote off a lot of

these

devices

which

were

more

than

12

months

old

and

we

didn't

see

transactions.

So

the

answer

is

that

we
are
becoming
far
more
conservative
on
accounting
and
additionally
here
we
are
thinking
of
creating
even
a
longer
term
because
longer
term
meaning
far
more
features
are
incrementally
coming.

Right now we're going through that smartphone early age. Do you remember that there was always a new
soundbox,

a
new
smartphone
that
was
coming.

I
do
see
personally
that
there
will
be
a
time
when
the
replacement
requirement
or
the
change
requirement
will
get
far
lesser
than
current.

Mr. Madhur Deora: So I think you just add a couple of things. So one thing that we have talked about in the
past
and

we're
doing
is
increase
some
of
the
features
on
the
soundbox
so
that
you
are
using
the
soundbox
not
just
for
payments
but
for
other
things
as
well.
So
and
this
will
be

a
journey
right
about
just
to
take
Vijay's
analogy,
the
first
smartphone
versus
today's
smartphone,
you
do
many
more
types
of
things
with
that
smartphone
right.
So
I'm
not
saying
it'd
be
exactly

as

powerful

but

I

think

that's

the

direction.

So

that

increases

retention

and

that

reduces

all

sorts

of

downstream

costs.

The second is that without giving away competitive secrets we do dramatically more refurbishments than

anybody

else

even

adjusted

for

relative

scale

because

we

manufactured

these

devices

in

India,

refurbishment

hubs

are

in

India

and

so

on

right.

Because

we

wanted

to

be

extremely

capital

efficient

here

because

that

eventually

goes

back

in

the

payback

period

math

for

the

merchant

right.

So we can price at a certain level but if we have all of this working really well, then we can be more profitable

at

the

same

subscription

revenue

than

our

competitors.

So

we

do

want

to

drive

down

the

cost

of

it,

drive

up

the

margin

of

it

by

being

super

efficient

but

of
course
there's
more
one
can
do
when
you're
running
a
business
at
this
kind
of
scale
then
there's
always
operating
efficiencies
that
you
can
drive
and
we
do
quite
a
lot
of

that.

Mr. Prateek Poddar: Okay and just one last clarification. Look if you had done DLG based disbursements the

contribution

margins

would

have

reduced

but

the

absolute

contribution

margin

wouldn't

have

changed

a

lot.

That's

a

fair

understanding?

Mr. Madhur Deora: If we had done DLG, if let's say a largest partner had done all DLG versus not, then our

revenue

would

be

slightly

higher

but

our

direct

cost

would

be

meaningfully

higher.

So

I'll

again

point

to

the

direct

cost

last

quarter

as

a

kind

of

ballpark

number.

And the reason for that is if you go back to what we had said in the September quarter then when you give

DLG

you

get

all

the

DLG

cost

up

front

but

then

you

have

higher

trail

revenue.

So

when

you

flip

it

around

and

you're

not

giving

DLG,

then

you

don't

have

the

cost

that

quarter

but

for

the

disbursement

that

you

did

in

this

quarter

you

have

slightly

less

revenue

over

the

next

five

six

quarters.

So you get the cost impact in this quarter whereas the revenue impact is distributed over time. Mr. Prateek Poddar: Fantastic. Thanks for this. Thank you. Moderator - Thank you Pratik. With that we come to an end of this call. A replay of this earnings call and the

transcript

will

be

made

available

on

the

company's

website

subsequently.

Thank

you

all

for

joining.

Y

ou

may

now

disconnect

your

lines.

Mr. Vijay Shekhar Sharma: Thank you so much everyone. Have a good day.

Call: Nov 2025

November 08, 2025

BSE Limited Department of Corporate Services Phiroze Jeejeebhoy Towers, Dalal Street, Fort, Mumbai - 400 001
Scrip Code: 543396 National Stock Exchange of India Limited The Listing Department Exchange Plaza, Bandra Kurla Complex, Mumbai - 400 051
Symbol: PAYTM

Sub.: Disclosure under Regulation 30 with Regulation 47 of the SEBI (Listing Obligations and Disclosure Requirements), 2015 - Transcript of the earnings conference call conducted on November 5, 2025

Dear Sir / Ma'am, Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements),

2015,

please

find

enclosed

the

transcript

of

the

earnings

conference

call,

conducted

on

November

05,

2025,

on

unaudited

standalone

and

consolidated

financial

results

of

the

Company

for

the

quarter

and

half

year

ended

September

30,

2025

This disclosure will also be hosted on the Company's website viz. <https://ir.paytm.com/>. Kindly take the same on record.

Thanking you, Yours Sincerely, For One 97 Communications Limited Sunil Kumar Bansal Company Secretary and Compliance Officer FCS 4810 Encl.: as Above

One

97

Communications

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Corporate

Office

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One

Skymark,

Tower-D,

Plot

No.

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Sector-98,

Noida-201304

T:

+91120

4770770

F:

+91120

4770771

CIN:

L72200DL2000PLC108985

Registered

Office

-

136,

First

Floor,

Devika

Tower,

Nehru

Place,

New

Delhi-110019

Paytm | Q2FY26 Earnings Call |

Call Date: Nov 05, 2025 | Time: 11:00 AM Indian Standard Time

D i s c l a i m e r : By reading this call transcript you agree to be bound as follows: This
earnings call with the management
of

One

97

Communications

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("Company")

is

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information

purposes

only

without

regards

to

specific

objectives,

financial

situations

or

needs

of

any

particular

person

and

is

not

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nothing

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construed

as

an

invitation,

offer,

solicitation,

recommendation

or

advertisement

in

respect

of

the

purchase

or
sale
of
any
securities
of
the
Company
or
any
affiliates
in
any
jurisdiction
or
as
an
inducement
to
enter
into
investment
activity
and
no
part
of
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shall
form
the
basis
of

or
be
relied
upon
in
connection
with
any
contract
or
commitment
or
investment
decision
whatsoever.

This
earnings
call
does
not
take
into
account,
nor
does
it
provide
any
tax,
legal
or
investment
advice

or
opinion
regarding
the
specific
investment
objectives
or
financial
situation
of
any
person.

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information
to
be
presented
and
discussed
on
this
earnings
call
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and
proprietary
to
the
Company
and/or
its

affiliates

and

no

part

of

it

or

its

subject

matter

be

used,

recorded,

reproduced,

copied,

distributed,

shared,

or

disseminated,

directly

or

indirectly,

to

any

other

person

or

published

in

whole

or

in

part

for

any

purpose,

in

any

manner

whatsoever. Statements or comments made on this earnings call may include certain statements that are, or may be deemed

to

be,

“forward-looking

statements”

and

relate

to

the

Company

and

its

financial

position,

business

strategy,

events

and

courses

of

action.

Forward-looking

statements

and

financial

projections

are
based
on
the
opinions
and
estimates
of
management
at
the
date
the
statements
are
made
and
are
subject
to
a
variety
of
risks
and
uncertainties
and
other
factors
that
could
cause
actual

events

or

results

to

differ

materially

from

those

anticipated

in

the

forward-looking

statements

and

financial

projections. We, or any of our affiliates, shareholders, directors, employees, or advisors, as such, make no representations

or

warranties,

express

or

implied,

as

to,

and

do

not

accept

any

responsibility

or

liability

with

respect

to,
the
fairness,
accuracy,
completeness
or
correctness
of
any
information
or
opinions
contained
herein
and
accept
no
liability
whatsoever
for
any
loss,
howsoever,
arising
from
any
use
or
reliance
on
the
information
presented

and
discussed
in
this
earnings
call.
The
information
contained
herein
is
subject
to
change
without
any
obligation
to
notify
any
person
of
such
revisions
or
change
and
past
performance
is
not
indicative
of

future

results. It is clarified that this earnings call, and the information discussed and presented herein, is not intended to

be

an

offer

for

subscription

or

sale

of

any

securities

or

inviting

offers

or

invitations

to

offer

or

solicitation

to

offer

from

the

public

(including

any

section

thereof)

or

any

class
of
investors.
No
rights
or
obligations
of
any
nature
are
created
or
shall
be
deemed

to
be
created
by
the
information
presented
and
discussed
on
this
earnings
call.
This
document
has
not

been
and
will
not
be
reviewed
or
approved
by
a
regulatory
authority
in
India
or
by
any
stock
exchange
in
India.
No
rights
or
obligations
of
any
nature
are
created
or
shall
be

deemed

to

be

created

by

the

contents

of

this

document.

----- Moderator: Thank you for joining all and welcome to Paytm's earnings call to
discuss our financial results
for

the

quarter

ending

September

2025.

We'll

start

our

call

with

a

Q&A

after

the

introduction

of

our

Management.

From

Paytm

management,

we

have

with

us

Mr.

Vijay

Shekhar

Sharma,

Founder

and

CEO,

Mr. Madhur Deora, President and Group CFO, and Mr. Anuj Mittal, SVP, Investor Relations. This time, we have

made

a

small

modification

to

our

call

format.

As

you

can

see,

our

senior

management

is

live

on

video.

We

hope

it
makes
the
conversation
a
bit
more
engaging
and
interactive.
A
few
standard
announcements
before
we
begin.
The
information
to
be
presented
and
discussed
here
should
not
be
recorded,
reproduced,
or
distributed
in

any
manner.
Some
statements
made
today
may
be
forward-looking
in
nature.
Actual
events
may
differ
materially
from
those
anticipated
in
such
forward-looking
statements.
Finally,
this
earnings
call
is
scheduled
for
45
minutes.
A

replay
of
this
earnings
call
and
transcript
will
be
made
available
on
the
company's
website
subsequently.
We
will
start
our
Q&A
now.
If
you
seek
to
ask
a
question,
kindly
utilize
the
raise

hand

feature

on

your

Zoom

dashboard.

Mr. Vijay Shekhar Sharma: Well, good morning, guys. And thank you so much for joining us. And me and Madhur

are

here

in

our

office.And

I

thought

that

we

aren't

able

to

see

many

of

you

in

different

meetings.

So

my

idea

was

that,

how

about

we
get
to
see
each
other
and
talk
about
it?
So
when
we
invite
you
to
do
the
Q&A,
you
can
switch
on
the
video,
or
you
don't
need
to
switch
on
the

video.

It's

just

a

choice.

But

as

many

of

you

would

like

to

do

it

continuously

forward,

we

will

continue

on

this

practice.

The

intention

was

that

we

get

to

at

least

meet

and
talk
about
it.
So
as
you
would
have
seen,
our
videos
that
played
in
the
beginning
of
this
call
are
all
about
AI.
And
that's
what
it
is.
You've
seen
the
numbers.

And
they're
very
clearly
focused
on
making
sure
that
AI
is
part
of
the
business
model
as
much
as
possible.

Up till now, we've been putting it into the cost side, efficiency side. While there will be some optimization,

but
not
material
enough,
what
we
are
trying
to
do
is

that
we
are
trying
to
build
it
on
the
product
side
and
feature
side.
And
then
after
that,
there
will
be
AI
products,
which
are
not
possible
beforehand.
For
example,
playing
on
this

address

book

that

you

spend

analysis

that

you

saw

couldn't

have

been

done

earlier,

because

you

can't

write

a

script

of

a

song

for

every

individual.

That

can

only

be

done

when

the

Gen
AI
model
is
there.
The
good
thing
I
want
to
tell
you
is
that
the
voice
model
is
made
by
us.
So
when
you
heard
this
song,
which
you
heard
the
lyrics,

this
is
made
by
us.
It
is
a
retrained
model,
open
source
model,
retrained
and
created
in-house
by
our
team.

Now, going forward, what I'm seeing is there is a tremendous amount of AI stack that we're going to see.
So

foundationally
inference
and
then
use
cases
will
show
up.
Obviously,
the
bottom

line
of
AI's
impact
is
that
we
are
able
to
save
costs
and
that
is
what
we're
seeing,
continuously
we'll
see.
But
I'm
super
excited
that
what
is
in
front
of
us
we

have
in
the
form
of
AI,
where
we
will
be
able
to
expand
in
the
infrastructure
and
the
use
cases
in
a
very
dramatic
different
way.
And
this
is
my
way
of
intending

to
tell
what
Paytm's
future
is
headed
towards.
This
will
be
the
future
that
we
will
expand
on.
What
we
have
built
in
financial
services
is
showing
that
we
can
make
it
replicable

globally.

So

product

and

technology

that

we

have

built

in

India,

they

can

easily

be

replicated

globally.

We've

written

a

note

around

it.

I'm

sure

some

of

you

have

a

question

and

Madhur

and
I
are
here
to
answer
those
questions.

But
at
the
same
point
of
time,
the
intention

is
to
tell
us
that
our
financial
services
business
stack

is
getting
clearer
and
clearer.

What we do, merchant payment, credit is a very strong stack. We're adding the, as you can see, money,

stock
brokerage
and
various
elements
around
it.
That
will
be
our
focus.
And
then
in
due
course,
hopefully,
we
are
able
to
make
insurance
also
as
a
part
of
this
stack.
So
this

stack
now
in
next
three
years,
we'll
start
to
show,
we'll
try
finding
which
countries
can
go
in
a
different
working
model.
So
that
will
be
the
future
investment
of
growth.
So
the

point

is

that

future

growth

of

Paytm

in

revenue

and

bottom

line

is

going

to

come

from

India's

expansion

of

financial

services,

replication

of

this

product

technology elsewhere and AI stack, right from infrastructure to the use-case. So it's phenomenal. I'm super

excited.

What

is

lying

in

front

of
us
and
what
we
have
come
back
from,
it
is
truly
acknowledgement
of
a
great
team
here.
And
I
truly
can't
say
thanks
to
every
one
of
us
internally
in
a
team

and
every
one
of
you
who
stayed
and
kept
the
support
live.
So
here
it
is,
question
answers.
We
can
start
and
let's
go
with
it.
Moderator: If you seek to ask a question, kindly utilize the raise hand feature on your Zoom dashboard.
Please
ensure
that
your
name
is
visible

as

your

name,

last

name

followed

by

your

company

name

for

us

to

be

able

to

identify

you.

We

will

unmute

your

line

and

take

questions

in

the

respective

sequence

of

the

raised

hands.

The

first

question

is

from

Mr.

Pranav

Kshatriya

from

Emkay

Global.

Mr. Vijay Shekhar Sharma: Hello Pranav. Moderator: You may please ask your question. Mr. Pranav Kshatriya: Morning. Thank you so much for the opportunity. The first question is on Postpaid. You

know,

that

has

come

back.

How

do

you

think,

you

know,

it

is

scaling

up?

Your

release

mentioned

that,

you
know,
you
started
with
a
select
set
of
customers.

I
would

I
like
to

know,

you
know,

if

you

are,

you

know,

looking

to

add

more

bank

partners

and,

you

know,

how's

the

initial

experience

with

it?

And,

you

know,

what

is

the

roadmap

for

it?

Because

the

more

I

read

about,

you

know,

roughly

5

crore

unique

credit

card

users

in

India,

in

a

longer

term,
if
you
had
to
take
that
number
to
15
crore,
we
will
possibly
need
something
like
a
Postpaid
or
a
RuPay
Credit
Card.
So
what
exactly
are
the
thoughts
on
that?
How

should

we

see

this

going

forward?

That's

my

first

question.

So

I'll

take

it

one

by

one.

Mr. Vijay Shekhar Sharma: All right. Thank you. Thank you Pranav. And obviously, as you understand, our intention

has

always

been

democratizing

financial

services,

democratizing

credit

cards

equal

to

Postpaid

because

of

the

mobile
UPI
expansion
that
we
see
in
the
country.
As
you
can
see,
we
were
able
to
partner
with
the
bank.
It
is
rather
limited
on
various
banks,
technology
and
other
business
model

limitations,

not

on

our

limitations.

We

are

open

and

continuing

to

work

with

as

many

possible

banks.

That

said,

the

current

bank

has

a

lot

of

runway

of

potential

disbursement.

So

we

will

continue

to,

while

we

continue

to

find

out

and

add

more

banks,

we

already

have

enough

customers,

scope

and

possibility

of

the

current

partner

itself.

So

the

numbers

have

been

very

encouraging.

I

just
want
to
tell
you
that
quickly
we
have
reached,
I
would
say,
the
average
span,
which
probably
took
a
year
and
a
half.
So
it's
very,
very

encouraging.

Mr. Pranav Kshatriya: Okay, interesting. Second question, there has been a good growth on net payment margin

on

a

sequential

basis.

Can

you

give

some

color

on

what

portion

of

the

growth

is

coming

from

the

subscription

side

versus

the

payment

processing

margin

side?

Because

if

I

just

assume

the

normal

ARPU,

then

possibly

your

payment

processing

margins

have

jumped

significantly

this

quarter.

And

what

exactly

is

driving

that?

Mr. Vijay Shekhar Sharma: Basically, we started to focus on credit instruments for the merchants and EMI,

as

you

can

guess,

because

the

festive

season

was

phenomenal.

I

mean,

we're

killing

in

EMI,

disbursement

at

the

counter.

And

we

obviously

have

partnered

with

as

many

EMI

issuers.

So

that

is

why

that

became

an

extra

chunk,

which

may

or

may

not

come

next

quarter.

But

at

the
same
time,
I
can
tell
you
that
more
EMI
products
that
we
do
is
making
us
more
net
payment
margin.
Obviously,
as
you
are
aware,
our
soundbox
and
devices
continue
to
grow.

And
I
would
rather
say
linearly
or
a
little
more
ramp
up
than
before.

But
I
would
point
out
to
the
EMI
capability
of
our
team
that
we're
able
to
do.

I
mean,

we're nearly half of the big guy in the town. And literally, imagine, I mean, without even much noise or conversation.

Mr. Madhur Deora: I think just to address other parts of your question, but I think your analysis is right, that

the

slightly

higher

jump

in

terms

of

percentages

come

from

improvement

in

payment

processing

margin.

And

as

Vijay

said,

overall,

the

mix

sort

of

improving

from

a

margin

standpoint,

if

you
will,
of
credit
instruments
and
so
on
helps.
And
a
iso
just
general
price
discipline,
both
in
the
industry
and
also
as
we
look
at
how
we
want
to
do
business.
So
that

discipline

has

also

helped.

Mr. Pranav Kshatriya: So this discipline you're talking about is on the subscription side, right? Mr. Madhur Deora: No, I meant on payment processing margin, pricing to merchants. Mr. Pranav Kshatriya: Okay, interesting. My last question would be on the indirect cost. Good to see further

cut

in

the

indirect

cost.

How

long

do

you

think

there

is

runway

or

we

should

expect

some

point

soon

this

cost

should

trend

up?

Mr. Madhur Deora: I think we have mentioned in the release that for the rest of the year, we expect this to

be

range
bound.
And
maybe
in
the
next
quarter
or
the
quarter
after
that,
give
a
sense
of
what
we
expect
for
the
following
year.
But
we
have
seen
very
significant
improvement
in
non-sales

people,
in
marketing
expenses,
even
though
we
are
investing
in
consumer
growth,
as
well
as
on
the
software
expenses
line.
We
do
think
that
in
that
other
indirect
expenses
line,
there
are
some

opportunities

to

reduce

cost.

So

we

may

invest

more

on

sales

people

while

we

save

money

on

other

indirect

expenses.

So

that

might

be

the

trend

over

the

next

couple

of

quarters.

And

then

we'll

have

a

better

sense

of

next

year

as

we

finish

our

planning

for

the

following

year.

Mr. Pranav Kshatriya: Okay, great. Thank you so much. I'll jump back in the queue and hand it over to the

other

Pranav.

Thanks.

Moderator: Thanks, Pranav. Mr. Vijay Shekhar Sharma: Good morning, Pranav. Thank you, good to see you on the video. How does it feel

like

being

on

a

video

call

instead

of

just

an

audio

call?

You're

mute.

If

you

can

unmute,

I

hope

we're

allowed

to

unmute.

Yeah.

Mr. Madhur Deora: Yeah. But we can't hear you. Still. Still can't hear you, Pranav. Sorry. Unmute again, please.

Mr. Vijay Shekhar Sharma: Can we get somebody else while Pranav can attempt to unmute? It may be sometime

the

audio

can

help.

Yeah,

now

we

can.

Perfect.

Mr. Pranav Gundlapalle: Sorry about that. Yeah, it's good to see you in the video. I think it's a definite improvement

over

a

pure

voice

call.

Mr. Pranav Gundlapalle: Yeah. Anyway, firstly, congrats on a good set of numbers. Two questions from

me.

First

is

on

the

marketing

revenues.

Can

you

just

share

what's

the

breakup

looking

like

today?

And

if

there's

any

particular

line

within

that

that's

driving

the

slowdown?

And

where

do

you

think

is

a

floor

for

this

line?

That's

one.

The

second

is,

again,

on

the

BNPL,

coming

back

to

the

BNPL

question.

One,

what's

the unit economics looking like versus the fantastic product you had earlier? And also, do you have the same

level

of

flexibility

on

pricing

as

what

you

had
with
the
original
product
with
this
new
avatar
of

BNPL?

Mr. Vijay Shekhar Sharma: Pranav, our flexibility or our role remained various service charges and fees, which

were
there.

And
the
rest,
everything
else
belongs
to
the
bank
or
the
book
owner,
any
which
way.

And
that
flexibility

stays
with
us.
So
there
is
no
one
less
flexibility
over
another.
Rather,
because
it
is
running
on
UPI
over
credit
card,
it
starts
to
get
acquired
in
more
places,
which
gives
us

more
revenue
margin
beyond
just
acquiring.
So
it
is
net
positive
because
the
fees
and
charges
are
the
same
or
more
possible
variables.
At
the
same
time,
we
have
more
acquiring
revenue
beyond

this.

Mr. Madhur Deora: And just to add to that, on overall unit economics, we expect this to be within 20 bps,

give

or

take

of

what

we

had

earlier.

Obviously,

part

of

the

input

there

is

credit

quality.

And

that

has

been

very,

very,

very

early

signs,

but

that

is

looking

very

good.

So

that's

on

BNPL,

or

we

call

it

Paytm

Postpaid.

So

we

don't

say

later,

we

say

pay

next

month.

Marketing

services

revenue,

the

largest

components

are

advertising

and

travel.

And

to

your
question
of,
on
travel,
there's
been
some
industry
headwind
on
at
least
on
a
QoQ
basis.
We
are
seeing
market
share
growth
there.
Overall,
we
have
put
in
writing
that
we
think

that

we

are

at

bottom

or

near

bottom,

and

we

should

expect

this

to

grow.

We

have

also

sort

of

given

the

context

that

we

are

putting

less

upsell

properties

on

Paytm

app.

And
if
you
had
seen,
I
should
call
out
that
the
app
is
getting
great
reviews.
It
is
simplified
to
basically
two
folds,
and
it's
getting
great
reviews
for
its
simplicity,
its
focus

on

payments,

and

also

being

super

thoughtful

about

where

the

upsell

properties

are.

But

I

believe

that

the

simplification

journey

is

more

or

less

done.

So

now

we

shouldn't

have

sort

of

less

upsell

properties

going

forward

compared

to

where

we

are

now.

Mr. Pranav Gundlapalle: Understood. So basically, if you get the MTUs up, the monetization is kind of, the

rework

of

that

is

done.

So

it

will

translate

into

a

direct

revenue.

Mr. Vijay Shekhar Sharma: Exactly, MTUs up and targeting better, right? We don't want to show everything

to

everyone,

clearly.

Mr. Pranav Gundlapalle: Understood. Just one follow-up on the pay later, pay for next month. Now, the flexibility

I

was

talking

about

was

in

the

Postpaid

product,

you

had

flexibility

to

charge

0,

1,

2,

or

3%

convenience

fee

to

consumers,

depending

on

your

risk

assessment.

Does

that

still

remain

in

the

new

product?

Mr. Vijay Shekhar Sharma: We basically do not have any option for paying later. It is a charge card equivalent.

It
is
not
that
you
have
to
extend
it.
So,
incidentally,
Pranav,
there
are
two
kinds
of
Buy
Now
Pay
Later.
One
is
where
you
have
an
obligation
to
pay
at
the
month

end.

Another

is

where

you

have

this

classic

Klarna

model

of

three,

six,

12

months,

or

any

other

number

that

you

want.

We

do

not

rotate.

Why

we

do

not

rotate

is

because

we

want

to

have

it

as

a

payment

product,

not

as

a

credit

product.

The

idea

is

that

it

leverages

our

payment

capabilities

and

expands

on

that

instead

of

trying

to

leverage

it

on

a

credit

book

ownership

basis.

It

does

have

a

credit

charge.

It

does

have

a

credit

cost

involved

into

it,

but

it

is

not

an

EMI

product.

So,

it

does

not

compete

with
the
equivalent
of
EMI
for
iPhone.
It
rather
is
a
consumption
credit.
So,
what
we
target
are
people
who
need
up
to
Rs
50,000
-
Rs
60,000
rupees
in
a
month
to

match
the
expenditure,
and
you
are
expected
to
pay
at
the
month
end.
So,
this
rotates
very
small
fee,
a
few
bps,
on
a
12-time
basis,
making
it
a
retu
rn,
instead
of

trying

to

have

a

larger

interest

cost.

So,

it

is

a

fee-based

product,

not

an

interest-based

product.

So,

there

is

an

element

of

NIM

into

it,

but

it

is

not

loan.

If

somebody

wants

to

take

a

loan,

that's

a

separate

product

altogether,

and

EMI

is

a

separate product subsequent to this. If we want to build, we can build. This creates a product differentiation

in

the

market,

creates

differentiation,

as

you

know,

on

the

counter

there

are

too

many

people

who

are

offering

EMIs.

It

does

not

clutter

and

cloud

that.

It

rather

is

an

everyday

where

you

cannot

spend

otherwise.

So,

credit

cards

ended

up

becoming

an

everyday

spend

plus

EMI

product.

Can

this

become

a

plus

EMI

product?

Voila,

you

know

it.

Mr. Pranav Gundlapalle: Understood. Vijay, my question was more just on, I understand there's no interest

here,

there's

no

revolvers,

but

I

believe

there

is

a

fee

that's

charged,

convenience

fee

that's

charged.

Just

wondering

if

you

have,

you

can

say

a

charge

0%

for

someone,

1%

or

2%

for

someone.

It

is

like

that.

Mr. Vijay Shekhar Sharma: So, it is a convenience fee from the spend side, and people like you and me who

have

a

high

credit

score,

et

cetera,

may

get

0%.

So,

people

like

us,

who

do

not

have

a

credit

obligation

to

take,

but

see

it

as

a

convenience,

and

do

not

have

normal

number

of

transactions

that

go

to

the

bank

account,

availability

of

bank

account,

et

cetera,

et
cetera,
systems,
they
can
simply
just
use
it,
and
we
earn
merchant
side
revenue,
and
that's
it.
So,
it
does
have
a
component
of
zero
fee
to
the
consumer,
and
there
is

no

subscription

in

any

which

ways.

Mr. Pranav Gundlapalle: Perfect. That was my question. Thanks, Vijay. Thanks, that's very helpful. Moderator: Thank you. That was Mr. Pranav Gundlapalle from Bernstein. The next question is from Sachin

Dixit

from

JM

Financial.

Sachin,

you

may

unmute

your

line,

and

please

ask

your

question.

Mr. Sachin Dixit: Hi, Vijay and Madhur. Thanks for the opportunity. My first question was on the working capital

side.

So,

generally

when

we

see

in,

let's

say

fiscal
year
25
or
in
the
previous
half,
there
was
roughly
a
Rs
120
Crs
dip
from
operating
capital,
operating
cash
flow
before
working
capital
to
after
working
capital.
This
quarter,
that
number

has

been

almost

Rs

550

crore.

I

understand

there

might

be

that

Rs

190

crore

of

write-off

also

parked

there,

but

still

it

has

almost

tripled.

Can

you

explain

what

is

driving

the

sharp

dip

in

working

capital

conversion?

Sorry,

operating

cash

flow

conversion.

Mr. Vijay Shekhar Sharma: On the specific number, I'll come back to you, but I think we should be a little bit

careful

at

looking

at

our

working

capital

on

this

basis,

because

our

working

capital

closure

for

the

quarter

actually

depends

largely

on

whether

it's

a

weekend

or

a

weekday

or

any

other

kind

of

holiday,

because

we

settle

to

our

merchants

every

day.

And

in

certain

instruments,

which

is

not

the

vast

majority

of

our
business,
but
in
certain
instruments,
for
example,
credit
cards,
we
get
money
on
T
plus
one
working
day
basis.
So
we
do
have
fluctuations
in
working
capital
on
a
week
by
week

basis,

rather

than

quarter

on

quarter

basis.

The

specific

bridge

that

you

mentioned,

we

can

explain

that

to

you

offline,

if

you

don't

mind,

Sachin.

Mr. Sachin Dixit: Sure, sure. Thank you for that. Secondly, on the payment processing margin improvement,

Pranav

obviously

asked

the

question,

how

sustainable

do

you

believe

that

improvement

is?

Because

I

understand

there

might

be

some

EMI

component

in

there,

which

might

have

been

driven

by

the

festive

sales,

which

were

preponed

this

quarter.

So

is

it

sustainable

at

these

levels

or

we

should

see

it

fluctuate

and

remain

in

the

three

to

four

bps

range?

Mr. Madhur Deora: As an overall trend, we think this is sustainable. The credit card mix and EMI mix on a

quarter

on

quarter

basis

could

vary,

but

as

an

overall

trend

that

we're
seeing
adjusted
for
seasonality
and
those
sorts
of
things,
we
are
seeing
improvement
relatively
consistently
over
the
last
few
quarters.

So obviously what we look at is instrument-wise and merchant type-wise, are we seeing improvements and

that

is

the

case.

Mr. Vijay Shekhar Sharma: Sachin, another thing that we now have is the privilege of onboarding online merchants.

Online

merchants

eventually

are

high

MDR

plus
high
net
margin.

So
that
will
also
start
to
add
to
the
bottom
line.

There
is
a
little
bit
of
a
number
of
customers
whom
we
have
started
onboarding
since
last
quarter.

And

I

think

this

is

not

just

sustainable.

Internally,

just

like

you

saw

on

the

cost

side,

we

will

see

how

we

can

continue

better.

Mr. Sachin Dixit: Understood Vijay, so it is quite structural in that case. Just one last question Vijay, on the

AI

piece

that

you

mentioned

clearly

shows

that
you
are
quite
focused
as
a
company
on
putting
AI
into
multiple
things.
All
your
sort
of
business
segment
notes
also
mention
AI
in
some
form
or
the
other.
So
I
just

wanted

to

understand,

is

AI

going

to

be

a

cost

driver

for

you?

Like

you

will

save

on

cost

or

you

also

see

separate

monetization?

For

example,

this

AI

soundbox,

are

you

charging

more

for

it?

So

in

that

sense,

whether

it's

just

cost

or

also

a

big

revenue

driver

for

you

going

ahead?

Mr. Vijay Shekhar Sharma: Big revenue driver. I think a cost cut is anyways which we were doing and AI just

added

acceleration

or

a

deeper

opportunity

to

optimize.

AI

is

a

revenue

line

item.

AI

brings

newer

service,

newer

business,

phenomenally

more

number

of

things

that

we

can

do.

And

the

good

thing

I

want

to

share

here

is

that

you

will

be

able

to
see
that
we
have
a
large
number
of
merchants.
Well,
you
look
at
small
merchants,
which
is
let's
say
a
store,
shop
where
we
are
putting
a
soundbox
or
a
large
merchant,

let's

say

you

can

talk

about

large

online

e-commerce

companies.

Something

or

other,

we

will

have

for

each

of

them

to

acquire.

So our merchant base will get re-cross-sell for AI-led infrastructure, product agents, et cetera, et cetera.
And

right

now

we

are

running

some

pilots,

et

cetera,

on

us

as

internal

customers.

And

I'm

very

excited

that

we

do

believe

that

one

year

forward,

they

should

be

in

a

commerce

cloud

line

item.

The

cloud

element

could

be

the

AI

element
that
will
start
to
go
back
once
again.
So
it
is
a
reven
ue
line
item.
I
am
personally
completely
about
revenue
line
items
and
creating
products
and
services
which
otherwise
couldn't
have

been
created.
So
whether
it
is
a
small
shop,
it
is
always
challenging
to
do
it
for
a
small
guy,
as
you
know,
whether
they'll
pay
or
not.
And
it
is
easier
to

do

it

for

larger

guys

because

they

have

an

understanding

of

the

system.

And

I

think

we

have

a

product

which

stacks

across

small

merchants,

medium-sized

merchants,

and

large-sized

merchants.

Mr. Madhur Deora: So, and I should just maybe add something there. From a financial planning standpoint,

translating

what

Vijay
just
mentioned,
the
starting
point
is
that
AI
gives
us
better
efficiencies
and
better
insights,
in
addition
to
new
revenue
generating
products,
of
course,
that
Vijay
talked
about.
So
now
how
do

those

additional

high

quality

insights

convert

into

better

cost

or

better

revenue?

That's

the

question.

So

for

example,

if

we

are

able

to

use

better

insights

to

reduce

the

credit

costs

for

our

partners,
then
that
translates
into
higher
collection
revenue.

And
if
we
are
able
to
get
much
more
efficient,
then
of
course,
we'll
do
a
lot
more
collection
effort
because
the
price
of
doing

a
collection
effort
has
gone
down.
So
it
does
translate.
So
the
starting
point
is
actually
not
whether
it's
gonna
give
me
more
revenue
or
give
me
more
cost,
but
how
do
you

use
those
insights
and
efficiencies
to
drive
your
businesses
better.

And
then
depending
on
the
specific
case,

it
will
give
you
more
revenue

or
less
cost
even

in
existing

products.

Mr. Sachin Dixit: Fair enough. Thank you so much and all the best.

Moderator: Thanks, Sachin. The next question is from Mr. Rahul Jain from Dolat Capital. Rahul, you may please

ask

your

question.

Mr Rahul Jain: Yeah, Hi. Hope I'm audible. Yes. Yeah, hi. Firstly, Vijay, congrats on achieving peak revenue per

MTU

that

you

used

to

do

in

CY23.

And

this

has

happened

despite

the

consumer

side

of

it

not

playing

out.

So

basically

the

merchant

side

of

LTV

has

improved

meaningfully.

The

MTU

count

is

down

and

that's

why

the

revenue

is

not

at

its

peak.

So

how

you

play

on

the

consumer

side

of

it

now

because

the

merchant

side

of

it

is
kind
of
proven.
We
have
an
advantage
and
we've
been
consistently
innovating
on
that
side.
On
the
consumer
side,
what
I
see
as
a
new
thing
is
probably
the
gold
where
I

have

seen

a

significant

number

of

unique

users.

If

I

have

to

see

penetration,

it

looks

like

a

pretty

high

number

to

me.

Even

if

I

have

to

assume

a

lifetime

customer

that

we
might
have,
the
number
what
I
saw
was
up
to
15
million
on
the
app,
I
think.
And
then
there
is
a
MTF,
there
is
a
postpaid.
So
anything
that
could
create

a

thought

process

on

the

consumer

MTU

increase

and

also

consumer

ARPU

increase.

Mr. Vijay Shekhar Sharma: Thank you, Rahul. I think it is clear that when we got an opportunity to work only

on

merchant,

we

just

did

it

and

you

were

seeing

the

post-facto

effect

of

it.

And

I

still

want

to
add
that
there
is
a
huge
amount
of
bottom
line
or
revenue
generation
possibilities
on
the
merchant.
Like
I
quoted

AI
as
one
of
the
line
items
there.
When
it
comes
to

consumers,

I

think

consumer

AI

is

only

the

features

which

can

be

commercially

possible

as

an

independent

product

versus

adding

the

product

in

wealth

or

let's

say

credit

disbursement,

et

cetera.

Those

kinds

of
elements
will
show
up.
We're
clear
about
it
that
we
don't
have
large
MTU,
very
large
MTU.
We
were
lucky
to
have
a
large
MTU.
Over
the
period,
the
customers
who
stayed

with
us,
I
would
say
they
are
higher
quality
customers.
They
were
able
to
see
the
resilience
and
appreciate
and
they
have
stayed
on
the
platform
longer
term.
So
I
would
say
monetizing

those

customers

is

a

primary

focus.

And the best love that we could give them was no annoyance of advertising, et cetera. So cleaning up the

ad

so

that

they

feel

much

more

comfortable

and

cared.

We

launched

a

loyalty

program

with

gold

coins,

gold

points

rather,

which

can

convert

into

gold,

which

can

become

gold

coins

or

whatsoever.

So

the

intention

is

to

make

the

product

so

simple

and

so

lovingly

acknowledge

the

customers

who've

stayed

with

us

that

we

want

them

to

become

the
brand
investor
to
attract
more
customers.

You
will
see
UPI
market
share
when
NPCI
announces
this
month.

We
do
believe
that
there
should
be
an
impact
on
it.

Surprisingly,
our
marketing
spends

have
not
grown,
but
our
UPI
market
share
should
have
grown.
Let's
see
what
results
come
out.

Now, what I'm trying to say is that we rather want to make the most of the customers that we have and that

is
also
the
monetizable
customers.

I
mean,
I
was
talking
to
Deepinder
also
the

same

thing

and

he

talked

about

the

same

thing.

The

number

of

customers

that

India

will

have

are

not

so

many,

which

will

be

monetizable,

but

the

customers

that

we

all

are

lucky

to
have
because
we
started
tens
of
years
back
are
the
customers
who
will
drive
the
maximum
monetization.

So
we
have
started
to
look
at
maximum
monetization
by
removing
the
advertising,
et
cetera.

And
there
is
so
much
personalization
that
we
are
showing
up
there.
Gold
came
out
as
the
solution
for
people
who
are
not
maturing
towards
mutual
funds
or
stock
trading.
So
as
you

can
very
well
understand
the
tonality,
we've
been
talking
since
the
last
couple
of
quarters
that
a
credit
disbursement
is
one
line
item;
wealth
is
nothing
but
a
gold,
mutual
fund,
stock
trading,

F&O,
all
these
buckets.

Now
these
buckets

are
the
next
line
item

for
us.

So
it
works
out
really
good
for
us.

I do believe, I mean, I can't probably give the number of what we did on Diwali month because we've not quoted

it.

But
at
the
same

time,

I
can
say
the

number

is

so

phenomenal

that

we

were

like,

oh

wow,

we

have a very big customer base who loves this property and product. And we are taking the feedback and continuously

expanding

on

that.

Let

me

give

a

hint.

If

we

were

talking

about

being

the

target

of

the

March

month,

we
not
only
crossed
that,
but
many
times
over
in
the
Diwali
month.
So
that
kind
of
good
performance
in
the
gold.
The
intention
is
that
credit
and
wealth
is
a
bucket
where

the
gold,
mutual
fund
dis
tribution
or
stock
trading
and
F&O,
MTF,
all
this
bucket
comes.

This
is
exactly
the
monetization
plan
that
we
will
do,
my

friend.

Mr. Madhur Deora: Can I just add one thing, another framework to maybe suggest? So I always look at it on

a
CAC
to
LTV
basis.

So
the
trends
are
that
our
CAC
is
down.
You
can
see
that
in
marketing
costs,
you
can
see
that
in
cashback.
Retention
is
up,
which
is
probably
not
a
surprise
given
the

product

improvements

that

the

team

has

made.

And

we're

also

getting

some

benefit

from

these

high

repeat

use-cases,

right?

Like

savings

is

a

good

high

repeat

use-case,

especially

if

people

are

doing

monthly,

sorry,
daily,
weekly
SIPs.
So
our
retention
is
up
overall,
and
especially
for
the
users
who
adopt
these
use
cases.
So
we
are
seeing
the
CAC
to
LTV
improvement.

And I'm quite optimistic going forward because we are talking today when we still feel like we're at the bottom

of
the

credit
cycle,
which
has
certainly
impacted
our
personal
loan
and
credit
card
distribution
businesses.
So
those
things,
we
have
reasons
to
think
that,
hey,
those
things
should
be
better
in
a
more
normalized

situation.

And

we

are

seeing

good

growth

in

areas,

for

example,

wealth.

And

we

do

acknowledge

that

in

certain

areas

like

advertising

travel,

we

should

be

doing

more.

So

the

CAC

to

LTV

journey

is

very

clear.

We

have

seen

improvements

in

that

metric,

and

we'll

continue

to

see

improvements

in

that.

Mr Rahul Jain: Yeah, just if I can ask one more. First of all, I should say that the gold coin was a very good hook

and

very

timely,

given

the

attraction

point.

Now

coming

to

my

question,

Madhur,

it's

commendable

the

way

the

margin

is

improving.

One

of

the

aspects

that

you

highlight

was

that

there

was

an

improvement

in

the

payment

processing

margin.

So

is

it

more

like

we

are

able

to

charge

more

because

we

could

be

doing

a

VAS

kind

of

a

thing

like

EMI,

which

is

driving

better

take

rate

or

lower

processing

costs,

whatever.

And

since

Vijay

also

said

that

we

are

seeing

a

good

traction

in

Diwali

month,

so

is

there

also

a

near-term

margin

aspiration

that

we

are

aiming

at?

Because

we

have

a

medium-term

outlook,

but

something

which

we

could

look

at

from

a

12-month

forward

perspective.

Mr. Madhur Deora: We have significant improvements in how we think about pricing and merchant-level profitability.

So

that

helps

a

bunch

to

make

sure

that

we

are

doing

this

very

closely.

And

that

framework

keeps

improving.

I

think,

generally

speaking,

we

are

flexible

in

terms

of

how

we

get

the

right

margin

from

a

merchant,

right?

So

an

enterprise

merchant

may

wanna

pay

us

a

little

bit

higher

margin

on

credit

card,

or

may

wanna

give

us

more

EMI

volume,

or

may

be

okay

to

pay

us

a

technology

fee

or

something

like

that.

So

we're

generally

quite

flexible

and

that's

really

for

the

team.

And

that's
an
advantage,
that
we
are
flexible
like
that.

Our teams can be very responsive to where the merchant preference is. At the end of the day, the teams and

the
camps
and
the
sales
folks
figure
out
a
way
to
make
sure
the
merchant
is
profitable.

And
that's
really
the
very
healthy

way
of
running
the
business.
On
payment
processing
margins,
like
I
mentioned
earlier,
we
saw
sort
of
a
bottoming
out
from
a
mix
standpoint.
You
know,
a
few,
about
two,
three
years
ago,

we

used

to

talk

about,

hey,

UPI

is

growing

faster

than

non-UPI,

et

cetera,

et

cetera.

I

think

a

lot

of

that

is

behind

us.

And

now

what

we're

seeing

is

slight

improvements

in
mix
and
slight
improvements
in
margin
by
instrument.

And
overall,
that
just
keeps
giving
us
some
goodness
on
a
quarter
on
quarter
basis.

Mr. Vijay Shekhar Sharma: I also want to tell that, thanks to the online merchant onboarding, there is a lot

of
chatter
about
offline,
on
counter,
EMI,
but

I'm
sure
you
understand
that
smartphone
and
many
other
gadgets
are
now
sold
majority
or
significant,
large
number
to
online,
and
that
is
the
percentage
that
is
continuously
growing.
So
we
see
that

there
will
be
even
higher
opportunities
for
us
now
that
we
have
online
merchant
onboarding
and
additional
products
that
we
are
launching
in
online.
So
you
can
call
it
VAS,
you
can
call

it
more
margin
products
that
we
are
able
to
launch
for
online
and
offline
both.

And now formally, we can do omni-channel. I mean, you can imagine that a single company will be able to

see
their
single
dashboard,
et
cetera,
et
cetera.

So
we
are
very
happy
about
it.

The

regulator

has

also

made

both

licenses

and

one

license

together.

So

it's

phenomenally

good

for

payments.

I

mean,

there

is

no

other

company

that

plays

omni-channel

and

has

more

features

than

us

in

the

market.

There

are

many

individual

people,

somebody

does

QR,

somebody

does

copy

the

soundbox

and

somebody

does

EDC

and

somebody

does

online.

Mr Rahul Jain: Very enough. Thank you. Thank you so much for all the answers. Moderator: Thanks Rahul. The next question is from Mr. Piran Engineer from CLSA. You may please ask your

question.

Mr Piran Engineer: Yeah, hi team. Congrats on the quarter. Sorry, I can't be on the video. Mr. Vijay Shekhar Sharma: No problem. Good to see you. Good morning. Mr Piran Engineer: Yeah, good morning. Mr. Vijay Shekhar Sharma: I know it may surprise everybody by showing up, but I can't wait to answer. Mr Piran Engineer: No, no. So I just had a couple of clarifications first on previous questions. Now in this post-paid,

you

said

you

make

20

bps

come

margin.

Mr. Madhur Deora: No, sorry, I did not say that. I said it would be within 20 bps give or take, which it could

be

lower

or

higher

compared

to

what

we

made

earlier.

That

is

our

early

estimate.

The

question

earlier

was,

will

it

be

similar

to

what

you

used

to

make

earlier?

I

said,

I

expect

that

to

be

within

20

bps

or

what

we

used

to

make

earlier.

Mr Piran Engineer: Yeah, understood. So earlier you all used to make 70 - 80 bps, right? If I'm broadly correct.

Mr. Vijay Shekhar Sharma: Piran, net answer is that we will have more avenues of adding revenue line items

now

because

it

is

a

bank

and

it

is

on

UPI.

And

we

will
have
more
opportunities
to
onwarding
the
new
merchants.

So
it's
a
rather
bigger
revenue
and
profit
time
than
before.

That
is
what
we

expect.

Mr Piran Engineer: Okay, okay. And in this, how much MDR does the merchant pay? Mr. Vijay Shekhar Sharma: It's a UPI MDR. UPI has a concept of interchange, which means that the issuer

side

will

get

something

lik

e

1.1

-

1.2%,

depending

on

the

category

of

merchants.

Everything

around it comes out about merchants paying 1%. I mean, there is 1.3 - 1.4% category also, and 0.9% also because

some

categories

have

less

or

more.

And

this

is

decided

by

NPCI.

At the same point of time now, acquiring side companies can add any margin on top of it and sell it. So we

can

sell

to

the

merchant

ahead

of

this

margin.

So
it
is
for
an
acquiring
business,
it
is
COGS
and
then
you
add
a
margin.

So
can
we
sell
it
for
1.5
or
1.9%,
depending
on
who
and
what
commercial
is
the

choice
of
acquiring
business,
which
is
also
approved
into
our
acquiring
side
of
business.
Interchange,
1%
that
goes
back
is
what
the
revenue
of
the
issuing
side
is,
along
with
the
convenience
fees,

et

cetera,

that

the

issuer

can

charge.

Mr Piran Engineer: Got it. So it's like a credit card where the issuer is also earning that convenience fee of

1,

2,

3%.

Mr. Madhur Deora: It's called interchange. Mr. Vijay Shekhar Sharma: Interchange plus various fees is issuer side. Mr.

Madhur Deora: That is correct. Mr Piran Engineer: Okay, got it, got it. Okay, that's pretty clear. Secondly, on this EMI spends, I know a lot of

people

have

asked

about

the

payment

margin.

So

when

you

say

EMI

spends,

you

mean

like

the

subvention

model

that

Bajaj

Finance

does,

or

do

you

just

simply

mean

credit

card

swipes

at

your

online

merchants

or

post

machines

that

are

deployed

offline?

Mr. Vijay Shekhar Sharma: So Piran, our goal is to aggregate financial institutions, which could be credit card

issuers

or

NBFCs

or

banks

issuing

EMI.

So

these

are
the
financial
institutions.

Then
the
second
part
is
brands.

You
can
call
the
classic
brands,
LG,
Samsung,
Apple,
et
cetera,
these
people,
and
then
the
merchant
side.
So
this
is
a
triangulated

business

ecosystem

where

these

two

players

combined,

we

want

to

reach

out

to

the

reach

of

the

market.

And

the

reach

of

the

market

is

unparalleled

by

Paytm.

Our ability to integrate with brands is incredible and our aggregation has already been successful. We are now

like,

we

are

cornering,

actually.

We

are

taking

away

the

market

share,

chipping

off

the

market

share

from

the

erstwhile

existing

players.

And

more

or

less

that

in

online,

it

is

even

harder

work,

that

easier

work

for

us,

and

we

will

be

able

to

capture

it

because

this

brand

subventioning

is

the

USP.

So three kinds of EMI work in the market. Straightforward, customer base. Number two, brand subventions.

Number

three,

financial

institutions

also

subventions.

And

in

one

product,

like

Apple,

by

the

way,
all
three
could
be
subventioning.

So
these
three,
all
products

exist
with

us
and

that
is

why

we

are

saying

that

this

is

a

phenomenal

good

product.

We

did

it

last

quarter.

I
mean,
we've
been
doing
it
and
we
started
to
focus
on
festivities
once
our
online
onboarding
started.

So
we've
been
able
to
do
good.

In
fact,
we
will
be
able
to
do

even

more

further

product

enhancements

on

this

is

what

we

are

learning.

Mr Piran Engineer: Okay, okay, understood. And just moving on to a couple of questions that may interest

you

on

margin

trade

finance,

this

is

done

on

your

balance

sheet

or

with

a

partner

and

how

big

is

that

book?

Mr. Madhur Deora: The

margin trade finance facility is being done by Paytm Money, which is a regulated equity

broker,

100%

subsidiary

of

ours.

And

they

do

that

on

an

equity

broker

balance

sheet,

which

is

to

say effectively on a consolidated basis, you can think of it as our balance sheet, but technically it's Paytm Money

standalone

balance

sheet.

Mr Piran Engineer: Understood, and how big is that book today? Mr. Madhur Deora: We haven't shared that number. We believe at this point it's commercially sensitive, but

it

is

growing

very

nicely.

Mr Piran Engineer: Got it, got it. And just lastly on, you know, adding headcount to your distribution,

your
sales
employees
on
the
ground,
sales
employees.

Now,
typically
we
were
adding
maybe
one
or
2000
a
quarter.

This
quarter
it's
been
5000.

What's
the
sort
of
thought
process
behind,
you
know,

hiring

so

many?

Mr. Vijay Shekhar Sharma: You want to dominate in the merchant ecosystem. I will acquire a large number

of

enterprise

onboarding

now

offline

or

online.

And

we

will

be

even

more

aggressive

in

offline

small

merchants.

I

mean,

5000,

I

wish

we

could

have

done

like

2x

of

this.

We

are

making

money.

We

are

investing

that

money

back.

I

mean,

we

want

to

dominate

the

merchant

ecosystem

like

nobody's

business.

Mr Piran Engineer: But Vijay, we already have almost 5 crore merchants. Mr. Vijay Shekhar Sharma: No, no, no. Online merchant enterprise wise, we have huge numbers, but there

is

a

dramatically

larger

opportunity

because

maybe

you

know

it

or

not,

since

2022

we

were

not

allowed

to

onboard

any

merchant

whatsoever

online.

And

then

omni-channel,

et

cetera,

products

didn't

show

up

in

the

market.

I

like

now,

right

now

our
product
market
fit
is
phenomenal.

I
mean,
I'm
going
to
say
that.
And
then
cross-sell
products
that
we
have
discovered
is,
I
mean,
where
do
you
want
to
even
think
of
anything

else?

Mr. Madhur Deora: Okay, so I need to clarify that the merchant payment for the middle long tail segment

and

merchant

lending

distribution

opportunity,

as

you

can

tell,

you've

tracked

this

closely

for

several

years,

that

is

working

really,

really

well.

So

you

obviously

want

to

continue

to

invest

in

making

sure

that

you

continue

with

the

largest

merchant

base,

highly

engaged,

well-serviced,

and

then

do

lending

on

top

of

it.

Mr Piran Engineer: Okay, okay, fair enough. Yeah, that's it from my end. Thank you and wish you all the best.

Mr. Madhur Deora: Thank you, Piran. Moderator: Thanks, Piran. In order to accommodate a few more questions, we will be extending this call by

15

minutes.

The

next

question

is

from

Mr.

Sachin

Salgaonkar

from

BoFA.

You

may

please

go

ahead.

Mr. Sachin Salgaonkar: Thank you. I have two questions. First question, Vijay, would like to understand a little

bit

more

on

this

entire

AI

opportunity.

And

I'm

saying

that

because

AI

is

more

a

generic

word

which

is

used

by

multiple

companies

who

would

love

to

understand

Paytm

strategy

in

terms

of

how

you

guys

are

looking

to

optimize

AI,

both

from

a

revenue

perspective,

as

well

as

a

room

for

EBITDA

margin

to

improve.

And the related question is what you mentioned in your opening remarks that if you're going into international

countries

in

terms

of

the

software,

what

you

guys

are

offering

from

an

AI

perspective,

should

we

consider

this

more

on

the

lines

of

Pay

Pay

or

PayPay

was

a

unique

example

and
this
is
something
different.

So
we'd
love
to
get
a
bit
more
clarity
on
that.

And the second question is more a generic question on the revenue opportunity. Clearly, you guys are now

back
into
postpaid.

You
guys
are
doubling
down
on
merchants.

And
I
did
see
comments

on

equity

brokerage

that

you

have

mentioned

into

your

shareholder

later.

So

when

we

add

all

of

it,

should

we

see

the

growth

accelerating

from

the

current

24

-

25%

to

around

30%

and

above

in

the

medium

term?

Thank

you.

Mr. Vijay Shekhar Sharma: Thank you. Thank you, Sachin. I like these. All three questions are very favorable

for

me.

First

of

all,

AI,

what

do

you

mean

by

AI

here?

Is

it

a

buzzword

or

what

is

the

revenue

line

item

that
we
could
do?
So
I'm
gonna
take
two
product
line
items
as
an
example.
One
is
where
the
small
shop
takes
an
agent
which
is
served
using
our
sound
AI
sound
box

or
various
other
AI
devices
that
we
could
launch.
And
these
agents
are
made
for
small
merchants.
Typically,
large
companies
get
third
party
companies
like
Snowflake
or
let's
say
Accenture.
I
am
sure

there
will
be
Infosys
or
Wipro
also
in
that
category
that
will
implement
AI
for
businesses
where
they
will
bring
all
enterprise
data
and
make
this
interface
available
for
large
business.

Now we are going to do it for small businesses in the country and elsewhere over the period as I've said.
The
idea

is
that
a
small
business
can
have
a
chief
operating
officer,
chief
finance
officer,
chief
marketing
officer
practically
there
in
the
shop
in
an
AI
component
that
we
are
talking
about.
Obviously,
I'm

not
gonna
judge
their
devices,
smartphones,
whether
they
can
run
models,
et
cetera
or
not.
So
that
is
why
we
are
building
these
devices
which
are
specifically
made
and
manufactured
by
ourselves.
Now,

these
elements
of
AI
effectively,
practically
for
you,
are
agents
for
small
business.

Paytm is selling agents for small business and charging subscription and inference fees once the subscription

usage
grows
ahead
of
it.
For
example,
as
you
know,
you're
going
to
talk
about
how
do
I

grow

my

revenue?

Where

is

my

revenue

compared

to

somebody

else

nearby?

And

where

is

my

revenue

showing

up

versus

last

month?

And

all

these

kinds

of

questions,

we

believe

that

there

is

a
fair
amount
of
usage
that
will
show
up
in
the
subscription.

And
if
you
want
to
use
even
for
the
next
set
of
things,
for
example,
like
give
me
an
ad,
give

me
a
marketing
plan,
run
my
ad
on
social
media,
everything
can
be
done
on
this.
And
all
those
kinds
of
elements
will
mean
that
you're
using
more
inference,
we
will
price
inference.

So right now, we want to see what kind of different use-cases people have. One interesting thing, Sachin,
I
want
to
tell
you
when
we
showed
the
demo
and
we
learned
was
translation.
So
you
have
a
shop
where
you
speak,
let's
say
Hindi.
I
speak
in
Hindi.
And
the
buyer

is
in,
let's
say,
English,
or
let's
say,
Spanish,
or
Mexican,
whatever
language.
I'm
not
saying
that
we
will
only
get
English
speaking
tourists
in
India.
Now
the
shopkeeper
said
in
Hindi,
this

is
for
Rs
45,000,
it's
absolutely
the
best,
but
this
is
our
last
price
I
can
do,
and
the
soundbox
was
able
to
translate
it.
Now,
you
have
an
assistant
who
can
speak

the
language
of
your
customer.
I
mean,
you
know
how
phenomenal
it
is?
I'm
so
elated
that
the
use-cases
and
features
that
we
are
seeing
are
way
ahead
of
just
speaking
a
soundbox.

I've
been
saying
it,
soundbox
will
sound
like
a
feature
phone
some
days
later.

I
mean,
this
will
be
like
a
smartphone
app
as
well.

So
there
it
is,
this
is
an
agent

revenue,
and
there's
an
upside
of
revenue.

Now you go to the larger shops, like larger businesses, let's say, mid-sized retailers, or even let's say, the Metals,

Swiggy,
or
Flipkart,
or
online
merchants.

There
are
certain
products,
I'm
not
talking
about
them
right
now,
or
offerings
that
are
meant
for
them.

So
we
are
piloting
internally
for
us
as
a
large
company,
and
I'm
trying
to
figure
out
how
to
price
them
and
structure
them
for
those
guys.
So
those
other
products
will
also

show

up.

It

could

be

an

infrastructure

layer,

it

could

be

very

well

in

a

big

layer,

and

that

is

what

we

will

talk

about

after

some

quarters.

So

AI

is

a

revenue

item,

I

hope

that

clarifies.

And secondly, you asked about international, I'm gonna project something so that it is readable. This is in our

earnings

release,

as

you

can

see

this.

We

have

two

plans.

Paytm

has

built

a

payment

acceptance

and

hardware,

software,

and

services

stack,

and

we

will

give
it
to
a
partner
who
will
run
in
that
country.
This
is
like
PayPay,
which
is
exactly
what
you
were
saying.
I
mean,
although
in
PayPay
case,
we
did
not
provide
hardware

yet,
but
we
will
in
turn
continue
to
look
at
more
and
more
things,
software,
hardware,
service.
The
full
stack
is
available
to
a
partner
who
locally
in
a
revenue
share
model,
or

we
can
get
some
strategic
shareholding,
sweat
equity,
et
cetera,
and
sometimes

we
can
chip
in
some
money
also
if
needed,
but
not
large
capital
is
being
allotted
to
this
business,
but
rather

it
is
simply
about
that
we
have
a
technology
we
want
to
monetize.

This
is
part
of
the
model.

Some countries, some profit pool, especially where we believe there is a large global profit pool. For example,

like
some
place,
the
MDR
interchange
gap
is
so
large,
or
some
place

where

our

product

market

fit

is

so

perfectly

comfortable

that

we

could

take

our

own

self-operated

or

Paytm-operated

business.

So

mostly

we

will

be

partner-operated,

but

for

the

complete

disclosure

and

understanding

of

the
model,
we
have
two
models.
One
model
is
partner-operated,
the
second
model
is
Paytm-operated,
and
we
believe
that
this
will
help
with
further
monetization.

The bucket between three to five years will be starting to build from some of these. Our initial experiments,

which
will
be
very
low
cost,

will

show

up.

And

I

remember

when

we

did

a

\$1

million

investment,

it

was

like,

what

are

you

doing

and

why?

The

intention

was

to

learn,

can

we

do

it

in

such

a

dramatically

different

geography?

And

our

results

have

been

phenomenal.

No,

we're

not

going

down

so

far,

by

the

way.

Our

approach

will

be

only

three,

four,

three

hours,

five

hours,

eight

hours,

that

kind

of

flying

distance

between

the

places.

Let's

see

how

it

will

show

up.

Mr. Sachin Salgaonkar: And this is mainly emerging markets, like for example, it's Middle East, Southeast Asia.

Mr. Vijay Shekhar Sharma: Emerging, oh well, emerging, okay, let me say, frontier emerging developed, that's

a

good

way

to

say

it.

Yeah,

maybe

some

of

the

markets

are

emerging

because

the

whole
Southeast
Asia
is
called
emerging.
So
sorry,
yes,
that
is
true.
I'm
going
to
say
that
we
will
definitely
go
to
the
developed
markets
also.
For
example,
we
went
to
Japan,
we

made
money,
we
made
products.
And
my
personal
ambition
is
an
editorial
choice
award
that
you
have
a
product
that
can
work
in
a
developed
economy.
I
never
want
to
be
identified
as

cheap

third-world

country

technology.

We

are

the

first-world

in

the

technology

world.

And

as

an

Indian,

I

want

to

prove

it

in

my

lifetime

that

an

Indian

company

can

make

this

and

it

will

go

places.

And

so

that

is

why

developed

countries.

But

between

us

as

shareholders

and

management,

we

will

earn

our

credits.

We

will

earn

our

stripes

by

attempting

to

showcase

that

we

can
do
it
and
then
we
do
it
further.
So
short
answer,
it
will
be
more
or
less
India
like
market,
but
it
will
definitely
go
further
ahead
later
in
the
developed
markets.

Mr. Madhur Deora: It's not a filter that we put because we think our product is globally relevant. The filter

that

we

put

is

what

we

have

shared

in

the

release,

which

is,

where

should

we

partner

operated

business

and

where

should

we

be

Paytm

operated

business.

Mr. Vijay Shekhar Sharma: Yeah, and third question was? Mr. Sachin Salgaonkar: Revenue, revenue growth, basically. Acceleration of that. Mr. Vijay Shekhar Sharma: Revenue growth is a festive reason, so it can be seen a little more, but our clear

understanding

is

that

it
is
focused
on
monetization,
you
can
see.

Acceleration
on
line
items,
which
are
bottom
line
generating.

I
mean,
up
till
now,
we
are
bottom
line
generating
focused.

We
have
started
to
become

revenue

generating

focused,

so

you

can

start

seeing

it.

Mr. Sachin Salgaonkar: Good. One small follow up, Vijay. Clearly, when we make investments into AI, there

is

an

extra

incremental

cost

associated

with

compute

cost.

Is

that

something

that

should

be

materially

high,

where

we

should

not

be

worried

in

grand

scale

of

things

like

that?

Mr. Vijay Shekhar Sharma: Sachin, I can tell you very candidly, one thing I've learned, and I think I should give

prudence

to

many

of

listed

founder

peers

and

many

of

their

board

member

shareholders

who

have

told

me,

whenever

we

are

going

to

do

any

capital
investment,
capital
investment
is
an
investment
that
goes
beyond
\$20
-
\$50
million
onwards,
we
will
be
very
much
sizing
it
up,
we
will
be
very
much
proactively
announcing
it
in
advance,

et

cetera.

So

right

now,

what

you

are

hearing,

there

is

no

material

investment

plan

here.

Mr. Sachin Salgaonkar: Got it. Okay, thank you and all the best. Thank you. Moderator: Thank you, Sachin. The next question is from Mr. Ankur Rudra from JP Morgan. Ankur, you may

please

ask

the

question.

Mr. Ankur Rudra: He

y, thank you, good quarter. On the AI side, you give us a lot of examples on services and

agents

that

you'll

be

using

through

AI.

But

at

this

point,

Vijay,

do

you

have

the

confidence

that

this

will

be

a

unique

monetization

opportunity

as

opposed

to

a

feature

which

perhaps

becomes

more

of

a

moat

for

your

existing

products?

Mr. Vijay Shekhar Sharma: Yeah, distribution is key. The product technology that we can make, our distribution

is

going

to

be

us.

It's

a

proprietary

distribution.

Mr. Ankur Rudra: So you will be sort of upselling more products as opposed to trying to differentiate? Mr. Vijay Shekhar Sharma: Oh, differentiation is because we have this offering and in this offering we are upselling,

which

is

a

new

one.

So

I

did

not

get

how

these

two

conflict,

that

you

will

be

upselling

instead

of

differentiating.

I

did

not

get

it.

Mr. Ankur Rudra: So what I meant is that, what I meant is you'll change your price points for these products.

They'll

be

priced

slightly

higher

than

what

you

currently

have.

Mr. Vijay Shekhar Sharma: These are all options. I mean, you see it. You get a top-up option, top-up

top-up

option.

So

these

are

differentiated

features

and

the

price

incrementally

different.

So

both

things happen. We cross-sell, we earn extra. And the opportunity to cross-sell means that only a few companies

can

do

it,
actually.
It
requires
compounding
work,
incidentally.
Mr. Ankur Rudra: Got it. Mr. Vijay Shekhar Sharma: Just maybe, I mean, there was a question asked that, would you like to patent
this
or
what
not?
When
I
launched,
I
was
trying
to
do
this.
And
my
answer
was,
why?
I
mean,
I
want
more
people
to

walk
into
this
so
that
the
more
customers,
the
market
gets
created,
people
understand
and
so
on.
So
we
would,
I
mean,
copy
everything
that
we've
done
anyways,
somebody
else
does
after
some

time.

So

that's

not

a

problem.

It's

a

race

towards

continuously

expanding.

And

lately

you've

seen,

you

have

started

to

bother

about

monetization.

Earlier

we

were

focused

on

innovation,

which

was

good.

Right

now

we

are

focused

on

monetization

and

innovation

equally.

So

right

now

this

is

a

proprietary

distribution.

Mr. Ankur Rudra: I'm guessing it's early days. We'll probably take a couple of years to see the results of this

come

through.

Mr. Madhur Deora: Definitely. Sorry, go ahead. Mr. Ankur Rudra: I have a different question, but why don't you go on? Mr. Vijay Shekhar Sharma: No, go ahead, go ahead. I mean, a couple of years is a very large timeline. I mean,

I'm

not

going

to

say

timeline.

Mr. Ankur Rudra: My question was in financial services. You know, we did see a nice acceleration this time.

Could

you

maybe

elaborate?

I

know

you've

stopped

sharing

the

loan

disbursal

amounts

explicitly,

but

from

a

color,

incremental

qualitative

color

perspective,

could

you

highlight

how

much

of

that

came

from

maybe

the

launch

of,

relaunch

of

postpaid

versus

perhaps

acceleration

of

ML?

Or

if

from

the

consumer

side,

you

saw

any

kind

of

acceleration?

Mr. Vijay Shekhar Sharma: Yeah, postpaid was launched in September. So the numbers, financial numbers

currently

are

insignificant.

That

was

not

a

driver.

Merchant

loan

continues

with

a

nice

trajectory

of

quarter

on

quarter

growth

on

volume

terms.

In

revenue

terms,

we

are

seeing

better

collection

performance,

which

is

increasing

take

rate.

Personal loan, we have given commentary that due to headwinds, we're not seeing growth there, but we are

seeing

slightly

better,

slightly

better

take

rates

on

economics,

but

again,

not

a

major

driver.

And

we

are

seeing

this

growth

in

other

financial

services

like

Paytm

money

or

Wealth

and

gold,

as

Vijay

mentioned.

And

so

there

are

a

number

of
positive
signs
in
other,
non-lending
financial
services

also.
Mr. Ankur Rudra: Got it. Got it. That's it from my side. Thank you. Mr. Madhur Deora: Thank you. Just a quick housekeeping
thing. We're sort of almost out of time, but we
do

want
to
make
sure
we
take
all
the
questions
we
can.
So
if
we
could
have
Jayant,
then
Vijit,
then
Prateek,
and
to

the
extent
possible,
if
you
could
limit
yourself
to
one
or
two
questions,
please.
We
just
want
to
get
through
as
many
questions
as
we
can.

Mr. Jayant Kharote: Can you look at this locator? Can I go ahead? Congratulations, Vijay and Madhur, great

set
of
results
again.
So

I
have
only
one
question.
Clearly
the
GMV
mix
seems
to
be
working
in
our
favor
and
the
margins
are
showing.
This
is
more
from
a
GMV
growth
perspective.
We
do
see
UPI

P2M

growth

is

now

down

to

the

20s.

Cards

in

general,

I

think

system

level

growth

is

in

that

15

handle

plus

minus.

So

from

here,

while

we

are

adding

new

merchants,

I

see
on
the
Soundbox
and
overall,
the
UPI,
these
would
be
largely
UPI
right
now.
So
if
your
UPI
system
itself
is
growing
at
20,
do
we
see
a
scenario
where
we
now

start
thinking
about
our
GMB
growth
coming
to
the
early
20s
handle
over
the
next,
forget
a
quarter
or
two,
but
maybe
that's
next
two
years,
three
years.
Of
course,
this
means
better

margins,

but

from

a

growth

perspective,

is

that

a

fair

assumption?

Mr. Vijay Shekhar Sharma: Then our UPI growth will come from, our payment growth will come from which

element?

The

20%

component,

which

is

a

non-UPI

component.

Is

that

what

you

say?

Mr. Jayant Kharote: UPI P2M, yeah. So that is growing sharply and is in 20s, right? I mean, I think it has grown

so

strong

in

the

last

few

years.

So

if

you

take

the

total

digital

merchant

payments,

that

is

itself

now

growing

in

20s.

What

used

to

be,

let's

say

30,

40

led

by

UPI

P2M.

We

are

gaining

market

share.

So

we

are

growing

at

25,

26.

And

then

our

growth,

I'm

presuming,

is

coming

from

adding

new

merchants.

Mr. Madhur Deora: I think maybe just to simplify the variables, what we are seeing is we are seeing market

share

growth

with

improving

economics,

both

on

the

merchant

side

and

consumer

side.

And

that's

what

we

want

to

drive.

I

think

it

is

a

little

bit

hard

to

sort

of

predict

what

UPI

GMV

growth

will

be.

Of

course,

we

are

a

driver

of

that,

especially

on

the

merchant

side

with

how

much

investment

we

make

and

are

making

in

expanding

the

merchant

acceptance

network.

So

we

are

a

driver

of

that.

But in a sense, I don't know if we're best placed to agree and guess what exactly UPI growth numbers would

be.

I

think

our

focus
is
to
gain
market
share
sensibly
and
keep
improving
unit
economics.

And
of
course,
on
the
merchant
side
in
particular,
we
have
done
a
fantastic
job
of
upsell,
of
distribution
of
financial

services

to

that

very

low

penetration

rate.

So

continue

to

drive

that.

So

that's

simply

the

business

model.

We

do

think

that

if

UPI

is

growing

at

20%,

our

GMV

growth

should

be

higher

than

that.

And

that's

what

we'll

continue

to

drive.

Mr. Jayant Kharote: Yeah, if I could squeeze one more, credit card on UPI is clearly helping on the margins

as

well,

right?

So

is

there

any

metric

that

you're

tracking

on

our

market

share

in

that

particular

product?

And

how

are

we

faring

compared

to

our

overall

market

share?

And

is

there

any

investments

you

can

do

to

improve

that?

Mr. Vijay Shekhar Sharma: I like it, I like that. We probably have more than some X than UPI market share.

So

our

credit

card,

UPI

credit

card

market

share

is

better

for

us

than

our
generic
UPI
market
share.
Generic
UPI
market
share
is
actually
skewed
towards
P2P
transactions
because
they're
always
larger
in
volume,
per
ticket
is
very
large.
So
the
UPI
market
share
is
a

game
of
P2P.
And
it
does
have
some
money
because
banks
pay
each
other
and
then
TPAP
apps
get
some
money
out
of
it.
So
there
is
no
secret
about
it,
that
is

a

critical

line

item.

But

we've

been

able

to

capture

more

than

our

market

share

of

UPI

market

share

and

order

of

magnitude

more

than

that.

Mr. Jayant Kharote: And on the merchant acceptance side of that, are we?

Mr. Vijay Shekhar Sharma: We, anyways, I mean, internally the good thing I can tell you is that we do foresee

and

that's

a

statement

I'm

making.

We

do

foresee

that,

that

month

is

not

very

far

when

our

subscription

revenues

get

toppled

by

our

MDR

revenues.

Mr. Jayant Kharote: Great, that's great to hear Vijay and Madhur and congrats once again. Thank you. Moderator: Thanks, Jayant. The next question is from Vijit Jain from Citi. Mr. Vijit Jain: Yeah, thanks for giving me the opportunity. My first question, you know, with this, now that

you've

combined

the

offline

and

the

online

payment

aggregation

business,

I
think
you
alluded
to
this,
Vijay,
when
you
talked
about
now
you
can
go
omni-channel
which
you
couldn't
do
for
the
last
three
years.
Is
that
what
this
merger
sort
of
allows

you

to

do

or

is

there

anything

else

that

you

could

do

post

that?

And

relatedly,

I

think

I'm

just

wondering,

is

EMI

the

other

opportunity

you're

referring

to

here?

Is

EMI

equally

an

opportunity

on

online

payments

as

well?

Yeah,

that's

my

first

question.

Mr. Vijay Shekhar Sharma: Okay, so first of all, you're right. Omni is a basic understanding of the companies

that

have

online

and

offline.

So,

Flipkart

also

has

an

offline

business

because

customers

go,

receive

goods

in

person

and

at
that
point
of
time,
it
is
actually
an
omni
company.
Rather
than
Flipkart
is
a
more
omni
company
than
people
may
think
about
it
because
of
cash
on
delivery
being
large
numbers.

And
that
means
that
payment
is
a
critical
player.
So
all
these
businesses,
we
couldn't
have
onboarded
and
just
because
there's
an
offline
entity
was
a
different
company,
a
legal
entity
could
have

not
onboarded.
You
know
what
I'm
trying
to
say.
So
we
were
lucky
that
we
kept
working
on
online
business
for
so
long
and
finally,
I
mean,
we
were
able
to
start
this.

Yes, not j

ust this element, but there are other VAS elements like spend analytics, like settlement, like payout.

All

those

things

start

to

show

up

as

new

value-add

items.

So

per

payment,

we

make

more

bps

or

more

money

than

we

will

make

standalone

and

offline

or

standalone

and

online.

Actually

standalone

online

offline

business

will

disappear.

It's

like

saying

laptops

and

devices

will

disappear.

People

will

start

to

move

towards

assuming

that

everything

is

the

same.

It's

a

cloud

kind

of

concept.

So

yes,

that

is

there.

And

the

EMI

is

just

an

intention

that

I'm

trying

to

say

that

the

success

that

we

want

to

show

is

that

we

literally

worked

upon

this

kind
of
combination
in
a
category
called
EMI
and
then
voila,
we
just
captured
a
large
market.

Now online EMI is, by the way, a bigger market in categories like phones, as you know, more phones are online

versus
offline.

So
there
are
even
more
kinds
of
products
and
solutions
that
we
are

able
to
build.
So
answer,
yes,
not
just
one
thing
called
EMI
but
many
other
things
will
show
up
and
we've
been
able
to
do
a
good
job
of
adding
product
or
service

features

for

payment

and

our

merchants

love

this.

And

some

things

are

unique

to

us

and

probably

the

market

will

come

up

to

them

in

a

couple

of

quarters

or

years.

Mr. Vijit Jain: Good to hear Vijay. My second question and this is my last question. On the devices front right

now,

I
mean,
solid
growth
again,
QoQ
and
I
see
your
Capex
and
your
D&A
expenses
have
been
trending
down
as
you've
guided
earlier
as
well.
So
I
think
the
question
I'm
trying
to

ask
is,
the
D&A
schedule
aside,
are
these
devices
remaining
active
for
longer
and
much
longer
and
what
is
the
real
timeline
on
which
you
take
these
devices
out
of
circulation
actually
because

they

are

either

obsolete

or

they

just

died?

Mr. Vijay Shekhar Sharma: Yeah, so good question and as you would have remembered that we've continued

telling

last

quarters

that

our

new

gross

additions

are

bigger

than

the

net

additions

because

if

we pick up the device, the merchant is no more active if that is the reason and so on. So now I'm happy to

say

that

that

job

is

nearing

completion.

Next

couple

of

months,

we

will

be

sorted

out

on

that

which

effectively

means

the

device

in

the

market

is

active

and

being

used

and

those

devices

active

in

the

market

being

used

mean

more

revenue

and

more

Net

Payment

Margin.

So what happens to the device? Well, there is always some component. I mean, we try to recycle as much

more

so

that's

an

advantage.

The

only

devices

we

do

not

recycle

if

at

all

will

be

the

cost

of

logistics

is

more

than

that.

So

we've

created

hubs

in

different

cities

now.

Earlier

it

was

based

in

our

headquarter

and

near

that,

Noida,

the

factory,

et

cetera

but

we

have

now

created

hubs

to

refurbish

in

multiple

other

cities.

Mr. Madhur Deora: And just to clarify, vast majority of devices that we pick up are refurbishable. So it is not

a

device

that

we

are

picking

up

obsolete

devices,

we

are

picking

up

devices

from

merchants

who

went

inactive

and

reactivation

efforts

kind

of

journey

was

done

and

then

at

the

end

of

that,

there

are

different

sort

of

fr

ameworks

that

we

use.

At

the

end

of

that,

we've

decided

that

it's

better

to

pick

up

the

device

rather

than

to

continue

to

try

to

reactivate

that

merchant.

And

so

generally

speaking,

you're

getting

a

device

which

is

in

reasonably

good

order.

It

will

require

some

work,

maybe

a

battery

replacement

or

something

slightly

more

than

that

and

then

it's

as

good

as

new.

Mr. Vijit Jain: Got it. So Madhur then, because you've been in the devices business for I think more than four

years

now.

I

think

what

I

was

also

trying

to

understand

is

are

those

the

devices

that

are

getting

refurbished

for

battery

issues?

Meaning,

I'm

just

trying

to

wonder

if

these

devices

just

with

refurbishment,

their

life

is

much

longer.

Is

that

how

I

should

think

about

it?

Mr. Madhur Deora: Refurbishment definitely increases the life of the device. It saves us, I mean, the average

cost

of

refurbishment

including

reverse

pickup

costs

will

be

somewhere

to

the

order

of

25

to

30%

of

the

cost

of

a

new

device.

So

it

reduces

Capex

meaningfully.

We also think that at the moment, we can continue with or even scale up a little bit the pace at which we

pick

up

and

refurbish.

So

both

the

pickup

capacity

as

well

as

the

refurb

capacity,

we

see

a

long

runway

there

because

of

the

scale

of

device

deployment,

which

is

13

million.

And

the

great

thing

is

our

business

leaders

are

super

sensitive

to

how

positively

this

impacts

their

P&L.

So

they

have

made

the

investments

required

to

make

sure

that

we

can

both

pick

up

and

refurbish

at

scale.

Mr. Vijit Jain: Got it. Thank you so much and congratulations on a pretty solid set of results this time around

as

well.

Thank

you.

Moderator: Thanks, Vijit. The next question is from Mr. Prateek Poddar from Bandhan Mutual Fund. Mr. Prateek Poddar: Yeah, hi. Thanks for the opportunity. So could you just talk a bit about the scalability of

postpaid

products

in

terms

of

whitelisting

of

consumers,

penetration

over

there,

and

adding

new

partners

on

the

supply

side

so

that

this

can

be

scaled

even

faster?

And

in

your

view,

the

timeline

for

this

product

could

be

the

previous

peaks

or

which

we

reached,

let's

say,

when

we

had

this

earlier

avatar

of

Paytm

postpaid?

Mr. Vijay Shekhar Sharma: Interesting. Numbers are very early, tens of thousands. So the opportunity is way

more

forward.

I

mean,

the

good

thing

I
can
say
is
that
we
experienced
that
this
country,
we
had
signed
up
around
10
-
12
million
customers.

And
surprisingly,
most
of
those
customers
are
on
our

platform. So we can try talking about a large, I mean, can we target a couple of million? The answer is yes.

Spend
per

customer

is

already

high

because

the

product

is

mature

and

understanding

of

the

product

exists.

Then

the

understanding

of

multiple

banks

and

technology

is

becoming

better

because

there

is

an

anchor

issuer

now

as

a

partner

with

us

and

we

have

an

anchor

issuer,

so

more

expected.

So I do believe that it is going to become pretty sizable hopefully. It obviously depends on banks because it

is

a

purely

bank

product.

And

we

continue

to

help

banks,

pursue

them

to

expand

the

technology.

And

we
are
happy
that
banks
have,
partners
have
expanded
the
technology.

So
you
expect
us
to
grow
both
consu
mer
and
bank

partners.
Mr. Prateek Poddar: And the timelines for this would be, let's say in the next 12 months, and I'm not asking

for
answers,
but
we
will
see
multiple
suppliers
or

bank

partners

over

here.

Mr. Vijay Shekhar Sharma: I mean, there is no need. To be honest, in one year, there is no need. We do not

need

more

partners

than

one

in

one

year.

The

number

of

customers

and

the

book

of

opportunity,

because

it

is

a,

if

you

notice

it

is

a

very

high

throughput

churn.

So

it

does

not

have

a

residual

book,

which

is

the

advantage.

Mr. Prateek Poddar: But supply will get their own demand, right? That's what happened in ML also. Mr. Vijay Shekhar Sharma: Yeah, yeah, you got it. So because of high rotation not requiring a large residual

book

makes

it

even

more

advantageous

versus

people

with

a

large

book.

So

the

good

advantage

there

is,
cost
of
capital
should
be
lower,
not
the
amount
of
capital
should
be

higher.

Mr. Prateek Poddar: Understood. And in that case, a pure bank will have a lower cost of capital than SFB, right?

Today,
we
have
tied
up
with
an

SFB.

Mr. Vijay Shekhar Sharma: No, I won't say anything, that we got more or less. I will say that we have a very

good
partner.

The
one
you
heard
from
Madhur,

give

or

take

20

bps.

Madhur's

hint

here

is

to

say

that,

don't

bother

about

margins.

They

are

not

suppressed

or

oppressed.

Mr. Prateek Poddar: Let me ask you the other way. The capital commitment provided by the partner, is it large

enough

for

you

to

reach

the

old

peaks

or

get

towards

there?

That's

not

a

constraint?

Mr. Vijay Shekhar Sharma: That is the question. Perfectly said, yes. Mr. Prateek Poddar: Fantastic. The second and the last question is on the DLG disclosures. And when I see

the

outstanding

book,

excluding

the

lender

one,

which

has

moved

away

from

DLG

to

a

non-DLG,

I

see

a

substantial

rise

on

a

quarter-on-quarter

basis.

It's

like

80%

plus.

Just

wanted

to

check

how

I

should

think

about

this

and

the

growth

from

those

partners

looks,

I

mean,

that

ramp

up

is

phenomenal,

right?

Mr. Madhur Deora: Yeah, I think the one thing to point out and you already know this Prateek, but just to

contextualize

the

question,

that
number
is
an
AUM
number.
So
even
if
you
continue
to
the
same
amount
in
the
early
days,
that
number
will
go
up
very
meaningfully.
But
it
is
the
case
that,
excluding

partner

one,

which

is

our

largest

partner

overall

in

the

loan

distribution

and

is

also,

and

continues

to

be

the

largest

partner,

right?

And

continues

to

be

a

partner

that

is

growing

AUM

with
us,
but
without
DLGs.
So
the
reason
that
partner's
AUM
under
DLG
has
come
down
is
not
because
the
AUM
has
gone
down,
but
because
the
DLG
has
gone
away.
So
the

new

book

is

getting

booked

effectively

without

DLG.

And

on

other partners, we are seeing very, very good growth, both in merchant side and personal loan side, personal

loan

obviously

in

the

context

of

the

headwinds,

but

we're

seeing

very

good

growth

in

non-lender

one,

if

you

will,

both

on

ML

and

PL.

So, and I would say particularly in ML, where, I mean, just to give you a sense, lender one has more than doubled

in

the

last

12

months.

So

it's

a

fantastic

job

by

the

team

that

while

lender

one

is

growing,

they

have

also

been

able

to

grow,

like

I

said,
more
than
double
lender
one.
And
that's
a
mix,
obviously,
as
you
might
imagine,
of
other
lenders
growing
very
fast
and
also
new
lenders
coming
in.
So
it
is
overall
this
much

higher

percentage

of

lender

one

today

than

it

used

to

be.

Mr. Prateek Poddar: Okay, I'm sorry, I'm just going back to the postpaid product. Look, capital is not a constraint.

We

have

the

consumers.

What

does

it

take?

And

when

do

you

feel

confident

to

get

to

that

J

curve?

Right,

today

it's

early

days,

but

when

does

this

get

to?

Is

it

months?

Is

it

years?

How

should

I

think

about

it?

Because

the

capital

is

not

a

constraint,

right?

If

capital

was

a
constraint,
I
wouldn't
have
asked
you
the
question.

You
just
said
capital
is
not
a

constraint.
Mr. Vijay Shekhar Sharma: That's what I learned in the last 18 months is when steady wins the race,
when

you
race
it
too
fast,
you
may
just
get
out
of
the

race.
Mr. Prateek Poddar: Fair. Mr. Madhur Deora: And I think we can give you a little bit more next quarter, because like I
mentioned,
we
launched

in
September.
We
have
October
numbers,
obviously
the
operating
metrics,
which
is
beyond
the
period
that
we're
talking
about
on
this
call.
By
the
time
I
think
we
have
the
call
sometime
in

January

for

December

results,

I

think

we'll

be

able

to

point

to

specific

data

points

and

then

you'll

get

a

better

sense

of

where

this

is

heading.

Mr. Prateek Poddar: Oh, fantastic. Thank you so much. Mr. Madhur Deora: But to be clear, the idea that you're saying is not, can we reach the previous number in

six

months?

Mr. Prateek Poddar: Yeah. Mr. Madhur Deora: Well, we're trying to do it as sensibly as we can. Of course, there are a ton of learnings

from

before,

all

the

things

that

work

really

well.

And

some

of

the

things

which

may,

maybe

we

don't

want

to

do

it

identically

as

before.

So

we

have

all

of

that

learning,

all

of
that
understanding
of
consumer
and
merchant
behavior
for
this
product.
So
we're
using
all
of
that.
So
logically,
our
ramp
up
should
be
faster
than
before,
but
we're
not
trying
to
say,

hey,

why

can't

we

get

to

the

same

number

as

soon

as

possible?

Mr. Vijay Shekhar Sharma: No, we're not going to do anything fast. We're not going to do anything slow or

steady.

Mr. Madhur Deora: I've seen the compounding benefit of running a business really sensibly, particularly in

merchant

loans,

where

we

have

always

talked

about,

we

could

do

a

lot

more

in

the

next

six

months

if

we

started

to

get

a

bit

aggressive.

But

the

idea

is,

listen,

let's

keep

the

penetration

low.

Let's

reap

all

the

benefits that come with the fact that the partner is seeing fantastic credit quality and existing and new partners

want

to

do

more

business

with

us.

And

that

just

builds

a

really

strong

business

long-term.

Mr. Prateek Poddar: No, thank you so much for this. This was really helpful. Thank you, Pratik. Moderator: Thank you, Prateek. With that, we come to an end of this call. A replay of this earnings call and

the

transcript

will

be

made

available

on

the

company

website

subsequently.

Mr. Madhur Deora: And if I may just add, we ran out of time. There might be other questions. Please feel free

to

reach

out

to

us

at

ir@paytm.com.

And

we

will

be

delighted

to

give

any

clarifications.

Mr. Vijay Shekhar Sharma: And I really want the feedback

of the video call. Did you guys like it? Prefer it over

audio

or

do

you

like

the

old

way

or

traditional

way

of

doing

it?

We

thought

that

we

don't

get

to

see

you

one-on-one

so

many

times

or

in

different

kinds

of

conversations,

opportunities,

so

this

is

the

way.

And

I

was

asking

Madhur

that

how

much

of

a-

Mr. Madhur Deora: I liked it if you were looking for my feedback.I quite liked it. Mr. Vijay Shekhar Sharma: I also loved it actually that we are able to see and thank you for earlier
Pranav

and

Pranav,

Pranav

Square,

if

I

may

call

them,
that
you
switched
on
the
video.
So
we
will
encourage
more
people
to
come
on
the
video.
We
would
love
to
make
it
a
more
interactive
conversation.
And
I
mean,
this
gives

us

an

opportunity

to

showcase

something,

present

something.

So

now

that

I'm

in

it,

I'll

ask

you

more

Pranav.

Thank

you.

Thank

you.

Moderator: Thank you all for joining. Mr. Madhur Deora: Have a good day. Moderator: You may now disconnect your lines.

Call: Feb 2026

February 04, 2026

BSE Limited Department of Corporate Services,
Phiroze

Jeejeebhoy

Towers,

Dalal Street, Fort, Mumbai - 400 001 Scrip Code: 543396 National Stock Exchange of India Limited The Listing Department,
Exchange Plaza, Bandra Kurla Complex, Mumbai-400 051 Symbol: PAYTM
Sub: Disclosure under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements)
Regulations,

2015

-

Transcript

of

the

earnings

conference

call

conducted

on

January

30,

2026

Dear Sir/ Ma'am,
Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations,
2015,

please

find

enclosed

the

transcript

of

the

earnings

conference

call,

conducted

on
January
30,
2026,
on
unaudited
standalone
and
consolidated
financial
results
of
the
Company
for
the
quarter
and
nine
months
ended
December
31,
2025.

The transcript is also available on the website of the Company at <https://ir.paytm.com/financial-results>.

Kindly take the same on record.

Thanking you

Yours

Sincerely,

For

One

97

Communications

Limited

Sunil Kumar Bansal Company Secretary & Compliance Officer FCS: 4810
Encl.: as Above

One

97

Communications

Limited

compliance.officer@paytm.com

www.paytm.com

Corporate

Office

-

One

Skymark,

Tower-D,

Plot

No.

H-10B,

Sector-98,

Noida-201304

T:

+91120

4770770

F:

+91120

4770771

CIN:

L72200DL2000PLC108985

Registered

Office

-

136,

First

Floor,

Devika

Tower,

Nehru

Place,

New

Delhi-110019

Paytm | Q3 FY26 Earnings Call |

Call Date: Jan 30, 2026 | Time: 8:00 AM Indian Standard Time

Disclaimer:

By reading this call transcript you agree to be bound as follows: This earnings call with the management of One

97

Communications

Limited

("Company")

is

for

information

purposes

only

without

regards

to

specific

objectives,

financial

situations

or

needs

of

any
particular
person
and
is
not
and
nothing
in
it
shall
be
construed
as
an
invitation,
offer,
solicitation,
recommendation
or
advertisement
in
respect
of
the
purchase
or
sale
of
any
securities
of
the

Compan y
or
any
affiliat es
in
any
jurisdiction
or
as
an
induc emen t
to
enter
into
investmen t
activity
and
no
part
of
it
shall
form
the
basis
of
or
be
relied
upon
in
connection
with

any

contract

or

commitmen t

or

investmen t

decision

whatsoe ver.

This

earnings

call

does

not

take

into

account,

nor

does

it

provide

any

tax,

legal

or

investmen t

advic e

or

opinion

regarding

the

specific

investmen t

objectives

or
financial
situation
of
any
person.
The
information
to
be
presen ted
and
discussed
on
this
earnings
call
is
confiden tial
and
proprie tary
to
the
Compan y
and/ or
its
affiliat es
and
no
part
of
it
or

its

subject

matter

be

used,

recorded,

reproduc ed,

copied,

distribut ed,

shared,

or

disseminat ed,

directly

or

indirectly ,

to

any

other

person

or

published

in

whole

or

in

part

for

any

purpose,

in

any

manner

whatsoe ver.

Statements or comments made on this earnings call may include certain statements that are, or may be deemed

to

be,

“forward-looking

statements”

and

relate

to

the

Company

and

its

financial

position,

business

strategy,

events

and

courses

of

action.

Forward-looking

statements

and

financial

projections

are

based

on

the

opinions

and

estimates
of
management
at
the
date
the
statements
are
made
and
are
subject
to
a
variety
of
risks
and
uncertainties
and
other
factors
that
could
cause
actual
events
or
results
to
differ
materially

from

those

anticipat ed

in

the

forward-looking

statemen ts

and

financial

projections.

We, or any of our affiliat es, shareholders, direct ors, emplo yees, or advisors, as such, mak e no represen tations or

warran ties,

express

or

implied,

as

to,

and

do

not

accept

any

responsibility

or

liability

with

respect

to,

the

fairness,

accuracy ,

comple teness

or

correctness

of

any

information

or

opinions

contained

herein

and

accept

no

liability

whatsoever

for

any

loss,

howsoever,

arising

from

any

use

or

reliance

on

the

information

presented

and

discussed

in

this

earnings

call.

The
information
contained
herein
is
subject
to
change
without
any
obligation
to
notif y
any
person
of
such
revisions
or
change
and
past
performanc e
is
not
indic ative
of
future
results.

It is clarified that this earnings call, and the information discussed and presen ted herein, is not intended to be
an
offer
for

subscrip tion

or

sale

of

any

securities

or

inviting

offers

or

invitations

to

offer

or

solicit ation

to

offer

from

the

public

(including

any

section

thereof)

or

any

class

of

investors.

No

rights

or

obligations

of
any
nature
are
creat ed
or
shall
be
deemed
to
be
creat ed
by
the
information
presen ted
and
discussed
on
this
earnings
call.
This
documen t
has
not
been
and
will
not
be
reviewed
or

appro ved

by

a

regulat ory

authority

in

India

or

by

any

stock

exchange

in

India.

No

rights

or

obligations

of

any

nature

are

creat ed

or

shall

be

deemed

to

be

creat ed

by

the

contents

of
this
documen t.

Moderator: Thank you and welcome to Paytm's earnings call to discuss our financial results for the quarter

ending

December

31,

2025.

We

will

start

our

call

with

Q&A

after

introduction

to

the

management.

From

Paytm's

management,

we

have

with

us

Mr.

Vijay

Shekhar

Sharma,

founder

and
CEO,
Mr.
Madhur
Deora,
President
and
Group
CFO,
and
Mr.
Anuj
Mithal,
SVP,
Investor
Relations.
A
few
standard
announcements
before
we
begin.
The
information
to
be
presented
and
discussed
here
should
not

be
recorded,
reproduced,
or
distributed
in
any
manner.
Some
statements
made
today
may
be
forward-looking
in
nature.

Actual events may differ materially from those anticipated in such forward-looking statements. Finally, this

earnings
call
is
scheduled
for
45
minutes.

A
replay
of
this
earnings
call
and

transcript

will

be

made

available

on

the

company's

website

subsequently.

Over

to

you,

Vijay.

Mr. Vijay Shekhar Sharma: Hi, good morning everyone. It is really lovely to see each of you logged in so early.

It

was

a

very

tough

decision

for

us

to

make

a

decision

whether

we

want

to

do

it

so
early,
before
market,
yesterday
night
or
tomorrow.
And
I
think
the
elephant
in
the
room,
PIDF,
we
sort
of
were
making
sure
that
you
get
to
read
it
much
before
the
market

opens.

So

we

tried

deciding

it

at

an

early

hour.

For

the

other

side

of

the

world,

people

who

logged

in,

thank

you

for

logging

in

the

early

hours

of

India.

It's been a year plus since we had decided that we'll head down and execute on our core business principle,

core

business,

which

is

payment

and

financial

services.

And

we

continue

to

dominate

the

merchant

ecosystem.

And

now

we

have

started

to

build

for

consumers,

and

like

I

had

promised

earlier,

we

won't

throw

money

on

consumers,

rather

we

will

throw

technology

and

products

on

consumers.

I

mean,

for

many

reasons,

our

numbers

are

what

numbers

are,

like

not

in

the

reference

of

the

market

share

I'm

quoting
here.
But
at
the
same
point
of
time,
the
capability
of
our
product
and
technology
team
can
be
evidently
seen,
that
we
are
outgrowing
the
competition
or
the
market
out
there
in

the

game.

So

this

kind

of

attention

will

bring

our

consumer

market

share

forward.

I'll take reference of Prime Minister's 'Make in India' initiative. It used to be thought that at one point in time

that

'Make

in

India',

manufacturing

in

India,

how

will

it

happen?

And

as

we

can

see

on

the

Prime
Minister's
initiative
today,
it
is
the
pride
of
India
that
we
see
so
much
of
manufacturing
in
India.
That
is
exactly
how
I
would
look
at
UPI
consumer
business
for
us.
It

may
be
like,
you're
fighting
someb
ody
with
such
a
large
market
share,
but
I
think
it's
a
great
product
that
will
win
the
market,
not
the
dominance
of
certain
regions
that
has
happened.

So
with
that
attitude,
we
believe
that
the
consumer
is
our
market
to
win
and
the
merchant
is
our
market
where
we
are
winning.

And I look forward to answering the questions. And we also have started detailing lots of data, as you are aware.

While
we
do
see
that
revenue
and

profit

momentum

is

growing,

you

have

to

remember

that

the

business

is

still

in

the

early

phase,

very

early

phase.

Customer

acquisition

is

still

the

game

in

the

market.

And

then

monetization

is

the

primary

game

that

long

term

becomes.

So

the

commitment

is

to

build

a

long

term,

free

cash

generating

machine

inside

our

payment

and

finance

business

and

expanding

that

to

the

next

step.

Here

we

are.

Good

morning.

Moderator: Thank you Vijay. We will start our Q&A now. If you seek to ask a question, kindly utilize the raise

hand

feature

on

your

Zoom

dashboard.

Please

ensure

that

your

name

is

visible

as

your

last

name,

followed

by

your

company

name

for

us

to

be

able

to
identify
you.

We
will
unmute

your
line

and
take

questions
in

the
respective
sequence

of
the

raised

hands.

Mr. Vijay Shekhar Sharma: Yeah. And I think as you're seeing that we're doing a video call and anyone of you

who

wants

to
switch

on

video

are

welcome.

I
understand

it's

early,

so

we

may

have

more

audio

this

time.

And

we'll

continue

this

time,

but

just

in

case.

Moderator: We will take the first question from Mr. Manish Adukia from Goldman Sachs, followed by Sachin

Salgaonkar

from

Bank

of

America.

Manish,

you

may

go

ahead.

Mr. Manish Adukia: Hi, sorry, I was just trying to join again. Vijay, Madhur, good morning. Great to see you.

Thank

you

so

much

for

doing

the

call.

Just

the

first

question

is

on

what

you

mentioned

in

the

opening

remarks,

the

PIDF.

So

a

couple

of

sub

questions

there.

One, in the shareholder letter, you talk about the fact that you should be able to meaningfully offset the impact

over

a

period

of

time.

But

at

the
same
time,
you
also
talk
about
contribution
margin
going
from
57
percent
now
to
mid
50s
as
a
result
of
the
PIDF
impact.
I'm
just
trying
to
reconcile
the
two
statements
that

if

you're

able

to

offset

the

impact,

then

why

should

there

be

a

contribution

margin

impact

at

all?

And second, if you can just talk about the offsets and how long could it come or could it take for the offsets

to

come?

That's

my

first

question.

Mr. Vijay Shekhar Sharma: First and foremost, I would talk about what PIDF core was built. I mean, we all

as

an

industry

loved

it

when

it

was

done

because

the

extension

of

payment

to

the

hinterland

of

India

was

tougher,

especially

when

you

were

adding

a

subscription

or

a

costly

device

to

the

element.

And

that

is

when

the

payment

development

fund

was

created

and

the

soundbox

was

added

to

this

element.

Typically,

it

existed

ever

since;

it

had

POS

devices,

the

card

devices.

And

I'm

very

happy

to

tell

you

this.

We're

talking

about

2026

now.

Everywhere in the country, the use-case of mobile payment is evident and clear. Even if a shopkeeper is out

there,

that

person

will

pay

a

subscription

fee.

The

key

word

i

s

that

value

prop

has

been

acknowledged.

Does

the

industry

need

PIDF?

Well,

as

an

industry,
we
are
welcoming
every
initiative
that
the
government
or
any
other
entities
look
to
give
us.
But
at
the
same
time,
our
business
model
is
not
based
on
this.
That's
the
key

word.

We

are

not

sitting

here

to

take

grants

as

our

profit

and

revenue.

That's

it.

Now, that means that we will offset. Yeah, it just gave us the opportunity to go into the line item of businesses,

which

was.

So,

well,

without

the

PIDF

initiative,

our

revenue

comes

from

the

merchants

paying

subscription

and

merchants

who

take

credit.

And

PIDF,

surprisingly,

was

not

to

credit-worthy

merchants,

if

you

will.

So

as

you

can

see,

we

were

deploying

where

we

were

ready

to

deploy

and

we

were

getting

the

revenue

from

a

set

of

merchants

that

we

were

able

to

convert

into

credit

worthy

merchants.

We were not the top deployer while we were the top merchant player in the industry. And it was because

we

never

looked

at

it

as

a

revenue

line

item.

We

rather

looked

at

it

as

extending

the

reach

towards

tier

3,

tier

4,

tier

5,

tier

6

and

the

places

where

we

would

have

not

reached.

Our model is perfect now. I'm very happy to say, we are now ready to tell you that we will offset it from, number

one,

the

subscription

that

we

earn

from

them

and

number
two,
cross
sell
of
financial
services
that
we
will
do
to
them.
And
that's
perfect.
And
that
is
why
we
believe
that
we
will
not
require
PIDF
in
our
business
model,
at

least

not

in

our

business

model.

We are not in device deployment, rental device as a business model, capex as a revenue model. We are strictly

about

payment

and

financial

services

and

that

is

sacrosanct.

So

now

why

are

you

talking

about

the

mid

50s?

Well,

we

have

always

been

conservative

on

the
numbers
and
we
believe
that
it
is
rather
better
to
say
mid
and
then
beat
it.

Mr. Madhur Deora: I'll just answer a couple of other things, Manish. So my expectation is that obviously the

work
started
immediately
and
we
were
ready
to
recalibrate
what
we
have
said,
higher

subscription

revenues

and

more

targeted

sales

efforts.

Our

expectation

is

at

least

30

-

40

percent

of

this

will

be

offset

this

quarter

and

more

over

time.

The work, like I said, is starting immediately. And the great thing about behind the scenes, what Vijay is saying,

and

we

have

talked

about

this
a
little
bit
previously,
is
that
a
huge
amount
of
our
sales
planning
now
is
AI
based
and
it
is
extremely
intelligent.
So
for
us
to
recalibrate
certain
efforts
and
measure
payback

periods

is

much

more

advanced

than

it

was

maybe

a

year

and

a

half

or

two

years

ago.

So these kinds of projects I think we can handle in a very disciplined manner. Why is CM down? We have put

that

out

as

the

worst

case

situation.

There's also a bit of a reporting issue here, which is that if the impact is offset by higher subscription revenue,

then

the

CM

will

be

fine.

It
will
be
the
same
as
before.

If
it
is
more
because
of
more
targeted
sales
efforts,

then
CM
may
go
down,
but
people
costs
might
go
down
as

well.
So at the EBITDA level, we have said significantly offset. But at the present time, we don't know exactly
how

much
of

that

offset

would

come

from

higher

subscription

revenue

versus

more

targeted

sales

effort.

And

that

may

or

may

not

have

an

impact

on

the

CM.

Mr. Manish Adukia: Very clear. Thank you for that. My second set of questions was just on the launch of products.

So

one,

I

know

in

the

shareholder

letter

you

mentioned

a

line

about

strong

traction

of

the

'Buy

Now,

Pay

Later'

product.

But

again,

just

where

are

you

in

your

journey?

I

think

last

time

around,

it

used

to

account

for
more
than
half
of
your
disbursals
before
you
had
to
pull
that
product
back.
So
where
are
you
on
your
journey
to
get
there?
And
also,
if
you
can
maybe
remind
me

where

we

are

on

wallet

potential

relaunch,

if

it's

likely

to

happen

sometime

this

year.

Mr. Vijay Shekhar Sharma: So, Manish, yesterday we were discussing, should we start disclosing credit disbursement

numbers,

the

number

of

crores

that

you

disburse

in

consumer

or

merchant?

One

thing

is

that,

because

you

read

it

so

nuancingly,

you

will

notice

that

we

have

added

'Buy

Now,

Pay

Later'

as

a

part

of

our

consumer

credit

plan.

And

that

means

that

we

believe

this

is

a

foundational

plan.

And happy to tell you that we are crossing hundreds of crores of monthly disbursement on this literally in the

less

than

six

months

of

launch.

And

we

are

talking

about

six

digit

customers

who

are

using

it.

But

I

think

I've

learned

only

one

thing,

that

incoming

metrics

are

useful
with
very
clear
modeling
that
you
can
say.
So
the
number
of
customers,
if
you
notice,
of
financial
services
will
increase
and
the
average
value
per
customer
will
increase,
which
is
what

you
will
continue
to
see
over
the
period.
And
wallet
wise,
as
a
promise,
I
would
rather
say
as
a
promise,
we
will
bring
the
wallet
back
home.
Mr. Madhur Deora: We just want to clarify the numbers that Vijay mentioned. It's been three months
since
launch.
We
have
crossed

one
lakh
customers.
And
within
six
months
of
launch,
we
expect
to
cross
hundred
crores
of
disbursal.
So
that's
the
early
trajectory.
Of
course,
it's
much
faster
than
the
first
time
we
launched

Postpaid.

So

we're

quite

pleased

with

that.

And

on

the

wallet,

like

Vijay

said,

we

are

going

to

bring

the

wallet

back.

We

do

think

that

just

to

manage

expectations,

because

in

conference

meetings

and

so

on,

we

get

a

lot

of

questions

on

this.

We had talked about wallet profitability being Rs 500 crores in January 2024. We don't think the product is

that

big

in

the

industry

going

forward.

So

we

want

to

bring

it

for

consumer

completeness

because

the

consumer

should

have
an
option.
We
are
big
believers
that
consumers
should
have
options,
as
many
options
as
we
can
come
up
with.
So
Postpaid
is
an
option,
wallet
is
an
option,
but
one
shouldn't

think

of

wallet

as

being

as

sticky,

as

relevant,

as

important

today

as

it

was

three

years

ago.

Mr. Vijay Shekhar Sharma: Manish, just in case, Postpaid customers are payment customers, so they are not

added

in

Financial

Services

customers.

Mr. Manish Adukia: Thank you for clarifying. Just the last question, maybe for Madhur. So I think early on

when

the

RBI

impact

had

come

through

and

you
just
started
recovering
from
that,
at
one
point,
you
had
called
out
what
you
believe
is
the
likely
growth
scenario
for
the
business,
which
I
think
you
had
said
more
than
30%

revenue

growth

back

then

with

15-20%

EBITDA

margin

over

a

period

of

time.

We are now four to six quarters past that. Now, if you were to just relook at the business today, from current

levels

in

2026,

if

you

were

to

take

a

two

to

three

year

view,

what

do

you

think

is

a
realistic
revenue
growth
that
the
business
can
deliver,
and
where
do
you
think
the
margins
can
get
to
over
a
two
to
three
year
period?

That's
my
last

question.

Mr. Madhur Deora: I think the outlook is more or less intact. I think we are as excited about the opportunity

in
India

today

as

we

were

two

or

three

years

ago.

The

more

we

do,

the

more

opportunities

we

find.

So

we

think

on

device

growth,

with

or

without

PIDF,

that

business

is

robust.

There

have
been
positive
surprises,
for
example,
beyond
UPI,
which
has
solidified
our
payments
processing
margin
and
made
the
payments
business
more
viable
for
us,
especially
on
the
merchant
side.
Our
merchant
loan
business

does

fantastic.

We have also mentioned that we did 25% growth on a like-for-like basis, which you can take it for what it's

worth.

Obviously,

the

reported

number

is

20%,

but

it

was

important

for

us

to

put

that

out

there,

especially

as

we're

planning

for

next

year.

And

this

is

a

year

in
which
certain
businesses
did
not
quite
do
as
per
our
expectations.

So
the
consumer
credit
cycle
continued
for
a
bit
longer
than
we
thought,
which
affected
personal
loans
and
credit
cards.
We

have

been

quite

transparent

about

the

fact

that

the

marketing

services,

it's

been

flattish

over

the

last

three,

four

quarters.

There's

more

work

to

do.

So as we get some of those things going, Paytm Money is also showing good signs. As we get all of those things

going,

I'm

very

positive

that

we

should

be
able
to
accelerate
growth,
and
the
EBITDA
margin
outlook
is
intact,
and
we
are
actually
heading
towards
that
quarter-on-quarter.

As
you
can
see,
we
have
a
ton
of
operating

leverage.

Mr. Vijay Shekhar Sharma: I think I'll also add one last line that we are more sure than ever because of our

focus

on
the
core
business
model
that
we
have
had.
Earlier,
we
were
not
sure
of
whether
it
is
scalable,
free
cash
generating
business
model
or
not.
So
that
is
why
there
were
a

few

more

line

items,

and

those

line

items

have

improved.

So

I'm

going

to

say

that,

well,

this

is

the

core

of

core.

Mr. Manish Adukia: Thanks a lot. Thank you for taking my questions. Have a great day. Moderator: Thanks, Manish. We will take the next question from Sachin Salgaonkar, followed by Pranav Gundlapalle

from

Bernstein.

Mr. Vijay Shekhar Sharma: Thank you, Sachin, for switching on the videos, guys. I really appreciate it. And

I'm

not

putting

a

pressure

on

others

who

don't

or

may

not,

but

thank

you.

Mr. Sachin Salgaonkar: Thanks, Vijay. Morning, all. I have three questions. First is just following up on the incremental

levers

for

growth.

And one way to think about it is clearly there is a lot of confidence in the merchant lending, soundbox, UPI

in

terms

of

what

you

guys

have

achieved.

Your

shareholder

letter

did

mention

that

you

now

have

all

three
payment
licenses.

So

on

the

back

of

it,

should

we

expect

an

acceleration

of

merchant

and

consumer

onboarding?

And, you know, as a follow up to one of the earlier questions, is Postpaid today at an inflection point where

going

ahead,

we

should

continue

to

see

that

growth?

And

also

on

those

lines,
equity
brokering,
are
we
again
at
that
point
where
we
could
see
more
disclosures
from
you
guys
as
this
business
scales

up?

Mr. Vijay Shekhar Sharma: Yeah, yeah. So the upside is very clear. Get more, more merchants. And thanks to the focus that I've said, there is a huge amount of upside left in online merchants that I want

to

tell

you

that

we've

started

doing

it.

You
may
have
noticed
that
I've
become
the
CEO
of
the
PPSL
company.

So
online
business
will
start
generating
more
upside
in
payments
and
financial
services.

In fact, I want to put it on the table that online business has a margin because of platform fees and many other

EMI
and
card
initiatives
that
we

do
with
merchants,
leading
to
more
monetization
on
payments.
So,
number
one,
I
think
we
have
literally
added
a
new
line
of
business,
which
will
be
materially
sizable
because
that
business
since
2021

was
paused
practically.
I
mean,
it's
an
important
thing
to
note
that
the
payment
business
will
get
boosted
because
of
permission
and
the
structure
that
we
are
doing.
So
we
are
recruiting
in

that.

You

will

see

more

recruitment

of

sales

executives

for

our

enterprise

sales.

And

because

we

are

championing

offline,

we

were

championing

online.

Now

we

can

acquire

both

in

the

same

entity.

Number two is that, you know, that our device-led offline merchant businesses are phenomenally better than

anybody

else.

Now

that

everybody's

numbers

are

out

in

the

market,

I

can

flawlessly

say

that

every

replica

of

our

business

model

is

a

proof

of

our

business

model

and

acknowledgement

and

we've

done

better

than

anybody

else

that

is

shown

there.

So now we have double the confidence of dominating more merchants and more cross-sell of financial services

to

these

merchants.

So

that

remains

the

core

business.

Like

you

very

well

pointed

out,

there

is

an

upside

in

'Buy

Now,

Pay

Later',
Paytm
Postpaid
and
inflection
point.
I
think
I'll
wait
for
let's
say
six
months.
I
want
to
make
it
sizable.
And
then
we
want
to
move
towards
the
credit
business,
which
is

led

by

that.

Because

there

is

a

nuance

of

led

by

payment

and

adding

to

the

payment

in

this.

And we don't think that, ok, let's just do this business. For example, like we used to distribute credit cards

and

we

just

stopped

that

business.

Because

I

was

like,

it

does

not

add
to
anything.
Just
because
you
have
traffic,
you
can
try
doing
it,
is
not
a
business
model.
Let's
say
that
is
what
we
do,
which
grows
your
moat
and
protects
and
expands

the
moat
instead
of
just
because
you
are.
And
that
is
how
the
optimization
of
cost
also
has
been
happening.
If
you
notice,
I
mean,
an
unstated
statement
is
that
every
quarter
cost

optimization

is

continuing.

And

there

was

a

question.

I

remember

a

couple

of

quarters

back.

How long will it continue? I was like, this is a continuous thing. And further pruning, further pruning, optimizing

for

what

is

called

core

moat,

expanding

this,

pro

tecting

it

and

monetizing

it.

So,

yes,

by

now

pay

later

is

one

moat.

And Paytm Money, let me say this. I mean, when we launched Paytm Money, it was the top SIP producer in

the

country.

We

got

defocused.

We

went

through

an

IPO.

We

went

through

many

other

processes.

And

we

want

to

make

Paytm

Money

a

top

five

player

in

less

than

next

three

years.

So

it'll

be

material.

Yes.

You've

seen

the

MTF.

We

started

to

play

offense

by

putting

MTF

benchmark

in

the

market.

And

this

is

because

we

have

a

book,

we

have

capability.

We

can

do

it.

We have certain other wealth products. They've done phenomenally well. And expanding this year, we will

also

expand

more

kinds

of

merchant

credit

because

we

are

now

getting

online

merchants,

large

types

of

merchants.

So, I mean, what previous question that was answering a few minutes back, that we are more sure than ever

of

higher

growth

and
higher
margin.

And

I
think,
like

I've
said

it,
we

don't
want

to
focus

on
any

vanity

metrics

whatsoever.

We've

reduced

them

all

to

focus

only

on

how

our

revenue

growth

and

bottom

line

growth

and

free

cash

growth

goes

on.

That's

it.

Mr. Madhur Deora: Paytm Money, just to finish this session. As a legal entity, they do disclose financials and

there's

a

whole

bunch

of

industry

information

available

on

active

transacting

users

and

so

on.

I

think

my

sense

is

that

we'll

start

sharing

more

information

as

it

becomes

sort

of

a

high

single

digits

type

of

revenue

for

us

overall.

Currently,

it's

low

to

mid

single

digits.

So

just

wait

up

maybe

a

few

more

quarters.

Mr. Sachin Salgaonkar: Thanks, guys. My second question is, we did see an increase in promotional expenses

this

quarter.

The

question

out

here

is,

should

we

continue

to

see

spends

increasing

out

here?

And

if

so,

will

it

be

more

towards

a

consumer

retention

or

towards

a

market

share

gain?

Mr. Vijay Shekhar Sharma: Market share gain. Mr. Madhur Deora: I should just add that I think consumer retention, market share gain, we see that as completely

overlapping

because

the

focus

is

on

high

quality

users

and

building

retention,

which

then

gives

us

market

share

gain.

So

it

is

not

about

let's

go

in

and
double
down.
That
is
not
the
focus.
The
focus,
because
you
could
dilute
quality
on
the
platform
dramatically
and
that
affects
your
RoI
and
retention
rates
and
so
on.
So,
yes,
like

Vijay

just

said,

it's

market

share

gain,

but

it's

driven

by

making

sure

we

have

high

quality

users,

high

quality

of

engagement

and

that

being

the

path

to

market

share

gains.

Mr. Sachin Salgaonkar: And should we expect the 3Q numbers to be the new normal or there's room to further

increase

from

these

levels

as

well?

Mr. Vijay Shekhar Sharma: Increase what? Cost? Mr. Sachin Salgaonkar: The promotional expense. Mr. Vijay Shekhar Sharma: All right. All right. All right. No, no, no, no. I've said it. I'd rather build a product-led,

technology-led

product

instead

of

marketing

or

marketing

spend-led

product.

So

we

were

bare

minimum

and

we

had

told

about

it

in

a

previous

quarter,

if

you

remember

that,
that
we
would
do
it
calibrated.

So
I
think
this
could
be
more
or
less
the
normal
trend.

Mr. Sachin Salgaonkar: OK, the third question is on PIDF and thanks for clarifying the impact on contribution margin.

But
from
a
very
near
term
point
of
view,
I
wanted

to
understand
the
impact
on
EBITDA
also.
In
the
sense
of
a
slightly
lower
contribution
margin,
should
it
trickle
down
and
have
an
impact
on
EBITDA
or
because
you
guys
are
controlling
your

indirect

cost,

there

should

not

be

too

much

of

an

impact

on

EBITDA

even

in

the

near

term

before

any

offsetting

impact

comes?

Mr. Madhur Deora: Let's just park the contribution margin as a walk from PIDF revenue to EBITDA. What we

have

said

is

we

should

be

able

to

significantly

offset

this.

And

in

response

to

Manish's

question,

I

said

this

quarter

alone,

we

should

be

able

to

offset

at

least

30-40%

of

it.

So last quarter, this number was some Rs 80 crores. We should be able to offset 30-40% of it, but the remaining

impact,

call

it

60%,

will

be

down

to

EBITDA.

So

yes,

in

the

very

short

term,

we

will

take

an

EBITDA

impact

in

Q4.

But

over

time,

we'll

be

able

to

recover

more,

offset

more

of

this.

Mr. Vijay Shekhar Sharma: Yeah, Sachin, these merchants actually, now that our cross-sell monetization machine

is

better

than

ever
before,
and
we've
been
focused
on
monetizable
merchants.

So
we
here,
also
focus
on
those.

So
the
monetization
from
these
merchants

will
start
trickling
in.

So
it
was
more
like
a
little

bit
of
subventioning
of
capex,
if
you
will.
But
now,
if
you're
talking
about
this,
monetization
is
absolutely
the
way
ahead
for
us.
We
did
not
try
acquiring
every
merchant
for
this.
We

rather

acquired

good

quality

merchants

whom

we

thought

we

could

extend

credit

distribution

or

any

other

product.

Mr. Sachin Salgaonkar: Got it. And last question, wanted a clarification or more details on that. Your shareholder

letter

mentioned

you

have

adopted

a

more

conservative

revenue

recognition

policy

in

the

past

few

quarters.

Can

you

elaborate

on

that?

Mr. Madhur Deora: Yeah, so there's been a few different things. But I think the one example I can perhaps

give

is

that

a

merchant

who

is

taking

a

device

from

us,

when

they

become

inactive

in

a

certain

month,

a

large

percentage

of

them

do

get

reactivated.

So

we

had

a

certain

policy

with

respect

to

what

percentage

of

it

we

would

get,

or

for

how

long

we

would

recognize

revenue

for

an

inactive

merchant.

And of course, if they're inactive after a certain period of time, we would take that pace and stop recognizing

revenue.

We
have
tightened
that.

As
a
result
of
that
policy,
we
would
get
some
provision
for
doubtful
debt.

Because
some
of
that
revenue
you're
not
able
to
collect.

So
what
we
did
was

we
said,
we're
going
to
be
much
tighter
about
merchants
if
they've
been
inactive
for
more
than
30
days,
we'll
stop
recognizing
revenue
from
them.
Which,
like
you
have
seen,
has
a
huge

impact

on

PDD.

So at an EBITDA level, it is neutral. We think it's much cleaner reporting. It's much more transparent reporting.

So

that's

the

largest

example

of

what

we

did.

Mr. Sachin Salgaonkar: Thank you and all the best. Moderator: Thanks. Thanks, Sachin. We will take the next question from Pranav Gundlapalle, followed by Sachin

Dixit

from

JM

Financial.

Mr. Madhur Deora: And we just request people to limit themselves to two or three questions. Without too

many

sub-questions

either,

if

you

don't

mind.

Mr. Vijay Shekhar Sharma: I think this quarter has some things which people want to know. And I think we

are

really

making

ourselves

available.

And
we
can
also
extend
the
call.

I'm
okay.

We
can
extend
the
call.

Thank
you.

Good
morning,

Pranav.
Mr. Pranav Gundlapalle: Good morning. Just a couple of questions. So one is, could you shed some light on,

I
know
we
talked
about
costs
in
the
earlier
questions.

What
are
the

moving

parts

there?

We've

seen

almost

a

flat

cost

line

for

almost

four

or

five

quarters.

So

one,

what's

really

happening

in

the

background?

And

if

it

doesn't

go

up,

when

do

we

start

getting

worried

about

underinvestment?

So

that's

the

first

question.

And the second one is more on the registered merchants. You do share that number. Would you be able to

share

some

color

on

how

many

of

them

are

active

and

how

is

that

growth

playing

out?

Because

the

registered

merchants

are

growing

at

about

12%,

whereas

your

devices

obviously

are

growing

a

lot

faster.

So

in

between,

when

you

have

the

active

merchants,

how

is

that

number

shaping

up?

Mr. Vijay Shekhar Sharma: The first question on investment is, rather, we are sometimes, are you sure you

want

to

overinvest

like

this?

Because

he

wants

to

keep

a

disciplined

eye

on

it,

which

is

very

good.

And

I

can

say

that

the

lovely

thing

that

you

saw

is

that

consumer

investment,

we

started

doing

it.

I mean, this is because we believe that we have a monetization capability. I mean, the puzzle in the consumer

is

how

will

you

monetize?

Advertising

is

not

monetization.

You

have

traffic.

Everybody

got

traffic.

How

can

traffic

be

justified

on

anything

else?

So

I'm

happy

to

say

that

we

have,

once

we

learn

how

to

monetize,

we

are

expanding.

And

that

is

how

our

business

is.

And

on

the

merchant

side,

you

keep

seeing.

Actually,

one

of

the

discussions

Madhur

was

doing

in

my
monthly
business
review
was
that
our
sales
people
cost
is
like
rocketing.
I
mean,
if
you
see
a
year
on
year
or
anything,
and
I
said,
Madhur,
let's
just
double
down
on

that.

I

mean,

why

would

we

not?

And then we discussed that. How can we AI optimize that line item, by the way? I mean, this is, I want to tell

you

very

flatteringly

to

the

team

that

is

doing

this

job.

It

is

extraordinary

confidence

of

per

dollar

incremental

investment,

how

much

of

the

bottom

line

we

get.

I

mean,

it

is

more

than

ever

and

it

will

become

juicier

than

ever

further

ahead.

So

there

is

investment,

surprisingly.

And the good thing is that I'm removing the deadwood continuously. That project will continue. So there you

see

relocation

happening

within

the

cost.

It

is

not

that

we

are

not

investing

in

the

future.

We

are

rather

investing

in

the

future

and

removing

what

we

don't

want

to

carry

forward.

That's

what

it

is.

Mr. Madhur Deora: I should just maybe add a couple of things. In marketing and sales, our mindset is we should

invest

as

much

as
possible
that
we
can
with
high
discipline.

So
you
would
see
that
our
sales
employee
cost
this
quarter
is
actually
all
time
high.

So
we're
not
under
investing.

We do think in parallel, we're constantly working like Vijay is saying on productivity. So, for example, we reduced

our
marketing

expen
ses
somewhat
because
Vijay
was
not
convinced
that
it
is
as
productive
as
it
can
be.
i.e.
it's
not
as
product
led.
So
we
took
a
pause
there
for
a
few
quarters
and

said

we'll

fix

the

product

first.

And

then

we're

going

to

spend

more

on

marketing.

On

sales,

we're

doing

it

in

parallel.

So

we're

perfectly

happy

to

invest

more

in

sales

even

next

quarter.

But

we're

going

to

do

it

productively,

subject

to

PIDF

targeted

sales

efforts,

etc.

On other things, which are not marketing, non-sales, AI has helped tremendously. There are certain places

where

we

have

had

better

commercial

negotiations.

Given

that's

an

ongoing

exercise.

And,

of

course,

that

other

indirect

expenses

we

have

called

out

is

positively

impacted

due

to

PIDF.

So

we

feel

actually

very

happy

with

the

cost

structure

we

have.

That

we're

not

under

investing.

We are doing it the right way and we're focusing on productivity. On registered merchants, just to clarify, Pranav,

we

have

a
number
of
registered
merchants,
which
is
disclosed
in
the
back
of
the
document,
which
is
4.8
crores.
Ignore
that
completely.
We
never
talk
about
that
in
the
front
of
the
document.
That

is

a

SEBI

obligation

that

we

carry.

So

that's

there.

So I'm just telling you that that's not the number that we use for our operations. We do talk about subscription

merchants.

These

are

merchants

that

actually

have

a

device

from

us.

That

is

1.44

crores.

We

see

that

as

the

proxy

for

our
top
of
the
funnel.
I
don't
think
we
are
going
to
start
adding
more
KPIs
on
top
of
the
funnel
KPIs
just
because
others
are
doing
it
and
so
on.
Because
our

focus

is,

that's

the

deployed

base.

Let's

focus

on

revenue

and

profitability.

And

not

adjusted

revenue

and

profitability,

if

I

may

add.

Revenue

and

profitability.

And

we're

just

going

to

try

that

going

forward.

Mr. Pranav Gundlapalle: Understood. Just one follow up there. What percent of your GMV would be coming

through

these

device

merchants

of

your

entire

stated

GMV?

Mr. Vijay Shekhar Sharma: I think significantly more than the majority. I mean, the QR merchants are practically

nearly

negligible.

I

mean,

my

sales

team

does

not

even

deploy

QR

merchants.

Internal

funnel

for

device

deployment

is,

churn

the

other
competition's
device.
It
is
not
QR.
We
used
to
do
it.
And
we
used
to
deploy
QR
and
upgrade
them
to
Soundbox.
Now
we're
like,
okay,
the
bad
device
is
out
there.

Let's

churn

them

into

us.

Mr. Madhur Deora: In the offline world, vast, vast majority. Obviously, there's an online GMV as well. There's

Paytm

App

GMV

as

well.

But

in

the

offline

world,

vast,

vast

majority

comes

from

Soundboxes.

Mr. Pranav Gundlapalle: Okay. Would it be fair to say like maybe 75, 80% of your offline GMV. From merchants

who

have

devices

installed.

Mr. Vijay Shekhar Sharma: Nearly all. Mr. Madhur Deora: QR only merchants are negligible. Mr. Vijay Shekhar Sharma: Negligible. Okay. So that's why we started to index only on the merchant whom

we

can

charge

the

money.

Look,
Pranav,
it's
easy
to
give
any
KPI
whatsoever.

For
example,
I
can
deploy
a
device.

And
if
it
is
for
free,
well,
you
can
say
whatever
about
it.

I
mean,
a
monetizable,

capable

merchant.

And

that's

why

we

call

it

subscription

revenue

if

you

notice.

We

don't

call

it

the

device

merchant,

deployed

device,

blah,

blah,

blah,

blah.

It's

the

only

material

number

that

we

showcase.

And

I'm

sure

you'll

adjust

to

that.

Mr. Pranav Gundlapalle: That helps a lot. Thanks a lot. Thanks a lot, guys. Moderator: Thanks, Pranav. We will take the next question from Sachin Dixit from JM Financial followed by

Jayant

from

Axis

Capital.

Mr. Sachin Dixit: Good morning, Vijay and Madhur. Thanks for the early earnings call. So quickly on the payment

business,

right?

So

you

have

highlighted

in

your

letter

that

there

was

a

four

basis

points

plus

payment

processing

margin

this

quarter.

If

we

can

probably

break

down

some

color

on

this

and

if

there

is

any

guidance

on

because

this

used

to

be

three

to

four

basis

points

earlier.

If

there

is

more

trending

upwards

of

this

four

basis

points

margin.

Mr. Madhur Deora: Exceeding that consistently. Some of the instrument mix is helping. Last quarter there

was

a

lot

of

question

whether

this

was

EMI

driven

or

festive

driven.

That's

always

a

part

of

it,

but

it
is
not
the
major
driver.
We're
not
guiding
to
higher
numbers
right
now.
We
want
to
see
just
market
discipline
continue
and
the
trend
of
things
like
RuPay
on
UPI,
et
cetera,

continue

and

positive

mix.

But

we

feel

pretty

confident

that

it

will

stay

above

four

basis

points

for

the

next

few

quarters.

Mr. Sachin Dixit: Understood. On the marketing services side, obviously we have seen some bottom out happening.

The

numbers

have

improved

on

a

QoQ

basis

slightly.

We

are
also
investing
on
our
own
marketing
expense
on
consumer
retention,
trying
to
focus
more
on
the
app
side.
Do
you
have
any
visibility
there?
Right.
If
we
can
see
a
slightly
improved

growth
trajectory
going
ahead
or
are
you,
the
business
still
continues
to
be
in
a
wait
and
watch
mode.
Mr. Madhur Deora: I think we will continue to see growth in this business, but it is fair to say that the
underlying,
and
this
is
four
or
five
different
things
together,
which
are
sort
of

exposed
to
market
conditions.
So
we
did
have
a
very,
very
small
business
in
advertising
for
real
money
gaming,
which
went
away
in
Q2.
It
was
about
1%
of
our
total
revenue.
So

much,
much
smaller
than
other
numbers
that
you
may
have
heard.
So
that
was
sort
of
a
headwind.
Obviously
the
travel
business
has
had
a
few
hiccups,
you
know,
most
of
last
year.

So
there
are
a
few
market
conditions
that
do
affect
this
business,
but
we
did
see
bottoming
out
last
quarter
and
we
could
see
that
it
had
bottomed
out,
which
is
why
we

called

it

out

in

the

last

quarter.

And

we

do

think

that

this

business

should

continue

to

grow.

Mr. Sachin Dixit: One last question, if I can squeeze in. One of your listed peers talked about watching out

for

MDR

on

organized

merchants

in

the

budget.

Do

you

have

any

views

on

that?

If

there

is

any

UPI,

MDR

sort

of

potential

appearing

to

you?

Mr. Madhur Deora: It's two days away. So let's just wait now. Sure. All right. Thank you and all the best. Mr. Sachin Dixit: Thank you and all the best Mr. Madhur Deora: Thank you so much Moderator: Thanks, Sachin. We will take the next question from Jayant, followed by Piran Engineer from CLSA.

Mr. Jayant Kharote: Thanks, Anandita. H

i, Madhur. Hi, Vijay. Thanks for the opportunity. So the first one is

on

payments.

So

I

presume

the

net

payment

margins

are

holding

very

strong

at

4

plus

for
the
next
foreseeable
future.
So
that
is
leading
to
an
implied
device
yield
of
60
rupees,
if
I'm
not
wrong,
excluding
PIDF.
So
now
if,
Madhur,
you're
saying
we
can
recoup
30

-

40

percent,

do

we

assume

this

60

moves

to

65

immediately

in

this

quarter?

Or

you're

talking

about

sales

efforts

plus

cost

efforts

leading

to

that

30

percent

offset?

Mr. Madhur Deora: Yeah. So, Jayant, it's hard to sort of boil it down to only subscription revenue because,

like

I

said

earlier,

our

AI-led

model

targets

a

better

payback

period.

Now,

the

better

payback

can

come

because

the

subscription

revenue

is

slightly

higher

or

because

the

sales

effort

is

slightly

lower

or

because

the
merchant
is
transacting
more,
the
merchant
is
more
lending
propensity
merchant,
et
cetera.

So it targets a whole bunch of different efforts which give us the RoI. So having evolved to that state, we are

not
going
to
override
it
by
just
saying,
hey,
let's
just
charge
more
subscription
to
everyone.
So

it's

hard

to

then

boil

it

down

to,

hey,

is

it

going

to

be

60

rupees

going

to

65

rupees

of

subscription.

My

sense

is

in

certain

places,

we

are

going

to

see

that
years
of
investment
have
changed
behavior
to
a
point
that
merchants
are
actually
okay
to
pay
a
little
bit
more,
right?
Whereas
in
other
areas,
we're
going
to
find
that
a
merchant

is
quite
engaged,
and
as
a
result,
there's
more
lending
propensity
in
that
area.
So
it's
not
a
combination
of
these
things.
But
I
think
it's
fair
to
say
the
subscription
revenue
on

a

blended

basis

will

offset

some

of

the

PIDF.

Mr. Jayant Kharote: And regulation-wise, you didn't have any prohibition on collecting subscription fee from

PIDF

merchants,

right?

Mr. Vijay Shekhar Sharma: No. No, no, no, no. It was a capex subsidization Mr. Jayant Kharote: Some of them may be actually already paying Mr. Vijay Shekhar Sharma: You got it. You got it. Mr. Madhur Deora: Some of them do pay, but they do pay lower than our model would suggest, okay, let's

just

charge

them

a

bit

lower

than

what

another

similar

merchant

might

pay

in

another

area.

Mr. Jayant Kharote: Great. And that gives you some confidence that at least some cohorts can be moved up

and

offset

on

the

...

Mr. Madhur Deora: Exactly. Mr. Vijay Shekhar Sharma: Yep, yep, yep. Mr. Jayant Kharote: The second piece is on lending. I mean financial services. I believe the non-DLG mix is

moving

up,

right?

So

that

would

have

caused

downward

pressure

on

absolute

revenue

growth

in

that

line.

And

still

we're

seeing

very

strong

growth.

So

is

it

MTF

or
is
it
more
disbursements?

Which

of

the

two

is

really

driving

up

that

strong

growth?

Mr. Vijay Shekhar Sharma: MTF is not in our credit revenue, by the way. It's in financial services, but we don't

treat

it

as

a

credit

line.

Yeah,

exactly.

Mr. Madhur Deora: So the DLG mix has gone down year on year. DLG mix has been broadly stable quarter

on

quarter.

So

just

to

clarify

that,

we

have

seen

that

trend

for

the

last

three

quarters.

The

vast

majority

of

the

revenue

increase

that

you're

seeing

is

because

of

growth

in

disbursements

on

the

merchant

lending

side,

becaus

e

consumer

loans
continue
to
be
challenged
and
secondly,
very
good
efforts
by
our
collections
team,
which
is
resulting
in
good
outcomes
for
our
lenders,
which
also
gives
us
more
revenue.
So
it's
been
a

combination

of

those

two.

And

that

has

probably

been

the

trend

for

merchant lending for seven, eight quarters in a row now. So we are quite happy with the way that business

is

compounding.

Mr. Jayant Kharote: And if I am correct, this comes in the base in the next quarter, the mix change. That means

from

next

year

onwards,

optically

the

growth

should

start

looking

better

on

financial

services?

Mr. Madhur Deora: Logically, yes. But I think on merchant lending, those trends will broadly continue. So it

won't

be

like

a

jump

sort

of

thing.

But

when

you

look

at,

you

know,

you

can

take

a

ball

and

sort

of

consumer

loan

cycle.

So

we

are

sort

of

subject

to

that

cycle.

And

Postpaid

being

a

larger

contributor,

and

all

the

very

good

success

that

we

are

seeing

in

MTF,

all

of

that

puts

us

in

a

very

positive

and

optimistic

trajectory

for

next

year.

Mr. Jayant Kharote: Great. If I could just squeeze in one last question on payments. So these four basis points,

I

can

sense

the

change

in

the

commentary

tone

from

three

to

five

to

more

than

four

comfortably.

Is

this

also

driven

by

RuPay

credit

card

on

UPI

and

the

online

business?

And

one

of

your

peers

has

disclosed

a

very

large

market

share

on

that

product.

Would

you

like,

I

know

Vijay

last

time

you

mentioned,

it's

a

multiple

of

your

current

market

share.

Would

you

like

to

call

out

that

number

now,

or

do

you

think

it's

still

too

early?

Mr. Madhur Deora: Sorry, on the first question, you got it exactly right. Which is, yes, there is a contribution

from

RuPay

and

UPI.

Better

credit

card

and

EMI

merchants,

and

just

growth

in

our

EMI

market

share

overall.

We're

doing

extremely

well.

And

we're

going

to

talk

more

about

that,

about

how

we're

going

to

sort

of

take

on

that

space

in

a

much

bigger

way

over

the

next

year.

Second

question,

I

didn't

quite

understand.

Mr. Vijay Shekhar Sharma: You were talking about EMI, I am assuming? Mr. Jayant Kharote: No, no, RuPay credit card on, sorry, RuPay credit card market share. In that space, one

of

your

peers

has

given

a

very

large

number

in

the

40s.

What

would

be

yours?

Would

you

like

to

call

it

out

right

now?

Mr. Vijay Shekhar Sharma: I mean, I'm sorry to say this. Market share is nothing but the revenue contributed

and

monetization.

Mr. Madhur Deora: So I haven't seen that comment on this, and we don't actually, we haven't sort of gone

and

said,

hey,

what

is

our

RuPay

UPI

market

share.

You

also,

but

I

would

imagine

that

one

thing

is

very

clear.

Mr. Vijay Shekhar Sharma: It's by the way, it's, I now get it. I think they're trying to, what's the new side UPI

market

share?

I'm

assuming

you're

talking

about

consumer

side

UPI

market

share.

And

there,

the

clarity

on

this

is

that

we

not

only

have

the

consumer

side,

we

also

have

a

merchant

side

revenue

and

acquiring

side
margin.
UPI,
unlike
in
other
cases,
has
a
different
type
of
distribution
ratio,
which
gives
enough
to
the
acquiring
side
business.
So
we
get
double
the
side
of
revenue,
and
we
get

a
disproportionately

large

si

de

of

revenue

on

the

merchant

side.

And that is why we not only gain from the consumer side, which probably you were saying about the markets,

but

at

the

same

point

of

time

on

the

merchant

side

gets

us

the

revenue,

higher

revenue.

So

we

continue to drive based on two line items. The MDR instrument; it is RuPay and EMI, both, which are large.

Mr. Jayant Kharote: Actually, I was asking on the merchant side only Mr. Madhur Deora: I'm just confirming from this point, trying to get on my physical long queue. On

merchants,

we

think

we're

doing

very,

very

well

on

the

acquiring

side

for

RuPay

on

UPI.

I

don't

have

the

exact

market

share

number,

and

I

don't

have

reference

to

the

comments

that

you're

quoting

from

another

peer,

nor

do

I

want

to

just

sort

of

tackle

that

head

on

anyway.

What I will say is that it's very clear from other people's disclosure that our merchant base is actually a superior

merchant

base

in

terms

of

quality.

So

they're

quoting

higher

sort

of

top

of

the
funnel
numbers.
So
the
number
of
merchants,
et
cetera,
they've
also
said
they
have
much
higher
PIDF
money,
which
is
also
an
indication
that
what
we
do
is
actually
higher
engagement
and

higher
quality
merchants,
and
we're
very
happy
with
that.
And
the
reason
I
bring
that
up
here
is
that
that
has
an
implication
on
a
merchant
who's
more
engaged
is
more
likely
to

pay

for

RuPay

on

UPI,

but

we

can

see,

we

can

check

for

these

market

share

numbers

offline

and

discuss

with

you.

Mr. Jayant Kharote: No, this is very clear, Madhur, the way you build out the funnel, it's very clear.
Congratulations

for

a

great

set

of

numbers

and

all

the

best.

Mr. Madhur Deora: Thank you. Moderator: Thanks, Jayant. We'll take the next question from Piran Engineer from CLSA,

followed by Vijit
Jain

from

Citi.

Mr. Piran Engineer: Yeah. Hi guys. Hi. Morning. Just a couple of follow-up questions, personally. Mr. Madhur Deora: Sorry, quick housekeeping. We'll just limit to two sharp questions because I do see seven,

eight

other

analysts

who

are

in

the

queue

and

we

will

extend,

we'll

also

extend

the

call

to

nine

o'clock.

Mr. Piran Engineer: Perfect, perfect. One is just a data keeping question. The consumer UPI GMV that you

mentioned

of

5.1

trillion

on

page

four,

that

includes

P2P,

right?

Mr. Madhur Deora: No. Mr. Vijay Shekhar Sharma: No, it does. Mr. Madhur Deora: Oh, sorry, it does. Mr. Vijay Shekhar Sharma: It is what NPCI gives as a number, part of, it is the fraction of that number.

That's

what

we're

saying.

Mr. Madhur Deora: My bad. Mr. Vijay Shekhar Sharma: It is what NPCI gives the GMV value.

Mr. Piran Engineer: Correct. So that's both P2P and P2M, to be clear. Then just my main questions. One is

just

a

follow-up

on

Jayant's

thing.

So

your

payment

processing

margin

has

gone

up,

but

the

payments

revenue,

the

net

revenue

has

not

gone

up

in

line

or

higher

than

GMV.

And

that's

because

soundbox

revenue

is

lower.

Is

my

understanding

correct?

Mr. Madhur Deora: Sorry, you'll have to tell me what exactly you're referring to. Mr. Vijay Shekhar Sharma: What we're saying is that your margin has gone up, but not the overall net payment

margin

or

revenue

has

gone

up.

Is

it?

Mr. Madhur Deora: Net payment margin as a percentage has not gone up. Is that what you're saying? Mr. Piran Engineer: So the net payment margin that you're disclosing, which was above three last quarter

and

above

four

this
quarter,
whereas

if
we
calculate
a
payment
margin
as
revenues
divided
by
GMV,
it's
actually
gone
down.

The
difference
between
what
you
all
disclose
as
a
net
payment
margin
and
the

calculated

one

would

be

soundbox

revenues,

right?

So

that's

really

what

I'm

trying

to

get

at.

Because

as

analysts,

when

we

calculate

the

take

rates,

it's

actually

declined.

Mr. Madhur Deora: I don't mind if we take that offline, but my understanding is GMV is up 24%, revenue is

up

22%.

Mr. Piran Engineer: Sorry, Madhur, I was referring to QoQ. Mr. Madhur Deora: Okay, so we'll take that offline if you don't mind. Mr. Piran Engineer: Yeah, no problem. And just lastly on the rentals thing, for soundboxes now, merchants

who've

used
it
for
the
last
two,
three
years
because
it's
been
more
than
three
years
since
the
product
is
out.
Have
you
all
been
able
to
increase
rents
and
if
so,
by
what?

I
understand
that
you
all
are
looking
at
multiple
parameters
such
as
ability
to
lend
to
that
merchant,
etc.
But
can
you
just
talk
a
bit
about
how
you
were
able
to
monetize

just

on

the

rental

bit

for

stickier

soundbox

merchants?

Mr. Madhur Deora: There are two, three factors, without getting into a lot of secret sauce. There are two,

three

factors.

One

is

a

merchant

who

is

highly

engaged,

is

willing

to

pay

more

for

the

soundbox

and

it

may

even

be

a
higher-end
soundbox,
right?

So
they
might
want
to
take

a
tap
soundbox

or
they
might
want
to

take
even

a
swipe
soundbox,

AI
soundbox,
etc.

So
they
are
willing
to
pay
more.

The
second
is
our
cost
per
soundbox
has
come
down
dramatically
if
you're
talking
about
over
a
three-year

period.
So the way our payback period math works is also quite different than it used to be three years ago. And the

last
point
is
that
the
payback
does
have
weightage
of
lending
propensity,
right?

If
a
merchant
has
been
with
me
for
three
years,
with
or
without
the
loan,
they're
quite
likely
to
be
a
high
whitelist
merchant
if
they've
been
with
us
sticky
for
the
last

three
years.
And
that
also
goes
into
pricing
versus
retention
benefits,
versus
lending
propensity
benefits.

So we do factor all of those in. So it'd be a generalization to say, hey, we do increase prices for everyone who's

been
with
us
for
one
or
two
years
because
actually
the
model
determines
that
and
it's

been

giving

us

good

results.

Mr. Piran Engineer: Got it. Okay, yeah, that's it from my end. Thanks. Will take that.

Moderator: Thanks Piran. We'll take the next question from Vijit Jain from Citi, followed by Pranav from Emkay

Mr. Vijit Jain: Hi Vijay, hi Madhur, good morning. And congratulations, good set of numbers here. Two questions

from

my

side.

One,

is

digital

gold

sales

a

decent

contributor

to

revenue

and

margins

for

you?

I

know

you

highlight

on

the

app

more

than

five

million

customers

purchase

gold

and

you

also

sell

gold

daily.

You

have

a

couple

of

products

there.

So

just

a

quick

word

on

that

one.

Secondly, I wanted to know, good to see your consumer UPI market share has started to go up. Where would

you

think

you

can

get

to

in

the

near

term

on

that

front?

And last question from my side, I'll just ask all my questions together if that's okay. On the online business,

are

you

going

to

focus

mostly

on

expanding

that

in

the

D2C

arena,

in

t

he

new

online

ventures

arena?

Where

do

you

think

the

best

opportunity

for

you

lies?

Those

are

my

questions,

thank

you.

Mr. Vijay Shekhar Sharma: So I'll start from the three, two, one. So online, our bet is lying that basically we

could

not

onboard

many

merchants

while

we

were

serving

the

current

merchants.

So

the

current

merchant

that

we

were

serving

versus

the

gap

that

has

existed

is

all

D2C

merchants

and

so

on.

So I'm sure you can very easily comprehend that our offering is more consolidated, not just online for online

players,

but

online

plus

offline

because

we

built

it

like

that

from

day

one.

And

then

we

also

have

a

consumer

over

these

merchant

players,

those

who

very

completely

lack

that

play

that

you

can

do.

So

we

are

not

looking

at

it

as

purely

payment

processing,

which

is

a

very

thin

margin

business

rather.

We are looking at it, how can we increase the business of this person? So it's a commerce led business plan

that

we

have

on

online

and

that

inherently

inherits

that

only

large

enterprise

processors

are

not

useful

because

they

have

their

own

businesses

of

acquiring

customers.

So

you

can

see

the
direction
there.
UPI
share,
market
share?

I
want
the
world
and

I
want
it
now.
What
kind
of
question
is

that?
I mean, we want to solve for the market share concentration risk by our organic technology plans. That's
it.

That's
our
ambition.

That's
our
mission
and
we
will
keep

at
it.
And
I
am
very
happy
to
tell
you
that
we
earned
the
right
to
be
that
once
the
regulator
permitted
us
last
October.
So
let's
remember,
we
are
less
than
one

year

old

company,

man.

Every

customer

wants

to

be

acquired

and

that

is

what

somebody

should

see.

So

I'm

happy

to

see

that

you

noticed

that.

What

is

the

ambition?

Market

share

concentration

problem

solved.

That's

it.

Nothing

else.

And finally on the gold, it's an easy one. I mean, it works. People have their ways to acquire because we did

the

SIP

and

mutual

fund

sales

and

so

on.

And

then

we

discovered

that

there

is

a,

I'm

sure

you

know,

the

digital

gold

as

a

category

was

built

by

Paytm

and

we

just

saw

that

customers

are

rather

more

comfortable

with

gold

and

you

know

that

every

day

gold

numbers

are

showing

up

and

so

on.

So

it

just
started
to
generate
self-interest
in
the
customer.

We
don't
look
at
it
as
our
winning
bet
or
losing
bet.

We
look
at
it
as
a
very
consistent
customer
retention
bet.

I believe if a customer has a lock-in on us with this, he will stay longer term. So we don't look at it as a margin

or

classic
revenue
product,
but
we
look
at
it
as
let's
retain
the
customer
by
committing
something
on
our
platform.

Mr. Vijit Jain: Got it. Thank you. Just a quick follow up on that. So I mean, what I was trying to get at is, I'm

assuming
these
would
have
some
take
rate
for
you
as
well,
right?

I
mean,
some
take
rate
either
as
a
processing
the
digital
gold
transactions,
et
cetera,
and
must
be
a
good
profit

pool.

Mr. Vijay Shekhar Sharma: Yeah. So the answer is that I would take down the take rate of the industry with

our
volume.

You've

seen

that

we

did

it

in

many

categories

and

we

will

do

it.

I

would

prefer

to

sell

it

on

the

least

margin

leftover

so

that

we

can

take

care

of

the

payment

processing.

For

a

payment

processor,

this

is

too
large
number
of
numbers,
It
is
rather
easier
for
me
to
sell
larger
volumes.
So
among
the
take
rate,
absolute
value
of
profit
and
the
number
of
customers,
number
of
customers.

Mr. Vijit Jain: All right. Thank you. And you've expanded internationally in quite a few geographies. Now I'm

wondering,

because

I

see

some

commentaries

around

this,

you

know,

if

you're

interested

in

the

Indian

diaspora,

consumer

side

business

here,

there

are

remittance

side

and

opportunities

there.

Mr. Vijay Shekhar Sharma: No, too exotic for us. We simply believe our merchant stack is very replicable, repeatable,

and

we

will

try

that

whenever

we

try.

So,

thank

you.

Mr. Madhur Deora: So our focus remains, as we have seen before, which is the merchant side business.

We

haven't

quite

expanded

yet

in

the

sense

that

we

have

set

up,

there's

a

lot

of

foundational

work

that

has

been

done.

So

we

have

created
these
entities
in
areas
where
we
have
concrete
plans
now.
And
over
the
next
three
to
six
months,
there
might
be
a
couple
of
announcements
with
respect
to
what
specifically
we
are

doing

and

what

partnerships

we

have

entered

into.

Mr. Vijit Jain: All right. Thank you, Madhur and best of luck to you guys. Thank you so much. Moderator: Thanks, Vijit. We will take the next question from Pranav Kshatriya from Emkay followed by Rahul

Jain

from

Dolat

Capital.

Mr. Pranav Kshatriya: Hi, thanks for the opportunity. My first question is on financial services. You know, good

to

see

a

growth,

double

digit

quarter

on

quarter

growth

on

that

product.

Can

you

give

some

color

on,
you
know,
what
exactly
is
driving
that?
Because
there's
a
personal
loan,
there
is
Postpaid
and
there
is
equity
and
merchant
loan,
you
know,
a
lot
is
happening.
So
some
color
on

that.

And

secondly,

bookkeeping

question,

other

direct

expenses

have

gone

up

by

16%

quarter

on

quarter.

So,

you

know,

what

is

driving

that?

So

these

are

two

questions.

Mr. Vijay Shekhar Sharma: Yeah. So, the simple thing is that like you might have heard in the early part that

I've

said

that

in

the
consumer
side
credit,
we
are
adding
BNPL
as
a
foundational
way
to
expand
on
it.
So
a
little
bit
of
growth
on
that.
Then
secondly,
which
also
means
that
we
are
less

interested
in
distributing
just
a
personal
loan,
which
we
believe
everybody
who
has
an
app
can
do.
So
we
don't
think
that
is
a
very
differentiated
moat.
So
we
rather
are
doing
it

like

this,

that

will

take

over

the

distribution

led

business.

So it may look flat, but internally very important to build a mode of payment led credit instead of just distribution

of

credit,

which

is

traffic

led.

Okay.

Now,

this

being

the

personal

loan.

Merchant

loans

are

consistently

growing.

There

is

a

great

understanding

by

the

industry

-

creditors

or

merchants,

both

sides

that

you

do

good.

You

get

good

credit.

And

these

are

very

good

quality

merchants

and

very

good

effort

that

Paytm

puts

in.

So
that
is
anyways,
the
core
reason,
but
at
the
same
point,
personal
has
gone
into
this.
And
yeah,
Paytm
money
started
to
show
green
shoots.

Mr. Pranav Kshatriya: So, I mean, equity broking share on a sequential basis would have sort of gone up, gone down, because I did see

a

little

bit

of

marketing

around,

you

know,

margin

trading

funding.

Mr. Vijay Shekhar Sharma: A little bit gone up, huge expectations internally from the team. Mr. Madhur Deora: So market share went up a bit and monetization went up a bit more than that because

of

MTF

products

and

so

on.

On

your

second

question,

Pranav,

we

have

other

direct

expenses,

a

combination

of

FLDG,

which,

which

goes

there

as

our

merchant

loan

business

is

scaling

and

also

a

little

bit

higher

collection

costs.

Those

are

the

primary

drivers.

Mr. Pranav Kshatriya: Okay, cool. Thank you. That's it from my side. Moderator: Thanks Pranav. We will take the next question from Rahul from Dolat Capital, followed by Suresh

Ganpathy

from

Macquarie

Mr. Vijay Shekhar Sharma: Morning Rahul. Mr. Rahul Jain: Yeah. Hi, morning. Basically, I have two questions. Firstly, if you could, have you, since you have

mentioned

about

the

consumer

monetization

side,

if

you

could

highlight

some

of

the

largest

use-cases

you

think

could

drive

the

momentum

and

some

early

metrics

on

the

Paytm

check-in

app,

if

you

want

to

share

that.

Mr. Vijay Shekhar Sharma: Single metrics on Paytm check-in, I want to tell you Rahul is, we have a funnel

that
converts
30
plus
percent.
I
mean,
it
is
shocking
that
you
talk
to
AI
and
say
that
I
want
to
book
the
cheapest
ticket
between
Delhi,
Bombay
next
week.
And
it
has

seven

days

and

it

has

any

hour

of

the

day.

And people find something so phenomenally good that they're converting 30 percent. One third conversion

of

an

AI

query.

I

mean,

that

is

phenomenal

for

me

because

these

are

minuscule,

less

than

1%

on

a

very

large

scale

of

OTA.

And

1%

is

considered

very

good.

So

check-in

is,

I

mean,

I'm

loving

the

product

differentiation,

technology

differentiation.

It

is

one

of

the

AI-first

products

that

we

talked

about,

by

the
way,
just
in
case.
So
that
you're
doing
something
where
the
AI
takes
the
lead
instead
of
a
traditional
way
of
doing
it.
So
very,
very
happy
with
it.
Your
first
question,

I

missed

it.

Mr. Rahul Jain: Yeah, I was saying, what are the bigger use-cases on consumer monetization? You have mentioned

five,

six

names,

but

value

wise,

if

you

think

you

can

highlight

one.

Mr. Vijay Shekhar Sharma: Yeah, absolutely. I think credit, wealth, and commerce equivalent , which are called

travel

or

deals,

et

cetera.

Mr. Rahul Jain: And just lastly, any device penetration, or you can say penetration on lending on the device

merchant.

Do

we

track

this

number

and

what

you

think

is

the

right

potential

out

here?

Because

I

think

this

is

the

biggest

moat

we

have.

Mr. Madhur Deora: Yeah. So it's currently about 7% on our, so roughly just, just under like a million loans a

year,

which

is

also

similar

to

a

million

loans

outstanding

at

any

given

point

of

time.

On

the

device

merchant

base

only

roughly

7%

of

that.

And

it

has

been

sort

of

going

up,

give

or

take

1%

year

on

year.

Just to remind everyone. So the three main drivers of our merchant loan business, in a sense, are a number

of

devices,

which

is

growing

at
about
27
lakhs
year
on
year,
percentage
penetration,
which
is
broadly
going
at
about
1%
a
year,
give
or
take,
and
then
average
ticket
size,
which
has
been
growing,
if
you
look

at
last
four
or
five
years,
compounded
about
15%
a
year
and
slightly
higher
than
that.

And the last one has been driven by the fact that the repeat behavior on the platform is very, very strong.

I
remember
five
years
ago,
people
had
questions.

People
want
to
take
higher
ticket
sizes.
Will

they
really
come?
So
in
our
model
five
years
ago,
we
had
actually
not
assumed
an
increase
in
ticket
size.
And
in
fact,
that
has
ended
up
being
one
of
the
major
drivers

for
the
growth
of
the
business,
which
is
very
positive
because
you
obviously
know
a
lot
more
about
somebody
who's
a
repeat.
And
it's
much
more
predictable.
So
it
has
been
those
three

drivers

for

the

business,

penetration

rate

being

one

of

the

three.

Mr. Rahul Jain: Yep. Just one subset of that question was, is there a number that we have identified that, okay,

this

is

the,

in

terms

of

the

transacting

data

or

any

other

way

you

identify

your

filter,

what

is

the

right

potential

market?

So

seven

is

the

current

thing,

but

what

is

an

ideal

number

that

you

could

reach

eventually?

Mr. Madhur Deora: This number could get as high as 20%. Our whitelist base is 40 to 50%, typically. Mr. Rahul Jain: Yeah. Right. Mr. Madhur Deora: So, and I'm assuming that the whitelist based on everyone will need a loan, even once

a

year.

But

just

to

be

clear,

when

we

think

about

the

business,

we

don't

think

about

primarily,

can

we

drive

penetration

higher?

We

think

about

product

market

fit.

We

think

about

repeat

behavior.

Obviously

we

think

about

asset

quality

for

partners.

And

then

on

the
merchant
payment
side,
we
think
about,
hey,
are
we
getting
relevant
merchants
on
the
platform?
Are
we
getting
high
engagement
from
those
merchants,
which
makes
our
life
much
easier
and
penetration
rates

sort

of

ends

up

being

the

output.

Mr. Rahul Jain: Yeah. Thank you. That's all from the side. Moderator: Thanks Rahul. It seems that Suresh has dropped off.

So we will take the next question from

Param

Subramanian

from

Investec

followed

by

Jigar

Valia

from

Ohm

Group.

Mr. Param Subramanian: Hi. Thanks. Good morning Vijay and Madhur. Hi. So my first question is on the payment

processing

margin

guidance.

So

we

are

currently

trending

comfortably

above

our,

you

know,

long-term

guidance.

So

are

we

going

to

revisit

this

now?

Because

some

of

this

seems

to

be

a

mega

trend,

right?

On

credit

penetration

picking

up.

Mr. Madhur Deora: I think I said that earlier. We'll probably look at that in the next two quarters. But currently

we

are

seeing

quite

a

solid.

Actually.

Positive

trajectory.

Mr. Vijay Shekhar Sharma: Yeah, actually it'll materially change when the MDR chatter settles. If there is no

MDR

chatter

this

year,

then

it

stays

in

the

same

sequence.

And

we

continue

to

see,

you

know,

merchants

that

we

are

adding,

but

normalizing

here.

At

the

same

time,

MDR

will

dramatically

change

it

because

there's

an

acquiring

side.

There

is

a

huge

amount

of

upside

on

MDR

may

not

be

on

the

consumer

app.

Actually,

I

just

want

to

be

reminded

that
all
the
money
goes
to
the
bank.

How much a big app can negotiate money off the bank is banks losing money. It is a bank losing money.
Here

in
acquiring.
You
have
a
responsibility
on
the
consumer
side.

You
are
just
a
layer,
like
a
leech
on
top
of
the
bank.

Mr. Madhur Deora: And also sort of in a very indirect sort of way, it also depends on whether there is

market
enforced
discipline
on
our
peers.
So
if
our
peers
are
doing
adjusted
metrics
and
we're
doing
real
metrics,
then,
you
know,
a
resource
allocation
can
work
a
certain
way.
I
have
to

say

the

market

discipline

has

been

okay.

I

don't

particularly

feel

like

the

last

one

or

two

years

have

been

a

land

grab,

but

it's

good

that

that

will

continue.

Mr. Param Subramanian: Fair enough. Thank you. On the subscription revenue piece, right? So you said currently

roughly

we're

trending

at,

you

know,

60

rupees

a

month

sort

of

rental.

Where

was

this

a

quarter

or

so

ago?

Because

I

think,

you

know,

coming

back

to

a

question

that

was

asked

earlier,

basically

quarter

on

quarter,

your

net

payment

margin,

that

number

is

lagging

the

quarter

on

quarter

GMV

growth.

So

it

seems

to

be

led

by

the

subscription

revenue.

So

where

would

your

say

rentals

be

versus

say

a

quarter

ago?

Mr. Vijay Shekhar Sharma: So if a merchant gets a loan, our loan subsidizes and removes the subscription.

So

now

you

may

think

that

the

subscription

has

got

reduced

while

the

merchant

has

become

of

higher

value.

So

the

business

model

to

be

looked
at
is
actually
merchant
subscriptions,
merchant
MDR
and
credit.
That's
the
stack.
It's
like
saying
that
voice
revenue
has
gone
away
because
data
subscription
has
been
availed;
no,
the
full
stack
ARPU

has

increased.

So

that

is

what

the

approach

is.

So a quarter back, I don't know the number, but at the same point of time, I'm not so less or more concerned

about

this

number,

because

I

think

acquiring

more

number

of

merchants

and

capturing

more

TAM

of

the

merchant

whom

we

can

cross

sell

upsell

and

monetize

is

the

approach

that

I

personally

carry

Mr. Madhur Deora: And the number was slightly higher. You should also know that we do factor that like for

like

subscription

per

device,

even

besides

the

subvention

that

Vijay

mentioned

should

go

down

some

low

to

mid

single

digits

every

year.

And
our
efficiency
on
capex
and
opex
should
be
higher
than
that.

Mr. Vijay Shekhar Sharma: Yeah. Right. Mr. Madhur Deora: So we are very conscious that there should not be a lack of efficiency on our side that

we
are
asking
the
merchant
to
subsidize,
right?

We
need
to
get
more
and
more
efficient
so
that
merchants

are
getting
the
device
for
as,
as
efficiently
and
as
cheaply
as
possible.

So
that
goes
to
sales
productivity,
that
goes
to
capex,
that
goes
to
opex
efficiency
and
so

on.
Mr. Param Subramanian: Fair enough. Thanks. One last question. If I made this a quarter and quarter
decline

and

other

indirect

expenses,

is

it

almost

entirely

the

PDD?

Mr. Madhur Deora: The big decline is because of PDD. There are things that we continue to do on making

sure

overall

we

are

efficient.

So

a

big

decline

is

because

of

PDD.

And

also

we

are

doing

a

pretty

good

job

of

collecting
receivables,
including
provision
receivables
in
the
past.
So
our
provisioning
policy
is
also
pretty
tight.

Mr. Param Subramanian: Fair enough. Thank you. Thank you. And all the best. Thank you. Moderator: Thanks Param. We will take the last question of the day from Jigar Valia from Ohm group.
Jigar

you
may
go

ahead

please.

Mr. Jigar Valia: Good morning and thanks so much for this opportunity. My question pertains to Vijay sir,
you

mentioned

that

we

are

still

very

early

days

and

customer
acquisition
is
the,
is
the
game
still.
And
so
if
you
have
to
look
at
it
from
three
to
five
years
now,
can
the
growth
rates
kind
of
really
sustain?
I
mean,

the

kind

of

what

we're

trending

and

targeting.

Mr. Vijay Shekhar Sharma: I think, as you've noticed, we've always said the customer that matters.

We're

not

saying

consumer

market

share,

merchant

market

share.

We

are

saying

customers

that

matters,

consumer

or

merchant.

So

in

the

customers

that

matter

and

consumers
in
India
based
on
the
next
three,
four
years
of
growth
and
worthwhile,
monetizable,
useful,
I'm
going
to
say
about
250
million
customers
is
a
good
number
for
us
to
aim
for.

I
mean,
what
percentage
of
the
market
would
it
be?

That's
for
the
market
to
discover.

But
at
the
same
point
of
time,

I
fundamentally
believe
we
today's
monetization
machinery
have
the
ability

to

monetize

250

million

customers.

And

now

what

market

share,

market

to

decide.

Mr. Jigar Valia: Got it. And while the land grab game still stays on, should we see a meaningful uptake in depreciation

going

ahead?

I

mean,

we've

really

benefited

quite

a

bit.

Mr. Madhur Deora: I think because our capex was quite low last year and much higher the year before, and

we

have

probably

a

two

to

three

year

depreciation

policy.

So

next

year

you

should

not

see

an

impact,

but

as

we

increase

capex

for

deployment,

then

yes,

the

year

after

that

there

might

be

an

increase.

Mr. Jigar Valia: Helpful. And lastly, congrats on the Paytm Check-in and the AI thing. It seems interesting but

from

a

spend

perspective

or

this

thing

would,

and

no,

that

really

comes

after

wealth.

So

I'm

hoping.

Mr. Vijay Shekhar Sharma: All our businesses are wise enough, self-sustaining enough. In other words, we

are

not

dumping

money,

throwing

money

on

those

things.

They

are

self-learning.

We

have

customer

traffic.

We

have

insight.

We

have

built

it

on

the

past.

But

these

are

all

rather

monetization

stages

instead

of

investment

sales.

But

at

the

same

time,

we

will

continue

to

invest

in

this

business

because

I

think

there

is

an

extraordinary

opportunity.

There

is

a

curve

in

consumer

behavior.

It

is

a

curve

in

technology.

And

that

is

where

the

opportunity.

Mr. Jigar Valia: Got my answer. So thank you so much and best wishes. Mr. Vijay Shekhar Sharma: Thank you so much. Thank you. I really appreciate everybody who joined us because

I

think

this

was

the

last

question.

Mr. Madhur Deora: I think we have nearly a hundred percent video on. Mr. Vijay Shekhar Sharma: A hundred percent video on. Thank you so much. One thing I just missed was the AI question. And I had some data guys and I'm not going to answer those numbers

right

now,

but

to

the

team

that

is

doing

AI

and

to

the

team

that

when

we

internally

are

like

building agents, agents that outrun and out execute LLMs, LLMs have a limitation of pretending that they are

the

answer

to

the

world

problem.

But

when

it

comes

to

a

real

world

problem,

they

are

not

able

to

solve

it.

That is why the gap between the quick deployment of AI, considering everybody uses software and how everything

could

have

not

become

AI

just

that

in

case.

And

that

offers

an

extraordinary

opportunity.

I'm

very

proud
of
the
team
that
is
building
these
capabilities
in
our
company.

And
I'm
going
to
show
you
some
index.

And
this
is
our

index.

Mr. Madhur Deora: Oh, best for the last type of thing! Mr. Vijay Shekhar Sharma: This is evaluating the language model of real world enterprise. Mr. Madhur Deora: This is a special treat for people who've decided to stay well beyond 9am. Mr. Vijay Shekhar Sharma: Yeah. So the keyword is this real world enterprise statement. So businesses have

to
use
real
world
use-cases.

And

for
that,
this
benchmark
shows
up,
and
your
favorite
company
tops
this
on
two
days
back
number.
I
mean,
I'm
very
proud
to
say
we
are
much
ahead
of
ByteDance,
Alibaba,
and
even

AT&T,

Snowflake,

everybody.

And it is not just number one for one use-case. We are also on the number six on use-case that we are showing

up

here.

Guys,

you

are

underestimating

the

power

of

ability

of

companies

that

will

not

only

leverage

AI

by

asking

their

vendor

to

deploy,

but

they

will

create

the

use-cases

and

they

will

create

the

use-cases

for

optimizing

cost

or

expanding

the

business

line

items.

And

I'm

phenomenally

very

happy

to

say

this.

This

goes

especially

to

the

team

that

did

it.

And with that intention that we will keep not just playing along, but we will lead the race of AI in the

country.

I

mean,

the

attention

to

the

artificial

intelligence

and

capability

of

agents

is

extraordinary.

And

that

is

what

will

be

the

special

attention

in

my

life

personally.

And

that's

numbers.

You're

seeing

it.

So

thank

you

so

much

for

joining.

It

was

great

to

see

you

all

in

the

early

morning.

Moderator: Thanks for that. We come to an end of this call. A replay of this earnings call and the transcript

will

be

made

available

on

the

company

website

subsequently.

Thank

you

all

for

joining

us

at

8

a.m.

You

may

now

disconnect

your

lines.

Mr. Vijay Shekhar Sharma: Thank you very much. Bye.

Call: May 2026

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Regulations, 2015 - Transcript of the earnings conference call conducted on May 07, 2026

Dear Sir/ Ma'am,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings conference call, conducted on May 07, 2026, on audited financial results of the Company for the quarter and financial year ended March 31, 2026.

The transcript is also available on the website of the Company at [https://ir.paytm.com/financial - results](https://ir.paytm.com/financial-results).

Kindly take the same on record.

Thanking you

Yours Sincerely,

For One 97 Communications Limited

Sunil Kumar Bansal

Company Secretary & Compliance Officer

FCS: 4810 Encl.: as Above

Paytm | Q4 FY 2026 Earnings Call |

Call Date : May 07, 2026 | Time: 8:00 AM Indian Standard Time

Disclaimer: By reading this call transcript you agree to be bound as follows: This earnings call with the management

of

One

97

Communications

Limited

("Company")

is

for

information

purposes
only
without
regards
to
specific
objectives,
financial
situations
or
needs
of
any
particular
person
and
is
not
and
nothing
in
it
shall
be
construed
as
an
invitation,
offer,
solicitation,
recommendation
or
advertisement

in
respect
of
the
purchase
or
sale
of
any
securities
of
the
Compan y
or
any
affiliat es
in
any
jurisdiction
or
as
an
induc emen t
to
enter
into
investmen t
activity
and
no
part
of
it

shall

form

the

basis

of

or

be

relied

upon

in

connection

with

any

contract

or

commitmen t

or

investmen t

decision

whatsoe ver.

This

earnings

call

does

not

take

into

account,

nor

does

it

provide

any

tax,
legal
or
investmen t
advic e
or
opinion
regarding
the
specific
investmen t
objectives
or
financial
situation
of
any
person.

The
information
to
be
presen ted
and
discussed
on
this
earnings
call
is
confiden tial
and
proprie tary

to
the
Company
and/ or
its
affiliates
and
no
part
of
it
or
its
subject
matter
be
used,
recorded,
reproduced,
copied,
distributed,
shared,
or
disseminated,
directly
or
indirectly ,
to
any
other
person
or
published

in
whole
or
in
part
for
any
purpose,
in
any
manner
whatsoever.
Statements
or
comments
made
on
this
earnings
call
may
include
certain
statements
that
are,
or
may
be
deemed
to
be,
“forward-looking

statements”

and

relate

to

the

Company

and

its

financial

position,

business

strategy,

events

and

courses

of

action.

Forward-looking

statements

and

financial

projections

are

based

on

the

opinions

and

estimates

of

management

at

the

date
the
statemen ts
are
made
and
are
subject
to
a
varie ty
of
risks
and
uncertainties
and
other
factors
that
could
cause
actual
events
or
results
to
differ
materially
from
those
anticipat ed
in
the

forward-looking

statemen ts

and

financial

projections.

We,

or

any

of

our

affiliat es,

shareholders,

direct ors,

emplo yees,

or

advisors,

as

such,

mak e

no

represen tations

or

warran ties,

express

or

implied,

as

to,

and

do

not

accept

any

responsibility

or

liability

with

respect

to,

the

fairness,

accuracy ,

completeness

or

correctness

of

any

information

or

opinions

contained

herein

and

accept

no

liability

whatsoever

for

any

loss,

howsoever,

arising

from

any

use

or

reliance
on
the
information
presented
and
discussed
in
this
earnings
call.
The
information
contained
herein
is
subject
to
change
without
any
obligation
to
notify
any
person
of
such
revisions
or
change
and
past

performanc e

is

not

indic ative

of

future

results.

It

is

clarified

that

this

earnings

call,

and

the

information

discussed

and

presen ted

herein,

is

not

intended

to

be

an

offer

for

subscrip tion

or

sale

of

any
securities
or
inviting
offers
or
invitations
to
offer
or
solicit ation
to
offer
from
the
public
(including
any
section
thereof)
or
any
class
of
investors.
No
rights
or
obligations
of
any
nature
are

creat ed
or
shall
be
deemed
to
be
creat ed
by
the
information
presen ted
and
discussed
on
this
earnings
call.
This
documen t
has
not
been
and
will
not
be
reviewed
or
appro ved
by
a
regulat ory

authority
in
India
or
by
any
stock
exchange
in
India.
No
rights
or
obligations
of
any
nature
are
creat ed
or
shall
be
deemed
to
be
creat ed
by
the
contents
of
this
documen t.

Moderator:

Good morning, everyone. Thank you for joining and welcome to Paytm's earnings call to discuss our

financial

results

for

the

quarter

and

year

ending

March

31,

2026.

We

will

start

our

call

with

Q&A

after

introduction

to

the

management.

From Paytm's management, we have with us Mr. Vijay Shekhar Sharma, Founder and CEO, Mr. Madhur Deora, President

and

Group

CFO,

and

Mr.

Anuj

Mittal,

SVP,

Investor

Relations.

A

few

standard

announcements

before

we

begin.

The

information

to

be

presented

and

discussed

here

should

not

be

recorded,

reproduced,

or

distributed

in

any

manner.

Some

statements

may

be

forward-looking

in

nature.

Actual

events

may

differ

materially

from

those

anticipated

in

such

forward-looking

statements.

Finally,

this

earnings

call

is

scheduled

for

45

minutes.

A replay of this earnings call and transcript will be made available on the company's website subsequently. If you

seek

to

ask

a

question,

kindly

utilize

the

'raise

hand'

feature
on
your
Zoom
dashboard.
Please
ensure
that
your
name
is
visible
as
your
name,
last
name,
followed
by
your
company
name,
for
us
to
be
able
to
identify
you.
We
will
unmute

your

line

and

take

questions

in

the

respective

sequence

of

the

raised

hands.

I

would

request if all folks can limit their questions to two. We will start our Q&A now. I'm just waiting for the queue to line

up.

Mr. Vijay Shekhar Sharma: There is a queue. Hi, good morning. Thank you for joining us early in the morning. Like

I'll

say

it

all

the

time,

you

may

not

switch

on

the

video

because

I

understand

this

is

early

in

the

morning.

That's

very

much

fine.

Keeping

the

tradition,

we

are

in

a

switch-on

video.

At

the

same

point

of

time,

this

time

we

changed

the

earnings

release.

We
tried
to
make
it
crisper.

We
tried
to
make
it
simpler.

We
tried
to
bring
about
what
is
important
and
our
communication
style
to
tune
a
little
more
about
how
we
believe

that
it
should
be
done.
I'm
sure
you
will
have
feedback,
love
to
get
the
feedback,
and
we
will
tune
accordingly.
I
hope
you
like
the
one
right
now.
With
me
is
Madhur

here,

and

we

can

start.

Thank

you.

Moderator: Thanks, Vijay. The first question will be from Mr. Manish Adukia from Goldman Sachs. Manish, you may

unmute

your

line,

and

please

ask

your

question.

Mr. Manish Adukia: Hi, good morning. Thank you. Sorry, it took me a while to get in the room. Morning Vijay, morning

others.

Good

to

see

you,

and

thank

you

for

taking

my

questions.

First one, maybe just on the guidance. A bit more colour on the revenue growth acceleration that you've talked about

in

Fiscal

27.

Now

I

understand

that,

you

know,

F-26

you

had

a

double

digit

decline

in

your

marketing

services,

revenue

growth.

So

how

much

of

the

guidance

acceleration

in

F-27

is

just

a

function

of
marketing
services
revenue
growth
recovering,
versus
you
probably
also
seeing
an
acceleration
in
revenue
growth
across
payments
and
financial

services.
And maybe a related question also on the EBITDA margins. I know in the past you've talked about a medium term

aspirational
margin
of
15
to
20%
EBITDA
and
you
have
ended

the
year
at
about
6%
with
very
strong
expansion.

Qualitatively,

how

far

away

are

we

from

getting

to

that

15

to

20%

EBITDA

margin

number?

That's

my

first

set

of

questions,

please.

Mr. Vijay Shekhar Sharma: We should talk about marketing services. Marketing services and cloud and commerce,

if
you
remember,
all
this
combined,
called
marketing
services
because
we
help
small
merchants,
large
merchants,
about
making
sure
they
get
from
checkout
to
check-in.
I
mean,
we
call
these
services
that
once

the
customer
is
checking
out
on
the
shop,
counter
or
online,
the
customer
comes

back.
Thanks to AI agents, this is the area of focus for us in the next 12 months. And let's see how we do it. I do believe

that
it
is
an
extraordinarily
big
opportunity,
considering
we've
been
able
to
take
care
of
our
core

payment

and

financial

services.

So it was rather about choosing what is your moat, head down, execute it, and then extend towards the next site.

If

you

read

the

intent

in

our

AI

page,

it

is

hinting

towards

that.

Mr. Madhur Deora: But just to add, I think the overall acceleration given payments is about 55% of the revenue,

and

financial

services

is

about

30%

of

the

revenue,

growth

is

across

the

board.

We

are

seeing

strong

tailwinds

in

payments,

both

in

offline

merchants

as

well

as

online

merchants,

which

obviously

has

a

full

license

now.

And

is

adding

new

customers

and

so

on.

And

we
are
also
seeing
very
good
growth
in
financial
services.

As
we
have
mentioned
before,
merchant
loans
continue
to
be
solid.

And
we
are
now
seeing
recovery
in
personal
loans
and
market
s

hare

growth

in

wealth.

So, in addition to what Vijay said about marketing services and sort of addressed your question, yes, we expect that

to

be

a

contributor

going

forward.

It

has

been

a

bit

of

a

drag

last

year,

but

we

think

the

growth

will

be

across

the

board.

And

EBITDA,

we
will
maintain
about
two
and
a
half
to
three
years
from
now,
that
we
should
be
able
to
get
to
those
sorts
of
EBITDA
margins.

Mr. Manish Adukia: Very clear. Thank you, Madhur and Vijay. Maybe the second question on financial services, which

you
touched
upon
in
the
earlier

question.

And

I

know

you

stopped

giving

out

disbursal

numbers,

but

from

the

Postpaid

launch

that

you

made

earlier,

if

you

can

just

talk

about

the

traction

this

time

versus

the

earlier

Postpaid.

Is
the
traction
in
terms
of
ramp-up
of
the
product
scale
or
disbursal
tracking
better
or
similar
versus
the
last
iteration?
Any
differences
in
consumer
traction?
That'd
be
great.
Mr. Vijay Shekhar Sharma: Yeah, Manish, better than last time. Classic internet dissemination or diffusion of
services
style.
It
took

X

number

of

time.

This

is

taking

X

by

a

significantly

large

number

of

time.

I

mean,

I'm

really

happy.

We

will

not

give

disbursements.

I

think

this

mis-pushes

us

towards

as

if

we

are

a

credit

issuing

entity,

which

we

are

not.

So

we

are

a

pure

technology

platform

which

helps

different

people

disburse.

This

is

the

nearest

most

adjacent

product

to

our

payment.

And

I
think
it
is
doing
phenomenally
well.

I'm
not
really
going
to
say

it
is
doing
well.

I'm
going
to
use
the
word

phenomenally
well.

And I'm very happy about it because on the back of it, our personal loan disbursements in the last month; I mean,

this
will
show
up
in
the
next

quarter,

have

started

showing

up.

I

mean,

we

have

started

to

go

back

to

if

you

need

a

particular

text

of

personal

disbursement.

It

is

not

that

we

are

any

more

measured

about

or

limited

about

it.

It

is

rather

going

to

the

next

level.

Mr. Madhur Deora: And just to remind everyone, this is a classic compounding business because our sign-ups are

very

strong

and

repeat

rates

are

very

strong.

So

it

just

sort

of

compounds

upwards

as

you

sort

of

just

go
through
time.
So
we
are
seeing
that
sort
of
compounding
traction.

And
it
is
significantly
faster,
as
you
can
imagine

from
the
first
time
we
started
the
Postpaid

journey.

Mr. Manish Adukia: Sure. Just a quick clarification on that one. And I know you don't give disbursements, but I recall

last
time

when
you
used
to
give
disbursals,
the
peak
of
the
disbursal
for
Postpaid
was
about
9000
crores
a
quarter.
And
given
that
you're
saying
that
the
ramp-up
is
actually
faster,
there's
no
reason

why

you

should

not

get

to

the

number

at

some

point

in

time

in

the

foreseeable

future.

I

mean,

would

that

be

a

fair

statement?

Mr. Vijay Shekhar Sharma: No comments towards any guidance or hint of it. Mr. Manish Adukia: All right. Great. I tried. Maybe just one last question before I just jump back in the queue.

PPBL

ban,

I

know

it's

an

associate

for
you.
You
don't
have
any
management
control
there,
but
in
terms
of
just
any
early
impact
on
your
listed
entity
OCL,
just
because
you
share
a
common
brand
in
terms
of
consumer

or
merchant
acquisition
or
churn.
And
what
does
that
mean
now
from
your
own
wallet
or
prepaid
instrument
application
to
the
RBI,
and
the
outlook
for
that?
That's
my
last
question.
Thank

you.

Mr. Vijay Shekhar Sharma: I think, no impact. We did a press release on the system. And we remain

committed.

Mr. Manish Adukia: Sure. And wallet license? Mr. Vijay Shekhar Sharma: We remain committed. Mr. Manish Adukia: Okay. Sure. Thank you, Vijay and Madhur. All the best. And thanks for taking my questions. Moderator: Thanks, Manish. The next question we'll take from Mr. Sachin Salgaonkar from BofA followed by Pranav

Kshatriya

from

Emkay.

Sachin,

you

may

please

go

ahead.

Mr. Sachin Salgaonkar: Thanks, Anandita. Good morning, management. First question, generally a follow-up, you

know,

when

we

look

about

growth

accelerating

in

FY27,

there

are

multiple

other

small

businesses

which

are

yet

to

scale

up,
wealth
management,
brokerage,
insurance,
even
on
the
personal
loan
basis.
Any
colour
in
terms
of,
I
mean,
should
we
see
a
good
amount
of
acceleration
coming
from
these
businesses
scaling
up,
or

is

it

the

existing

merchant

loan

business,

Soundbox,

as

well

as

the

core

payments

business,

which

will

help

accelerate the growth? In a very simplistic manner, I mean, should the core business show acceleration of growth

or

should

we

see

a

combination

of

both,

actually?

Mr. Vijay Shekhar Sharma: So, first of all, the business model is straight and simple, that we acquire customers using

payments

and

we

cross-sell

financial
services.
We've
done
good
in
credit.
We
definitely
are
right
now
focused
on
wealth
or
securities,
brokerage,
whatever
the
line
item
that
we
want
to
call,
combined
into
one
wealth
item.
It

is
critical
for
us
to
make
it
a
third
leg
of
growth.
It
is.
It
may
not,
and
I've
said
it
in
our
last
earnings
call
that
we
want
to
see
ourselves
in

the

top

five

sooner

than

later.

And

that

remains

a

focus

area

individually

for

me

also.

In other words, I'm saying that payment has to scale because that is the TAM. So, there is no alternate to that.
We

will

keep

investing.

If

you

notice,

we

have

very

clearly

articulated

the

amount

of

investment

in

expansion,
amount
in
creation.
So,
our
cost
optimization
is
rather
about
creation
of
the
product
and
platform
of
payments
because
the
cost
is
much
lesser
in
that
and
continues
to
reduce.
But
the

attention

is

more

about

expanding

that

platform

to

a

dramatic

large

enough

optimum

TAM.

A

dramatic

large

from

today,

optimum

because

we

don't

want

to

acquire

everyone.

That

is

the

word

I'm

using.

So,
it
is
an
obligation,
and
right
now
we
are
so
happy
seeing
the
monetization
cycle
showing
up,
that
is
the
primary
opportunity
of
it.
In
fact,
over
the
period,
Paytm
could
be

looked

at

as

a

payment

platform

that

monetized

in

financial

services

so

well.

Mr. Madhur Deora: Sachin, the message you should take away is it is more or less across the board. Our large established

businesses,

we

see

a

huge

opportunity

ahead.

We

love

our

merchants,

online

and

offline.

Last

year,

online

had

a

headwind

that

we

did

not

have

permission

to

onboard

new

customers

for

about

half

the

year.

That

is

lifted.

We

are

seeing

good

traction

there

.
Offline, obviously, there is a huge market opportunity still ahead. I know this is a very popularly asked question, which

is,

hey,

you

have

added

X

number

of

merchants.

Do

you

still

see

growth

ahead?

Absolutely,

we

are

seeing

market

expansion,

and

we

are

seeing

market

share

growth.

So,

that

is

going

really

well.

So,

that

is

one

bucket

of

large,

established,

overall

profitable

businesses.

The second bucket is businesses which had scaled but had some headwinds in the last couple of years. So, advertising,

because

of

our

MTU,

went

through

a

revamp,

had

a

headwind.

Personal

loans

had

a

headwind

because

of

credit

cycle.

A

lot

of

that

is

turning

into

tailwinds

from

a

slightly

lower

base.

And then the third one, like Vijay said, is where is the third pillar? The third pillar, we think, is in wealth. And there, I would characterize that as a slightly different business where we are younger and have low market share,

but

great

opportunity

to

increase

market

share

in

these

proven

businesses.

So,

that

is

why

retail

broking,

if

you

will,

gets

filtered

to

the

top.

So,
those
are
the
three
legs
of
revenue
growth,
and
we
are
quite
excited
about
each
one
of
those
three
buckets.

Mr. Sachin Salgaonkar: Great, thanks for the detailed answer. My next question is a statement you mentioned

in
your
shareholders'
letter
that
you're
looking
to
keep
some
dry
powder

for
selective
inorganic
action.
Now,
on
a
really
big-picture
basis,
how
could
we
think
about
this?
Any
specific
areas
in
the
current
business
you
are
looking
to
focus
on?
Is
it
more
on

international

lines,

or

is

it

any

kind

of

a

new

opportunity

which

is

going

to

open,

given

the

fact

that

AI

could

open

up

doors

for

new

businesses

as

well?

Mr. Vijay Shekhar Sharma: Yeah, any new investment, only in AI. Mr. Sachin Salgaonkar: Sorry? Mr. Vijay Shekhar Sharma: Any new investment, only in AI.

Mr. Sachin Salgaonkar: Oh, only in AI, okay. Vijay, when we talk about AI, is it something which is going to help the

existing

businesses,

or

it

could

be

a

completely

new

line

of

business,

actually?

Mr. Vijay Shekhar Sharma: No, it's primarily the same customer, same merchant, primarily making their life better.

Like

I

told

to

last

Manish's

question,

we

believe

there

will

be

a

significant

amount

of

opportunity

for

us

to

create

agents

and

so

on.

Mr. Sachin Salgaonkar: Got it. And last, just a bit of a follow-up on this RBI thing, what kind of further permissions,

licenses

are

we

expecting

from

RBI?

One

is

a

wallet,

which

is

largely

known,

but

beyond

wallet,

is

there

anything

which

is

pending,

per

se,

from

an

RBI

point

of

view,

where

you

guys

are

applying?

Mr. Vijay Shekhar Sharma: No, nothing. Mr. Sachin Salgaonkar: And Vijay, any timeline when we could expect the wallet license? Mr. Vijay Shekhar Sharma: I'd rather put my head down and execute the journey. There is so much on the plate

and

table

that

I

would

say

that

ambiguity

is

behind

us.

Mr. Sachin Salgaonkar: Okay, great. Thanks and all the best. Moderator: Thanks, Sachin. We'll take the next question from Pranav Kshatriya from Emkay, followed by Vijit Jain

from

Citi.

Pranav,

please

go

ahead.

Mr. Pranav Kshatriya: My first question is regarding the higher proportional and cashback incentives. We've seen

this

expense

going

up

quarter

on

quarter,

but

correspondingly,

we've

not

really

seen

any

jump

in

t

he

marketing

services.

I

understand

this

is

a

seasonally

lean

quarter

for

marketing

services,

but

there

is

no

increase

in
the
MTU
as
well.
So,
how
should
we
see
this
trending,
and
what
is
the
timeline
for
it
to
give
an
outcome?

Mr. Vijay Shekhar Sharma: I think it is the marketing services where you sort of expect, let's say, our commerce line

items
to
do
a
good
job,
but
it
is

going
in
expansion
and
cleanup
of
our
existing
customers,
trying
towards
other
services
beyond
just
marketing
services.
For
example,
there
is
digital
gold
on
our
platform.
There
is
an
element
of
discount,
gift

vouchers.

We believe that strengthening the moat of customers and locking in on our platform is the first priority, which is

what

the

payments

core

job

is.

We

do

acquire

customers.

Pranav,

it's

a

two-choice

to

put

that

we

can

continue

to

acquire

an

incremental

lower

cost

customer

who

is

not

in

the
ecosystem.
And
the
cost
of
that
is
that
you
will
not
have
large
users
because
the
new
incremental
customer
left
in
the
ecosystem
is
a
very
low
transacting
or
low
value
customer,

if
you
will.
So,
we
are
trying
to
acquire
high-quality,
good-quality
customers.
So,
the
increase
in
spend
will
consistently
go
up,
but
it
will
not
go
up
in
the
ratio
of
what
you

could

just

recklessly

spend.

So, we have been measured, and we remain measured in spending. But at the same time, we are conscious about

what

kind

of

and

quality

of

customers

we

are

getting

and

what

purpose

the

customer

is

coming

for.

So,

these

things

go

through

quarter-on-quarter

measurements

and

recalibrations.

At

the
same
time,
I'm
committing
this
once
again
that
we
will
continue
to
spend
it
not
more
than
what
the
ratios
have
been
right
now,
like
we
have
always
said
it.
So,
it

is
not
an
incremental
extra
spend
at
all,
first
of
all,
it
is
within
the
guidance
we
have
given.
At
the
same
time,
Pranav,
the
usage
of
this
money
will
continue
to
calibrate

towards

which

service

is

what

we

continue

to

do.

Mr. Madhur Deora: Just a couple of tactical things to contextualize. One is, you have to look at it sort of like marketing

expenses

and

cashback

together,

because

some

of

those

are

decisions

that

the

teams

make

in

terms

of

where

they

want

to

spend

their

marketing

dollars.

The second is while the MTU number may not reflect all the impact of the spend, but if you look at our engagement

that

has

gone

up

dramatically.

So,

the

market

share

growth

that

you

are

seeing

is

far

exceeding.

If

you

will

MTU

growth

to

underline

the

point

that

Vijay

mentioned

about

quality
of
customers
and
engagement
of
customers.

And, take a step back, if we were to break our business into consumer side and merchant side, we have had the best

quarter
from
a
profitability
standpoint
on
the
consumer
side
in
the
last
eight
quarters.

So,
it
is
flowing
down
to
the
bottom
line,
despite

these

additional

spends.

Mr. Pranav Kshatriya: Okay, fantastic. My second question is regarding indirect cost. So, typically, Q1 will have higher

employee

costs

on

account

of

appraisals

and

salary

hikes.

So,

how

should

it

trend

from

here

on?

Should

we

expect

that

to

remain

in

the

current

Rs

1,150

Cr

thereabouts,

or

it

can

be

sign

ificantly

higher

than

that?

Mr. Madhur Deora: So, there are quarter-on-quarter changes, particularly including the impact of appraisals.

But,

if

we

look

outwards

towards

the

next

year,

we

do

think

that

like

we

have

said,

this

will

grow

significantly

lower

than

revenue

and
contribution
profit
growth
and
continued
operating
leverage
as
a
result
of
that.
And,
the
second
point
I
would
make
is
that
we
still
see
efficiencies
in
various
parts
of
the
organization
due

to
the
use
of
AI.
Mr. Pranav Kshatriya: Okay, excellent. This is from my side. I'll get back in the queue. Thank you so much. Moderator:
Thanks Pranav. Mr. Madhur Deora: Thank you. Moderator: The next question is from Vijit Jain from Citi, followed by Jayant
Kharote from Axis Capital. Mr. Vijit Jain: Hi, thank you, my first question is on net payment margins. Good to see, you know,
nine basis
points
overall.
You've
said
that
it's
remained
above
four
basis
points
despite
the
PIDF
subsidies
going
away.
Looking
ahead,
you
know,
what
would
you
call
the

major

drivers

for

it

continuing

to

go

up?

I know you have various streams, merchant fees, instant settlement. I don't know if you're deploying working capital

towards

instant

settlement,

and

then,

of

course,

you

have

UPI

credit

and

EMI.

So,

I

just

wanted

to

get

your

sense

on

all

three

or

four

different

drivers

where

you

still

think

there

is

decent

upside,

and

how

do

you

get

those

upsides?

Are

these

going

to

be

more

push-driven

or

just

organically

will

happen?

Mr. Madhur Deora: I think there's a whole bunch of smaller factors, but the two major factors, especially when we

think

about
payment
processing
margin,
which
is
what
we
have
said
is
higher
than
four
bps.
The
two
major
factors
are
our
product
improvements,
giving
us
the
luxury
of
having
pricing
discipline.
So,
we

have
talked
about
pricing
discipline
in
the
presentation,
but
the
underlying
piece
is
that
our
product
keeps
getting
better
and
better,
and
as
a
result,
customers,
merchants
in
this
case,
are
seeing
more

value

in

our

product.

And the second is just a shift in the industry, which is credit instruments being on UPI rails and growing at a much

faster

pace

than

overall

GMV.

So,

we

talked

about

a

credit

card

on

UPI

before.

Obviously,

Paytm

postpaid

is

starting

to

be

a

contributor

as

well,

and

still

relatively

smaller

compared

to

a

couple

of

years

ago,

but

becoming

a

contributor

as

well.

And if you can have even a small percentage of your GMV giving you 20, 30, 40 bps of margin, then obviously it does

change

the

overall

mix

significantly.

Mr. Vijit Jain: Good. So, Madhur, safe to say, there are plenty of upside drivers to those core net payment margins,

right,

from

4

bps

to

right

now,

greater

than

4

bps.

Mr. Madhur Deora: Absolutely. Mr. Vijit Jain: Thank you. And then specifically on some of these, you know, a lot of your merchants are obviously

in

the

long-tail

mid-market

side

of

things,

and

I

would

imagine

things

like

I

think

settling

the

balances

faster

and

so

on

and

so

forth

is

a

potentially

more

useful

thing

to

those

kinds

of

merchants

than

to

larger

merchants.

Is that a product that has a lot of success and adoption from merchants? Just want to get a sense of, you know, whether

you

see

more

avenues

for

where

you

could

deploy

your

capital,

it

gets

you

some

fees,

and

is

useful

to

your

merchants

as

well.

Mr. Vijay Shekhar Sharma: Yeah, we do instant settlement as a product. It's a good product. It's an industry product.

We

do

it.

Mr. Vijit Jain: Got it. The next question I had was on Paytm Money. So in general, you know, are there any product

investments

that

you

still

need

to

do

within

Paytm

Money

to

kind

of,

you

know,

make

the

proposition

more

compelling

to

heavy

users,

traders

versus

say,

investors?

Any,

I'm

just

trying

to

get

a

sense

of

whether

there

are

gaps

there?

Mr. Vijay Shekhar Sharma: Short answer, dramatic more. I mean, obviously, the AI is changing everything, my friend.

I

mean,

the

agents

will

show

up,

that

will

do

trading.

Agents

will

take

care

of

your

portfolio

readjustment.

Agents

will

show

up

and

the

trading

strategy

of

yours

will

be

reviewed.

Agents

will

create

option

chains

for

you.

Agents

will

create

a

scalper.

I mean, there is, I would rather say, I feel lucky that we did not dump a lot of money earlier, because in the AI world,

everything

resets.

So

we

see

it

as

an

opportunity

to

bring

products

that

are

materially

better

from

now

to

2030.

I

mean,

the

point

is

what

got

created

in

2020

is

not

going

to

work

in

2030.

That

I

can

like

it.

So,

anybody

who

is

not

investing

is

an

opportunity

for

us,

that

person's

customers.

Mr. Vijit Jain: Got it. And Vijay, so just sticking to that point a little bit more. So what you're talking about is the consumer-facing

experience

of

how

you

trade.

Is

there

anything

on

the

back-end

also

that

you

need

to

invest

in

to

be

able

to

serve?

Mr. Vijay Shekhar Sharma: I mean, consumer-facing is rather going to get easier because you will not tap, so everything

is

a

backend

investment.

I

mean,

everything

is

a

core

investment

-

machine.

Anything

that

shows

up

in

the

front,

it

is

only

as

good

as

it

is

in

the

back.

Mr. Vijit Jain: Understood. My last question, any comments on how Paytm Check-in has done since you've launched

it?

I

think

it's

been

a

few

quarters.

Mr. Vijay Shekhar Sharma: So, Vijit, this is our dip test on how Indian consumers are okay for an interface that is

chat

interface,

agent

interface,

completely

agentic.

So

it's

our

perfect

experiment

to

look

at

it,

and

we
picked
up
a
different
brand
name
so
that
people
don't
perceive
that,
okay,
this
is
what
popped
out
or
something.
It
is
a
completely
agentic
approach
towards
consumer
interfaces.
I
see
the

agentic

interface

as

a

rejuvenated

new

opportunity

for

Paytm

to

gain

consumer

share

in

a

number

of

categories.

And

this

is

our

experiment.

Mr. Vijit Jain: Good to hear. Thank you. Mr. Vijay Shekhar Sharma: Vijit, one side note. You will be shocked, the funnel conversion on agentic when a customer

starts,

typically

it

is

2%

or

3%

in

a

funnel

that

starts

where

the

commitment

is

the

customer

can

be

browsed

but

funnel

converts

meaning

100

people

if

they're

searching,

it

goes

to

3%

in

a

good

scenario,

good

product company will do that. It's 7 or 8 times more than that, my friend. 7 or 8 times more. It is 700% better
funnel

because

of
the
agentic.

I
mean,

boom.
Mr. Vijit Jain: So, people go closer to transactions. Mr. Vijay Shekhar Sharma: 7 times more people complete the funnel in an agentic workflow than a tap workflow.

Mr. Vijit Jain: Okay, good to hear. Thank you so much. Best of

luck for FY27. Mr. Vijay Shekhar Sharma: Yeah. Thank you. Moderator: Thank you. We will take the next question from Jayant from Axis Capital, followed by Kaushik Agarwal.

Jayant,

you

can

go

ahead.

Mr. Jayant Kharote: Congratulations for great performance on financials, guys. The first question was on the payments

piece.

I
see
you
have
done
very
strong
growth
over
there.

If

I
see
this
quarter
versus

last
year,
fourth
quarter,
both
your
GMV
up
27%,
and
the
margins
are
moving
from
less
than
three
to
more
than
four
basis
points,
that
actually
throws
up
a
very
high
growth
number

on
the
payment
processing
margins,
more
like
50-60%.
Is
this
a
real
number,
or
are
we
missing
something?
I
mean
that
is
quite
high
growth.

Mr. Madhur Deora: Just to be clear, guidance earlier was greater than three, which is not to say that you're exactly

at
three.
But
the
math
that
you

are
doing
adjusting
for
that
number
is
correct.

The
payment
processing
margin
has
been
very

strong.

Mr. Jayant Kharote: Great. Unfortunately, what that implies is that subscription revenue is not growing at all YoY.

And
this
is
despite
us
adding
27
lakh
devices,
which
is
22%
growth
on
our
base.

Is
that
because
a
lot
of
these
would
have
gone
for
PIDF
linked
devices?
And
then
of
course,
how
do
we
think
about
this
without
any
price
hike?
It
means
the
device
addition

is

not

fully

translating

to

revenue

growth.

Mr. Madhur Deora: It is the case that PIDF has an impact, and it is also the case that without adjusting for that, the

device

subscription

per

device

overall

is

slightly

lower,

but

we

do

see

this

as

a

very

good

funnel

to

merchant

lending.

What

we

look

at

internally

is

payback

periods

at

a

very

very

detailed

cohort

level,

and

those

payback

periods

are

improving

significantly.

Part

of

that

is

because

we

are

getting

more

efficient

at

acquiring

customers,

at

our

capex

per

device,

as

well

as

retention

of

merchants.

Mr. Jayant Kharote: Does that mean because we have two strong pillars in the net payment revenues. Does that

mean

that

essentially

looking

ahead,

it's

going

to

be

largely

the

payment

processing

margin

that's

going

to

do

the

heavy

lifting

on

this

revenue

line

item?

Mr. Madhur Deora: It is the case that payment processing margin is growing faster, and partly because payment

processing

margin

is

growing

faster,

but

combined

with

the

fact

that

our

lending

penetration

is

going

up,

we

are

okay

to

make

a

little

bit

less

money

on

device

subscription

per

merchant.

Mr. Jayant Kharote: Great, and just one follow-up on that only, that the credit card on UPI growth, I mean, you've

seen

the

whole

industry

credit

card

growth

is

just

moderated

right

now

due

to

single

digit

and

generally

what

we've

been

observing

is

credit

card

on

UPI

moves

2x

of
that
number
roughly,
so
that
has
been
like
30%
when
industry
was
at
15.
Now
that
industry
is
down
to
7
to
10,
are
you
observing
a
similar
moderation
from
that
30-odd

to
20,
25,
and
then,
of
course,
the
worries
about
our
GMV
growth,
then
moves
in
sync
with
credit
card
on
UPI,
and
then
how
does
the
margin
expansion
happen?

Mr. Madhur Deora: What you're saying logically should have some impact, but I don't think we're seeing anything

noticeable

there,

and

I

would

point

out

that

Credit

Card

on

UPI

is

a

very

small,

very,

very

small

percentage

of

overall

credit

card.

Mr. Vijay Shekhar Sharma: But one thing we can tell is that our credit card on UPI percentage is more than the standard

bank

account

payment

percentage.

That

tells

us

that

we

have

high-quality

customers

on

our

app.

Mr. Jayant Kharote: No, definitely that has been giving a very good margin improvement. Mr. Vijay Shekhar Sharma: Yeah, margin improvement is rather about because we have a high quality, I mean, Paytm

has

been

ever

since,

and

all

these

events

have

still

made

the

customer

retain

means

they

are

longer,

old

customers,

and

that

means

that

they

are

high

quality,

which

extends

towards

creditworthiness,

which

extends

towards

their

credit

card

usage.

Our

credit

card

usage

is

more

than

the

market

share

and

order

of

magnitude.

Once again, I mean, that is why our GMV growth has been higher because if you notice the same number of MTUs

didn't

grow,

but

usage

grew

because

the

product

became

better,

product

became

better

for

the

customers

who

are

better

quality

customers.

So

we

talk

about

product

quality,

customer

quality,

not

just

the

volume.

Mr. Jayant Kharote: And lastly, on costs and margin, we are guiding for more than 22% growth, and if I'm correct

now,

contribution

margins,

we
should
expect
between
55
to
60,
but
maybe
more
55
to
rather
than
60,
what
was
happening
because
of
the
PIDF
impact.
So
that,
I
mean,
and
then
indirect
costs,
I'm
seeing

after

a

great

performance

for

eight

quarters,

is

rightfully

so

your

investing

in

growth

is

picking

up.

So

does

that

mean

that

from

here

on,

the

journey

is

going

to

be

incremental

rather

than

what

we

saw

last

year?

If

you

see

Q4

versus

Q3,

registered

EBITDA

growth

is

a

decent

30

crore,

but

does

it

mean

we

should

look

at

something

more

linear

now

than

the
exponential
numbers
that
we
saw
through
last
year?

Mr.
Madhur

Deora:

We,
I
assume
you're
talking
about

EBITDA
margins

...
Mr. Jayant Kharote: Yes. Mr. Madhur Deora: Like we said in writing, we do expect significant operating leverage going forward because, logically,

the
math
that
you
were
doing,
if
we
have
a
revenue

growth

acceleration,

which

we

are

confident

of,

and

indirect

expenses

going

significantly

lower,

then

the

math

is

just

embedded

in

that,

that

you

would

see

significant

operating

leverage

going

forward.

Mr. Jayant Kharote: I was just talking about the journey, Madhur. Is it going to be upfronted, or should we now think

of

this

to

be

slightly

more

back-ended?

Mr. Madhur Deora: I don't want to get into quarter-on-quarter, but if we are sitting here a year from now, we're

confident

that

we

would

see,

we'll

look

back

and

say

there

was

significant

operating

leverage

and

EBITDA

margin

expansion

as

a

result.

Mr. Jayant Kharote: Great, thanks, and congratulations once again for a great set of results. Mr. Madhur Deora: Thank you, Jayant. Moderator: Thanks, Jayant. We'll take the next question from Kaushik Agarwal, followed by Rahul Jain from Dolat

Capital.

Kaushik,

go

ahead,

please.

Kaushik,

you

are

on

mute.

If

you

can

unmute

your

line.

Mr. Vijay Shekhar Sharma: Rahul, you can. Rahul, go ahead, you can ask us the question.

Mr. Rahul Jain: Yeah, hi, thanks for the opportunity. Firstly, we have highlighted the investment we intend to

do

on

the

cashback

side.

Can

you

highlight

some

of

the

consumer

use

cases,

and

also

from

a

run

rate

point

of

view,

do

we

see

a

meaningful

increase

from

the

exit

of

1

billion

odd

we

invested

in

this

quarter?

Mr. Madhur Deora: Can you just go to the first question again? I didn't quite catch that. Mr. Rahul Jain: Yeah, the cashback investment that we want to do, are there any specific areas where we are trying

to,

because

we

highlighted

there

are

high-margin

segments

that

we

would

like

to

invest?

Mr. Madhur Deora: Yeah, so Vijay, I think you sort of already touched upon this. Our digital gold is one of those categories,

which

is

covered

in

financial

services,

just

a

housekeeping

point,

and

there

are

several

use

cases

on

marketing

services,

particularly

travel,

where

we

see

good

ROI

on

investments,

and

then

there's

also

always

a

chunk

of

investment

that

goes

into

ensuring

that

you're

building

more

engagement

and

more

retention

of

customers.

Mr. Rahul Jain: Surely, and on the sales side, do we see some more optimization to happen since the sunset on the

PIDF

scheme?

Mr. Madhur Deora: I think it's a combination of sales optimization, as well as subscription revenue per device optimization.

We

had

said

last

quarter,

at

the

end
of
January,
that
we'll
be
able
to
significantly
offset
it
over
the
next
few
quarters,
and
our
Q4,
and
I
think
it
was
in
response
to
a
question,
was
that
we
would

be

able

to

offset

30

to

40%.

So

I'm

pleased

to

report

that

we

did

achieve

that,

and

we're

confident

that

over

time

we'll

be

able

to

significantly

achieve

a

near

full

offset.

And

some

of

that

will

show

up

in

sales

cost

impact.

Mr. Rahul Jain: Sure. And just lastly, of course, people have tried asking this on AI investments. Would this be also

in

line

of

creating

a

captive

data

center

for

more

data

inferencing,

or

this

could

be

purely

from

an

M&A

point

of

view?

Mr. Vijay Shekhar Sharma: There's nothing like we don't have a capex plan yet. I mean, there is enough amount

of

capex

that

US

big

guys

are

doing,

and

we

don't

think

that

we

have

a

game

in

that

yet.

We

do

believe

there

is

an

opportunity

for

us

to

invest

in

AI,

equal

to

like,

saying,

let's

say,

you

are

using

agents

for

our

customers.

We can rent somewhere the data center, we can rent let's say, NVIDIA's and then run our own model on top of it,

that

kind

of

investment.

Investment

is

attention

and

effort,

not

just

capital.

We

don't

have

a

material

capital

investment

plan

right

now

on

the

table

or

in

plan.

Mr. Rahul Jain: Thank you. Those were my questions. Mr. Madhur Deora: Thank you. Moderator: Thank you. We will take the next question from Harshit from Premji, followed by Sachin Dixit from JM

Financial.

Harshit,

you

may

please

unmute

your

line

and

go

ahead.

Mr. Harshit: Hi Vijay, hi Madhur. So the question was more to get some sense of our merchant ecosystem base. So

Vijay,

I

think

the

point

was

that

probably

we

are

lending

to

a

segment

where

they

are

okay

to

borrow

at

that

25-30%

rough

IRR

for

them

now

and

probably

obviously

I

know

that

you

guys

don't

give

the

disbursement

number

but

some

sort

of

calculations

etc

whatever

that

number

is,

but

that

number

is

even

if

I

take

a

40-50,000

crore

of

annual

run

rate,

we

would

be

a

la

rge

part

of

that
market
itself,
the
addressable
market.

So, just want to get a sense that our payment service or financial distribution revenue growth from here on, will

it
be
driven
by
the
consumer
loan
product
incrementally,
and
in
case
of
merchants,
do
you
envisage
a
situation
that
probably
it's
the
lower
yielding

segment

where

we

will

have

to

move

to

expand

to

maintain

this

growth run rate. So broadly, some colour on the merchant profile and probably your market share within the, whatever

you

guys

think

as

the

addressable

market

share,

market

for

this

range

of

merchant

lending.

Mr. Vijay Shekhar Sharma: The best part is that we don't own the book. So everybody who wants to serve this customer

is

our

potential

partner,

including

banks

or

anybody

else,

if

you

want

to

acknowledge

that.

So

we

don't

have

a

market

share

problem

because

we

own

a

certain

book

versus

somebody

else

who

owns

a

certain

book.

They
go
to
the
current
lenders
who
are
interested
in
the
customer.
We
become
the
channel.
Now,
the
most
logical
captive
customer
of
the
customer
is
the
merchant
where
we
are
capturing
everyday

payment

flow

is

'us',

most

logical.

Anybody

else

can

also

do

it,

but

most

logical

is

'us'.

On

our

customer

base,

we

are

penetrated

less

than

5%

or

5.5%

right

now?

Mr. Madhur Deora: On merchant base, about 7% penetration. Mr. Vijay Shekhar Sharma: About 7%, and that too based on the subscription merchant, denominator.

Remember,

the
person
who
has
a
selection
bias
or
paying
a
subscription,
we
are
talking
7%
penetration.

Or
obviously,
there
is
a
large
number
of
merchant
base,
otherwise,
beyond

that.
Mr. Harshit: Got it. My point in competition was more from distribution itself. For example, many other players
will

also
have
access

to
that
customer
over
time,
if
not
today.
And
the
engagement,
everyone
will
try
to
increase
their
engagement.
So
competition
as
a
distribution
partner
is
what
I
was
trying
to
understand,
rather
than

from

the

lender's

point

of

view.

Mr. Vijay Shekhar Sharma: All right, so the merchant who is our merchant, if that merchant deflects from us as a

payment

merchant,

we

don't

think

that

we

would

be

in

a

superior

state

of

distributing;

somebody

who

does

not

have

that

merchant

will

not

have

a

superior

state

of

distributing.

So

it's

a

counter-share

kind

of

question,

as

you

know,

Harshit.

So there are two kinds of merchants, exclusive to us or non-exclusive to us, only that. In a non-exclusive case, if we

are

getting

less

data,

we

are

not

going

to

help

him

get

a

loan

unless

we

have

a
large
enough
payment
flow
data
that
we
are
able
to
partner
with
our
lender.
Lender
believes
that,
yes,
this
is
good
enough.
I
would
like
to
extend
the
loan.
We
don't,
I

mean,

we

don't

have

much

more

to

do

but

to

retain

a

payment

merchant

and

do

a

good

job

of

distributing

and

collecting.

Mr. Madhur Deora: And if I may just expand the question a little bit, just to the building blocks of this. So one is we

have

the

core

product

of

merchant

loan,

which

you

described

is

to

smaller

merchants,

smaller

ticket

size.

We've

been

doing

it

for

six

years,

really,

really

well.

And there, as Vijay said, we have about 7% penetration, so huge a room to expand that. The second is a TAM expansion

story,

which

I

think

you

touched

about

a

little

bit,

Harshit,

on

the

merchant

loan
product,
that
we
do
have
types
of
merchants
who
may
not
find
our
current
products
or
the
products
that
we
have
in
FY
2026
suitable.
So
those
could
be
larger
ticket
size

loans,
for
example,
where,
like
Vijay
said,
because
we
partner
with
lenders,
and
if
lenders
want
to
distribute
such
loans
to
them,
then
we
are
a
logical
partner
for
that.
So
that's
the

merchant

loan

story.

And slightly more broadly, we expect things like wealth and personal loans to be a much bigger contributor next

year

than

before.

So

what

we're

excited

about

in

this

financial

services

line

is

that

there

are

multiple

drivers

of

growth

next

year,

which

are

quite

visible.

Mr. Harshit: Got it, got it, fair point. Perfect. Done, thanks a lot. Mr. Madhur Deora: Thanks, Harshit. Mr. Vijay Shekhar Sharma: Thank you.

Moderator: Thanks. We will take the next question from Piran Engineer from CLSA followed by Sachin Dixit JM

Financial,

if

that's

okay.

Piran,

you

can

go

ahead.

Mr. Piran Engineer: Yeah, hi. Hi, good morning, guys. Congrats on the quarter. Just firstly, on the retail broking thing,

you

touched

upon

using

AI

to

sort

of

grow

that

business,

but

firstly,

are

we

targeting

customers

who

don't

have

a

broking

account

or
are
we
going
after
everyone?
Because
I'm
assuming
that
out
of
your
seven,
eight
core
active
customers,
a
lot
would
already
be
broking
with
one
of
the
incumbent
platforms,
right?
So
how

are

we

thinking

about

that?

Mr. Vijay Shekhar Sharma: We add on both sides. We add customers from both sides. We have net churn gainer

from

other

platforms,

and

we

get

new

customers.

New

are

mostly

towards

mutual

fund

and

SIP

creations.

And

typically,

it

may

be

called

churn

from

other

platforms,

or
customers
are
okay
to
have
multiple

accounts.
Mr. Piran Engineer: But then what's our value proposition for the core F&O kind of traders versus, say, Zerodha or

a
Groww's
platform?

See,
also,
I
get
a
sense,
we
analysts
are
not
allowed
to
trade,
but
most
traders
want
to
be
in
charge

of
their
trading,
right?
They
probably
don't
want
an
AI
agent
to
recommend,
et
cetera.

So
I'm
not
too
sure
how
that
strategy
will
help
the
core
F&O

traders.
Mr. Vijay Shekhar Sharma: When we launch the product, you'll get to see it. I mean, there's nothing more
about

it.
I
mean,

it's

nothing

better

to

say

than

when

it

gets

launched.

I

mean,

there's

no

secret

spice,

I'm

going

to

say.

It's

very

visible

to

everybody.

I'd

say

it

as

writing

on

the

wall.

I
see
it
as
everybody
knows
what
impact
of
AI
and
the
addition
of
AI
will
do
to
the
product
for
any
segment
that
you
want.
It's
as
normal
as
that.

Mr. Piran Engineer: And we will not indulge in price discounting, et cetera, right, to gain share there. Mr. Vijay Shekhar Sharma: So always remember, Piran, payments is our customer acquisition. This is our monetization

layer.

Mr. Piran Engineer: Which means that we are okay giving it slightly cheaper. Like if Zerodha is doing 20 bucks a trade.

Mr. Vijay Shekhar Sharma: I don't think this is a price question yet. I mean, you're going now, probably. So, the time

when

we

are

competing

with

anybody

else

for

the

price,

you

see

our

pricing.

We

don't

think

the

price

is

a

value.

We

believe

product

is

a

value.

Pricing

is

like

a

commodity

any

which

way

for

anybody

to

buy

the

product.

Mr. Piran Engineer: Okay, fair. Mr. Vijay Shekhar Sharma: Those who discount their product, they feel that is a value of their product. Mr. Piran Engineer: Fair, okay. Just secondly, a data keeping question. This quarter and last quarter, what is the proportion

of

DLG

in

our

merchant

loan

disbursements?

Mr. Madhur Deora: Proportion of DLG is broadly flat, maybe slightly higher. The proportion of loans that come with

DLG

is

probably

slightly

higher.

The

amount

of

DLG

is

flat,

flattish.

Mr. Piran Engineer: Should I take it at 20 - 25%? Or a bit higher than that? Mr. Madhur Deora: I don't think we've guided that before. And it's not a metric that honestly, we try to keep within

certain

guardrails

or

target

a

certain

number.

So

I'd

rather

not

get

into

that.

Mr. Piran Engineer: Got it, okay. And just lastly, can you give us some colour on online versus offline growth on the

merchant

processing

side?

Mr. Vijay Shekhar Sharma: Online, I'd say, we've started to grow the GMV. We've started to farm the account better.

And

we

obviously

started

to

add

new

customers.

So

there

is,

I

would
rather
say
that
online
has
a
bigger
opportunity
now,
considering
there
are
D2C
brands,
there
are
offline
people
going
online
than
we
envisaged
a
year
back,
that
I
can
say.
So
we

will

address,

and

are

addressing

it

accordingly

in

that

approach.

Mr. Piran Engineer: And Vijay, what proportion of our merchant GMV would it be now? I understand it's small, but

like,

single-digit

small

or?

Mr. Madhur Deora: We are a very significant player in online merchants, despite the fact that until last year, we were

not

really

adding

new

customers

for

more

than

three

years,

right?

So

we're

a

very

significant

player

there.

It

is

a

very

meaningful

double

digits

GMV.

So

it's

not

single

digits

and

also

I

would

dispel

that.

We

don't

really

look

at

it

as

a

percent

of

total

because

they

have

independent

growth

drivers.

There's huge hunting opportunities as well as farming opportunities in online merchants while maintaining pricing

discipline.

And

in

the

offline

merchant

base,

we

have

a

very

large

enterprise

business,

as

we

have

talked

about

before,

which

is

independently

profitable.

And then we have the SMB business, as we call it, which has investments because that is very sales team heavy, but

then

it

also

is

the

target

market

primarily

for

our

merchant

loan

business.

So these three things have sort of independent growth drivers and are run by very, very strong management teams

in

each

case,

and

they

march

ahead.

There

is

a

common

issue

that

there

are

certain

merchants

who

benefit

from

omnichannel

solutions.

So

that

sort

of

overrides,

and

that's

a

collaboration

between

the

teams,

but

they're

largely

sort

of

independent

operations.

Mr. Piran Engineer: Got it, got it. Okay, yeah, that's it from my end. Thanks and all the best. Mr. Madhur Deora: Thank you.

Moderator: Thank you. We'll take the next question from Sachin Dixit from JM Financial, followed by the last question

of

the

day

from

Alok

Shrivastava

from

UBS.

Sachin,

you

may

go

ahead.

Mr. Sachin Dixit: Thanks, Anandita. Hi Vijay, and on the question side, my first question was on basically monetization

of

some

of

the

AI

products.

I

do

understand

it's

still

early

days,

but

can

you

talk

about

anything

that

we

ar

e

seeing

on

the,

especially

on

the

soundbox

with

AI

capabilities

part

or

any

other

products

where

you

are

actually

seeing

some

monetization

benefits

also

creeping

up

already?

Mr. Vijay Shekhar Sharma: Yeah, so classically marketing, which we used to give them tools. Now we are asking

them

to

do

it

through

agents.

So

we

believe

that

merchants

will

be

able

to

do

it

easier

because

agents

will

do

the

necessary

job

of

taking

care

of

workflow

versus,

let's

say

we,

giving

them

certain

marketing

products.

So that is the kind of approach that we are taking. So the product line items still will remain the same, and it will

lead

to

better

penetration

and

usage

because

we

are

using

AI

or

allowing

merchants,

customers

to

use

AI.

Mr. Sachin Dixit: So sorry, Vijay, if I understand it right, monetization is usage-linked, is it? Mr. Vijay Shekhar Sharma: Monetization is, let's say, I'm saying the customer that you can use this for acquiring

or

retaining

customers.

So,

the

person

may

be,

we

will

charge

subscription

plus

usage,

or

only

the

usage, so that the person does more usage. So the approach will be somebody wants to reach out, make an outreach

to

their

customers.

We can give it on a, let's say, you can run an ad on Paytm app. You can run communications through different communication

channels

to

the

customers.

And

then

you

can

get

the

customer

activation

sorted

out

through

our

platforms.

So these platforms, monetizations, eventually, what you're doing, it is a tool to achieve more customers acquired,

more

customer

retained,

and

repeating

or

stopping

the

churn.

Now

our

customers

can

pay

for

certain

bulk

consumer

basis,

platform

subscription

basis,

per

usage

basis.

We

are

in

the

midst

of

these

kinds

of

discussions,

which

of

these

line

items

work

for

us

or

work

for

our

customers.

Mr. Sachin Dixit: Understood, understood. Thanks for that. On the second question side, sort of a top-up on Harshit's

question

as

well.

Is

it

possible

for

you

to

break

down

the

growth

drivers

of

merchant

lending,

right?

I

do

understand

it's

growing

almost

like

high

30s,

if

not

40s.

Going

ahead,

can

you

break

it

down

between

that

maybe

the

soundbox

devices

go

at

this

rate,

penetration

goes

up

by

this

rate

and

ticket

size

or

any

such

things.

Just

to

make

it

more

sort

of

apparent

for

people

like

us.

Mr. Vijay Shekhar Sharma: It's a good modeling question, I think. Mr. Madhur Deora: I have the data so I can share it. So historically, what we have seen is three primary drivers of

growth.

One

is

the

expansion

of

the

base.

The

second

is

the

penetration

rate.

And

the

third

is

the

increase

in

ticket

size.

And

each

one

of

these

has

been

broadly

similar.

So

roughly

call

it

15%

give

or

take

on

each

one

of

these

drivers.

And

we

can

dig

into

this

if

you

would

like

to.

Now going forward, for our core business, we think this will probably remain the same. But at an overall level, because

as

you

go

for

TAM

expansion,

you

may

see

that

ticket

sizes

might,

on

a

blended

basis,

be

slightly

higher,

especially

if

you

are

more

successful

in

the

slightly

higher

ticket

size

loans

and

so

on.

So

if

you

look

at

that

separately,

then

the

core

business

remains

intact

with

those

drivers.

But

there's

an

opportunity

to

sort

of

expand

TAM

beyond

that.

Mr. Sachin Dixit: And where do we see the penetration that is reaching, like the seven-ish percent that you mentioned

in

terms

of

merchant

lending

as

a

percentage

of

subscription

devices?

Mr. Madhur Deora: Yeah, I mean, it has broadly been going up at 1% a year. So if you think about a year ago, we

were

probably

at

6%.

Now

we

are

closer

to

7%.

And

that's

about

a

15%

increase

that

I

was

talking

about

earlier.

Mr. Vijay Shekhar Sharma: And the core is about the higher the time has been spent by merchants on the platform,

the

better

the

lending

partners

have

a

trust

and

confidence

that

this

person's

ability

to

repay

back.

Mr. Madhur Deora: And just to add to that, and this is sort of a logical follow-up to this, is that our engagement with

merchants

is

going

up

very

meaningfully.

And

that

shows

up

in

our

GMV

data,

et

cetera,

as

you

would

see.

And

that

could

mean

that

the

penetration

rates

start

to

look

a

little

bit

better,

the

ticket

sizes

start

to

look

a

little

bit

better,

and

sort

of

break

out

a

bit.

So those things do happen, and businesses obviously evolve as a result. But it is very interesting. I think about three-quarters

ago,

we

had

sort

of

called

out,

and

we

can

share

that

earnings

release

with

you

separately,

exactly

what

we

have

seen

over

the

last

four

years.

Mr. Sachin Dixit: I understood. I mean, basically, the math that I was trying to do, that we effectively can be talking

about

almost

a

40%

growth,

if

you

look

at

these

three

drivers,

is

how

I'm

seeing

it.

Understood.

Just one final question, and more like a quick response. There has obviously been chatter, post that Paytm Payments

Bank

license

thing

is

happening,

that

Paytm

might

go

for

a

new

license,

maybe

an

NBFC

license

as

well.

Any

comments,

any

thoughts

on

that?

That's

my

last

question.

Thank

you.

Mr. Madhur Deora: We do have a comment on that, and it is in our Q&A at the back of the earnings release.

But

just

to

summarize

for

this

audience,

one

is,

there

are

two

broad

thoughts

on

that.

The

short

answer

is

we're

not

super

excited

about

going

for

an

NBFC

license.

And the rationale for that is broadly two things. One is we really like our model, where we stick to what we are uniquely

good

at,

which

is

distribution,

building

great

technology,

so

that

merchants

can

convert

better,

insights

on

these

merchants,

as

well

as

collection

abilities.

And

our

partners,

then

they

are

very

blue-chip

partners,

are

very

good

at

managing

capital,

managing

risk,

managing

cyclicality,

and

so

on.

So we do think this is a win-win partnership, and Paytm does try to be a win-win partner for whoever we partner

with,

across

the

board,

and

here,

obviously,

we're

talking

about

lending.

The second point is, to your earlier question, we see the opportunity as absolutely massive. We have a very large

payments

market,

that

market

is

growing,

our

market

share

is

growing.

And

that,

combined

with

low

penetration,

means

that

the

opportunity

in

the

short
to
medium
term
already
is
very,
very
large.
We
do
think
that,
logically,
that
loan
book
should
sit
on
multiple
balance
sheets,
not
a
single
balance
sheet,
neither
ours
nor
a
single

partner's.

So

aggregating

many,

many

more

balance

sheets,

we

think,

helps

us

achieve

our

medium-term

goals

a

lot

better

than

trying

to

anchor

it

on

one

balance

sheet.

Mr. Sachin Dixit: Yeah, thanks. Thanks for that, Madhur, and all the best. Mr. Vijay Shekhar Sharma: Yeah, I have Kaushik Agarwal asking a question in the chat window, and I'm answering,

till

the

time

period,

who

are

you

getting?

Moderator: So we have the last question from Alok. Mr. Vijay Shekhar Sharma: Alok, you could unmute yourself and so on, but I'm just answering what is written here,

that

can

you

give

colour

around

asset

quality

and

lending

distribution

business

and

so

on?

Sir,

we

are

absolutely

not

in

the

asset

quality

business

because

we
do
not
own
the
risk
or
the
credit
that
is
disbursed
on
any
book.
If
ever
our
commitment
is
towards
FLDG,
it
is
completely
the
decision
and
ownership
of
the
book
that

sits

with

lenders.

So this question does not sit with us. This is our role, it's like saying, can you tell us what is inside Parle-G biscuit?

And

I'll

say

that

we

are

a

retailer,

sir.

You

buy

it,

see

what

it

is,

and

you'll

get

it.

So

we

are

the

retailers,

not

the

manufacturers,

if

you
will,
of
this.
And
then
the
second
question
you
were
asking,
sir,
is
what
a
non-MDR
linked
payment
instrument?
It's
very
easy.
RBI
has
different
kinds
of
data.
Our
mix
of
MDR-bearing

instruments

is

growing.

That

is

why

the

net

payment

margin

is

growing.

Mr. Madhur Deora: On question number three, it is the case that we have capex, but next year we expect EBITDA

to

be

significantly

higher

than

capex

So

your

observation

about

last

year

is

correct.

500

crores

of

EBITDA,

but

we

have

capex.

Should

I

take

Sanidhya's

question

as

well?

Mr. Vijay Shekhar Sharma: Yeah, that's what I was saying. Mr. Madhur Deora: Sanidhya, on the merchant side, we have three or four drivers of monetization. One, like you

mentioned,

is

a

subscription.

The

second

is

MDR

on

MDR-bearing

instruments.

So

if

they're

accepting

credit

cards

or

credit

cards

on

UPI

or

Paytm

Postpaid,

all

of

those

are

MDR-bearing

instruments.

And

the

third,

as

you

pointed

out,

is

merchant

loans.

So

those

are

the

three

big

drivers

of

monetization.

It is the case that not every merchant may be paying us at least one of the three, but the vast, vast majority of merchants

do.

And

at

a

cohort

level,

the

payback

period

is

always

within

acceptable

bounds.

Mr. Vijay Shekhar Sharma: Yeah. Thank you for asking these questions in the open chat. As you know, we can take

those

also.

And

then

we

have

Alok

here.

Moderator: Thank you. Alok, you may unmute your line, please, go ahead. Mr. Alok Srivastava: Sure. Yeah, hi, morning, Vijay, morning, Madhur. I just have one question. If you could provide

some

colour

on

affordability.

So,

in

your

earnings

release,

you

have

mentioned

that

it
has
supported
margin.
So
just
in
terms
of
whatever
you
are
comfortable
sharing,
in
terms
of,
let's
say,
GMV,
what
percent
of
our
machines
have
affordability
enabled,
what
is
the
outlook
here,

value

proposition,

and

so

on.

Thank

you.

Mr. Vijay Shekhar Sharma: I think the one thing I can say is more than half of our machines are enabled for disbursing

EMIs.

I

don't

think

that

we

have

GMV

numbers

by

the

instrument,

but

you

can

be

very

sure

this

is

in

the

enterprise

segment,

in

the
long
tail
segment,
both
alike.
It
is
liked
because
they
want
to
make
affordability,
a
feature
for
the
customers
in
the
shop.
And
we
continue
to
aggregate
everybody.
And
aggregation,
as
you

know,

is

our

primary

role

here.

So

we

continue

to

aggregate

from

as

many

people.

Mr. Madhur Deora: And we have very, very strong partnerships with both brands and banks. So there's merchants,

and

there's

banks

and

brands,

and

then

there's

obviously

the

consumer.

And

roughly

greater

than

half

the

number

that

Vijay

gave

for

enablement

on

card

machines.

That

is

very

significant

because

not

100%

of

merchants

need

EMI

necessarily,

right?

So

it

is

limited

to

certain

categories

of

merchants,

generally

those

who

have

higher

ticket

size

transactions.

And

we're

making

huge

progress

in

this.

We

are

gaining

share

because

of

our

focus

on

this

business.

And

obviously,

we

have

talked

about

the

impact

on

processing

margins.

Mr. Alok Srivastava: And fair to say, Madhur, that this will be largely in electronics, the machine, in terms of.. Mr. Madhur Deora: Electronics is an anchor category, but there are many other categories. Healthcare is a category.

Mr. Vijay Shekhar Sharma: CDIT, normally on everything else, beyond electronics.. Mr. Madhur Deora: Furniture, fashion, even beauty products. Mr. Vijay Shekhar Sharma: It is everywhere. A Rs 5,000+ ticket size helps us anywhere. Mr. Madhur Deora: Even in something like quick commerce, which you may not expect, does actually have some

percentage

EMI-based

transactions.

So

I'm

giving

you

the

sort

of

contrasting

example,

which

might

not

be

super

obvious.

It

wasn't

to

me,

until

I

saw

the

data

of

where

our

EMI

volume

is

coming

from.

Mr. Alok Srivastava: Okay, got it. Thanks a lot. Mr. Vijay Shekhar Sharma: Thank you. Thank you. I'll take a question from Arjun Juneja, who asked that do we have

any

interest

in

building

a

paid

loyalty

program

on

the

consumer

and

merchant

side

for

driving

lock-in.

We

have

a

gold

coin-based

product,

my

friend,
and
it
is
not
paid.
It
is
for
everybody
who
uses
Paytm,
to
get
more
gold
coins.
Use
Paytm
for
every
P2P
and
P2M
payment
or
any
other
thing.
And
then
Mr

Singh

says,

congratulations

on

a

good

set

of

numbers.

Eagerly

waiting

for

AI-led

agent

capabilities

tools

on

Paytm.

Thank

you

sir.

Same

here.

Moderator: Thank you. With that, we come to an end of this call. A replay of this earnings call and the transcript

will

be

made

available

on

the

company

website

subsequently.

Thank

you

all

for

joining.

You

may

now

disconnect

your

lines.

Mr. Vijay Shekhar Sharma: Thank you. Mr. Madhur Deora: Thank you. See you, bye.

Call: Jul 2026

One 97 Communications Limited

compliance.officer@paytm.com

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Registered Office - 136, First Floor, Devika Tower, Nehru Place, New Delhi -110019

July 27, 2026
BSE Limited
Department of Corporate Services,
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort,
Mumbai - 400 001

Scrip Code: 543396 National Stock Exchange of India Limited
The Listing Department,
Exchange Plaza,
Bandra Kurla Complex,
Mumbai -400 051

Symbol: PAYTM
Sub: Disclosure under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 - Transcript of the earnings conference call conducted on July 21, 2026
Dear Sir/ Ma'am,
Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings conference call, conducted on July 21, 2026, on unaudited standalone and consolidated financial results of the Company for the quarter ended June 30, 2026.
The transcript is also available on the website of the Company at <https://ir.paytm.com/financial-results>.
Kindly take the same on record.
Thanking you
Yours Sincerely,
For One 97 Communications Limited

Sunil Kumar Bansal
Company Secretary & Compliance Officer
FCS: 4810

Encl.: as Above

Paytm | Q1 FY 2027 Earnings Call |
Call Date : July 21, 2026 | Time: 3:30 PM Indian Standard Time

Disclaimer: By reading this call transcript you agree to be bound as follows: This earnings call with the management

of

One

97

Communications

Limited

("Company")

is
for
information
purposes
only
without
regards
to
specific
objectives,
financial
situations
or
needs
of
any
particular
person
and
is
not
and
nothing
in
it
shall
be
construed
as
an
invitation,
offer,
solicitation,

recommendation

or

advertisemen t

in

respect

of

the

purchase

or

sale

of

any

securities

of

the

Compan y

or

any

affiliat es

in

any

jurisdiction

or

as

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to

enter

into

investmen t

activity

and

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form

the

basis

of

or

be

relied

upon

in

connection

with

any

contract

or

commitmen t

or

investmen t

decision

whatsoe ver.

This

earnings

call

does

not

take

into

account,

nor

does

it
provide
any
tax,
legal
or
investmen t
advic e
or
opinion
regarding
the
specific
investmen t
objectives
or
financial
situation
of
any
person.
The
information
to
be
presen ted
and
discussed
on
this
earnings
call
is

confiden tial
and
proprie tary
to
the
Compan y
and/ or
its
affiliat es
and
no
part
of
it
or
its
subject
matter
be
used,
recorded,
reproduc ed,
copied,
distribut ed,
shared,
or
disseminat ed,
directly
or
indirectly ,
to
any
other

person

or

published

in

whole

or

in

part

for

any

purpose,

in

any

manner

whatsoever.

Statements

or

comments

made

on

this

earnings

call

may

include

certain

statements

that

are,

or

may

be

deemed

to
be,
“forward-looking
statemen ts”
and
relat e
to
the
Compan y
and
its
financial
position,
business
strategy,
events
and
courses
of
action.

Forward-looking
statemen ts
and
financial
projections
are
based
on
the
opinions
and
estimat es
of

managemen t

at

the

date

the

statemen ts

are

m

ade

and

are

subject

to

a

varie ty

of

risks

and

uncertainties

and

other

factors

that

could

cause

actual

events

or

results

to

differ

materially

from

those

anticipat ed

in

the

forward-looking

statemen ts

and

financial

projections.

We,

or

any

of

our

affiliat es,

shareholders,

direct ors,

emplo yees,

or

advisors,

as

such,

mak e

no

represen tations

or

warran ties,

express

or

implied,

as

to,

and

do

not

accept

any

responsibility

or

liability

with

respect

to,

the

fairness,

accuracy ,

completeness

or

correctness

of

any

information

or

opinions

contained

herein

and

accept

no

liability

whatsoever

for

any

loss,

howsoever,

arising

from

any
use
or
reliance
on
the
information
presented
and
discussed
in
this
earnings
call.
The
information
contained
herein
is
subject
to
change
without
any
obligation
to
notify
any
person
of
such
revisions
or

change
and
past
performanc e
is
not
indic ative
of
future
results.
It
is
clarified
that
this
earnings
call,
and
the
information
discussed
and
presen ted
herein,
is
not
intended
to
be
an
offer
for
subscrip tion

or

sale

of

any

securities

or

inviting

offers

or

invitations

to

offer

or

solicit ation

to

offer

from

the

public

(including

any

section

thereof)

or

any

class

of

investors.

No

rights

or

obligations

of

any
nature
are
creat ed
or
shall
be
deemed
to
be
creat ed
by
the
information
presen ted
and
discussed
on
this
earnings
call.
This
documen t
has
not
been
and
will
not
be
reviewed
or
appro ved

by
a
regulatory
authority
in
India
or
by
any
stock
exchange
in
India.
No
rights
or
obligations
of
any
nature
are
created
or
shall
be
deemed
to
be
created
by
the
contents
of

this

document.

Moderator: A
warm welcome everyone. Thank you for joining our earnings call for the quarter ended June 30, 2026.

As

always

we

are

going

to

do

this

earnings

call

with

management

videos

switched

on.

We welcome attendees to ask a question with their videos on or off as they prefer. To ask a question you can raise

your

hand

through

your

Zoom

dashboard

and

we

will

promote

you

as

a

panelist
to
ask
your
question.
Today
from
Paytm's
management
we
have
with
us
Mr.
Vijay
Shekhar
Sharma
Founder
and
CEO
Mr.
Madhur
Deora
President
and
Group
CFO
and
Mr.
Anuj
Mitral
Senior
Vice

President

Investor

Relations.

In

today's

call

some

statements

made

may

be

forward

looking

in

nature.

Actual

events

may

differ

materially

from

those

anticipated

in

such

forward

looking

statements.

This

earnings

call

is

scheduled

for

45

minutes.

A

replay

of

the

call

and

transcript

will

be

made

available

on

the

company's

IR

website

subsequently.

I would now like to invite our Founder and CEO Mr. Vijay Shekhar Sharma to share his opening remarks. Over to you

Vijay.

Mr. Vijay Shekhar Sharma: Thank you. Hello everyone. It was quite a quarter and I am very happy that as a team

that

we

have

been

able

to

execute

it

so

well.

The

consumer

payment

business

is

something

that

is

very

close

to

me

and

we

have

talked

about

how

we

are

growing

double

the

market

growth

of

the

UPI

market

which

effectively

means

we

are

gaining

market

share.

Even

though

th

e

GMV

market

share

is

what

is

publicly

talked

about,

the

number

of

transaction

market

share

we

are

actually

going

even

further

than

that.

So,

more

retail

customers

are

using

us

on

a

higher

frequency.

And I personally carry a benchmark in my mind and that benchmark that I carried is about the let's say January 2024

as

a

milestone

where

we

sort

of

went

through

a

special

situation

and

I

can

happily

tell

you

that

we

just

crossed

the

January

2024

daily

transacting

user,

daily

active

user

or

any

other

KPI

that

we

could

have

kept.

So,

the

past

is

behind

us

and

now

we

are

having

cash

in

our

hand

and

the
aggression
in
our
mind
and
body.

So
going
forward
special
attention
in
an
aggressive
way

I
would
put
the
word
on
consumer
market
acquisition
or
merchant
acquisition
very
clearly

there.
The best part is that we've learnt our art of building the business where you can say if I was to look at let's say
how
do

you
make
a
profitable
and
growing
profit
business
and
we've
been
able
to
pull
that
up
very
very
well.
Going
forward,
as
you
would
have
seen
that
we
have
had
a
profitability
increase

I
would
believe
that
I
think
we
should
be
able
to
increase
our
profitability
further
in
consequent
quarters
right
away
onwards
and
then
obviously
the
revenue
growth
will
mean
larger
profit
and
I'm

saying

it

because

we

basically

learnt

that

you

should

not

recklessly

spend

money

on

acquiring

consumers

or

acquiring

merchants

if

they

are

not

monetizable.

So

we've

been

able

to

grow

the

market

share

with

the

discipline

that

we

want

a

selective

customer.

We

just

don't

want

market

share

for

the

heck

of

it.

We

want

monetization

and

consumer

monetization

is

something

that

we

are

very

proud

of.

We talked about it last time we are looking at monetization using wealth beyond our credit and other financial services

that

we

talk

about

any

which

way

so

if

you

were

to

look

at

a

year

forward

I

think

wealth

will

become

or

equity

brokerage

and

mutual

fund

distribution,

although

we

are

not

wealth

wealth

in

a

traditional

industry

calls

wealth

but

we

are

talking

about

wealth

as

an

overall

internal

bucket

we

put

equity

brokerage

mutual

fund

this

is

one

area,

that

is
very
bright
spot.
I'm
putting
a
lot
of
my
attention
there
payment
sort
of
a
product
market
fit
consumer
and
merchant
both
together;
more
aggressive
growth
and
credit,
as
you
are
aware

we

are

doing

pretty

good,

I

think

there

is

no

aggressive

instance

required

rather

there

because

it

is

running

perfectly

well

it

will

go

towards

wealth

which

is

where

the

aggression

is

required.

Beyond that comes the most important and consequent technology of our time and this is AI. So I'm currently working

on

business

and

revenue

line

items

that

are

non-payment,

non-financial

services.

I

fundamentally

believe

that

moving

ahead

of

the

optimization

journey,

we

will

start

to

see

our

revenue

monetization

journey

of

AI.

I'm
very
happy
that
some
of
our
products
have
started
showing
up
few
lakhs
of
revenue
but
it
is
important
to
know
that
we
are
going
to
let's
say
couple
of
quarters
later,

I
wish
less
than
a
year,
I'm
able
to

say
this
line
item
which
will
anyways
go
into
commerce
cloud
the
traditional
erstwhile
marketing
cloud
business
that
we
used
to
have
it

in
that
line
item
and
that
is
the
personally
these
two
line
items
that
I'm
personally
focused
on.
Thank you so much for all the support and guidance that you've always given us in these journeys and days. I'm very happy
to announce, and you saw this, that we are now joined by three more new independent board
directors
bringing
new
attention
towards
technology,
business,
finance
and
globalization.
With
this
we
can
start

with

the

questions.

Moderator: Thanks Vijay. We will start our Q&A now. The first question is from Mr. Manish Adukia from Goldman

Sachs

followed

by

Mr.

Sachin

Salgaonkar

from

Bank

of

America.

Manish

you

may

please

go

ahead.

Manish Adukia, Goldman Sachs: Thank you. Hi Vijay, Madhur it's good to see you and fantastic set of results congratulations

on

that.

I

wanted

to

delve

a

little

bit

deeper

on

the

shareholder

letter

and

some

of

the

numbers

and

the

results.

Madhur

may

be

the

first

question

is

to

you.

So

on

EBITDA

margin

when

you

say

that

now

you

have

higher

visibility

on

the

15-20%

margin

number

in

the

next

two

to

three

years,

one

are

you

saying

that

you

can

get

to

that

number

sooner

than

what

you

had

thought

and

two

when

you

say
higher
margin
in
the
long
term,
is
there
a
theoretical
number
you
have
in
mind
and
how
should
we
think
about
what
that
higher
margin
in
the
long
term
may
look
like?

That's

my

first

question

please.

Mr. Madhur Deora: Yeah I think at the core of it Manish the reason why we're saying what we're saying is that the

revenue

growth

acceleration

and

the

fact

that

indirect

expenses

are

growing

significantly

slower

than

revenue

growth,

so

that's

what's

giving

us

confidence

to

make

both

the

statements

that
you
pointed
out.
Which
is
that
we
should
be
able
to
get
to
we
have
higher
confidence
of
getting
to
that
number
and
perhaps
getting
to
it
sooner
and
we
do
think

that
AI
structurally
not
only
accelerates
operating
leverage,
it
also
expands
the
opportunity
for
higher
margins
over
time,
because
you're
just
able
to
do
more
with
less
and
we
have
been
able
to

deploy
a
huge
number
of
applications
and
agents
within
our
business
which
are
helping
us
become
very
efficient
and
we
have
talked
about
that
in
one
of
the
pages
in
the
deck,
so

yes

we

are

saying

that

both

of

those

things

are

starting

to

come

true.

Manish Adukia, Goldman Sachs: My question also was in the long term when you say higher margins, do you have

a

theoretical

number

and

minus

where

you

can

get

to?

Mr. Madhur Deora: We aren't giving a number for that right now because as you know it's a trade-off between just

pursuing

more

growth

and

building

an

even

larger
business,
which
we
absolutely
think
we
have
an
opportunity
to
do
in
the
areas
that
Vijay
mentioned
and
that
will
require
investments,
so
it
is
but
yes
structural
margins
for
our
business

are

significantly

higher

than

the

15-20%

which

we

have

said

we

will

achieve

in

the

near

term.

Mr. Vijay Shekhar Sharma: The thing is that we probably announced 8% of EBITDA margin this quarter. There is going

to

be

a

ramp

up

from

here.

It

h

as

to

grow

forward.

I

know

you

are
seeking
a
terminal
number
and
Madhur
is
saying
that
it
is
more
than
15-16%
EBITDA
margin,
so
the
direction
is
that
we
are
talking
about
higher
profitability
and
high
profit
both
together.

Manish Adukia, Goldman Sachs: Very clear and maybe a follow-on on that one is when we think about growth which

you

are

saying

Madhur

has

been

accelerating

and

it's

visible

in

numbers

as

well

with

Postpaid

ramping

up

now,

you've

started

onboarding

online

merchants

from

late

last

year,

consumer

payments

business

is

seeing
market
share
gains.
With
all
of
these
together,
are
there
any
hurdles
or
downside
risk
to
revenue?
For
example,
if
you
grew
28%
YoY,
are
there
any
downward
pressures
on
revenues
at

all

in

the

foreseeable

future?

I'm not asking for a number as to what you can grow to, but just trying to think about whether the accelerated revenue

growth

momentum

will

continue

in

the

foreseeable

future

or

are

there

any

downside

risks

that

we

should

be

aware

of?

Mr. Madhur Deora: I think the great thing about this growth that we're seeing is that it is in nearly every business.

So,

we're

seeing

that

in

our

payments
to
small
merchants,
payments
to
large
merchants,
consumer
payments
that
you
mentioned,
and
in
financial
services;
we're
also
seeing
some
of
the
smaller
businesses
growing
very
fast,
you
mentioned
Postpaid
which
is

a
good
example
of
that.
So
we're
seeing
that
growth
pretty
much
across
the
board
and
we
think,
having
achieved
this
number,
we
should
aim
for
even
higher.
Manish Adukia, Goldman Sachs: Very clear. My other question was actually on Postpaid. Now you've
qualitatively
talked
about
the
business

doing

well

or

ramping

up

and

F28

being

a

year

when

it

meaningfully

adds

to

both

revenue

and

EBITDA

but

when

I

look

at

let's

say

your

earlier

peak

of

Postpaid

which

was

about

Rs

9000

crores

in

2023,

we're

I'm

guessing

a

lot

lower

than

that

number.

Now

again,

directionally

is

there

any

reason

why

the

company

should

not

be

able

to

get

to

that

number

at

some

time

in

the

future?

I'm

not

asking

for

a

timeline

but

maybe

3

years,

4

years,

5

years.

Are

there

any

hurdles

for

you

to

not

get

to

that

number

or

directionally you are tracking to reach that number at some point in time? Your thoughts there would be helpful.

Mr. Madhur Deora: The market opportunity is massive. The customers love it and the product market fit for this

product

is

excellent.

It

is

really

serving

a

need

and

there

is

no

reason

why

this

journey

should

be

any

different.

The

only

thing

I

would

add

to

that

is
that
it
took
us
about
4
and
a
half,
5
years
last
time
to
get
to
those
numbers.
Currently,
we
are
tracking
roughly
twice
as
fast.
I'm
not
saying
that
if
it

took

us

5

years

last

year,

it

will

take

us

2

and

a

half

years.

I'm

not

saying

that.

Currently

we

are

tracking

twice

as

fast

as

you

would

expect

that

we

are

ramping

up

this

product.

This

product

is

ramping

up

with

all

users,

new

users,

everyone,

just

really,

really

well.

Manish Adukia, Goldman Sachs: Very clear. Last question before I jump in the queue. Cash on the books and thank

you

again

for

the

color

and

the

shareholder

letter

on

cash

in

the

books,

very

helpful.

But

is

it

to

say

that

from

a

foreseeable

future

perspective

there

are

no

large

uses

of

cash

either

in

terms

of

M&A

or

inorganic

opportunity

that

you

may

look

to

deploy

and

you're

happy

to

have

the

cash

build

up

in

the

books.

Your

thoughts

on

that?

Mr. Vijay Shekhar Sharma: 100%. Cash is the spine and strength. I wish that we have INR 40,000 crore cash. Mr. Madhur Deora: I would just add one thing that compared to when this discussion started a year ago, not only

do

we

have

INR

13,500

crores

of

cash,

we

are

now

also

adding

a

significant

amount

of

cash.

I

love

the

fact

that

we

are

a

free

cash

flow

generating

business.

Mr. Vijay Shekhar Sharma: Actually, me and Madhur were discussing some days back and we see a stress in fintech

ecosystem

because

either

you

go

public

and

then

you

learn

the

new

reasons

for

feeling
uncomfortable
or
you
in
private
round,
try
to
find
out
what
is
the
reason
for
you
to
do
what
you
want
to
do.
I
think
people
should
get
further
stressed,
stressed,
further

discounting

and

that

time

the

cash

and

the

equity

will

be

valued.

Cash

is

way

more

valuable.

Mr. Madhur Deora: So Manish, while we are adding cash to our balance sheet, we are also very actively looking

for

within

the

existing

perimeter

of

what

we

do,

what

are

good

RoI

ideas.

So

we
have
called
out
in
the
past
that
MTF
has
been
a
portion
of
our
fund,
a
very
small
percentage
of
our
funds
so
far
which
is
giving
us
very
good
ROI.
I

love

that

because

it

is

a

good

RoI

use

of

our

cash

and

it

also

further

our

mission

as

a

company

in

terms

of

serving

our

customers

better.

We

are

continuously

looking

for

more

opportunities

within

the

business,

mostly

organic,

maybe

a

few

inorganic

if

there

is

the

right

opportunity

and

right

valuation.

Manish Adukia, Goldman Sachs: Thank you. As always, great chatting with both of you. Thanks and all the best.

Moderator: Thanks, Manish. We will take the next question from Sachin. Sachin, please go ahead. Sachin Salgaonkar: Thanks Anandita. Congrats management for a great set of numbers. I have three questions, let

me

go

one

by

one.

First

question,

would

love

to

get

a
bit
more
color
in
terms
of
you
know
how
the
loan
book
is
moving,
what
is
the
mix
between
let's
say
a
merchant
loan
and
consumer
loan
and
you
know
any
data

points

you

could

share

in

terms

of

merchant

partners

and

how

the

growth

is

happening.

And the second part of the same question is, Vijay you did mention about equity and wealth management scaling.

So,

any

sense

in

terms

of

what

is

the

mix

today

between

lending

and

let's

say

wealth

management

and

how

that

mix

could

change

in

future?

Mr. Vijay Shekhar Sharma: First of all, Sachin, I'd say most of our profit is made from merchant side and consumer

side

we

are

driving,

we

have

by

the

way

grown

now,

quarter

on

quarter,

and

I

mean

the

numbers

which

were

flat

or

a
little
bit
of
flat
and
declining
are
significantly
ramped
up
and
we
have
crossed
year
on
year

number like I told you, Jan-24 number for even consumer credit if you will. But the intent here is that we have done

all
of
it
mostly
without
requiring
any
FLDG
so
we
sort
of
are

distribution

led

on

the

consumer

side.

But

at

the

same

point

of

time

the

most

percentage

still

80-20

wise

would

be

towards

the

merchant

side.

Quality is good, that is why it is growing. In fact there is much more interest from a number of partners but we remain

committed

to

remain

a

purely

distribution

company

and

we

don't

have

interest

to

put

a

book

on

this

business

at

all.

We

have

queued

small

finance

banks

and

I

would

say

even

the

large

banks

are

there

now.

So

a

couple
of
large
banks
have
got
activated.
Partner
wise
we
have
more
capital;
I
would
say
probably
four
to
six
times
more
capital
than
we
are
disbursing
right
now.
So
that
is
not

a

limiting

factor.

Then comes the percentage between wealth and this. Oh my intention is that when I say this is my focus area I'm

trying

to

say

what

I'm

trying

to

rejuvenate

to

a

sizable

number

and

wealth

is

not

a

material

number

in

these

two

numbers

if

you

were

to

ask

me

and

it

is

sizeable

but

not

so

sizeable

that

I

think

we

would

start

showing

up.

The

good

thing

is

that

it

shows

up

as

a

subsidiary

so

people

are

able

to

see

the
P&L
of
that
entity.
It
is
there
and
I
do
believe
that
there
is
an
upside.
We
just
found
a
secret
in
MTF.
We
got
money,
we
got
equity,
we
got
equity

capital,

we

got

customers,

the

market

needs

it.

So

there

is

a

product

market

fit.

So Sachin, my intention when I say I'm focusing I probably am trying to discover the perfect product market fit among

every

other

person

and

in

wealth

we

seem

to

be

reaching

that

milestone,

and

after

that

four

more

quarters

and

then

you

will

see

size.

Mr. Madhur Deora: I just wanted to add one quick thing. You asked about the number of lending partners. I want

to

take

this

opportunity

to

say

that

that

has

been

one

of

the

key

achievements

last

year

in

both

Merchant

Loan

and

Personal

Loan,

we

are

now

a

double-digit

number

of

partners

and

the

new

partners

who

have

joined

more

recently

are

also

ramping

up

very

well.

So,

we

have

really

good

legs

for

the

next

several

years.

Sachin Salgaonkar: Thanks. My second question is a follow-up on your earlier answer in terms of margins. Let's say

the

8%

margin

goes

to

your

15

to

20%

more

like

a

medium-term

target

which

you

guys

have

mentioned.

That

itself

is

a

sort

of

a

sharp

improvement

in

margins.

What

we

saw

let's

say

this

quarter

was

roughly

9

percentage

points

improvement

led

by

indirect

cost

on

a

YoY

basis

on

margins.

So

the

question

out

here

is

what

are

the

primary

drivers

of
margins
going
ahead?
Is
it
continued
reduction
in
indirect
cost
because
of
the
scale
benefits?
Is
it
some
AI
led
benefits
and
if
so
would
you
help
us
quantify
on
what
the

magnitude

could

be

or

is

there

a

mixed

change

which

is

driving

those

margins?

Mr. Madhur Deora: I think all of those are similar points. At the core of it, we have a very fast-growing business with

huge

opportunities

to

expand,

for

example,

penetration

of

financial

services,

not

to

mention

improve

the

unit

economics

of

the
payments
business.
We
have
a
fast-growing
top
line.
Indirect
costs,
structurally
there
is
operating
leverage
in
the
business
and
AI
makes
it
even
better.
So
what
you
see,
Indirect
expenses
is
a

percentage

of

revenues

going

down

and

the

underlying

reason

for

that

is

indirect

expenses

are

going

at

a

very

slow

pace

whereas

revenue

is

growing

at

a

fast

pace.

I

should

mention

that

we

continue

to

invest

in

areas

that

matter.

Mr. Vijay Shekhar Sharma: The cost of people has increased especially the expansion of merchants and consumers

business.

Basically,

AI

is

a

distribution

business.

Let

me

use

this

as

a

metaphor

of

my

learning

of

AI

business.

When

you

have

your

financial
services
business
powered
by
AI,
the
differentiation
will
be
how
many
customers
you
have
and
what
you
do
with
them.
Customer,
customer
quality,
monetization
and
monetization
ability,
these
are
the
factors
that

multiply

once

you

add

the

power

of

AI.

The

gating

condition

of

harnessing

the

power

of

AI

is

what

distribution

you

are

sitting

at.

Because

nearly

everybody

could

build

what

you

build

up

after

some

time,

like

always.

So here it is, that we will continuously and I use the word aggressively continue to invest in consumer expansion,

merchant

expansion

and

expansion

of

financial

services.

Powered

by

AI

stands

for

that

our

costs

are

dramatically

optimized.

One

slide

that

I

created

and

we

put

it

in

the

tweet

also

I

think

where

I

said

that

our

merchant distribution, in a way the small business merchant acquisition is now governed by the agent where the

person

is

identifying

what

our

field

sales

executives

must

do.

It

is

all

made

in-house

and

I

have

started

to

find

out

use-cases

of

this

going

to

the

third

party

customers

also.

So now you're seeing that we are flat; practically if you do not look at the cost of I'd say sales people or marketing

expense

then

the

organization

is

now

flat

or

reducing

cost

quarter

on

quarter.

Like

I

always

said

it

I

mean

I

remember

that

I

think

a

couple

of

quarters

back

it

used

to

carry

how

much

more

saving

you

could

see.

I

said

this

is

always

this

continuous.

There

is

no

special

quarter

special

that

we

are

trying

to

do

in

this

quarter

and

that

you

would

have

seen

the

trend

is

continuing.

What we are seeing is that there is a growth of revenue that is the magical part that we have started to show in the

why

Q1

of

this

financial

year

onward.

So

you

want

to

see

this

revenue

ramp

up

and

that

is

why

the

margin

growth

is

talking

about.

Mr. Madhur Deora: Sorry to just add my sort of favorite set of metrics to pull together for this conversation to what

Vijay

said

is

a

marketing

expenses

up

27%

year-on-year.

Our

sales

and

service

cost

investment

is

up

27%

year-on-year

and

our

EBITDA

margin

adjusted

for

PIDF

went

from

1%

to

8%.

So

we

got

a

7

percentage

points

EBITDA

margin

improvement,

in

addition

to

the

fact

that

we

continue

to

make

as

much

investment

as

we

think

makes

sense.

Sachin Salgaonkar: And my last question is would love to actually understand your thoughts on UPI monetization.

There

are

various

media

articles

indicating

that

the

government

might

look

to

reconsider

this.

Certain

articles

are

mentioning

about

5

to

7

bps

kind

of

a
take
rate
for
larger
merchants.
If
such
a
scenario
arises
what
kind
of
an
incremental
opportunity
we
are
thinking
from
a
Paytm
point
of
view
and
would
be
great
if
you
could

help

us

quantify

or

you

know

any

directional

data

points

and

we

could

quantify

the

upside

for

Paytm.

Mr. Vijay Shekhar Sharma: I don't have any clue of actually the number that it could be or not and what kind of line

item

it

will

be

paid

for.

So

we

were

trying

to

model

it

in-house

ourselves

based

on

newspaper

and

various

other

whispers

in

the

corridor

but

we

just

said

there

is

no

materiality

to

it

as

a

discussion

when

you

don't

know

what

the

formula

is.

So

we'll

wait

and

watch.

Sachin Salgaonkar: So, Vijay you know just to re-frame the question in slightly other words here, today if I'm not

wrong

you

guys

are

looking

to

monetize

some

of

the

larger

merchants

on

your

platform.

Would

that

materially

change

you

know

going

ahead

if

this

UPI

monetization

comes

in
other
sense
you
know
is
the
upside
meaningful
for
you
guys
if
this
comes

up?
Mr. Vijay Shekhar Sharma: We serve small merchants who are materially large and also large enterprises including

online
are
our
merchants.

With
relation

to
MDR

on
UPI,

we
only
have

one
line
to

say

-

we

want

both

MDR

and

non

MDR

paying

merchants

to

benefit.

Our

life

won't

change

materially.

Whatever

will

come

will

come

in

the

bottom

line

and

whatever

will

come

will

be

good.

So

that's

it.

There

is

no

obligation

in

the

business

model.

Neither

PIDF's

obligation

nor

UPI's

incentive

obligation

nor

MDR's

interest

nor

MDR's

need.

Whatever

will

come

will

come

in

the

bottom

line.

That's

why

we

have

to

remove

it.

Sachin Salgaonkar: Great. Thank you guys. Cheers. Moderator: Thanks Sachin. We will take the next question from Vijit Jain from Citi followed by Pranav Kshatriya from

Emkay

Global.

Vijit

can

you

go

ahead

please?

Vijit,

please

unmute.

Vijit Jain: Can you hear me now? So congratulations. Great set of numbers here. I have three questions. One each

on

the

consumer

merchant

side

and

then

on

AI.

So

maybe

on
the
merchant
side
first.
So
you
know
in
general
if
you
have
merchants
who've
already
upsold
themselves
into
the
financial
services
product
or
other
products,
that
relationship
is
stickier
right?
There's
a

line

in

your

letter

which

I

interpreted

as

you

know

that

in

certain cases with merchants you are reducing your subscription rentals. So shouldn't it be the other way around?

Merchants

who

are

using

more

than

one

service

are

already

sticky.

Why

would

you

reduce

their

subscription

ARPU?

Mr. Vijay Shekhar Sharma: It's the other way around. If we are making a large amount of revenue in the form of

financial

services

revenue,

then

we

don't

consider

subscription

rental

revenue

from

merchants

as

material

and

say

that

it's

discounted

from

our

side.

So

that

in

merchant

sign-ups,

no

one

else

is

able

to

offer

any

value

differentiation

Vijit Jain: Okay, the second question on this was, so, you know, in the letter you guys say that the net payment margins

went

from

8.8

bps

last

year

to

8.4.

This

is

excluding

the

PIDF

incentives,

right?

Now,

I

mean,

in

general,

I

see

you

talking

about

tailwinds

in

online

payments,

then

you

have,

you

know,

some

of

these

other

core

payment

margin

tailwinds

as

well.

So,

I'm

just

trying

to

understand,

you

know,

what

would

have,

is

it

basically

just

t

hese,

you

know,

lower

device

rentals

YoY

that

would

have

contributed

to

this

8.8

going

to

8.4?

Mr. Madhur Deora: Yeah, so I think we explained it in one of the questions in the back and you're absolutely right.

The

payment

processing

margin,

as

we've

discussed

in

the

last

few

quarters,

has

been

inching

upwards

gradually,

but
consistently
every
quarter.
The
impact
that
you're
talking
about
is
because
of
certain
plans
that
we
run
for
low
merchants
and
highly
engaged
merchants.
I
should
point
out
that
we
have
mentioned

elsewhere

that

we

have

tightened

our

revenue

recognition

policy

on

certain

businesses

a

little

bit.

There

was

a

slight

impact

of

that,

but

most

of

it

is

the

answer

that

we

have

given

in
the
back
of
the
document.

Vijit

Jain:

Correct.

The
second
question

I
had

was

on

the

...

Mr. Vijay Shekhar Sharma: I'm saying something very important. As a business person, I want to say something about

my

CFO.

Madhur

has

literally

made

it,

if

you

don't

get

money

by

the

month

end,

this

is

not

a

revenue

recognized.

Absolutely

correct.

Absolutely

clear.

Everything

else

is

a

future

upside

if

you

get

it.

So,

there

is

conservatism

in

it.

Vijit Jain: Good to hear Vijay. Vijay, my next question is on consumer franchise. So, now you have postpaid that is

scaling

up.

You

have

consumer

loans

which

are

looking

up

versus

last

year

and

MTF

is

doing

well.

You've

applied

for

a

wallet

license

and

I'm

guessing

because

you

said

that

last

time,

wallet

plus

postpaid

will

kick

up

postpaid

even

further.

So,

in

general,

how

would

you

say

your

consumer

franchise

in

terms

of

monetization

is

looking

like

in

F27?

You have a guide, I think, meaningfully better than 22% overall growth. I know merchant business, for example, is

doing

better

than

that.

So,

in

terms

of

the
consumer
franchise,
what
are
we
looking
at
this
year,
given
all
of
these
tailwinds
in

general?

Mr. Vijay Shekhar Sharma: I think it will be very good. I mean, what should I say? We are putting effort in everything.

Something

or
the
other
will
work.

There

are
so
many
missiles
and
rockets.

Something

will

work.

Mr. Madhur Deora: I'll just add maybe one thing that there are certain consumer side financial services which were

slightly

challenged.

Because

as

you

know,

equity

trading

volumes

went

down

a

year

ago

until

about

six

months

ago,

we

were

seeing

headwinds

in

the

personal

loan

business.

And

of

course,

we

didn't

have

much

of

Postpaid

a

couple

of

quarters

ago.

So, now that these things are starting to turn around, we are seeing significant upside on the consumer side.

So,

when

we

look

at

our

LTV

to

CAC,

that

has

improved

meaningfully.

And

obviously,

that

is

one

of

the

reasons

why

we're
making
some
investments
on
the
consumer
side
over
and
above
the
product.
We're
also
investing
more
in
marketing.

Vijit Jain: Got it. One last question on AI. So, you know, I wanted to understand, how is AI helping you on merchant

acquisition,
onboarding,
collection
efficiencies?

Is
it
making
it
measurably
faster,
and
so
you're

seeing

better

retention

trends?

Anything

you

can,

you

know,

any

detail

you

can

share

on

that?

And

second,

also,

I

see

your

cloud

costs

have

come

off

YoY

here.

And

I'm

wondering

if,

you
know,
y
ou
were
able
to
release
some
compute
costs,
because,
you
know,
you
looked
at
use
AI
or
whatever
else
you
use
to
figure
out
where
you
had
scope
for
efficiency.

So,
just
a
little
bit
of
color
on
how
you're
using
AI
on
the
productivity
side
beyond
employee
costs
would
be

helpful.

Mr. Vijay Shekhar Sharma: First of all, thank you. Somebody saw what I wish somebody would have seen and asked.

I
mean,
you
heard
that
people
are
saying
token
maxing

means

so

much

of

cost.

My

whole

year's

worth

of

cost

came

within

a

quarter,

those

kinds

of

situations.

We

tune

our

own

model,

place

on

our

own

infrastructure,

and

then

run

it.

You

must

have

heard

this

popular,

make

this

phone

call

for,

let's

say,

collection

or

revisit

or

retention

and

so

on.

Now, we took a 200 billion parameters model, optimized it to a 4 billion parameters model made for Indian languages,

our

own

model.

And

then

we

place

it

on

our

own

machine.

And

effectively,

now

you're

talking

about

low

latency,

low

cost

of

tokens,

which

is

low

interest

cost

running,

run

and

operated

by

us.

And that makes our cost even lesser than the typical company would have cost for themselves. So we remove the

cost

of

the

call

center.

We

remove

the

cost

which

otherwise

would

have

been

bought

from

outside.

And

we

have

optimized

and

added

a

skill

to

us.

Now,

this

is

magic.

And

once

we've

done

it,

we

will

sell

it

to

outside

people.

Why will we not sell it? So actually, I mean, I'm super excited about the kind of new non-payment, non-financial

services.

I'm

using

the

word

as

a

description

that

they

are

not

related

to

payment.

They're

not

related

to

financial

services.

And

they're

perfectly,

completely

AI,

in

AI

out

services

for
our
businesses
and
merchant
partners.
We've
decided
not
to
do
AI
for
consumers
as
an
all
in
bet.
But
we
definitely
have
decided
that
we
will
go
to
the
merchants
and
the

businesses,

the

solution

services

that

we've

created

and

we

ourselves

are

the

users

of

them.

So

these

things

will

show

up.

And

I'm

glad

that

you

looked

at

the

compute

cost.

And I mean, to the credit of Madhur, he would negotiate so hard that they will invite him as a CEO conclave elsewhere

in

the
world.
This
is
the
most
efficient
CFO.
Madhur
literally
has
become
Cursor's
CFO
Council's
founding
member,
where
the
CFOs
who
bother
about
cost
and
productivity
probably
have
four
or
five
people
in

the

world.

Vijit Jain: Good to hear. And congratulations for that, Madhur. Just one follow up on that. And then I'll go back into

the

queue.

The

non-payments,

non-financial

services,

services

you're

talking

about,

these

are

AI

services

for

smaller

merchants.

Mr. Vijay Shekhar Sharma: Small people, smaller businesses will take a different kind of service. Larger ones will

take

a

different

kind

of

product.

Vijit Jain: OK, good to hear. Thank you so much and best of luck, you guys. Moderator: Thanks, Vijit. We will take the next question from Pranav Kshatriya, followed by Rahul Jain from Dolat

Capital.

Pranav,

you

may

please

go

ahead.

Pranav Kshatriya: Hi, thanks for the opportunity. My first question is, you know, on the accelerating GMV trend,

it

was

like

23

odd

percent

in

Q3,

went

to

27

percent

in

Q4,

now

31

percent.

Any

cuts

you

can

provide,

what

is

driving

it?

Because

the

letter

actually

says

that,

offline

is

seeing

strength,

online

is

seeing

strength.

So,

what

is

growing

faster

relative

to

each

other?

And

secondly,

in

payment

processing

charges,

are

there

any

charges

related

to

postpaid

also

sitting

there?

Because

that's

a

reasonably

sharp

jump

on

a

quarter

on

quarter

basis,

in

this

quarter.

Mr. Madhur Deora: Yeah. So on the first one, we are seeing acceleration in each of our payments businesses. So

whether

it

is

large

merchants

offline,

small

merchants

offline

or

online,

they

historically

were

growing
at
different
paces.
As
you
know,
online
business
was
also
under
embargo.
So
that
is
obviously
a
headwind.
Now,
the
increase
in
growth
has
come
in
all
of
those
businesses,
including
the

consumer

side,

as

you

mentioned.

Yes, there is an interchange that we have to pay in Paytm Postpaid, based on the network math that the credit line

on

UPI

has.

And

some

of

that

goes

into

payment

processing

costs.

But

as

you

can

imagine,

some

of

the

growth

that

we

are

seeing

in

revenue

on

payments

is

also

coming

from,

for

example,

a

greater

share

of

credit

card

processing,

which

also

adds

to

payment

processing

costs.

Pranav Kshatriya: Cool. Can you talk a bit about how Rupay credit card on UPI is progressing? Because, we were

seeing

a

very

strong

growth,

but

I

don't

really

see

any

mention

of

that

in

the

letter.

Mr. Madhur Deora: Yeah, I think maybe you don't see a mention just because we have said it enough times that

the

payment

processing

margin

has

been

steadily

going

up

because

of

mix.

And

one

of

the

mix

aspects

is

absolutely

Rupay

on

UPI,

which

continues

to
see
a
good
increase
in
adoption
-
small
and
large
merchants

both.
Pranav Kshatriya: OK, and if I look at, on the cost side, there has been a 6.5 percent decline in the employee cost,

ex
of
sales
cost.
And
this
is
despite
the
appraisals.

So,
it
seems
like
a
fairly
sharp
cut
in

the
employee
cost.

So,
I
mean,
how
should
we
see
this
going
forward?

I
mean,
is
this
a
baseline
which
is
sustainable?

Is
there
any
ESOP
cost
timing,
sort
of
impacting
that
or,

any

color

would

be

helpful?

Mr. Vijay Shekhar Sharma: No, no, everyone got a good appraisal and everyone got ESOP, which is accounted for.

It's

not

like

we

have

to

factor

in

the

cost

later.

We

don't

apply

any

exotic

approach.

Direct

charge,

straightforward.

And

the

appraisal

was

good.

That's

what

I
wanted
to
tell
you.
Rather,
it's
that
Madhur
has
already
made
a
cut.
Mr. Madhur Deora: There are minor fluctuations that will exist quarter on quarter, but nothing specific to call
out.
Nothing
that
is
going
to
change
our
trend
lines
in
any
major
way.
Like
we
have
said,
we

do

expect

to

continue

to

improve

EBITDA

profitability.

With

respect

to

the

overall

guidance

on

indirect

expenses

is

that

despite

investments

in

sales

and

marketing,

it

will

grow

a

lot

slower

than

revenue.

Pranav Kshatriya: Ok, one last follow up on the first part, actually. So GMV growth acceleration, is this sort of

sustainable

from

your

point

of

view

currently,

or

you

think

on

a

high

base,

there

can

be

some

challenges?

Mr. Vijay Shekhar Sharma: No, no, everything is sustainable. There are two reasons for this. One is that the online

business

has

not

been

factored

in,

so

you

feel

that

it

is

yet

to
grow.
And
offline,
the
digitization
is
increasing
and
the
consumer
base
is
increasing.
So
the
three
buckets
that
contribute
to
GMV,
in
all
three,
we
have
the
right
product
market
fit.
And

there

is

no

such

special

trick.

Pranav Kshatriya: Thank you so much. Nice talking to you. All the best for your next quarter. Moderator: Thanks Pranav. We will take the next question from Rahul Jain, followed by Jayant Kharote from Axis

Capital.

Rahul,

you

may

go

ahead,

please.

Rahul Jain: Yeah, thanks for the opportunity. Firstly, if I look at the DLG data that we talked about, finally for the month

of

June,

it

is

now

coming

on

a

YoY

growth

trajectory.

So

if

you

could

tell

us,

you

know,
why
this
journey
has
been
in
such
a
manner
where
it's
scaled
up
pretty
fast,
then
it
kind
of,
saw
some
moderation.
It
appears
it
came
from
just
one
specific
participant
or

partner.

And

then

it's

scaling

up

across

portfolios.

So,

any

big

picture

thought

process

you

could

share

on

the

DLG

side?

Mr. Madhur Deora: So, you should look at year on year GMV. I don't have a comment on the specific month. I haven't

frankly

dug

into

that

specific

month

data,

but

I

think

we
have
said
in
the
notes
that
I
think
with
the
context
of
revenue,
but
this
applies
to
GMV
as
well,
that
it
is
very
broad-based.
It
is
coming
from
every
type
of

payment

category

where

we

are

seeing

faster

growth

now,

than

we

saw

a

couple

of

quarters

ago.

So

it

is

not

concentrated

towards

a

few

merchants,

or

even

one

or

two

payments

businesses.

Rahul Jain: And also this specific comment that we made upon that we could reach upwards of 20% margin on

a
long
term
basis.
Is
it
that
we
see
that
the
indirect
expenses
could
grow
by
10%,
give
or
take
on
a
long
chart,
and
excluding
payment
business,
we
can
grow
70-80%
incremental

revenue
into
profitability?
We
are
seeing
an
acceleration
of
growth,
so
the
next
milestone,
once
we
achieve
the
15%
mark,
could
be
that
we
might
guide
a
bigger
band
like
20
to
25%

margin

kind

of

a

thing?

What

would

make

you

come

to

that

thought

process

right

away?

Mr. Madhur Deora: I think away from specific numbers, what we are referring to there is that first the market opportunity

remains

massive.

We

still

feel

there

is

a

huge

amount

to

do,

not

just

in

financial

services

but

actually

in

payments

as

well.

So,

the

long-term

TAM

for

us

is

massive

and

as

a

result

I

happen

to

think

the

terminal

value

of

this

business

is

fantastic.

And the second catalyst for saying that is because AI just makes you leaner as an organization. And finally, your point

about

marketing
services
and
financial
services,
incremental
revenue
being
very
high
on
EBITDA
margin,
that
is
absolutely
correct.
So,
thank
you
for
that

observation.

Rahul Jain: Fair enough. That's it from me folks. Thank you for the opportunity. Moderator: Thanks, Rahul. We will take the next question from Jayant Kharote, followed by Suraj Das. In order to

accommodate

a

few

more

questions,

we

will

extend

this

call

as

well.

Jayant,

you

may

go

ahead.

Jayant Kharote: Thanks Anandita. Hi Madhur. Hi Vijay. Congrats on a great set of numbers. The first question is actually

around

the

industry

and

lending.

So

o

f

course,

merchant

lending

is

a

great

product

market

fit

with

the

device

and

collections.

But

one

thing
that's
been
concerning
a
little
bit
to
me
is
in
the
last
one
or
two
quarters,
the
disbursement
by
digital
lenders
in
the
personal
loan
space
has
mushroomed
to
around
INR
25,000

to
30,000
crore
a
month,
which
means
we
are
going
to
build
3
to
6
lakh
crore
of
high
APR,
30-31%
APR
kind
of
a
personal
loan
book
at
a
systemic
level
in

the

next

12

months.

Now, one concern I had was obviously regulatory, right? If INR 5-6 lakh crore book is getting built up, there could

be

some

sort

of

thought.

And

then

the

question

is

around

merchant

loans.

If

the

APRs

in

this

product

are

to

be

moderated

down

to

the

better-quality

merchants

over
the
next
couple
of
years,
does
that
affect
the
profitability
of
this
product?
Of
course,
the
credit
cost
will
also
come
down,
right,
so
that
may
take
care
of
some
of
that.

Mr. Vijay Shekhar Sharma: So second part, I can tell that we already have started and proactively done different

lower

APR

products.

And

we

basically

now

do

EDC

devices

where

the

merchant

has

more

choices

or

more

options

or

the

pricing

is

pretty

competitive.

So

just

in

case,

we

do

and

internally

we've

gone

all

stack.

We look at merchants as our strategic customer base where we don't see only one kind of product, but multiple

buckets

of

products.

So

the

lower

APR

is

not

going

to

be

a

surprise.

Rather,

we

will

lead

the

market.

If

some

competition

walks

into

this

space,

we

will

just

aggressively

go

and

play

lower

APR

business.

And

wherever

the

logic

will

be,

just

in

case.

And

we

are

already

doing

it.

Mr. Madhur Deora: Yeah, sure. I think on your first point, I don't have a specific comment on the top-down math

that

you

shared.

I

can

just

share

with

you

what

we

hear

from

our

lending

partners.

And

like

I

mentioned,

we

have

double-digit

lending

partners

in

personal

loans.

One

is

that

they

were

very,

very

conservative

for

8,

10,

12

quarters.

And

as

a

result,

there

is

actually

a

desire

to

do

more

unsecured

lending

today.

Because

perhaps

as

a percentage of their AUM, this number has come down quite a lot. They are also seeing very healthy customer balance

sheets

when

they're

doing

Bureau

and

other

scrubs.

So

there

is

a

desire

to

grow

in

this

segment

from

various

lenders.

And the second is what Vijay alluded to earlier, which is that our personal loan business is distribution only. We don't

do

collections

here.

We

don't

do

FLDGs

and

so

on.

So

it

really

is

helping

lending

partners

find

customers

on

our

platform

and

distribute

loans

on

our

platform.

So

we

are

seeing

very

healthy

quarter-on-quarter

growth

now,

after

8

or

10

challenging

quarters.

Jayant Kharote: Great. And I appreciate what Vijay said. That we should be taking the lead in this rather than wait

for

the

industry

to

do

that.

That's

great

to

hear.

The

second

question

is

kind

of

a

repetition

of

last

quarter.

Madhur,

sorry

to

bring

it

up

again.

But

when

that

GMV

growth

of

31%

is

not

translating

to

net

payment

revenue

growth,

which

is

at
25%,
when
margins
are
expanding,
again
points
out
to
the
same
thing,
is
the
subscription
income
lagg
ing.
I
do
see
a
comment
that
you've
called
out.
How
should
we
think?
Because

at
some
point,
this
will
start
playing
into
the
net
payment
revenue
growth.
Because,
I
mean,
the
margin
expansion
is
there.
I
want
to
know,
maybe
from
a
12
to
24-month
perspective,
at

what

point

does

the

subscription

rental

start

picking?

Mr. Madhur Deora: I think you've got it right that net payment margin is payment processing margin plus subscription.

On

subscription,

we

have

mentioned

that

in

a

few

cases,

in

a

few

percentage

of

cases,

we

do

these

waivers

for

our

merchants

and

also

the

tighter

revenue

recognition

policy.

We

do

think

overall,

when

we

look

at

our

merchant

payments

business

plus

the

merchant

loans,

those

payback

periods

are

actually

improving.

And overall, that business is getting significantly more profitable as we move forward. So, I don't have a specific concern

about

how

do

we

monetize

our

merchants.

In

fact,

our

monetization

over

any

period

or

cycle

is

very

healthy.

And

this

is

despite

PIDF

going

away.

So,

we

feel

very

good

about

our

payback

periods.

Jayant Kharote: And the pace of deployment is not going to slow down anytime soon? Mr. Madhur Deora: No. So we have said broadly 25 to 30 lakhs additions a year. We're very much within that band

and

maybe
additional
investments
could
make
that
go
even
higher.
Like
I
said,
the
TAM
is
massive
and
we
have
very
high
conviction
on
providing
payment
services
to
our
merchants,
especially
small
merchants,
which

is

what

we're

talking

about

here.

So

that

pace

should

continue.

Jayant Kharote: Great, great. Congrats once again for a great set of numbers. Moderator: Thank you. Thanks, Jayant. We will take the next question from Suraj Das, followed by the last question

for

the

day

from

Pranav

Gundlapalle

from

Bernstein.

Suraj,

you

may

go

ahead.

Suraj Das: Yeah. Hi. Thanks for the opportunity. I have two questions. First one, if I look at the transaction breakup

between

merchant

and

non-merchant,

the

non-merchant

piece
is
growing
phenomenally
well.
I
think
almost
100
percent
YoY.
Versus
if
I
look
at
your
MTU
growth,
that
is
high
single
digit
steady
and
robust,
which
means
that
the
consumer
on

the
P2P
side
in
terms
of,
you
know,
transaction
frequency
that
is
increasing,
right?
Can
you
highlight
what
are
the
underlying
drivers
here?
Is
it
because
of
only
the
traction
in
the
Postpaid

or
is
it
because
of
bill
payments
or
maybe
campaigns
like
gold
coins
or
something
like
that,
which
I
am
assuming
that
reflects
here?

And second part to this question is hypothetically, let us say if your P2P growth is higher within the payment business

versus
P2M,
over
a
period
of
time,
the

net
payment
margin
should
have
ideally
negative
bias,
right?
Because
the
P2P
is
a
lower
net
payment
margin
business.
So,
that
is
my
question.

Mr. Vijay Shekhar Sharma: So, I will start. P2P is not a lower payment margin. Actually, P2M is a lower payment margin.

Because
in
P2M,
the
government
gives
the

incentive

at

the

year

end,

and

last

year's

incentive

has

not

even

come.

While

in

P2P,

you

earn

from

the

originating

bank

and

the

bank

link

and

so

on,

so

forth.

So,

P2P

actually

is

a

revenue

line

item.

So,

there

is

no

wrong

about

this

that

P2P

makes

le

ss

money.

For

merchants,

obviously,

P2M

is

the

only

revenue

line

item.

So,

P2P

is

less

revenue

making

is

not

a

correct

statement.

When you look at, and you nicely looked at it, that we focus on retention. In consumer business or internet business,

retention

is

winning

new

customers.

One

good

customer

brings

another

new

customer.

So,

we've

all

focused

on,

instead

of

spending

money

in

marketing,

but

rather

making

the
customer
who's
with
us,
feel
delighted
and
become
a
more
active
user
of

Paytm.
The usage is not by Postpaid. Postpaid is like not even thousand crore in a month, let's just say that. So, we're talking

about
what
number
every
day.
So,
here
it
is.
It
is
not
led
by
Postpaid.
It
is

actually

led

by,

we've

simplified

the

app

if

you

are

a

user.

If

you're

not,

then

please

use

the

Paytm

app.

I

mean,

I

use

it.

If

you're

not

using

it,

please

start

using
it.
Also,
everyone
attending
this
call,
if
you're
not
using
Paytm,
then
next
time
we'll
provide
a
QR
code.
You'll
receive
the
Zoom
meeting
details
by
scanning
the
QR
code
through
the

Paytm

app.

Well, the intent here is that, in my opinion, the ease and features that we sort of have nuanced brought out is giving

us

this

growth.

And

obviously,

new

customers

in

terms

of

Gen-Z

are

coming

and

we

sort

of

have

the

fancy

of

Gen-Z

customers

as

a

customer

base

now.

So,

there

it

is.

Suraj Das: Sure, got it. The last question is, in the financial services business, if I look at, you are adding, let us say,

1-2

lakh

customers

on

a

YoY

basis.

And

if

I

look

at

the

overall

financial

services

segment

revenue

per

customer,

that

is

also

growing.

Do

you

think

this

is

sustainable

and

can

be

only

one-way

direction?

Or

there

are

so

many

moving

parts,

maybe

in

terms

of

product

mix,

unit

economics,

and

hence,

commenting

on

the

sustainability

of

one

way,

you

know,

going

up

is

a

difficult

task.

Mr. Vijay Shekhar Sharma: It's a very, very small number, just a few lakhs, not even one million. Compared to a population

of

100

million,

it's

still

a

very

large

gap.

I

would

rather

say

that

there

is

a

huge

upside,

order

of

magnitude

is

in

multiples,

not

percentage.

It's
rather
the
attention
that
we've
started
giving
to
it,
whether
you
look
at
mutual
fund
distribution,
which
we
don't
count
in
this
because
that
does
not
make
material
revenue.

But
then
that

percentage

goes

to

equity

brokerage,

very

useful.

Then

similarly,

credit,

Postpaid,

and

then

take

in

consumer

loan,

then

insurance.

So, I would rather say that we are, I don't know how to say this, the very fact that internally, we are so excited and

ready

to

say

that

we

will

grow

profit

margin

and

profit

itself

is

because

the

customer

base

and

the

product

market

fit

and

the

business

model

has

got

scalable,

and

then

head

down,

execute

only

that,

you're

all

good.

Mr. Madhur Deora: So, just to clarify, the 7.6 lakh number, we think that, barring any quarterly aberrations, this

number

should

just

linearly

grow

up.

As

we

talk

about

revenue

per

financial

services

customer,

if

you

look

at

the

average

revenue

that

we

make

today,

obviously,

there's

some

products

which

are

higher

than

that

and

some

products

which

are

lower

than

that.

So,

yes,

there's

a

mix

effect

point,

which

may

affect

us

a

couple

of

quarters

here

and

there.

But

we

are

confident,

overall

financial

services

revenue

will

grow.

We're thinking about what metrics we should put out there for financial services customers and financial

services

revenue.

'Key

Financial

Services

Customers'

was

one

of

them,

and

as

close

a

proxy

to

saying,

hey,

there's

a

number

of

customers

who

are

taking

a

product

and

the

amount

of

money

you're
making
per
customer.

But
yes,
within
that,
there
will
be
some
mix
effect

components.

Suraj Das: Sure, perfect. Thanks, Vijay. Thanks, Madhur. Moderator: Thank you, Suraj. We will take the last question from Pranav. Pranav, you may please go ahead.

Pranav Gundlapalle: Thanks for taking the question. It's a couple of questions. I'll go back to the payment margin.

If
I
just
look
at
your
payments
income
as
a
percent
of
GMV
and
also
the

payment
processing
costs,
almost
the
entire
drop
in
NPM
seems
to
be
explained
by
just
the
increase
in
payment
processing
charges
from
almost
10.6
basis
points
to
11.2.
So
what's
driving
this
sharp

increase?

That's

the

first

question.

And the second one is more on the consumer business. The cloud and commerce or the marketing revenues almost

flat

year

on

year.

Could

you

give

some

color

on

that?

Or

at

least

if

you

take

the

broader

consumer

lens,

how

much

is

the

revenue

from

consumers,

be

it

FS

or

non-FS,

really

growing

at?

Those

will

be

two

questions.

Thank

you.

Mr. Madhur Deora: Right. So on the first one, I wouldn't quite look at payment processing costs as a percentage

because

there's

a

huge

amount

of

very

good

non-bank

linked

UPI

business

to

be

done.

And

by

very

good,

I

only

have

one

definition.

Does

it

make

money?

But

if

you

end

up

increasing

your

credit

card

market

share,

for

example,

credit

card

processing

market

share,

this

number

will

go

up.

But

so

will

revenue.

So

that's

why

we

point

to

payment

processing

margin

and

giving

the

exact

number

is

slightly

commercially

sensitive.

So

we

give

you

kind

of

where

we

are

directionally.

So

I

wouldn't

quite

look

at

it

that

way.

It is the case that the number has gone up. Somebody asked whether it was because of Postpaid marginally, but

actually

because

we

are

doing

quite

well

on

non-UPI

business

overall.

So

that

will

not

really

give

you

the

type

of

conclusion

you're

trying

to

get.

On marketing services, we are seeing good momentum, partly because we have more MTU. We have very good retention

metrics

that

you

mentioned.

DAU

was

higher

than

it

was

in

Jan'24

and

so

on.

So we're getting not only more customers, we're getting more engagement. Another indicator is our MTU was up

about

8%,

but

our

consumer

side

GTV

was

up

45%.

That's

another

indication
for
how
much
we
have
worked
on
engagement
of
customers.
All
of
that
does
translate
with
a
slight
lag
into
marketing
services
revenue,
as
well
as
other
consumer
financial
services
revenue.
This

quarter,

we're

slightly

behind

on

one

specific

line

item,

which

is

travel,

where

there

were

headwinds.

Mr. Vijay Shekhar Sharma: I think it was not headwind, it was 'headfire'. Mr. Madhur Deora: So when ticket prices go up, then obviously airlines, overall business gets affected. Within that

leisure

gets

affected,

whic

h

is

a

vast

majority

of

what

our

customers

do

on

Paytm

travel.

So

that

business

was

slightly

behind

our

expectations,

but

for

external

factors.

But

we

are

quite

positive

about

marketing

services

overall

going

forward.

Pranav Gundlapalle: Marketing services I understand is the travel headwind, or headfire, but if you look at the broader

consumer

revenue,

how

is

that

growing?

Is

it

like

single

digit,

double

digit

growth?

What

are

we

talking

about

here?

Where

are

we

in

the

monetization

of

that?

Mr. Vijay Shekhar Sharma: And you are accounting for every monetization, not just payment line item, but credit

disbursement,

etc.

Pranav Gundlapalle: Correct Mr. Vijay Shekhar Sharma: Oh, then it should be definitely. Mr. Madhur Deora: Yeah, it is not far behind the merchant side. So, it is not night and day. Because we have talked

elsewhere,

just

to

pull

together

a

few

things

that

we

have

said

in

the

document,

which

is

that

we

are

seeing

tailwinds

in

the

personal

loan

business.

So

you

can

imagine

that

is

now

going

well.

Paytm

Postpaid

is

contributing.

Vijay

talked

about

wealth

earlier,

and

Vijay

also

talked

about

consumer

P2P,

which

makes

revenue. So there are various bits and pieces of this on the consumer side, which are giving us better LTV already.

Pranav Gundlapalle: Okay, so it would be fair to say if you have an overall revenue growth of 20-30%, it is not completely

skewed

in

favor

of

merchants,

it

is

somewhat

comparable

growth

across

both

merchants

and

consumers.

Mr. Vijay Shekhar Sharma: I like the question because I want to tell you one thing, my personal role is to prune everything

that

drags

down

my

company's

growth.

Either

you

give

me

growth

or

bottom

line,

everything

else

is

thank

you

so

much.

Mr. Madhur Deora: And I think we may have anticipated this question because the first thing that we said on page

one

was

broad-based

accelerated

growth

and

payments

and

financial

services

for

merchant

and

consumer

business.

Mr. Vijay Shekhar Sharma: Obviously, the nuance of the keywords that we specified have to be specified. Mr. Madhur Deora: Which is great. I am glad you are asking us to clarify. Pranav Gundlapalle: Thank you. Those are my questions. Mr. Vijay Shekhar Sharma: And for everyone, I have a very interesting news that this time, we picked up '.md file'.

And

as

you

can

expect,

this

is

not

a

'Madhur

Deora'

file,

this

is

a

'markdown'

(.md)

file

as

we

call

it

in

the

AI

world.

This

will

allow

you

to

just

download

and

give

it

to

your

favorite

chatbot,

which

is

allowed

in

your

business

and

company.

And this is for everything, earning release, presentation, call transcript, obviously, we will update that after this and

financial

results.

So,

you

basically

have

even

all

the

information

in

a

single

.md
file
and
you
can
talk
to
our
agent
that
will
be
powering
this
soon.
So
right
now,
do
it
yourself,
download
.md
and
play
with
this.
Till
we
meet
again
next
time,

here

is

a

thank

you

to

everyone

for

joining

us

and

the

last

song.

Moderator: Thank you all for joining. We have come to an end of this call.